

SENATE FLOOR VERSION

March 4, 2026

COMMITTEE SUBSTITUTE
FOR

SENATE BILL NO. 1877

By: Hall of the Senate

and

Caldwell (Trey) of the
House

An Act relating to state government; amending 2 O.S. 2021, Sections 5-10, 5-85, as amended by Section 2, Chapter 174, O.S.L. 2025, 5-507, 3, Chapter 391, O.S.L. 2022, 6, Chapter 297, O.S.L. 2023, 14, Chapter 297, O.S.L. 2023, and 19, Chapter 297, O.S.L. 2023 (2 O.S. Supp. 2025, Sections 5-85, 11-13, 4006, 4014, and 4019), which relate to agriculture; directing submission of certain reports to utilize certain centralized filing system; removing certain obsolete report; amending Section 1, Chapter 126, O.S.L. 2024 (3 O.S. Supp. 2025, Section 415), which relates to the Long-Term Aerospace and Aeronautics Infrastructure Sustainability Revolving Fund; directing submission of certain report to utilize certain centralized filing system; amending 3A O.S. 2021, Sections 204, 619, 733, as amended by Section 4, Chapter 332, O.S.L. 2023, and 734 (3A O.S. Supp. 2025, Section 733), which relate to amusement and sports; directing submission of certain reports to utilize certain centralized filing system; amending 6 O.S. 2021, Section 212, which relates to the Banking Department; directing submission of certain report to utilize certain centralized filing system; amending 10 O.S. 2021, Sections 22.1, 405.1, 601.5, as amended by Section 3, Chapter 347, O.S.L. 2024, 601.6, as amended by Section 1, Chapter 178, O.S.L. 2025, 601.6a, as amended by Section 4, Chapter 347, O.S.L. 2024, 601.6b, as amended by Section 5, Chapter 347, O.S.L. 2024, 601.6c, 601.81, 2, Chapter 35, 1st Extraordinary Session, O.S.L. 2023, 1150.2, as last amended by Section 10, Chapter 347, O.S.L. 2024, and

1 1411.1 (10 O.S. Supp. 2025, Sections 601.5, 601.6,
2 601.6a, 601.6b, 802, and 1150.2), which relate to
3 children; removing certain obsolete report; directing
4 submission of certain reports to utilize certain
5 centralized filing system; amending 10A O.S. 2021,
6 Sections 1-2-111, 1-6-105, 1-8-111, 1-9-105, 1-9-120,
7 as amended by Section 2, Chapter 28, O.S.L. 2023, 2-
8 7-311, 2-7-606, 2-7-705, 2-7-905, and 2-10-103 (10A
9 O.S. Supp. 2025, Section 1-9-120), which relate to
10 the children and juvenile codes; directing submission
11 of certain reports to utilize certain centralized
12 filing system; removing certain obsolete report;
13 amending 11 O.S. 2021, Sections 49-100.8, 49-100.9,
14 50-105.3, and 50-105.4, which relate to municipal
15 firefighter and police pension and retirement
16 systems; directing submission of certain reports to
17 utilize certain centralized filing system; amending
18 14A O.S. 2021, Sections 6-104 and 6-504, which relate
19 to the Department of Consumer Credit; directing
20 submission of certain reports to utilize certain
21 centralized filing system; amending 17 O.S. 2021,
22 Sections 40.1, 253, 325, 1, Chapter 403, O.S.L. 2022,
23 and 802.3, as last amended by Section 2, Chapter 31,
24 O.S.L. 2024 (17 O.S. Supp. 2025, Sections 801.9 and
802.3), which relate to the Corporation Commission;
directing submission of certain reports to utilize
certain centralized filing system; amending 19 O.S.
2021, Section 215.28, which relates to the creation
of the District Attorneys Council; directing
submission of certain report to utilize certain
centralized filing system; amending 20 O.S. 2021,
Sections 3.3, 1103.1, 1108, 1225, and 1656, which
relate to courts; directing submission of certain
reports to utilize certain centralized filing system;
amending 21 O.S. 2021, Sections 142.15 and 1290.16,
which relate to crimes and punishments; directing
submission of certain reports to utilize certain
centralized filing system; amending 22 O.S. 2021,
Sections 34.5, 116, 988.15, as amended by Section 1,
Chapter 14, O.S.L. 2023, 991a, as last amended by
Section 1, Chapter 306, O.S.L. 2025, 991f-1.1,
1355.4, 1601, as amended by Section 1, Chapter 51,
O.S.L. 2024, and 2002, as amended by Section 2,
Chapter 327, O.S.L. 2025 (22 O.S. Supp. 2025,
Sections 988.15, 991a, 1601, and 2002), which relate
to criminal procedure; directing submission of
certain reports to utilize certain centralized filing

1 system; amending 27A O.S. 2021, Sections 1-1-202, as
2 last amended by Section 1, Chapter 164, O.S.L. 2023,
3 1-2-101, 2-3-101, 2-3-109, 2-6-501.4, 2-7-307, 2-10-
4 802, 2-11-401.6, as amended by Section 22, Chapter
5 282, O.S.L. 2022, 2-11-607, 3-2-106, as amended by
6 Section 1, Chapter 326, O.S.L. 2025, 3-2-107, and 3-
7 2-108 (27A O.S. Supp. 2025, Sections 1-1-202, 2-11-
8 401.6, and 3-2-106), which relate to environment and
9 natural resources; directing submission of certain
10 reports to utilize certain centralized filing system;
11 removing certain obsolete report; amending 29 O.S.
12 2021, Sections 3-103, as amended by Section 1,
13 Chapter 6, O.S.L. 2024, and 3-306 (29 O.S. Supp.
14 2025, Section 3-103), which relate to game and fish;
15 directing submission of certain reports to utilize
16 certain centralized filing system; amending 36 O.S.
17 2021, Sections 312.1 and 924.2, which relate to
18 insurance; directing submission of certain reports to
19 utilize certain centralized filing system; amending
20 40 O.S. 2021, Sections 6-204, as amended by Section
21 6, Chapter 346, O.S.L. 2023, and 5, Chapter 361,
22 O.S.L. 2023, as amended by Section 1, Chapter 408,
23 O.S.L. 2025 (40 O.S. Supp. 2025, Sections 6-204 and
24 904), which relate to labor; directing submission of
certain reports to utilize certain centralized filing
system; amending 43 O.S. 2021, Section 107.2, which
relates to actions where a minor child is involved;
directing submission of certain report to utilize
certain centralized filing system; amending 43A O.S.
2021, Sections 2-205, 4, Chapter 201, O.S.L. 2023, as
amended by Section 1, Chapter 230, O.S.L. 2025, 1,
Chapter 202, O.S.L. 2024, 10-112, and 12-105, as
amended by Section 1, Chapter 317, O.S.L. 2025 (43A
O.S. Supp. 2025, Sections 2-312.4, 3-335, and 12-
105), which relate to mental health; directing
submission of certain reports to utilize certain
centralized filing system; amending 47 O.S. 2021,
Sections 2-107, 2-146, as amended by Section 1,
Chapter 370, O.S.L. 2022, 2-303.1, 3, Chapter 282,
O.S.L. 2022, as amended by Section 3, Chapter 47, 1st
Extraordinary Session, O.S.L. 2023, 1, Chapter 265,
O.S.L. 2024, as amended by Section 1, Chapter 104,
O.S.L. 2025, 7-606.1, 7-606.2, 156.1, as last amended
by Section 55, Chapter 452, O.S.L. 2024, 1104.1, as
last amended by Section 8, Chapter 171, O.S.L. 2025,
and 1140.3 (47 O.S. Supp. 2025, Sections 2-146, 3-
103, 6-212.7, 156.1, and 1104.1), which relate to

1 motor vehicles; directing submission of certain
2 reports to utilize certain centralized filing system;
3 amending 52 O.S. 2021, Section 87.2, which relates to
4 application protests; directing submission of certain
5 report to utilize certain centralized filing system;
6 amending 53 O.S. 2021, Sections 1.9 and 166, which
7 relate to Oklahoma Historical Society and
8 associations; directing submission of certain reports
9 to utilize certain centralized filing system;
10 amending 56 O.S. 2021, Sections 71, 162, 198.11b,
11 198.16, 229, 230.50, 230.65, 239, 241.4, 1008,
12 1011.5, 1017.4, 3002, and 17, Chapter 395, O.S.L.
13 2022, as amended by Section 3, Chapter 386, O.S.L.
14 2025 (56 O.S. Supp. 2025, Section 4002.12b), which
15 relate to poor persons; directing submission of
16 certain reports to utilize certain centralized filing
17 system; removing certain obsolete task force;
18 removing certain obsolete reports; amending 57 O.S.
19 2021, Sections 95, 115, 521, 530.3, and 541, which
20 relate to prisons and reformatories; directing
21 submission of certain reports to utilize certain
22 centralized filing system; amending 59 O.S. 2021,
23 Sections 858-705.1, 1000.4, as last amended by
24 Section 1, Chapter 321, O.S.L. 2025, 1000.25, as
amended by Section 4, Chapter 225, O.S.L. 2025, 3024,
and 4000.1, as last amended by Section 9, Chapter
227, O.S.L. 2024 (59 O.S. Supp. 2025, Sections
1000.4, 1000.25, and 4000.1), which relate to
professions and occupations; directing submission of
certain reports to utilize certain centralized filing
system; removing certain obsolete report; amending 60
O.S. 2021, Sections 177.2, 178, and 1, Chapter 220,
O.S.L. 2024 (60 O.S. Supp. 2025, Section 1403), which
relate to property; directing submission of certain
reports to utilize certain centralized filing system;
amending 61 O.S. 2021, Sections 65, as amended by
Section 11, Chapter 238, O.S.L. 2022, 130, as amended
by Section 27, Chapter 238, O.S.L. 2022, and 328 (61
O.S. Supp. 2025, Sections 65 and 130), which relate
to public buildings and public works; directing
submission of certain reports to utilize certain
centralized filing system; amending 62 O.S. 2021,
Sections 34.2, as amended by Section 1, Chapter 86,
O.S.L. 2025, 34.6, as amended by Section 2, Chapter
14, 2nd Extraordinary Session, O.S.L. 2022, 34.11.1,
as amended by Section 1, Chapter 193, O.S.L. 2024,
34.32, as amended by Section 25, Chapter 228, O.S.L.

2022, 34.36, as amended by Section 2, Chapter 199, O.S.L. 2025, 34.37, 34.42, as last amended by Section 3, Chapter 199, O.S.L. 2025, 34.52, 34.88, 34.94, 34.95, 34.200-1, 34.301, as last amended by Section 1, Chapter 319, O.S.L. 2025, 35.9, 36, 45.3, 45.11, 48.2, as amended by Section 1, Chapter 313, O.S.L. 2019, 49, 71.1, as amended by Section 4, Chapter 308, O.S.L. 2025, 88.4, 89.2, as amended by Section 5, Chapter 308, O.S.L. 2025, 89.7, 91.5, 166d, 1, Chapter 14, 2nd Extraordinary Session, O.S.L. 2022, 690.19, 695.7, 847, 901, as amended by Section 1, Chapter 439, O.S.L. 2025, 901.1, 2309, 7004, as amended by Section 2, Chapter 125, O.S.L. 2023, 7005, as amended by Section 3, Chapter 125, O.S.L. 2023, and 9010.4 (62 O.S. Supp. 2025, Sections 34.2, 34.6, 34.11.1, 34.32, 34.36, 34.42, 34.301, 71.1, 89.2, 255.1, 901, 7004, and 7005), which relate to public finance; directing submission of certain reports to utilize certain centralized filing system; removing certain obsolete report; updating statutory reference; amending 63 O.S. 2021, Sections 1-110.1, 2, Chapter 439, O.S.L. 2024, 1-227.2, 1-227.3, 1-229.8, 1-237, 1-238, 1-270.2, as amended by Section 1, Chapter 111, O.S.L. 2024, 1-534.1, 1-550.3, 1-552, 1-556, 1-740.11, 1-753, 1-756.8, 1-2530.9, 1-2712, 1-2721, as last amended by Section 1, Chapter 184, O.S.L. 2024, 1-2731, 2-805, 2-904, 2-1001, as last amended by Section 1, Chapter 198, O.S.L. 2025, 10, Chapter 322, O.S.L. 2023, 1, Chapter 321, O.S.L. 2024, 683.4, 2565, 3208, 3220, 3224, 3229, 3240.6, 3240.7, 3250.6, 3250.7, 3276, as amended by Section 2, Chapter 334, O.S.L. 2023, 1, Chapter 112, O.S.L. 2023, as amended by Section 1, Chapter 295, O.S.L. 2024, 3285, 3290, as amended by Section 3, Chapter 334, O.S.L. 2023, 5007, 5010, 5013, 1, Chapter 162, O.S.L. 2022, 5061.2, and 7301, as amended by Section 1, Chapter 328, O.S.L. 2023 (63 O.S. Supp. 2025, Sections 1-114.22, 1-270.2, 1-2721, 2-1001, 427.17a, 427.29, 3276, 3278.1, 3290, 5026.1, and 7301), which relate to public health and safety; directing submission of certain reports to utilize certain centralized filing system; removing certain obsolete reports; amending 64 O.S. 2021, Section 1013, as amended by Section 40, Chapter 228, O.S.L. 2022 (64 O.S. Supp. 2025, Section 1013), which relates to investment of permanent school funds and other educational funds and property; directing submission

1 of certain reports to utilize certain centralized
2 filing system; amending 65 O.S. 2021, Section 3-114,
3 which relates to deposit of publications with
4 publishing clearinghouse; directing submission of
5 certain report to utilize certain centralized filing
6 system; amending 66 O.S. 2021, Sections 190 and 304,
7 as amended by Section 556, Chapter 486, O.S.L. 2025
8 (66 O.S. Supp. 2025, Section 304), which relate to
9 railroads; directing submission of certain reports to
10 utilize certain centralized filing system; amending
11 67 O.S. 2021, Section 315, which relates to the
12 delivery of records for disposition; directing
13 submission of certain report to utilize certain
14 centralized filing system; amending 68 O.S. 2021,
15 Sections 102.3, 120, 205, as last amended by Section
16 2, Chapter 204, O.S.L. 2025, 270, 291, 400.1, as
17 amended by Section 3, Chapter 285, O.S.L. 2023,
18 1357.21, as last amended by Section 1, Chapter 353,
19 O.S.L. 2025, 2357.1A-2, 2357.7A, 2357.22, as last
20 amended by Section 153, Chapter 452, O.S.L. 2024,
21 2357.32A, 2357.65, 2357.76, 2370.1, as amended by
22 Section 1, Chapter 223, O.S.L. 2024, 3507, 3610,
23 3633, as amended by Section 2, Chapter 341, O.S.L.
24 2025, 4, Chapter 66, O.S.L. 2022, as amended by
Section 1, Chapter 1, O.S.L. 2023, 3808, 3910, 3920,
4206, 4210, 4310, 4510, and 50016 (68 O.S. Supp.
2025, Sections 205, 400.1, 1357.21, 2357.22, 2370.1,
3633, and 3645.4), which relate to revenue and
taxation; directing submission of certain reports to
utilize certain centralized filing system; amending
69 O.S. 2021, Sections 322, 1705.6, 1728, and 1912,
which relate to roads, bridges, and ferries; removing
certain obsolete reports; directing submission of
certain report to utilize certain centralized filing
system; amending 70 O.S. 2021, Sections 3-104, as
last amended by Section 1, Chapter 445, O.S.L. 2025,
3-104.10, 3-117.3, 3-118, 3-127, 3-129.10, 5-141, 5-
146, 6-186, 6-211, 11-103.6, as last amended by
Section 1, Chapter 384, O.S.L. 2024, 11-103.6a, 1,
Chapter 280, O.S.L. 2022, as last amended by Section
45, Chapter 59, O.S.L. 2024, 1, Chapter 336, O.S.L.
2022, 17-106.1, 17-116.7, 18-162, 24-158, as amended
by Section 2, Chapter 281, O.S.L. 2022, 625.14, as
amended by Section 15, Chapter 407, O.S.L. 2022,
695.20, 697.2, as amended by Section 17, Chapter 407,
O.S.L. 2022, 697.25, 698.1, as last amended by
Section 1, Chapter 249, O.S.L. 2023, 1, Chapter 155,

O.S.L. 2023, 1210.228, 1210.258, 1210.307, 1210.405, 1210.407, 1210.508C, as last amended by Section 2, Chapter 297, O.S.L. 2025, 2, Chapter 288, O.S.L. 2023, as amended by Section 9, Chapter 411, O.S.L. 2024, 1210.509, 1210.516, 1210.544, 1210.591, 2120, as amended by Section 3, Chapter 18, O.S.L. 2022, 2607, 2632, as amended by Section 1, Chapter 129, O.S.L. 2025, 3206, 3206.6a, as amended by Section 2, Chapter 84, O.S.L. 2025, 3218.2, 3219.1, 3224, 3903, 3909, as amended by Section 575, Chapter 486, O.S.L. 2025, 3954, 3970.11, 3980.4, as amended by Section 4, Chapter 186, O.S.L. 2023, and 4705 (70 O.S. Supp. 2025, Sections 3-104, 11-103.6, 11-202, 14-201, 24-158, 625.14, 697.2, 698.1, 1210.210, 1210.508C, 1210.508H, 2120, 2632, 3206.6a, 3909, and 3980.4), which relate to schools; directing submission of certain reports to utilize certain centralized filing system; removing certain obsolete report; amending 71 O.S. 2021, Section 1-601, as last amended by Section 1, Chapter 225, O.S.L. 2023 (71 O.S. Supp. 2025, Section 1-601), which relates to the Oklahoma Securities Commission; directing submission of certain report to utilize certain centralized filing system; amending 73 O.S. 2021, Sections 179, 2, Chapter 1, 1st Extraordinary Session, O.S.L. 2023, as amended by Section 1, Chapter 393, O.S.L. 2024, 3, Chapter 441, O.S.L. 2024, as amended by Section 2, Chapter 439, O.S.L. 2025, and 2, Chapter 441, O.S.L. 2024, as amended by Section 3, Chapter 439, O.S.L. 2025 (73 O.S. Supp. 2025, Sections 187B, 188A, and 188B), which relate to the state capital and State Capitol Building; directing submission of certain reports to utilize certain centralized filing system; amending 74 O.S. 2021, Sections 18b, as last amended by Section 2, Chapter 335, O.S.L. 2025, 20i, as last amended by Section 1, Chapter 212, O.S.L. 2024, 51.1a, as last amended by Section 2, Chapter 257, O.S.L. 2024, 51.2b, as last amended by Section 5, Chapter 257, O.S.L. 2024, 61.8, as amended by Section 1, Chapter 194, O.S.L. 2025, 63.3, 63.5, 78, as amended by Section 1, Chapter 351, O.S.L. 2023, 78d, as amended by Section 2, Chapter 351, O.S.L. 2023, 85.5, as amended by Section 1, Chapter 102, O.S.L. 2024, 85.7, as last amended by Section 1, Chapter 339, O.S.L. 2023, 85.43, 85.44D.1, 85.45f, 85.45j.11, 150.5, 150.38, 212, as amended by Section 1, Chapter 93, O.S.L. 2022, 213.2, 214, 324.2, 325.1, 450,

452.8, 452.10, 452.13, 452.14, 464, 471, 484, 500.2,
as amended by Section 1, Chapter 63, O.S.L. 2022,
500.18, as last amended by Section 1, Chapter 325,
O.S.L. 2022, 3, Chapter 414, O.S.L. 2024, 589, 669,
2, Chapter 201, O.S.L. 2024, 840-1.6A, as amended by
Section 4, Chapter 243, O.S.L. 2022, 840-2.17, as
amended by Section 13, Chapter 243, O.S.L. 2022, 840-
2.27C, as last amended by Section 1, Chapter 341,
O.S.L. 2024, 909.1, 942, 1207, 1332.1, as amended by
Section 8, Chapter 245, O.S.L. 2024, 2109, 2205,
2220, 2236, 2276.2, 2901.4, 2, Chapter 22, 1st
Extraordinary Session, O.S.L. 2023, 4, Chapter 22,
1st Extraordinary Session, O.S.L. 2023, 3117, 3122,
3601.2, 3602, 3917, 5003.7, as last amended by
Section 3, Chapter 133, O.S.L. 2025, 5003.9, 5003.10,
as amended by Section 6, Chapter 377, O.S.L. 2024,
5003.10a, as amended by Section 7, Chapter 377,
O.S.L. 2024, 5010.3, 5040.4, as amended by Section 7,
Chapter 375, O.S.L. 2024, 5060.22, 5062.19, 5066.7,
5079, 5156, 5402, 6112, 8303, 9053, 9076, 5, Chapter
229, O.S.L. 2022, as amended by Section 1, Chapter
336, O.S.L. 2023, 6, Chapter 229, O.S.L. 2022, 3,
Chapter 231, O.S.L. 2022, and 4, Chapter 231, O.S.L.
2022 (74 O.S. Supp. 2025, Sections 18b, 20i, 51.1a,
51.2b, 61.8, 78, 78d, 85.5, 85.7, 212, 500.2, 500.18,
583.1, 692, 840-1.6A, 840-2.17, 840-2.27C, 1332.1,
2903.1, 2903.3, 5003.7, 5003.10, 5003.10a, 5040.4,
9204, 9205, 12003, and 12004), which relate to state
government; directing submission of certain reports
to utilize certain centralized filing system;
removing certain obsolete reports; removing certain
requirement to follow certain procedure; amending 75
O.S. 2021, Sections 250.6, 252, 253, as last amended
by Section 6, Chapter 258, O.S.L. 2025, 303.1, as
amended by Section 3, Chapter 38, O.S.L. 2023, and
308, as last amended by Section 2, Chapter 420,
O.S.L. 2025 (75 O.S. Supp. 2025, Sections 253, 303.1,
and 308), which relate to statutes and reports;
directing submission of certain reports to utilize
certain centralized filing system; updating statutory
language; directing the Office of the Secretary of
State to create and maintain certain centralized
filing system; requiring the Secretary of State to
provide certain notification in certain circumstance;
requiring the Secretary of State to submit certain
report; amending 76 O.S. 2021, Section 17, which
relates to medical malpractice; directing submission

1 of certain report to utilize certain centralized
2 filing system; amending 82 O.S. 2021, Sections 863.3,
3 1085.14, 1085.62, 1085.82, 1, Chapter 268, O.S.L.
4 2023, and 1623 (82 O.S. Supp. 2025, Section 1086.7),
5 which relate to water and water rights; directing
6 submission of certain reports to utilize certain
7 centralized filing system; amending 85 O.S. 2021,
8 Section 380, as amended by Section 1, Chapter 256,
9 O.S.L. 2024, and as renumbered by Section 3, Chapter
10 256, O.S.L. 2024 (74 O.S. Supp. 2025, Section 85.70),
11 which relates to volunteer fire departments;
12 directing submission of certain reports to utilize
13 certain centralized filing system; amending 85A O.S.
14 2021, Sections 17, as amended by Section 10, Chapter
15 199, O.S.L. 2025, 50, 60, 101, 121, and 400, as
16 amended by Section 3, Chapter 279, O.S.L. 2024 (85A
17 O.S. Supp. 2025, Sections 17 and 400), which relate
18 to workers' compensation; directing submission of
19 certain reports to utilize certain centralized filing
20 system; updating statutory language; making language
21 gender neutral; repealing Section 6, Chapter 222,
22 O.S.L. 2024 (2 O.S. Supp. 2025, Section 5-606), which
23 relates to reports; repealing 2 O.S. 2021, Sections
24 18-34 and 18-192, which relate to reports; repealing
10 O.S. 2021, Section 630.2, which relates to
coordinated database system; repealing Section 1,
Chapter 288, O.S.L. 2024 (17 O.S. Supp. 2025, Section
294), which relates to Southwest Power Pool report;
repealing 19 O.S. 2021, Section 547.2, which relates
to the Sheriffs' Personnel Task Force; repealing 20
O.S. 2021, Sections 127 and 1103H, which relate to
reports; repealing Section 1, Chapter 333, O.S.L.
2023, as amended by Section 4, Chapter 329, O.S.L.
2025 (21 O.S. Supp. 2025, Section 2200), which
relates to the Oklahoma Organized Retail Crime Task
Force; repealing 36 O.S. 2021, Sections 6057.5,
6060.9c, 6060.13, and Section 5, Chapter 151, O.S.L.
2022 (36 O.S. Supp. 2025, Section 6060.44), which
relate to reports; repealing 40 O.S. 2021, Section
800.1, as amended by Section 1, Chapter 401, O.S.L.
2022 (40 O.S. Supp. 2025, Section 800.1), which
relates to the Occupational Licensing Advisory
Commission; repealing Section 1, Chapter 232, O.S.L.
2023 (47 O.S. Supp. 2025, Section 173.1), which
relates to the State Task Force on Motor Carrier
Regulation and Enforcement; repealing 56 O.S. 2021,
Sections 162.1b, 245, 245.1, and 3121, which relate

1 to reports; repealing 57 O.S. 2021, Section 521.1,
2 which relates to the Reentry Policy Council;
3 repealing 62 O.S. 2021, Section 46.5, which relates
4 to the State Revenue Apportionment Evaluation
5 Commission; repealing 63 O.S. 2021, Sections 2-112,
6 2175.1, 5009.6, and 5030.4A, which relate to reports;
7 repealing 70 O.S. 2021, Sections 3-116.5, 3-123.1,
8 628.19, and 7001, which relate to reports; repealing
9 74 O.S. 2021, Sections 201, 30c, 30.2, 2900.3, and
10 9100, which relate to reports; repealing 82 O.S.
11 2021, Section 1088.14, which relates to the Water for
12 2060 Advisory Council; providing for codification;
13 and providing an effective date.

14 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

15 SECTION 1. AMENDATORY 2 O.S. 2021, Section 5-10, is
16 amended to read as follows:

17 Section 5-10. A. To implement the Made in Oklahoma Program and
18 the Grown in Oklahoma Program, the State Department of Agriculture
19 shall:

20 1. Design a "Made in Oklahoma" logo and a "Grown in Oklahoma"
21 logo for use by Oklahoma processors, providers, or growers;

22 2. Establish standards and requirements for logos;

23 3. Establish fees for logos; provided any Oklahoma processor,
24 provider, or grower may acquire use of the logos on their foods,
products, or services free of charge for the first year after
authorization for use;

4. Establish a task force to assist in ascertaining strengths
and weaknesses of the program;

1 5. Cooperate with other state agencies and other organizations
2 as needed in development of the program;

3 6. Foster conferences, institutes, and exhibits on Oklahoma-
4 made products and services or Oklahoma-grown foods;

5 7. Publish reports, surveys, news bulletins, or other materials
6 pertaining to its findings, recommendations, and work; and

7 8. ~~Report~~ Electronically report, utilizing the centralized
8 filing system provided for in Section 378 of this act, to the
9 Governor, the Speaker of the House of Representatives, and the
10 President Pro Tempore of the Senate areas needing legislative or
11 procedural changes to help promote the purchase and use of Oklahoma-
12 made products and services and Oklahoma-grown foods or to attract
13 manufacturers to supply processors with needed materials.

14 B. The Department may apply for, accept, and use any gift,
15 grant, or bequest from any source for the purpose of discharging its
16 duties.

17 SECTION 2. AMENDATORY 2 O.S. 2021, Section 5-85, as
18 amended by Section 2, Chapter 174, O.S.L. 2025 (2 O.S. Supp. 2025,
19 Section 5-85), is amended to read as follows:

20 Section 5-85. A. The State Treasurer is authorized to issue
21 guidelines and administer the Oklahoma Agricultural Linked Deposit
22 Program.

23 B. The State Treasurer shall, utilizing the centralized filing
24 system provided for in Section 378 of this act, electronically

1 submit an annual report outlining the status of the Oklahoma
2 Agricultural Linked Deposit Program to the Governor, the Lieutenant
3 Governor, the President Pro Tempore of the Senate, and the Speaker
4 of the House of Representatives.

5 SECTION 3. AMENDATORY 2 O.S. 2021, Section 5-507, is
6 amended to read as follows:

7 Section 5-507. If state funds are utilized, unless otherwise
8 required by federal law, the Oklahoma Cooperative Extension Service
9 shall, utilizing the centralized filing system provided for in
10 Section 378 of this act, electronically provide the Speaker of the
11 Oklahoma House of Representatives and the President Pro Tempore of
12 the Oklahoma Senate a copy of any report or other document that it
13 provides to the United States Department of Agriculture concerning
14 the Oklahoma AgrAbility Project.

15 SECTION 4. AMENDATORY Section 3, Chapter 391, O.S.L.
16 2022 (2 O.S. Supp. 2025, Section 11-13), is amended to read as
17 follows:

18 Section 11-13. A. The Oklahoma Department of Agriculture,
19 Food, and Forestry shall develop a grant program for the purpose of
20 providing grants to incorporated municipalities to mitigate extreme
21 purchase costs, extraordinary costs, or both, incurred by the
22 incorporated municipality's owned or controlled unregulated utility
23 affected by the extreme weather event that began February 7, 2021.
24 To qualify for a grant, the following requirements shall be met:

1 1. The incorporated municipality ~~must~~ shall show proof of
2 extreme purchase costs, extraordinary costs, or both incurred by the
3 incorporated municipality's owned or controlled unregulated utility;

4 2. The population of the incorporated municipality shall be no
5 greater than three thousand five hundred (3,500) persons according
6 to the most recent Federal Decennial Census or most recent annual
7 estimate of the population by the United States Census Bureau; and

8 3. The incorporated municipality's owned or controlled
9 unregulated utility has had no costs mitigated through
10 securitization as provided by Sections 9070 through 9081 of Title 74
11 of the Oklahoma Statutes.

12 B. The Department shall promulgate rules necessary for
13 determining the eligibility and priority of applicants for the
14 grants. In determining the priority of applicants, the Department
15 shall consider the implications of the extraordinary costs and
16 extreme purchase costs regarding the incorporated municipality's
17 solvency and the amount of the incorporated municipality's
18 extraordinary costs and extreme purchase costs on a per capita
19 basis.

20 ~~C. On or before February 1, 2023, the Oklahoma Department of~~
21 ~~Agriculture, Food, and Forestry shall provide a report to the~~
22 ~~Governor, President Pro Tempore of the Senate, and the Speaker of~~
23 ~~the House of Representatives that includes the list of~~
24 ~~municipalities who applied for the grant, the amount requested by~~

1 ~~each municipality, municipalities that were awarded grants, the~~
2 ~~amount of each grant awarded, and any other information the~~
3 ~~Department determines to be necessary.~~

4 SECTION 5. AMENDATORY Section 6, Chapter 297, O.S.L.
5 2023 (2 O.S. Supp. 2025, Section 4006), is amended to read as
6 follows:

7 Section 4006. A. On and after July 1, 2023, the Authority
8 shall have the power and duty to:

9 1. Adopt bylaws and promulgate rules for the regulation of its
10 affairs and the conduct of its business;

11 2. Adopt an official seal;

12 3. Maintain an office at a location to be determined by the
13 Authority;

14 4. Sue and be sued, subject to the provisions of the
15 Governmental Tort Claims Act;

16 5. Enter into cooperative agreements with the Board of Regents
17 for the Oklahoma Agricultural and Mechanical Colleges ~~and/or~~ or
18 other Oklahoma State University agencies, authorities, trusts or
19 entities for educational programs, professional staffing, research
20 and other veterinary activities;

21 6. Make and enter into all contracts necessary or incidental to
22 the performance of its duties and the execution of its powers
23 pursuant to the Oklahoma State University Veterinary Medicine
24 Authority Act;

1 7. Purchase or lease equipment, furniture, materials, and
2 supplies, and incur such other expenses as may be necessary to
3 maintain and operate animal hospitals or clinics, or to discharge
4 its duties and responsibilities or to make any of its powers
5 effective;

6 8. Acquire by purchase, lease, gift, or by any other manner,
7 and to maintain, use and operate or to contract for the maintenance,
8 use and operation of or lease of any and all property of any kind,
9 real, personal, or mixed or any interest therein unless otherwise
10 provided by the Oklahoma State University Veterinary Medicine
11 Authority Act;

12 9. Appoint such officers, agents, and employees, including but
13 not limited to attorneys, as it deems necessary and to prescribe
14 their duties and to fix their compensation;

15 10. Accept grants from the United States of America, or from
16 any corporation or agency created or designed by the United States
17 of America, and, in connection with any grant, to enter into such
18 agreements as the United States of America or such corporation or
19 agency may require;

20 11. Make and issue bonds and to pledge revenues of the
21 Authority subject to the Oklahoma Bond Oversight and Reform Act.
22 Nothing in the Oklahoma State University Veterinary Medicine
23 Authority Act shall authorize the issuance of any bonds of the
24 Authority payable other than from revenues of the Authority.

1 Authority revenue bonds issued under the provisions of this act
2 shall not at any time be deemed to constitute a debt of the state or
3 of any political subdivision thereof, or a pledge of the faith and
4 credit of the state or of any political subdivision, but such bonds
5 shall be payable solely from the funds herein provided. Such
6 revenue bonds shall contain on the face thereof a statement to the
7 effect that neither the state nor the Authority shall be obligated
8 to pay the same or the interest thereon except from the revenues of
9 the project or projects for which they are issued and that neither
10 the faith and credit nor the taxing power of the state or any
11 political subdivision thereof is pledged, or may hereafter be
12 pledged, to the payment of the principal of or the interest on such
13 bonds. The maximum amount of outstanding bonds at any time shall
14 not exceed Fifty Million Dollars (\$50,000,000.00) unless a greater
15 amount is expressly approved by the Legislature by a concurrent
16 resolution adopted prior to commencing any action in anticipation of
17 issuance of revenue bonds of the Oklahoma State University
18 Veterinary Medicine Authority for the greater amount;

19 12. Provide for complete financial audits on all accounts of
20 the Oklahoma State University Veterinary Medicine Authority and to
21 authorize periodic audits by an independent external auditing
22 agency. Such audits shall be performed annually in a format
23 approved by the State Auditor and Inspector, and all such audits
24 shall be submitted to the State Auditor and Inspector for review.

1 Such audits shall be made in accordance with generally accepted
2 auditing standards and government auditing standards. Financial
3 statements shall be prepared in accordance with generally accepted
4 accounting principles;

5 13. Engage in long-term planning for the operation and
6 management of the Authority;

7 14. Establish petty cash funds and provide for appropriate
8 accounting procedures and controls;

9 15. Contract with national manufacturers and distributors of
10 drugs and medical supplies when appropriate to carry out the
11 purposes of this act;

12 16. Do all other things necessary and proper to implement the
13 provisions of the Oklahoma State University Veterinary Medicine
14 Authority Act;

15 17. Provide funding to other entities related to public health,
16 animal health, teaching, research, and the purposes of the Oklahoma
17 State Veterinary Medicine Authority Act when provided funding for
18 such purposes by the Legislature;

19 18. Waive, by such means as the Authority deems appropriate,
20 the exemption from federal income taxation of interest on the
21 Authority's bonds provided by the Internal Revenue Code of 1986, as
22 amended, or any other federal statute providing a similar
23 exemption;19. Arrange for guaranties or insurance of its bonds by
24

1 the federal government or by any private insurer, and to pay any
2 premiums therefor; and

3 ~~20.~~ 19. Make a declaration of necessity as provided in Section
4 3 of this act. The Authority may, in its exclusive judgment, make a
5 declaration of necessity when such a declaration is deemed necessary
6 to effectuate the purposes of the Oklahoma State University
7 Veterinary Medicine Authority Act.

8 B. The Oklahoma State University Veterinary Medicine Authority
9 shall be subject to the Oklahoma State Finance Act.

10 C. The Authority shall prepare monthly a "budget vs. actual"
11 report which shows by budget activity the monthly and year-to-date
12 revenues and expenditures compared to budgeted revenues and
13 expenditures. Such report shall be electronically submitted to the
14 Office of Management and Enterprise Services and to the Directors of
15 the House of Representatives Fiscal Division and the Senate Fiscal
16 Division utilizing the centralized filing system provided for in
17 Section 378 of this act.

18 D. The Authority shall be subject to the professional risk
19 management program provided for in Section 85.58A of Title 74 of the
20 Oklahoma Statutes.

21 SECTION 6. AMENDATORY Section 14, Chapter 297, O.S.L.
22 2023 (2 O.S. Supp. 2025, Section 4014), is amended to read as
23 follows:
24

1 Section 4014. The Oklahoma State University Veterinary Medicine
2 Authority shall, utilizing the centralized filing system provided
3 for in Section 378 of this act, electronically submit an annual
4 report to the Governor, the Speaker of the Oklahoma House of
5 Representatives, and the President Pro Tempore of the Oklahoma State
6 Senate. Such report shall be submitted in accordance with the
7 requirements for financial statement audits in Section 212A of Title
8 74 of the Oklahoma Statutes and shall include an account of the
9 operations and actions of the Authority and an accounting of all
10 revenue received and disbursed by the Authority for the previous
11 fiscal year. The report shall include an accounting of expenses
12 related to each of the following:

13 1. Education and training of students of the Oklahoma State
14 University College of Veterinary Medicine, resident veterinarians
15 and others;

16 2. Care and treatment of animal patients for whom the Authority
17 receives any form of state or federal reimbursement; and

18 3. Research.

19 SECTION 7. AMENDATORY Section 19, Chapter 297, O.S.L.
20 2023 (2 O.S. Supp. 2025, Section 4019), is amended to read as
21 follows:

22 Section 4019. A. The State of Oklahoma expressly approves the
23 creation of a public trust to be named the "Oklahoma State
24 University Veterinary Medical Trust", of which the State of Oklahoma

1 shall be the beneficiary, provided such approval shall be contingent
2 upon satisfaction of the following conditions:

3 1. Finalizing of the declaration of trust;

4 2. Adoption of the declaration of trust by an official action
5 of the trustees of the Trust;

6 3. Submission of the Trust for acceptance of the beneficial
7 interest and approval as required by Section 177 of Title 60 of the
8 Oklahoma Statutes; and

9 4. The approved declaration of trust shall:

10 a. clearly state that the principal purpose of the
11 Oklahoma State University Veterinary Medical Trust is
12 to effectuate the purposes of the Oklahoma State
13 University Veterinary Medicine Authority as
14 established in the Oklahoma State University
15 Veterinary Medicine Authority Act,

16 b. except as otherwise provided by law, provide that the
17 title to real property held by the Oklahoma State
18 University Veterinary Medicine Authority shall not be
19 transferred, conveyed, or assigned to the Oklahoma
20 State University Veterinary Medical Trust without the
21 express consent of the Legislature as the governing
22 entity of the beneficiary pursuant to Section 176 of
23 Title 60 of the Oklahoma Statutes,
24

- 1 c. provide that any indebtedness incurred by the Oklahoma
2 State University Veterinary Medical Trust or the
3 trustees of the Trust shall not be secured with or
4 create a lien upon real property to which title is
5 held by the Oklahoma State University Veterinary
6 Medicine Authority and shall not involve the bonding
7 capacity of the Oklahoma State University Veterinary
8 Medicine Authority,
- 9 d. provide that the trust estate of the Oklahoma State
10 University Veterinary Medical Trust shall not include
11 fee simple title to real property owned by the
12 Oklahoma State University Veterinary Medicine
13 Authority,
- 14 e. clearly state that the creation of the Oklahoma State
15 University Veterinary Medical Trust shall not in any
16 way reduce, limit, or interfere with the power granted
17 to the Oklahoma State University Veterinary Medicine
18 Authority in the Oklahoma State University Veterinary
19 Medicine Authority Act,
- 20 f. provide that any lease or contractual agreement
21 involving use of the real property to which title is
22 held by the Oklahoma State University Veterinary
23 Medicine Authority and any improvements thereto shall
24 contain a provision and covenants requiring the proper

1 maintenance and upkeep of the real property and
2 improvements,

3 g. provide that the trustees of the Oklahoma State
4 University Veterinary Medical Trust shall be the
5 acting members of the Oklahoma State University
6 Veterinary Medicine Authority as provided in the
7 Oklahoma State University Veterinary Medicine
8 Authority Act, and

9 h. provide that the trustees of the Oklahoma State
10 University Veterinary Medical Trust shall have the
11 duty to, utilizing the centralized filing system
12 provided for in Section 378 of this act,
13 electronically submit an annual report to the
14 Governor, the Speaker of the House of Representatives,
15 and the President Pro Tempore of the Senate. The
16 report shall be submitted by January 1 of each year
17 and shall include an account of all operations,
18 actions of the Trust, and an account of all revenue
19 received and disbursed by the Trust for the previous
20 fiscal year. The report shall also provide a complete
21 accounting of how the Trust meets its primary function
22 of effectuating the purposes of the Oklahoma State
23 University Veterinary Medicine Authority, as
24

1 established in the Oklahoma State University
2 Veterinary Medicine Authority Act.

3 B. The Oklahoma State University Veterinary Medical Trust shall
4 require any agreements which it enters into with any entity pursuant
5 to Section 22 of this act for the operations of facilities leased by
6 the Oklahoma State University Veterinary Medicine Authority to the
7 Trust to include, but not be limited to:

8 1. The inclusion of all the members of the Trust, representing
9 the State of Oklahoma in a governing committee;

10 2. Binding arbitration shall not be required by such agreements
11 for resolving issues under consideration by the governing committee;
12 and

13 3. Major decisions shall be resolved by the governing
14 committee, and approval of any major decision by the governing
15 committee ~~must~~ shall include the approval of a majority of the state
16 appointees and the approval of a majority of the private entity
17 appointees to the governing committee. Major decisions shall
18 include:

19 a. approval of the operating and capital budgets,

20 b. sale or disposition of assets over Two Hundred Fifty
21 Thousand Dollars (\$250,000.00),

22 c. the termination, transfer, material addition, or
23 material diminution of animal medical services at the
24 Oklahoma State University Veterinary Hospital related

1 to and part of a teaching program of the Oklahoma
2 State University College of Veterinary Medicine, and
3 d. other major decisions as may be agreed upon by the
4 Trust and the private entity.

5 C. To the extent it is determined by legislative enactment that
6 the Trust has expended funds in contravention of its mission as set
7 forth in this section, the Trust shall remit, upon a thirty (30) day
8 written notice from the Oklahoma State University Veterinary
9 Medicine Authority, such sum or sums to the Oklahoma State
10 University Veterinary Medicine Authority.

11 SECTION 8. AMENDATORY Section 1, Chapter 126, O.S.L.
12 2024 (3 O.S. Supp. 2025, Section 415), is amended to read as
13 follows:

14 Section 415. There is hereby created in the State Treasury a
15 revolving fund for the Oklahoma Department of Aerospace and
16 Aeronautics to be designated the "Long-Term Aerospace and
17 Aeronautics Infrastructure Sustainability Revolving Fund". The fund
18 shall be a continuing fund, not subject to fiscal year limitations,
19 and shall consist of all monies received by the Department from
20 appropriations designated for the purpose of construction,
21 maintenance, or other capital projects. The Director of the
22 Oklahoma Department of Aerospace and Aeronautics shall, utilizing
23 the centralized filing system provided for in Section 378 of this
24 act, electronically provide at the end of each month, ~~provide a~~

1 current balance and statement of encumbrances of the fund to the
2 Chair of the Senate Appropriations Committee and the Chair of the
3 House of Representatives Appropriations and Budget Committee. All
4 monies accruing to the credit of the fund are hereby appropriated
5 and may be budgeted and expended by the Oklahoma Department of
6 Aerospace and Aeronautics for the sole purpose provided for in this
7 section. Expenditures from the fund shall be made upon warrants
8 issued by the State Treasurer against claims filed as prescribed by
9 law with the Director of the Office of Management and Enterprise
10 Services for approval and payment.

11 SECTION 9. AMENDATORY 3A O.S. 2021, Section 204, is
12 amended to read as follows:

13 Section 204. A. The Oklahoma Horse Racing Commission shall:

14 1. Have supervision of:

15 a. all race meetings held in this state; provided, for
16 non-pari-mutuel race meetings and training races held
17 at non-pari-mutuel tracks jurisdiction of the
18 Commission shall be limited to a period of time
19 beginning twelve (12) hours before the commencement of
20 the first race on a race day and ending four (4) hours
21 after the finish of the last race on a race day,

22 b. all occupation and organization licensees in this
23 state, and
24

1 c. all persons on the property of an organization
2 licensee; provided, for non-pari-mutuel race meetings
3 and training races held at non-pari-mutuel tracks
4 supervision of such persons shall be limited to the
5 period set out in subparagraph a of this paragraph;

6 2. Have the authority to promulgate rules for the purpose of
7 administering the provisions of the Oklahoma Horse Racing Act;

8 3. Administer and enforce the provisions of the Oklahoma Horse
9 Racing Act and the rules of the Commission;

10 4. Adjudicate controversies arising from the enforcement of the
11 provisions of the Oklahoma Horse Racing Act and the rules of the
12 Commission;

13 5. Allocate racing days of not to exceed six (6) days per
14 calendar week, dates, and hours which are in the best interests of
15 the people of this state to organization licensees;

16 6. Promulgate rules for the granting or refusing and the
17 suspension or revoking of licenses;

18 7. Promulgate rules for the holding, conducting, and operating
19 of all race meetings held in this state; provided, the rules of the
20 American Quarter Horse Association for regulation of the holding,
21 conducting and operating of non-pari-mutuel race meetings and
22 training races held at non-pari-mutuel tracks shall serve as the
23 rules for the holding, conducting and operating of non-pari-mutuel
24 race meetings and training races held at non-pari-mutuel tracks,

1 except that appeals from decisions of the stewards shall be to the
2 Commission, until such time as the Commission has promulgated
3 substantially similar rules for regulation of the holding,
4 conducting and operating of non-pari-mutuel race meetings and
5 training races held at non-pari-mutuel tracks;

6 8. Have supervision and control of the pari-mutuel machines and
7 all other equipment at all race meetings held in this state;

8 9. Check the making of pari-mutuel pools and the distribution
9 of such pools and shall:

10 a. contract with the Office of the State Auditor and
11 Inspector to conduct an annual audit and inspection of
12 live race meets in this state, and

13 b. reimburse the Office of the State Auditor and
14 Inspector for the cost of these services;

15 10. Promulgate rules governing:

16 a. bids on leases,

17 b. the rate charged by an organization licensee for
18 admission to races, and

19 c. the rate charged for the performance of any service or
20 for the sale of any article on the premises of an
21 organization licensee;

22 11. Approve all contracts and agreements for the payment of
23 money and all salaries, fees, and compensations by any organization
24 licensee;

1 12. Have the authority to exclude, or compel the exclusion,
2 from any race meeting:

3 a. any person who violates the provisions of any rule or
4 order of the Commission or any law of this state, any
5 other state, or the United States,

6 b. any person who has been previously convicted of
7 violating any law of this state, any other state, the
8 United States, or

9 c. any other person, licensed or unlicensed, whose
10 conduct or reputation is such that his or her presence
11 at the race meeting may, in the opinion of the
12 Commission reflect on the honesty and integrity of
13 horse racing or interfere with the orderly conduct of
14 the race meeting. No person shall be excluded or
15 ejected from a race meeting solely on the grounds of
16 race, color, creed, sex, national origin, or ancestry;

17 13. Have investigatory powers and authority to place attendants
18 and such other persons as may be deemed necessary by the Commission
19 in the offices, on the tracks, or in places of business of any
20 organization licensee for the purpose of determining whether an
21 organization or occupation licensee is complying with the provisions
22 of the Oklahoma Horse Racing Act and the rules of the Commission;

1 14. Have authority to acquire or contract with, or establish,
2 maintain, and operate testing laboratories and related facilities
3 for the purpose of conducting:

4 a. human substance abuse testing on occupation licensees
5 who may affect the outcome of race results. Human
6 substance abuse tests and the laboratories performing
7 such tests ~~must~~ shall meet the nationally recognized
8 standards specified in the Mandatory Guidelines for
9 Federal Workplace Drug Testing Programs adopted by the
10 United States Department of Health and Human Services.
11 The Commission may require any occupation licensee to
12 submit to a human substance abuse test if the
13 Commission has probable cause to believe that such
14 licensee is possessing or using any controlled
15 dangerous substance or any other drug in violation of
16 any federal or state law. Provided, on and after July
17 1, 1994, such testing shall be in compliance with the
18 provisions of the Standards for Workplace Drug and
19 Alcohol Testing Act, and

20 b. a saliva test, a blood test, a urine test, or other
21 tests or combinations of tests on the horses run or to
22 be run in any race meeting. Prior to the Commission
23 entering into any contract pursuant to this paragraph,
24 the Attorney General shall review and approve the

1 contract. Any contract entered into pursuant to this
2 paragraph shall contain the specifications that were
3 in the request for bid for the contract;

4 15. Approve of all proposed construction on property owned or
5 leased by an organization licensee;

6 16. Have authority to require that all financial, employment,
7 or other records of an organization licensee shall be kept in such
8 manner as prescribed by the Commission and shall be subject to
9 inspection by the Commission. The organization licensee shall
10 submit to the Commission an annual balance sheet, profit-and-loss
11 statement, and any other information the Commission deems necessary
12 in order to administer the provisions of the Oklahoma Horse Racing
13 Act;

14 17. Have the authority to suspend or revoke a license or impose
15 fines in amounts not to exceed Ten Thousand Dollars (\$10,000.00)
16 against individuals for each violation and in amounts not to exceed
17 Twenty Thousand Dollars (\$20,000.00) against organization licensees
18 for each violation of any provision of the Oklahoma Horse Racing
19 Act, any rules adopted by the Commission, or any order of the
20 Commission, or for any other action which, in the discretion of the
21 Commission, is a detriment or impediment to horse racing or both
22 such suspension or revocation and fine. Each day upon which such
23 violation or other action by the organization licensee occurs shall
24 constitute a separate offense;

1 18. Have authority to suspend a horse from participating in
2 races if the horse has been involved in any violation of the rules
3 promulgated by the Commission or the provisions of the Oklahoma
4 Horse Racing Act; and

5 19. Prepare and, utilizing the centralized filing system
6 provided for in Section 378 of this act, electronically submit an
7 annual report to the Governor, the Speaker of the House of
8 Representatives, and the President Pro Tempore of the Senate. The
9 report shall include an account of the operations, actions, and
10 orders of the Commission, and an accounting of all revenue received
11 by the Commission.

12 B. 1. The Commission may delegate to stewards or the Executive
13 Director, those of its powers and duties as it deems necessary to
14 fully implement and effectuate the purposes of the Oklahoma Horse
15 Racing Act.

16 2. The Commission, upon appeal or due consideration, may
17 overrule any decision of a steward except decisions regarding
18 disqualifications for interference during the running of a race if a
19 preponderance of evidence indicates:

- 20 a. the stewards mistakenly interpreted the law,
21 b. new evidence of a convincing nature is produced, or
22 c. the best interests of racing and the state may be
23 better served.

1 3. Any decision pertaining to the finish of a race, as used for
2 purposes of pari-mutuel pool distribution to winning ticket holders,
3 may not be overruled. Any decision pertaining to the distribution
4 of purses may be changed only if a claim is made in writing to the
5 Commission by one of the involved owners or trainers, and a
6 preponderance of evidence clearly indicates to the Commission that
7 one or more of the grounds for protest, as provided for in the rules
8 prepared by the Commission, has been substantiated.

9 SECTION 10. AMENDATORY 3A O.S. 2021, Section 619, is
10 amended to read as follows:

11 Section 619. Beginning February 1, 2000, the Oklahoma State
12 Athletic Commission shall, utilizing the centralized filing system
13 provided for in Section 378 of this act, electronically file an
14 annual report of combative sports activities in Oklahoma with the
15 Governor, the President Pro Tempore of the Senate, and the Speaker
16 of the House of Representatives. ~~Said~~ Such report shall include,
17 but not be limited to, the amount of revenue collected, the number
18 of permits and licenses issued and revoked, the number of violations
19 of the Oklahoma State Athletic Commission Act, and the number of
20 professional combative sports events, amateur mixed martial arts
21 events and amateur kickboxing events conducted.

22 SECTION 11. AMENDATORY 3A O.S. 2021, Section 733, as
23 amended by Section 4, Chapter 332, O.S.L. 2023 (3A O.S. Supp. 2025,
24 Section 733), is amended to read as follows:

1 Section 733. To ensure the financial integrity of the lottery,
2 the Oklahoma Lottery Commission through its board of trustees shall:

3 1. ~~Submit~~ Electronically submit annual reports, utilizing the
4 centralized filing system provided for in Section 378 of this act,
5 to the Governor, State Auditor and Inspector, Oklahoma State Bureau
6 of Investigation, Attorney General, and the oversight committee
7 created by Section 734 of this title, disclosing the total lottery
8 revenues, prize disbursements, operating expenses, and
9 administrative expenses of the Commission. The annual report shall
10 additionally describe the organizational structure of the Commission
11 and summarize the functions performed by each organizational
12 division within the Commission;

13 2. Adopt a system of internal audits;

14 3. Maintain weekly or more frequent records of lottery
15 transactions, including the distribution of tickets or shares to
16 retailers, revenues received, claims for prizes, prizes paid, prizes
17 forfeited, and other financial transactions of the Commission;

18 4. Contract with a certified public accountant or firm for an
19 annual financial audit of the Commission. The certified public
20 accountant or firm shall have no financial interest in any vendor
21 with whom the Commission is under contract. The certified public
22 accountant or firm shall present an audit report not later than
23 seven (7) months after the end of the fiscal year. The certified
24 public accountant or firm shall evaluate the internal auditing

1 controls in effect during the audit period. The cost of this annual
2 financial audit shall be an operating expense of the Commission.
3 The State Auditor and Inspector may at any time conduct an audit of
4 any phase of the operations of the Commission at the expense of the
5 Commission and shall receive a copy of the annual independent
6 financial audit. A copy of any audit performed by the certified
7 public accountant or firm or the State Auditor and Inspector shall
8 be electronically transmitted to the Governor, the President Pro
9 Tempore of the Senate, the Speaker of the House of Representatives,
10 the State Auditor and Inspector, and the cochairs of the oversight
11 committee created in Section 734 of this title utilizing the
12 centralized filing system provided for in Section 378 of this act;

13 5. ~~Submit~~ Electronically submit, utilizing the centralized
14 filing system provided for in Section 378 of this act, to the Office
15 of Management and Enterprise Services and the State Auditor and
16 Inspector by June 30 of each year a copy of the annual operating
17 budget for the Commission for the next fiscal year. This annual
18 operating budget shall be approved by the board and be on such forms
19 as prescribed by the Office of Management and Enterprise Services;
20 and

21 6. ~~Submit~~ Electronically submit, utilizing the centralized
22 filing system provided for in Section 378 of this act, to the Office
23 of Management and Enterprise Services by October 1 of each year a
24 proposed estimate of the net proceeds to be deposited into the

1 Oklahoma Education Lottery Trust Fund during the succeeding fiscal
2 year. The estimate shall be on such forms as prescribed by the
3 Office of Management and Enterprise Services.

4 SECTION 12. AMENDATORY 3A O.S. 2021, Section 734, is
5 amended to read as follows:

6 Section 734. A. There is hereby created as a joint committee
7 of the Legislature the Oklahoma Lottery Commission Legislative
8 Oversight Committee, to be composed of the members of the House
9 Revenue and Taxation Committee and the Senate Finance Committee.
10 The chairs of the committees shall serve as cochairs of the
11 oversight committee. The oversight committee shall periodically
12 inquire into and review the operations of the Oklahoma Lottery
13 Commission, as well as periodically review and evaluate the success
14 with which the Commission is accomplishing its statutory duties and
15 functions as provided in the Oklahoma Education Lottery Act. The
16 oversight committee may conduct any independent audit or
17 investigation of the Commission it deems necessary.

18 B. The Commission shall, utilizing the centralized filing
19 system provided for in Section 378 of this act, electronically
20 provide the oversight committee not later than December 1 of each
21 year with a complete report of the level of participation of
22 minority businesses in all retail and major procurement contracts
23 awarded by the Commission.
24

1 SECTION 13. AMENDATORY 6 O.S. 2021, Section 212, is
2 amended to read as follows:

3 Section 212. A. Commissioner's Report - Contents. The
4 Commissioner shall report to the Governor annually. The report
5 shall be a public document and shall include such matters as the
6 Commissioner deems advisable.

7 B. Copies furnished to Legislature and Oklahoma Publishing
8 Clearing House. Copies of the annual reports not previously so
9 submitted shall be electronically submitted to the Legislature at
10 the opening of each regular session and to the Oklahoma Publishing
11 Clearing House utilizing the centralized filing system provided for
12 in Section 378 of this act. A copy of the annual report shall also
13 be published on the Oklahoma State Banking Department's website.

14 SECTION 14. AMENDATORY 10 O.S. 2021, Section 22.1, is
15 amended to read as follows:

16 Section 22.1. A. The Oklahoma Legislature recognizes that:

17 1. Children who have been abused, who are dependent or
18 neglected, or whose parents, for whatever reason, may be unable or
19 unwilling to provide care for their children, are best served when
20 they can be cared for by grandparents or other suitable relatives
21 instead of placing those children in foster care with the State of
22 Oklahoma; and

23 2. While grandparents or other relatives are often willing to
24 provide for the care of children who can no longer remain with their

1 parents, there may exist financial obstacles to the provision of
2 such care, or there may be a need for other services to enable the
3 children to remain with their grandparents or other relatives in
4 order to prevent the entry of those children into the foster care
5 system.

6 B. It is the intent of the Oklahoma Legislature in enacting
7 this section to:

8 1. Recognize family relationships in which a grandparent or
9 other relative within the third degree of relationship to the child
10 is the head of a household that includes a child otherwise at risk
11 of foster care placement by the Department of Human Services;

12 2. Enhance family preservation and stability by recognizing
13 that most children in placements with grandparents and other
14 relatives within the third degree of relationship to the child do
15 not need intensive supervision of the placement by the courts or by
16 the Department;

17 3. Provide additional placement options and incentives that
18 will achieve permanency and stability for many children who are
19 otherwise at risk of foster care placement by the Department because
20 of abuse, abandonment, or neglect, but who may successfully be able
21 to reside in the care of relatives within the third degree of
22 relationship to the child; and

23 4. Reserve the limited casework and supervisory resources of
24 the Department and the courts expended to care for children in state

1 custody for those cases in which children do not have the option for
2 safe, stable care within their immediate family.

3 C. The Department of Human Services shall establish and operate
4 a relative support program pursuant to eligibility guidelines
5 established in this section and by rules of the Department
6 promulgated thereto which will divert children from the foster care
7 program operated by the Department. The relative support program
8 shall provide assistance to relatives within the third degree of
9 relationship to a child who are caring for the child on a full-time
10 basis, regardless of whether there is a court order granting custody
11 of the child to the relative.

12 D. Grandparents or other such relatives who qualify for and
13 participate in the relative support program are not required to be
14 certified as foster parents or to meet the foster care requirements
15 but shall be capable of providing a physically safe environment and
16 a stable, supportive home for the children under their care.

17 E. Upon request by grandparents or other relatives who are
18 caring for a child on a full-time basis, the Department shall
19 complete a needs assessment on such grandparents or other relatives
20 to determine the appropriate services and support needed by the
21 child and the grandparents or other such relatives.

22 F. Within available funding specified by this section, the
23 relative support program may provide grandparents or other suitable
24 relatives with:

- 1 1. Case management services;
- 2 2. Monthly stipends or other financial assistance, family
- 3 support and preservation services;
- 4 3. Flexible funds to enable the grandparents or other relatives
- 5 to meet unusual or crisis expenditures, including but not limited
- 6 to, making housing deposits, utility deposits, or to purchase beds,
- 7 clothing and food;
- 8 4. Subsidized child care and after school care;
- 9 5. Respite care;
- 10 6. Transportation;
- 11 7. Counseling;
- 12 8. Support groups;
- 13 9. Assistance in accessing parental child support payments;
- 14 10. Aid in accessing food stamps, Social Security and other
- 15 public benefits;
- 16 11. Information about legal options for relative caregivers;
- 17 12. Assistance for establishing a relative guardianship or
- 18 relative custodianship for the child;
- 19 13. Available volunteer attorney services;
- 20 14. Mediation/family group conferencing; and
- 21 15. Community-based services and state or federal programs
- 22 available to the child and relatives to support the child's safety,
- 23 growth and health development.
- 24

1 G. Children living with grandparents or other relatives within
2 the third degree of relationship to the child who are receiving
3 assistance pursuant to this section shall be eligible for Medicaid
4 coverage.

5 H. Subject to availability of funding, and as may be permitted
6 by federal law or regulations governing the Department of Human
7 Services' block grant for Temporary Assistance for Needy Families
8 (TANF), the Department is specifically authorized to provide funding
9 assistance from such block grant or other available funds for the
10 development and operation of the relative support program by
11 providing available funds which are not otherwise committed to or
12 necessary for the provision of the Statewide Temporary Assistance
13 Responsibility System. In addition, the Department may use any
14 other state, federal or private funds available to the Department
15 for such purposes to implement the provisions of this section.

16 I. 1. In order to qualify for the receipt of any monthly
17 stipend, the grandparent or other relative shall meet any
18 eligibility criteria determined by the Department of Human Services.

19 2. Within limits of available funding, monthly stipends may be
20 paid to grandparents or other relatives with the third degree of
21 relationship to the child who have physical full-time custody of a
22 child who would be unable to serve in that capacity without a
23 monthly stipend because of inadequate financial resources, thus
24 exposing the child to the trauma of potential placement in a shelter

1 or in foster care placement by the Department of Human Services.

2 The statewide average monthly rate for children in the legal custody
3 of grandparents or other relatives who are not certified as foster
4 homes shall not exceed the cost of providing foster care.

5 J. Additional assistance may be made available to qualified
6 grandparents or other relatives within the third degree of
7 relationship and children, based upon specific needs of the
8 grandparent or other relative of the child and the specific needs of
9 the child. Such assistance shall also be subject to available
10 funding.

11 K. The relative support program established by the Department
12 pursuant to this section may receive referrals from district courts
13 of this state, from social service or child advocate agencies, from
14 any other agency of this state, or other states or federal programs.
15 In addition, the relative support program may be accessed directly
16 by the grandparents or other relatives of the affected children by
17 application made to the Department of Human Services.

18 L. The Department of Human Services may provide any services
19 necessary to effectuate the purposes of this section by contract
20 with any person or with any public or private entity.

21 M. The provisions of this section shall also be available to a
22 legal guardian of a child who is within the fifth degree of relation
23 to the child.
24

1 N. The Department of Human Services shall, pursuant to the
2 provisions of the Administrative Procedures Act, promulgate any
3 rules necessary to implement the provisions of this section.

4 O. As a part of the relative support program, the Department
5 shall develop, publish, and distribute an informational brochure for
6 grandparents and other relatives who provide full-time care for
7 children. The information provided under the program authorized by
8 this section may include, but is not limited to, the following:

9 1. The benefits available to children and grandparents or other
10 relatives pursuant to this section providing full-time care;

11 2. The procedures to access the relative support program;

12 3. A list of support groups and resources located throughout
13 the state;

14 4. Such other information deemed necessary by the Department;
15 and

16 5. The brochure may be distributed through municipal and
17 district courts, hospitals, public health nurses, child protective
18 services, medical professional offices, county health departments,
19 elementary and secondary schools, senior citizens centers, public
20 libraries, local, city, county and state offices and community
21 action agencies selected by the Department.

22 ~~P. The Department of Human Services shall submit a report of~~
23 ~~the outcomes associated with the relative support program~~
24 ~~established pursuant to this section to the Speaker of the Oklahoma~~

1 ~~House of Representatives and the President Pro Tempore of the State~~
2 ~~Senate on or before January 15, 2002.~~

3 SECTION 15. AMENDATORY 10 O.S. 2021, Section 405.1, is
4 amended to read as follows:

5 Section 405.1. A. The Department of Human Services shall
6 collaborate with other appropriate agencies to develop a
7 comprehensive Oklahoma state plan for child care.

8 B. The comprehensive plan shall:

9 1. Meet all requirements for child care state plans as
10 periodically determined by the United States Department of Health
11 and Human Services Administration for Children and Families Child
12 Care Bureau; and

13 2. Be electronically submitted to the Speaker of the Oklahoma
14 House of Representatives and the President Pro Tempore of the Senate
15 on a biannual basis utilizing the centralized filing system provided
16 for in Section 378 of this act.

17 SECTION 16. AMENDATORY 10 O.S. 2021, Section 601.5, as
18 amended by Section 3, Chapter 347, O.S.L. 2024 (10 O.S. Supp. 2025,
19 Section 601.5), is amended to read as follows:

20 Section 601.5. A. The Oklahoma Commission on Children and
21 Youth shall appoint a Director who shall be a person having
22 experience in the operation and administration of services to
23 children and youth. Such Director shall be appointed for a term of
24

1 two (2) years and may be reappointed. Such Director may be
2 dismissed only for cause. The Director shall:

3 1. Employ such staff as may be necessary to perform the duties
4 of the Commission, with the advice and approval of the Commission;

5 2. Prepare an annual report summarizing the activities of the
6 Oklahoma Commission on Children and Youth for the previous fiscal
7 year, other reports as necessary and appropriate, and an annual
8 budget for the approval of the Commission;

9 3. Formulate and recommend rules and regulations for approval
10 or rejection by the Commission;

11 4. Serve as chief executive officer of the Oklahoma Commission
12 on Children and Youth; and

13 5. Act as agent as authorized for the Commission in the
14 performance of its duties.

15 B. The Director may periodically convene issue-specific task
16 groups for the purpose of improving services for children and youth.
17 A copy of any report or recommendations which result from meetings
18 of a task group shall be electronically provided to the Commission,
19 Governor, Speaker of the House of Representatives, President Pro
20 Tempore of the Senate, and the director of each state agency
21 affected by the report or recommendations utilizing the centralized
22 filing system provided for in Section 378 of this act.

1 SECTION 17. AMENDATORY 10 O.S. 2021, Section 601.6, as
2 amended by Section 1, Chapter 178, O.S.L. 2025 (10 O.S. Supp. 2025,
3 Section 601.6), is amended to read as follows:

4 Section 601.6. A. For purposes of this section, the term
5 "children and youth service system" shall have the same meaning as
6 it is defined in Section 600 of this title.

7 B. The Office of Juvenile System Oversight shall have the
8 responsibility of inspecting and investigating misfeasance and
9 malfeasance within the children and youth service system, as
10 directed by the Oklahoma Commission on Children and Youth, to
11 ascertain compliance with established responsibilities.

12 C. The Office shall conduct not less than one but not more than
13 two regular, periodic, unannounced inspections of state-operated
14 children's institutions and facilities annually. The Office is
15 further authorized to inspect privately operated children's
16 institutions and facilities that receive state or federal funding,
17 on a periodic basis or as needed.

18 D. The Office shall investigate complaints filed with the
19 Office regarding the children and youth service system.

20 E. The Office of Juvenile System Oversight shall have the
21 authority to:

22 1. Access all facilities within the children and youth service
23 system for the purpose of conducting inspections and investigations;
24

1 2. Examine and copy all records and budgets pertaining to the
2 children and youth service system and to review inspection reports
3 of the State Fire Marshal, State Department of Health, and any other
4 agency that accredits such institutions and facilities;

5 3. Interview the residents of institutions and facilities
6 within the children and youth service system;

7 4. Subpoena witnesses and hold public hearings;

8 5. Establish, in accordance with the Dispute Resolution Act,
9 Sections 1801 through 1813 of Title 12 of the Oklahoma Statutes, a
10 voluntary program for foster parents to mediate complaints
11 concerning the rights of foster parents, as provided for in Section
12 1-9-119 of Title 10A of the Oklahoma Statutes, that relate to
13 certain actions, inactions or decisions of the Department of Human
14 Services, the Department of Juvenile Justice, or child-placing
15 agencies that may adversely affect the safety and well-being of
16 children in the custody of the state;

17 6. Receive any complaint alleging that an employee of the
18 Department of Human Services or a child-placing agency has
19 threatened a foster parent with removal of a child from the foster
20 parent, harassed a foster parent, or refused to place a child in a
21 licensed or certified foster home, or disrupted a child placement as
22 retaliation or discrimination towards a foster parent who has:

23 a. filed a grievance pursuant to Section 1-9-120 of Title
24 10A of the Oklahoma Statutes,

- 1 b. provided information to any state official or
2 Department employee, or
3 c. testified, assisted, or otherwise participated in an
4 investigation, proceeding, or hearing against the
5 Department or child-placing agency.

6 The Office of Juvenile System Oversight shall forward the
7 complaints to the Office of Client Advocacy for investigation
8 pursuant to subsection D of Section 1-9-112 of Title 10A of the
9 Oklahoma Statutes. The Office of Juvenile System Oversight shall
10 work with the Office of Client Advocacy to ensure the complaints are
11 investigated and resolved in accordance with the grievance
12 procedures provided in Section 1-9-120 of Title 10A of the Oklahoma
13 Statutes. The provisions of this paragraph shall not apply to any
14 complaint by a foster parent regarding the result of a criminal,
15 administrative, or civil proceeding for a violation of any law,
16 rule, or contract provision by that foster parent, or the action
17 taken by the Department or a child-placing agency in conformity with
18 the result of any such proceeding;

19 7. ~~Issue~~ Electronically issue reports, utilizing the
20 centralized filing system provided for in Section 378 of this act,
21 to the Governor, Speaker of the House of Representatives, President
22 Pro Tempore of the Senate, Chief Justice of the Supreme Court of the
23 State of Oklahoma, any appropriate prosecutorial agency, the
24

1 director of the agency under consideration, and other persons as
2 necessary and appropriate; and

3 8. Provide recommendations to the Oklahoma Commission on
4 Children and Youth on or before May 1 of each year.

5 F. The Office of Juvenile System Oversight shall not release
6 information that would identify a person who makes a complaint to
7 the Office, unless a court of competent jurisdiction orders release
8 of the information for good cause shown.

9 SECTION 18. AMENDATORY 10 O.S. 2021, Section 601.6a, as
10 amended by Section 4, Chapter 347, O.S.L. 2024 (10 O.S. Supp. 2025,
11 Section 601.6a), is amended to read as follows:

12 Section 601.6a. The Office of Planning and Coordination for
13 Services to Children and Youth shall:

14 1. Convene meetings of public and private agencies that provide
15 services to children and youth for the purpose of facilitating and
16 implementing joint planning and service coordination among ~~said~~ such
17 agencies;

18 2. Prepare, with input from the Parent Partnership Board and
19 affected public and private agencies, a State Plan for Services to
20 Children and Youth for the upcoming three (3) years for the approval
21 of the Commission;

22 3. Make recommendations, to be included in the State Plan, for
23 the development and improvement of services provided to children and
24

1 youth, including homeless children and youth and youth at risk of
2 homelessness; and

3 4. ~~Issue~~ Electronically issue reports, utilizing the
4 centralized filing system provided for in Section 378 of this act,
5 to the Governor, Speaker of the House of Representatives, President
6 Pro Tempore of the Senate, Chief Justice of the Supreme Court of the
7 State of Oklahoma, public and private agencies, and such other
8 persons as necessary and appropriate.

9 SECTION 19. AMENDATORY 10 O.S. 2021, Section 601.6b, as
10 amended by Section 5, Chapter 347, O.S.L. 2024 (10 O.S. Supp. 2025,
11 Section 601.6b), is amended to read as follows:

12 A. On or before July 1, 2024, and on or before July 1 of every
13 third year thereafter, the Oklahoma Commission on Children and Youth
14 shall, utilizing the centralized filing system provided for in
15 Section 378 of this act, electronically transmit to the Director of
16 the Office of Management and Enterprise Services, the director of
17 each affected agency, the President Pro Tempore of the Senate, the
18 Speaker of the House of Representatives, and the Governor a copy of
19 the State Plan for Services to Children and Youth for the next three
20 (3) fiscal years.

21 B. The Office of Planning and Coordination, with the assistance
22 of the Office of Management and Enterprise Services and affected
23 agencies, may assemble topic-specific reports regarding services to
24 children, youth, and families to include program descriptions, past

1 and current expenditures, future budget requests, and a description
2 of program outcomes as directed by the Legislature or the
3 Commission.

4 SECTION 20. AMENDATORY 10 O.S. 2021, Section 601.6c, is
5 amended to read as follows:

6 Section 601.6c. A. The Office of Planning and Coordination for
7 Services to Children and Youth Steering Committee shall:

8 1. Review data and propose policy solutions relating to the
9 issue of child homelessness; and

10 2. Update the Oklahoma State Legislature on existing programs
11 to reduce child homelessness including, but not limited to, programs
12 administered or financed in whole or in part by any agency of this
13 state, nonprofit organizations, or private-sector entities.

14 B. The Steering Committee shall include an examination of the
15 following in its assessment and recommendations:

16 1. State trends in the number of children who are homeless or
17 are at risk of becoming homeless;

18 2. The state's role in providing services to children and youth
19 who are homeless or at risk for becoming homeless;

20 3. State policy regarding homeless children and youth; and

21 4. Existing services, resources, and capacity including, but
22 not limited to, the availability of publicly or privately provided
23 resources to children and youth who are homeless or at risk of
24 becoming homeless.

1 C. The Steering Committee shall, utilizing the centralized
2 filing system provided for in Section 378 of this act,
3 electronically submit a report to the President Pro Tempore of the
4 Senate and Speaker of the House of Representatives by December 31,
5 2015, and annually thereafter, describing assessment and
6 recommendations provided for by this act.

7 SECTION 21. AMENDATORY 10 O.S. 2021, Section 601.81, is
8 amended to read as follows:

9 Section 601.81. A. The departments that provide home-visiting
10 services may adopt and promulgate rules by which the home-visiting
11 program shall operate.

12 B. The departments shall provide a framework for service
13 delivery and accountability across all home-visiting programs to
14 promote a continuum of care that targets families at the greatest
15 risk for experiencing adverse childhood outcomes.

16 C. A home-visiting program shall provide face-to-face visits by
17 specially trained parent educators to provide home-based family
18 support services.

19 D. The departments shall ensure home-visiting programs work in
20 partnership to serve children, thereby maximizing the opportunities
21 for families to receive services that best fit their needs.

22 E. A home-visiting program shall achieve two or more of the
23 following:
24

1 1. Improve prenatal, maternal, infant or child health outcomes,
2 including, but not limited to, indicators such as preterm birth
3 rates, substance abuse, and tobacco use;

4 2. Reduce entry into the child welfare system;

5 3. Improve positive parenting and relationship skills;

6 4. Improve parental self-sufficiency, including increased
7 employment and educational attainment;

8 5. Improve children's readiness to succeed in school; and

9 6. Improve children's social-emotional, cognitive and language
10 and physical development, including efforts at early identification
11 of delays.

12 F. The departments shall work with community partners,
13 researchers, model developers, program providers and interested
14 private entities to develop processes that provide for a greater
15 ability to collaborate, as well as share best practices and
16 information as necessary and appropriate.

17 G. When the departments authorize funds through payments,
18 contracts or grants that are used for home-visiting programs, they
19 shall include language regarding home visiting in the funding
20 agreement contract or grant that is consistent with the provisions
21 of the Family Support Accountability Act.

22 H. State and local agencies administering home-visiting
23 programs as defined in this act, providers of home-visiting services
24 and experts in home-visiting program evaluation shall collaborate

1 with the Early Childhood Advisory Council created in Section 640.1
2 of Title 10 of the Oklahoma Statutes to:

3 1. Jointly develop an outcomes measurement plan which includes
4 indicators related to the objectives established in subsection E of
5 this section in order to monitor outcomes for children and families
6 receiving home-visiting programs and determine the efficiency of
7 agency program implementation;

8 2. Complete and, utilizing the centralized filing system
9 provided for in Section 378 of this act, electronically submit the
10 outcomes measurement plan for state-funded home-visiting programs by
11 January 1, 2016, to the Governor, the Legislature, the Oklahoma
12 Commission on Children and Youth and the Early Childhood Advisory
13 Council and complete and submit an updated plan every subsequent
14 five (5) years; and

15 3. Develop a process for collecting and reporting outcomes
16 measures to maintain privacy and security.

17 I. Beginning December 1, 2017, and annually thereafter, the
18 departments shall allocate resources to collaborate with the Early
19 Childhood Advisory Council to, utilizing the centralized filing
20 system provided for in Section 378 of this act, electronically
21 submit an annual outcomes report to the Governor and the
22 Legislature.

23 J. The annual outcomes report shall include:
24

1 1. Achieved outcomes as agreed upon and described in the
2 previously submitted outcomes measurement plan pursuant to
3 subsection H of this section for all state-funded family support
4 programs;

5 2. Combined program data regarding:

- 6 a. the cost per family served,
- 7 b. the number of families served,
- 8 c. demographic data on families served, and
- 9 d. the number and type of programs that the departments
10 have funded; and

11 3. Recommendations for quality improvements and future program
12 investments.

13 SECTION 22. AMENDATORY Section 2, Chapter 35, 1st
14 Extraordinary Session, O.S.L. 2023 (10 O.S. Supp. 2025, Section
15 802), is amended to read as follows:

16 Section 802. A. There is hereby created in the State Treasury
17 a revolving fund for the Administrative Office of the Courts to be
18 designated the "Family Representation and Advocacy Program Revolving
19 Fund". The fund shall be a continuing fund, not subject to fiscal
20 year limitations, and shall consist of all monies received by the
21 Administrative Office of the Courts for child and indigent parent,
22 legal guardian, and Indian custodian legal and interdisciplinary
23 representation services to be provided by the Family Representation
24 and Advocacy Program. The revolving fund shall include funds

1 appropriated to the fund, federal funds, gifts, donations, and
2 grants. All monies accruing to the credit of the fund are hereby
3 appropriated and may be budgeted and expended by the Administrative
4 Office of the Courts for the purpose of administering the Family
5 Representation and Advocacy Program and for the provision of legal
6 and interdisciplinary services to indigent parents and children by
7 and through the Family Representation and Advocacy Program. By
8 January 31, 2024, and by January 31 of each year thereafter, the
9 Administrative Office of the Courts shall disburse funds from the
10 Family Representation and Advocacy Program Revolving Fund to the
11 contracted eligible organization.

12 B. The Administrative Office of the Courts shall allocate and
13 expend funds from the Family Representation and Advocacy Program
14 Revolving Fund to provide for the necessary operating costs of the
15 Family Representation and Advocacy Program including court-appointed
16 legal and interdisciplinary representation to children, indigent
17 parents, legal guardians, or Indian custodians in proceedings
18 governed by the Oklahoma Children's Code, to the extent that funds
19 are available from the Family Representation and Advocacy Program
20 Revolving Fund. The Administrative Office of the Courts shall
21 allocate and expend these funds pursuant to the contract with the
22 eligible organization. The Administrative Office of the Courts may
23 charge an administrative fee as provided in subsection D of this
24 section for administering the contract.

1 C. The eligible organization that contracts to operate and
2 manage the Family Representation and Advocacy Program to provide
3 legal and interdisciplinary services shall maintain books and
4 records in accordance with generally accepted accounting principles.
5 The books and records shall account for the receipt and expenditure
6 of all funds paid pursuant to contract. Books and records shall be
7 maintained for a period of five (5) years from the close of the
8 fiscal year of the contract period. The State Auditor and Inspector
9 may audit each organization annually. The necessary expense of each
10 audit including but not limited to the cost of typing, printing, and
11 binding shall be paid from funds of the organization.

12 D. The Administrative Office of the Courts may use up to two
13 and one-half percent (2.5%) of the funds deposited in the Family
14 Representation and Advocacy Program Revolving Fund in any given
15 fiscal year to provide financial support staff, financial data entry
16 staff and facilities, and operating assistance for the Family
17 Representation Program Advisory Board.

18 E. An annual report issued by the Administrative Office of the
19 Courts outlining performance measures for the Family Representation
20 and Advocacy Program and recommendations for ongoing appropriations
21 shall be electronically transmitted to the Governor, the President
22 Pro Tempore of the Oklahoma Senate and the Speaker of the House of
23 Representatives no later than December 31 of each year utilizing the
24 centralized filing system provided for in Section 378 of this act.

1 SECTION 23. AMENDATORY 10 O.S. 2021, Section 1150.2, as
2 last amended by Section 10, Chapter 347, O.S.L. 2024 (10 O.S. Supp.
3 2025, Section 1150.2), is amended to read as follows:

4 Section 1150.2. A. There is hereby re-created until July 1,
5 2026, in accordance with the Oklahoma Sunset Law, the Child Death
6 Review Board within the Oklahoma Commission on Children and Youth.
7 The Board shall have the power and duty to:

8 1. Conduct case reviews of deaths and near deaths of children
9 in this state;

10 2. Develop accurate statistical information and identification
11 of deaths of children due to abuse and neglect;

12 3. Improve the ability to provide protective services to the
13 surviving siblings of a child or children who die of abuse or
14 neglect and who may be living in a dangerous environment;

15 4. Improve policies, procedures and practices within the
16 agencies that serve children including the child protection system;

17 5. Enter into agreements with regional teams established by the
18 Board to carry out such duties and responsibilities as the Board
19 shall designate including assigned cases in the geographical area
20 for that regional team. The Commission, with the advice of the
21 Board, shall promulgate rules necessary for the implementation of
22 the provisions of this paragraph; and

23 6. Enter into agreements with other state, local, or private
24 entities as necessary to carry out the duties of the Board

1 including, but not limited to, conducting joint reviews with the
2 Domestic Violence Fatality Review Board on domestic violence cases
3 involving child death or child near-death incidents.

4 B. In carrying out its duties and responsibilities the Board
5 shall:

6 1. Establish criteria for cases involving the death or near
7 death of a child subject to specific, in-depth review by the Board.
8 As used in this section, the term "near death" means a child is in
9 serious or critical condition, as certified by a physician, as a
10 result of abuse or neglect;

11 2. Conduct a specific case review of those cases where the
12 cause of death or near death is or may be related to abuse or
13 neglect of a child;

14 3. Establish and maintain statistical information related to
15 the deaths and near deaths of children including, but not limited
16 to, demographic and medical diagnostic information;

17 4. Establish procedures for obtaining initial information
18 regarding near deaths of children from the Department of Human
19 Services and law enforcement agencies;

20 5. Review the policies and procedures of the child protection
21 system and make specific recommendations to the entities comprising
22 the system as to actions necessary for improvement;

23 6. Review the extent to which the state child protection system
24 is coordinated with foster care and adoption programs and evaluate

1 whether the state is efficiently discharging its child protection
2 responsibilities under the federal Child Abuse Prevention and
3 Treatment Act State Plan;

4 7. As necessary and appropriate, for the protection of the
5 siblings of a child who dies and whose siblings are deemed to be
6 living in a dangerous environment, refer specific cases to the
7 Department of Human Services or the appropriate district attorney
8 for further investigation;

9 8. Request and obtain a copy of all records and reports
10 pertaining to a child whose case is under review including, but not
11 limited to:

- 12 a. the report of the medical examiner,
 - 13 b. hospital records,
 - 14 c. school records,
 - 15 d. court records,
 - 16 e. prosecutorial records,
 - 17 f. local, state, and federal law enforcement records
18 including, but not limited to, the Oklahoma State
19 Bureau of Investigation (OSBI),
 - 20 g. fire department records,
 - 21 h. State Department of Health records including birth
22 certificate records,
 - 23 i. medical and dental records,
- 24

1 j. Department of Mental Health and Substance Abuse
2 Services and other mental health records,
3 k. emergency medical service records,
4 l. files of the Department of Human Services, and
5 m. records in the possession of the Domestic Violence
6 Fatality Review Board when conducting a joint review
7 pursuant to paragraph 6 of subsection A of this
8 section.

9 Confidential information provided to the Board shall be
10 maintained in a confidential manner as required by state and federal
11 law. Any person damaged by disclosure of such information by the
12 Board, its regional teams or their members, not authorized by law,
13 may maintain an action for damages, costs, and attorney fees;

14 9. Maintain all confidential information, documents and records
15 in possession of the Board as confidential and not subject to
16 subpoena or discovery in any civil or criminal proceedings;
17 provided, however, information, documents and records otherwise
18 available from other sources shall not be exempt from subpoena or
19 discovery through those sources solely because such information,
20 documents and records were presented to or reviewed by the Board;

21 10. Conduct reviews of specific cases of deaths and near deaths
22 of children and request the preparation of additional information
23 and reports as determined to be necessary by the Board including,
24

1 but not limited to, clinical summaries from treating physicians,
2 chronologies of contact, and second-opinion autopsies;

3 11. ~~Report~~ Electronically report, utilizing the centralized
4 filing system provided for in Section 378 of this act, if
5 recommended by a majority vote of the Board, to the President Pro
6 Tempore of the Senate and the Speaker of the House of
7 Representatives any gross neglect of duty by any state officer or
8 state employee, or any problem within the child protective services
9 system discovered by the Board while performing its duties;

10 12. Recommend, when appropriate, amendment of the cause or
11 manner of death listed on the death certificate; and

12 13. Subject to the approval of the Commission, exercise all
13 incidental powers necessary and proper for the implementation and
14 administration of the Child Death Review Board Act.

15 C. The review and discussion of individual cases of death or
16 near death of a child shall be conducted in executive session and in
17 compliance with the confidentiality requirements of Section 1-6-102
18 of Title 10A of the Oklahoma Statutes. All other business shall be
19 conducted in accordance with the provisions of the Oklahoma Open
20 Meeting Act. All discussions of individual cases and any writings
21 produced by or created for the Board and recommended by the Board,
22 as the result of a review of an individual case of the death or near
23 death of a child, shall be privileged and shall not be admissible in
24 evidence in any proceeding. The Board shall periodically conduct

1 meetings to discuss organization and business matters and any
2 actions or recommendations aimed at improvement of the child
3 protection system which shall be subject to the Oklahoma Open
4 Meeting Act. Part of any meeting of the Board may be specifically
5 designated as a business meeting of the Board subject to the
6 Oklahoma Open Meeting Act.

7 D. 1. The Board shall submit an annual statistical report on
8 the incidence and causes of death and near death of children in this
9 state for which the Board has completed its review during the past
10 calendar year, including its recommendations, to the Oklahoma
11 Commission on Children and Youth on or before May 1 of each year.
12 The Board shall also prepare and make available to the public, on an
13 annual basis, a report containing a summary of the activities of the
14 Board relating to the review of deaths and near deaths of children,
15 the extent to which the state child protection system is coordinated
16 with foster care and adoption programs, and an evaluation of whether
17 the state is efficiently discharging its child protection
18 responsibilities. The report shall be completed no later than
19 December 31 of each year.

20 2. The Commission shall review the report of the Board and, as
21 appropriate, incorporate the findings and recommendations into the
22 State Plan for Services to Children and Youth.

23 SECTION 24. AMENDATORY 10 O.S. 2021, Section 1411.1, is
24 amended to read as follows:

1 Section 1411.1. A. Beginning January 1, 1999, and on January 1
2 each year thereafter, the Department of Human Services shall,
3 utilizing the centralized filing system provided for in Section 378
4 of this act, electronically submit to the Governor and the
5 Legislature an annual report of the administrative activities of the
6 Developmental Disabilities Services Division. The report shall
7 include a clear and complete description of the administrative
8 procedures utilized by the Developmental Disabilities Services
9 Division including, but not limited to:

- 10 1. Accounting and budgeting practices;
- 11 2. Client statistical data gathering and management;
- 12 3. Data processing procedures;
- 13 4. Development and maintenance of program service plans;
- 14 5. Provide contracting and evaluation procedures;
- 15 6. Incorporation of advisory committee assessment
- 16 recommendations; and
- 17 7. Any other area of activity that is not related to direct
- 18 delivery of services to applicants and clients.

19 B. The report shall also include, but not be limited to,
20 previous year performance data on:

- 21 1. The number of clients:
 - 22 a. who applied for service,
 - 23 b. accepted for service,
 - 24 c. for whom plans for service were approved or denied,

1 d. receiving services by classification of service
2 objective, and

3 e. who were provided a type of service that differed from
4 the objective contained in the client's service plan;

5 2. The cost of services;

6 3. The total cost for clients who received services;

7 4. The average cost and percentile cost distribution of
8 purchased services for all clients served; and

9 5. a. The average cost for all clients who received:

10 (1) at least eight hours of care,

11 (2) between eight and sixteen hours of care, and

12 (3) between sixteen and twenty-four hours of care.

13 b. In determining such averages, the Department shall
14 include, but not be limited to, the following costs:

15 (1) laboratory and x-ray services,

16 (2) dental services,

17 (3) occupational therapy,

18 (4) speech therapy,

19 (5) physical therapy,

20 (6) doctor services,

21 (7) nursing services,

22 (8) hospitalization,

23 (9) optometry services,

24 (10) housing services,

- 1 (11) utilities,
2 (12) food,
3 (13) transportation,
4 (14) clothing, and
5 (15) administrative costs of providing such services.

6 C. Beginning January 1, 1999, and on or before January 1 each
7 year thereafter, the Department shall prepare a report outlining the
8 Department's two-year plan for providing individualized services to
9 clients with developmental disabilities. The report shall include
10 any new federal mandates and an estimate of any costs associated
11 with such mandates, and recommendations for any needed statutory or
12 constitutional changes. The Commission for Human Services shall
13 review, amend if necessary and approve the report. The Department
14 shall, utilizing the centralized filing system provided for in
15 Section 378 of this act, electronically transmit the approved report
16 to the Governor, the President Pro Tempore of the Senate, and the
17 Speaker of the House of Representatives.

18 SECTION 25. AMENDATORY 10A O.S. 2021, Section 1-2-111,
19 is amended to read as follows:

20 Section 1-2-111. A. The Department of Human Services may,
21 subject to available funding and in consultation with an evaluation
22 team created pursuant to this section, create a pilot program to
23 improve socioeconomic outcomes for children in state custody.

24 B. If implemented by the Department, the pilot program shall:

1 1. Identify the populations of children in state custody and
2 the characteristics of those children including, but not limited to,
3 populations in which parental drug ~~and/or~~ or alcohol abuse, mental
4 illness, mental ~~and/or~~, or physical disability and domestic abuse
5 are an issue;

6 2. Develop and design programs to provide services to children
7 in state custody;

8 3. Develop methods for coordinating state and local services to
9 assist children and their families;

10 4. Allow and provide for participation of both urban and rural
11 concerns in developing and designing such programs;

12 5. Monitor, evaluate and review the programs implemented to
13 serve populations of children in state custody; and

14 6. Include such other areas, programs, services, and
15 information deemed necessary by the Department to provide a
16 comprehensive assessment of the needs and programs necessary to
17 provide assistance to children in state custody.

18 C. An evaluation team shall determine the effectiveness of the
19 pilot program and ~~make~~, utilizing the centralized filing system
20 provided for in Section 378 of this act, electronically submit a
21 report to the Legislature and to the Department annually thereafter.
22 Such report shall cover:

23 1. Effective programs that will serve children in state
24 custody;

1 2. The potential for statewide expansion of programs;
2 3. Funding sources from public and private partnerships;
3 4. Training of professionals to serve children in state
4 custody;
5 5. Monitoring, evaluating, and reviewing continued
6 effectiveness of such programs;
7 6. Special needs of children in state custody from parental
8 addiction to drugs and alcohol and parental mental illness and
9 mental ~~and/or~~ or physical disability and from domestic abuse; and
10 7. Recommendations regarding the issuance of grants and
11 contracts for serving such populations.
12 D. The evaluation team shall consist of not more than two (2)
13 representatives from the following entities who have expertise in
14 child abuse prevention, juvenile delinquency, or a related field and
15 who have an understanding of program evaluation techniques:
16 1. The Department of Human Services;
17 2. The Department of Mental Health and Substance Abuse
18 Services;
19 3. The Oklahoma Commission on Children and Youth;
20 4. A statewide organization advocating for children's issues;
21 5. A statewide organization representing children in court;
22 6. The University of Oklahoma;
23 7. Oklahoma State University; and
24 8. The Office of Juvenile Affairs.

1 E. Upon receipt of recommendations from the evaluation team
2 established pursuant to this section, which indicate that the
3 expansion of the pilot project on a statewide basis would be
4 economically feasible and practical, the Department for Human
5 Services may promulgate rules for developing a statewide program
6 based on the findings of the pilot program.

7 F. The Department may:

8 1. Contract for services necessary to carry out the duties of
9 the Department pursuant to the provisions of this section; and

10 2. Accept the services of volunteer workers or consultants,
11 provided no compensation be provided for such services.

12 G. The Department of Human Services may promulgate rules to
13 implement the provisions of this section.

14 SECTION 26. AMENDATORY 10A O.S. 2021, Section 1-6-105,
15 is amended to read as follows:

16 Section 1-6-105. A. When used in this section, unless the
17 context otherwise requires:

18 1. "Abuse" means harm or threatened harm or failure to protect
19 from harm or threatened harm to the health, safety, or welfare of a
20 child by a person responsible for the child, including but not
21 limited to nonaccidental physical or mental injury, sexual abuse, or
22 sexual exploitation. Provided, however, that nothing contained in
23 this act shall prohibit any parent from using ordinary force as a
24

1 means of discipline including, but not limited to, spanking,
2 switching, or paddling;

3 2. "Identifying information" means information that identifies
4 an individual, including the individual's:

5 a. name, address, date of birth, occupation, place of
6 employment and telephone number,

7 b. employer identification number, mother's maiden name,
8 Social Security number, or any identification number
9 issued by a governmental entity, or

10 c. unique biometric data, including the fingerprints,
11 voice print, or retina or iris image of the
12 individual;

13 3. "Near death" means a child is in serious or critical
14 condition as verified by a physician, a registered nurse or other
15 licensed health care provider. Verification of medical condition of
16 a child may be given in person or by telephone, mail, electronic
17 mail or facsimile;

18 4. "Neglect" means:

19 a. the failure or omission to provide any of the
20 following:

21 (1) adequate nurturance and affection, food,
22 clothing, shelter, sanitation, hygiene, or
23 appropriate education,

24 (2) medical, dental, or behavioral health care,

- 1 (3) supervision or appropriate caretakers, or
2 (4) special care made necessary by the physical or
3 mental condition of the child,

4 b. the failure or omission to protect a child from
5 exposure to any of the following:

- 6 (1) the use, possession, sale, or manufacture of
7 illegal drugs,
8 (2) illegal activities, or
9 (3) sexual acts or materials that are not age-
10 appropriate, or

11 c. abandonment.

12 Nothing in this paragraph shall be construed to mean a child is
13 abused or neglected for the sole reason the parent, legal guardian
14 or person having custody or control of a child, in good faith,
15 selects and depends upon spiritual means alone through prayer, in
16 accordance with the tenets and practice of a recognized church or
17 religious denomination, for the treatment or cure of disease or
18 remedial care of such child. Nothing contained in this paragraph
19 shall prevent a court from immediately assuming custody of a child,
20 pursuant to the Oklahoma Children's Code, and ordering whatever
21 action may be necessary, including medical treatment, to protect the
22 child's health or welfare; and

23 5. "Person responsible for a child" means "person responsible
24 for a child's health, safety or welfare" as provided in Section 1-1-

1 105 of this title but shall also include any person who has
2 voluntarily accepted the duty of supervising a child or who has been
3 directed or authorized to supervise a child by the person
4 responsible for the child's health, safety or welfare.

5 B. Department of Human Services information shall be maintained
6 by the Department as required by federal law as a condition of the
7 allocation of federal monies to the state. All exceptions for the
8 public release of Department information shall be construed as
9 openly as possible consistent with federal law.

10 C. If the Department has reasonable cause to suspect that a
11 child death or near death is the result of abuse or neglect, the
12 Department shall, utilizing the centralized filing system provided
13 for in Section 378 of this act, electronically notify the Governor,
14 the President Pro Tempore of the Senate, and the Speaker of the
15 House of Representatives or their designees of the initial
16 investigative findings of the child protective services review.
17 Notice shall be communicated securely no later than twenty-four (24)
18 hours after determination of the reasonable suspicion.

19 D. Once the Department has reasonable cause to suspect that a
20 child death or near death is the result of abuse or neglect, the
21 Department shall, upon request, release to the public the following
22 information:

- 23 1. The age and sex of the child;
- 24 2. The date of death or near-death incident;

1 3. Whether the child was in the custody of the Department at
2 the time of the child's death or near death;

3 4. Whether the child resided with the child's parent, guardian,
4 or person responsible for the care of the child at the time of the
5 child's death or near death; and

6 5. Whether the child was under the supervision of the child's
7 parent, guardian, or person responsible for the child at the time of
8 the death or near death of the child.

9 E. If, after a child abuse or neglect investigation is
10 completed, the Department determines a child's death or near death
11 was the result of abuse or neglect, the Department shall, upon
12 request, release to the public the following information:

13 1. The information described in subsection D of this section;

14 2. The name of the abused or neglected child; provided, that
15 the name shall not be disclosed in a case of a near death unless the
16 name has previously been disclosed;

17 3. The name of the offender if due process has been satisfied
18 or if the offender has been arrested and charged with a crime
19 associated with the death or near death of the child;

20 4. In cases in which the death or near death of the child
21 occurred while the child was living with the child's parent,
22 guardian, or person responsible for the care of the child:

23 a. the circumstances of the death or near death of the
24 child,

- 1 b. a summary of the child's involvement with the
2 Department while the child was living with the parent,
3 guardian, or person responsible for the care of the
4 child,
5 c. the disposition of any report created as a result of
6 the child's involvement with the Department while the
7 child was living with the parent, guardian, or person
8 responsible for the care of the child,
9 d. a description of the services, if any, that were
10 provided by the Department as a result of the child's
11 involvement with the Department while the child was
12 living with the parent, guardian, or person
13 responsible for the care of the child,
14 e. the results of any risk or safety assessment completed
15 by the Department relating to the child,
16 f. the date each report was assessed and completed,
17 g. whether the Department confirmed abuse or neglect,
18 h. whether any reports were referred to the district
19 attorney and the date of the referrals,
20 i. the dates of any judicial proceedings prior to the
21 death or near death of the child,
22 j. a summary of the recommendations submitted by each
23 participant at the judicial proceedings including
24

- 1 recommendations made at the hearing as they relate to
2 custody or placement of the child,
- 3 k. the rulings of the court,
- 4 l. specific recommendations made and services rendered by
5 the Department described in any progress reports of a
6 pending case submitted to the court,
- 7 m. a summary of the status of the child's case at the
8 time of the death or near death, including, without
9 limitation, whether the child's case was closed by the
10 Department before the death or near death,
- 11 n. similar information for any other investigations
12 concerning that child, or other children while living
13 in the same household,
- 14 o. a summary of statutory and policy violations,
15 including notice of any personnel actions taken by the
16 Department, and
- 17 p. recommendations for policy changes or practice
18 improvements based upon the interactions between the
19 Department, the child who died or nearly died and the
20 person responsible for the care of the child; and

21 5. In cases in which the death or near death of the child
22 occurred while the child was in the custody of the Department and
23 the person responsible for the supervision of the child was the
24 suspected perpetrator, the following information:

- a. the circumstances of the death or near death of the child,
- b. information regarding the certification of the person with whom the child was residing at the time of death or near death,
- c. a summary of any previous reports of abuse or neglect investigated by the Department relating to the person responsible for the supervision of the child, including the disposition of any investigation resulting from a report,
- d. any policy violations, including notice of any action taken by the Department regarding a violation,
- e. records of any training completed by the person responsible for the supervision of the child,
- f. similar information for any other investigations concerning that child, or other children while living in the same household,
- g. a summary of licensing actions taken by the Department, and
- h. recommendations for policy changes or practice improvements based upon the interactions between the Department and the child who died or nearly died.

F. If the Department is unable to release the information required by subsection E of this section before forty-five (45) days

1 after receiving a report of the death or near death of a child, the
2 Department shall notify the person requesting the information of the
3 delay and provide the reason for the delay and the expected date the
4 Department will release the report.

5 G. At any time subsequent to seven (7) days, but no more than
6 forty-five (45) days, of the date the person responsible for the
7 child has been criminally charged, the district attorney, the
8 district court clerk, and the judge having jurisdiction over the
9 case, upon request, shall release certain information to the public
10 as follows:

11 1. The dates of any relevant judicial proceedings prior to the
12 death or near death of the child;

13 2. Recommendations submitted by each participant in writing at
14 the relevant judicial proceedings including recommendations made at
15 the hearing as they relate to custody or placement of a child; and

16 3. The relevant rulings of the court.

17 H. 1. At any time subsequent to seven (7) days after the date
18 the person responsible for the child has been criminally charged,
19 the Oklahoma Commission on Children and Youth shall, upon request,
20 release certain information to the public within sixty (60) days of
21 the request as follows:

22 a. a confirmation shall be provided by the Commission as
23 to whether a report of suspected child abuse or
24 neglect has been made concerning the alleged victim or

- 1 other children while living in the same household and
2 whether an investigation has begun,
- 3 b. confirmation shall be provided by the Commission as to
4 whether previous reports of suspected child abuse or
5 neglect have been made concerning the alleged victim
6 of the death or near death or against the person
7 responsible for the child and the dates thereof, a
8 summary of those previous reports, the dates and
9 outcome of any investigations or actions taken by the
10 Department and the Commission in response to any
11 previous report of child abuse or neglect, and the
12 specific recommendation made to the district attorney
13 and any subsequent action taken by the district
14 attorney,
- 15 c. the dates of any relevant judicial proceedings prior
16 to the death or near death of the child,
- 17 d. recommendations submitted by the Department and the
18 Commission shall be provided in writing including
19 relevant recommendations made at the hearing as they
20 relate to custody or placement of a child,
- 21 e. the relevant rulings of the court, and
- 22 f. any relevant information listed in subsections E and G
23 of this section.
- 24

1 2. Specific recommendations made by the Commission described in
2 any progress reports of a pending case submitted to the court may be
3 disclosed by the Commission.

4 I. Unless specifically authorized by this section, any public
5 disclosure of information pursuant to this section shall not:

6 1. Identify or provide any identifying information of any
7 complainant or reporter of child abuse or neglect;

8 2. Identify or provide any identifying information of the
9 victim, the child victim's siblings or other children living in the
10 same household, the parent or other person responsible for the
11 child, or any other member of the household, or the person
12 criminally charged or Department employees, agents or contractors.
13 Nonspecific descriptors, such as father, mother, stepparent, or
14 sibling may be used; or

15 3. Violate other state or federal law as required pursuant to
16 subsection A of Section 1-6-102 of this title.

17 J. Any and all statements, affirmations, gestures, or conduct
18 expressing apology, sympathy, commiseration, condolence, compassion,
19 sorrow or a general sense of benevolence which are made by the
20 Department of Human Services or an employee of the Department to the
21 public or to the family or foster parents of a child which relate
22 solely to discomfort, pain, suffering, injury, tragedy, near death
23 or death of a child shall be inadmissible as evidence of an
24

1 admission of liability or wrongdoing or as evidence of an admission
2 against interest.

3 SECTION 27. AMENDATORY 10A O.S. 2021, Section 1-8-111,
4 is amended to read as follows:

5 Section 1-8-111. A. The Department of Human Services shall
6 provide each youth in its custody fourteen (14) years and older an
7 annual credit report. The Department shall inform the court with
8 jurisdiction over the youth of any inaccuracies in a credit report
9 displaying evidence of identity theft or any other activity
10 fraudulently made on behalf of the youth in custody. The Department
11 may implement the requirements of this section in stages beginning
12 with youth in the independent living program whose credit rating may
13 inhibit employment and housing opportunities when the child is no
14 longer in custody.

15 ~~B. Within one (1) year of November 1, 2014, the Department of~~
16 ~~Human Services shall submit annual reports on the implementation of~~
17 ~~the provisions of this section to the Chair and Vice Chair of the~~
18 ~~Senate Health and Human Services Committee and the Chair and Vice~~
19 ~~Chair of the House Human Services Committee. Such reports shall~~
20 ~~include, but not be limited to, the number of youths in the~~
21 ~~Department's custody receiving credit score reports, the frequency~~
22 ~~of such reports and administrative issues faced by the Department in~~
23 ~~the implementation of this section. Such reports shall continue to~~
24 ~~be issued by the Department until November 1, 2018.~~

SECTION 28. AMENDATORY 10A O.S. 2021, Section 1-9-105,

is amended to read as follows:

Section 1-9-105. A. The Department of Human Services shall carefully define the children and youth programs of the Department as to their purpose, the population served, and performance expectations. Planning for new programs and services and major modifications to existing ones shall include evaluation of their effect on other programs and services and communication and coordination with other public and private children and youth service providers in order to assure successful and cost-effective implementation of the program. An evaluation component that includes monitoring and evaluation of client outcomes shall be incorporated into all of the Department's programs and services to children and youth, whether provided directly by the agency or through a contract.

1. All programs and services shall be designed to ensure the accessibility of the program to the persons served. Provision for transportation, child care and similar services necessary in order to assist persons to access the services shall be made. If the service is provided in an office setting, the service shall be available during the evening.

2. Programs and services shall be targeted to the areas of the state having the greatest need for them. The programs and services shall be designed to meet the needs of the area in which they are

1 located. Programs and services intended for statewide
2 implementation shall be implemented first in those areas that have
3 the greatest need for them.

4 3. As a part of the Department's program planning and
5 monitoring processes, the Department shall examine its programs and
6 services to children and youth to ensure that the practices within
7 them do not operate to detriment of minority children and youth.

8 4. All child care services and facilities operated by the
9 Department shall be accredited by the National Council on
10 Accreditation, when applicable.

11 B. The Department shall develop a five-year plan for children
12 and youth services provided by the agency. The plan shall be
13 reviewed annually and modified as necessary. Agency budget
14 recommendations of the Department for services to children and youth
15 shall be based upon documented needs, and the development of budget
16 recommendations and priorities shall be closely integrated with
17 agency and interagency program planning and management.

18 C. The Department shall annually review its programs and
19 services and, utilizing the centralized filing system provided for
20 in Section 378 of this act, electronically submit a report to the
21 Governor, the Speaker of the House of Representatives, the President
22 Pro Tempore of the Senate, and the Supreme Court of the State of
23 Oklahoma, analyzing and evaluating the effectiveness of the programs
24

1 and services being carried out by the Department. Such report shall
2 include, but not be limited to:

3 1. An analysis and evaluation of programs and services
4 continued, established, and discontinued during the period covered
5 by the report;

6 2. A description of programs and services which should be
7 implemented;

8 3. Statutory changes necessary;

9 4. Relevant information concerning the number of children in
10 the Department's custody during the period covered by the report;
11 and

12 5. Such other information as will enable a user of the report
13 to ascertain the effectiveness of the Department's programs and
14 services.

15 D. The Department shall, utilizing the centralized filing
16 system provided for in Section 378 of this act, on or before January
17 31 of each year, electronically submit a report to the Governor,
18 President Pro Tempore of the Senate, Speaker of the House of
19 Representatives, and the Oklahoma Supreme Court which shall include:

20 1. Information concerning the number of children in the
21 Department's custody that are placed in nonfamily settings,
22 including but not limited to the types of settings utilized and the
23 duration of the children's stays in such settings;

1 2. A census of approved foster homes and the number of children
2 placed in those homes and a comparative review of foster home room-
3 and-board rates; and

4 3. Information concerning child welfare staff workloads and
5 comparative salaries for such staff.

6 SECTION 29. AMENDATORY 10A O.S. 2021, Section 1-9-120,
7 as amended by Section 2, Chapter 28, O.S.L. 2023 (10A O.S. Supp.
8 2025, Section 1-9-120), is amended to read as follows:

9 Section 1-9-120. A. The Office of Client Advocacy and child-
10 placing agencies shall each establish grievance procedures for
11 foster parents with whom the Department of Human Services or child-
12 placing agencies contract. The Office of Client Advocacy shall work
13 with the Office of Juvenile System Oversight to track foster parent
14 complaints through the grievance procedures and ensure a resolution
15 of the complaint.

16 B. The procedures established shall contain the following
17 minimum requirements:

18 1. Resolution of disputes with foster parents shall be
19 accomplished quickly, informally, and at the lowest possible level,
20 but shall provide for access to impartial arbitration by management
21 level personnel within the central office;

22 2. Prompt resolution of grievances no more than sixty (60) days
23 after receipt of the grievance or complaint; and
24

1 3. Notification to all foster parents upon placement of a child
2 about the grievance procedures and how to file a complaint.

3 C. The Office of Client Advocacy and each child-placing agency
4 shall designate one employee at the central office to receive and
5 process foster care grievances received by the Office of Juvenile
6 System Oversight.

7 D. The Office of Client Advocacy and each child-placing agency
8 shall maintain records of each grievance filed as well as summary
9 information about the number, nature and outcome of all grievances
10 filed. The Office of Client Advocacy and the Office of Juvenile
11 System Oversight shall compile an annual report ~~for~~ to be
12 electronically submitted to the Legislature, utilizing the
13 centralized filing system provided for in Section 378 of this act,
14 that details the number of complaints received, the number of
15 complaints resolved, the nature of the complaints and any other
16 information requested by the Legislature. The Office of Client
17 Advocacy and child-placing agencies shall keep records of grievances
18 separate and apart from other foster parent files. A foster parent
19 or a former foster parent shall have a right of access to the record
20 of grievances such person filed after the procedure has been
21 completed.

22 E. 1. Each foster parent shall have the right, without fear of
23 reprisal or discrimination, to present grievances with respect to
24 the providing of foster care services.

1 2. The Department of Human Services shall promptly initiate a
2 plan of corrective discipline including, but not limited to,
3 dismissal of any Department employee or cancellation or nonrenewal
4 of the contract of a child-placing agency determined by the state
5 agency, through an investigation to have retaliated or discriminated
6 against a foster parent who has:

7 a. filed a grievance pursuant to the provisions of this
8 section,

9 b. provided information to any official or Department
10 employee, or

11 c. testified, assisted, or otherwise participated in an
12 investigation, proceeding or hearing against the
13 Department or the child-placing agency.

14 3. The provisions of this subsection shall not be construed to
15 include any complaint by the foster parent resulting from an
16 administrative, civil, or criminal action taken by the employee or
17 child-placing agency for violations of law or rules, or contract
18 provisions by the foster parent.

19 SECTION 30. AMENDATORY 10A O.S. 2021, Section 2-7-311,
20 is amended to read as follows:

21 Section 2-7-311. A. The Office of Juvenile Affairs shall from
22 time to time, but not less often than annually, review its programs
23 and services and, utilizing the centralized filing system provided
24 for in Section 378 of this act, electronically submit a report to

1 the Governor, the Speaker of the House of Representatives, the
2 President Pro Tempore of the Senate, the Supreme Court of the State
3 of Oklahoma, the Board of Juvenile Affairs, and the Oklahoma
4 Commission on Children and Youth analyzing and evaluating the
5 effectiveness of its programs and services. The report shall
6 include, but not be limited to:

7 1. An analysis and evaluation of programs and services
8 continued, established, and discontinued during the period covered
9 by the report;

10 2. A description of programs and services which should be
11 implemented;

12 3. Relevant information concerning the number of children
13 comprising the population of any facility operated by the Office of
14 Juvenile Affairs during the period covered by the report;

15 4. An analysis and evaluation, by age, of the number of
16 children assessed for literacy skills, the number who failed to
17 demonstrate age-appropriate reading skills, and the number who were
18 required to participate in a literacy skills improvement program;
19 and

20 5. Such other information as will enable a user of the report
21 to ascertain the effectiveness of the programs, services, and
22 facilities.

23 B. The Office of Juvenile Affairs shall annually analyze and
24 evaluate the implementation of the Youthful Offender Act, the

1 effectiveness of the Youthful Offender Act and any problems which
2 have occurred which have limited the effectiveness of the Youthful
3 Offender Act. The annual analysis and evaluation shall be
4 incorporated in the report required by subsection A of this section.

5 SECTION 31. AMENDATORY 10A O.S. 2021, Section 2-7-606,
6 is amended to read as follows:

7 Section 2-7-606. A. The Office of Juvenile Affairs shall have
8 the supervision, management, operation, and control of the
9 institution for children located at Tecumseh, formerly known and
10 designated as Girls' Town and now known as Central Oklahoma Juvenile
11 Center, and all property, equipment and supplies related thereto.

12 B. The Central Oklahoma Juvenile Center shall maintain
13 facilities and bed-space capacity for programs that are consistent
14 with providing statewide juvenile justice and delinquency prevention
15 services.

16 C. It shall be the duty of the State Fire Marshal and the State
17 Commissioner of Health, to cause regular, periodic, not less than
18 quarterly, unannounced inspections of ~~said~~ such institution,
19 utilizing adequately trained and qualified inspection personnel, to
20 determine and evaluate conditions and programs being maintained and
21 carried on at ~~said~~ such institution in their respective areas of
22 agency jurisdiction. Such inspections shall include, but not be
23 limited to, the following: compliance with minimum fire, life, and
24 health safety standards; compliance with minimum standards governing

1 general sanitation of the institution, with particular emphasis upon
2 food storage, preparation, serving and transportation, respectively.
3 Reports of such inspections will be made in writing, itemizing and
4 identifying any deficiencies and recommending corrective measures,
5 and shall be electronically filed with the Board of Juvenile
6 Affairs, the Executive Director of the Office of Juvenile Affairs,
7 the Attorney General, the Speaker of the House of Representatives,
8 the President Pro Tempore of the Senate, the Office of Juvenile
9 System Oversight, and the Oklahoma Commission on Children and Youth
10 utilizing the centralized filing system provided for in Section 378
11 of this act. The Office of Juvenile Affairs shall file copies of
12 the reports of the inspections and recommendations of the
13 accrediting agencies listed in subsection D of this section with the
14 Office of Juvenile System Oversight.

15 D. The Office of Juvenile Affairs is authorized and directed to
16 establish, subject to the limits of funds available therefor, a
17 diversity of placement alternatives for children committed to the
18 custody of the Office including, but not limited to, foster family
19 homes, foster family group homes, and group homes. All child care
20 services and facilities operated by the Office shall be accredited
21 by the American Correctional Association, the Joint Commission on
22 Accreditation of Hospitals or the Child Welfare League of America,
23 as appropriate for the service or facility. The Office may directly
24 contract for accreditation fees, training or training conferences

1 with the organization accrediting the service or facility as
2 required by this subsection.

3 SECTION 32. AMENDATORY 10A O.S. 2021, Section 2-7-705,
4 is amended to read as follows:

5 Section 2-7-705. A. The Office of Juvenile Affairs shall have
6 the responsibility for implementation and evaluation of the
7 Delinquency and Youth Gang Intervention and Prevention Act and any
8 modifications thereto.

9 B. Any contract executed by the Office of Juvenile Affairs with
10 an eligible entity on and after the effective date of this act for
11 delinquency prevention and early intervention programs, subject to
12 the Delinquency and Youth Gang Intervention and Prevention Act,
13 shall require the eligible entity to prepare and submit to the
14 Office, in a manner prescribed by the Office, an outcome-based
15 performance report including, but not limited to, the following:

16 1. A description of the target population, service eligibility
17 criteria, and risk factors;

18 2. A description of program services, the number of clients
19 referred each year, the number of clients served each year, and the
20 number of clients discharged each year;

21 3. The average cost per client participating in program
22 services each year; and

23 4. Performance measures referencing service completion and
24 recidivism which employ uniform definitions developed by the Office.

1 C. The Office of Juvenile Affairs shall, utilizing the
2 centralized filing system provided for in Section 378 of this act,
3 electronically submit to the Speaker of the House of
4 Representatives, the President Pro Tempore of the Senate, and the
5 Governor by January 15 of each year, an annual report, including a
6 summary detailing the following information derived from the
7 outcome-based performance reports submitted by the eligible entities
8 pursuant to the provisions of subsection A of this section and other
9 information available to the Office:

10 1. Total amount of funds per state fiscal year expended for the
11 delinquency prevention programs subject to the Delinquency and Youth
12 Gang Intervention and Prevention Act;

13 2. Average expenditures per juvenile during the most recent
14 state fiscal year;

15 3. Analyses of the nature and effectiveness of gang-related
16 delinquency prevention and early intervention programs provided by
17 eligible entities pursuant to contracts;

18 4. Effectiveness of each of the programs provided by the
19 eligible entities;

20 5. Recommendations regarding distribution of the funds based
21 upon the effectiveness of the programs provided by the eligible
22 entities; and

23 6. Any other information or recommendations deemed necessary by
24 the Board of Juvenile Affairs.

SECTION 33. AMENDATORY 10A O.S. 2021, Section 2-7-905,
is amended to read as follows:

Section 2-7-905. A. For the purpose of information sharing and management of the Juvenile Offender Tracking Program, there is hereby created the Juvenile Justice Information System. The information system shall be an automated, data-based, system for tracking juvenile offenders from arrest through final closure of the case and shall include information provided by all of the components of the juvenile justice system in accordance with the provisions of the Juvenile Offender Tracking Program. The information system shall be fully integrated with other information systems related to services to children and youth and shall:

1. Be based upon the integration, utilization, and modification, as necessary, of existing information systems;

2. Provide for the accuracy of the information and for the security of and limited access to the information;

3. Include case specific information, including client outcomes, and have the ability to monitor juveniles in the juvenile justice system; and

4. Be capable of providing management reports and information to the various components of the juvenile justice system, and of providing aggregate information necessary for planning, monitoring, evaluating, and managing programs and services provided to youthful

1 offenders as well as for system-wide analysis of the Juvenile
2 Offender Tracking Program.

3 B. The Office of Juvenile Affairs, the juvenile bureaus, the
4 Oklahoma State Bureau of Investigation, the Office of the Court
5 Administrator, and other agencies and programs comprising the
6 juvenile justice system, including but not limited to law
7 enforcement and district attorneys, in accordance with guidelines
8 established by the Juvenile Offender Tracking Program, shall
9 jointly:

10 1. Identify information to be shared by agencies on a regular
11 basis;

12 2. Develop procedures for processing case-profiles as cases
13 move through agencies that come in contact with juvenile offenders;

14 3. Establish training programs in the use of the system;

15 4. Conduct a pilot project to test the system; and

16 5. At least annually, evaluate the plan for full statewide
17 implementation of the Juvenile Justice Information System and,
18 utilizing the centralized filing system provided for in Section 378
19 of this act, electronically submit any necessary modifications of
20 the existing plan to the Juvenile Offender Tracking Program and to
21 the Governor, the President Pro Tempore of the Senate, the Speaker
22 of the House of Representatives, and each agency affected by ~~said~~
23 such plan.

24

SECTION 34. AMENDATORY 10A O.S. 2021, Section 2-10-103,

is amended to read as follows:

Section 2-10-103. The Oklahoma Commission on Children and Youth shall prepare annually a report describing the Oklahoma Mentoring Children of Incarcerated Parents Program and measuring its effectiveness. The report shall be electronically submitted to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Governor of this state no later than March 1 of each applicable year utilizing the centralized filing system provided for in Section 378 of this act. The report may be used for the purpose of determining whether to continue or sunset the Oklahoma Mentoring Children of Incarcerated Parents Program.

SECTION 35. AMENDATORY 11 O.S. 2021, Section 49-100.8,

is amended to read as follows:

Section 49-100.8. The State Board shall certify and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the Director of the Office of Management and Enterprise Services, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate, on or before July 15 of each year, an actuarially determined estimate of the rate of contribution which will be required, together with all accumulated contributions and other assets of the System to pay by level-dollar payments all liabilities which shall exist or accrue pursuant to the provisions of the System, including amortization of

1 the unfunded accrued liability over a period of not to exceed thirty
2 (30) years beginning July 1, 2014.

3 SECTION 36. AMENDATORY 11 O.S. 2021, Section 49-100.9,
4 is amended to read as follows:

5 Section 49-100.9. A. The Oklahoma Firefighters Pension and
6 Retirement Board shall discharge their duties with respect to the
7 System solely in the interest of the participants and beneficiaries
8 and:

9 1. For the exclusive purpose of:

10 a. providing benefits to participants and their
11 beneficiaries, and

12 b. defraying reasonable expenses of administering the
13 System;

14 2. With the care, skill, prudence, and diligence under the
15 circumstances then prevailing that a prudent person acting in a like
16 capacity and familiar with such matters would use in the conduct of
17 an enterprise of a like character and with like aims;

18 3. By diversifying the investments of the System so as to
19 minimize the risk of large losses, unless under the circumstances it
20 is clearly prudent not to do so; and

21 4. In accordance with the laws, documents and instruments
22 governing the System.

23 B. The State Board may procure insurance indemnifying the
24 members of the State Board from personal loss or accountability from

1 liability resulting from a member's action or inaction as a member
2 of the State Board.

3 C. The State Board may establish an investment committee. The
4 investment committee shall be composed of not more than five (5)
5 members of the State Board appointed by the chairman of the State
6 Board. The committee shall make recommendations to the full State
7 Board on all matters related to the choice of custodians and
8 managers of the assets of the System, on the establishment of
9 investment and fund management guidelines, and in planning future
10 investment policy. The committee shall have no authority to act on
11 behalf of the State Board in any circumstances whatsoever. No
12 recommendation of the committee shall have effect as an action of
13 the State Board nor take effect without the approval of the State
14 Board as provided by law.

15 D. The Board shall retain qualified investment managers to
16 provide for the investment of the monies of the System. The
17 investment managers shall be chosen by a solicitation of proposals
18 on a competitive bid basis pursuant to standards set by the State
19 Board. Subject to the overall investment guidelines set by the
20 State Board, the investment managers shall have full discretion in
21 the management of those monies of the System allocated to the
22 investment managers. The State Board shall manage those monies not
23 specifically allocated to the investment managers. The monies of
24 the System allocated to the investment managers shall be actively

1 managed by the investment managers, which may include selling
2 investments and realizing losses if such action is considered
3 advantageous to longer term return maximization. Because of the
4 total return objective, no distinction shall be made for management
5 and performance evaluation purposes between realized and unrealized
6 capital gains and losses.

7 E. Funds and revenues for investment by the investment managers
8 or the State Board shall be placed with a custodian selected by the
9 State Board. The custodian shall be a bank or trust company
10 offering pension fund master trustee and master custodial services
11 and any related custodial agreement or trust agreement is
12 incorporated herein by reference. The custodian shall be chosen by
13 a solicitation of proposals on a competitive bid basis pursuant to
14 standards set by the State Board. In compliance with the investment
15 policy guidelines of the State Board, the custodian bank or trust
16 company shall be contractually responsible for ensuring that all
17 monies of the System are invested in income-producing investment
18 vehicles at all times. If a custodian bank or trust company has not
19 received direction from the investment managers of the System as to
20 the investment of the monies of the System in specific investment
21 vehicles, the custodian bank or trust company shall be contractually
22 responsible to the State Board for investing the monies in
23 appropriately collateralized short-term interest-bearing investment
24 vehicles. Any assets of the System may be invested in a collective

1 investment fund or group trust that satisfies the requirements of
2 Revenue Ruling 81-100, as further amended by Revenue Ruling 2004-67,
3 Revenue Ruling 2008-40, and Revenue Ruling 2011-1, and as
4 subsequently amended by future guidance. Each such collective
5 investment fund or group trust is adopted, with respect to any
6 monies invested therein, as part of the System, its trust, and
7 custodial account and each such declaration of trust or trust
8 agreement and related adoption, participation, investment
9 management, subtrust, or other agreements, as amended from time to
10 time, with respect to any monies invested therein, are incorporated
11 by reference into the System, its trust agreement(s) or custodial
12 agreement(s), upon approval by the State Board.

13 F. By November 1, 1988, and prior to August 1 of each year
14 thereafter, the State Board shall develop a written investment plan
15 for the System.

16 G. The State Board shall compile a quarterly financial report
17 of all the funds of the System on a fiscal year basis. The report
18 shall be compiled pursuant to uniform reporting standards prescribed
19 by the Oklahoma State Pension Commission for all state retirement
20 systems. The report shall include several relevant measures of
21 investment value, including acquisition cost and current fair market
22 value with appropriate summaries of total holdings and returns. The
23 report shall contain combined and individual rate of returns of the
24 investment managers by category of investment, over periods of time.

1 The State Board shall include in the quarterly reports all
2 commissions, fees or payments for investment services performed on
3 behalf of the State Board. The report shall be electronically
4 distributed to the Governor, the Oklahoma State Pension Commission,
5 the Legislative Service Bureau, the Speaker of the House of
6 Representatives, and the President Pro Tempore of the Senate
7 utilizing the centralized filing system provided for in Section 378
8 of this act.

9 H. After July 1 and before December 1 of each year, the State
10 Board shall publish widely an annual report presented in simple and
11 easily understood language pursuant to uniform reporting standards
12 prescribed by the Oklahoma State Pension Commission for all state
13 retirement systems. The report shall be electronically submitted to
14 the Governor, the Speaker of the House of Representatives, the
15 President Pro Tempore of the Senate, the Oklahoma State Pension
16 Commission, and the members of the System utilizing the centralized
17 filing system provided for in Section 378 of this act. The annual
18 report shall cover the operation of the System during the past
19 fiscal year, including income, disbursements, and the financial
20 condition of the System at the end of the fiscal year. The annual
21 report shall also contain the information issued in the quarterly
22 reports required pursuant to subsection G of this section as well as
23 a summary of the results of the most recent actuarial valuation to
24 include total assets, total liabilities, unfunded liability or over

1 funded status, contributions and any other information deemed
2 relevant by the State Board. The annual report shall be written in
3 such a manner as to permit a readily understandable means for
4 analyzing the financial condition and performance of the System for
5 the fiscal year.

6 I. Effective July 1, 2000, the State Board is hereby authorized
7 to do all acts and things necessary and proper to carry out the
8 purpose of the System and to make the least costly amendments and
9 changes, if any, as may be necessary to qualify the System under the
10 applicable sections of the Internal Revenue Code of 1986, as
11 amended.

12 SECTION 37. AMENDATORY 11 O.S. 2021, Section 50-105.3,
13 is amended to read as follows:

14 Section 50-105.3. The State Board shall certify and, utilizing
15 the centralized filing system provided for in Section 378 of this
16 act, electronically submit such certification to the Director of the
17 Office of Management and Enterprise Services, the Speaker of the
18 House of Representatives, and the President Pro Tempore of the
19 Senate, on or before November 1 of each year, an actuarially
20 determined estimate of the rate of contribution which will be
21 required, together with all accumulated contributions and other
22 assets of the System to pay by level-dollar payments all liabilities
23 which shall exist or accrue pursuant to the provisions of the
24 System, including amortization of the unfunded accrued liability

1 over a period of not to exceed thirty (30) years beginning July 1,
2 1988.

3 SECTION 38. AMENDATORY 11 O.S. 2021, Section 50-105.4,
4 is amended to read as follows:

5 Section 50-105.4. A. The Oklahoma Police Pension and
6 Retirement Board shall discharge their duties with respect to the
7 System solely in the interest of the participants and beneficiaries
8 and:

9 1. For the exclusive purpose of:

10 a. providing benefits to participants and their
11 beneficiaries, and

12 b. defraying reasonable expenses of administering the
13 System;

14 2. With the care, skill, prudence, and diligence under the
15 circumstances then prevailing that a prudent person acting in a like
16 capacity and familiar with such matters would use in the conduct of
17 an enterprise of a like character and with like aims;

18 3. By diversifying the investments of the System so as to
19 minimize the risk of large losses, unless under the circumstances it
20 is clearly prudent not to do so; and

21 4. In accordance with the laws, documents and instruments
22 governing the System.

23 B. The State Board may procure insurance indemnifying the
24 members of the State Board from personal loss or accountability from

1 liability resulting from a member's action or inaction as a member
2 of the State Board.

3 C. The State Board may establish an investment committee. The
4 investment committee shall be composed of not more than five (5)
5 members of the State Board appointed by the chairman of the State
6 Board. The committee shall make recommendations to the full State
7 Board on all matters related to the choice of custodians and
8 managers of the assets of the System, on the establishment of
9 investment and fund management guidelines, and in planning future
10 investment policy. The committee shall have no authority to act on
11 behalf of the State Board in any circumstances whatsoever. No
12 recommendation of the committee shall have effect as an action of
13 the State Board nor take effect without the approval of the State
14 Board as provided by law.

15 D. The State Board shall retain qualified investment managers
16 to provide for the investment of the monies of the System. The
17 investment managers shall be chosen by a solicitation of proposals
18 on a competitive bid basis pursuant to standards set by the State
19 Board unless the State Board deems it necessary and prudent to do
20 otherwise to fulfill its fiduciary responsibility. Subject to the
21 overall investment guidelines set by the State Board, the investment
22 managers shall have full discretion in the management of those
23 monies of the System allocated to the investment managers. The
24 State Board shall manage those monies not specifically allocated to

1 the investment managers. The monies of the System allocated to the
2 investment managers shall be actively managed by the investment
3 managers, which may include selling investments and realizing losses
4 if such action is considered advantageous to longer term return
5 maximization. Because of the total return objective, no distinction
6 shall be made for management and performance evaluation purposes
7 between realized and unrealized capital gains and losses.

8 E. Funds and revenues for investment by the investment managers
9 or the State Board shall be placed with a custodian selected by the
10 State Board. The custodian shall be a bank or trust company
11 offering pension fund master trustee and master custodial services
12 and any related custodial agreement or trust agreement is
13 incorporated herein by reference. The custodian shall be chosen by
14 a solicitation of proposals on a competitive basis pursuant to
15 standards set by the State Board. In compliance with the investment
16 policy guidelines of the State Board, the custodian bank or trust
17 company shall be contractually responsible for ensuring that all
18 monies of the System are invested in income-producing investment
19 vehicles at all times. If a custodian bank or trust company has not
20 received direction from the investment managers of the System as to
21 the investment of the monies of the System in specific investment
22 vehicles, the custodian bank or trust company shall be contractually
23 responsible to the State Board for investing the monies in
24 appropriately collateralized short-term interest-bearing investment

1 vehicles. Any assets of the System may be invested in a collective
2 investment fund or in a group trust that satisfies the requirements
3 of Rev. Rul. 81-100, as further amended by Rev. Rul. 2004-67, Rev.
4 Rul. 2008-40, and Rev. Rul. 2011-1, and as subsequently amended by
5 future guidance. Each such collective investment fund or group
6 trust is adopted, with respect to any monies invested therein, as
7 part of the System, its trust, and custodial account and each such
8 declaration of trust or trust agreement and related adoption,
9 participation, investment management, subtrust, or other agreements,
10 as amended from time to time, with respect to any monies invested
11 therein, are incorporated by reference into the System, its trust
12 agreement(s) or custodial agreement(s), upon approval by the State
13 Board.

14 F. By November 1, 1988, and prior to August 1 of each year
15 thereafter, the State Board shall develop a written investment plan
16 for the System.

17 G. After July 1 and before November 1 of each year, the State
18 Board shall publish widely an annual report presented in simple and
19 easily understood language pursuant to uniform reporting standards
20 prescribed by the Oklahoma State Pension Commission for all state
21 retirement systems. The report shall be electronically submitted to
22 the Governor, the Speaker of the House of Representatives, the
23 President Pro Tempore of the Senate, the Oklahoma State Pension
24 Commission, and the members of the System utilizing the centralized

1 filing system provided for in Section 378 of this act. The annual
2 report shall cover the operation of the System during the past
3 fiscal year, including income, disbursements, and the financial
4 condition of the System at the end of the fiscal year. The annual
5 report shall also contain a summary of the results of the most
6 recent actuarial valuation to include total assets, total
7 liabilities, unfunded liability or over funded status, contributions
8 and any other information deemed relevant by the State Board. The
9 annual report shall be written in such a manner as to permit a
10 readily understandable means for analyzing the financial condition
11 and performances of the System for the fiscal year.

12 H. The State Board shall adopt a cost of living adjustment
13 actuarial assumption in its annual actuarial valuation report.

14 SECTION 39. AMENDATORY 14A O.S. 2021, Section 6-104, is
15 amended to read as follows:

16 Section 6-104. (1) In addition to other powers granted by this
17 title, the Administrator of Consumer Credit may, within the
18 limitations provided by law:

- 19 (a) receive and act on complaints, take action designed to
20 obtain voluntary compliance with this title, or
21 commence proceedings on the Administrator's own
22 initiative,
23 (b) counsel persons and groups on their rights and duties
24 under this title,

- 1 (c) establish programs for the education of consumers with
2 respect to credit practices and problems,
- 3 (d) make studies appropriate to effectuate the purposes
4 and policies of this title and make the results
5 available to the public,
- 6 (e) with approval by the Commission on Consumer Credit
7 adopt, amend, and repeal substantive rules when
8 specifically authorized by this title, and adopt,
9 amend, and repeal procedural rules to carry out the
10 provisions of this title, all as provided by the
11 Administrative Procedures Act, and
- 12 (f) enforce the disclosure provisions of the Federal
13 Consumer Credit Protection Act as defined in Section
14 1-302 of this title.

15 (2) Except for refund of an excess charge, no liability is
16 imposed under this title for an act done or omitted in conformity
17 with a rule of the Administrator or written opinion of the
18 Administrator stating rights and duties issued on the
19 Administrator's own motion or in response to a request under
20 paragraph (b) of subsection (1) of this section notwithstanding that
21 after the act or omission the rule or opinion may be amended or
22 repealed or be determined by judicial or other authority to be
23 invalid for any reason. The opinions of the Administrator shall be
24 compiled and published no less often than annually.

1 (3) The Administrator shall, utilizing the centralized filing
2 system provided for in Section 378 of this act, electronically
3 report annually on or before January 1 to the Governor and
4 Legislature on the operation of the Administrator's office, on the
5 use of consumer credit in the state, and on the problems of persons
6 of small means obtaining credit from persons regularly engaged in
7 extending sales or loan credit. For the purpose of making the
8 report, the Administrator is authorized to conduct research and make
9 appropriate studies. The report shall include a description of the
10 examination and investigation procedures and policies of the
11 Administrator's office, a statement of policies followed in deciding
12 whether to investigate or examine the offices of credit suppliers
13 subject to this title, a statement of the number and percentages of
14 offices which are periodically investigated or examined, a statement
15 of the types of consumer credit problems of both creditors and
16 debtors which have come to the Administrator's attention through
17 examinations and investigations and the disposition of them under
18 existing law, and a general statement of the activities of the
19 Administrator's office and of others to promote the purposes of this
20 title. The report shall not identify the creditors against whom
21 action is taken by the Administrator.

22 (4) The Administrator may enter into cooperative, coordinating
23 and information-sharing agreements with any other agencies that have
24 supervisory or regulatory responsibility over any entity that has

1 | been or may be licensed by the Department of Consumer Credit or any
2 | organization affiliated with or representing one or more agencies
3 | with supervisory or regulatory responsibility over any entity that
4 | has been or may be licensed by the Department, and the Administrator
5 | may accept reports of examination and reports of investigation from
6 | any such agency or organization in lieu of conducting the
7 | Administrator's own examinations or investigations. The
8 | Administrator may cooperate, coordinate, and enter into information-
9 | sharing agreements with the Oklahoma State Banking Department and
10 | other state agencies with whom the agreements may be mutually
11 | beneficial.

12 | (5) The Administrator shall have the authority to adopt rules,
13 | not inconsistent with the provisions of this title, to limit the
14 | amount of the additional charges that lenders are permitted to
15 | impose under subsections (1) and (2) of Section 3-202 of this title
16 | and Section 3-203.2 of this title, or to limit the amount of
17 | deferral charges that sellers and lenders may impose under
18 | subsections (2) and (3) of Section 2-204 of this title and
19 | subsections (2) and (3) of Section 3-204 of this title. The
20 | Administrator shall:

21 | (a) in promulgating, amending or repealing rules pursuant
22 | to this section, take into consideration whether
23 | limits on the additional charges permitted under
24 | subsections (1) and (2) of Section 3-202 of this title

1 and Section 3-203.2 of this title, or limits on
2 deferral charges that sellers and lenders may impose
3 under subsections (2) and (3) of Section 2-204 of this
4 title and subsections (2) and (3) of Section 3-204 of
5 this title, would:

6 (i) place lenders located in this state at a
7 competitive disadvantage, with respect to the
8 additional charges, as compared to out-of-state
9 credit card lenders or place sellers and lenders
10 in this state at a competitive disadvantage with
11 respect to the deferral charges, as compared to
12 out-of-state sellers and lenders,

13 (ii) require sellers or lenders located in this state
14 to impose higher finance charges, or

15 (iii) impede the growth of consumer credit sales or the
16 consumer lending industry in this state, and

17 (b) adopt rules limiting the dollar amounts of the
18 additional charges permitted under subsections (1) and
19 (2) of Section 3-202 of this title and Section 3-203.2
20 of this title, or the deferral charges permitted under
21 subsections (2) and (3) of Section 2-204 of this title
22 and subsections (2) and (3) of Section 3-204 of this
23 title, in the event that the Administrator determines
24 that such limits are necessary to protect debtors in

1 this state from being subjected to charges which are
2 unreasonable or excessive as compared to the
3 prevailing charges being imposed by out-of-state
4 lenders and sellers.

5 SECTION 40. AMENDATORY 14A O.S. 2021, Section 6-504, is
6 amended to read as follows:

7 Section 6-504. The Commission shall select a chair and is
8 hereby authorized to adopt rules for conducting its proceedings. A
9 majority of the voting members shall constitute a quorum for
10 transacting Commission business. The Commission may meet monthly on
11 such date as it may designate and may meet at such other times as it
12 may deem necessary, or when called by the chair or by any two
13 members. Complete minutes of each meeting shall be kept and filed
14 in the Department of Consumer Credit and shall be available for
15 public inspection during reasonable office hours. The Commission
16 shall, utilizing the centralized filing system provided for in
17 Section 378 of this act, electronically submit a report annually to
18 the Governor and to the Speaker of the House of Representatives and
19 the President Pro Tempore of the Senate. The report shall contain a
20 summary of the minutes of the meetings held during the year,
21 legislative recommendations, a summary of violations of the Uniform
22 Consumer Credit Code and action taken thereon, and such other data
23 and information as may be deemed necessary or appropriate. Each
24 member of the Commission shall have unrestricted access to all

1 offices and records of the Department. The Commission may review,
2 repeal, amend or modify any rule or regulation adopted or
3 promulgated by the Administrator.

4 SECTION 41. AMENDATORY 17 O.S. 2021, Section 40.1, is
5 amended to read as follows:

6 Section 40.1. A. For the purpose of accepting, processing, and
7 hearing applications for oil and gas well development,
8 administrative applications, and for any other related matters, the
9 Corporation Commission shall divide the state into two regional
10 service areas. By September 1, 1990, the Corporation Commission
11 shall establish and maintain in each regional service area, a
12 regional service office located within the corporate limits of any
13 municipality having a population of more than two hundred fifty
14 thousand (250,000) inhabitants according to the last Federal
15 Decennial Census to implement their duties pursuant to law. The
16 State Office of the Corporation Commission located in Oklahoma City
17 shall serve as the regional service office for the regional service
18 area in which Oklahoma City is located. The regional service office
19 shall service the regional service area in which such office is
20 located or as otherwise provided by the Corporation Commission for
21 public convenience.

22 B. 1. Applications for oil and gas well development,
23 administrative applications and any other related matters may be
24 filed in any regional service office.

1 2. The central record of all filings with all regional service
2 offices shall be maintained in the State Office of the Corporation
3 Commission located in Oklahoma City and all initial dockets shall be
4 simultaneously announced in Oklahoma City and transmitted to
5 regional offices.

6 3. All hearings on any application including but not limited to
7 appellate hearings shall be held in the regional service office
8 where the application is filed unless:

9 a. in the case of an application protested by a
10 respondent mineral owner, or surface owner having
11 standing to protest by statute or by Rule of the
12 Corporation Commission, holding the hearing in the
13 regional service office would not be at the
14 convenience of such respondent mineral owner, or
15 surface owner, ~~or~~

16 b. the applicant and all protestants agree to have the
17 Commission proceed to hear any case, or any portion
18 thereof, during any stage of the proceedings, at any
19 regional service office, or by telecommunication
20 hearings, or

21 c. the applicant, all protestants and the Commission
22 agree to have the Commission proceed to hear any case,
23 or any portion thereof, during any stage of the
24

proceedings, at another location other than a regional service office.

C. 1. The Corporation Commission shall provide for an adequately staffed regional service office in each regional service area to conduct the business of the regional service office as herein provided.

2. In order to implement the provisions of this subsection for the regional service office located within the corporate limits of a municipality having a population of more than two hundred fifty thousand (250,000) inhabitants, the Commission shall utilize the following positions from existing FTE for such service office:

POSITION	MINIMUM FTE
Office Administrator	1.0
Hearing Officers	2.0
Court Reporters	2.0
Docket Clerks	2.5
Secretary	1.0

3. The Corporation Commission shall maintain electronic data equipment capable of retrieving and printing information by cause number, applicant name, relief requested, or by county.

D. The Corporation Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Speaker of the House of

1 Representatives and the President Pro Tempore of the Senate by
2 February 1 of each year detailing the number of applications filed
3 by county, hearings held and other activities performed by each
4 regional service office.

5 E. The Corporation Commission shall promulgate rules, pursuant
6 to the Administrative Procedures Act, to implement the provisions of
7 this section.

8 F. The Corporation Commission shall develop and maintain a
9 system for providing telephonic communication service for hearings
10 related to oil and gas matters in municipalities having a population
11 of more than eighty-five thousand (85,000) inhabitants according to
12 the last Federal Decennial Census. In order to implement the
13 provisions of this subsection, the Commission shall utilize from
14 existing FTE the following position for such telephonic
15 communication service:

16	POSITION	FTE
17	Docket Clerk	.5

18 SECTION 42. AMENDATORY 17 O.S. 2021, Section 253, is
19 amended to read as follows:

20 Section 253. A. No proposed monthly fuel adjustment, purchased
21 power adjustment or purchased gas adjustment shall become effective
22 until after the Corporation Commission has had an opportunity to
23 determine that the adjustment is calculated in accordance with the
24 terms and conditions of the applicable fuel adjustment clause.

1 B. The Commission shall promulgate rules requiring each company
2 as a necessary part of the monthly filing with the Commission and
3 condition to consideration of any adjustment application to submit
4 the following information:

5 1. A statement by each company subject to a fuel adjustment
6 clause of the items and costs making up the average cost of fuel per
7 million BTU and associated costs in dollars and cents or fraction
8 thereof;

9 2. A summary of its fuel and gas purchase invoices and its
10 computations of the proposed monthly fuel adjustment or purchased
11 gas adjustment charges;

12 3. A summary of inventory records of fuel and gas going into
13 and taken out of stockpile or storage;

14 4. A report containing the average unit price, the change in
15 the average unit price, the volume purchased and a brief explanation
16 of such unit cost increase; and

17 5. Any other records deemed necessary by the Commission
18 including, but not limited to, the heat rate efficiency and delivery
19 efficiency for affected electric public utilities and the actual
20 capacity factor for each generating facility utilized to produce
21 electric power.

22 The records and computations filed shall be open to public
23 inspection at the office of the Commission.
24

1 C. The Commission shall have five (5) business days after the
2 records and computations prescribed in subsection B of this section
3 have been filed to determine the necessity of an administrative
4 proceeding thereon. If the Commission does not determine that a
5 hearing is required, the proposed adjustment charge shall become
6 effective as filed. In the event the Commission decides to hold a
7 hearing on the information filed, it shall notify the public utility
8 within such five-day period, set the matter for a public hearing to
9 commence within thirty (30) business days thereafter, and give
10 notice thereof at least three (3) days prior to the commencement of
11 such hearing by publication in a newspaper of general circulation in
12 the area served by such company. The issue to be determined at such
13 hearing shall be either or both of the following determinations:

14 1. Whether charges or credits made under the fuel adjustment
15 clauses are based upon the actual prices paid for fuel, purchased
16 gas, or purchased power and are properly computed in accordance with
17 the applicable adjustment clause; or

18 2. Whether the fuel adjustment clauses should be discontinued,
19 amended, or suspended. In the event that the Commission determines
20 that it is necessary to set any proposed adjustment charge for
21 hearing, the proposed charge shall nevertheless become effective at
22 the option of the utility following the expiration of the five-day
23 period after its records and computations have been filed, pending
24 the Commission's finding with respect to such charges. However, in

1 the discretion of the Commission, the effectiveness of the proposed
2 charge may be conditioned upon the filing by the utility with the
3 Commission of an assurance satisfactory to the Commission, which may
4 include a bond with surety, of the utility's ability and willingness
5 to refund to its customers any such amounts as the utility may
6 collect from them in excess of the charge approved by the Commission
7 in its finding. If the Commission has not approved, in whole or in
8 part, or denied the proposed charge within a seven-day period
9 subsequent to the commencement of such hearing, the Commission shall
10 promptly, utilizing the centralized filing system provided for in
11 Section 378 of this act, electronically submit a written explanation
12 of the Commission's failure to do so to the President Pro Tempore of
13 the Senate, the Speaker of the House of Representatives, and the
14 office of the Governor.

15 SECTION 43. AMENDATORY 17 O.S. 2021, Section 325, is
16 amended to read as follows:

17 Section 325. A. The Director of the Petroleum Storage Tank
18 Division shall make a written report and, utilizing the centralized
19 filing system provided for in Section 378 of this act,
20 electronically submit such report on an annual basis to the
21 Corporation Commissioners, the Storage Tank Advisory Council, the
22 Speaker of the House of Representatives, and the President Pro
23 Tempore of the Senate detailing the following:
24

- 1 1. The total number of storage tank applicants requesting
- 2 disbursement from the Indemnity Fund during the preceding year;
- 3 2. The total number of storage tank applicants receiving
- 4 payment during the preceding year and total amount disbursed for
- 5 such payments;
- 6 3. The average time frame for providing disbursements to
- 7 applicants;
- 8 4. The total amount of funds needed to complete the corrective
- 9 action and achieve closure of all release cases; and
- 10 5. Any other information requested by the Speaker of the House
- 11 of Representatives or the President Pro Tempore of the Senate
- 12 regarding the Indemnity Fund program.

13 B. The Oklahoma Tax Commission shall, utilizing the centralized
14 filing system provided for in Section 378 of this act,
15 electronically submit an annual report to the Speaker of the House
16 of Representatives and the President Pro Tempore of the Senate
17 detailing the amount of assessments collected for deposit to the
18 Indemnity Fund and to the State Transportation Fund.

19 C. The Oklahoma Department of Transportation shall, utilizing
20 the centralized filing system provided for in Section 378 of this
21 act, electronically submit an annual report to the Speaker of the
22 House of Representatives and the President Pro Tempore of the Senate
23 detailing the expenditures made from the revenue received from the
24 assessment levied pursuant to Section 327.1 of this title.

1 D. The Oklahoma Department of Environmental Quality shall,
2 utilizing the centralized filing system provided for in Section 378
3 of this act, electronically submit an annual report to the Speaker
4 of the House of Representatives and the President Pro Tempore of the
5 Senate detailing the expenditures made from the revenue received
6 from the assessment levied pursuant to Section 327.1 of this title.

7 E. By December 1, 1998, and every year thereafter, the State
8 Auditor and Inspector shall conduct an independent audit of the
9 books, records, files, and other such documents of the Corporation
10 Commission pertaining to and which relate to the administration of
11 the Petroleum Storage Tank Indemnity Fund. The audit shall include
12 but shall not be limited to a review of agency compliance with state
13 statutes regarding the Indemnity Fund, internal control procedures,
14 adequacy of claim process expenditures from and debits of the
15 Indemnity Fund regarding administration, personnel, operating and
16 other expenses charged by the Corporation Commission; the duties
17 performed in detail by agency personnel and Indemnity Fund personnel
18 for which payment is made from the Indemnity Fund, and
19 recommendations for improving claim processing, equipment needed for
20 claim processing, internal control or structure for administering
21 the Indemnity Fund; and such other areas deemed necessary by the
22 State Auditor and Inspector.

23 F. The cost of the audit shall be borne by the Indemnity Fund.
24

1 G. Copies of the audit shall be electronically submitted to the
2 State Auditor and Inspector, the Governor, the Speaker of the House
3 of Representatives, the President Pro Tempore of the Senate, and the
4 Chairs of the Appropriation Committees of both the Oklahoma House of
5 Representatives and the Oklahoma State Senate utilizing the
6 centralized filing system provided for in Section 378 of this act.

7 SECTION 44. AMENDATORY Section 1, Chapter 403, O.S.L.
8 2022 (17 O.S. Supp. 2025, Section 801.9), is amended to read as
9 follows:

10 Section 801.9. A. The State of Oklahoma shall set a hydrogen
11 fuel production standard that will serve as an annual goal to be
12 reached each year through 2028 to increase the production of
13 hydrogen fuel in the state. Such hydrogen fuel production standard
14 shall be to produce Two Million Metric Tons (2 MMT) of hydrogen fuel
15 using a low or zero carbon source of energy annually by 2028.

16 B. Every qualified hydrogen fuel production facility that
17 produces hydrogen fuel in this state shall report to the Corporation
18 Commission by March 1 each year the amount of hydrogen fuel produced
19 in the preceding calendar year and the low or zero carbon source of
20 energy used to produce the hydrogen fuel. The Commission shall
21 begin collecting the reports no later than March 1, 2024, and shall,
22 utilizing the centralized filing system provided for in Section 378
23 of this act, electronically report annually to the President Pro
24 Tempore of the Senate, the Speaker of the House of Representatives,

1 and the Governor the annual hydrogen fuel production amount produced
2 by qualified hydrogen production facilities for the preceding
3 calendar year, gathered from reports submitted pursuant to this
4 subsection, no later than May 1 of the first year of collection and
5 each year thereafter. The Commission shall promulgate rules to
6 effectuate the provisions of this subsection.

7 C. For purposes of this section, qualifying hydrogen fuel
8 production shall include:

9 1. Hydrogen fuel produced from low carbon sources such as
10 natural gas;

11 2. Hydrogen fuel produced from zero carbon sources such as:

12 a. wind,

13 b. photovoltaic,

14 c. hydropower,

15 d. geothermal, and

16 e. biomass, which projects may include agricultural
17 crops, wastes, and residues, wood, animal, and other
18 degradable organic wastes, municipal solid waste, and
19 landfill gas; and

20 3. Other low or zero carbon sources approved by the Commission.

21 SECTION 45. AMENDATORY 17 O.S. 2021, Section 802.3, as
22 last amended by Section 2, Chapter 31, O.S.L. 2024 (17 O.S. Supp.
23 2025, Section 802.3), is amended to read as follows:
24

1 Section 802.3. A. The Oklahoma Low Carbon Energy Initiative
2 shall be administered and governed by the Oklahoma Low Carbon Energy
3 Initiative Board, made up of representatives of the contributing
4 institutions and entities of the Initiative which shall include but
5 not be limited to the University of Oklahoma, Oklahoma State
6 University, and the University of Tulsa. Additional contributing
7 members may be added at the discretion of the Board, if they
8 contribute to the purpose, objectives, and research coordinated by
9 the Initiative.

10 B. The Board shall consist of thirteen (13) members as follows:

11 1. One member, who shall serve as the chair of the Board, shall
12 be the Secretary of Energy and Environment or a member otherwise
13 appointed by the Governor;

14 2. One member shall be the Vice President for Research from the
15 University of Oklahoma or a member otherwise appointed by the
16 President of the University of Oklahoma;

17 3. One member shall be the Vice President for Research from
18 Oklahoma State University or a member otherwise appointed by the
19 President of Oklahoma State University;

20 4. One member shall be the Vice President for Research and
21 Economic Development from the University of Tulsa or a member
22 otherwise appointed by the President of the University of Tulsa;

23 5. One member who shall represent the Oklahoma Department of
24 Commerce, appointed by the Director of the Department of Commerce;

1 6. One member who shall represent the Department of Labor,
2 appointed by the Commissioner of Labor;

3 7. One member who shall represent the Department of
4 Environmental Quality, appointed by the Executive Director of the
5 Department of Environmental Quality;

6 8. One member who shall represent the Corporation Commission,
7 appointed by the Chair of the Commission;

8 9. One member who shall represent the Department of
9 Transportation, appointed by the Director of the Department of
10 Transportation;

11 10. One member who shall represent the Oklahoma Water Resources
12 Board, appointed by the Executive Director of the Oklahoma Water
13 Resources Board;

14 11. One member who shall represent the Oklahoma Center for the
15 Advancement of Science and Technology, appointed by the Executive
16 Director of the Center for the Advancement of Science and
17 Technology;

18 12. One member, who shall represent an electric utility or
19 cooperative regulated by the Corporation Commission, appointed by
20 the President Pro Tempore of the Senate; and

21 13. One member, who shall represent the nuclear energy
22 industry, appointed by the Speaker of the House of Representatives.

23 C. 1. The Board shall establish an Energy Industry Advisory
24 Council, appointed by the chair, for the purposes of providing

1 industry expertise and knowledge, assisting the Board with annual
2 report requirements, providing general recommendations, and other
3 support as needed to advance the efforts of the Board.

4 2. Members appointed to the Council shall serve at the pleasure
5 of the chair of the Board.

6 D. Board members shall serve for a term of four (4) years,
7 which shall begin on January 1 of the first year of the appointment
8 and end on December 31 of the fourth year. There shall be no limit
9 to the number of consecutive terms served. If a vacancy should
10 occur during a member's term, the appointing authority for the
11 vacant position shall appoint a new member to fill the remainder of
12 the unexpired term. Board members shall serve without compensation
13 but may be eligible for necessary travel expenses pursuant to the
14 State Travel Reimbursement Act.

15 E. The Board shall be responsible for establishing procedures
16 for the Initiative and operations of the Board and the Advisory
17 Council. The rules may provide for protection from public
18 disclosure of trade secrets and proprietary information of any kind
19 including, but not limited to, data, processes, and technology, as
20 the Board determines necessary.

21 F. The Board shall undertake activities and commission
22 programs, through the contributing institutions and entities, to
23 achieve the purpose and satisfy the objectives of the Initiative as
24 provided in the Oklahoma Energy Initiative Act. The Board shall

1 have authority to distribute funding for such activities and
2 programs. The Board may employ staff as it deems necessary.

3 G. The Board, in consultation with the Advisory Council and any
4 other party deemed necessary, shall submit and publish
5 electronically an annual, written report to summarize the annual
6 progress of the Initiative including summaries of its programs and
7 their progress and outcomes. The report shall be made available to
8 the public and shall be distributed electronically to the Governor,
9 the President Pro Tempore of the Senate, and the Speaker of the
10 House of Representatives utilizing the centralized filing system
11 provided for in Section 378 of this act.

12 H. The provisions of the Oklahoma Central Purchasing Act shall
13 not apply to any project, activity or contract of the Initiative or
14 the Board.

15 I. No Board member or any person acting on behalf of the Board,
16 Advisory Council, or Initiative executing any contracts, commitments
17 or agreements issued by or on behalf of the Oklahoma Low Carbon
18 Energy Initiative shall be personally liable for the contracts,
19 commitments, or agreements or be subject to any personal liability
20 or accountability by reason thereof. No director or any person
21 acting on behalf of the Board or Initiative shall be personally
22 liable for damage or injury resulting from the performance of duties
23 hereunder.
24

1 SECTION 46. AMENDATORY 19 O.S. 2021, Section 215.28, is
2 amended to read as follows:

3 Section 215.28. A. There is hereby created the District
4 Attorneys Council which shall be organized and administered as
5 herein provided. Any reference in the Oklahoma Statutes to the
6 District Attorneys Training Coordination Council shall mean the
7 District Attorneys Council.

8 B. The chief executive officer of the office of the Council is
9 the Executive Coordinator who shall be appointed and supervised by
10 the Council. The Executive Coordinator shall serve at the pleasure
11 of the Council. The Executive Coordinator shall be licensed to
12 practice law in Oklahoma and shall have been a district attorney or
13 assistant district attorney or have held an equivalent position in
14 state or federal government for at least three (3) years prior to
15 appointment. The Executive Coordinator may appoint an Assistant
16 Coordinator, both of whom shall be in the unclassified service of
17 the state. The Executive Coordinator and the Assistant Coordinator,
18 who shall also be licensed to practice law in Oklahoma, shall devote
19 full time to their duties and shall not engage in the private
20 practice of law. The Executive Coordinator shall perform the
21 functions and duties as may be assigned by the Council. The
22 Executive Coordinator shall be named the project director and fiscal
23 officer of any grant or fund received by the Council. The Executive
24 Coordinator and the Assistant Coordinator shall receive compensation

1 for their services within the pay scale limits for district
2 attorneys.

3 C. 1. The Council shall be composed of the following members:

4 a. the Attorney General, or a designated representative
5 of the Attorney General,

6 b. the President of the Oklahoma District Attorneys
7 Association,

8 c. the President-elect of the Oklahoma District Attorneys
9 Association,

10 d. one district attorney selected by the Court of
11 Criminal Appeals for a three-year term, and

12 e. one district attorney selected by the Board of
13 Governors of the Oklahoma Bar Association for a three-
14 year term.

15 2. A member of the Council shall vacate the appointment upon
16 termination of the member's official position as Attorney General or
17 district attorney. A vacancy shall be filled in the same manner as
18 the original appointment. A member appointed to fill a vacancy
19 created other than by expiration of a term shall be appointed for
20 the unexpired term of the member whom the appointed member is to
21 succeed in the same manner as the original appointment. Any member
22 may serve more than one term.

23 D. The Council shall designate from among its members a
24 Chairman and Vice Chairman who shall serve for one-year terms and

1 who may be reelected. Membership on the Council shall not
2 constitute holding a public office. The Council shall not have the
3 right to exercise any portion of the sovereign power of the state.
4 A member of the Council shall not be disqualified from holding any
5 public office or employment by reason of appointment or membership
6 on the Council, nor shall the member forfeit the office or
7 employment, by reason of appointment to the Council.

8 E. The Council shall meet at least four times in each year and
9 shall hold special meetings when called by the Chairman, or, in the
10 absence of the Chairman, by the Vice Chairman or when called by the
11 Chairman upon the written request of two members of the Council.
12 The Council shall establish its own procedures and requirements with
13 respect to quorum, place and conduct of its meetings and other
14 matters.

15 F. The members of the Council shall not receive a salary for
16 duties performed as members of the Council but shall be entitled to
17 be reimbursed for their travel expenses in accordance with the State
18 Travel Reimbursement Act.

19 G. The Council shall ~~make~~, utilizing the centralized filing
20 system provided for in Section 378 of this act, electronically
21 submit an annual report to the Governor, the President Pro Tempore
22 of the Senate, the Speaker of the House of Representatives, and the
23 President of the Oklahoma District Attorneys Association regarding
24 its efforts to implement the purposes of this section.

1 H. The Council shall have the power to perform such functions
2 as in its opinion shall strengthen the criminal justice system in
3 Oklahoma, to provide a professional organization for the education,
4 training and coordination of technical efforts of all state
5 prosecutors and to maintain and improve prosecutor efficiency and
6 effectiveness in enforcing the laws of this state including, but not
7 limited to, the following:

8 1. Organize, supervise, and perform functions consistent with
9 this section;

10 2. Convene regional or statewide conferences and training
11 seminars for the purpose of implementing the provisions of this
12 section;

13 3. Accept and expend monies, gifts, grants, or services from
14 any public or private source; contract or enter into agreements with
15 educational institutions or state or federal agencies; and employ
16 personnel as the Council in its judgment finds necessary to
17 effectively carry out the provisions of this section. Such
18 employees shall be in the unclassified service of the state;

19 4. Serve in an advisory capacity to the district attorneys of
20 the state;

21 5. Provide and coordinate training and continuing legal
22 education for district attorneys and their assistants, including
23 participation in nationally recognized prosecutorial seminars
24 conducted in other states. Subject to available funding, curriculum

1 for training required under this paragraph shall include, but not be
2 limited to:

- 3 a. dynamics of domestic violence,
- 4 b. the impact of domestic violence on victims and their
5 children including victim trauma and the neurobiology
6 of trauma,
- 7 c. identifying dominant aggressor,
- 8 d. tactics and behavior of batterers,
- 9 e. victim protection orders and full faith and credit
10 under the Violence Against Women Act of 1994,
- 11 f. rights of victims, and
- 12 g. evidence-based practices regarding behavioral health
13 and treatment of those with substance abuse or mental
14 health needs;

15 6. Gather and disseminate information to district attorneys
16 relative to their official duties, including changes in the law
17 relative to their office;

18 7. Coordinate with law enforcement officers, the courts and
19 corrections workers providing interdisciplinary seminars to augment
20 the effectiveness of the criminal justice system;

21 8. Require statistical reports from district attorneys' offices
22 relating to functions and workload performance;

23 9. Recommend additional legislation necessary to upgrade the
24 Oklahoma District Attorneys System to professional status;

1 10. Establish an equitable distribution plan for allocation of
2 any funds or gifts received from public or private sources for state
3 prosecution and distribute such funds in accordance with such plan;
4 and

5 11. Appoint a larger Advisory Council made up of district
6 attorneys and assistant district attorneys to discuss problems and
7 hear recommendations concerning necessary research, minimum
8 standards, educational needs, and other matters imperative to
9 upgrading Oklahoma prosecution to professional status.

10 I. There is hereby created in the State Treasury a revolving
11 fund for the Council, to be designated the "District Attorneys
12 Council Revolving Fund". The fund shall consist of all monies
13 received by the Council other than appropriated funds. The
14 revolving fund shall be a continuing fund not subject to fiscal year
15 limitations and shall be under the control and management of the
16 Council. Expenditures from this fund shall be made pursuant to the
17 purposes of this act and without legislative appropriation.

18 Warrants for expenditures shall be drawn by the State Treasurer
19 based on claims signed by the authorized employee or employees of
20 the Council and approved for payment by the Director of the Office
21 of Management and Enterprise Services.

22 J. The Council may accept operation and supervision of the Law
23 Enforcement Assistance Administration grants presently being
24 administered by the Oklahoma District Attorneys Association.

1 SECTION 47. AMENDATORY 20 O.S. 2021, Section 3.3, is
2 amended to read as follows:

3 Section 3.3. A. The Board on Judicial Compensation shall meet
4 on the third Tuesday of September in every odd-numbered year in the
5 Administrative Office of the Courts, at which meeting the Board
6 shall review the compensation paid to members of the State Judiciary
7 and, if necessary, change the compensation. In its review, the
8 Board shall consider various factors, including judicial
9 compensation in other states, with an emphasis on states within the
10 region, the value of comparable services performed in the private
11 sector, compensation of attorneys in the private and public sectors,
12 compensation of other state, county and municipal public officials,
13 and changes in the cost of living. The Board may, at the call of
14 the chair or upon a majority vote of its membership, hold such
15 additional meetings as are necessary to carry out its official
16 duties. Any change in judicial compensation shall be made by the
17 Board not later than the third Tuesday of November in the odd-
18 numbered year. Four members of the Board shall constitute a quorum
19 and a majority vote of the quorum shall be necessary for the Board
20 to act. If the Board recommends a change in judicial compensation,
21 notice of such recommendation shall be provided electronically to
22 the Governor, the President Pro Tempore and the Chair of the
23 Appropriations Committee of the Senate, and the Speaker and the
24 Chair of the Appropriations and Budget Committee of the House of

1 Representatives utilizing the centralized filing system provided for
2 in Section 378 of this act.

3 B. Any change in judicial compensation, unless rejected or
4 amended as provided for in Section 3.2 of this title, shall become
5 effective on July 1 of the following calendar year. Any amendment
6 passed by a majority vote of each house of the Legislature shall
7 become effective as provided by the amendment unless vetoed by the
8 Governor.

9 SECTION 48. AMENDATORY 20 O.S. 2021, Section 1103.1, is
10 amended to read as follows:

11 Section 1103.1. A. On and after January 1, 2001, the
12 Administrative Director of the Courts, in addition to the members'
13 contributions, shall transfer monthly amounts for deposit in the
14 State Judicial Retirement Fund as set out in Section 1309 of this
15 title equal to two percent (2.0%) of the monthly total actual paid
16 gross salaries of the members of the Uniform Retirement System for
17 Justices and Judges. Effective July 1, 2005, such amounts
18 transferred by the Administrative Director of the Courts shall be as
19 follows:

20	Fiscal Year Ending	Percentage of Contribution
21	June 30, 2006	3.0%
22	June 30, 2007	4.0%
23	June 30, 2008	5.5%
24	June 30, 2009	7.0%

1	June 30, 2010	8.5%
2	June 30, 2011	10.0%
3	June 30, 2012	11.5%
4	June 30, 2013	13.0%
5	June 30, 2014	14.5%
6	June 30, 2015	16.0%
7	June 30, 2016	17.5%
8	June 30, 2017	19.0%
9	June 30, 2018	20.5%
10	June 30, 2019 and thereafter	22.0%

11 B. The State Judicial Retirement Fund should have a funded
 12 ratio at or near ninety percent (90%) or be receiving sufficient
 13 contributions to amortize any unfunded liability of the fund
 14 according to the amortization schedule adopted by the Board of
 15 Trustees of the Oklahoma Public Employees Retirement System. The
 16 Board of Trustees shall, utilizing the centralized filing system
 17 provided for in Section 378 of this act, electronically provide a
 18 copy of the annual actuarial report to the Governor, the Chief
 19 Justice of the Supreme Court, the Speaker of the House of
 20 Representatives, and the President Pro Tempore of the Senate. In
 21 addition to this report, the Board shall provide a letter setting
 22 forth the amount of the actuarially required contributions for the
 23 System and any other recommendations that the Board may deem
 24 necessary.

1 C. The Administrative Director of the Courts shall remit to the
2 System all statutorily required retirement contributions due on a
3 monthly basis. All required court and employee contributions and
4 supporting documentation are due and ~~must~~ shall be received by the
5 System on or before the fifteenth day of the month following the
6 month for which the contributions are due. Court and employee
7 contributions remitted to the System after thirty (30) days from the
8 above due date shall be subject to a monthly late charge of one and
9 one-half percent (1.5%) of the unpaid balance to be paid by the
10 Administrative Director of the Courts to the System.

11 SECTION 49. AMENDATORY 20 O.S. 2021, Section 1108, is
12 amended to read as follows:

13 Section 1108. A. The Board of Trustees of the Oklahoma Public
14 Employees Retirement System shall have the responsibility for
15 management of the Uniform Retirement System for Justices and Judges
16 and the State Judicial Retirement Fund. All benefits payable under
17 The Uniform Retirement System for Justices and Judges, refunds of
18 contributions and overpayments, purchases or investments under the
19 law, and all expenses in connection with the System shall be paid
20 from the Oklahoma Judicial Retirement Fund. The State Judicial
21 Retirement Fund shall be invested and managed in the same manner as
22 now or hereinafter provided by law for the investment and management
23 of funds belonging to the Oklahoma Public Employees Retirement
24 System. The Uniform Retirement System for Justices and Judges shall

1 be an instrumentality of the State of Oklahoma. The System shall be
2 vested with the powers and duties specified in this act and such
3 other powers as may be necessary to enable it, its officers,
4 employees, and agents to carry out fully and effectively the
5 purposes and intent of this act.

6 1. The Board shall distribute the corpus and income of the
7 System to the members and their beneficiaries in accordance with the
8 System's law. At no time prior to the satisfaction of all
9 liabilities with respect to members and their beneficiaries shall
10 any part of the corpus and income be used for, or diverted to,
11 purposes other than the exclusive benefit of the members and their
12 beneficiaries.

13 2. The Board may not engage in a transaction prohibited by
14 Section 503(b) of the federal Internal Revenue Code.

15 3. The Board shall be responsible for the policies and rules
16 for the general administration of the System, subject to the
17 provisions of this act. Except as specifically provided in this
18 act, the Uniform Retirement System for Justices and Judges shall
19 generally be managed in the same manner as now or hereinafter
20 provided by law or by rule for the management of the Oklahoma Public
21 Employees Retirement System.

22 4. The Board shall establish rules for the administration of
23 the System and for the transaction of its business consistent with
24

1 law, which rules shall be promulgated in compliance with the
2 Administrative Procedures Act.

3 5. The Board may adopt all necessary actuarial tables to be
4 used in the operation of the System as recommended by the actuary
5 and may compile such additional data as may be necessary for
6 required actuarial valuation calculations.

7 6. All decisions of the Board as to questions of fact shall be
8 final and conclusive on all persons except for the right of review
9 as provided by law and except for fraud or such gross mistake of
10 fact as to have effect equivalent to fraud.

11 7. Any person who shall knowingly make any false statement, or
12 who shall falsify or permit to be falsified any record necessary for
13 carrying out the intent of this act for the purpose of committing
14 fraud, shall be guilty of a misdemeanor, and upon conviction shall
15 be punished by a fine not exceeding Five Hundred Dollars (\$500.00)
16 or by imprisonment for not exceeding one (1) year. Should any error
17 in any records of the Uniform Retirement System for Justices and
18 Judges result in any member or beneficiary receiving more or less
19 than he or she would have been entitled to receive had the records
20 been correct, the Board shall correct such error, and, as far as
21 practicable, make future payments in such manner that the actuarial
22 equivalent of the benefit to which such member or beneficiary was
23 entitled shall be paid, and to this end, may recover any
24 overpayments.

1 B. The Board of Trustees of the Oklahoma Public Employees
2 Retirement System shall compile a quarterly financial report of all
3 the funds of the State Judicial Retirement Fund on a fiscal year
4 basis. The report shall be compiled pursuant to uniform reporting
5 standards prescribed by the Oklahoma State Pension Commission for
6 all state retirement systems. The report shall include several
7 relevant measures of investment value, including acquisition cost
8 and current fair market value with appropriate summaries of total
9 holdings and returns. The report shall contain combined and
10 individual rate of returns of the investment managers by category of
11 investment, over periods of time. The Board of Trustees shall
12 include in the quarterly reports all commissions, fees or payments
13 for investment services performed on behalf of the Board of Trustees
14 with respect to the State Judicial Retirement Fund. The report
15 shall be electronically distributed to the Governor, the Oklahoma
16 State Pension Commission, the Legislative Service Bureau, the
17 Speaker of the House of Representatives, and the President Pro
18 Tempore of the Senate utilizing the centralized filing system
19 provided for in Section 378 of this act. In lieu of compiling and
20 distributing the quarterly report, the Board may provide the Pension
21 Commission with direct access to the same data from the custodian
22 bank for the System.

23 C. There is hereby created the Retirement Medical Benefit Fund.
24 The fund shall be maintained as a subaccount of the State Judicial

1 Retirement Fund. The Retirement Medical Benefit Fund is composed of
2 all assets which may be contributed to this subaccount to pay the
3 retirement system's portion of the monthly retiree health insurance
4 premium benefit described by Section 1316.2 of Title 74 of the
5 Oklahoma Statutes. All such allocated assets and any earnings
6 thereon in the Retirement Medical Benefit Fund shall be held for the
7 exclusive purpose of providing retiree medical benefits. The
8 Retirement Medical Benefit Fund is to be administered in accordance
9 with the requirements of Section 401(h) of the Internal Revenue Code
10 of 1986, as amended from time to time. The Board of Trustees may
11 promulgate such rules as are necessary to implement the funding and
12 administration of the fund pursuant to the provisions of this
13 subsection.

14 D. After July 1 and before December 1 of each year, the Board
15 of Trustees of the Oklahoma Public Employees Retirement System shall
16 publish widely an annual report presented in simple and easily
17 understood language pursuant to uniform reporting standards
18 prescribed by the Oklahoma State Pension Commission for all state
19 retirement systems. The report shall be electronically submitted to
20 the Governor, the Speaker of the House of Representatives, the
21 President Pro Tempore of the Senate, the Oklahoma State Pension
22 Commission, and the members of the System utilizing the centralized
23 filing system provided for in Section 378 of this act. The annual
24 report shall cover the operation of the System during the past

1 fiscal year, including income, disbursements, and the financial
2 condition of the System at the end of the fiscal year. The annual
3 report shall also contain the information issued in the quarterly
4 reports required pursuant to subsection B of this section as well as
5 a summary of the results of the most recent actuarial valuation to
6 include total assets, total liabilities, unfunded liability or
7 overfunded status, contributions and any other information deemed
8 relevant by the Board of Trustees. The annual report shall be
9 written in such a manner as to permit a readily understandable means
10 for analyzing the financial condition and performance of the System
11 for the fiscal year.

12 E. The Board shall adopt a cost of living adjustment actuarial
13 assumption in its annual actuarial valuation report.

14 SECTION 50. AMENDATORY 20 O.S. 2021, Section 1225, is
15 amended to read as follows:

16 Section 1225. The State Auditor and Inspector shall enforce all
17 of the provisions of this act and, utilizing the centralized filing
18 system provided for in Section 378 of this act, electronically
19 report any violations thereof to the Chief Justice, the President
20 Pro Tempore of the Senate, and the Speaker of the House.

21 SECTION 51. AMENDATORY 20 O.S. 2021, Section 1656, is
22 amended to read as follows:

23

24

1 Section 1656. A. The members of the Council on Judicial
2 Complaints shall qualify by taking the constitutional oath of
3 office.

4 B. The Council shall elect a chair and vice-chair. The chair
5 and vice-chair shall serve for terms of office set by the Council,
6 not to exceed their terms as members of the Council.

7 C. The Council shall adopt rules pursuant to the Administrative
8 Procedures Act.

9 D. The Council shall, utilizing the centralized filing system
10 provided for in Section 378 of this act, electronically provide to
11 the President Pro Tempore of the Senate and the Speaker of the House
12 of Representatives quarterly reports of the number of judicial
13 complaints filed, dismissed, and referred for further disciplinary
14 action.

15 SECTION 52. AMENDATORY 21 O.S. 2021, Section 142.15, is
16 amended to read as follows:

17 Section 142.15. The Board shall prepare and, utilizing the
18 centralized filing system provided for in Section 378 of this act,
19 electronically transmit annually to the Governor and the Speaker of
20 the House of Representatives and the President Pro Tempore of the
21 Senate, a report of its activities, including the amount of
22 compensation awarded and a statistical summary of claims and awards
23 made and denied.

24

1 SECTION 53. AMENDATORY 21 O.S. 2021, Section 1290.16, is
2 amended to read as follows:

3 Section 1290.16.

4 STATISTICAL REPORT

5 By January 15, 1997, and by January 15 of each year thereafter,
6 the Bureau shall, utilizing the centralized filing system provided
7 for in Section 378 of this act, electronically submit a statistical
8 report for the preceding calendar year to the Governor, the
9 President Pro Tempore of the Senate, and the Speaker of the House of
10 Representatives, including, but not limited to, data on the numbers
11 of handgun licenses approved and issued and the numbers of licenses
12 suspended, revoked or denied in the following categories: age, sex,
13 race, county, and any other category deemed relevant by the Bureau.

14 SECTION 54. AMENDATORY 22 O.S. 2021, Section 34.5, is
15 amended to read as follows:

16 Section 34.5. A. The Attorney General's Office of Civil Rights
17 Enforcement shall promulgate rules establishing procedures for
18 filing a racial profiling complaint with the Attorney General's
19 Office of Civil Rights Enforcement and the district attorney and the
20 process for delivering a copy of the complaint by the Attorney
21 General to the employing agency. The Attorney General's Office of
22 Civil Rights Enforcement, in consultation with the Governor's
23 Cabinet Secretary for Safety and Security, shall promulgate forms
24 for complaints of racial profiling.

1 B. The Attorney General shall compile an annual report of all
2 complaints received for racial profiling and, utilizing the
3 centralized filing system provided for in Section 378 of this act,
4 electronically submit the report on or before January 31 of each
5 year to the Governor, the President Pro Tempore of the Senate, and
6 the Speaker of the House of Representatives; provided, the names of
7 the complainants shall be redacted and shall not be forwarded with
8 the report.

9 SECTION 55. AMENDATORY 22 O.S. 2021, Section 116, is
10 amended to read as follows:

11 Section 116. A. District attorneys shall prepare and submit an
12 annual report to the District Attorneys Council showing total
13 deposits and total expenditures in the Bogus Check Restitution
14 Program.

15 B. By September 15 of each year, the District Attorneys Council
16 shall publish an annual report for the previous fiscal year of the
17 Bogus Check Restitution Program. A copy of the report shall be
18 electronically distributed to the President Pro Tempore of the
19 Senate ~~and,~~ the Speaker of the Oklahoma House of Representatives,
20 and the chairmen of the House and Senate Appropriations Committees
21 utilizing the centralized filing system provided for in Section 378
22 of this act. Each district attorney shall submit information
23 requested by the District Attorneys Council regarding the Bogus
24 Check Restitution Program. This report shall include the number of

1 checks processed and the total dollar amount of such checks, the
2 number of checks for which some restitution was made and the total
3 amount of the restitution, the total amount of fees collected, the
4 total cost of the program, and such other information as required by
5 the District Attorneys Council. The report shall provide totals by
6 county and district.

7 SECTION 56. AMENDATORY 22 O.S. 2021, Section 988.15, as
8 amended by Section 1, Chapter 14, O.S.L. 2023 (22 O.S. Supp. 2025,
9 Section 988.15), is amended to read as follows:

10 Section 988.15. The Community Sentencing Division within the
11 Department of Corrections shall have the duty to:

12 1. Administer a statewide community sentencing system pursuant
13 to the provisions of the Oklahoma Community Sentencing Act and other
14 provisions of law;

15 2. Establish goals and standards for the statewide community
16 sentencing system and the local community sentencing systems;

17 3. Promulgate rules pursuant to the Administrative Procedures
18 Act for the implementation and operation of the Oklahoma Community
19 Sentencing Act;

20 4. Provide technical assistance and administrative support to
21 each local community sentencing system. The technical assistance
22 shall include, but not be limited to, information on:

23 a. corrections system design,

24 b. administration,

- c. development, monitoring, and evaluating of programs and services,
- d. program identification and specifications,
- e. offender risk management,
- f. supervision of offenders,
- g. planning and budgeting,
- h. grant applications, and
- i. preparation and submission of documents, data, budgets, and system plans;

5. Coordinate and collaborate with other state agencies for services and technical assistance to each local community sentencing system;

6. Apply for and accept money and other assets to be utilized for support of a statewide community sentencing system and to allocate and disburse appropriated funds to local community sentencing systems through an appropriate funding method;

7. Review, analyze and fund local system plans within budgetary limitations;

8. Contract with local service providers and state agencies for services to the local system;

9. Identify and solicit other funding sources and resources to support the statewide community sentencing system;

10. Request post-audits of state funds;

11. Monitor and coordinate local systems;

1 12. Provide performance-based evaluations for all service
2 providers of the statewide system;

3 13. ~~Report~~ Utilizing the centralized filing system provided for
4 in Section 378 of this act, electronically submit a report annually
5 by January 15 to the Legislature and Governor on the statewide
6 system. The report shall provide an evaluation of the effectiveness
7 of the Oklahoma Community Sentencing Act in terms of public safety,
8 appropriate range of community punishments, cost-effectiveness,
9 performance-based effectiveness in reducing recidivism, utilization
10 by the judiciary, resource allocation, reduced state and local
11 institutional receptions, if any, and statistical data, including,
12 but not limited to, community sentencing participation by county,
13 total number of qualifying and nonqualifying community sentences per
14 month for each local community sentencing system, total number of
15 community sentences ordered per month, program participation and the
16 annual average cost per offender. A copy of the report shall also
17 be submitted to the Oklahoma Statistical Analysis Center, a unit of
18 the Oklahoma State Bureau of Investigation, which shall publish the
19 annual report on the website of the Bureau; and

20 14. Disseminate information to local administrators and
21 community sentencing systems concerning corrections issues
22 including, but not limited to:

- 23 a. punishment options,
- 24 b. disciplinary sanctions,

- c. resource allocation,
- d. administration,
- e. legal issues,
- f. supervision and risk management,
- g. treatment methodology and services,
- h. education and vocational services,
- i. service and program monitoring and evaluation methods,
- j. grants and funding assistance,
- k. data and record keeping, and
- l. offender characteristics.

SECTION 57. AMENDATORY 22 O.S. 2021, Section 991a, as last amended by Section 1, Chapter 306, O.S.L. 2025 (22 O.S. Supp. 2025, Section 991a), is amended to read as follows:

Section 991a. A. Except as otherwise provided in the Elderly and Incapacitated Victim's Protection Program, when a defendant is convicted of a crime and no death sentence is imposed, the court shall either:

1. Suspend the execution of sentence in whole or in part, with or without probation. The court, in addition, may order the convicted defendant at the time of sentencing or at any time during the suspended sentence to do one or more of the following:

- a. to provide restitution to the victim as provided by Section 991f et seq. of this title or according to a schedule of payments established by the sentencing

1 court, together with interest upon any pecuniary sum
2 at the rate of twelve percent (12%) per annum, if the
3 defendant agrees to pay such restitution or, in the
4 opinion of the court, if the defendant is able to pay
5 such restitution without imposing manifest hardship on
6 the defendant or the immediate family and if the
7 extent of the damage to the victim is determinable
8 with reasonable certainty,

9 b. to reimburse any state agency for amounts paid by the
10 state agency for hospital and medical expenses
11 incurred by the victim or victims, as a result of the
12 criminal act for which such person was convicted,
13 which reimbursement shall be made directly to the
14 state agency, with interest accruing thereon at the
15 rate of twelve percent (12%) per annum,

16 c. to engage in a term of community service without
17 compensation, according to a schedule consistent with
18 the employment and family responsibilities of the
19 person convicted,

20 d. to pay a reasonable sum into any trust fund
21 established pursuant to the provisions of Sections 176
22 through 180.4 of Title 60 of the Oklahoma Statutes and
23 which provides restitution payments by convicted
24 defendants to victims of crimes committed within this

- 1 state wherein such victim has incurred a financial
2 loss,
- 3 e. to confinement in the county jail for a period not to
4 exceed six (6) months,
- 5 f. to confinement as provided by law together with a term
6 of post-imprisonment community supervision for not
7 less than three (3) years of the total term allowed by
8 law for imprisonment, with or without restitution;
9 provided, however, the authority of this provision is
10 limited to Section 843.5 of Title 21 of the Oklahoma
11 Statutes when the offense involved sexual abuse or
12 sexual exploitation; Sections 681, 741 and 843.1 of
13 Title 21 of the Oklahoma Statutes when the offense
14 involved sexual abuse or sexual exploitation; and
15 Sections 865 et seq., 885, 886, 888, 891, 1021,
16 1021.2, 1021.3, 1040.13a, 1087, 1088, 1111.1, 1115 and
17 1123 of Title 21 of the Oklahoma Statutes,
- 18 g. to repay the reward or part of the reward paid by a
19 local certified crime stoppers program and the
20 Oklahoma Reward System. In determining whether the
21 defendant shall repay the reward or part of the
22 reward, the court shall consider the ability of the
23 defendant to make the payment, the financial hardship
24 on the defendant to make the required payment and the

1 importance of the information to the prosecution of
2 the defendant as provided by the arresting officer or
3 the district attorney with due regard for the
4 confidentiality of the records of the local certified
5 crime stoppers program and the Oklahoma Reward System.
6 The court shall assess this repayment against the
7 defendant as a cost of prosecution. The term
8 "certified" means crime stoppers organizations that
9 annually meet the certification standards for crime
10 stoppers programs established by the Oklahoma Crime
11 Stoppers Association to the extent those standards do
12 not conflict with state statutes. The term "court"
13 refers to all municipal and district courts within
14 this state. The "Oklahoma Reward System" means the
15 reward program established by Section 150.18 of Title
16 74 of the Oklahoma Statutes,

17 h. to reimburse the Oklahoma State Bureau of
18 Investigation for costs incurred by that agency during
19 its investigation of the crime for which the defendant
20 pleaded guilty, nolo contendere or was convicted
21 including compensation for laboratory, technical or
22 investigation services performed by the Bureau if, in
23 the opinion of the court, the defendant is able to pay
24 without imposing manifest hardship on the defendant,

1 and if the costs incurred by the Bureau during the
2 investigation of the defendant's case may be
3 determined with reasonable certainty,

4 i. to reimburse the Oklahoma State Bureau of
5 Investigation and any authorized law enforcement
6 agency for all costs incurred by that agency for
7 cleaning up an illegal drug laboratory site for which
8 the defendant pleaded guilty, nolo contendere or was
9 convicted. The court clerk shall collect the amount
10 and may retain five percent (5%) of such monies to be
11 deposited in the Court Clerk's Revolving Fund to cover
12 administrative costs and shall remit the remainder to
13 the Oklahoma State Bureau of Investigation to be
14 deposited in the OSBI Revolving Fund established by
15 Section 150.19a of Title 74 of the Oklahoma Statutes
16 or to the general fund wherein the other law
17 enforcement agency is located,

18 j. to pay a reasonable sum to the Crime Victims
19 Compensation Board, created by Section 142.2 et seq.
20 of Title 21 of the Oklahoma Statutes, for the benefit
21 of crime victims,

22 k. to reimburse the court fund for amounts paid to court-
23 appointed attorneys for representing the defendant in
24 the case in which the person is being sentenced,

1. to participate in an assessment and evaluation by an assessment agency or assessment personnel certified by the Department of Mental Health and Substance Abuse Services pursuant to Section 3-460 of Title 43A of the Oklahoma Statutes and, as determined by the assessment, participate in an alcohol and drug substance abuse course or treatment program or both, pursuant to Sections 3-452 and 3-453 of Title 43A of the Oklahoma Statutes, or as ordered by the court,
- m. to be placed in a victims impact panel program, as defined in subsection H of this section, or victim/offender reconciliation program and payment of a fee to the program of Seventy-five Dollars (\$75.00) as set by the governing authority of the program to offset the cost of participation by the defendant. Provided, each victim/offender reconciliation program shall be required to obtain a written consent form voluntarily signed by the victim and defendant that specifies the methods to be used to resolve the issues, the obligations and rights of each person and the confidentiality of the proceedings. Volunteer mediators and employees of a victim/offender reconciliation program shall be immune from liability

1 and have rights of confidentiality as provided in
2 Section 1805 of Title 12 of the Oklahoma Statutes,
3 n. to install, at the expense of the defendant, an
4 ignition interlock device approved by the Board of
5 Tests for Alcohol and Drug Influence. The device
6 shall be installed upon every motor vehicle operated
7 by the defendant, and the court shall require that a
8 notation of this restriction be affixed to the
9 defendant's driver license. The restriction shall
10 remain on the driver license not exceeding two (2)
11 years to be determined by the court. The restriction
12 may be modified or removed only by order of the court
13 and notice of any modification order shall be given to
14 Service Oklahoma. Upon the expiration of the period
15 for the restriction, Service Oklahoma shall remove the
16 restriction without further court order. Failure to
17 comply with the order to install an ignition interlock
18 device or operating any vehicle without a device
19 during the period of restriction shall be a violation
20 of the sentence and may be punished as deemed proper
21 by the sentencing court. As used in this paragraph,
22 "ignition interlock device" means a device that,
23 without tampering or intervention by another person,
24 would prevent the defendant from operating a motor

- 1 vehicle if the defendant has a blood or breath alcohol
2 concentration of two-hundredths (0.02) or greater,
- 3 o. to be confined by electronic monitoring administered
4 and supervised by the Department of Corrections or a
5 community sentence provider, and payment of a
6 monitoring fee to the supervising authority, not to
7 exceed Three Hundred Dollars (\$300.00) per month. Any
8 fees collected pursuant to this subparagraph shall be
9 deposited with the appropriate supervising authority.
10 Any willful violation of an order of the court for the
11 payment of the monitoring fee shall be a violation of
12 the sentence and may be punished as deemed proper by
13 the sentencing court. As used in this paragraph,
14 "electronic monitoring" means confinement of the
15 defendant within a specified location or locations
16 with supervision by means of an electronic device
17 approved by the Department of Corrections which is
18 designed to detect if the defendant is in the court-
19 ordered location at the required times and which
20 records violations for investigation by a qualified
21 supervisory agency or person,
- 22 p. to perform one or more courses of treatment, education
23 or rehabilitation for any conditions, behaviors,
24 deficiencies or disorders which may contribute to

1 criminal conduct including but not limited to alcohol
2 and substance abuse, mental health, emotional health,
3 physical health, propensity for violence, antisocial
4 behavior, personality or attitudes, deviant sexual
5 behavior, child development, parenting assistance, job
6 skills, vocational-technical skills, domestic
7 relations, literacy, education or any other
8 identifiable deficiency which may be treated
9 appropriately in the community and for which a
10 certified provider or a program recognized by the
11 court as having significant positive impact exists in
12 the community. Any treatment, education or
13 rehabilitation provider required to be certified
14 pursuant to law or rule shall be certified by the
15 appropriate state agency or a national organization,

16 q. to submit to periodic testing for alcohol,
17 intoxicating substance or controlled dangerous
18 substances by a qualified laboratory,

19 r. to pay a fee or costs for treatment, education,
20 supervision, participation in a program or any
21 combination thereof as determined by the court, based
22 upon the defendant's ability to pay the fees or costs,
23
24

- s. to be supervised by a Department of Corrections employee, a private supervision provider or other person designated by the court,
- t. to obtain positive behavior modeling by a trained mentor,
- u. to serve a term of confinement in a restrictive housing facility available in the community,
- v. to serve a term of confinement in the county jail at night or during weekends pursuant to Section 991a-2 of this title or for work release,
- w. to obtain employment or participate in employment-related activities,
- x. to participate in mandatory day reporting to facilities or persons for services, payments, duties or person-to-person contacts as specified by the court,
- y. to pay day fines not to exceed fifty percent (50%) of the net wages earned. For purposes of this paragraph, "day fine" means the offender is ordered to pay an amount calculated as a percentage of net daily wages earned. The day fine shall be paid to the local community sentencing system as reparation to the community. Day fines shall be used to support the local system,

- 1 z. to submit to blood or saliva testing as required by
2 subsection I of this section,
- 3 aa. to repair or restore property damaged by the
4 defendant's conduct, if the court determines the
5 defendant possesses sufficient skill to repair or
6 restore the property and the victim consents to the
7 repairing or restoring of the property,
- 8 bb. to restore damaged property in kind or payment of out-
9 of-pocket expenses to the victim, if the court is able
10 to determine the actual out-of-pocket expenses
11 suffered by the victim,
- 12 cc. to attend a victim-offender reconciliation program if
13 the victim agrees to participate and the offender is
14 deemed appropriate for participation,
- 15 dd. to prioritize payments for restitution to the victim,
- 16 ee. in the case of a person convicted of prostitution
17 pursuant to Section 1029 of Title 21 of the Oklahoma
18 Statutes, require such person to receive counseling
19 for the behavior which may have caused such person to
20 engage in prostitution activities. Such person may be
21 required to receive counseling in areas including but
22 not limited to alcohol and substance abuse, sexual
23 behavior problems or domestic abuse or child abuse
24 problems,

1 ff. in the case of a sex offender sentenced after November
2 1, 1989, and required by law to register pursuant to
3 the Sex Offender Registration Act, the court shall
4 require the person to comply with sex offender
5 specific rules and conditions of supervision
6 established by the Department of Corrections and
7 require the person to participate in a treatment
8 program designed for the treatment of sex offenders
9 during the period of time while the offender is
10 subject to supervision by the Department of
11 Corrections. The treatment program shall include
12 polygraph examinations specifically designed for use
13 with sex offenders for purposes of supervision and
14 treatment compliance, and shall be administered not
15 less than each six (6) months during the period of
16 supervision. The examination shall be administered by
17 a certified licensed polygraph examiner. The
18 treatment program ~~must~~ shall be approved by the
19 Department of Corrections or the Department of Mental
20 Health and Substance Abuse Services. Such treatment
21 shall be at the expense of the defendant based on the
22 defendant's ability to pay,
23 gg. in addition to other sentencing powers of the court,
24 the court in the case of a defendant being sentenced

1 for a felony conviction for a violation of Section 2-
2 402 of Title 63 of the Oklahoma Statutes which
3 involves marijuana may require the person to
4 participate in a drug court program, if available. If
5 a drug court program is not available, the defendant
6 may be required to participate in a community
7 sanctions program, if available,

8 hh. in the case of a person convicted of any false or
9 bogus check violation, as defined in Section 1541.4 of
10 Title 21 of the Oklahoma Statutes, impose a fee of
11 Twenty-five Dollars (\$25.00) to the victim for each
12 check, and impose a bogus check fee to be paid to the
13 district attorney. The bogus check fee paid to the
14 district attorney shall be equal to the amount
15 assessed as court costs plus Twenty-five Dollars
16 (\$25.00) for each check upon filing of the case in
17 district court. This money shall be deposited in the
18 Bogus Check Restitution Program Fund as established in
19 subsection B of Section 114 of this title.

20 Additionally, the court may require the offender to
21 pay restitution and bogus check fees on any other
22 bogus check or checks that have been submitted to the
23 Bogus Check Restitution Program, and

24 ii. any other provision specifically ordered by the court.

1 However, any such order for restitution, community service,
2 payment to a local certified crime stoppers program, payment to the
3 Oklahoma Reward System or confinement in the county jail, or a
4 combination thereof, shall be made in conjunction with probation and
5 shall be made a condition of the suspended sentence.

6 However, unless under the supervision of the district attorney,
7 the offender shall be required to pay Forty Dollars (\$40.00) per
8 month to the district attorney during the first two (2) years of
9 probation to compensate the district attorney for the costs incurred
10 during the prosecution of the offender and for the additional work
11 of verifying the compliance of the offender with the rules and
12 conditions of his or her probation. The district attorney may waive
13 any part of this requirement in the best interests of justice. The
14 court shall not waive, suspend, defer or dismiss the costs of
15 prosecution in its entirety. However, if the court determines that
16 a reduction in the fine, costs and costs of prosecution is
17 warranted, the court shall equally apply the same percentage
18 reduction to the fine, costs and costs of prosecution owed by the
19 offender;

20 2. Impose a fine prescribed by law for the offense, with or
21 without probation or commitment and with or without restitution or
22 service as provided for in this section, Section 991a-4.1 of this
23 title or Section 227 of Title 57 of the Oklahoma Statutes;

1 3. Commit such person for confinement provided for by law with
2 or without restitution as provided for in this section;

3 4. Order the defendant to reimburse the Oklahoma State Bureau
4 of Investigation for costs incurred by that agency during its
5 investigation of the crime for which the defendant pleaded guilty,
6 nolo contendere or was convicted including compensation for
7 laboratory, technical or investigation services performed by the
8 Bureau if, in the opinion of the court, the defendant is able to pay
9 without imposing manifest hardship on the defendant, and if the
10 costs incurred by the Bureau during the investigation of the
11 defendant's case may be determined with reasonable certainty;

12 5. Order the defendant to reimburse the Oklahoma State Bureau
13 of Investigation for all costs incurred by that agency for cleaning
14 up an illegal drug laboratory site for which the defendant pleaded
15 guilty, nolo contendere or was convicted. The court clerk shall
16 collect the amount and may retain five percent (5%) of such monies
17 to be deposited in the Court Clerk's Revolving Fund to cover
18 administrative costs and shall remit the remainder to the Oklahoma
19 State Bureau of Investigation to be deposited in the OSBI Revolving
20 Fund established by Section 150.19a of Title 74 of the Oklahoma
21 Statutes;

22 6. In the case of nonviolent felony offenses, sentence such
23 person to the Community Service Sentencing Program;

1 7. In addition to the other sentencing powers of the court, in
2 the case of a person convicted of operating or being in control of a
3 motor vehicle while the person was under the influence of alcohol,
4 other intoxicating substance or a combination of alcohol or another
5 intoxicating substance, or convicted of operating a motor vehicle
6 while the ability of the person to operate such vehicle was impaired
7 due to the consumption of alcohol, require such person:

8 a. to participate in an alcohol and drug assessment and
9 evaluation by an assessment agency or assessment
10 personnel certified by the Department of Mental Health
11 and Substance Abuse Services pursuant to Section 3-460
12 of Title 43A of the Oklahoma Statutes and, as
13 determined by the assessment, participate in an
14 alcohol and drug substance abuse course or treatment
15 program or both, pursuant to Sections 3-452 and 3-453
16 of Title 43A of the Oklahoma Statutes,

17 b. to attend a victims impact panel program, as defined
18 in subsection H of this section, and to pay a fee of
19 Seventy-five Dollars (\$75.00) as set by the governing
20 authority of the program and approved by the court, to
21 the program to offset the cost of participation by the
22 defendant, if in the opinion of the court the
23 defendant has the ability to pay such fee,
24

- 1 c. to both participate in the alcohol and drug substance
2 abuse course or treatment program, pursuant to
3 subparagraph a of this paragraph and attend a victims
4 impact panel program, pursuant to subparagraph b of
5 this paragraph,
- 6 d. to install, at the expense of the person, an ignition
7 interlock device approved by the Board of Tests for
8 Alcohol and Drug Influence, upon every motor vehicle
9 operated by such person and to require that a notation
10 of this restriction be affixed to the person's driver
11 license at the time of reinstatement of the license.
12 The restriction shall remain on the driver license for
13 such period as the court shall determine. The
14 restriction may be modified or removed by order of the
15 court and notice of the order shall be given to
16 Service Oklahoma. Upon the expiration of the period
17 for the restriction, Service Oklahoma shall remove the
18 restriction without further court order. Failure to
19 comply with the order to install an ignition interlock
20 device or operating any vehicle without such device
21 during the period of restriction shall be a violation
22 of the sentence and may be punished as deemed proper
23 by the sentencing court, or
24

1 e. beginning January 1, 1993, to submit to electronically
2 monitored home detention administered and supervised
3 by the Department of Corrections, and to pay to the
4 Department a monitoring fee, not to exceed Seventy-
5 five Dollars (\$75.00) a month, to the Department of
6 Corrections, if in the opinion of the court the
7 defendant has the ability to pay such fee. Any fees
8 collected pursuant to this subparagraph shall be
9 deposited in the Department of Corrections Revolving
10 Fund. Any order by the court for the payment of the
11 monitoring fee, if willfully disobeyed, may be
12 enforced as an indirect contempt of court;

13 8. In addition to the other sentencing powers of the court, in
14 the case of a person convicted of prostitution pursuant to Section
15 1029 of Title 21 of the Oklahoma Statutes, require such person to
16 receive counseling for the behavior which may have caused such
17 person to engage in prostitution activities. Such person may be
18 required to receive counseling in areas including but not limited to
19 alcohol and substance abuse, sexual behavior problems or domestic
20 abuse or child abuse problems;

21 9. In addition to the other sentencing powers of the court, in
22 the case of a person convicted of any crime related to domestic
23 abuse, as defined in Section 60.1 of this title, the court may
24 require the defendant to undergo the treatment or participate in the

1 counseling services necessary to bring about the cessation of
2 domestic abuse against the victim. The defendant may be required to
3 pay all or part of the cost of the treatment or counseling services;

4 10. In addition to the other sentencing powers of the court,
5 the court, in the case of a sex offender sentenced after November 1,
6 1989, and required by law to register pursuant to the Sex Offenders
7 Registration Act, shall require the defendant to participate in a
8 treatment program designed specifically for the treatment of sex
9 offenders, if available. The treatment program will include
10 polygraph examinations specifically designed for use with sex
11 offenders for the purpose of supervision and treatment compliance,
12 provided the examination is administered by a certified licensed
13 polygraph examiner. The treatment program ~~must~~ shall be approved by
14 the Department of Corrections or the Department of Mental Health and
15 Substance Abuse Services. Such treatment shall be at the expense of
16 the defendant based on the ability of the defendant to pay;

17 11. In addition to the other sentencing powers of the court,
18 the court, in the case of a person convicted of abuse or neglect of
19 a child, as defined in Section 1-1-105 of Title 10A of the Oklahoma
20 Statutes, may require the person to undergo treatment or to
21 participate in counseling services. The defendant may be required
22 to pay all or part of the cost of the treatment or counseling
23 services;

1 12. In addition to the other sentencing powers of the court,
2 the court, in the case of a person convicted of cruelty to animals
3 pursuant to Section 1685 of Title 21 of the Oklahoma Statutes, may
4 require the person to pay restitution to animal facilities for
5 medical care and any boarding costs of victimized animals;

6 13. In addition to the other sentencing powers of the court, a
7 sex offender who is habitual or aggravated as defined by Section 584
8 of Title 57 of the Oklahoma Statutes and who is required to register
9 as a sex offender pursuant to the Sex Offenders Registration Act
10 shall be supervised by the Department of Corrections for the
11 duration of the registration period and shall be assigned to a
12 global position monitoring device by the Department of Corrections
13 for the duration of the registration period. The cost of such
14 monitoring device shall be reimbursed by the offender;

15 14. In addition to the other sentencing powers of the court, in
16 the case of a sex offender who is required by law to register
17 pursuant to the Sex Offenders Registration Act, the court may
18 prohibit the person from accessing or using any Internet social
19 networking website that has the potential or likelihood of allowing
20 the sex offender to have contact with any child who is under the age
21 of eighteen (18) years;

22 15. In addition to the other sentencing powers of the court, in
23 the case of a sex offender who is required by law to register
24 pursuant to the Sex Offenders Registration Act, the court shall

1 require the person to register any electronic mail address
2 information, instant message, chat or other Internet communication
3 name or identity information that the person uses or intends to use
4 while accessing the Internet or used for other purposes of social
5 networking or other similar Internet communication; or

6 16. In addition to the other sentencing powers of the court,
7 and pursuant to the terms and conditions of a written plea
8 agreement, the court may prohibit the defendant from entering,
9 visiting or residing within the judicial district in which the
10 defendant was convicted until after completion of his or her
11 sentence; provided, however, the court shall ensure that the
12 defendant has access to those services or programs for which the
13 defendant is required to participate as a condition of probation.
14 When seeking to enter the prohibited judicial district for personal
15 business not related to his or her criminal case, the defendant
16 shall be required to obtain approval by the court.

17 B. Notwithstanding any other provision of law, any person who
18 is found guilty of a violation of any provision of Section 761 or
19 11-902 of Title 47 of the Oklahoma Statutes or any person pleading
20 guilty or nolo contendere for a violation of any provision of such
21 sections shall be ordered to participate in, prior to sentencing, an
22 alcohol and drug assessment and evaluation by an assessment agency
23 or assessment personnel certified by the Department of Mental Health
24 and Substance Abuse Services for the purpose of evaluating the

1 receptivity to treatment and prognosis of the person. The court
2 shall order the person to reimburse the agency or assessor for the
3 evaluation. The fee shall be the amount provided in subsection C of
4 Section 3-460 of Title 43A of the Oklahoma Statutes. The evaluation
5 shall be conducted at a certified assessment agency, the office of a
6 certified assessor or at another location as ordered by the court.
7 The agency or assessor shall, within seventy-two (72) hours from the
8 time the person is assessed, submit a written report to the court
9 for the purpose of assisting the court in its final sentencing
10 determination. No person, agency or facility operating an alcohol
11 and drug substance abuse evaluation program certified by the
12 Department of Mental Health and Substance Abuse Services shall
13 solicit or refer any person evaluated pursuant to this subsection
14 for any treatment program or alcohol and drug substance abuse
15 service in which such person, agency or facility has a vested
16 interest; however, this provision shall not be construed to prohibit
17 the court from ordering participation in or any person from
18 voluntarily utilizing a treatment program or alcohol and drug
19 substance abuse service offered by such person, agency or facility.
20 If a person is sentenced to the custody of the Department of
21 Corrections and the court has received a written evaluation report
22 pursuant to this subsection, the report shall be furnished to the
23 Department of Corrections with the judgment and sentence. Any
24 evaluation report submitted to the court pursuant to this subsection

1 shall be handled in a manner which will keep such report
2 confidential from the general public's review. Nothing contained in
3 this subsection shall be construed to prohibit the court from
4 ordering judgment and sentence in the event the defendant fails or
5 refuses to comply with an order of the court to obtain the
6 evaluation required by this subsection.

7 C. When sentencing a person convicted of a crime, the court
8 shall first consider a program of restitution for the victim, as
9 well as imposition of a fine or incarceration of the offender. The
10 provisions of paragraph 1 of subsection A of this section shall not
11 apply to defendants being sentenced upon their third or subsequent
12 to their third conviction of a felony. Provided, the court may
13 waive these prohibitions upon written application of the district
14 attorney. Both the application and the waiver shall be made part of
15 the record of the case.

16 D. When sentencing a person convicted of a crime, the judge
17 shall consider any victim impact statements if submitted to the
18 jury, or the judge in the event a jury is waived.

19 E. Probation, for purposes of subsection A of this section, is
20 a procedure by which a defendant found guilty of a crime, whether
21 upon a verdict or plea of guilty or upon a plea of nolo contendere,
22 is released by the court subject to conditions imposed by the court
23 and subject to supervision by the Department of Corrections, a
24 private supervision provider or other person designated by the

1 court. Such supervision shall be initiated upon an order of
2 probation from the court, and shall not exceed two (2) years, unless
3 a petition alleging a violation of any condition of deferred
4 judgment or seeking revocation of the suspended sentence is filed
5 during the supervision, or as otherwise provided by law. In the
6 case of a person convicted of a sex offense, supervision shall begin
7 immediately upon release from incarceration or if parole is granted
8 and shall not be limited to two (2) years. Provided further, any
9 supervision provided for in this section may be extended for a
10 period not to exceed the expiration of the maximum term or terms of
11 the sentence upon a determination by the court or the Division of
12 Probation and Parole of the Department of Corrections that the best
13 interests of the public and the release will be served by an
14 extended period of supervision.

15 F. The Department of Corrections, or such other agency as the
16 court may designate, shall be responsible for the monitoring and
17 administration of the restitution and service programs provided for
18 by subparagraphs a, c and d of paragraph 1 of subsection A of this
19 section, and shall ensure that restitution payments are forwarded to
20 the victim and that service assignments are properly performed.

21 G. 1. The Department of Corrections is hereby authorized,
22 subject to funds available through appropriation by the Legislature,
23 to contract with counties for the administration of county Community
24 Service Sentencing Programs.

1 2. Any offender eligible to participate in the Program pursuant
2 to this section shall be eligible to participate in a county
3 Program; provided, participation in county-funded Programs shall not
4 be limited to offenders who would otherwise be sentenced to
5 confinement with the Department of Corrections.

6 3. The Department shall establish criteria and specifications
7 for contracts with counties for such Programs. A county may apply
8 to the Department for a contract for a county-funded Program for a
9 specific period of time. The Department shall be responsible for
10 ensuring that any contracting county complies in full with
11 specifications and requirements of the contract. The contract shall
12 set appropriate compensation to the county for services to the
13 Department.

14 4. The Department is hereby authorized to provide technical
15 assistance to any county in establishing a Program, regardless of
16 whether the county enters into a contract pursuant to this
17 subsection. Technical assistance shall include appropriate
18 staffing, development of community resources, sponsorship,
19 supervision, and any other requirements.

20 5. The Department shall annually, utilizing the centralized
21 filing system provided for in Section 378 of this act,
22 electronically make a report to the Governor, the President Pro
23 Tempore of the Senate, and the Speaker of the House on the number of
24 such Programs, the number of participating offenders, the success

1 rates of each Program according to criteria established by the
2 Department and the costs of each Program.

3 H. As used in this section:

4 1. "Ignition interlock device" means a device that, without
5 tampering or intervention by another person, would prevent the
6 defendant from operating a motor vehicle if the defendant has a
7 blood or breath alcohol concentration of two-hundredths (0.02) or
8 greater;

9 2. "Electronically monitored home detention" means
10 incarceration of the defendant within a specified location or
11 locations with monitoring by means of a device approved by the
12 Department of Corrections that detects if the person leaves the
13 confines of any specified location; and

14 3. "Victims impact panel program" means a program conducted by
15 a corporation registered with the Secretary of State in Oklahoma for
16 the sole purpose of operating a victims impact panel program. The
17 program shall include live presentations from presenters who will
18 share personal stories with participants about how alcohol, drug
19 abuse, the operation of a motor vehicle while using an electronic
20 communication device or the illegal conduct of others has personally
21 impacted the lives of the presenters. A victims impact panel
22 program shall be attended by persons who have committed the offense
23 of driving, operating or being in actual physical control of a motor
24 vehicle while under the influence of alcohol or other intoxicating

1 substance, operating a motor vehicle while the ability of the person
2 to operate such vehicle was impaired due to the consumption of
3 alcohol or any other substance or operating a motor vehicle while
4 using an electronic device or by persons who have been convicted of
5 furnishing alcoholic beverage to persons under twenty-one (21) years
6 of age, as provided in Sections 6-101 and 6-120 of Title 37A of the
7 Oklahoma Statutes. Persons attending a victims impact panel program
8 shall be required to pay a fee of Seventy-five Dollars (\$75.00) to
9 the provider of the program. A certificate of completion shall be
10 issued to the person upon satisfying the attendance and fee
11 requirements of the victims impact panel program. The certificate
12 of completion shall contain the business identification number of
13 the program provider. A certified assessment agency, certified
14 assessor or provider of an alcohol and drug substance abuse course
15 shall be prohibited from providing a victims impact panel program
16 and shall further be prohibited from having any proprietary or
17 pecuniary interest in a victims impact panel program. The provider
18 of the victims impact panel program shall carry general liability
19 insurance and maintain an accurate accounting of all business
20 transactions and funds received in relation to the victims impact
21 panel program. Beginning October 1, 2020, and each October 1
22 thereafter, the provider of the victims impact panel program shall
23 provide to the District Attorneys Council the following:

- a. proof of registration with the Oklahoma Secretary of State,
- b. proof of general liability insurance,
- c. end-of-year financial statements prepared by a certified public accountant,
- d. a copy of federal income tax returns filed with the Internal Revenue Service,
- e. a registration fee of One Thousand Dollars (\$1,000.00). The registration fee shall be deposited in the District Attorneys Council Revolving Fund created in Section 215.28 of Title 19 of the Oklahoma Statutes, and
- f. a statement certifying that the provider of the victims impact panel program has complied with all of the requirements set forth in this paragraph.

I. A person convicted of a felony offense or receiving any form of probation for an offense in which registration is required pursuant to the Sex Offenders Registration Act, shall submit to deoxyribonucleic acid (DNA) testing for law enforcement identification purposes in accordance with Section 150.27 of Title 74 of the Oklahoma Statutes and the rules promulgated by the Oklahoma State Bureau of Investigation for the OSBI Combined DNA Index System (CODIS) Database. Subject to the availability of funds, any person convicted of a misdemeanor offense of assault and

1 battery, domestic abuse, stalking, possession of a controlled
2 substance prohibited under the Uniform Controlled Dangerous
3 Substances Act, outraging public decency, resisting arrest, escape
4 or attempting to escape, eluding a police officer, Peeping Tom,
5 pointing a firearm, threatening an act of violence, breaking and
6 entering a dwelling place, destruction of property, negligent
7 homicide or causing a personal injury accident while driving under
8 the influence of any intoxicating substance, or any alien unlawfully
9 present under federal immigration law, upon arrest, shall submit to
10 DNA testing for law enforcement identification purposes in
11 accordance with Section 150.27 of Title 74 of the Oklahoma Statutes
12 and the rules promulgated by the Oklahoma State Bureau of
13 Investigation for the OSBI Combined DNA Index System (CODIS)
14 Database. Any defendant sentenced to probation shall be required to
15 submit to testing within thirty (30) days of sentencing either to
16 the Department of Corrections or to the county sheriff or other
17 peace officer as directed by the court. Defendants who are
18 sentenced to a term of incarceration shall submit to testing in
19 accordance with Section 530.1 of Title 57 of the Oklahoma Statutes,
20 for those defendants who enter the custody of the Department of
21 Corrections or to the county sheriff, for those defendants sentenced
22 to incarceration in a county jail. Convicted individuals who have
23 previously submitted to DNA testing under this section and for whom
24 a valid sample is on file in the OSBI Combined DNA Index System

1 (CODIS) Database at the time of sentencing shall not be required to
2 submit to additional testing. Except as required by the Sex
3 Offenders Registration Act, a deferred judgment does not require
4 submission to DNA testing.

5 Any person who is incarcerated in the custody of the Department
6 of Corrections after July 1, 1996, and who has not been released
7 before January 1, 2006, shall provide a blood or saliva sample prior
8 to release. Every person subject to DNA testing after January 1,
9 2006, whose sentence does not include a term of confinement with the
10 Department of Corrections shall submit a blood or saliva sample.
11 Every person subject to DNA testing who is sentenced to unsupervised
12 probation or otherwise not supervised by the Department of
13 Corrections shall submit for blood or saliva testing to the sheriff
14 of the sentencing county.

15 J. Samples of blood or saliva for DNA testing required by
16 subsection I of this section shall be taken by employees or
17 contractors of the Department of Corrections, peace officers, or the
18 county sheriff or employees or contractors of the sheriff's office.
19 The individuals shall be properly trained to collect blood or saliva
20 samples. Persons collecting blood or saliva for DNA testing
21 pursuant to this section shall be immune from civil liabilities
22 arising from this activity. All collectors of DNA samples shall
23 ensure the collection of samples are mailed to the Oklahoma State
24 Bureau of Investigation within ten (10) days of the time the subject

1 appears for testing or within ten (10) days of the date the subject
2 comes into physical custody to serve a term of incarceration. All
3 collectors of DNA samples shall use sample kits provided by the OSBI
4 and procedures promulgated by the OSBI. Persons subject to DNA
5 testing who are not received at the Lexington Assessment and
6 Reception Center shall be required to pay a fee of Fifteen Dollars
7 (\$15.00) to the agency collecting the sample for submission to the
8 OSBI Combined DNA Index System (CODIS) Database. Any fees collected
9 pursuant to this subsection shall be deposited in the revolving
10 account or the service fee account of the collection agency or
11 department.

12 K. When sentencing a person who has been convicted of a crime
13 that would subject that person to the provisions of the Sex
14 Offenders Registration Act, neither the court nor the district
15 attorney shall be allowed to waive or exempt such person from the
16 registration requirements of the Sex Offenders Registration Act.

17 SECTION 58. AMENDATORY 22 O.S. 2021, Section 991f-1.1,
18 is amended to read as follows:

19 Section 991f-1.1. A. Each district attorney shall create
20 within the district attorney's office a Restitution and Diversion
21 Program and assign sufficient staff and resources for the efficient
22 operation of such program. The purpose of the Restitution and
23 Diversion Program is to allow the district attorney the discretion
24 to divert criminal complaints involving property crimes from

1 criminal court and to monitor restitution payments. At the
2 discretion of the district attorney, the program may be administered
3 by the Bogus Check Restitution Program operated by the county.

4 B. 1. Referral of a criminal complaint to the Restitution and
5 Diversion Program shall be at the discretion of the district
6 attorney. This act shall not limit the power of the district
7 attorney to prosecute criminal complaints.

8 2. Upon receipt of a criminal complaint involving property, the
9 district attorney shall determine if the complaint is one which is
10 appropriate for deferred prosecution.

11 3. In determining whether to defer prosecution and refer a case
12 to the Restitution and Diversion Program, the district attorney
13 shall consider the following factors:

- 14 a. whether the criminal complaint alleges an offense
15 involving property,
- 16 b. whether the alleged offense was committed in an
17 aggressive, violent, premeditated or willful manner,
- 18 c. the prospects for adequate protection of the public if
19 the accused person is processed through deferred
20 prosecution in the Restitution and Diversion Program,
- 21 d. the number of criminal complaints against the
22 defendant previously received by the district
23 attorney,

- e. whether or not there are other criminal complaints currently pending against the defendant,
- f. the strength of the evidence of the particular criminal complaint, and
- g. the wishes of the victim.

C. Upon referral of a complaint to the Restitution and Diversion Program, a notice of the complaint shall be forwarded by mail to the accused person. The notice shall contain:

1. The date the act which is the subject of the complaint occurred;
2. The name of the victim;
3. The date before which the accused person ~~must~~ shall contact the office of the district attorney concerning the complaint; and
4. A statement of the penalty for the crime which is the subject of the complaint.

D. The district attorney may enter into a written agreement with the accused person to defer prosecution on the criminal complaint for a period to be determined by the district attorney, not to exceed three (3) years pending restitution being made to the victim of the complaint and payment of necessary fees.

E. Each restitution agreement shall include a provision requiring the accused person to pay to the district attorneys office a fee equal to the amount which would have been assessed as court costs upon the filing of the case in district court plus Twenty-five

1 Dollars (\$25.00) for each criminal complaint covered by the
2 agreement. This fee may be deposited in a special fund with the
3 county treasurer to be known as the "Restitution and Diversion
4 Program Fund" or in the Bogus Check Restitution Fund. The monies
5 deposited in the Restitution and Diversion Program Fund shall be
6 used by the district attorney to make any lawful expenditure
7 associated with the district attorney's office. The district
8 attorney shall keep records of all monies deposited to and disbursed
9 from these funds. The records of these funds shall be audited at
10 the same time the records of county funds are audited.

11 F. 1. Restitution to be paid by the accused person to the
12 victim shall include out-of-pocket expenses the victim incurred as a
13 direct result of the crime having been committed. A restitution
14 agreement may include provisions for restitution in an amount up to
15 treble the amount of property involved except such restitution shall
16 not apply to false or bogus checks. If, instead of paying
17 restitution directly to the victim, the accused person delivers
18 restitution funds to the office of the district attorney, the
19 district attorney shall deposit such funds in a depository account
20 in the office of the county treasurer to be disbursed to the victim
21 by a warrant signed by the district attorney or a member of the
22 district attorney's staff assigned to the Restitution and Diversion
23 Program. The district attorney shall keep full records of all
24

1 restitution monies received and disbursed. These records shall be
2 audited at the same time the county funds are audited;

3 2. If the accused person fails to comply with the provisions of
4 the Restitution and Diversion Program agreement, the district
5 attorney may file an information and proceed with the prosecution of
6 the accused person as provided by law.

7 G. Members of the district attorney's staff shall perform
8 duties in connection with the Restitution and Diversion Program in
9 addition to any other duties which may be assigned by the district
10 attorney.

11 H. 1. District attorneys shall prepare and submit an annual
12 report to the District Attorneys Council showing total deposits and
13 total expenditures in the Restitution and Diversion Program.

14 2. By September 15 of each year, the District Attorneys Council
15 shall publish an annual report for the previous fiscal year of the
16 Restitution and Diversion Program. A copy of the report shall be
17 electronically distributed to the President Pro Tempore of the
18 Senate ~~and~~, the Speaker of the House of Representatives, and the
19 chairs of the House and Senate Appropriations Committees utilizing
20 the centralized filing system provided for in Section 378 of this
21 act. Each district attorney shall submit information requested by
22 the District Attorneys Council regarding the Restitution and
23 Diversion Program. This report shall include the number of cases
24 processed, the total dollar amount for which restitution was made,

1 the total amount of the restitution collected, the total amount of
2 fees collected, the total cost of the program, and such other
3 information as required by the District Attorneys Council.

4 I. For the purposes of the Restitution and Diversion Program,
5 the following definitions shall apply:

6 1. "Property Crime" shall include, but not be limited to the
7 following:

8 a. embezzlement offenses,

9 b. larceny offenses,

10 c. theft offenses,

11 d. malicious injury to property, and

12 e. any offense which results in economic loss, but does

13 not result in physical injury to another human being,

14 and which is not enumerated in Section 571 of Title 57

15 of the Oklahoma Statutes;

16 2. "Victim" is defined by Section 991f of this title;

17 3. "Restitution" is defined by Section 991f of this title; and

18 4. "Economic loss" is defined by Section 991f of this title.

19 J. The victim shall promptly provide to the Restitution and
20 Diversion Program all documentation and evidence of compensation or
21 reimbursement from insurance companies or agencies of this state,
22 any other state, or the federal government received as a direct
23 result of the crime for injury, loss of earnings or out-of-pocket
24 loss.

1 SECTION 59. AMENDATORY 22 O.S. 2021, Section 1355.4, is
2 amended to read as follows:

3 Section 1355.4. A. The chief executive officer of the Oklahoma
4 Indigent Defense System shall be the Executive Director, who shall
5 be appointed by the Board and serve at the pleasure of the Board.
6 The Executive Director shall be an attorney who has practiced law
7 for at least four (4) years preceding the appointment and who is
8 licensed to practice law in this state or is eligible to become so
9 licensed within one (1) year of the appointment. The Executive
10 Director shall have experience in the representation of persons
11 accused or convicted of crimes.

12 B. The Executive Director shall perform administrative
13 functions which serve the Board.

14 C. The Executive Director shall have the following powers and
15 duties:

16 1. To prepare and administer an annual budget approved by the
17 Board and to process claims for the System;

18 2. To enter into contracts to provide counsel in cases in which
19 the defendant is indigent and unable to employ counsel, to enter
20 into contracts with individuals, educational institutions, or state
21 or federal agencies for other purposes, and to approve or disapprove
22 the provisions of any such contract;

23 3. To review and approve or disapprove claims for expenditures
24 of monies;

- 1 4. To take such actions as shall strengthen the criminal
2 justice system in this state;
- 3 5. To promote the education and training of all attorneys
4 representing indigent criminal defendants including, subject to
5 available funding, nationally recognized defense seminars and
6 evidence-based practices regarding behavioral health and treatment
7 of defendants with substance abuse or mental health needs;
- 8 6. To maintain and improve effective representation for the
9 indigent criminal defendant;
- 10 7. To employ personnel as necessary to carry out the duties
11 imposed upon the System by law and to set the salaries of such
12 personnel, subject to the salary schedules adopted by the Board;
- 13 8. To solicit and maintain a current list of attorneys licensed
14 to practice law in this state who are willing to accept case
15 assignments from the System and who meet any other qualifications as
16 set by the Board;
- 17 9. To solicit and maintain a separate list of persons eligible
18 for appointment to capital cases, who meet the qualifications set by
19 the System;
- 20 10. To establish reasonable hourly rates of compensation for
21 attorneys appointed in accordance with the Indigent Defense Act,
22 subject to approval by the Board;
- 23 11. To establish maximum caseloads for attorneys employed by
24 the System, subject to approval by the Board;

1 12. To reduce caseloads through reassignment of cases to
2 private attorneys, as necessary;

3 13. To approve the sharing of office space, equipment, or
4 personnel among the separate indigent defense programs within the
5 System;

6 14. To prepare and submit to the Board an annual report for the
7 preceding fiscal year regarding the efforts of the System to
8 implement the purposes of the Indigent Defense Act, and, utilizing
9 the centralized filing system provided for in Section 378 of this
10 act, to electronically file that report with the Governor, the
11 President Pro Tempore of the Senate, the Speaker of the House of
12 Representatives, the Chief Justice of the Oklahoma Supreme Court,
13 and the Presiding Judge of the Oklahoma Court of Criminal Appeals;

14 15. To conduct regional or statewide conferences and training
15 seminars for the purpose of implementing the provisions of the
16 Indigent Defense Act;

17 16. To provide System personnel who serve in an advisory
18 capacity to the indigent defenders and defense attorneys who
19 represent indigents pursuant to contract or who agree to accept
20 cases assigned by the System to represent indigents of this state;

21 17. To gather and disseminate information to indigent
22 defenders, including, but not limited to, changes in the law;

23
24

1 18. To recommend additional legislation necessary to upgrade
2 the Oklahoma Indigent Defense System or to improve the justice
3 system; and

4 19. To operate a cost-effective system by:

5 a. implementing procedures to track System expenditures
6 to show costs by case and client and to track time and
7 expenses by attorney if the attorney is employed by
8 the System,

9 b. adopting written policies regarding when employees are
10 to be in travel status and making efforts to reduce
11 travel costs, and

12 c. reviewing assignment of indigency status to identify
13 clients who have available resources, and collecting
14 costs of representation when feasible.

15 D. 1. The Executive Director is hereby authorized to develop,
16 establish, and maintain lists of approved contractors who have
17 agreed to provide expert services to the System. The lists shall
18 include any expert who desires to furnish services to the System and
19 who has filed a schedule of fees for services with, and on a form
20 approved by, the Executive Director. Any deviation in excess of the
21 published schedule of fees shall require the prior written approval
22 of the Executive Director. Any attorney appointed or assigned cases
23 in accordance with the Indigent Defense Act may request expert
24 services from the list of experts maintained by the Executive

1 Director. The Executive Director or designee may, in ~~said~~ such
2 person's sole discretion, approve requests for expert services;
3 provided, however, that nothing contained in the Indigent Defense
4 Act shall be construed to render the Executive Director a member of
5 the defense team in any System client's case for strategic purposes.

6 2. Attorneys appointed or assigned cases in accordance with the
7 Indigent Defense Act may request investigative or other nonexpert
8 witness services from the Executive Director on a form provided by
9 the Executive Director. The Executive Director or designee may, in
10 ~~said~~ such person's sole discretion, approve requests for such
11 services at a reasonable hourly rate of compensation; provided,
12 however, that nothing contained in the Indigent Defense Act shall be
13 construed to render the Executive Director a member of the defense
14 team in any System client's case for strategic purposes.

15 3. Services obtained under this section may be obtained as sole
16 source contracts and are specifically exempt from the requirements
17 of soliciting no less than three quotations found in paragraph 7 of
18 subsection A of Section 85.45j of Title 74 of the Oklahoma Statutes.

19 E. Each individual performing the services provided for in
20 subsection D of this section may, with the approval of the Executive
21 Director, be reimbursed for necessary travel expenses up to the
22 amount permitted by the State Travel Reimbursement Act.

23 F. Requests for expenses not included in subsections D and E of
24 this section shall require preapproval by the Executive Director.

SECTION 60. AMENDATORY 22 O.S. 2021, Section 1601, as amended by Section 1, Chapter 51, O.S.L. 2024 (22 O.S. Supp. 2025, Section 1601), is amended to read as follows:

Section 1601. A. There is hereby created the Domestic Violence Fatality Review Board within the Office of the Attorney General. The Board shall have the power and duty to:

1. Coordinate and integrate state and local efforts to address fatal domestic violence and create a body of information to prevent domestic violence deaths;

2. Collect, analyze, and interpret state and local data on domestic violence deaths;

3. Develop a state and local database on domestic violence deaths;

4. Improve the ability to provide protective services to victims of domestic violence who may be living in a dangerous environment;

5. Improve policies, procedures and practices within the agencies that serve victims of domestic violence; and

6. Enter into agreements with other state, local or private entities as necessary to carry out the duties of the Domestic Violence Fatality Review Board including, but not limited to, conducting joint reviews with the Child Death Review Board on domestic violence cases involving child death or child near-death incidents.

1 B. In carrying out its duties and responsibilities, the Board
2 shall:

3 1. Promulgate rules establishing criteria for identifying cases
4 involving a domestic violence death subject to specific, in-depth
5 review by the Board;

6 2. Conduct a specific case review of those cases where the
7 cause of death is or may be related to domestic violence;

8 3. Establish and maintain statistical information related to
9 domestic violence deaths, including, but not limited to, demographic
10 and medical diagnostic information;

11 4. Establish procedures for obtaining initial information
12 regarding domestic violence deaths from law enforcement agencies;

13 5. Review the policies, practices, and procedures of the
14 domestic violence protection and prevention system and make specific
15 recommendations to the entities comprising the domestic violence
16 prevention and protection system for actions necessary for the
17 improvement of the system;

18 6. Review the extent to which the state domestic violence
19 prevention and protection system is coordinated with law enforcement
20 and the court system and evaluate whether the state is efficiently
21 discharging its domestic violence prevention and protection
22 responsibilities;

23 7. Request and obtain a copy of all records and reports
24 pertaining to a domestic violence death case of the victim,

1 perpetrator, or any other person cohabitating in the domicile at the
2 time of the fatality that is under review, including, but not
3 limited to:

- 4 a. the report of the medical examiner,
- 5 b. hospital records,
- 6 c. school records,
- 7 d. court records,
- 8 e. prosecutorial records,
- 9 f. local, state, and federal law enforcement records,
10 including, but not limited to, the Oklahoma State
11 Bureau of Investigation (OSBI),
- 12 g. fire department records,
- 13 h. State Department of Health records, including birth
14 certificate records,
- 15 i. medical and dental records,
- 16 j. Department of Mental Health and Substance Abuse
17 Services and other mental health records,
- 18 k. emergency medical service records,
- 19 l. files of the Department of Human Services,
- 20 m. records of the Oklahoma Department of Corrections, and
- 21 n. records in the possession of the Child Death Review
22 Board when conducting a joint review pursuant to
23 paragraph 6 of subsection A of this section.

1 Confidential information provided to the Board shall be maintained
2 by the Board in a confidential manner as otherwise required by state
3 and federal law. Any person damaged by disclosure of such
4 confidential information by the Board or its members which is not
5 authorized by law may maintain an action for damages, costs, and
6 attorney fees pursuant to The Oklahoma Governmental Tort Claims Act;

7 8. Maintain all confidential information, documents and records
8 in possession of the Board as confidential and not subject to
9 subpoena or discovery in any civil or criminal proceedings;
10 provided, however, information, documents and records otherwise
11 available from other sources shall not be exempt from subpoena or
12 discovery through those sources solely because such information,
13 documents and records were presented to or reviewed by the Board;

14 9. Conduct reviews of specific cases of domestic violence
15 deaths and request the preparation of additional information and
16 reports as determined to be necessary by the Board including, but
17 not limited to, clinical summaries from treating physicians,
18 chronologies of contact, and second opinion autopsies;

19 10. Report, if recommended by a majority vote of the Board, to
20 the President Pro Tempore of the Senate and the Speaker of the House
21 of Representatives any gross neglect of duty by any state officer or
22 state employee, or any problem within the domestic violence
23 prevention and protection system discovered by the Board while
24 performing its duties. Such report shall be made electronically

1 utilizing the centralized filing system provided for in Section 378
2 of this act; and

3 11. Exercise all incidental powers necessary and proper for the
4 implementation and administration of the Domestic Violence Fatality
5 Review Board.

6 C. The review and discussion of individual cases of a domestic
7 violence death shall be conducted in executive session. All other
8 business shall be conducted in accordance with the provisions of the
9 Oklahoma Open Meeting Act. All discussions of individual cases and
10 any writings produced by or created for the Board in the course of
11 determining a remedial measure to be recommended by the Board, as
12 the result of a review of an individual case of a domestic violence
13 death, shall be privileged and shall not be admissible in evidence
14 in any proceeding. The Board shall periodically conduct meetings to
15 discuss organization and business matters and any actions or
16 recommendations aimed at improvement of the domestic violence
17 prevention and protection system which shall be subject to the
18 Oklahoma Open Meeting Act. Part of any meeting of the Board may be
19 specifically designated as a business meeting of the Board subject
20 to the Oklahoma Open Meeting Act.

21 D. The Board shall submit an annual statistical report on the
22 incidence and causes of domestic violence deaths in this state for
23 which the Board has completed its review during the past calendar
24 year including its recommendations, if any, to the domestic violence

1 prevention and protection system. The Board shall also prepare and
2 make available to the public, on an annual basis, a report
3 containing a summary of the activities of the Board relating to the
4 review of domestic violence deaths, the extent to which the state
5 domestic violence prevention and protection system is coordinated
6 and an evaluation of whether the state is efficiently discharging
7 its domestic violence prevention and protection responsibilities.
8 The report shall be completed no later than February 1 of the
9 subsequent year.

10 SECTION 61. AMENDATORY 22 O.S. 2021, Section 2002, as
11 amended by Section 2, Chapter 327, O.S.L. 2025 (22 O.S. Supp. 2025,
12 Section 2002), is amended to read as follows:

13 Section 2002. A. Disclosure of Evidence by the State.

14 1. Upon request of the defense, the state shall disclose the
15 following:

- 16 a. the names and addresses of witnesses which the state
17 intends to call at trial, together with their
18 relevant, written, or recorded statement, if any, or
19 if none, significant summaries of any oral statement,
- 20 b. law enforcement reports made in connection with the
21 particular case,
- 22 c. any written or recorded statements and the substance
23 of any oral statements made by the accused or made by
24 a codefendant,

- 1 d. any reports or statements made by experts in
2 connection with the particular case, including results
3 of physical or mental examinations and of scientific
4 tests, experiments, or comparisons,
5 e. any books, papers, documents, photographs, tangible
6 objects, buildings, or places which the prosecuting
7 attorney intends to use in the hearing or trial or
8 which were obtained from or belong to the accused,
9 f. any record of prior criminal convictions of the
10 defendant, or of any codefendant, and
11 g. Oklahoma State Bureau of Investigation (OSBI) rap
12 sheet/records check on any witness listed by the state
13 or the defense as a witness who will testify at trial,
14 as well as any convictions of any witness revealed
15 through additional record checks if the defense has
16 furnished Social Security numbers or date of birth for
17 their witnesses, except OSBI rap sheet/record checks
18 shall not provide date of birth, Social Security
19 number, home phone number, or address.

20 2. The state shall provide the defendant any evidence favorable
21 to the defendant if such evidence is material to either guilt or
22 punishment.

23 3. The prosecuting attorney's obligations under this standard
24 extend to:

- a. material and information in the possession or control of members of the prosecutor's staff,
- b. any information in the possession of law enforcement agencies that regularly report to the prosecutor of which the prosecutor should reasonably know, and
- c. any information in the possession of law enforcement agencies who have reported to the prosecutor with reference to the particular case of which the prosecutor should reasonably know.

4. a. If the state intends to introduce testimony of a jailhouse informant, the state shall disclose at least ten (10) days prior to trial:

- (1) the complete criminal history of such informant, including any dismissed charges,
- (2) any deal, promise, inducement, or benefit that the state or law enforcement agency has made or may make in the future to the jailhouse informant in connection with the testimony of such informant,
- (3) the specific statements or recordings made by the suspect or defendant and the time, place, and manner of the disclosure to the jailhouse informant,

1 (4) all other filed cases in which the state intended
2 to introduce the testimony of the jailhouse
3 informant in connection with a deal, promise,
4 inducement or benefit, the nature of the deal,
5 promise, inducement or benefit, and whether the
6 testimony was admitted in the case,

7 (5) whether at any time the jailhouse informant
8 recanted the testimony or statement, and if so, a
9 transcript or copy of such recantation, if any,
10 and

11 (6) any other information relevant to the credibility
12 of the informant.

13 b. Each district attorney's office shall maintain a
14 central record that tracks each case in which the
15 state intended to introduce the testimony of the
16 jailhouse informant against a suspect or defendant in
17 connection with a deal, promise, inducement or
18 benefit, the nature of the deal, promise, inducement,
19 or benefit and whether such testimony or statements
20 were admitted in the case. Such record shall be sent
21 to the District Attorneys Council which shall maintain
22 a statewide record of such information. Records
23 maintained pursuant to this paragraph shall only be
24 accessible to prosecutors and shall not be subject to

1 the Oklahoma Open Records Act. By September 15 of
2 each year, the District Attorneys Council shall
3 publish an annual report of aggregate, de-identified
4 data regarding the total number of cases tracked
5 pursuant to this section, and the number of cases
6 added during the previous fiscal year pursuant to this
7 section by each district attorney's office. A copy of
8 the report shall be electronically distributed to the
9 Governor, the President Pro Tempore of the Senate, the
10 Speaker of the House of Representatives, and the
11 chairs of the Senate and House Judiciary Committees
12 utilizing the centralized filing system provided for
13 in Section 378 of this act.

14 c. For purposes of this paragraph, "jailhouse informant"
15 means a person who provides, or who the prosecutor
16 intends to provide, testimony about admissions or
17 other relevant information made to him or her by the
18 suspect or defendant while both persons were detained
19 or incarcerated in a penal institution.

20 B. Disclosure of Evidence by the Defendant.

21 1. Upon request of the state, the defense shall be required to
22 disclose the following:

23 a. the names and addresses of witnesses which the defense
24 intends to call at trial, together with their

1 relevant, written, or recorded statement, if any, or
2 if none, significant summaries of any oral statement,
3 b. the name and address of any witness, other than the
4 defendant, who will be called to show that the
5 defendant was not present at the time and place
6 specified in the information or indictment, together
7 with the witness' statement to that fact, and
8 c. the names and addresses of any witness the defendant
9 will call, other than himself, for testimony relating
10 to any mental disease, mental defect, or other
11 condition bearing upon his mental state at the time
12 the offense was allegedly committed, together with the
13 witness' statement of that fact, if the statement is
14 redacted by the court to preclude disclosure of
15 privileged communication.

16 2. A statement filed under subparagraph a, b, or c of paragraph
17 1 of subsection A or B of this section is not admissible in evidence
18 at trial. Information obtained as a result of a statement filed
19 under subsection A or B of this section is not admissible in
20 evidence at trial except to refute the testimony of a witness whose
21 identity subsection A of this section requires to be disclosed.

22 3. Upon the prosecuting attorney's request after the time set
23 by the court, the defendant shall allow him access at any reasonable
24 times and in any reasonable manner to inspect, photograph, copy, or

1 have reasonable tests made upon any book, paper, document,
2 photograph, or tangible object which is within the defendant's
3 possession or control and which:

4 a. the defendant intends to offer in evidence, except to
5 the extent that it contains any communication of the
6 defendant, or

7 b. is a report or statement as to a physical or mental
8 examination or scientific test or experiment made in
9 connection with the particular case prepared by and
10 relating to the anticipated testimony of a person whom
11 the defendant intends to call as a witness, provided
12 the report or statement is redacted by the court to
13 preclude disclosure of privileged communication.

14 C. Continuing Duty to Disclose.

15 If, prior to or during trial, a party discovers additional
16 evidence or material previously requested or ordered, which is
17 subject to discovery or inspection under the Oklahoma Criminal
18 Discovery Code, such party shall promptly notify the other party,
19 the attorney of the other party, or the court of the existence of
20 the additional evidence or material.

21 D. Time of Discovery.

22 1. Motions for discovery may be made at the time of the
23 district court arraignment or thereafter; provided that requests for
24 police reports may be made subject to the provisions of Section 258

1 of this title. However, a request pursuant to Section 258 of this
2 title shall be subject to the discretion of the district attorney.
3 All issues relating to discovery, except as otherwise provided, will
4 be completed at least ten (10) days prior to trial. The court may
5 specify the time, place, and manner of making the discovery and may
6 prescribe such terms and conditions as are just.

7 2. Within thirty (30) days of the filing of an endorsed
8 complaint, indictment, or information in a court of record, law
9 enforcement shall provide to the prosecuting agency the following
10 records, if such records exist:

- 11 a. body camera videos at the time of arrest,
- 12 b. vehicle-mounted camera videos at the time of arrest,
- 13 and
- 14 c. a recording of the administration of a sobriety test.

15 3. Within ninety (90) days of the filing of an endorsed
16 complaint, indictment, or information, the prosecuting agency shall
17 make available the records described in paragraph 2 of this
18 subsection to the defendant or his or her representative.

19 4. Failure of a law enforcement agency to comply with the
20 provisions of paragraph 2 of this subsection may be punished by
21 contempt.

22 5. The following information may be redacted by the prosecuting
23 agency from the records provided to a defendant or his or her
24 representative as required by the provisions of paragraph 3 of this

1 subsection; provided that, notice of such redactions are given to
2 the defendant or to his or her representative:

- 3 a. information that would violate any requirement to keep
4 certain juvenile records confidential as provided for
5 in Title 10A of the Oklahoma Statutes,
- 6 b. information that would materially compromise an
7 ongoing criminal investigation or ongoing criminal
8 prosecution other than the case involving the
9 defendant,
- 10 c. information that would undermine the assertion of a
11 privilege to keep the identity of an informant
12 confidential as provided for in Section 2510 of Title
13 12 of the Oklahoma Statutes,
- 14 d. information that would identify any person who
15 provides information to law enforcement or the
16 information provided by that person when that person
17 requests anonymity or where disclosure of the identity
18 of the person or the information provided could
19 reasonably be expected to threaten or endanger the
20 physical safety or property of the person or the
21 physical safety or property of others, or
- 22 e. require production of records or videos that fall
23 outside the scope permitted under the provisions of
24 paragraph 2 of this subsection.

1 E. Regulation of Discovery.

2 1. Protective and Modifying Orders. Upon motion of the state
3 or defendant, the court may at any time order that specified
4 disclosures be restricted, or make any other protective order. If
5 the court enters an order restricting specified disclosures, the
6 entire text of the material restricted shall be sealed and preserved
7 in the records of the court to be made available to the appellate
8 court in the event of an appeal.

9 2. Failure to Comply with a Request. If at any time during the
10 course of the proceedings it is brought to the attention of the
11 court that a party has failed to comply with this rule, the court
12 may order such party to permit the discovery or inspection, grant
13 continuance, or prohibit the party from introducing evidence not
14 disclosed, or it may enter such other order as it deems just under
15 the circumstances.

16 3. The discovery order shall not include discovery of legal
17 work product of either attorney which is deemed to include legal
18 research or those portions of records, correspondence, reports, or
19 memoranda which are only the opinions, theories, or conclusions of
20 the attorney or the attorney's legal staff.

21 F. Reasonable cost of copying, duplicating, videotaping,
22 developing or any other cost associated with this Code for items
23 requested shall be paid by the party so requesting; however, any
24 item which was obtained from the defendant by the state of which

1 copies are requested by the defendant shall be paid by the state.
2 Provided, if the court determines the defendant is indigent and
3 without funds to pay the cost of reproduction of the required items,
4 the cost shall be paid by the Indigent Defender System, unless
5 otherwise provided by law.

6 SECTION 62. AMENDATORY 27A O.S. 2021, Section 1-1-202,
7 as last amended by Section 1, Chapter 164, O.S.L. 2023 (27A O.S.
8 Supp. 2025, Section 1-1-202), is amended to read as follows:

9 Section 1-1-202. A. Each state environmental agency shall:

10 1. Be responsible for fully implementing and enforcing the laws
11 and rules within its jurisdictional areas of environmental
12 responsibility;

13 2. Utilize and enforce the Oklahoma Water Quality Standards
14 established by the Department of Environmental Quality;

15 3. Seek to strengthen relationships between state, regional,
16 local, and federal environmental planning, development, and
17 management programs;

18 4. Specifically facilitate cooperation across jurisdictional
19 lines of authority with other state environmental agencies regarding
20 programs to resolve environmental concerns;

21 5. Cooperate with all state environmental agencies, other state
22 agencies and local or federal governmental entities to protect,
23 foster, and promote the general welfare, and the environment and
24 natural resources of this state;

1 6. Have the authority to engage in environmental and natural
2 resource information dissemination and education activities within
3 their respective areas of environmental jurisdiction; and

4 7. Participate in every hearing conducted by the Department of
5 Environmental Quality for the consideration, adoption, or amendment
6 of the classification of waters of the state and standards of purity
7 and quality thereof, and shall have the opportunity to present
8 written comment to the members of the Environmental Quality Board at
9 the same time staff recommendations are submitted to those members
10 for Board review and consideration.

11 B. 1. In addition to the requirements of subsection A of this
12 section, each state environmental agency shall have promulgated by
13 July 1, 2001, a Water Quality Standards Implementation Plan for its
14 jurisdictional areas of environmental responsibility in compliance
15 with the Administrative Procedures Act and pursuant to the
16 provisions of this section. Each agency shall review its plan at
17 least every three (3) years thereafter to determine whether
18 revisions to the plan are necessary.

19 2. Upon the request of any state environmental agency, the
20 Department of Environmental Quality shall provide consulting
21 assistance to such agency in developing a Water Quality Standards
22 Implementation Plan as required by this subsection.

23 3. Each Water Quality Standards Implementation Plan shall:
24

1 a. describe, generally, the processes, procedures, and
2 methodologies the state environmental agency will
3 utilize to ensure that programs within its
4 jurisdictional areas of environmental responsibility
5 will comply with anti-degradation standards and lead
6 to:

7 (1) maintenance of water quality where beneficial
8 uses are supported,

9 (2) removal of threats to water quality where
10 beneficial uses are in danger of not being
11 supported, and

12 (3) restoration of water quality where beneficial
13 uses are not being supported,

14 b. include the procedures to be utilized in the
15 application of use support assessment protocols to
16 make impairment determinations,

17 c. list and describe programs affecting water quality,

18 d. include technical information and procedures to be
19 utilized in implementing the Water Quality Standards
20 Implementation Plan,

21 e. describe the method by which the Water Quality
22 Standards Implementation Plan will be integrated into
23 the water quality management activities within the
24

1 jurisdictional areas of environmental responsibility
2 of the state environmental agency,

3 f. detail the manner in which the agency will comply with
4 mandated statewide requirements affecting water
5 quality developed by other state environmental
6 agencies including, but not limited to, total maximum
7 daily load development, water discharge permit
8 activities, and nonpoint source pollution prevention
9 programs,

10 g. include a brief summary of the written comments and
11 testimony received pursuant to all public meetings
12 held or sponsored by the state environmental agency
13 for the purpose of providing the public and other
14 state environmental agencies an opportunity to comment
15 on the plan, and

16 h. describe objective methods and means to evaluate the
17 effectiveness of activities conducted pursuant to the
18 Water Quality Standards Implementation Plan to achieve
19 Oklahoma Water Quality Standards.

20 C. 1. Each state environmental agency with groundwater
21 protection authority pursuant to Article III of the Oklahoma
22 Environmental Quality Act shall be the groundwater protection agency
23 for activities within its jurisdictional areas of environmental
24 responsibility.

1 2. The Department of Environmental Quality shall cooperate with
2 other state environmental agencies, as appropriate and necessary, in
3 the protection of such unassigned activities.

4 3. Groundwater regulatory agencies shall develop groundwater
5 protection practices to prevent groundwater contamination from
6 activities within their respective jurisdictional areas of
7 environmental responsibility.

8 4. Each groundwater protection agency shall promulgate such
9 rules, and issue such permits, policies, directives, or any other
10 appropriate requirements, as necessary, to implement the
11 requirements of this subsection.

12 5. Groundwater protection agencies shall take such action as
13 may be necessary to assure that activities within their respective
14 jurisdictional areas of environmental responsibility protect
15 groundwater quality to support the uses of the state's water
16 quality.

17 6. In addition, each groundwater protection agency with
18 enforcement authority is hereby authorized to:

- 19 a. engage the voluntary cooperation of all persons in the
20 maintenance and protection of groundwater, and to
21 advise, consult and cooperate with all persons, all
22 agencies of the state, universities and colleges, the
23 federal government or other states, and with
24 interstate agencies in the furtherance of the purposes

1 of this subsection, and to this end and for the
2 purposes of studies, scientific or other
3 investigations, research, experiments and
4 demonstrations pertaining thereto, receive and spend
5 funds as appropriated by the Legislature, and from
6 such agencies and other officers and persons on behalf
7 of the state,

8 b. encourage the formulation and execution of plans to
9 maintain and protect groundwater by cooperative groups
10 or associations of municipal corporations, industries,
11 industrial users, and other users of groundwaters of
12 the state, who, jointly or severally, are or may be
13 impacting on the maintenance and protection of
14 groundwater,

15 c. encourage, participate in or conduct or cause to be
16 conducted studies, scientific or other investigations,
17 research, experiments and demonstrations relating to
18 the maintenance and protection of groundwater, and to
19 collect data with respect thereto, all as may be
20 deemed advisable and necessary to carry out the
21 purposes of this subsection, and to make reports and
22 recommendations with respect thereto,

23 d. conduct groundwater sampling, data collection,
24 analyses, and evaluations with sufficient frequency to

ascertain the characteristics and quality of
groundwater and the sufficiency of the groundwater
protection programs established pursuant to this
subsection, and

e. develop a public education and promotion program to
aid and assist in publicizing the need of, and
securing support for, the maintenance and protection
of groundwater.

D. Each state environmental agency and each state agency with
limited environmental responsibilities shall participate in the
information management system developed by the Department of
Environmental Quality, pursuant to Section 1-4-107 of this title,
with such information as the Department shall reasonably request.

E. In each even-numbered year, in cooperation with other state
environmental agencies participating in the monitoring of water
resources, the Department of Environmental Quality shall, utilizing
the centralized filing system provided for in Section 378 of this
act, electronically provide a report on the status of water quality
monitoring to the Legislature for review.

SECTION 63. AMENDATORY 27A O.S. 2021, Section 1-2-101,
is amended to read as follows:

Section 1-2-101. A. The Secretary of Environment or successor
cabinet position having authority over the Department of

1 Environmental Quality shall have the following jurisdictional areas
2 of environmental responsibility:

3 1. Powers and duties for environmental areas designated to such
4 position by the Governor;

5 2. The recipient of federal funds disbursed pursuant to the
6 Federal Water Pollution Control Act, provided the Oklahoma Water
7 Resources Board is authorized to be the recipient of federal funds
8 to administer the State Revolving Fund Program. The federal funds
9 received by the Secretary of Environment shall be disbursed to each
10 state environmental agency and state agency with limited
11 environmental responsibilities based upon its statutory duties and
12 responsibilities relating to environmental areas as determined by
13 the Secretary of Environment in consultation with the Secretary of
14 Agriculture. Such funds shall be distributed to the appropriate
15 state environmental agency or state agency with limited
16 environmental responsibilities within thirty (30) days of its
17 receipt by the Secretary or as otherwise provided by grant or
18 contract terms without any assessment of administrative fees or
19 costs. Disbursement of other federal environmental funds shall not
20 be subject to this section. The Secretary of Environment shall ~~make~~
21 electronically submit, utilizing the centralized filing system
22 provided for in Section 378 of this act, an annual written report no
23 later than November 1 to the President Pro Tempore of the Senate,
24 the Speaker of the House of Representatives, and the Chair of each

1 environmental committee of both the House of Representatives and
2 Senate detailing the disbursement of federal funds;

3 3. Coordinate pollution control and complaint management
4 activities of the state carried on by all state agencies to avoid
5 duplication of effort including but not limited to the development
6 of a common data base for water quality information with a uniform
7 format for use by all state agencies and the public; and

8 4. Act on behalf of the public as trustee for natural resources
9 under the federal Oil Pollution Act of 1990, the federal
10 Comprehensive Environmental Response, Compensation and Liability Act
11 of 1980, as amended, the federal Water Pollution Control Act and any
12 other federal laws providing that a trustee for the natural
13 resources is to be designated. The Secretary is authorized to make
14 claims against federal funds, receive federal payments, establish
15 and manage a revolving fund in relation to duties as the natural
16 resources trustee consistent with the federal enabling acts and to
17 coordinate, monitor and gather information from and enter into
18 agreements with the appropriate state environmental agencies or
19 state agencies with limited environmental responsibilities in
20 carrying out the duties and functions of the trustee for the natural
21 resources of this state.

22 B. 1. The Secretary of the Environment or successor cabinet
23 position having authority over the Department of Environmental
24 Quality shall develop and implement, by January 1, 2000, public

1 participation procedures for the development ~~and/or~~ or modification
2 of:

- 3 a. the federally required list of impaired waters (303(d)
4 report),
- 5 b. the federally required water quality assessment
6 (305(b) report),
- 7 c. the federally required nonpoint source state
8 assessment (319 report), and
- 9 d. the continuing planning process document.

10 2. The procedures shall provide for the documents to be
11 submitted for formal public review with a published notice
12 consistent with the Administrative Procedures Act, providing for a
13 thirty-day comment period and the preparation of a responsiveness
14 summary by the applicable state environmental agency.

15 3. Information from current research shall be considered when
16 made available to the agency.

17 SECTION 64. AMENDATORY 27A O.S. 2021, Section 2-3-101,
18 is amended to read as follows:

19 Section 2-3-101. A. There is hereby created the Department of
20 Environmental Quality.

21 B. Within its jurisdictional areas of environmental
22 responsibility, the Department of Environmental Quality, through its
23 duly designated employees or representatives, shall have the power
24 and duty to:

1 1. Perform such duties as required by law; and

2 2. Be the official agency of the State of Oklahoma, as
3 designated by law, to cooperate with federal agencies for point
4 source pollution, solid waste, hazardous materials, pollution,
5 Superfund, water quality, hazardous waste, radioactive waste, air
6 quality, drinking water supplies, wastewater treatment, and any
7 other program authorized by law or executive order.

8 C. Any employee of the Department in a technical, supervisory
9 or administrative position relating to the review, issuance or
10 enforcement of permits pursuant to this Code who is an owner,
11 stockholder, employee or officer of, or who receives compensation
12 from, any corporation, partnership, or other business or entity
13 which is subject to regulation by the Department of Environmental
14 Quality shall disclose such interest to the Executive Director.
15 Such disclosure shall be submitted for Board review and shall be
16 made a part of the Board minutes available to the public. This
17 subsection shall not apply to financial interests occurring by
18 reason of an employee's participation in the Oklahoma State
19 Employees Deferred Compensation Plan or publicly traded mutual
20 funds.

21 D. The Executive Director, Deputy Director, and all other
22 positions and employees of the Department at the Division Director
23 level or higher shall be in the unclassified service.
24

1 E. The following programs are hereby established within the
2 Department of Environmental Quality:

3 1. An air quality program which shall be responsible for air
4 quality;

5 2. Water programs which shall be responsible for water quality,
6 including, but not limited to point source and nonpoint source
7 pollution within the jurisdiction of the Department, public and
8 private water supplies, public and private wastewater treatment,
9 water protection, and discharges to waters of the state;

10 3. Land protection programs which shall be responsible for
11 hazardous waste, solid waste, radiation, and municipal, industrial,
12 commercial, and other waste within its jurisdictional areas of
13 environmental responsibility pursuant to Section 1-3-101 of this
14 title; and

15 4. Special projects and services programs which shall be
16 responsible for duties related to planning, interagency
17 coordination, technical assistance programs, laboratory services and
18 laboratory certification, recycling, education, and dissemination of
19 information.

20 F. Within the Department there are hereby created:

21 1. The complaints program which shall be responsible for intake
22 processing, investigation, mediation and conciliation of inquiries
23 and complaints received by the Department and which shall provide
24

1 for the expedient resolution of complaints within the jurisdiction
2 of the Department; and

3 2. The customer assistance program which shall be responsible
4 for advising and providing to licensees, permittees and those
5 persons representing businesses or those persons associated with and
6 representing local political subdivisions desiring a license or
7 permit, the necessary forms, and the information necessary to comply
8 with the Oklahoma Environmental Quality Code. The customer
9 assistance program shall coordinate with other programs of the
10 Department to assist businesses and municipalities in complying with
11 state statutes and rules governing environmental areas.

12 The customer assistance program shall also be responsible for
13 advising and providing assistance to persons desiring information
14 concerning the Department's rules, laws, procedures, licenses or
15 permits, and forms used to comply with the Oklahoma Environmental
16 Quality Code.

17 G. The Department shall be responsible for holding
18 administrative hearings as defined in Section 2-1-102 of this title
19 and shall provide support services related to them, including, but
20 not limited to, giving required notices, maintaining the docket,
21 scheduling hearings, and maintaining legal records.

22 H. 1. The Department shall prepare and submit an annual report
23 assessing the status of the Department's programs to the Board, the
24 Governor, the President Pro Tempore of the State Senate, and the

1 Speaker of the Oklahoma House of Representatives by January 1 of
2 each year. The annual status report shall include: the number of
3 environmental inspections made within the various regulatory areas
4 under the Department's jurisdiction; the number of permit
5 applications submitted within the various regulatory areas under the
6 Department's jurisdiction; the number of permits issued within the
7 various regulatory areas under the Department's jurisdiction; the
8 number and type of complaints filed with the Department; the number
9 of resolved and unresolved Department complaints; a list of any
10 permits and complaints which failed to be either completed or
11 resolved within the Department's established time frames and an
12 explanation of why the Department was unable to meet said time
13 frames; the number and kinds of services provided corporations,
14 businesses, cities, towns, schools, citizen groups, and individuals
15 by the customer assistance programs; a summary of the Department's
16 environmental education efforts; the number and type of
17 administrative hearings held and their outcomes; a detailed
18 description of any promulgated and pending emergency or permanent
19 rules requested by the Department and the current status of pending
20 rules within the rulemaking process; the number of notices of
21 violations issued by the Department within the various regulatory
22 areas under its jurisdiction; the amount of penalties collected by
23 the Department within the various regulatory areas under its

24

jurisdiction; and any other information which the Department believes is pertinent.

2. Beginning January 1, 1995, and on or before January 1 of every year thereafter, the Department shall prepare an Oklahoma Environmental Quality Report which outlines the Department's annual needs for providing environmental services within its jurisdictional areas. The report shall reflect any new federal mandates and any state statutory or constitutional changes recommended by the Department within its jurisdictional areas. The Oklahoma Environmental Quality Report shall be reviewed, amended, and approved by the Board. The Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically transmit an approved copy of the Oklahoma Environmental Quality Report to the Governor, President Pro Tempore of the State Senate, and Speaker of the House of Representatives.

3. The Executive Director shall establish such divisions and such other programs and offices as the Executive Director may determine necessary to implement and administer programs and functions within the jurisdiction of the Department pursuant to the Oklahoma Environmental Quality Code.

I. 1. The Department may contract with other governmental entities to provide environmental services. Such contracts may include duties related to providing information to the public regarding state environmental services, resources, permitting

1 requirements and procedures based upon the ability, education, and
2 training of state environmental agency employees.

3 2. The Department, in conjunction with the state environmental
4 agencies, may develop a program for the purpose of training
5 government employees to provide any needed environmental services;
6 provided, that the investigation of complaints regarding, or
7 inspections of, permitted sites or facilities shall not be performed
8 by employees of other agencies, unless otherwise authorized by law.

9 SECTION 65. AMENDATORY 27A O.S. 2021, Section 2-3-109,
10 is amended to read as follows:

11 Section 2-3-109. A. There is hereby created the "Oklahoma
12 Energy Efficiency and Emission Reduction Program", to be
13 administered by the Department of Environmental Quality. The
14 purpose of the Oklahoma Energy Efficiency and Emission Reduction
15 Program is to fund activities and projects designed to reduce
16 regional air pollution.

17 B. The Oklahoma Legislature finds that any activity or project
18 that reduces regional air pollution is desirable and advantageous
19 and serves a compelling public interest. Further, improved air
20 quality enhances the health and quality of life for the citizens of
21 Oklahoma, helps maintain the abundant natural beauty and resources
22 of the state, and fosters the economic well-being of the state by
23 reducing the potential that the federal government will designate
24 some or all of the state as in air-quality "nonattainment" status,

1 resulting in extremely burdensome additional regulatory
2 requirements.

3 C. 1. Any funds made available for the Oklahoma Energy
4 Efficiency and Emission Reduction Program shall be used by the
5 Department for matching grants to governmental and nongovernmental
6 entities in Oklahoma to encourage the implementation of recognized
7 air pollution reduction measures, including, but not limited to, the
8 retrofitting of truck and bus fleets or locomotives to use cleaner
9 fuels and the installation and implementation of energy efficiency
10 measures.

11 2. Grants awarded under the Program shall be limited to ninety-
12 five percent (95%) of the direct project costs in the case of
13 governmental entities and seventy-five percent (75%) of the direct
14 project costs in the case of nongovernmental entities.

15 3. In making grant awards, the Department shall enter into a
16 contract or memorandum of agreement with the grantee that includes
17 conditions and safeguards to ensure that the matching funds are
18 expended for the purposes specified and that the state receives a
19 clear benefit from the expenditure. In addition to any other
20 conditions and safeguards deemed necessary and appropriate:

- 21 a. the Department shall require grant recipients to
22 submit a report within a reasonable time after
23 construction, installation, or implementation of the
24 project that summarizes the results, including

1 emissions reductions achieved and "lessons learned".

2 Information from the reports may be used by the
3 Department in evaluation of future grant applications
4 or proposals for the Oklahoma Energy Efficiency and
5 Emission Reduction Program or any similar grant
6 program and to determine the viability of other
7 projects or programs that may be proposed to control
8 or reduce air pollution in the state, and

9 b. to secure the maximum possible benefit by increasing
10 awareness of the Oklahoma Energy Efficiency and
11 Emission Reduction Program, the Department may require
12 any grant recipient to post notice in a conspicuous
13 place of participation in the Program and the nature
14 of the funded project.

15 4. Before making any grants, the Department shall determine to
16 its satisfaction that the proposed project will significantly reduce
17 air pollution within the state. The Department is authorized to set
18 a deadline for grant applications, and if the total grant funding
19 sought exceeds the amount available under the Program, the
20 Department shall give priority to those projects that appear to
21 achieve the maximum public health benefit for citizens of the state.

22 5. Not more than twenty-five percent (25%) of the total sum
23 available for grants under the Program shall be awarded to any
24 single entity. Application of this limit shall not preclude

1 participation by the recipient in any similar grant program in the
2 future.

3 D. If funds are appropriated by the Legislature for the
4 Oklahoma Energy Efficiency and Emission Reduction Program, not more
5 than One Hundred Thousand Dollars (\$100,000.00) annually of the
6 funds shall be used by the Department for personnel and other costs
7 associated with administration and management of the Program, and
8 for providing technical assistance to entities applying for and
9 participating in the Program.

10 E. On or before September 1, 2009, and by September 1 each year
11 thereafter, the Department shall, utilizing the centralized filing
12 system provided for in Section 378 of this act, electronically
13 submit to the Governor, the Speaker of the House of Representatives,
14 and the President Pro Tempore of the Senate a report on the Oklahoma
15 Energy Efficiency and Emission Reduction Program. The report shall
16 outline program expenditures, estimate emission reductions achieved,
17 and health or environmental benefits associated with those
18 reductions for the previous fiscal year, and any other information
19 the Department determines is necessary to aid the Governor and
20 Legislature in evaluating the Program.

21 SECTION 66. AMENDATORY 27A O.S. 2021, Section 2-6-501.4,
22 is amended to read as follows:

23 Section 2-6-501.4. A. ~~1-~~ The Department shall not approve any
24 sludge management plan or issue any permit for the land application

1 of sludge which contains heavy metal concentrations significantly
2 above concentration ranges normal to sludges with demonstrated
3 effectiveness on Oklahoma soils as determined by the Department.
4 Rules promulgated by the Board for applications for sludge
5 management plans and permits shall require a study of the effects of
6 the sludge on the various types of soils and crops found at the
7 location of the proposed sludge application site. Such study shall
8 encompass the effects of the sludge on the soils and crops during
9 four (4) growing seasons.

10 ~~2-~~ B. Any municipality having a sludge management plan approved
11 prior to May 25, 1992, for the land application of sludge containing
12 heavy metal concentrations significantly above acceptable
13 concentration ranges may discontinue such land application of the
14 sludge or shall develop a corrective action plan containing a
15 schedule of compliance for reducing the heavy metal concentration to
16 an acceptable range. The municipality shall submit the corrective
17 action plan to the Department for approval. If the Department
18 disapproves of the plan or the municipality fails to comply with the
19 plan so approved, the Department may require that any such land
20 applications of sludge by the municipality be discontinued pursuant
21 to Article II of the Administrative Procedures Act.

22 ~~B. For developing statewide criteria for application of sludge~~
23 ~~which contains heavy metal concentrations significantly above~~
24 ~~concentration ranges normal to sludge, the Department shall utilize~~

~~a comprehensive study of the potential adverse effects of such
sludge on the soils of this state completed by a qualified research
institute familiar with the crops and soils of this state. Such
study shall be completed by September 1, 1996, and a report of the
findings shall be delivered to the Governor, the President Pro
Tempore of the Senate, the Speaker of the House of Representatives
and the Executive Director no later than September 1, 1996.~~

SECTION 67. AMENDATORY 27A O.S. 2021, Section 2-7-307,
is amended to read as follows:

Section 2-7-307. The Department shall annually, utilizing the
centralized filing system provided for in Section 378 of this act,
electronically submit a written report on the use and disposition of
the fund to the Oklahoma State Legislature.

SECTION 68. AMENDATORY 27A O.S. 2021, Section 2-10-802,
is amended to read as follows:

Section 2-10-802. A. 1. Owners or operators of landfill
disposal sites which are not generator-owned and -operated
nonhazardous industrial waste monofills and owners or operators of
commercial incinerators shall install scales. Such scales shall be
installed on or within five (5) miles of the landfill disposal site
or incinerator and shall be tested and certified as required by
Section 14-35 of Title 2 of the Oklahoma Statutes relating to the
authority of the State Board of Agriculture to test the standards of
weights and measures within the state and to approve if found to be

1 correct. For purposes of this section, any reference to
2 "incinerator" or "incineration" shall encompass waste-to-energy
3 facilities that produce recoverable energy by high-temperature
4 combustion.

5 2. The owner or operator shall upon receipt weigh all waste
6 received and record the weight in writing. If scales at a disposal
7 site or incinerator are not operative, tonnage shall be estimated on
8 a volume basis whereby the volume reported shall be no less than the
9 volume capacity of the containers or, if none, of the vehicles
10 delivering the waste, and one cubic yard of solid waste shall be
11 calculated to weigh one-third (1/3) ton. The owner or operator
12 shall place notice in the operating record of the disposal site or
13 incinerator of the time and date at which the scales became
14 inoperable, describe the steps taken to repair them, and note the
15 date use was resumed. If daily use has not resumed within thirty
16 (30) days after the scales became inoperable, the owner or operator
17 shall give written notice to the Department of Environmental
18 Quality.

19 3. The owner or operator shall also maintain a written record
20 of the weight or volume of any solid waste received which is
21 productively reused or recovered in materially the same form as when
22 received and sold in accordance with the permit for the landfill
23 disposal site or incinerator.

1 4. The scale location restriction of this subsection shall not
2 apply to federal or state military installations so long as:

- 3 a. the scales are located within the physical boundary of
4 that installation, and
5 b. the disposal site or incinerator receives waste only
6 from that military installation.

7 B. 1. Except as otherwise provided by this subsection:

- 8 a. owners and operators of landfill disposal sites or
9 commercial incinerators which receive an average of
10 less than one hundred (100) tons of solid waste per
11 operating day shall assess a fee of One Dollar and
12 fifty cents (\$1.50) per ton of solid waste received
13 for disposal or incineration. A total of fifty cents
14 (\$.50) per ton of such fee shall be retained by the
15 owner or operator and used exclusively for capital
16 improvement to their facilities and for the projects
17 required pursuant to the Oklahoma Solid Waste
18 Management Act or the permit for the disposal site or
19 incinerator for such period of time necessary to
20 recoup a capital investment, plus the interest costs
21 expended in purchasing the scales, of a total of Forty
22 Thousand Dollars (\$40,000.00),
23 b. when the owner or operators have recouped a capital
24 investment of the total specified in subparagraph a of

1 this paragraph, the fee to be assessed shall be One
2 Dollar and twenty-five cents (\$1.25) per ton of solid
3 waste received for disposal or incineration. At such
4 time, for a return with remittance filed on or before
5 the due date, the owner or operator may deduct and
6 retain ten percent (10%) of the fees collected, and
7 c. records documenting the projects and use of the funds
8 shall be included with each return.

9 2. a. Owners and operators of landfill disposal sites or
10 commercial incinerators which receive an average of
11 more than one hundred (100) tons of solid waste per
12 operating day shall assess a fee of One Dollar and
13 fifty cents (\$1.50) per ton of solid waste received
14 for disposal or incineration, retaining twenty-five
15 cents (\$0.25) per ton for a period of time necessary
16 to recoup a capital investment, plus the interest
17 costs expended in purchasing the scales, of Forty
18 Thousand Dollars (\$40,000.00). At the end of such
19 period the fee shall revert to One Dollar and twenty-
20 five cents (\$1.25) per ton. For a return with
21 remittance filed on or before the due date, the owner
22 or operator may deduct and retain ten percent (10%) of
23 the fees collected.

b. Records documenting the capital investment and the use of the funds shall be included with each return.

3. Owners and operators of commercial composting facilities shall assess a fee of One Dollar and twenty-five cents (\$1.25) per ton of all composting material received.

4. a. Owners and operators of landfill disposal sites or commercial incinerators may be reimbursed for capital investment costs that have been or will be expended for the purchase and installation of a wheel wash system for use at the landfill disposal site or commercial incinerator facility. To be eligible to claim this reimbursement, the owner or operator ~~must~~ shall notify the Department no later than January 1, 2011, of the intent to claim the reimbursement, and the wheel wash system ~~must~~ shall be in place and operational no later than January 1, 2012.

Reimbursement shall be paid only after the wheel wash system is installed and operational and each landfill disposal site or commercial incinerator shall be eligible for reimbursement for only one wheel wash system.

b. The owner or operator shall provide records documenting the capital investment costs of the wheel wash system to the Department.

- 1 c. At such time as the wheel wash system is in place and
2 operational and the capital investment costs have been
3 approved by the Department, the Department shall
4 reimburse the owner or operator the approved costs,
5 subject to the limitations in subparagraph d of this
6 paragraph. The Department shall reimburse eligible
7 applicants in the order of approval until that
8 limitation has been reached. If there are multiple
9 eligible applicants awaiting reimbursement, the
10 Department shall apportion the reimbursement amount
11 among the eligible applicants according to the capital
12 investment costs approved by the Department.
- 13 d. If the total amount reimbursed to all eligible owners
14 and operators reaches Fifty Thousand Dollars
15 (\$50,000.00) within any state fiscal year, the
16 Department shall notify the owners and operators, and
17 thereafter the owners and operators shall not receive
18 any reimbursement until the next state fiscal year.
- 19 e. The Environmental Quality Board is authorized to
20 promulgate rules as necessary to implement the
21 provisions of the Solid Waste Management Act,
22 including rules specifying minimum standards or other
23 criteria for wheel wash systems necessary to qualify
24 for the reimbursement.

1 5. The fee assessed by paragraph 1 or 2 of this subsection
2 shall not be imposed on:

3 a. the solid waste received which is productively reused
4 or recovered in materially the same form as when
5 received in accordance with the permit for the
6 landfill disposal site or incinerator. The owner or
7 operator shall include records pertaining to this fee
8 exemption in the quarterly return of fees to the
9 Department,

10 b. generator-owned and -operated nonhazardous waste land
11 disposal monofills and waste subject to a fee pursuant
12 to Section 2-10-803 of this title. For emergencies
13 and other special events, the Department and the owner
14 or operator of a site subject to this section may
15 enter into a formal agreement to waive the fee, and

16 c. ash produced as a result of the combustion in a
17 commercial incinerator of waste on which the fee
18 imposed by this section has been paid.

19 6. Large industrial waste generators who generate over ten
20 thousand (10,000) tons of nonhazardous industrial solid waste in the
21 state in a calendar year may annually apply to the Department for a
22 certificate exempting the disposal or incineration of such generated
23 waste in excess of ten thousand (10,000) tons from the disposal and
24 incineration fee authorized by this section. An applicant ~~must~~

1 shall have implemented a pollution prevention plan for such waste
2 and filed it with the Department, provided operational documentation
3 regarding such plan and paid the disposal and incineration fee on
4 ten thousand (10,000) tons of the waste during the calendar year of
5 application. The Department-issued exemption certificates shall be
6 valid for the remainder of the calendar year of application, may
7 contain conditions, and, upon presentation by authorized persons,
8 shall be recognized by owners or operators of landfill disposal
9 sites and incinerators subject to this section. If a generator
10 operates a landfill or incinerator solely for waste from that
11 generator, and if that generator chooses to seek the exemption
12 authorized by this paragraph, the generator shall not be required to
13 install scales or keep records relative to quantity of waste
14 received for the landfill or incinerator.

15 7. The fee assessed by paragraph 1 or 2 of this subsection
16 shall be imposed for all nonhazardous solid wastes accepted for
17 disposal at a site or facility to which a solid waste or hazardous
18 waste permit has been issued by the Department of Environmental
19 Quality, and is to be a charge to waste producers in addition to any
20 charges specified in any contract or elsewhere. The fee shall be
21 imposed upon and passed through to disposers of waste using the
22 facility.

23 8. The owner or operator of a solid waste disposal site or
24 incinerator and the owner or operator of a commercial composting

1 facility shall collect the fee levied pursuant to this subsection as
2 trustee for the state and shall prepare and file with the Department
3 quarterly returns indicating:

4 a. the total tonnage of solid wastes or material for
5 composting received for disposal, incineration or
6 composting at the gate of the site, and

7 b. the total amount of the fees collected pursuant to
8 this section.

9 9. Not later than thirty (30) days after the end of the quarter
10 to which such a return applies, the owner or operator shall mail to
11 the Department the return for that quarter together with the fees
12 collected during that quarter as indicated on the return.

13 10. The owner or operator may receive an extension of not more
14 than thirty (30) days for filing the return and remitting the fees,
15 provided that:

16 a. the owner or operator has submitted a request for an
17 extension in writing to the Department together with a
18 detailed description of why the extension is
19 requested,

20 b. the Department has received the request not later than
21 the day on which the return is required to be filed,
22 and

23 c. the Department has approved the request.
24

1 11. For any quarterly return filed more than thirty (30) days
2 after the last day of the quarter or extension date, the owner or
3 operator shall remit an additional five percent (5%) of the fees
4 collected during the month to which the return applies. If the fees
5 are not remitted within sixty (60) days of the last day of the
6 quarter during which they were collected, the owner or operator
7 shall pay an additional fifteen percent (15%) of the amount of the
8 fees for each month that they are late.

9 12. If the owner or operator misrepresents, or fails to
10 properly measure or record, the amount of waste received or fails to
11 remit fees within sixty (60) days after the last day of the quarter
12 during which they were collected, the permit for the landfill
13 disposal site, incinerator or commercial composting facility shall
14 be summarily suspended by order and the Department shall initiate
15 the process of revoking the permit and may require closure of the
16 landfill, incinerator or commercial composting facility.

17 C. 1. The Department shall expend funds collected pursuant to
18 the provisions of this section solely for the administration and
19 enforcement of the provisions of the Oklahoma Solid Waste Management
20 Act and for the development of solid waste technical assistance
21 programs, solid waste public environmental education programs and
22 educational curricula, solid waste studies, development of a
23 statewide solid waste plan, solid waste recycling and litter
24 prevention programs, and other environmental improvements.

1 2. In order to assist the Department of Environmental Quality
2 regarding its responsibilities relating to the promotion of
3 recycling of solid waste, each fiscal year the Department shall
4 contract with units of local government, political subdivisions of
5 this state, components of The Oklahoma State System of Higher
6 Education, local and statewide organizations representing
7 municipalities or counties, or substate planning districts
8 recognized by the Oklahoma Department of Commerce, for up to a total
9 of One Hundred Thousand Dollars (\$100,000.00) and to the extent such
10 monies are available for projects promoting the recycling of solid
11 waste. Local governments, political subdivisions of this state,
12 components of The Oklahoma State System of Higher Education, local
13 and statewide organizations representing municipalities and counties
14 and substate planning districts recognized by the Oklahoma
15 Department of Commerce desiring to contract with the Department for
16 such projects shall meet the application requirements of rules
17 promulgated by the Environmental Quality Board and the criteria
18 established by a recycling priorities plan prepared annually by the
19 Department after review and comment by the Solid Waste Management
20 Advisory Council. Except as otherwise provided by this section,
21 contracts for such projects shall not be granted to state agencies.

22 3. Any litter prevention program shall be developed by the
23 Department in conjunction with the Department of Transportation.
24

- 1 4. a. To the extent that funds are available, the Department
2 may also reimburse any governmental entity for
3 equipment other than motor vehicles or buildings to
4 separate, process, modify, convert or treat solid
5 waste or recovered materials so that the resulting
6 product is being used in a productive manner.
- 7 b. The reimbursements shall be from solid waste fee funds
8 and shall not exceed twenty-five percent (25%) of the
9 person's total project costs. No reimbursement may be
10 larger than Twenty Thousand Dollars (\$20,000.00).
- 11 c. Reimbursements ~~must~~ shall be expended in accordance
12 with rules promulgated by the Environmental Quality
13 Board and criteria established through the
14 Department's annual recycling priorities plan. The
15 Department shall not expend more than Two Hundred
16 Thousand Dollars (\$200,000.00) in each fiscal year for
17 such reimbursements, nor shall the Department
18 reimburse used tire recycling facilities that may be
19 eligible for compensation from the Used Tire Recycling
20 Indemnity Fund.
- 21 5. a. The Department, in conjunction with the Corporation
22 Commission, the Oklahoma Energy Resources Board and
23 the Oklahoma Conservation Commission, may develop a
24 plan to use suitable portions of the solid waste

1 stream to reclaim Oklahoma lands damaged by oil and
2 gas exploration and production or by mining
3 activities.

4 b. To the extent that funds are available, the Department
5 may use up to ten percent (10%) of the annual income
6 from the fees received pursuant to the provisions of
7 this section to implement the plan. The Department
8 may use its discretion in administering the funds for
9 the purpose of this paragraph, but shall keep records
10 subject to audit by the State Auditor and Inspector
11 for good business practices.

12 6. a. To the extent that funds are available, after having
13 reasonably met other specified uses of the solid waste
14 fund, the Department is authorized to expend up to
15 five percent (5%) of the total annual solid waste fee
16 income for the purpose of making incentive payments to
17 any person, firm or corporation located in this state
18 generating energy by utilizing solid waste landfill
19 methane or steam produced by a commercial incinerator.

20 b. The Environmental Quality Board shall promulgate rules
21 to administer the provisions of this paragraph.

22 c. No person, firm or corporation shall be eligible to
23 receive incentive payments as provided in subparagraph
24 a of this paragraph for more than three (3) years.

1 The amount of such payments shall be determined by the
2 Department based on the amount of energy generated and
3 the cost of production.

4 D. The provisions of this section shall not apply to landfill
5 disposal sites that receive only ash generated by the burning of
6 coal.

7 E. On or before September 1 of each year, the Department of
8 Environmental Quality shall prepare a report of income and
9 expenditures for the period of each fiscal year in which solid waste
10 fee monies authorized by this section were received and such report
11 shall be distributed to members of the Solid Waste Management
12 Advisory Council for review. By November 1 of each year, the
13 Council shall, utilizing the centralized filing system provided for
14 in Section 378 of this act, electronically submit to the Executive
15 Director, Governor, Speaker of the House of Representatives, and
16 President Pro Tempore of the Senate its written comments on the
17 comparison of income with program expenditures.

18 SECTION 69. AMENDATORY 27A O.S. 2021, Section 2-11-
19 401.6, as amended by Section 22, Chapter 282, O.S.L. 2022 (27A O.S.
20 Supp. 2025, Section 2-11-401.6), is amended to read as follows:

21 Section 2-11-401.6. A. 1. The Oklahoma Tax Commission shall
22 promulgate rules to carry out the provisions of the Oklahoma Used
23 Tire Recycling Act which pertain to the remittance of fees and to
24

1 the payment of monies accruing to the Used Tire Recycling Indemnity
2 Fund.

3 2. Upon receipt of any referral from the Department of
4 Environmental Quality, as set out in paragraph 7 of subsection B of
5 this section, it shall be the duty of the Tax Commission to promptly
6 undertake proceedings in accordance with the recommendations of the
7 Department. The Tax Commission shall timely report the results of
8 the proceedings to the Department.

9 3. On a monthly basis, the Tax Commission shall provide to the
10 Department a report of the fees remitted by each tire dealer and
11 licensed operator pursuant to Section 2-11-401.2 of this title.

12 B. 1. The Department of Environmental Quality shall prescribe
13 forms, containing documentation as required by the Oklahoma Used
14 Tire Recycling Act, to be used by a used tire recycling facility,
15 TDF facility, or person, corporation or other legal entity
16 authorized to receive reimbursement.

17 2. On at least a monthly basis, the Department shall evaluate
18 and process applications and shall report to the Tax Commission
19 compliance and allocation information necessary for the Tax
20 Commission to issue payment of monies from the fund.

21 3. The Department shall make periodic inspections of applicants
22 for compensation to ensure compliance with the provisions of Section
23 2-11-401.4 of this title. The Department shall submit a summary of
24

1 the results of those inspections in an annual report to the office
2 of the State Auditor and Inspector.

3 4. The Environmental Quality Board shall promulgate rules for
4 the permitting of used tire recycling facilities under the Oklahoma
5 Solid Waste Management Act and for the certification of any entity
6 to receive compensation under the provisions of the Oklahoma Used
7 Tire Recycling Act.

8 5. The Department shall file a report with the Legislature and
9 the Governor detailing the administration of the Oklahoma Used Tire
10 Recycling Act and its effectiveness in bringing about the cleanup of
11 existing used tire dumps and in preventing the development of new
12 dumps. The first report shall be filed by no later than December
13 31, 1992. Subsequent reports shall be filed every three (3) years
14 thereafter.

15 6. In developing the priority cleanup list, the Department
16 shall prioritize those dumps where the landowner was a victim of
17 illegal dumping. Any other tire dump may be placed on the priority
18 cleanup list in cases where the administrative enforcement process
19 has been exhausted, and in such case, the Department may provide for
20 the cleanup of the dump pursuant to Section 2-11-401.7 of this
21 title.

22 7. The Department shall make periodic inspections of tire
23 dealers and licensed operators throughout this state to ensure
24 compliance with the provisions of Section 2-11-401.2 of this title.

1 Upon a finding of any failure to properly remit the appropriate fee
2 to the Tax Commission, the Department shall give written notice to
3 the alleged violator and may commence administrative enforcement
4 proceedings or civil proceedings in conformance with the provisions
5 of Sections 2-3-502 and 2-3-504 of this title. If the Department
6 determines that the fee has not been paid and there is no reasonable
7 cause for the nonpayment, the Department may assess a penalty of
8 double the amount that should have been remitted, to be added to the
9 delinquent fee. If the Department determines any tire dealer or
10 licensed operator has demonstrated a flagrant or repeated disregard
11 of the provisions of Section 2-11-401.2 of this title, it shall
12 refer such determination to the Tax Commission.

13 C. 1. By August 1, 1994, and every even year thereafter, the
14 State Auditor and Inspector shall perform or shall contract with an
15 auditor or auditing company to perform an independent audit, as
16 defined in paragraph 4 of subsection B of Section 212 of Title 74 of
17 the Oklahoma Statutes, of the books, records, files and other such
18 documents of the Tax Commission and the Department pertaining to the
19 administration of the Fund. The audit shall include, but shall not
20 be limited to, a review of agency and claimant compliance with state
21 statutes regarding the Fund, internal control procedures, adequacy
22 of claim process expenditures from and debits of the Fund regarding
23 reimbursements, administration, personnel, operating and other
24 expenses charged by the Tax Commission and Department, and the

1 duties performed in detail by agency personnel and Fund personnel
2 for which payment is made from the Fund. In addition the audit
3 shall include recommendations for improving claim processing,
4 equipment needed for claim processing, internal control, or
5 structure for administering the Fund, and such other areas deemed
6 necessary by the State Auditor and Inspector.

7 2. The cost of the audit shall be borne by the Fund, pursuant
8 to the limits and provisions of Section 2-11-401.4 of this title.

9 3. Copies of the audit shall be electronically submitted to the
10 Governor, the Speaker of the House of Representatives, the President
11 Pro Tempore of the Senate, and the Chairs of the Appropriations
12 Committee of both the Oklahoma House of Representatives and the
13 Oklahoma State Senate utilizing the centralized filing system
14 provided for in Section 378 of this act.

15 SECTION 70. AMENDATORY 27A O.S. 2021, Section 2-11-607,
16 is amended to read as follows:

17 Section 2-11-607. A. The Department of Environmental Quality
18 shall assist in educating consumers about collection and recovery of
19 covered devices. This shall include hosting, or designating another
20 person to host, a web site for consumers about the collection and
21 recovery of covered devices. The web site shall provide information
22 about and links to manufacturers' collection and recovery
23 information, including their recovery plans, and information about
24 and links to information for covered devices, including information

1 about collection events, collection sites, and community recycling
2 programs. Inclusion on such web site is not a determination by the
3 state that the manufacturer's recovery plan or practices are in
4 compliance with this act or other laws.

5 B. The Department shall maintain and make available:

6 1. A list of registered manufacturers who have adopted and
7 implemented a recovery plan, as required by this act; and

8 2. A separate list of manufacturers whose registered recovery
9 plan permits consumers to return for collection and recovery other
10 manufacturers' brands of covered devices, including orphan devices.
11 Manufacturers shall be included on this list of beyond-brand
12 collection plans if such plan:

13 a. provides recycling grants or collection events for
14 covered devices other than that manufacturer's covered
15 devices,

16 b. requires a consumer who purchases a new covered
17 electronic device from the manufacturer to return
18 another manufacturer's branded covered device, in
19 which case the manufacturer may require the consumer
20 to pay for transportation or shipping, or

21 c. provides for use of other collection or recovery
22 methods that are approved by the Department.

23 C. The Department shall file each recovery plan and annual
24 report submitted by a manufacturer. The Department shall make

1 recovery plans and annual reports available to the public pursuant
2 to the Oklahoma Open Records Act.

3 D. The Department shall produce a schedule of collection
4 events, based on the manufacturers' submitted recovery plans.

5 E. The Department shall by July 1 of each year produce and,
6 utilizing the centralized filing system provided for in Section 378
7 of this act, electronically submit to the Governor, the President
8 Pro Tempore of the Senate, and Speaker of the House of
9 Representatives a summary of the recovery program annual reports
10 filed by the manufacturers.

11 F. The Department may conduct audits and inspections to
12 determine compliance with the provisions of this act and take
13 enforcement action against any manufacturer, retailer, or recoverer
14 for failure to comply with any provisions of this act.

15 G. In addition to any other remedies provided by law, the
16 Department may assess a penalty of up to One Thousand Dollars
17 (\$1,000.00) for the first violation, and up to Five Thousand Dollars
18 (\$5,000.00) for the second and each subsequent violation, against
19 any manufacturer who fails to label its covered devices or to adopt
20 and implement a recovery plan as required by this act.

21 H. The Environmental Quality Board may promulgate rules
22 necessary to implement the provisions of this act, including the
23 adoption of fees pursuant to the provisions of Section 2-3-402 of
24 Title 27A of the Oklahoma Statutes as necessary to cover the costs

1 of administering the program. The Board may adopt by reference
2 standards developed by the Institute of Scrap Recycling Industries,
3 Inc., or other recognized practices, procedures, or standards.

4 SECTION 71. AMENDATORY 27A O.S. 2021, Section 3-2-106,
5 as amended by Section 1, Chapter 326, O.S.L. 2025 (27A O.S. Supp.
6 2025, Section 3-2-106), is amended to read as follows:

7 Section 3-2-106. A. In addition to other powers and duties
8 specified by law and except as otherwise provided by law, the
9 Oklahoma Conservation Commission shall have the power and duty to:

10 1. Offer the assistance as may be appropriate to the directors
11 of conservation districts in the carrying out of any of their powers
12 and programs and to:

- 13 a. assist and guide districts in the preparation and
14 carrying out of programs for resource conservation
15 authorized under the Conservation District Act,
- 16 b. review district programs,
- 17 c. coordinate the programs of the several districts and
18 resolve any conflicts in such programs, and
- 19 d. facilitate, promote, assist, harmonize, coordinate,
20 and guide the resource conservation programs and
21 activities of districts as they relate to other
22 special purpose districts, counties, and other public
23 agencies;

1 2. Keep the directors of each of the several districts informed
2 of the activities and experience of all other districts, and
3 facilitate an interchange of advice and experience between the
4 districts and cooperation between them;

5 3. Enter into contracts and agreements and execute such
6 instruments in the judgment of the Commission as are necessary,
7 beneficial, or convenient toward the exercise of any of the
8 Commission's powers conferred upon it by law. This includes, but is
9 not limited to, creating shared positions, administering statewide
10 programs with districts, and exploring funding sources for
11 conservation programs, practices, and pilot projects;

12 4. Review agreements, or forms of agreements, proposed to be
13 entered into by districts with other districts or with any state,
14 federal, tribal, interstate, or other public or private agency,
15 organization, or individual, and advise the districts concerning the
16 agreements or forms of agreements;

17 5. Secure the cooperation and assistance of the United States
18 and any of its agencies, any tribe, agencies of this state, other
19 entities, or individuals in the work of the Commission or districts;

20 6. Accept donations, grants, gifts and contributions in money,
21 services, or otherwise from the United States or any of its
22 agencies, tribes, the state or any of its agencies, other entities,
23 or individuals in order to carry out the purposes of the
24 Conservation District Act;

1 7. Disseminate information throughout the state concerning the
2 activities and programs of the conservation districts and make
3 available information concerning the needs and the work of the
4 conservation districts and Commission to the Governor, the
5 Legislature, executive agencies of the government of this state,
6 political subdivisions of this state, cooperating federal agencies,
7 and the general public;

8 8. Serve along with conservation districts as the official
9 state agencies for cooperating with the Natural Resources
10 Conservation Service of the United States Department of Agriculture
11 and carrying on conservation operations within the boundaries of
12 conservation districts;

13 9. Cooperate with and give such assistance as it deems
14 necessary and proper to conservancy districts, watershed
15 associations, and other special purpose districts in the State of
16 Oklahoma for the purpose of cooperating with the United States
17 through the Secretary of Agriculture in the furtherance of
18 conservation pursuant to the provisions of the Federal Watershed
19 Protection and Flood Prevention Act, as amended;

20 10. Recommend the inclusion in annual and longer-term budgets
21 and appropriation legislation of the State of Oklahoma of funds
22 necessary for appropriation by the Legislature to finance the
23 activities of the Commission and the conservation districts and to:
24

- a. administer the provisions of the Conservation District Act hereafter enacted by the Legislature appropriating funds for expenditure in connection with the activities of conservation districts,
- b. distribute to conservation districts funds, equipment, supplies, and services received by the Commission for that purpose from any source, subject to such conditions as shall be made applicable thereto in any state or federal statute or local ordinance making available such funds, property, or services,
- c. issue guidelines and suitable controls to govern the use by conservation districts of funds, property, and services, and
- d. review all budgets, administrative procedures, and operations of such districts and advise the districts concerning their conformance with applicable laws and regulations;

11. Enlist the cooperation and collaboration of state, federal, tribal, regional, interstate, local, public, and private agencies with the conservation districts and facilitate arrangements under which the conservation districts may serve county governing bodies and other agencies as their local operating agencies in the administration of any activity concerned with the conservation of renewable natural resources;

1 12. Pursuant to procedures developed mutually by the Commission
2 and federal, tribal, state, and local agencies that are authorized
3 to plan or administer activities significantly affecting the
4 conservation of renewable natural resources, receive from these
5 agencies for review and comment suitable descriptions of their
6 plans, programs, and activities for purposes of coordination with
7 district conservation programs and to arrange for and participate in
8 conferences necessary to avoid conflict among plans and programs, to
9 call attention to omissions, and to avoid duplication of effort;

10 13. Compile information and make studies, summaries, and
11 analyses of district programs in relation to each other and to other
12 resource conservation programs on a statewide basis;

13 14. Except as otherwise assigned by law, carry out the policies
14 of this state in programs at the state level for the conservation of
15 the renewable natural resources of this state and represent the
16 state in matters affecting such resources;

17 15. Assist conservation districts in obtaining legal services
18 from state and local legal officers;

19 16. Require annual reports from conservation districts, the
20 form and content of which shall be developed by the Commission in
21 consultation with the district directors;

22 17. Establish by rules, with the assistance and advice of the
23 State Auditor and Inspector, adequate and reasonably uniform
24

1 accounting and auditing procedures that shall be used by
2 conservation districts;

3 18. Conduct workshops for district directors to instruct them
4 on the subjects of district finances, the Conservation District Law
5 and related laws, and their duties and responsibilities as
6 directors;

7 19. Assist and supervise districts in carrying out their
8 responsibilities in accordance with Oklahoma laws;

9 20. Have power, by administrative order, upon the written
10 request of the board of directors of the conservation district or
11 districts involved, with a showing that such request has been
12 approved by a majority vote of the members of each of the boards
13 involved, to:

14 a. transfer lands and assign easements from one district
15 established under the provisions of the Conservation
16 District Act to another,

17 b. divide a single district into two or more districts,
18 each of which shall thereafter operate as a separate
19 district under the provisions of the Conservation
20 District Act, and

21 c. consolidate two or more districts established under
22 the provisions of the Conservation District Act, which
23 consolidated area shall operate thereafter as a single
24

1 district under the provisions of the Conservation
2 District Act;

3 21. Except as otherwise provided by law, act as the management
4 agency having jurisdiction over and responsibility for directing
5 nonpoint source pollution prevention programs outside the
6 jurisdiction or control of cities or towns in Oklahoma. The
7 Commission, otherwise, shall be responsible for all identified
8 nonpoint source categories except silviculture, urban stormwater
9 runoff and industrial runoff;

10 22. Establish and maintain an Equipment Revolving Fund for the
11 purpose of loaning conservation districts funds to purchase
12 equipment to be used for the installation of conservation practices.
13 The fund shall consist of all monies appropriated to, deposited in
14 or credited to the fund;

15 23. Administer cost-share programs to carry out conservation or
16 best management practices on the land to benefit the public through
17 the prevention or reduction of soil erosion and nonpoint source
18 pollution and general resource management. The Commission is not
19 authorized to implement mandatory compliance with management
20 practices, except as otherwise provided by law, to abate
21 agricultural nonpoint source pollution;

22 24. Plan watershed-based nonpoint source pollution control
23 activities, including the development and implementation of
24

1 conservation plans for the improvement and protection of the
2 resources of the state;

3 25. Assist the Oklahoma Water Resources Board on lake projects
4 through stream and river monitoring, assessing watershed activities
5 impacting lake water quality, and assisting in the development of a
6 watershed management plan;

7 26. Maintain the activities of the state's nonpoint source
8 working group;

9 27. Prepare, revise, and review Oklahoma's nonpoint source
10 management program and nonpoint source assessment report in
11 coordination with other state environmental agencies and compile a
12 comprehensive assessment for the state every five (5) years. The
13 management program and assessment report shall be electronically
14 distributed to the Governor, Secretary of Energy and Environment,
15 the President Pro Tempore of the Oklahoma State Senate, and the
16 Speaker of the Oklahoma House of Representatives utilizing the
17 centralized filing system provided for in Section 378 of this act;

18 28. Under the direction of the Office of the Secretary of
19 Energy and Environment, develop and implement the state's nonpoint
20 source water quality monitoring strategy in coordination with other
21 environmental agencies;

22 29. Monitor, evaluate, and assess the waters of the state to
23 determine the condition of streams and rivers impacted by nonpoint
24 source pollution. In carrying out this area of responsibility, the

1 Conservation Commission shall serve as the technical lead agency for
2 nonpoint source pollution categories as defined in Section 319 of
3 the Federal Clean Water Act or other subsequent federal or state
4 nonpoint source programs;

5 30. Administer the Blue Thumb Program;

6 31. Enter into agreements or contracts for services with any of
7 the substate planning districts recognized by the Oklahoma
8 Department of Commerce;

9 32. Cooperate with the federal government, or any agency
10 thereof, to participate in and coordinate with federal programs that
11 will yield additional federal funds to the state for programs within
12 the jurisdiction of the Conservation Commission. This participation
13 shall be subject to the availability of state funds;

14 33. Implement pilot projects and programs, subject to the
15 availability of funds, that will demonstrate the latest technologies
16 and applications in conservation programs that may provide direct or
17 residual benefits to conservation practices in the state; and

18 34. Promulgate rules necessary, expedient, or appropriate to
19 carry out the purposes, objectives, or provisions or appropriate to
20 the performance of the Conservation District Act and the Oklahoma
21 Carbon Sequestration Enhancement Act and:

22 a. may establish and collect fees for services provided
23 pursuant to the Conservation District Act and the
24 Oklahoma Carbon Sequestration Enhancement Act,

1 including any services for the certification or
2 verification of sustainable agricultural production
3 practices, including but not limited to, the Natural
4 Resources Conservation Service Soil Condition Index,
5 and

6 b. shall promulgate all rules establishing fees in
7 accordance with the Administrative Procedures Act,
8 which fees shall be fair and equitable to all parties
9 concerned.

10 B. Nothing in this act shall take away any of the present
11 duties or responsibilities delegated by law or constitution to other
12 environmental agencies.

13 SECTION 72. AMENDATORY 27A O.S. 2021, Section 3-2-107,
14 is amended to read as follows:

15 Section 3-2-107. A. The Conservation Commission may establish
16 and maintain an environmental and natural resources geographic data
17 base system. Such system shall include but not be limited to
18 pollution complaints filed with the state environmental agencies and
19 state agencies with limited environmental responsibilities,
20 resolutions of complaints and such other data as funds become
21 available and as may be desirable and necessary to provide public
22 access to specific site information.

23 B. Not more than once each month, each state environmental
24 agency and state agency with limited environmental responsibilities

1 shall submit to the Conservation Commission a report listing the
2 environmental pollution complaints received during the previous
3 month. The report shall include the name of the complainant, if
4 known, the address of the complainant, the location involved in the
5 complaint, the name of the person or company and address thereof
6 alleged to be responsible for the pollution and how the complaint
7 was resolved. The report shall be in such form and made in such
8 manner as is required by the Commission. The report shall be in
9 writing or may be submitted in electronic data or machine-readable
10 form at the discretion of the Commission.

11 C. The Commission shall annually, utilizing the centralized
12 filing system provided for in Section 378 of this act,
13 electronically submit a report to the Speaker of the House of
14 Representatives, the President Pro Tempore of the Senate, and the
15 Governor containing the total number of pollution complaints filed,
16 the total number of complaints and type of complaints addressed by
17 each state environmental agency, the total number of such complaints
18 resolved, the total number of complaints remaining to be resolved,
19 the average time frame for resolving such complaints, and the
20 historical comparison of complaint resolution in previous years, and
21 any other information which the Commission believes is pertinent in
22 regard to pollution complaints.

23

24

1 D. The Conservation Commission may recover costs incurred in
2 duplicating any reports made pursuant to the provisions of this
3 section.

4 E. The Department of Environmental Quality shall routinely
5 provide the Conservation Commission with a list of permit approvals
6 for inclusion in the Commission's data base.

7 SECTION 73. AMENDATORY 27A O.S. 2021, Section 3-2-108,
8 is amended to read as follows:

9 Section 3-2-108. A. The Commission is hereby given exclusive
10 jurisdiction to prepare a Wetlands Management Strategy for the State
11 of Oklahoma. The Strategy shall:

- 12 1. Define wetlands;
- 13 2. Enumerate their beneficial uses;
- 14 3. Identify and inventory wetlands within this state;
- 15 4. Recommend measures to mitigate losses of wetlands;
- 16 5. Provide measures to protect wetlands; and
- 17 6. Define standards for critical wetlands and measures to
18 ensure protection of property rights of landowners.

19 B. Upon completion, the Conservation Commission is to forward
20 the Wetlands Management Strategy for the State of Oklahoma and to,
21 utilizing the centralized filing system provided for in Section 378
22 of this act, electronically submit ~~said~~ such Strategy to the
23 President Pro Tempore of the Oklahoma Senate, the Speaker of the
24

1 Oklahoma House of Representatives, and to the Secretary of the
2 Environment or successor secretary position.

3 SECTION 74. AMENDATORY 29 O.S. 2021, Section 3-103, as
4 amended by Section 1, Chapter 6, O.S.L. 2024 (29 O.S. Supp. 2025,
5 Section 3-103), is amended to read as follows:

6 Section 3-103. A. The Oklahoma Wildlife Conservation
7 Commission shall constitute an advisory, administrative, and
8 policymaking board for the protection, restoration, perpetuation,
9 conservation, supervision, maintenance, enhancement, and management
10 of wildlife in this state as provided in the Oklahoma Wildlife
11 Conservation Code.

12 B. The Director shall consult with the Commission regarding the
13 administration of the affairs of the Department of Wildlife
14 Conservation. The Commission is authorized and empowered to require
15 from the Director complete reports and information relative to the
16 affairs of the Department at the time and in the manner the
17 Commission may deem advisable.

18 C. The Commission shall meet in regular session at least nine
19 times per year not to exceed one meeting per month with not more
20 than two consecutive calendar months between meetings and in special
21 sessions as may be called by the Chair or a majority of the
22 Commission. The Commission may hold any regular or special session
23 at any location within this state. Should a location be chosen
24 other than Commission headquarters in Oklahoma City for a regular or

1 special meeting, notice shall be posted at Commission headquarters
2 in Oklahoma City and advertised in the local newspaper of the city
3 in which the meeting is to be held, at least one time during each of
4 the two (2) weeks prior to the meeting. The advertisements shall
5 include time, date, and address of location of the meeting.

6 D. In addition to the other powers and duties prescribed by
7 law, the Commission shall:

8 1. Institute an affirmative action plan for hiring women and
9 minorities throughout the agency;

10 2. Elect a chair, vice chair, and secretary, who shall perform
11 the duties required of them by statutes, rules of the Commission,
12 and the Constitution of the State of Oklahoma. The chair, vice
13 chair, and secretary shall receive no extra compensation;

14 3. Appoint a Director, and determine the qualifications of the
15 Director and all assistants and employees. A Commissioner shall not
16 be eligible for employment in any position within the Department;

17 4. Prescribe rules and policies for the transaction of its
18 business and the control of the Department;

19 5. Develop and implement a plan to provide step raises for
20 Commission employees so that discrepancies of pay levels within a
21 pay grade are eliminated;

22 6. Acquire by purchase, lease, gift, or devise, waters, real
23 property, and personal property incident to the exercise of its
24 functions and to maintain, operate, and dispose of the same;

1 7. Acquire real property by condemnation only when the Attorney
2 General or other counsel deems it an appropriate means of clearing
3 title from willing or unavailable sellers;

4 8. Supervise the establishment, extension, improvement, and
5 operation of the wildlife refuges, propagation areas or stations,
6 public hunting areas, public fishing areas, game management areas,
7 and fish hatcheries;

8 9. Prescribe the manner of cooperation with the Oklahoma
9 Tourism and Recreation Department, colleges and universities within
10 the state, other state agencies, any agency of the federal
11 government, and any city, town, school district, or any other agency
12 or organization in study of conservation and propagation of wildlife
13 and in the establishment, maintenance, and operation of visual
14 educational facilities, recreational facilities, and hunting and
15 fishing facilities, in the study and propagation of wildlife;

16 10. Supervise the letting of all contracts and purchases for
17 the Department, with all purchases of personal property to be made
18 through the Office of Management and Enterprise Services;

19 11. Authorize all claims or expenditures prior to incurring
20 payment except as otherwise provided in this Code;

21 12. Prescribe rules on the use of Department-owned vehicles by
22 the Director, department heads and other essential employees as the
23 Commission deems necessary in order to perform their duties;

24

1 13. Prescribe rules for the sale of all regular or special
2 licenses;

3 14. Publicize and encourage the conservation and appreciation
4 of wildlife and all other natural resources;

5 15. Regulate the seasons and harvest of wildlife;

6 16. Promulgate rules to sell fishing and hunting licenses via
7 the Internet;

8 17. Annually report, by electronic submission utilizing the
9 centralized filing system provided for in Section 378 of this act,
10 to the Governor and the Legislature on the complete operation,
11 activities, and plans of the Department, together with such
12 recommendations for future activities as the Commission may deem to
13 be in the best interest of the state; and

14 18. Provide the Governor and the Legislature with an annual
15 inventory of all property and equipment.

16 E. Five (5) years after the effective date of this act, and
17 every five (5) years thereafter, the Commission shall prepare a
18 report for the Legislature with proposed licensing fees based on the
19 latest Consumer Price Index year-to-date percent change release as
20 of the date of the annual average county wage data release from the
21 Bureau of Economic Analysis of the U.S. Department of Commerce for
22 Legislature approval or rejection.

23 SECTION 75. AMENDATORY 29 O.S. 2021, Section 3-306, is
24 amended to read as follows:

1 Section 3-306. A. There is hereby created an Oklahoma Wildlife
2 Conservation Department Retirement Fund for the purpose of providing
3 revenues for any retirement plan adopted by the Commission for the
4 employees of the Department.

5 B. The method of calculation of benefits shall be the same for
6 all employees covered under any plan adopted pursuant to this
7 section.

8 C. No retirement plan adopted pursuant to this section shall
9 pay any benefits or vest any benefits based on years of service
10 credit related to years a plan member did not work or provide other
11 public service.

12 D. The Oklahoma Department of Wildlife Conservation shall
13 compile a quarterly financial report of all the funds of the
14 Oklahoma Wildlife Conservation Department Retirement Fund on a
15 fiscal year basis. The report shall be compiled pursuant to uniform
16 reporting standards prescribed by the Oklahoma State Pension
17 Commission for all state retirement systems. The report shall
18 include several relevant measures of investment value, including
19 acquisition cost and current fair market value with appropriate
20 summaries of total holdings and returns. The report shall contain
21 combined and individual rate of returns of the investment managers
22 by category of investment, over periods of time. The Department
23 shall include in the quarterly reports all commissions, fees or
24 payments for investment services performed on behalf of the

1 Department. The report shall be electronically distributed to the
2 Governor, the Oklahoma State Pension Commission, the Legislative
3 Service Bureau, the Speaker of the House of Representatives, and the
4 President Pro Tempore of the Senate utilizing the centralized filing
5 system provided for in Section 378 of this act.

6 E. Except as otherwise provided by this section, the right of a
7 person to an annuity or a retirement allowance, to the return of
8 contributions, annuity, or retirement allowance itself, any optional
9 benefit, or any other right accrued or accruing to any person under
10 the provisions of this section, the monies in the Oklahoma Wildlife
11 Conservation Department Retirement Fund, are hereby exempt from levy
12 and sale, garnishment, attachment or any other process whatsoever,
13 and shall be unassignable except as in this section specifically
14 provided.

15 F. 1. The provisions of subsection E of this section shall not
16 apply to a qualified domestic order as provided pursuant to this
17 subsection.

18 2. The term "qualified domestic order" means an order issued by
19 a district court of this state, pursuant to the domestic relations
20 laws of the State of Oklahoma, which relates to the provision of
21 marital property rights to a spouse or former spouse of a member of
22 any retirement fund created pursuant to subsection A of this
23 section, or to the provision of support for a minor child or
24 children, and which creates or recognizes the existence of the right

1 of an alternate payee, or assigns to an alternate payee the right,
2 to receive a portion of the benefits payable with respect to a
3 member and amounts payable to a plan participant of any retirement
4 plan created pursuant to subsection A of this section.

5 3. For purposes of the payment of marital property, to qualify
6 as an alternate payee, a spouse or former spouse ~~must~~ shall have
7 been married to the related member for a period of not less than
8 thirty (30) continuous months immediately preceding the commencement
9 of the proceedings from which the qualified domestic order issues.

10 4. A qualified domestic order is valid and binding on the
11 Commission or the entity responsible for the Retirement Fund and the
12 related member only if it meets the requirements of this subsection.

13 5. A qualified domestic order shall clearly specify:

- 14 a. the name and last-known mailing address, if any, of
15 the member and the name and mailing address of the
16 alternate payee covered by the order,
- 17 b. the amount or percentage of the member's benefits to
18 be paid by the Commission or the entity responsible
19 for the Retirement Fund to the alternate payee,
- 20 c. the number of payments or period to which such order
21 applies,
- 22 d. the characterization of the benefit as to marital
23 property rights or child support, and
- 24 e. each plan to which such order applies.

1 6. A qualified domestic order meets the requirements of this
2 subsection only if such order:

3 a. does not require the Commission or the entity
4 responsible for the Retirement Fund to provide any
5 type or form of benefit, or any option not otherwise
6 provided under state law as relates to the retirement
7 plan,

8 b. does not require the Commission or the entity
9 responsible for the Retirement Fund to provide
10 increased benefits, and

11 c. does not require the payment of benefits to an
12 alternate payee which are required to be paid to
13 another alternate payee pursuant to another order
14 previously determined to be a qualified domestic order
15 or an order recognized by the retirement plan as a
16 valid order prior to the effective date of this
17 section.

18 7. A qualified domestic order shall not require payment of
19 benefits to an alternate payee prior to the actual retirement date
20 or withdrawal of the related member.

21 8. The obligation of the Commission or the entity responsible
22 for the Retirement Fund to pay an alternate payee pursuant to a
23 qualified domestic order shall cease upon the death of the related
24 member.

1 9. This subsection shall not be subject to the provisions of
2 the Employee Retirement Income Security Act of 1974 (ERISA), 29
3 U.S.C.A., Section 1001 et seq., as amended from time to time, or
4 rules promulgated thereunder, and court cases interpreting said act.

5 10. The Oklahoma Wildlife Conservation Commission shall
6 promulgate such rules as are necessary to implement the provisions
7 of this subsection.

8 11. An alternate payee who has acquired beneficiary rights
9 pursuant to a valid qualified domestic order shall fully comply with
10 all provisions of the rules promulgated by the Commission pursuant
11 to this section in order to continue receiving benefits.

12 SECTION 76. AMENDATORY 36 O.S. 2021, Section 312.1, is
13 amended to read as follows:

14 Section 312.1. A. For the fiscal year ending June 30, 2004,
15 the Insurance Commissioner shall report and disburse one hundred
16 percent (100%) of the fees and taxes collected under Section 624 of
17 this title to the State Treasurer to be deposited to the credit of
18 the Education Reform Revolving Fund of the State Department of
19 Education. The Insurance Commissioner shall keep an accurate record
20 of all such funds and make an itemized statement and furnish same to
21 the State Auditor and Inspector, as to all other departments of this
22 state. The report shall be accompanied by an affidavit of the
23 Insurance Commissioner or the Chief Clerk of such office certifying
24 to the correctness thereof.

1 B. The Insurance Commissioner shall apportion an amount of the
2 taxes and fees received from Section 624 of this title, which shall
3 be at least One Million Two Hundred Fifty Thousand Dollars
4 (\$1,250,000.00) each year, but which shall also be computed on an
5 annual basis by the Commissioner as the amount of insurance premium
6 tax revenue loss attributable to the provisions of subsection H of
7 Section 625.1 of this title and increased if necessary to reflect
8 the annual computation, and which shall be apportioned before any
9 other amounts, as follows:

10 1. The following amounts shall be paid to the Oklahoma
11 Firefighters Pension and Retirement Fund in the manner provided for
12 in Sections 49-119, 49-120 and 49-123 of Title 11 of the Oklahoma
13 Statutes:

Fiscal Year	Amount
FY 2006 through FY 2020	65.0%
FY 2021 as follows:	
a. for the month beginning July 1, 2020, through the month ending August 31, 2020	65.0%
b. for the month beginning September 1, 2020, through the month ending June 30, 2021	45.5%
FY 2022 and each fiscal year thereafter	65.0%;

24

2. The following amounts shall be paid to the Oklahoma Police Pension and Retirement System pursuant to the provisions of Sections 50-101 through 50-136 of Title 11 of the Oklahoma Statutes:

Fiscal Year	Amount
FY 2006 through FY 2020	26.0%
FY 2021 as follows:	

a. for the month beginning July 1, 2020, through the month ending August 31, 2020	26.0%
---	-------

b. for the month beginning September 1, 2020, through the month ending June 30, 2021	18.2%
--	-------

FY 2022 and each fiscal year thereafter	26.0%;
---	--------

3. The following amounts shall be paid to the Law Enforcement Retirement Fund:

Fiscal Year	Amount
FY 2006 through FY 2020	9.0%
FY 2021 as follows:	

a. for the month beginning July 1, 2020, through the month ending August 31, 2020	9.0%
---	------

b. for the month beginning September 1, 2020, through the month ending June 30, 2021	6.3%
--	------

FY 2022 and each fiscal year thereafter 9.0%; and

4. The following amounts shall be paid to the Education Reform Revolving Fund of the State Department of Education:

Fiscal Year	Amount
-------------	--------

FY 2021 as follows:

for the month beginning September 1, 2020, through the month ending June 30, 2021	30.0%.
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C. After the apportionment required by subsection B of this section, for the fiscal years beginning July 1, 2004, and ending June 30, 2009, the Insurance Commissioner shall report and disburse all of the fees and taxes collected under Section 624 of this title and Section 2204 of this title, and the same are hereby apportioned as follows:

1. Thirty-four percent (34%) of the taxes collected on premiums shall be allocated and disbursed for the Oklahoma Firefighters Pension and Retirement Fund, in the manner provided for in Sections 49-119, 49-120 and 49-123 of Title 11 of the Oklahoma Statutes;

2. Seventeen percent (17%) of the taxes collected on premiums shall be allocated and disbursed to the Oklahoma Police Pension and Retirement System pursuant to the provisions of Sections 50-101 through 50-136 of Title 11 of the Oklahoma Statutes;

1 3. Six and one-tenth percent (6.1%) of the taxes collected on
2 premiums shall be allocated and disbursed to the Law Enforcement
3 Retirement Fund; and

4 4. All the balance and remainder of the taxes and fees provided
5 in Section 624 of this title shall be paid to the State Treasurer to
6 the credit of the General Revenue Fund of the state to provide
7 revenue for general functions of state government. The Insurance
8 Commissioner shall keep an accurate record of all such funds and
9 make an itemized statement and furnish same to the State Auditor and
10 Inspector, as to all other departments of this state. The report
11 shall be accompanied by an affidavit of the Insurance Commissioner
12 or the Chief Clerk of such office certifying to the correctness
13 thereof.

14 D. After the apportionment required by subsection B of this
15 section, the Insurance Commissioner shall report and disburse all of
16 the fees and taxes collected under Section 624 of this title and
17 Section 2204 of this title, and the same are hereby apportioned as
18 follows:

19 1. Of the taxes collected on premiums the following shall be
20 allocated and disbursed for the Oklahoma Firefighters Pension and
21 Retirement Fund, in the manner provided for in Sections 49-119, 49-
22 120 and 49-123 of Title 11 of the Oklahoma Statutes:

23 Fiscal Year	Amount
24 FY 2006 through FY 2020	36.0%

FY 2021 as follows:

a. for the month beginning July 1,
2020, through the month ending
August 31, 2020 36.0%

b. for the month beginning September
1, 2020, through the month ending
June 30, 2021 25.2%

FY 2022 36.0%

FY 2023 through FY 2027 37.8%

FY 2028 and each fiscal year thereafter 36.0%;

2. Of the taxes collected on premiums the following shall be
allocated and disbursed to the Oklahoma Police Pension and
Retirement System pursuant to the provisions of Sections 50-101
through 50-136 of Title 11 of the Oklahoma Statutes:

Fiscal Year	Amount
FY 2006 through FY 2020	14.0%

FY 2021 as follows:

a. for the month beginning July 1,
2020, through the month ending
August 31, 2020 14.0%

b. for the month beginning September
1, 2020, through the month ending
June 30, 2021 9.8%

FY 2022 14.0%

FY 2023 through FY 2027 14.7%

FY 2028 and each fiscal year thereafter 14.0%;

3. Of the taxes collected on premiums the following shall be allocated and disbursed to the Law Enforcement Retirement Fund:

Fiscal Year	Amount
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FY 2006 through FY 2020	5.0%
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FY 2021 as follows:

a. for the month beginning July 1, 2020, through the month ending August 31, 2020	5.0%
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b. for the month beginning September 1, 2020, through the month ending June 30, 2021	3.5%
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FY 2022	5.0%
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FY 2023 through FY 2027	5.25%
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FY 2028 and each fiscal year thereafter	5.0%;
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4. The following amounts shall be paid to the Education Reform Revolving Fund of the State Department of Education:

Fiscal Year	Amount
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FY 2021 as follows:

for the month beginning September 1, 2020, through the month ending June 30, 2021	16.5%;
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1 5. In addition to the allocations made pursuant to paragraphs
2 1, 2 and 3 of this subsection, of the taxes collected on premiums
3 the following amounts shall be allocated and disbursed annually for
4 FY 2023 through FY 2027:

5 a. Forty Thousand Six Hundred Twenty-five Dollars
6 (\$40,625.00) to the Oklahoma Firefighters Pension and
7 Retirement Fund,

8 b. Sixteen Thousand Two Hundred Fifty Dollars
9 (\$16,250.00) to the Oklahoma Police Pension and
10 Retirement System, and

11 c. Five Thousand Six Hundred Twenty-five Dollars
12 (\$5,625.00) to the Oklahoma Law Enforcement Retirement
13 Fund; and

14 6. All the balance and remainder of the taxes and fees provided
15 in Section 624 of this title shall be paid to the State Treasurer to
16 the credit of the General Revenue Fund of the state to provide
17 revenue for general functions of state government. The Insurance
18 Commissioner shall keep an accurate record of all such funds and
19 make an itemized statement and furnish same to the State Auditor and
20 Inspector, as to all other departments of this state. The report
21 shall be accompanied by an affidavit of the Insurance Commissioner
22 or the Chief Clerk of such office certifying to the correctness
23 thereof.
24

1 E. The disbursements provided for in subsections A, B, C and D
2 of this section shall be made monthly. The Insurance Commissioner
3 shall, utilizing the centralized filing system provided for in
4 Section 378 of this act, electronically report annually to the
5 Governor, the Speaker of the House of Representatives, the President
6 Pro Tempore of the Senate, and the State Auditor and Inspector, the
7 amounts collected and disbursed pursuant to this section.

8 F. Notwithstanding any other provision of law to the contrary,
9 no tax credit authorized by law enacted on or after July 1, 2008,
10 which may be used to reduce any insurance premium tax liability
11 shall be used to reduce the amount of insurance premium tax revenue
12 apportioned to the Oklahoma Firefighters Pension and Retirement
13 System, the Oklahoma Police Pension and Retirement System, the
14 Oklahoma Law Enforcement Retirement System, or the Education Reform
15 Revolving Fund.

16 SECTION 77. AMENDATORY 36 O.S. 2021, Section 924.2, is
17 amended to read as follows:

18 Section 924.2. A. Any rate, schedule of rates or rating plan
19 for workers' compensation insurance submitted to or filed with the
20 Insurance Commissioner, or fixed by the Board of Directors of
21 CompSource Mutual Insurance Company, and premiums, by whatever name,
22 for workers' compensation for self-insureds except for group self-
23 insured associations shall provide for an appropriate reduction in
24 premium charges, by whatever name, for those eligible insured

1 employers who have successfully participated in the occupational
2 safety and health consultation, education and training program
3 administered by the Commissioner of the Department of Labor pursuant
4 to Section 414 of Title 40 of the Oklahoma Statutes.

5 B. All insurance companies writing workers' compensation
6 insurance in this state and all self-insureds providing workers'
7 compensation insurance except for group self-insured associations,
8 shall allow an appropriate reduction in premium charges to all
9 eligible employers who qualify for the reduction pursuant to the
10 provisions of this section.

11 C. Eligible employers shall be those employers:

12 1. Who are insured by an insurance company writing workers'
13 compensation insurance in this state; or

14 2. Who are self-insured.

15 D. In order to qualify for the reduction in workers'
16 compensation insurance premium, an employer shall successfully
17 participate annually in the occupational safety and health
18 consultation, education and training program administered by the
19 Department of Labor. Successful participation shall be defined as:

20 1. Undergoing a safety and health hazard survey of the
21 workplace, including an evaluation of the employer's safety and
22 health program and onsite interviews with employees by the
23 Department's consultant;

1 2. Correcting all hazards identified during the onsite visit
2 within a reasonable period of time as established by the Department;

3 3. Establishing an effective workplace safety and health
4 program and implementing program provisions within a reasonable
5 period of time as established by the Department. The program shall
6 include:

7 a. demonstration of management commitment to worker
8 safety and health,

9 b. procedures for identifying and controlling workplace
10 hazards,

11 c. development and communication of safety plans, rules
12 and work procedures, and

13 d. training for supervisors and employees in safe and
14 healthful work practices;

15 4. Reducing by one-third (1/3) or more the extent to which the
16 lost workday case rate, as measured by the Department of Labor, was
17 above the national average for the industry at the time the employer
18 elected to participate in the occupational safety and health
19 consultation, education and training program, or maintaining a rate
20 at or below the national average for the industry; and

21 5. Documenting a reduction in workers' compensation claims for
22 the preceding year by showing one of the following:

23 a. a ten percent (10%) reduction in the dollar amount of
24 claims,

1 b. a ten percent (10%) reduction in the severity of
2 claims, or

3 c. no reported claims,

4 as a result of attending the occupational safety and health
5 consultation, education and training program administered by the
6 Department of Labor.

7 E. 1. Upon successful participation in the occupational safety
8 and health consultation, education and training program as defined
9 in subsection D of this section, an employer shall be issued a
10 certificate by the Commissioner of the Department of Labor which
11 shall be the basis of qualification for the reduction in workers'
12 compensation insurance premium, by whatever name. The certificate
13 shall qualify the employer for a premium reduction for a one-year
14 period.

15 2. Upon issuance of a certificate to an employer, the
16 Commissioner of the Department of Labor shall mail a copy of the
17 certificate to the employer's insurer. Any insurer required by this
18 section to allow an appropriate reduction in premium charges to a
19 qualified employer which willfully fails to allow such reduction
20 after receiving a copy of the certificate shall be subject, after
21 notice and hearing, to an administrative fine, imposed by the
22 Insurance Commissioner, which shall be not less than Ten Thousand
23 Dollars (\$10,000.00) or three times the amount of the premium
24 reduction, whichever is greater. The Insurance Commissioner shall

1 promulgate rules necessary to carry out the provisions of this
2 paragraph.

3 F. The Insurance Commissioner and the Administrator of the
4 Workers' Compensation Court shall maintain records documenting
5 reductions in workers' compensation insurance premiums granted
6 pursuant to this section and shall ~~make~~, utilizing the centralized
7 filing system provided for in Section 378 of this act,
8 electronically submit an annual report of such reductions to the
9 President Pro Tempore of the Senate and the Speaker of the House of
10 Representatives by May 1 of each year. Insurers shall report such
11 premium reductions in their annual statement.

12 SECTION 78. AMENDATORY 40 O.S. 2021, Section 6-204, as
13 amended by Section 6, Chapter 346, O.S.L. 2023 (40 O.S. Supp. 2025,
14 Section 6-204), is amended to read as follows:

15 Section 6-204. TECHNOLOGY REINVESTMENT APPORTIONMENT.

16 A. 1. For the period beginning January 1, 2023, and ending
17 December 31, 2027, each employer subject to the provisions of
18 Sections 3-109, 3-110.1, and 3-113 of this title shall be required
19 to pay an OESC Technology Reinvestment Apportionment equal to five
20 percent (5%) of the unemployment taxes that would be owed to the
21 Oklahoma Employment Security Commission before any rate reduction is
22 made pursuant to Section 3-109.3 of this title. This apportionment
23 shall be in addition to any contribution which that employer is
24

1 required to make pursuant to the provisions of the Employment
2 Security Act of 1980.

3 2. The apportionment provided for in this section shall not be
4 considered part of any unemployment taxes required of an individual
5 employer pursuant to the Employment Security Act of 1980, nor shall
6 it be considered for purposes of determining the individual
7 employer's tax rate.

8 B. Employers assigned a tax rate pursuant to Section 3-110.1 of
9 this title shall pay an OESC Technology Reinvestment Apportionment
10 equal to the rate reduction granted them pursuant to Section 3-109.3
11 of this title.

12 C. Employers making payments in lieu of contributions pursuant
13 to Sections 3-702, 3-705, and 3-806 of this title shall be exempt
14 from the provisions of this section.

15 D. The apportionment shall be made and collected by the
16 Oklahoma Employment Security Commission for deposit, on a monthly
17 basis, to the credit of the OESC Technology Fund. Provided, all
18 monies received by the Oklahoma Employment Security Commission for
19 the account of the OESC Technology Fund, upon receipt, shall be
20 deposited in a clearance account.

21 E. The Oklahoma Employment Security Commission shall promulgate
22 such rules as may be necessary to implement the provisions of
23 Sections 3-109.3 and 6-201 through 6-205 of this title.
24

1 F. The Oklahoma Employment Security Commission shall create an
2 annual report detailing the collection of the apportionment funds
3 and the expenditures from the OESC Technology Fund. The report
4 shall be filed on or before March 31 of each year following the
5 effective date of this act. The report shall be electronically
6 filed with the Governor, the President Pro Tempore of the Senate,
7 the Speaker of the House of Representatives, the State Treasurer,
8 the State Auditor and Inspector, and the Director of the Office of
9 Management and Enterprise Services utilizing the centralized filing
10 system provided for in Section 378 of this act.

11 SECTION 79. AMENDATORY Section 5, Chapter 361, O.S.L.
12 2023, as amended by Section 1, Chapter 408, O.S.L. 2025 (40 O.S.
13 Supp. 2025, Section 904), is amended to read as follows:

14 Section 904. The Oklahoma Workforce Commission shall have the
15 following powers, duties, and responsibilities:

16 1. To administer the provisions of the Oklahoma Workforce
17 Transformation Act or any duty as directed by statute;

18 2. To establish an office for the Commission within this state;

19 3. To elect whatever other officers may be necessary to direct
20 operations of the Commission;

21 4. To employ or contract for personnel and administrative
22 support as the Commission deems appropriate to carry out the purpose
23 and provisions of the Oklahoma Workforce Transformation Act,
24 including, but not limited to, a nonprofit corporation to carry out

1 the Commission's objectives, an executive director or other chief
2 executive officer, and any other employees or contractors the
3 Commission deems appropriate, and to prescribe their duties and fix
4 their compensation;

5 5. To administer the Workforce Coordination Revolving Fund
6 created in Section 255.4 of Title 62 of the Oklahoma Statutes;

7 6. To administer the Oklahoma Workforce Commission Revolving
8 Fund created in Section 3 of this act;

9 7. To approve or disapprove the budget of the Commission;

10 8. To promulgate rules to carry out the provisions of the
11 Oklahoma Workforce Transformation Act;

12 9. To enter into contracts or agreements for studies,
13 professional services, grant administration and procurement,
14 research projects, supplies, or any other services the Commission
15 deems necessary to carry out its purpose, and to incur those
16 expenses necessary to carry out those purposes;

17 10. To cooperate with any private, local, state, or national
18 commission, organization, agency, or group and to make contracts and
19 agreements for joint programs beneficial to Oklahoma's workforce
20 development efforts;

21 11. To accept donations, grants, contributions, and gifts from
22 any public or private source and deposit such in the Oklahoma
23 Workforce Commission Revolving Fund, created in Section 3 of this
24 act;

1 12. To oversee and direct to the extent permitted by law the
2 activities and administration of the Governor's Council for
3 Workforce and Economic Development, including, but not limited to,
4 the creation and submission of state plans to the federal government
5 pursuant to the provisions of the Workforce Innovation and
6 Opportunity Act;

7 13. To collect data from federal, state, and local agencies,
8 departments, educational institutions, boards, commissions, or any
9 other entities including, but not limited to:

- 10 a. number of participants in workforce development
11 programming,
- 12 b. cost per participant,
- 13 c. wages before and after participation in programs,
- 14 d. degree or certificate conferred on each participant,
- 15 e. number of jobs open needing degrees or certificates,
- 16 f. labor force and economic information, and
- 17 g. any other information the Commission deems appropriate
18 to guide funding decisions, facilitate its work or the
19 work of workforce development entities in the state,
20 or to understand the impact of the state's workforce
21 efforts and programming;

22 14. To create and maintain a public dashboard and create
23 reports with data concerning workforce development efforts in the
24 state. All state and local agencies, departments, educational

1 institutions, boards, commissions, and other public entities shall
2 cooperate with information and data requests from the Commission or
3 its designees. The Oklahoma Workforce Commission shall serve as the
4 centralized data and information repository for workforce
5 development activities for the state;

6 15. To make recommendations to the Legislature to improve
7 workforce development programs in the state. Such recommendations
8 shall be submitted electronically utilizing the centralized filing
9 system provided for in Section 378 of this act;

10 16. To implement programs designed to expand workforce
11 development; and

12 17. To work with, use and provide data the legislatively
13 created map developed to help make decisions on economic development
14 and workforce needs in the state.

15 SECTION 80. AMENDATORY 43 O.S. 2021, Section 107.2, is
16 amended to read as follows:

17 Section 107.2. A. Except as provided in subsection B of this
18 section, in all actions for divorce, separate maintenance,
19 guardianship, paternity, custody or visitation, including
20 modifications or enforcements of a prior court order, where the
21 interest of a child under eighteen (18) years of age is involved,
22 the court may require all adult parties to attend an educational
23 program concerning, as appropriate, the impact of separate parenting
24 and coparenting on children, the implications for visitation and

1 conflict management, development of children, separate financial
2 responsibility for children and such other instruction as deemed
3 necessary by the court. The program shall be educational in nature
4 and not designed for individual therapy.

5 B. In actions for divorce based upon incompatibility filed on
6 or after November 1, 2014, where the interest of a child under
7 eighteen (18) years of age is involved, the adult parties shall
8 attend, either separately or together, an educational program
9 concerning the impact of divorce on children. The program shall
10 include the following components:

11 1. Short-term and longitudinal effects of divorce on child
12 well-being;

13 2. Reconciliation as an optional outcome;

14 3. Effects of family violence;

15 4. Potential child behaviors and emotional states during and
16 after divorce including information on how to respond to the child's
17 needs;

18 5. Communication strategies to reduce conflict and facilitate
19 cooperative coparenting; and

20 6. Area resources, including but not limited to nonprofit
21 organizations or religious entities available to address issues of
22 substance abuse or other addictions, family violence, behavioral
23 health, individual and couples counseling, and financial planning.
24

1 Program attendees shall be required to pay a fee of not less
2 than Ten Dollars (\$10.00) and not more than Sixty Dollars (\$60.00)
3 to the program provider to offset the costs of the program. The fee
4 may be waived by the court if an attendee uses a qualified program
5 that is provided free of charge. Nothing in this paragraph shall
6 prohibit a third party from paying the fee to the program provider
7 for an attendee. A certificate of completion shall be issued upon
8 satisfying the attendance and fee requirements of the program, and
9 the certificate of completion shall be filed with the court. The
10 program provider shall carry general liability insurance and
11 maintain an accurate accounting of all business transactions and
12 funds received in relation to the program. The program shall be
13 completed prior to the temporary order or within forty-five (45)
14 days of receiving a temporary order. However, and in all events, a
15 final disposition of child custody shall not be granted until the
16 parties complete the program required by this subsection. The court
17 may waive attendance of the program for good cause shown which shall
18 include, but not be limited to, where domestic violence, stalking or
19 harassment as defined by paragraph 2 of subsection I of Section 109
20 of this title occurred during the marriage.

21 C. Each judicial district may adopt its own local rules
22 governing the programs.

23 D. The Administrative Office of the Courts may enter into a
24 memorandum of understanding with a state entity or other

1 organization in order to compile data including but not limited to
2 the number of actions for divorce that were dismissed after
3 participating in the program, the number of programs that were
4 completed and the number of program participants for each fiscal
5 year. The report shall include data collected from each judicial
6 district. The report shall be published on the Administrative
7 Office of the Courts website and electronically distributed to the
8 Governor, Speaker of the House of Representatives, Minority Leader
9 of the House of Representatives, President Pro Tempore of the
10 Senate, and Minority Leader of the Senate utilizing the centralized
11 filing system provided for in Section 378 of this act.

12 SECTION 81. AMENDATORY 43A O.S. 2021, Section 2-205, is
13 amended to read as follows:

14 Section 2-205. The Department of Mental Health and Substance
15 Abuse Services is hereby directed to employ one or more internal
16 auditors to establish and perform an effective and comprehensive
17 internal audit program. Such program shall include, but not be
18 limited to, reviews of accounting procedures, internal control,
19 financial management and compliance with laws, regulations, policies
20 and executive and legislative directives for the Department's
21 administrative offices, institutions, community mental health
22 centers, and contractors. Internal audit final reports shall be
23 made available to the Governor, the State Auditor and Inspector, the
24 Legislative Service Bureau, the Board of Mental Health and Substance

1 Abuse Services, and the Commissioner of Mental Health and Substance
2 Abuse Services by electronic submission utilizing the centralized
3 filing system provided for in Section 378 of this act.

4 SECTION 82. AMENDATORY Section 4, Chapter 201, O.S.L.
5 2023, as amended by Section 1, Chapter 230, O.S.L. 2025 (43A O.S.
6 Supp. 2025, Section 2-312.4), is amended to read as follows:

7 Section 2-312.4. A. Subject to availability of funds under
8 Section 2-312.1 of this title, the Department of Mental Health and
9 Substance Abuse Services shall annually issue a request for
10 proposals by which county governments or multi-county partnerships
11 may apply for funds for the development and implementation of
12 evidence-based:

13 1. Mental health and substance abuse treatment programs or
14 other health care programs provided in the community;

15 2. Pretrial diversion programs, mental health, and substance
16 use jail intake screenings, or jail reentry programs;

17 3. Employment programs;

18 4. Education programs; or

19 5. Housing programs.

20 B. The request for proposals shall include, but not be limited
21 to, the proposed services, number of individuals to be served by the
22 proposed services or programs, and the manner in which the services
23 or programs will partner with or be supported by local Department-
24 contracted or -certified entities.

1 C. For a proposal to be considered, the applying county
2 government or multi-county partnership ~~must~~ shall submit all
3 necessary documents to meet the requirements outlined in the request
4 for proposals.

5 D. The number of awards and funding amounts of each award shall
6 be at the discretion of the Department and shall be based on total
7 available funds, total county population, and the criteria in
8 subsection B of this section. Each county government or multi-
9 county partnership shall be allocated at least half of one percent
10 (0.5%) of the total amount appropriated for the award cycle.

11 E. The Department shall, utilizing the centralized filing
12 system provided for in Section 378 of this act, electronically
13 submit an annual report to the President Pro Tempore of the Senate
14 and the Speaker of the House of Representatives that includes the
15 amount awarded to each county government or multi-county partnership
16 and a summary of services provided by each county government or
17 multi-county partnership.

18 F. The Board of Mental Health and Substance Abuse Services
19 shall promulgate rules to implement the provisions of this section
20 and Sections 2-312.1, 2-312.2, and 2-312.3 of this title including,
21 but not limited to, rules that set qualifications for programs
22 eligible to receive funds under this section.

SECTION 83. AMENDATORY Section 1, Chapter 202, O.S.L.
2024 (43A O.S. Supp. 2025, Section 3-335), is amended to read as
follows:

Section 3-335. A. As used in this section:

1. "Board" means any of the following:

- a. the State Board of Examiners of Psychologists,
- b. the State Board of Behavioral Health Licensure,
- c. the Oklahoma State Board of Licensed Social Workers,
- or
- d. the Oklahoma Board of Licensed Alcohol and Drug
Counselors;

2. "Licensed mental health professional" means an individual
who holds any type of license pursuant to the:

- a. Psychologists Licensing Act,
- b. Psychology Interjurisdictional Compact,
- c. Licensed Professional Counselors Act,
- d. Janet Phillips Act of 2023,
- e. Marital and Family Therapist Licensure Act,
- f. Social Worker's Licensing Act, or
- g. Licensed Alcohol and Drug Counselors Act; and

3. "Certified mental health professional" means an individual
who holds any type of certification pursuant to the Unified
Community Mental Health Services Act.

1 B. Every applicant for a behavioral health certification or
2 license issued by a designated board shall provide the following
3 information:

4 1. Demographic information, including race, ethnicity, gender,
5 date of birth, and languages spoken;

6 2. Educational background, training information, internship
7 information, if applicable, and location of internship or program
8 attended; and

9 3. If the applicant has any other mental health certifications
10 or licenses.

11 C. Every mental health professional who is renewing a
12 behavioral health certification or license issued by a designated
13 board shall report the following information:

14 1. Changes to demographic information required upon initial
15 application for licensure or certification;

16 2. Workforce retention information, including, but not limited
17 to, anticipated changes in licensure status or retirement; and

18 3. Workforce practice trends, including, but not limited to:

19 a. practice specialization, if applicable,

20 b. practice location and physical address, if applicable,

21 c. service delivery area, by county,

22 d. if the licensee is currently using their license and

23 if its average use is between one (1) through ten

24 (10), eleven (11) through twenty (20), twenty-one (21)

1 through thirty (30), or over thirty-one (31) hours of
2 client-facing hours per week, and
3 e. the use of telehealth.

4 D. The boards designated in subsection A of this section shall
5 promulgate rules to effectuate the provisions of this section.

6 E. The boards designated in subsection A of this section shall
7 furnish de-identified annual licensure and certification data to the
8 Oklahoma Department of Mental Health and Substance Abuse Services.

9 F. The Oklahoma Department of Mental Health and Substance Abuse
10 Services shall compile the de-identified information collected in
11 this section into an annual report. The report shall not contain
12 any personal identifying information. The annual report shall be
13 posted on the agency's website and electronically submitted to the
14 President Pro Tempore of the Oklahoma State Senate, the Speaker of
15 the Oklahoma House of Representatives, and the chairs of the
16 committees with responsibility over public health in both chambers
17 of the Legislature utilizing the centralized filing system provided
18 for in Section 378 of this act.

19 G. Nothing in this section shall be interpreted to expand the
20 amount of public-facing data about Oklahoma's individual behavioral
21 health licensees.

22 SECTION 84. AMENDATORY 43A O.S. 2021, Section 10-112, is
23 amended to read as follows:
24

1 Section 10-112. A. The Department of Human Services, together
2 with the Department of Mental Health and Substance Abuse Services,
3 shall develop and implement a Vulnerable Adult Intervention Task
4 Force. The purpose of the task force shall be to study and examine
5 how to best provide interdisciplinary community assistance,
6 intervention, and referral services for persons with mental or
7 physical illnesses or disabilities, dementia, or other related
8 disease or condition.

9 B. The task force shall consist of at least eleven (11) members
10 as follows:

11 1. One member who shall be a member of the Oklahoma House of
12 Representatives, to be appointed by the Speaker of the Oklahoma
13 House of Representatives, and one member who shall be a member of
14 the Oklahoma Senate, to be appointed by the President Pro Tempore of
15 the Oklahoma Senate;

16 2. Commissioner of the Department of Mental Health and
17 Substance Abuse Services, or designee;

18 3. Commissioner of the State Department of Health, or designee;

19 4. Director of the State Department of Rehabilitation Services,
20 or designee;

21 5. One member who shall be a representative from law
22 enforcement, to be appointed by the Senate President Pro Tempore;
23
24

1 6. One member who shall be a current or former municipal
2 employee who worked as a code enforcement officer, to be appointed
3 by the Speaker of the House of Representatives;

4 7. One member who shall be a public defender, or designee, to
5 be appointed by the Governor;

6 8. One member who shall be a citizen of this state and a
7 current or former member of an advocacy organization that represents
8 vulnerable adults or persons with mental illness, to be appointed by
9 the House Minority Leader;

10 9. One member who shall be a physician licensed to practice in
11 this state, to be appointed by the Senate Minority Leader; and

12 10. The Director of the Department of Human Services, or
13 designee.

14 Members of the task force shall serve for a thirty-month term.

15 C. Appointments to the task force shall be made by July 1,
16 2010. The first meeting shall be convened on or before August 1,
17 2010. A majority of the members present at a meeting shall
18 constitute a quorum to do business. Members of the task force shall
19 receive no compensation for their service, but shall receive travel
20 reimbursement by the appointing authority pursuant to the State
21 Travel Reimbursement Act.

22 D. The task force is authorized to meet as necessary in order
23 to perform the duties imposed on it.

1 E. The task force shall recommend a curriculum, which at a
2 minimum should include training for individuals on the symptoms,
3 causes and evidence-based services and interventions for illnesses
4 and conditions contained herein. The training should also address
5 possible crisis situations arising from these illnesses and
6 conditions and steps to support an individual in a crisis situation.

7 F. On or before December 31, 2010, and annually thereafter, the
8 task force shall, utilizing the centralized filing system provided
9 for in Section 378 of this act, electronically submit a report to
10 the Legislature stating the recommendations and findings of the task
11 force including but not limited to suggested legislative action,
12 funding sources, state agency action, and numbers of potential
13 participants in recommended programs, either as a team member who
14 promotes services or a recipient of services, and any
15 recommendations for improvement of the program.

16 G. The task force shall be subject to the provisions of the
17 Open Records Act and the Open Meeting Act. Staff assistance for the
18 task force shall be provided by the staff of the Oklahoma House of
19 Representatives and the Oklahoma State Senate.

20 SECTION 85. AMENDATORY 43A O.S. 2021, Section 12-105, as
21 amended by Section 1, Chapter 317, O.S.L. 2025 (43A O.S. Supp. 2025,
22 Section 12-105), is amended to read as follows:
23
24

1 Section 12-105. A. The Department of Mental Health and
2 Substance Abuse Services shall act as the lead agency in
3 implementing the provisions of the Suicide Prevention Act.

4 B. The Department shall have primary responsibility for
5 evaluating the effectiveness of efforts designed to reduce the
6 number of attempted suicides and suicides, and shall, utilizing the
7 centralized filing system provided for in Section 378 of this act,
8 electronically submit an evaluation report to the Speaker of the
9 House of Representatives, the President Pro Tempore of the Senate,
10 and the Governor no later than July 1 of each year.

11 SECTION 86. AMENDATORY 47 O.S. 2021, Section 2-107, is
12 amended to read as follows:

13 Section 2-107. In addition to the salaries or wages of
14 assistants or other employees in the Department of Public Safety
15 when deemed necessary in connection with the discharge of their
16 duties respectively assigned or delegated to them, such assistants
17 or employees shall be allowed and paid traveling expenses incurred
18 in the discharge of their respective duties, in accordance with the
19 provisions of the State Travel Reimbursement Act, Sections 500.1
20 through 500.19 of Title 74 of the Oklahoma Statutes, which shall be
21 paid from the same fund and in the same manner as the payment of all
22 other salaries and expenses of the Department; provided, however,
23 when deemed necessary by the Commissioner of Public Safety, it shall
24 be and he or she is hereby authorized and empowered to purchase

1 motor vehicles and other equipment for use by ~~said~~ the Department.
2 The Commissioner of Public Safety shall prepare and, utilizing the
3 centralized filing system provided for in Section 378 of this act,
4 electronically deliver to the Governor, President Pro Tempore of the
5 Senate, and the Speaker of the House of Representatives a current
6 vehicle fleet management and replacement plan and a complete
7 inventory of all vehicles in use by the Department on the first
8 legislative day of each year. The provisions of this act are to
9 supersede all existing law; provided only that all provisions of
10 this section are subject to provisions of general law governing
11 appropriation, expenditure, and availability of funds.

12 SECTION 87. AMENDATORY 47 O.S. 2021, Section 2-146, as
13 amended by Section 1, Chapter 370, O.S.L. 2022 (47 O.S. Supp. 2025,
14 Section 2-146), is amended to read as follows:

15 Section 2-146. A. There is hereby created in the State
16 Treasury a revolving fund for the Department of Public Safety, to be
17 designated the "Department of Public Safety Patrol Academy Revolving
18 Fund". The fund shall be a continuing fund, not subject to fiscal
19 year limitations. All monies accruing to the credit of said fund
20 are hereby appropriated and shall be budgeted and expended by the
21 Department of Public Safety for the exclusive purpose of Oklahoma
22 Highway Patrol Trooper Academies. Expenditures from said fund shall
23 be made upon warrants issued by the State Treasurer against claims
24

1 filed as prescribed by law with the Director of the Office of
2 Management and Enterprise Services for approval and payment.

3 B. On or before December 1 of each year, the Department of
4 Public Safety shall, utilizing the centralized filing system
5 provided for in Section 378 of this act, electronically provide a
6 written report on all Oklahoma Highway Patrol Trooper Academies
7 conducted in the then current and preceding state fiscal year to the
8 Speaker of the Oklahoma House of Representatives, the President Pro
9 Tempore of the Oklahoma State Senate, the Chair of the
10 Appropriations and Budget Committee of the Oklahoma House of
11 Representatives, and the Chair of the Appropriations Committee of
12 the Oklahoma State Senate. Such report shall include, but not be
13 limited to, the following information for the then current and
14 preceding state fiscal year:

15 1. A description of all expenditures from the Department of
16 Public Safety Patrol Academy Revolving Fund;

17 2. A description of the source of all monies accruing to the
18 credit of the Department of Public Safety Patrol Academy Revolving
19 Fund;

20 3. A description of all expenditures, including the source of
21 funds for said expenditures, used to conduct each academy;

22 4. The total number of applicants for each academy;

23 5. The total number of persons admitted for each academy;

24 6. The total number of persons graduating from each academy;

1 7. The total number of persons graduating from each academy
2 that do not accept a position within the Oklahoma Highway Patrol;

3 8. The total number of persons graduating from each academy
4 that, upon accepting a position within the Oklahoma Highway Patrol,
5 do not complete service of an initial probationary period as
6 determined by the Department of Public Safety;

7 9. The net number of troopers added to the Oklahoma Highway
8 Patrol in a calendar year;

9 10. A description of any academies planned to be conducted in
10 the upcoming state fiscal year; and

11 11. A description of any planned academy or academies to be
12 conducted within the remaining fiscal year that includes, but is not
13 limited to, the estimated cost of the academy and the proposed
14 source or sources of funding.

15 SECTION 88. AMENDATORY 47 O.S. 2021, Section 2-303.1, is
16 amended to read as follows:

17 Section 2-303.1. A. The Oklahoma Law Enforcement Retirement
18 Board shall discharge its duties with respect to the System solely
19 in the interest of the participants and beneficiaries and:

20 1. For the exclusive purpose of:

21 a. providing benefits to participants and their
22 beneficiaries, and

23 b. defraying reasonable expenses of administering the
24 System;

1 2. With the care, skill, prudence, and diligence under the
2 circumstances then prevailing that a prudent person acting in a like
3 capacity and familiar with such matters would use in the conduct of
4 an enterprise of a like character and with like aims;

5 3. By diversifying the investments of the System so as to
6 minimize the risk of large losses, unless under the circumstances it
7 is clearly prudent not to do so; and

8 4. In accordance with the laws, documents and instruments
9 governing the System.

10 B. The Board may procure insurance indemnifying the members of
11 the Board from personal loss or accountability from liability
12 resulting from a member's action or inaction as a member of the
13 Board.

14 C. The Board may establish an investment committee. The
15 investment committee shall be composed of not more than five (5)
16 members of the Board appointed by the president of the Board. The
17 committee shall make recommendations to the full Board on all
18 matters related to the choice of custodians and managers of the
19 assets of the System, on the establishment of investment and fund
20 management guidelines, and in planning future investment policy.
21 The committee shall have no authority to act on behalf of the Board
22 in any circumstances whatsoever. No recommendation of the committee
23 shall have effect as an action of the Board nor take effect without
24 the approval of the Board as provided by law.

1 D. The Board shall retain qualified investment managers to
2 provide for the investment of the monies of the System. The
3 investment managers shall be chosen by a solicitation of proposals
4 on a competitive bid basis pursuant to standards set by the Board.
5 Subject to the overall investment guidelines set by the Board, the
6 investment managers shall have full discretion in the management of
7 those monies of the System allocated to the investment managers.
8 The Board shall manage those monies not specifically allocated to
9 the investment managers. The monies of the System allocated to the
10 investment managers shall be actively managed by the investment
11 managers, which may include selling investments and realizing losses
12 if such action is considered advantageous to longer term return
13 maximization. Because of the total return objective, no distinction
14 shall be made for management and performance evaluation purposes
15 between realized and unrealized capital gains and losses.

16 E. All assets of the System shall be held in trust for the
17 exclusive purpose of providing benefits for the members and
18 beneficiaries of the System, including defraying reasonable expenses
19 of administering the System, and shall not be encumbered for or
20 diverted to any other purposes. Funds and revenues for investment
21 by the investment managers or the Board shall be placed with a
22 custodian selected by the Board. The custodian shall be a bank or
23 trust company offering pension fund master trustee and master
24 custodial services, and any related custodial agreement or trust

1 agreement is incorporated herein by reference. The custodian shall
2 be chosen by a solicitation of proposals on a competitive bid basis
3 pursuant to standards set by the Board. In compliance with the
4 investment policy guidelines of the Board, the custodian bank or
5 trust company shall be contractually responsible for ensuring that
6 all monies of the System are invested in income-producing investment
7 vehicles at all times. If a custodian bank or trust company has not
8 received direction from the investment managers of the System as to
9 the investment of the monies of the System in specific investment
10 vehicles, the custodian bank or trust company shall be contractually
11 responsible to the Board for investing the monies in appropriately
12 collateralized short-term interest-bearing investment vehicles. Any
13 assets of the System may be invested in a collective investment fund
14 or in a group trust provided the investment in such collective
15 investment fund or group trust is in compliance with the provisions
16 of Rev. Rul. 81-100, as further amended by Rev. Rul. 2004-67, Rev.
17 Rul. 2008-40, and Rev. Rul. 2011-1, or any successor ruling,
18 regulation, or similar pronouncement. Each such collective
19 investment fund or group trust is adopted with respect to any monies
20 invested therein, as part of the System, its trust and custodial
21 agreement, and the provisions of such trust agreement or such
22 declaration of trust and related adoption, participation, investment
23 management, subtrust or other agreements, as amended from time to
24 time, with respect to any monies invested therein, are incorporated

1 by reference into the System, its trust agreement(s) or custodial
2 agreement(s), upon approval by the Board.

3 F. Prior to August 1 of each year, the Board shall develop a
4 written investment plan for the System.

5 G. The Board shall compile a quarterly financial report of all
6 the funds of the System on a fiscal year basis. The report shall be
7 compiled pursuant to uniform reporting standards prescribed by the
8 Oklahoma State Pension Commission for all state retirement systems.
9 The report shall include several relevant measures of investment
10 value, including acquisition cost and current fair market value with
11 appropriate summaries of total holdings and returns. The report
12 shall contain combined and individual rate of returns of the
13 investment managers by category of investment, over periods of time.
14 The Board shall include in the quarterly reports all commissions,
15 fees or payments for investment services performed on behalf of the
16 Board. The report shall be electronically distributed to the
17 Governor, the Oklahoma State Pension Commission, the Legislative
18 Service Bureau, the Speaker of the House of Representatives, and the
19 President Pro Tempore of the Senate utilizing the centralized filing
20 system provided for in Section 378 of this act.

21 H. After July 1 and before October 31 of each year, the Board
22 shall publish widely an annual report presented in simple and easily
23 understood language pursuant to uniform reporting standards
24 prescribed by the Oklahoma State Pension Commission for all state

1 retirement systems. The report shall be electronically submitted to
2 the Governor, the Speaker of the House of Representatives, the
3 President Pro Tempore of the Senate, the Oklahoma State Pension
4 Commission, and the members of the System utilizing the centralized
5 filing system provided for in Section 378 of this act. The annual
6 report shall cover the operation of the System during the past
7 fiscal year, including income, disbursements, and the financial
8 condition of the System at the end of the fiscal year. The annual
9 report shall also contain the information issued in the quarterly
10 reports required pursuant to subsection G of this section as well as
11 a summary of the results of the most recent actuarial valuation to
12 include total assets, total liabilities, unfunded liability or over
13 funded status, contributions and any other information deemed
14 relevant by the Board. The annual report shall be written in such a
15 manner as to permit a readily understandable means for analyzing the
16 financial condition and performance of the System for the fiscal
17 year. The annual financial statements ~~must~~ shall be audited and
18 filed in accordance with the requirements set forth for financial
19 statement audits in Section 212A of Title 74 of the Oklahoma
20 Statutes.

21 I. The Board may retain an attorney licensed to practice law in
22 this state. The attorney shall serve at the pleasure of the Board
23 for such compensation as set by the Board. The Attorney General
24 shall furnish such legal services as may be requested by the Board.

1 J. All information, documents, and copies thereof contained in
2 a member's retirement file shall be given confidential treatment and
3 shall not be made public by the System without the prior written
4 consent of the member to which it pertains, but shall be subject
5 only to court order. Provided, the System, its employees, or its
6 attorneys, may use such records in defense of any action brought
7 against the System.

8 K. Effective July 1, 1999, the Board is hereby authorized to do
9 all acts and things necessary and proper to carry out the purpose of
10 the System and to make the least costly amendments and changes, if
11 any, as may be necessary to qualify the System under the applicable
12 sections of the Internal Revenue Code of 1986, as amended.

13 L. The Executive Director and such employees of the System as
14 the Executive Director may designate are hereby authorized to
15 prepare certified copies of records of the System and every such
16 certified copy shall be admissible in any proceeding in any court in
17 like manner as the original thereof.

18 M. On or after July 1, 2011, the Board may permit, effective
19 for applicable notices, elections and consents provided or made for
20 a member, beneficiary, alternate payee, or individual entitled to
21 benefits under the System, the use of electronic media to provide
22 applicable notices and make such elections and consents as described
23 in Section 1.401(a)-21 of the Income Tax Regulations.

1 N. The Board shall develop such procedures and may require such
2 information from the distributing plan as it deems necessary to
3 reasonably conclude that a potential rollover contribution is a
4 valid rollover contribution under Section 1.401(a)(31)-1, Q&A-
5 14(b)(2), of the Income Tax Regulations.

6 SECTION 89. AMENDATORY Section 3, Chapter 282, O.S.L.
7 2022, as amended by Section 3, Chapter 47, 1st Extraordinary
8 Session, O.S.L. 2023 (47 O.S. Supp. 2025, Section 3-103), is amended
9 to read as follows:

10 Section 3-103. A. The Executive Director of Service Oklahoma
11 shall be appointed by the Governor with the advice and consent of
12 the Senate. The Executive Director shall serve at the pleasure of
13 the Governor and may be removed or replaced without cause.
14 Compensation for the Executive Director shall be determined pursuant
15 to Section 3601.2 of Title 74 of the Oklahoma Statutes. The
16 Executive Director may be removed from office by a two-thirds (2/3)
17 vote of the members elected to and constituting each chamber of the
18 Oklahoma Legislature.

19 B. The Executive Director of Service Oklahoma shall be the
20 chief executive officer of Service Oklahoma and shall act for
21 Service Oklahoma in all matters except as may be otherwise provided
22 by law. The powers and duties of the Executive Director shall
23 include, but not be limited to:

- 1 1. Organize Service Oklahoma in a manner to efficiently achieve
- 2 the objectives of Service Oklahoma;
- 3 2. Supervise all activities of Service Oklahoma;
- 4 3. Administer programs and policies of Service Oklahoma;
- 5 4. Employ, discharge, appoint, contract, and fix duties and
- 6 compensation of employees at the discretion of the Executive
- 7 Director;
- 8 5. Appoint assistants, deputies, officers, investigators,
- 9 attorneys, and other employees as may be necessary to carry out
- 10 functions of Service Oklahoma;
- 11 6. Prescribe rules and regulations for the operation of Service
- 12 Oklahoma;
- 13 7. Provide input and recommendations to the Service Oklahoma
- 14 Operator Board on all matters including branding and physical
- 15 standardization requirements, customer service metrics, analysis,
- 16 and improvement processes for licensed operators, and processes for
- 17 termination of licensed operators for failure to comply with the
- 18 customer service metrics;
- 19 8. Establish internal policies and procedures;
- 20 9. Prescribe and provide suitable forms deemed necessary to
- 21 carry out the functions of Service Oklahoma and any other laws the
- 22 enforcement and administration of which are vested in Service
- 23 Oklahoma;
- 24

1 10. Establish such divisions, sections, committees, advisory
2 committees, offices, and positions in Service Oklahoma as the
3 Executive Director deems necessary to carry out the functions of
4 Service Oklahoma;

5 11. Accept and disburse grants, allotments, gifts, devises,
6 bequests, funds, appropriations, and other property made or offered
7 to Service Oklahoma; and

8 12. Create the budget for Service Oklahoma to be submitted to
9 the Legislature each year.

10 C. The salary and other expenses for the Executive Director
11 shall be budgeted as a separate line item through Service Oklahoma.
12 The operating expenses of Service Oklahoma shall be set by the
13 Executive Director and shall be budgeted as a separate line item
14 through Service Oklahoma.

15 D. 1. The Executive Director of Service Oklahoma shall direct
16 all purchases, hiring, procurement, and budget for Service Oklahoma
17 and establish, implement, and enforce policies and procedures
18 related thereto, consistent with the Oklahoma Central Purchasing
19 Act. Service Oklahoma and the Executive Director shall be subject
20 to the requirements of the Public Competitive Bidding Act of 1974,
21 the Oklahoma Lighting Energy Conservation Act, and the Public
22 Facilities Act.

23 2. The Executive Director of Service Oklahoma, or any employee
24 or agent of the Executive Director of Service Oklahoma acting within

1 the scope of delegated authority, shall have the same power and
2 authority related to purchases, hiring, procurement, and budget for
3 Service Oklahoma as outlined in paragraph 1 of this subsection for
4 Service Oklahoma as the State Purchasing Director has for all
5 acquisitions used or consumed by state agencies as established in
6 the Oklahoma Central Purchasing Act. Such authority shall,
7 consistent with the authority granted to the State Purchasing
8 Director, include the power to designate financial or proprietary
9 information submitted by a bidder confidential and reject all
10 requests to disclose the information so designated, if the Executive
11 Director of Service Oklahoma requires the bidder to submit the
12 financial or proprietary information with a bid, proposal, or
13 quotation.

14 E. Service Oklahoma shall determine the compensation to be
15 retained by licensed operators.

16 1. Before the last day in September in every even-numbered
17 year, Service Oklahoma shall review the compensation paid to
18 licensed operators and, if necessary, change the compensation.
19 Service Oklahoma shall engage an independent third party to evaluate
20 the compensation paid to licensed operators who shall provide any
21 recommendations no later than November 1 in the even-numbered year.
22 Any recommended change in licensed operator compensation shall be
23 finalized by Service Oklahoma no later than the third Tuesday of
24 November in the even-numbered year. Notice of such recommendation

1 shall be electronically provided to the Governor, the President Pro
2 Tempore and the Chair of the Appropriations Committee of the Senate,
3 and the Speaker and the Chair of the Appropriations and Budget
4 Committee of the House of Representatives utilizing the centralized
5 filing system provided for in Section 378 of this act.

6 2. Any change in licensed operator compensation, unless
7 rejected or amended as provided by this subsection, shall become
8 effective on July 1 of the following calendar year. Any amendment
9 passed by a majority vote of each house of the Legislature shall
10 become effective as provided by the amendment unless vetoed by the
11 Governor.

12 SECTION 90. AMENDATORY Section 1, Chapter 265, O.S.L.
13 2024, as amended by Section 1, Chapter 104, O.S.L. 2025 (47 O.S.
14 Supp. 2025, Section 6-212.7), is amended to read as follows:

15 Section 6-212.7. A. There is hereby created the Impaired
16 Driving Prevention Advisory Committee. The Committee shall be
17 comprised of:

18 1. The Commissioner of Public Safety, or a designee, who shall
19 act as the chair;

20 2. The Chief of the Oklahoma Highway Patrol, or a designee;

21 3. A member appointed by the District Attorneys Council;

22 4. A member appointed by the Administrative Office of the
23 Courts;

- 1 5. The Commissioner of Mental Health and Substance Abuse
- 2 Services, or a designee;
- 3 6. The Director of the Oklahoma State Bureau of Investigation,
- 4 or a designee;
- 5 7. The State Director of Tests for Alcohol and Drug Influence,
- 6 or a designee;
- 7 8. The Director of the Oklahoma Highway Safety Office, or a
- 8 designee;
- 9 9. The President of the Oklahoma Association of Chiefs of
- 10 Police, or a designee;
- 11 10. The President of the Oklahoma Sheriff's Association, or a
- 12 designee;
- 13 11. The Executive Director of Service Oklahoma, or a designee;
- 14 12. A member of the Board of Directors of Safety and Advocacy
- 15 For Empowerment (SAFE);
- 16 13. A representative designated by a victim advocacy group to
- 17 be selected by the Commissioner of Public Safety;
- 18 14. A member of the House of Representatives appointed by the
- 19 Speaker of the House of Representatives;
- 20 15. A member of the Senate appointed by the President Pro
- 21 Tempore of the Senate;
- 22 16. The State Commissioner of Health, or a designee;
- 23 17. The Executive Director of the Department of Transportation,
- 24 or a designee;

1 18. The Executive Director of the Oklahoma Medical Marijuana
2 Authority, or a designee;

3 19. The Executive Director of the State Board of Pharmacy, or a
4 designee;

5 20. The Executive Director of the Alcoholic Beverage Laws
6 Enforcement Commission, or a designee;

7 21. The Executive Director of the Oklahoma Turnpike Authority,
8 or a designee; and

9 22. The Executive Director of the Oklahoma Indigent Defense
10 System, or a designee.

11 B. The Department of Public Safety shall provide administrative
12 support necessary for the Committee to accomplish the goals and
13 objectives assigned by this section.

14 C. The Committee shall meet at the direction of the chair, and
15 shall meet not less than once a year, but not more than four times a
16 year. A vice chair shall be elected by the Committee from among its
17 members. The vice chair shall act as chair of the Committee in the
18 absence of the chair.

19 D. The Committee is authorized to collect, analyze, and
20 interpret relevant crash data on impaired driving and associated
21 traffic crashes. In addition, the Committee is authorized to
22 review, evaluate, and monitor the impaired driving system of this
23 state and provide a network of communication and cooperation among
24 the various stakeholders to coordinate and integrate efforts and

1 resources to reduce the incidence and severity of impaired driving
2 crashes.

3 E. The Committee shall annually complete a statewide strategic
4 plan to reduce the incidents of impaired driving and impaired
5 driving crashes. The plan shall be electronically submitted no
6 later than December 31 of each year to the Governor, the President
7 Pro Tempore of the Senate, and the Speaker of the House of
8 Representatives utilizing the centralized filing system provided for
9 in Section 378 of this act.

10 F. Members of the Committee who are otherwise employed by a
11 state agency or political subdivision shall serve without additional
12 compensation. Members of the Committee who are otherwise employed
13 by a state agency or political subdivision shall be entitled to
14 reimbursement for any actual and necessary traveling expenses in
15 accordance with the State Travel Reimbursement Act from the
16 employing agency.

17 SECTION 91. AMENDATORY 47 O.S. 2021, Section 7-606.1, is
18 amended to read as follows:

19 Section 7-606.1. A. There is hereby created the Uninsured
20 Vehicle Enforcement Program.

21 B. The Uninsured Vehicle Enforcement Program shall be
22 implemented and administered by the district attorneys of the State
23 of Oklahoma within their respective districts or at the District
24 Attorneys Council. To implement this program, the use of technology

1 and software to aid in detection of offenses involving uninsured
2 motorists is necessary and district attorneys and participating law
3 enforcement agencies shall have the authority to enter into
4 contractual agreements with automated license plate reader providers
5 to provide necessary technology, equipment, and maintenance thereof.

6 C. 1. Participating law enforcement agencies may use automatic
7 license plate reader systems utilizing individual automatic license
8 plate reader system units to access and collect data for the
9 investigation, detection, analysis, or enforcement of Oklahoma's
10 Compulsory Insurance Law.

11 2. To accomplish the purposes of the program, law enforcement
12 agencies shall be allowed to access the online verification system
13 for motor vehicle liability policies to establish compliance with
14 the Compulsory Insurance Law as provided in Section 7-600.2 of Title
15 47 of the Oklahoma Statutes.

16 3. Access to the system shall be restricted to authorized law
17 enforcement agency users in the program; provided, any entity with
18 which a contract is executed to provide necessary technology,
19 equipment and maintenance for purposes of the program shall be
20 authorized, as necessary, to collaborate for required updates and
21 maintenance of their software.

22 4. Any data collected and stored by law enforcement pursuant to
23 the program shall be considered evidence if noncompliance with the
24 Compulsory Insurance Law is confirmed.

1 D. A law enforcement officer may verify by sworn affidavit that
2 a photograph generated by an automatic license plate reader system
3 unit identifies a particular vehicle operating on or having been
4 operated on a public road, highway, street, turnpike, other public
5 place or upon any private road, street, alley or lane which provides
6 access to one or more single-family or multifamily dwellings and
7 that the online verification system shows that the vehicle was
8 uninsured at the time such vehicle was being operated. The
9 affidavit shall constitute probable cause for prosecution under
10 applicable state law.

11 E. Data collected or retained through the use of an automated
12 license plate reader system pursuant to the program shall be
13 retained by a law enforcement agency when the data is being used as
14 evidence of a violation of the Compulsory Insurance Law; provided,
15 when the data is no longer needed as evidence of a violation, the
16 data shall be deleted or destroyed.

17 F. Data collected or retained through the use of an automated
18 license plate reader system shall not be used by any individual or
19 agency for purposes other than enforcement of the Compulsory
20 Insurance Law or as otherwise permitted by law.

21 1. No law enforcement agency or other entity authorized to
22 operate under this program shall sell captured license plate data
23 for any purpose or share it for any purpose not expressly authorized
24 by this section.

1 2. Any and all data collected, retained, or shared through the
2 use of an automated license plate reader system, except data
3 retained as evidence of a violation of the Compulsory Insurance Law,
4 shall be exempt from the Oklahoma Open Records Act.

5 G. The provisions of the program shall not apply to, or be
6 construed or interpreted in a manner to prohibit the use of, any
7 other automated license plate reader system by an individual or
8 private legal entity for purposes not otherwise prohibited by law.

9 H. The provisions of the program shall not be implemented until
10 such time that the Insurance Department verifies that the following
11 conditions have been met:

12 1. At least Ninety-Five Percent (95%) of the personal lines
13 auto insurance market in the state participates in the Oklahoma
14 Compulsory Insurance Verification System using a real-time web
15 portal system; and

16 2. The Oklahoma Compulsory Insurance Verification System is
17 updated in such a way to allow for the provisions of the program to
18 be implemented without interrupting or impeding any other lawful
19 uses of the system.

20 I. Following the implementation of the program and every year
21 thereafter, the District Attorneys Council shall publish an annual
22 report for the previous fiscal year of the Uninsured Vehicle
23 Enforcement Program by September 1. An electronic copy of the
24 report shall be distributed to the President Pro Tempore of the

Senate and the Speaker of the House of Representatives and the chairs of the House and Senate Appropriations Committees utilizing the centralized filing system provided for in Section 378 of this act. The report shall comprise an evaluation of program operations, and may include any information and recommendations for improvement of the program deemed appropriate by the entity submitting the report.

J. For purposes of this section:

1. "Automatic license plate reader system" means a system of one or more mobile or law-enforcement-controlled cameras combined with computer algorithms to convert images of registration plates into computer-readable data;

2. "Law enforcement agency" includes the district attorney's office of any county, the Department of Public Safety, the sheriff's office of any county, and the chiefs of police of any city or town having a population of more than one hundred thousand (100,000) residents; and

3. "Program" means the Uninsured Vehicle Enforcement Program.

SECTION 92. AMENDATORY 47 O.S. 2021, Section 7-606.2, is amended to read as follows:

Section 7-606.2. A. Each district attorney may create within the district attorney's office an Uninsured Vehicle Enforcement Diversion Program and assign sufficient staff and resources for the efficient operation of the program. The purpose of the Uninsured

1 Vehicle Enforcement Diversion Program is to authorize the district
2 attorney to divert complaints involving the failure to comply with
3 mandatory vehicle liability insurance coverage from criminal court
4 to the Uninsured Vehicle Enforcement Diversion Program and to
5 enhance public safety and security through increased compliance with
6 mandatory vehicle liability insurance coverage.

7 B. 1. Referral of a criminal complaint to the Uninsured
8 Vehicle Enforcement Diversion Program shall be at the discretion of
9 the district attorney. This act shall not limit the power of the
10 district attorney to prosecute Compulsory Insurance Law complaints.

11 2. Upon receipt of a complaint for failure to comply with the
12 Compulsory Insurance Law, the district attorney shall determine if
13 the complaint is one which is appropriate for deferred prosecution.

14 3. In determining whether to defer prosecution and refer a case
15 to the Uninsured Vehicle Enforcement Diversion Program, the district
16 attorney shall consider the following factors:

17 a. whether the criminal complaint alleges an offense
18 involving the failure to maintain required vehicle
19 liability insurance coverage,

20 b. whether it is in the best interest of the accused for
21 the accused person to be processed through deferred
22 prosecution in the Uninsured Vehicle Enforcement
23 Diversion Program,
24

- 1 c. the prospects for adequate protection of the public if
2 the accused person is processed through deferred
3 prosecution in the Uninsured Vehicle Enforcement
4 Diversion Program,
- 5 d. the number of criminal complaints against the
6 defendant previously received by the district
7 attorney,
- 8 e. whether or not there are other criminal complaints
9 currently pending against the defendant, and
- 10 f. the strength of the evidence of the particular
11 criminal complaint.

12 C. Upon referral of a complaint to the Uninsured Vehicle
13 Enforcement Diversion Program, a notice of the complaint shall be
14 forwarded by mail to the last known address of the record owner of
15 the vehicle. The notice shall contain:

16 1. The date the act which is the subject of the complaint
17 occurred;

18 2. A statement of the penalty for the violation of the
19 Compulsory Insurance Law which is the subject of the complaint;

20 3. A statement that the records of the State of Oklahoma
21 indicate that the owner of the vehicle is not in compliance with the
22 provisions of the Compulsory Vehicle Insurance Law and that the
23 complaint against the owner has been referred to the Uninsured
24 Vehicle Enforcement Diversion Program; and

1 4. The date before which the owner ~~must~~ shall contact the
2 office of the district attorney concerning the complaint.

3 D. If the owner fails to comply with the letter, the district
4 attorney may file the information and proceed with the prosecution
5 of the owner as provided by law.

6 E. The district attorney may enter into a written agreement
7 with the owner pursuant to the provisions of Sections 305.1 through
8 305.6 of Title 22 of the Oklahoma Statutes to defer prosecution on
9 the complaint for a period to be determined by the district
10 attorney, not to exceed two (2) years. The conditions of an
11 agreement to defer prosecution shall include:

12 1. The owner shall provide verification of current insurance
13 upon request of the district attorney;

14 2. The owner shall comply with the provisions of the Compulsory
15 Insurance Law for the full term of the agreement; and

16 3. The owner shall not own or operate any vehicle in violation
17 of the Compulsory Insurance Law during the full term of the
18 agreement.

19 F. Each diversion agreement shall include a provision requiring
20 the owner to pay to the district attorney's office or District
21 Attorneys Council a fee equal to the amount which would have been
22 assessed as court costs upon the filing of the case in district
23 court pursuant to the provisions of Section 153 of Title 28 of the
24 Oklahoma Statutes. This fee shall be deposited in a special

1 district attorney fund with the county treasurer to be known as the
2 "Uninsured Vehicle Enforcement Diversion Program Fund". Diversion
3 fees paid to the District Attorneys Council shall be deposited in a
4 special fund to be known as the "Uninsured Vehicle Enforcement
5 Diversion Program Fund".

6 1. Each diversion agreement shall also include a provision
7 requiring the owner to pay an additional fee of Twenty Dollars
8 (\$20.00) to the District Attorneys Council, of which Five Dollars
9 (\$5.00) will be used in processing the payment, Ten Dollars (\$10.00)
10 will be used in operating and maintaining the Compulsory Insurance
11 Verification System and Five Dollars (\$5.00) will be deposited in
12 the Oklahoma Pension Improvement Revolving Fund created by section 2
13 of Enrolled Senate Bill No. 1128 of the 2nd Session of the 55th
14 Oklahoma Legislature.

15 2. The monies deposited in the Uninsured Vehicle Enforcement
16 Diversion Program Fund of a district attorney or the District
17 Attorneys Council shall be used by the district attorney and
18 District Attorneys Council to pay for all expenses and costs of
19 equipping, operating and monitoring the vehicle insurance program,
20 including but not limited to, contractual payments to third-party
21 entities providing essential services ~~and/or~~ or equipment for
22 detection of violations of Compulsory Insurance Law, and payment of
23 reasonable compensation to authorized and participating law
24 enforcement agencies as may be agreed between such entities, law

1 enforcement agencies and the district attorney or District Attorneys
2 Council.

3 3. Proceeds from the Uninsured Vehicle Enforcement Diversion
4 Program administered by the District Attorneys Council may be used
5 to pay for any lawful expenditures associated with the operation of
6 the diversion program by the District Attorneys Council. The net
7 proceeds shall be allocated and distributed to the district
8 attorneys by the District Attorneys Council. District attorneys may
9 use proceeds from this diversion program to pay for any lawful
10 expenditure associated with the operation of the district attorney's
11 office.

12 4. The district attorney and District Attorneys Council shall
13 keep records of all monies deposited to and disbursed from the
14 Uninsured Vehicle Enforcement Diversion Program Fund. The records
15 of these funds shall be audited at the same time the records of the
16 district attorney and District Attorneys Council, respectively, are
17 audited.

18 5. If the owner furnishes proof to the satisfaction of the
19 district attorney's office or District Attorneys Council that the
20 required vehicle liability insurance coverage was in effect at the
21 time of the alleged violation, no fee shall be required.

22 G. Members of the district attorney's staff shall perform
23 duties in connection with the Uninsured Vehicle Enforcement
24

1 Diversion Program in addition to any other duties which may be
2 assigned by the district attorney.

3 H. District attorneys shall prepare and submit an annual report
4 to the District Attorneys Council showing total deposits and total
5 expenditures in the Uninsured Vehicle Enforcement Diversion Program.
6 Each district attorney shall submit information requested by the
7 District Attorneys Council regarding the Uninsured Vehicle
8 Enforcement Diversion Program.

9 By September 15 of each year following the implementation of the
10 Uninsured Vehicle Enforcement Program, the District Attorneys
11 Council shall publish an annual report for the previous fiscal year
12 of the Uninsured Vehicle Enforcement Diversion Program. An
13 electronic copy of the report shall be distributed to the Governor,
14 President Pro Tempore of the Senate, Speaker of the House of
15 Representatives, and the chairs of the House and Senate
16 Appropriations Committees utilizing the centralized filing system
17 provided for in Section 378 of this act. The report required by
18 this paragraph shall include the number of cases processed, the
19 total amount of fees collected, the total cost of the program and
20 such other information as required by the District Attorneys
21 Council.

22 SECTION 93. AMENDATORY 47 O.S. 2021, Section 156.1, as
23 last amended by Section 55, Chapter 452, O.S.L. 2024 (47 O.S. Supp.
24 2025, Section 156.1), is amended to read as follows:

1 Section 156.1. A. It shall be unlawful for any state official,
2 officer, or employee, except any essential employees approved by the
3 Governor and those officers or employees authorized in subsection B
4 of this section, to ride to or from the place of residence of the
5 employee in a state-owned or state-leased automobile, truck, or
6 pickup, except in the performance of the official duty of the
7 employee, or to use or permit the use of any such automobile, truck,
8 ambulance, or pickup for other personal or private purposes. Any
9 person convicted of violating the provisions of this section shall
10 be guilty of a misdemeanor and shall be punished by a fine of not
11 more than One Hundred Dollars (\$100.00) or by imprisonment in the
12 county jail for a period to not exceed thirty (30) days, or by both
13 said fine and imprisonment, and in addition thereto, shall be
14 discharged from state employment.

15 B. 1. Any state employee, other than the individuals provided
16 for in paragraph 2 of this subsection and any employee of the
17 Department of Public Safety who is a wrecker inspector or auditor of
18 the Wrecker Services Division as provided for in paragraph 3 of this
19 subsection, who receives emergency telephone calls regularly at the
20 residence of the employee when the employee is not on duty and is
21 regularly called upon to use a vehicle after normal work hours in
22 response to such emergency calls, may be permitted to use a vehicle
23 belonging to the state to provide transportation between the
24 residence of the employee and the assigned place of employment,

1 provided such distance does not exceed seventy-five (75) miles in
2 any round trip or is within the county where the assigned place of
3 employment is located. Provided further, an employee may be
4 permitted to use a state-owned or state-leased vehicle to provide
5 temporary transportation between a specific work location other than
6 the assigned place of employment and the residence of the employee,
7 if such use shall result in a monetary saving to the agency, and
8 such authorization shall not be subject to the distance or area
9 restrictions provided for in this paragraph. Authorization for
10 temporary use of a state-owned or state-leased vehicle for a
11 specific project shall be in writing stating the justification for
12 this use and the saving expected to result. Such authorization
13 shall be valid for not to exceed sixty (60) days. Any state entity
14 other than law enforcement that avails itself of this provision
15 shall keep a monthly record of all participating employees, the
16 number of emergency calls received and the number of times that a
17 state vehicle was used in the performance of such emergency calls.

18 2. Any employee of the Department of Public Safety, Oklahoma
19 Department of Corrections, Office of the Attorney General, Oklahoma
20 State Bureau of Narcotics and Dangerous Drugs Control, Oklahoma
21 State Bureau of Investigation, Alcoholic Beverage Laws Enforcement
22 Commission, Oklahoma Horse Racing Commission, Oklahoma Department of
23 Agriculture, Food, and Forestry, Office of the Inspector General
24 within the Department of Human Services or Office of the State Fire

1 Marshal, who is a law enforcement officer or criminalist, Public
2 Information officer, Special Investigator or Assistant Director of
3 the Oklahoma State Bureau of Investigation, the Executive Director
4 of CLEET, CLEET-certified Investigator for a state board, or any
5 employee of a district attorney who is a law enforcement officer,
6 may be permitted to use a state-owned or state-leased vehicle to
7 provide transportation between the residence of the employee and the
8 assigned place of employment and between the residence and any
9 location other than the assigned place of employment to which the
10 employee travels in the performance of the official duty of the
11 employee.

12 3. Any employee of the Department of Public Safety who is a
13 wrecker inspector or auditor of the Wrecker Services Division, or a
14 noncommissioned pilot may be permitted, as determined by the
15 Commissioner, to use a state-owned or state-leased vehicle to
16 provide transportation between the residence of the employee and the
17 assigned place of employment and between the residence and any
18 location other than the assigned place of employment to which the
19 employee travels in the performance of the official duty of the
20 employee.

21 4. The Director, department heads and other essential employees
22 of the Department of Wildlife Conservation, as authorized by the
23 Wildlife Conservation Commission, may be permitted to use a state-
24 owned or state-leased vehicle to provide transportation between the

1 residence of the employee and the assigned place of employment and
2 between the residence and any location other than the assigned place
3 of employment to which the employee travels in the performance of
4 the official duty of the employee.

5 5. The Director, department heads, emergency responders, and
6 other essential employees of the Department of Corrections, as
7 authorized by the Director, may be permitted to use a state-owned or
8 state-leased vehicle to provide transportation between the residence
9 of the employee and the assigned place of employment and between the
10 residence and any location other than the assigned place of
11 employment to which the employee travels in the performance of the
12 official duty of the employee.

13 6. Designated Examiner Auditors, Designated Examiner
14 Supervisors, Commercial Driver License Examiners, Commercial Driver
15 License Auditors, Commercial Driver License Supervisors, and Driver
16 License Supervisors, as an employee of Service Oklahoma may be
17 permitted, as determined by the Director of Service Oklahoma, to use
18 a state-owned or state-leased vehicle to provide transportation
19 between the residence of the employee and the assigned place of
20 employment and between the residence and any location other than the
21 assigned place.

22 7. The Attorney General, division heads, emergency responders,
23 agents, assistant attorneys general, and other essential employees
24 of the Office of the Attorney General, as authorized by the Attorney

1 General, may be permitted to use a state-owned or state-leased
2 vehicle to provide transportation between the residence of the
3 employee and the assigned place of employment and between the
4 residence and any location other than the assigned place of
5 employment to which the employee travels in the performance of the
6 official duty of the employee.

7 C. The principal administrator of the state agency with which
8 the employee is employed shall so designate the status of the
9 employee in writing or, utilizing the centralized filing system
10 provided for in Section 378 of this act, electronically provide a
11 copy of the temporary authorization to the Governor, the President
12 Pro Tempore of the Senate and the Speaker of the House of
13 Representatives. Such employee status report shall also be provided
14 to the State Fleet Manager of the Division of Fleet Management if
15 the motor vehicle for emergency use is provided by said Division.

16 SECTION 94. AMENDATORY 47 O.S. 2021, Section 1104.1, as
17 last amended by Section 8, Chapter 171, O.S.L. 2025 (47 O.S. Supp.
18 2025, Section 1104.1), is amended to read as follows:

19 Section 1104.1. A. Twenty-three Dollars (\$23.00) of the fee
20 authorized by Section 1135.5 of this title for university or college
21 supporter license plates which are received each year by Service
22 Oklahoma or its licensed operators shall be apportioned as follows:

23 1. Twenty Dollars (\$20.00) of the fee for each license plate
24 designating a particular state university or college shall be

1 apporportioned to the particular state university or college so
2 designated on the license plate. Twenty Dollars (\$20.00) of the fee
3 for each license plate designating a particular private university
4 or college shall be apporportioned to the particular private university
5 or college so designated on the license plate and may be used by the
6 private university or college as compensation for use of the
7 symbols, words, or letters authorized by the private university or
8 college for use on the license plate; and

9 2. Three Dollars (\$3.00) shall be deposited to the Adaptive
10 Grant Program for Oklahomans with Intellectual Disabilities
11 Revolving Fund created by this section to be used for educational
12 purposes.

13 B. There is hereby created in the State Treasury a revolving
14 fund for the Department of Human Services to be designated the
15 "Adaptive Grant Program for Oklahomans with Intellectual
16 Disabilities Revolving Fund". The fund shall be a continuing fund,
17 not subject to fiscal year limitations, and shall consist of all
18 funds deposited therein pursuant to the provisions of paragraph 2 of
19 subsection A of this section. All monies accruing to the credit of
20 the fund are hereby appropriated and may be budgeted and expended by
21 the Department of Human Services for the administration of the
22 Adaptive Grant Program for Oklahomans with Intellectual
23 Disabilities.

24

1 C. The Director of the Department of Human Services is hereby
2 directed to promulgate rules to create the Adaptive Grant Program
3 for Oklahomans with Intellectual Disabilities Program to provide
4 financial assistance in adaptation of furnishings, fixtures,
5 vehicles, equipment, or structures in order to meet any special
6 needs of Oklahomans with intellectual disabilities; provided,
7 recipients of grants awarded pursuant to the program shall be
8 limited to those programs, projects, or persons not otherwise
9 qualifying for state or federal funding. The Department of Human
10 Services is authorized to contract with a statewide private,
11 nonprofit foundation certified to be a 501(c)(3) organization by the
12 Internal Revenue Service for administration of the program.

13 D. The Director of Human Services shall prepare an annual
14 report on the Program. Such report shall be electronically
15 submitted to the Governor, the President Pro Tempore of the Senate,
16 and the Speaker of the House of Representatives utilizing the
17 centralized filing system provided for in Section 378 of this act.

18 SECTION 95. AMENDATORY 47 O.S. 2021, Section 1140.3, is
19 amended to read as follows:

20 Section 1140.3. The Oklahoma Tax Commission shall, utilizing
21 the centralized filing system provided for in Section 378 of this
22 act, electronically submit a monthly report of the apportionment
23 reimbursed out of the License and ID Apportionment Reimbursement
24 Revolving Fund, created in Section 5 of this act, to the Chair of

1 the Senate Appropriations Committee and Chair of the House of
2 Representatives Appropriations and Budget Committee.

3 SECTION 96. AMENDATORY 52 O.S. 2021, Section 87.2, is
4 amended to read as follows:

5 Section 87.2. A. Except as provided in subsection B of this
6 section, only those persons, or the duly authorized agent,
7 representative or attorney of those persons, who are mineral owners
8 or owners of the right to drill a well for oil and gas on the lands
9 embraced within the subject area of an application or the owners of
10 correlative rights within the common source of supply or supplies
11 embraced within an application to the extent such owners are
12 directly affected by such application, shall be proper parties to:

13 1. ~~protest~~ Protest any application to establish, reestablish,
14 or reform a spacing unit~~ti~~

15 2. ~~protest~~ Protest any application requesting authority for an
16 additional well or wells within an established spacing unit brought
17 pursuant to the provisions of paragraph (a) or (d) of Section 87.1
18 of Title 52 of the Oklahoma Statutes~~ti~~ or

19 3. ~~present~~ Present testimony or evidence at any hearing arising
20 thereunder or relating thereto.

21 B. No other person shall be entitled to notice of such
22 proceeding or shall be entitled to appear as a party of record
23 therein, except that the Corporation Commission may permit persons
24 other than those specified in subsection A of this section leave to

1 intervene in a proceeding upon a finding, based upon clear and
2 convincing evidence, that such person has a substantial right
3 intended to be protected by Section 87.1 of Title 52 of the Oklahoma
4 Statutes which may adversely be affected by the outcome of such
5 proceeding. Any finding required by this section shall be made by
6 the Corporation Commission, sitting en banc, within ten (10) days of
7 the filing of a motion to intervene by such person and such
8 proceeding shall be stayed during such ten-day period.

9 C. At the end of each calendar quarter the Corporation
10 Commission shall, utilizing the centralized filing system provided
11 for in Section 378 of this act, electronically file a written report
12 with the Office of the Governor, the Speaker of the Oklahoma House
13 of Representatives, and the President Pro Tempore of the Oklahoma
14 State Senate describing all such findings made by the Corporation
15 Commission pursuant to this section during such period.

16 SECTION 97. AMENDATORY 53 O.S. 2021, Section 1.9, is
17 amended to read as follows:

18 Section 1.9. The title to any locally owned historic or
19 recreational site or improvements thereon shall not be acquired by
20 or conferred to the Oklahoma Historical Society to qualify for state
21 funding without prior approval of both the Senate and the House of
22 Representatives. Before such approval is given, proposals for
23 acquisitions shall be made to the Board ~~of Directors~~ of Directors of
24 the Oklahoma Historical Society. Within sixty (60) days after

1 receiving a proposal, the Board of Directors shall have a study made
2 of the proposed acquisition. The study shall evaluate the
3 historical background and significance of the property, the
4 educational value of the property, the accessibility of the property
5 to the public, and any other factors the Board of Directors deems
6 pertinent. The study shall also include an estimate of the cost of
7 restoring the property if restoration is necessary, an estimate of
8 the cost of providing access to the property if additional access is
9 necessary, and an estimate of the cost of operating and maintaining
10 the property for at least five (5) fiscal years subsequent to the
11 proposed date of acquisition of the property. A written report of
12 the results of the study shall be submitted by the Board of
13 Directors to the Historic Preservation Review Committee appointed by
14 the Governor to comply with rules and procedures prescribed by the
15 Secretary of the Interior pursuant to Public Law 89-665. The
16 Historic Preservation Review Committee, or its successor, shall
17 evaluate the results of the study and shall, utilizing the
18 centralized filing system provided for in Section 378 of this act,
19 electronically submit, within thirty (30) days of receiving the
20 report, a written recommendation to the Speaker of the House,
21 President Pro Tempore of the Senate, and Governor as to the
22 advisability of the acquisition.

23 SECTION 98. AMENDATORY 53 O.S. 2021, Section 166, is
24 amended to read as follows:

1 Section 166. The Oklahoma Arts Council shall be responsible for
2 the acquisition, exhibition, management, and care of the State Art
3 Collection and is empowered and directed to exercise these powers
4 and duties:

5 (a) Consider the whole state of the arts, cultural activities,
6 and cultural heritage of Oklahoma. The purview of the Council shall
7 not be limited but shall include music, theater, dance, opera,
8 graphic arts, plastic arts, architecture, poetry, plays, or any
9 other art, regardless of period, school, or type. Full attention
10 shall also be given to art, art museums, live performances, or
11 concerts, art exhibits, and other like endeavors.

12 (b) Survey the artistic and cultural activities and facilities
13 of the state, and the institutions, organizations, or individuals
14 engaged in these undertakings.

15 (c) Study information collected and prepare proposals for the
16 study, practice, and presentation of the arts.

17 (d) Foster conferences, institutes, and exhibits on the arts
18 and hold or cooperate in such ventures.

19 (e) ~~Report~~ Electronically submit a report biennially to the
20 Governor and Legislature on or before January 31 of each odd-
21 numbered year utilizing the centralized filing system provided for
22 in Section 378 of this act. Reports shall include recommendations
23 and suggestions for the expansion and improvement of the arts and
24

1 for wider opportunity of participation in these activities by our
2 citizens.

3 (f) Publish any reports, surveys, news bulletins, or other
4 materials pertaining to its findings, recommendations, and work.

5 (g) Perform or engage in all else necessary or desirable to
6 give full force and effect to the provisions of this act.

7 SECTION 99. AMENDATORY 56 O.S. 2021, Section 71, is
8 amended to read as follows:

9 Section 71. A. Except as provided in subsection C of this
10 section or where exempted by federal law, every agency or a
11 political subdivision of this state shall verify the lawful presence
12 in the United States of any natural person fourteen (14) years of
13 age or older who has applied for state or local public benefits, as
14 defined in 8 U.S.C., Section 1621, or for federal public benefits,
15 as defined in 8 U.S.C., Section 1611, that is administered by an
16 agency or a political subdivision of this state.

17 B. The provisions of this section shall be enforced without
18 regard to race, religion, gender, ethnicity, or national origin.

19 C. Verification of lawful presence under the provisions of this
20 section shall not be required:

21 1. For any purpose for which lawful presence in the United
22 States is not restricted by law, ordinance, or regulation;

23 2. For assistance for health care items and services that are
24 necessary for the treatment of an emergency medical condition, as

1 defined in 42 U.S.C., Section 1396b(v)(3), of the alien involved and
2 are not related to an organ transplant procedure;

3 3. For short-term, noncash, in-kind emergency disaster relief;

4 4. For public health assistance for immunizations with respect
5 to diseases and for testing and treatment of symptoms of
6 communicable diseases whether or not such symptoms are caused by a
7 communicable disease;

8 5. For application of special volunteer health care licenses
9 that specify the eligible volunteer shall be either retired from
10 practice in this state or actively licensed with a clean record in
11 another state and that such eligible volunteer shall not receive or
12 have the expectation to receive any payment or compensation, either
13 direct or indirect, for any services rendered in this state under
14 the special volunteer license; or

15 6. For programs, services, or assistance such as soup kitchens,
16 crisis counseling and intervention, and short-term shelter specified
17 by the United States Attorney General, in the sole and unreviewable
18 discretion of the United States Attorney General after consultation
19 with appropriate federal agencies and departments which:

20 a. deliver in-kind services at the community level,
21 including through public or private nonprofit
22 agencies,

23 b. do not condition the provision of assistance, the
24 amount of assistance provided, or the cost of

1 assistance provided on the income or resources of the
2 individual recipient, and

3 c. are necessary for the protection of life or safety.

4 D. Verification of lawful presence in the United States by the
5 agency or political subdivision required to make such verification
6 shall require that the applicant execute an affidavit under penalty
7 of perjury that:

8 1. He or she is a United States citizen; or

9 2. He or she is a qualified alien under the federal Immigration
10 and Nationality Act and is lawfully present in the United States.

11 The agency or political subdivision providing the state or local
12 public benefits shall provide notary public services at no cost to
13 the applicant.

14 E. For any applicant who has executed the affidavit described
15 in paragraph 2 of subsection D of this section, eligibility for
16 benefits shall be verified through the Systematic Alien Verification
17 for Entitlements (SAVE) Program operated by the United States
18 Department of Homeland Security or an equivalent program designated
19 by the United States Department of Homeland Security. Until such
20 eligibility verification is made, the affidavit may be presumed to
21 be proof of lawful presence for the purposes of this section.

22 F. Any person who knowingly and willfully makes a false,
23 fictitious, or fraudulent statement of representation in an
24 affidavit executed pursuant to subsection D of this section shall be

1 subject to criminal penalties applicable in this state for
2 fraudulently obtaining public assistance program benefits. If the
3 affidavit constitutes a false claim of U.S. citizenship under 18
4 U.S.C., Section 911, a complaint shall be filed by the agency
5 requiring the affidavit with the United States Attorney General for
6 the applicable district based upon the venue in which the affidavit
7 was executed.

8 G. Agencies or political subdivisions of this state may adopt
9 variations to the requirements of the provisions of this section
10 which demonstrably improve the efficiency or reduce delay in the
11 verification process, or to provide for adjudication of unique
12 individual circumstances where the verification procedures in this
13 section would impose unusual hardship on a legal resident of
14 Oklahoma.

15 H. It shall be unlawful for any agency or a political
16 subdivision of this state to provide any state, local, or federal
17 benefit, as defined in 8 U.S.C., Section 1621, or 8 U.S.C., Section
18 1611, in violation of the provisions of this section.

19 I. Each state agency or department which administers any
20 program of state or local public benefits shall ~~provide~~
21 electronically submit, utilizing the centralized filing system
22 provided for in Section 378 of this act, an annual report to the
23 Governor, the President Pro Tempore of the Senate and the Speaker of
24 the House of Representatives with respect to its compliance with the

1 provisions of this section. Each agency or department shall monitor
2 the Systematic Alien Verification for Entitlements Program for
3 application verification errors and significant delays and shall
4 provide an annual public report on such errors and significant
5 delays and recommendations to ensure that the application of the
6 Systematic Alien Verification of Entitlements Program is not
7 erroneously denying benefits to legal residents of Oklahoma. Errors
8 shall also be reported to the United States Department of Homeland
9 Security by each agency or department.

10 SECTION 100. AMENDATORY 56 O.S. 2021, Section 162, is
11 amended to read as follows:

12 Section 162. A. The Governor shall have the power and duty to
13 select a Director of Human Services who shall serve as executive and
14 administrative officer of the Department of Human Services. The
15 Director shall be appointed wholly on the basis of ability, training
16 and experience qualifying him or her for public welfare
17 administration. The Director shall serve, subject to the
18 confirmation of the Senate, at the pleasure of the Governor. The
19 salary of the Director shall be fixed by the Governor.

20 B. The Director shall formulate the policies and adopt rules
21 and regulations for the effective administration of the duties of
22 the Department.

23 C. 1. The Director shall take the appropriate steps to ensure
24 rules and policies are promulgated to conduct appropriate background

1 searches of individuals both prior to and, if necessary, during
2 their employment with the Department. The job categories within the
3 Department that are subject to background searches prior to
4 employment shall be determined at the Director's discretion. Such
5 background checks shall include, but not be limited to:

- 6 a. a search of the Oklahoma State Courts Network,
7 including Oklahoma District Court records,
- 8 b. a search of the Restricted Registry maintained by the
9 Department pursuant to Section 405.3 of Title 10 of
10 the Oklahoma Statutes,
- 11 c. a search of the Department of Corrections files
12 maintained by the Department pursuant to the Sex
13 Offender Registration Act,
- 14 d. a search of the Department of Corrections Violent
15 Offender Registry, also known as the Mary Rippey
16 Violent Crime Offender Registry,
- 17 e. a search of all applicable out-of-state child abuse
18 and neglect registries if the subject of the search
19 has not lived continuously in Oklahoma for the past
20 five (5) years,
- 21 f. a search of the community services worker registry
22 maintained by the Department pursuant to Section
23 1025.3 of this title~~7~~1 and
24

1 g. a fingerprint-based national criminal history record
2 check. The Department may directly request a national
3 criminal history record check as defined by Section
4 150.9 of Title 74 of the Oklahoma Statutes from the
5 Oklahoma State Bureau of Investigation for the purpose
6 of investigating the criminal history of any employee
7 or applicant of the Department.

8 2. In addition, the Director shall ensure rules and policies
9 are promulgated to conduct a search of the Department's records of
10 abuse and neglect both prior to and, if necessary, during the
11 employment of any person with the Department and whose scope of
12 employment will bring that individual into direct contact with any
13 vulnerable population.

14 D. The Director shall require and set the amount of the bond
15 for employees.

16 E. The Director shall cooperate with the federal Department of
17 Health and Human Services, or other similar agencies created by
18 Congress, in any reasonable manner as may be necessary to qualify
19 for federal aid to states in providing assistance to needy persons
20 in conformity with the provisions of this title, including the
21 making of reports in the form and containing information as a
22 federal agency may from time to time require, and comply with any
23 other similar federal agency requirements necessary to ensure the
24 correctness and verification of the reports.

1 F. The Director shall publish an annual report, not later than
2 four (4) months after the close of each fiscal year. The report
3 shall be ~~presented~~ electronically submitted to the Governor, the
4 Speaker of the House of Representatives, and the President Pro
5 Tempore of the Senate utilizing the centralized filing system
6 provided for in Section 378 of this act. Annual reports shall
7 provide information about the operations and programs administered
8 by the Department and shall include, but shall not be limited to:

9 1. Statistical information regarding services provided and the
10 number of persons served by Department programs;

11 2. Financial data including a reasonable amount of detailed
12 information regarding revenues and expenditures and a breakdown and
13 comparison of the Department budget with actual expenditures;

14 3. Status of the workforce and productivity of the Department;

15 4. Information about Department efforts to ensure program
16 accountability and service delivery quality and integrity;

17 5. Demographic data and trends and their anticipated impact on
18 demand for services; and

19 6. Information regarding public and private institution-based
20 services.

21 G. The Director shall assume the statutory duties of the
22 Commission for Human Services.

23 SECTION 101. AMENDATORY 56 O.S. 2021, Section 198.11b,
24 is amended to read as follows:

1 Section 198.11b. ~~A.~~ It is the public policy of the State of
2 Oklahoma to:

3 1. Recognize and support individuals with disabilities by
4 treating them with dignity and respect as productive members of our
5 society in Oklahoma;

6 2. Acknowledge their contributions as productive and
7 independent citizens in the state and the useful work they perform
8 in their local communities;

9 3. Support a service delivery system for individuals with
10 disabilities ensuring that the individuals, their families, or
11 guardians are well informed as to the types of services and
12 resources available to such individuals in order to encourage their
13 independence, self-esteem, and self-worth, regardless of the
14 severity of the disability; and

15 4. Recognize that self-choice on the part of individuals with
16 disabilities is critical and that the most appropriate setting for
17 meeting their needs should be a paramount consideration when
18 determining appropriate placement of such individuals in community-
19 based programs, residential care facilities, or any other placement
20 or service that benefits the needs and well-being of individuals
21 with disabilities.

22 ~~B. There is hereby created the Strategic Planning Committee on~~
23 ~~the Olmstead Decision to continue until July 1, 2010. The purpose~~
24 ~~of the Committee is to monitor the implementation of the~~

1 ~~comprehensive, strategic plan for the State of Oklahoma regarding~~
2 ~~the Olmstead Decision.~~

3 ~~C. The Strategic Planning Committee on the Olmstead Decision~~
4 ~~shall be composed of fifteen (15) appointed members, eighteen (18)~~
5 ~~ex officio members, and representatives from disability-related~~
6 ~~organizations, all of whom shall be voting members, as follows:~~

7 ~~1. a. The Governor shall appoint:~~

8 ~~(1) one person who is a community placement service~~
9 ~~provider for persons with disabilities,~~

10 ~~(2) one person who is an advocate for persons with~~
11 ~~disabilities,~~

12 ~~(3) one parent or personal representative of a person~~
13 ~~with disabilities,~~

14 ~~(4) one member from an organization that provides~~
15 ~~direct care services within the Advantage Waiver~~
16 ~~Program, and~~

17 ~~(5) one member who is a consumer of disability~~
18 ~~services.~~

19 ~~b. The President Pro Tempore of the Senate shall appoint:~~

20 ~~(1) two members of the State Senate,~~

21 ~~(2) two members who are consumers of disability~~
22 ~~services, and~~

23 ~~(3) one member with a disability who has moved from~~
24 ~~an institutional setting into the community.~~

1 ~~c. The Speaker of the House of Representatives shall~~
2 ~~appoint:~~

3 ~~(1) two members of the House of Representatives,~~

4 ~~(2) one parent or personal representative of a person~~
5 ~~with disabilities,~~

6 ~~(3) one member who is a consumer of disability~~
7 ~~services, and~~

8 ~~(4) one member with a disability who has moved from~~
9 ~~an institutional setting into the community;~~

10 ~~2. The ex officio voting members shall be:~~

11 ~~a. the Attorney General, or designee,~~

12 ~~b. the Director of the Department of Human Services, or~~
13 ~~designee,~~

14 ~~c. the Division Director of the Developmental~~
15 ~~Disabilities Division of the Department of Human~~
16 ~~Services, if not the designee of the Director of Human~~
17 ~~Services,~~

18 ~~d. the State Commissioner of Health, or designee,~~

19 ~~e. the Commissioner of the Department of Mental Health~~
20 ~~and Substance Abuse Services, or designee,~~

21 ~~f. the Administrator of the Oklahoma Health Care~~
22 ~~Authority, or designee,~~

23 ~~g. the Director of the Office of Management and~~
24 ~~Enterprise Services, or designee,~~

- 1 ~~h. the Director of the State Department of Rehabilitation~~
2 ~~Services, or designee,~~
- 3 ~~i. the Director of the Office of Disability Concerns, or~~
4 ~~designee,~~
- 5 ~~j. the Director of the Oklahoma Employment Security~~
6 ~~Commission, or designee,~~
- 7 ~~k. the state coordinator for the federal Ticket To Work~~
8 ~~and Work Incentive Act, if not the designee of the~~
9 ~~Oklahoma Employment Security Director,~~
- 10 ~~l. the Executive Director of a local housing authority,~~
11 ~~or designee,~~
- 12 ~~m. the Executive Director of the Oklahoma Housing Finance~~
13 ~~Agency, or designee,~~
- 14 ~~n. the State Superintendent of Public Instruction, or~~
15 ~~designee,~~
- 16 ~~o. the Director of the Department of Transportation, or~~
17 ~~designee,~~
- 18 ~~p. the Commissioner of Labor, or designee,~~
- 19 ~~q. a representative from a local transit authority, or~~
20 ~~from a Community Action Agency, that provides~~
21 ~~transportation services to individuals with~~
22 ~~disabilities, and~~
- 23 ~~r. the Director of the Oklahoma Commission on Children~~
24 ~~and Youth, or designee; and~~

1 ~~3. The membership shall also include as voting members:~~

2 ~~a. one representative from the Developmental Disabilities~~
3 ~~Council,~~

4 ~~b. one representative from the Statewide Independent~~
5 ~~Living Council,~~

6 ~~c. two representatives from the Centers for Independent~~
7 ~~Living,~~

8 ~~d. one representative from the Center for Learning and~~
9 ~~Leadership,~~

10 ~~e. one representative from the Oklahoma Disability Law~~
11 ~~Center,~~

12 ~~f. one representative from ABLE Tech,~~

13 ~~g. one representative from the Oklahoma Mental Health~~
14 ~~Consumer Council, and~~

15 ~~h. a representative of a nonprofit agency, in a county of~~
16 ~~five hundred thousand (500,000) or more population,~~
17 ~~that collaborates on programs and services for persons~~
18 ~~with disabilities.~~

19 ~~D. 1. Members shall serve at the pleasure of their appointing~~
20 ~~authorities. A vacancy on the Committee shall be filled by the~~
21 ~~original appointing authority.~~

22 ~~2. A majority of the members of the Committee shall constitute~~
23 ~~a quorum. A majority of the members present at a meeting may act~~
24 ~~for the Committee.~~

1 ~~3. The President Pro Tempore and the Speaker shall each~~
2 ~~designate a cochair from among the members of the Committee.~~

3 ~~4. The cochairs of the Committee shall annually establish a~~
4 ~~schedule of each year's meetings. The Committee shall meet at least~~
5 ~~four times annually.~~

6 ~~5. Proceedings of all meetings of the Committee shall comply~~
7 ~~with the provisions of the Oklahoma Open Meeting Act.~~

8 ~~6. The Committee may divide into subcommittees in furtherance~~
9 ~~of its purpose.~~

10 ~~E. 1. The Department of Human Services and the Office of the~~
11 ~~Attorney General shall serve as lead agencies and as such shall~~
12 ~~provide primary staffing for the Committee. Appropriate personnel~~
13 ~~from the Oklahoma Health Care Authority and the Department of Mental~~
14 ~~Health and Substance Abuse Services shall also assist with the work~~
15 ~~of the Committee.~~

16 ~~2. The Committee may use the expertise and services of the~~
17 ~~staffs of the State Senate and the House of Representatives and may,~~
18 ~~as necessary, employ and contract for the advice and services of~~
19 ~~experts in the field as well as other necessary professional and~~
20 ~~clerical staff.~~

21 ~~F. All departments, officers, agencies, and employees of this~~
22 ~~state shall cooperate with the Committee in fulfilling its duties~~
23 ~~and responsibilities including, but not limited to, providing any~~
24 ~~information, records, or reports requested by the Committee.~~

1 ~~G. Members of the Committee shall receive no compensation for~~
2 ~~their service, but shall receive travel reimbursement as follows:~~

3 ~~1. Legislative members of the Committee shall be reimbursed for~~
4 ~~necessary travel expenses incurred in the performance of their~~
5 ~~duties in accordance with the provisions of Section 456 of Title 74~~
6 ~~of the Oklahoma Statutes; and~~

7 ~~2. Nonlegislative members of the Committee shall be reimbursed~~
8 ~~by their appointing authorities or respective agencies for necessary~~
9 ~~travel expenses incurred in the performance of their duties in~~
10 ~~accordance with the State Travel Reimbursement Act.~~

11 ~~H. The duties and responsibilities of the Strategic Planning~~
12 ~~Committee on the Olmstead Decision shall include, but need not be~~
13 ~~limited to:~~

14 ~~a. monitoring the implementation of the comprehensive,~~
15 ~~strategic plan for Oklahomans with disabilities,~~
16 ~~pursuant to the Olmstead Decision,~~

17 ~~b. reviewing the service delivery system within the state~~
18 ~~and the way in which persons with disabilities~~
19 ~~currently access the services,~~

20 ~~c. reviewing existing statutes, policies, programs,~~
21 ~~services and funding sources that affect Oklahomans~~
22 ~~with disabilities, including, but not limited to,~~
23 ~~identifying unique approaches and strategies to~~
24 ~~funding,~~

- ~~d. identifying and reviewing funding and resource information available to persons with disabilities and their families in this state,~~
- ~~e. identifying gaps and barriers in programs and services to individuals with disabilities and making any recommendations to enhance programs and the delivery system for persons with disabilities in Oklahoma,~~
- ~~f. examining the feasibility of expanding the eligibility criteria for people served by the Developmental Disabilities Services Division of the Department of Human Services to include people with disabilities who are not eligible for the Advantage Waiver program through the Aging Services Division and those with other diagnoses who are at risk of out-of-home placement,~~
- ~~g. studying the feasibility and impact of requiring that assistive technology suppliers in this state meet national certification requirements, and~~
- ~~h. taking all other actions necessary to monitor and assist with the implementation of the comprehensive strategic plan.~~

~~i. The Committee shall prepare and submit a report of its findings and recommendations to the Legislature and Governor by July~~

1 ~~15, 2007, and each July 15 thereafter, and shall submit a final~~
2 ~~report by July 1, 2010.~~

3 SECTION 102. AMENDATORY 56 O.S. 2021, Section 198.16, is
4 amended to read as follows:

5 Section 198.16. A. In order to implement the Oklahoma Self-
6 Directed Care Act:

7 1. The Oklahoma Health Care Authority Board and the Commission
8 for Human Services are hereby authorized to promulgate rules
9 necessary to enact the provisions of this act;

10 2. The Oklahoma Health Care Authority shall take all actions
11 necessary to ensure state compliance with federal regulations;

12 3. The Authority shall apply for any necessary federal waivers
13 or waiver amendments required to implement the program;

14 4. The Legislature intends that, as consumers relocate from
15 institutional settings to community-based options, funds used to
16 serve consumers in institutional settings shall follow consumers to
17 cover the cost of community-based services; and

18 5. The Department of Human Services or other applicable state
19 entity for the population served may develop an electronic benefit
20 transfer feature for the provision of self-directed care services to
21 consumers.

22 B. The Oklahoma Self-Directed Care Act, at a minimum, shall
23 meet the following requirements:
24

1 1. The cost in the aggregate of the services offered through
2 the self-directed care plan shall be equal to or less than the cost
3 of a home- and community-based waiver or comparable waiver program;

4 2. The baseline level of consumer satisfaction shall be
5 measured by a third party prior to initiation of the Oklahoma Self-
6 Directed Care Act;

7 3. The scope of services offered within the Self-Directed Care
8 Program shall comply with current state statutes and rules, and
9 federal regulations; and

10 4. Program evaluation which shall include an indication of
11 whether consumer satisfaction for Self-Directed Care Program
12 consumers is higher than or equal to consumer satisfaction for home-
13 and community-based waiver clients or other comparable waiver
14 programs, as measured by a third party.

15 C. Upon the approval of the Centers for Medicare and Medicaid
16 Services and the availability of funds, the Authority and the
17 Department shall implement the Self-Directed Care Program statewide
18 if the evaluation provided for in subsection B of this section
19 demonstrates consumer satisfaction with and cost-effectiveness in
20 the delivery of the program.

21 D. The Authority and the Department shall conduct a feasibility
22 study on the future design and implementation of expanding the home-
23 and community-based waiver program to include additional people with
24 developmental disabilities, spinal cord injury or traumatic brain

1 injury; provided, however, before allocating any new monies to such
2 program, the Department and the Authority shall prepare and,
3 utilizing the centralized filing system provided for in Section 378
4 of this act, electronically submit to the Legislature the results of
5 the feasibility study and a fiscal impact statement.

6 E. The Authority and the Department of Human Services shall
7 each, on an ongoing basis, review and assess the implementation of
8 the Self-Directed Care Program. By January 15 of each year, the
9 Authority shall, utilizing the centralized filing system provided
10 for in Section 378 of this act, electronically submit a written
11 report to the Governor and Legislature that includes each agency's
12 review of the program.

13 F. The Department of Human Services shall appoint a committee
14 to assist the Department in the development of waivers and rules
15 related to self-directed services, including the functional needs
16 assessment used for determination of eligibility for the Self-
17 Directed Services program. The committee shall be composed of two
18 self advocates or adults with developmental disabilities; two
19 parents or family members of consumers; two advocates; two
20 representatives of an agency providing Developmental Disabilities
21 Services Division waiver services; one representative from the
22 Oklahoma Parent Center; and one representative from the University
23 of Oklahoma Health Sciences Center for Learning and Leadership. The
24 committee shall sunset no later than four (4) years after

1 implementation of programs indicated in this act. The Governor,
2 President Pro Tempore of the Senate and the Speaker of the House of
3 Representatives shall each appoint an at-large representative to the
4 Committee.

5 The Authority is hereby directed to modify the state Medicaid
6 program Personal Care Program to allow any person to self-direct his
7 or her own personal care services who:

8 1. Is eligible to receive Personal Care Program services;

9 2. Chooses to receive Personal Care Program services; and

10 3. Is able to direct his or her own care or to designate an
11 eligible representative to assist in directing such care.

12 SECTION 103. AMENDATORY 56 O.S. 2021, Section 229, is
13 amended to read as follows:

14 Section 229. There is hereby created in the State Treasury a
15 revolving fund for the Department of Human Services to be designated
16 the "OK Benefits Revolving Fund". The fund shall be a continuing
17 fund, not subject to fiscal year limitations, and shall consist of
18 all monies designated to the fund by law. The Director of the
19 Department of Human Services shall, at the end of each month,
20 electronically provide a current balance and statement of
21 encumbrances of the fund to the Chair of the Senate Appropriations
22 Committee and the Chair of the House of Representatives Committee on
23 Appropriations and Budget utilizing the centralized filing system
24 provided for in Section 378 of this act. All monies accruing to the

1 credit of the fund are hereby appropriated and may be budgeted and
2 expended by the Department of Human Services for the sole purpose of
3 the acquisition, operation, maintenance, repair, and replacement of
4 the OK Benefits system at the Department of Human Services.

5 Expenditures from the fund shall be made upon warrants issued by the
6 State Treasurer against claims filed as prescribed by law with the
7 Director of the Office of Management and Enterprise Services for
8 approval and payment.

9 SECTION 104. AMENDATORY 56 O.S. 2021, Section 230.50, is
10 amended to read as follows:

11 Section 230.50. A. Sections 230.50 through 230.73 and 241.1
12 through 241.3 of this title shall be known and may be cited as the
13 "Statewide Temporary Assistance Responsibility System (STARS)".

14 B. 1. There is hereby established the Statewide Temporary
15 Assistance Responsibility System (STARS) which shall consist of
16 programs and services to be offered by the state with funds provided
17 by the temporary assistance for needy families block grant
18 authorized by Section 103 of the federal Personal Responsibility and
19 Work Opportunity Reconciliation Act of 1996, P.L. 104-193, in
20 addition to other monies appropriated by law.

21 2. The STARS shall consist of integrated and coordinated
22 programs and services that will provide recipients with the
23 necessary tools to enable them to make the transition from reliance
24 on public assistance programs to becoming independent, self-

1 sufficient citizens who are capable of supporting themselves and
2 their families. Such programs and services include but are not
3 limited to: career guidance and employment preparation, job
4 referral, vocational and technical training, child care initiatives,
5 literacy development, adult basic education, and medical assistance.

6 3. The Oklahoma Legislature further recognizes the importance
7 of encouraging establishment of statewide, One-stop
8 Career/Employment Centers that would link existing resources and
9 federal and state programs for utilization by persons receiving
10 temporary assistance, and underemployed and unemployed persons.

11 C. The Department of Human Services shall be responsible for:

12 1. Implementing the federal Temporary Assistance for Needy
13 Families Act (TANF);

14 2. Carrying out the projects and programs specified in the
15 STARS. The Department shall implement the provisions of the STARS
16 to the fullest extent permitted by law and in accordance with the
17 terms and conditions specified by the federal government;

18 3. Expediting the acquisition of any federal waivers necessary
19 to implement the provisions of STARS through amendments, combined
20 waivers, requests, and in any other such manner authorized by
21 federal law and regulations;

22 4. Working in close and continuous coordination with
23 appropriate federal officials and preparing and submitting
24

1 completely and in a timely manner all forms and data required by
2 federal officials to implement STARS; and

3 5. Continuing to explore and expand opportunities for the state
4 to pursue agreements with additional service providers including but
5 not limited to community colleges, technology centers, and community
6 resources in order to provide direct referral and link recipients
7 with career and technology education and training programs.

8 D. In administering the STARS, the Department shall collaborate
9 with the Oklahoma Employment Security Commission, the Department of
10 Commerce, the State Department of Health and the State Department of
11 Education and any other state or federal agency necessary to
12 implement the provisions of the STARS.

13 E. In submitting any state plan or amendments to the state plan
14 to the federal government in order to obtain a temporary assistance
15 for needy families block grant or child care and development block
16 grant, the Department shall seek the maximum block grant funding and
17 federal contingency fund allocations that are available pursuant to
18 the federal Personal Responsibility and Work Opportunity
19 Reconciliation Act of 1996, P.L. 104-193.

20 F. The Department for Human Services shall promulgate rules for
21 developing any projects and programs to implement the STARS.

22 G. 1. The Department of Human Services is directed to file
23 with the Speaker of the House of Representatives and the President
24 Pro Tempore of the Senate a copy of any waiver application or

1 request for amendment or exemption filed with the federal
2 government, copies of correspondence to and from the federal
3 government explaining and elaborating upon said applications, and
4 final documentation of any waivers, amendments, and exemptions
5 granted by the federal government pursuant to the STARS.

6 2. On or before February 1, 1998, for the previous six-month
7 period, and on or before February 1 of each year, for the previous
8 fiscal year, the Department shall, utilizing the centralized filing
9 system provided for in Section 378 of this act, electronically
10 provide a written report on each project and program specified in
11 the STARS to the Legislature and the Governor which identifies:

- 12 a. total number of new applications received by the
13 Department for TANF, food stamps and child care, and
14 the number of cases actually certified,
- 15 b. number of recipients who signed a personal
16 responsibility agreement pursuant to the TANF program,
- 17 c. number of cases closed by the Department and the
18 reasons for the case closures,
- 19 d. the number of persons who reapplied for benefits
20 pursuant to the TANF program after a case had been
21 closed,
- 22 e. number of recipients who completed an employability
23 assessment by level of education,

- 1 f. the total number of recipients who completed an
2 employability assessment, and the number who were
3 initially referred for:
4 (1) literacy assessment,
5 (2) adult basic education or remediation classes,
6 (3) job skills development or vocational training,
7 (4) employment, or
8 (5) other,
9 g. of the total number of recipients assessed for
10 literacy skills, the number who scored:
11 (1) at or below 6th grade level,
12 (2) at 7th or 8th grade level,
13 (3) at 9th or 10th grade level, or
14 (4) above 10th grade level,
15 h. number of sanctions imposed for violations of the
16 provisions of the STARS or rules promulgated pursuant
17 thereto or any other provision of law or rule relating
18 to receipt of benefits by a recipient and the reasons
19 for imposing the sanction,
20 i. percentage of recipients in allowable work activities,
21 j. number of recipients in each allowable work activity
22 and the length of time spent in that activity,
23 k. number of recipients employed by state agencies and
24 contract service providers,

- 1 l. number of recipients entering the workforce by
- 2 occupation types,
- 3 m. estimated average monthly earnings for employed aid
- 4 recipients,
- 5 n. average monthly number of hours worked by recipients,
- 6 o. number of qualified aliens applying for assistance
- 7 pursuant to the STARS and number of applications
- 8 certified by the Department, and
- 9 p. such other information deemed necessary by the
- 10 Department.

11 SECTION 105. AMENDATORY 56 O.S. 2021, Section 230.65, is
12 amended to read as follows:

13 Section 230.65. A. 1. The Department of Human Services shall
14 conduct an employability assessment of the education, training,
15 skills, prior work experience, and supportive service needs of
16 individuals applying for and receiving assistance pursuant to the
17 Temporary Assistance for Needy Families (TANF) program.

18 2. The Department shall arrange for administration of a
19 recognized literacy screening for individuals who have not obtained
20 a high school diploma or General Educational Development (GED)
21 credential and have exhibited a lack of literacy skills. If, in the
22 opinion of the Department, the applicant or recipient who has
23 obtained a high school diploma or GED lacks reading skills to the
24 extent that such insufficiency limits the applicant's or recipient's

1 ability to become self-supporting, the Department shall refer the
2 individual for a literacy assessment.

3 3. The Department shall utilize existing community resources,
4 including, but not limited to, volunteer literacy groups and adult
5 basic education programs, when arranging for literacy assessments
6 and remediation of clients who lack sufficient reading skills.

7 B. The Department of Human Services shall require services to
8 be provided to each applicant or recipient of benefits in any
9 program according to a written personal responsibility agreement.
10 The agreement shall reflect the education, training, skills, prior
11 work experience and supportive service needs of the applicant or
12 recipient and shall be:

13 1. Written in English, or translated into Spanish or other
14 language, according to the applicant's or recipient's needs;

15 2. Signed by the applicant or recipient;

16 3. Signed by the parent of the applicant or recipient if the
17 applicant or recipient is under eighteen (18) years of age;

18 4. Signed by the case manager; and

19 5. Reviewed by both the applicant or recipient and the case
20 manager at least once a year. The agreement may be revised from
21 time to time according to the needs of the recipient, the
22 recipient's family, and the program.

23 C. The personal responsibility agreement shall set forth the
24 specific responsibilities of the recipient, at a minimum, to:

1 1. Develop a detailed plan for achieving self-sufficiency;

2 2. Participate in any educational or training program required
3 by the Department pursuant to the results of the employability and
4 literacy assessments;

5 3. Participate in life-skills training including, but not
6 limited to, financial management classes, conflict resolution
7 training, and social skills development;

8 4. Be available for and actively seek and maintain employment,
9 and accept any reasonable employment as soon as it becomes available
10 as required by the TANF program;

11 5. Participate in a community service, public works or private
12 sector job pursuant to the requirements of the Statewide Temporary
13 Assistance Responsibility System and the results of the
14 employability and literacy assessments;

15 6. If the recipient is a minor parent, live in a supervised
16 adult setting;

17 7. Accept responsibility for ensuring that the recipient's
18 child complies with the attendance requirements of the local school
19 district and attends school until the child of the recipient either:

20 a. graduates from high school or attains a high school
21 equivalency certificate, or

22 b. becomes nineteen (19) years of age,
23 whichever occurs first;

24

1 8. Accept responsibility for attending any classes required by
2 a program at least ninety percent (90%) of the time;

3 9. Immunize the recipients' minor children pursuant to the
4 State Department of Health's immunization schedule; and

5 10. a. Undergo a literacy skills assessment utilizing a
6 testing instrument which measures whether such
7 recipient is reading at a minimum of an eighth grade
8 reading level, where the recipient has the capacity to
9 read at such level or, regardless of reading level,
10 which indicates that the recipient would benefit from
11 compulsory participation in a literacy skills
12 improvement program.

13 b. Based on the results of the assessment, the recipient
14 shall agree to enroll and actively participate in a
15 literacy skills improvement program and provide
16 documentation of substantial quantifiable literacy
17 improvement. Any recipient who is reading at less
18 than an eighth grade level shall be required to
19 continue to substantially and quantifiably improve his
20 or her reading skills until such recipient
21 demonstrates a level of reading proficiency that is at
22 least equal to an eighth grade reading level.

23 c. On or before December 31 of each year, the Department
24 of Human Services shall annually, utilizing the

1 centralized filing system provided for in Section 378
2 of this act, electronically provide to the Governor,
3 the President Pro Tempore of the Senate, and the
4 Speaker of the House of Representatives a written
5 report outlining by age the number of recipients:
6 (1) assessed for literacy skills,
7 (2) who failed to demonstrate eighth grade reading
8 level proficiency,
9 (3) who agreed to enroll and participate in a
10 literacy skills improvement program, and
11 (4) who either provided documentation of substantial
12 quantifiable literacy skills improvement or whose
13 case was closed prior to completion.

14 D. The Department may sanction or impose financial penalties on
15 a recipient for failure to comply with the provisions of the
16 personal responsibility agreement.

17 SECTION 106. AMENDATORY 56 O.S. 2021, Section 239, is
18 amended to read as follows:

19 Section 239. On or before December 31 of each year, the
20 Department shall, utilizing the centralized filing system provided
21 for in Section 378 of this act, electronically file a written report
22 with the Division of the Budget and Division of Central Accounting
23 and Reporting, the Director of the Legislative Service Bureau, the
24 President Pro Tempore of the Senate, and the Speaker of the House of

1 Representatives, containing an accounting of all monies received by
2 the Department from the federal programs pursuant to Title IV-D of
3 the Social Security Act, as amended, and all monies received
4 pursuant to orders for child support or administrative
5 determinations of the Department for the preceding federal fiscal
6 year. The report shall also specify any expenditures made by the
7 Department pursuant to orders for child support or administrative
8 determinations of the Department for the preceding federal fiscal
9 year.

10 SECTION 107. AMENDATORY 56 O.S. 2021, Section 241.4, is
11 amended to read as follows:

12 Section 241.4. A. No debit or electronic benefit transfer
13 cards that contain state or federal funds from programs including,
14 but not limited to, Temporary Assistance for Needy Families (TANF)
15 may be used in any transaction in:

- 16 1. Any liquor store;
- 17 2. Any casino, gambling casino or gaming establishment;
- 18 3. Any retail establishment which provides adult-oriented
19 entertainment in which performers disrobe or perform in an unclothed
20 state for entertainment; or
- 21 4. Any retail establishment whose principal business is that of
22 selling cigarettes, cigar or tobacco products.

23 B. For the purposes of this act:

24

1 1. "Liquor store" means any retail establishment that sells
2 exclusively or primarily intoxicating liquor but does not include a
3 grocery store that sells both intoxicating liquor and groceries;

4 2. "Casino", "gambling casino" and "gaming establishment" do
5 not include:

6 a. a grocery store that sells groceries and that also
7 offers, or is located within the same building or
8 complex as an establishment that offers casino,
9 gambling or gaming activities, or

10 b. any other establishment that offers casino, gambling
11 or gaming activities incidental to the principal
12 purpose of the business; and

13 3. "Electronic benefit transfer transaction" means the use of a
14 credit or debit card service, automated teller machine, point-of-
15 sale terminal, or access to an online system for the withdrawal of
16 funds or the processing of a payment for merchandise or service.

17 C. An individual who violates the provisions of this section
18 shall be subject to a reduction in Temporary Assistance for Needy
19 Families (TANF) benefits as follows:

20 1. For the first violation, twenty-five percent (25%) of the
21 individual's TANF payment standard for a period of three (3) months;

22 2. A second violation following the three (3) month reduction
23 in benefits shall result in a thirty-five percent (35%) reduction in
24 TANF benefits for six (6) subsequent months;

1 3. A third violation following the six (6) month reduction in
2 benefits shall result in a fifty percent (50%) reduction in TANF
3 benefits for twelve (12) subsequent months; and

4 4. Subsequent violations shall result in the individual being
5 deemed permanently ineligible for TANF benefits. Individuals with
6 children receiving TANF benefits shall only be eligible to receive
7 benefit payments for dependent children as provided by state and
8 federal law.

9 ~~D. By August 1, 2013, the Oklahoma Department of Human Services~~
10 ~~shall report on the status of an implementation plan pursuant to the~~
11 ~~provisions of this section. The President Pro Tempore of the Senate~~
12 ~~and the Speaker of the House of Representatives shall be provided~~
13 ~~with updates on the status of implementation on a quarterly basis~~
14 ~~until provisions of this section are fully implemented by the~~
15 ~~Department.~~

16 SECTION 108. AMENDATORY 56 O.S. 2021, Section 1008, is
17 amended to read as follows:

18 Section 1008. The Attorney General shall, utilizing the
19 centralized filing system provided for in Section 378 of this act,
20 electronically submit an annual report, due by July 1 of each year,
21 to the Speaker of the House of Representatives, the President Pro
22 Tempore of the Senate, the Governor, and the Secretary of State
23 detailing the number of Medicaid fraud cases investigated and
24

1 litigated and the amount of monies collected in the previous fiscal
2 year.

3 SECTION 109. AMENDATORY 56 O.S. 2021, Section 1011.5, is
4 amended to read as follows:

5 Section 1011.5. A. 1. The Oklahoma Health Care Authority
6 shall develop an incentive reimbursement rate plan for nursing
7 facilities focused on improving resident outcomes and resident
8 quality of life.

9 2. Under the current rate methodology, the Authority shall
10 reserve Five Dollars (\$5.00) per patient day designated for the
11 quality assurance component that nursing facilities can earn for
12 improvement or performance achievement of resident-centered outcomes
13 metrics. To fund the quality assurance component, Two Dollars
14 (\$2.00) shall be deducted from each nursing facility's per diem
15 rate, and matched with Three Dollars (\$3.00) per day funded by the
16 Authority. Payments to nursing facilities that achieve specific
17 metrics shall be treated as an "add back" to their net reimbursement
18 per diem. Dollar values assigned to each metric shall be determined
19 so that an average of the five-dollar-quality incentive is made to
20 qualifying nursing facilities.

21 3. Pay-for-performance payments may be earned quarterly and
22 based on facility-specific performance achievement of four equally-
23 weighted, Long-Stay Quality Measures as defined by the Centers for
24 Medicare and Medicaid Services (CMS).

1 4. Contracted Medicaid long-term care providers may earn
2 payment by achieving either five percent (5%) relative improvement
3 each quarter from baseline or by achieving the National Average
4 Benchmark or better for each individual quality metric.

5 5. Pursuant to federal Medicaid approval, any funds that remain
6 as a result of providers failing to meet the quality assurance
7 metrics shall be pooled and redistributed to those who achieve the
8 quality assurance metrics each quarter. If federal approval is not
9 received, any remaining funds shall be deposited in the Nursing
10 Facility Quality of Care Fund authorized in Section 2002 of this
11 title.

12 6. The Authority shall establish an advisory group with
13 consumer, provider, and state agency representation to recommend
14 quality measures to be included in the pay-for-performance program
15 and to provide feedback on program performance and recommendations
16 for improvement. The quality measures shall be reviewed annually
17 and shall be subject to change every three (3) years through the
18 agency's promulgation of rules. The Authority shall insure
19 adherence to the following criteria in determining the quality
20 measures:

- 21 a. provides direct benefit to resident care outcomes,
 - 22 b. applies to long-stay residents, and
- 23
24

1 c. addresses a need for quality improvement using the
2 Centers for Medicare and Medicaid Services (CMS)
3 ranking for Oklahoma.

4 7. The Authority shall begin the pay-for-performance program
5 focusing on improving the following CMS nursing home quality
6 measures:

7 a. percentage of long-stay, high-risk residents with
8 pressure ulcers,

9 b. percentage of long-stay residents who lose too much
10 weight,

11 c. percentage of long-stay residents with a urinary tract
12 infection, and

13 d. percentage of long-stay residents who got an
14 antipsychotic medication.

15 B. The Oklahoma Health Care Authority shall negotiate with the
16 Centers for Medicare and Medicaid Services to include the authority
17 to base provider reimbursement rates for nursing facilities on the
18 criteria specified in subsection A of this section.

19 C. The Oklahoma Health Care Authority shall audit the program
20 to ensure transparency and integrity.

21 D. The Oklahoma Health Care Authority shall, utilizing the
22 centralized filing system provided for in Section 378 of this act,
23 electronically provide an annual report of the incentive
24 reimbursement rate plan to the Governor, the Speaker of the House of

1 Representatives, and the President Pro Tempore of the Senate by
2 December 31 of each year. The report shall include, but not be
3 limited to, an analysis of the previous fiscal year including
4 incentive payments, ratings, and notable trends.

5 SECTION 110. AMENDATORY 56 O.S. 2021, Section 1017.4, is
6 amended to read as follows:

7 Section 1017.4. A. The Oklahoma Health Care Authority is
8 directed to create a system of enrollment, Medicaid eligibility, and
9 certification for home- and community-based services provided by the
10 ADvantage Waiver Program that provides for presumptive Medicaid
11 eligibility and certification that is the same as that which exists
12 for nursing facilities as provided for in administrative rules
13 promulgated by the Oklahoma Health Care Authority Board. The system
14 shall facilitate the provision of home- and community-based services
15 to persons at risk of placement in a nursing facility but who elect
16 to be served in a home- and community-based setting in lieu of
17 nursing facility services.

18 B. The Department of Human Services is directed to make such
19 changes in its regulations, policies and procedures as are necessary
20 to implement the enrollment, Medicaid eligibility, and certification
21 requirements established pursuant to subsection A of this section.

22 ~~C. The Oklahoma Health Care Authority shall develop and submit~~
23 ~~for approval no later than November 1, 2011, applications for~~
24 ~~waivers or amendments to waivers of applicable federal laws and~~

~~regulations as necessary to implement the provisions of the Oklahoma Choices for Long Term Care Act. Copies of all waivers submitted to the United States Centers for Medicare and Medicaid Services shall be provided to the Governor, the Speaker of the Oklahoma House of Representatives and the President Pro Tempore of the Oklahoma State Senate within ten (10) days of their submissions. Waivers and amendments to waivers approved by the United States Centers for Medicare and Medicaid Services as provided in this section shall be provided to the Governor, the Speaker of the Oklahoma House of Representatives and the President Pro Tempore of the Oklahoma State Senate within ten (10) days of their approval. The Oklahoma Health Care Authority shall implement any waivers and amendments to waivers approved by the United States Centers for Medicare and Medicaid Services no later than January 1, 2012, or within sixty (60) days of their approval. The Oklahoma Health Care Authority shall report the savings as the result of the Oklahoma Choices for Long Term Care Act each year in its annual report.~~

SECTION 111. AMENDATORY 56 O.S. 2021, Section 3002, is amended to read as follows:

Section 3002. A. The following agencies are directed to jointly design and implement a coordinated system of information, referral, and follow-up services for older Oklahomans:

1. The Aging Services Division of the Department of Human Services;

1 2. The State Department of Health;

2 3. The Department of Mental Health and Substance Abuse
3 Services;

4 4. The Oklahoma Health Care Authority;

5 5. The Oklahoma Department of Veterans Affairs; and

6 6. The Office of Management and Enterprise Services.

7 B. 1. The Aging Services Division of the Department of Human
8 Services shall be the lead agency for the design and implementation
9 of the system required by the Coordination of Services for Older
10 Oklahomans Act and shall be responsible for convening meetings and
11 providing meeting space, administrative, staff and other necessary
12 support services. The Division shall convene the first meeting of
13 the agencies on or before July 1, 1996.

14 2. The remaining agencies listed in subsection A of this
15 section shall be responsible for providing information, staff, and
16 other assistance as necessary to design and implement the system
17 required by the Coordination of Services for Older Oklahomans Act.

18 3. The Aging Services Division shall invite representatives of
19 the Area Agencies on Aging, Eldercare, managed health care
20 organizations and other appropriate public and private entities to
21 participate in the design of the system required by the Coordination
22 of Services for Older Oklahomans Act.

23 4. The Office of Management and Enterprise Services shall
24 provide technical assistance and support necessary for the

1 development of the shared, computerized data base required by the
2 Coordination of Services for Older Oklahomans Act.

3 C. On or before December 1 of each year, the agencies listed in
4 subsection A of this section shall jointly submit a report
5 electronically to the Governor, the Speaker of the House of
6 Representatives, the President Pro Tempore of the Senate, and the
7 chairs of the appropriate legislative committees utilizing the
8 centralized filing system provided for in Section 378 of this act.

9 The report shall include, but not be limited to:

10 1. A statement on the progress in the design and implementation
11 of the system required by the Coordination of Services for Older
12 Oklahomans Act; and

13 2. Identification of any statutory changes and funding
14 necessary to implement the system.

15 SECTION 112. AMENDATORY Section 17, Chapter 395, O.S.L.
16 2022, as amended by Section 3, Chapter 386, O.S.L. 2025 (56 O.S.
17 Supp. 2025, Section 4002.12b), is amended to read as follows:

18 Section 4002.12b. A. The Oklahoma Health Care Authority shall
19 ensure the sustainability of the transformed Medicaid delivery
20 system.

21 B. The Authority shall ensure that existing revenue sources
22 designated for the state share of Medicaid expenses are designed to
23 maximize federal matching funds for the benefit of providers and the
24 state.

1 C. The Authority shall develop a plan, utilizing waivers or
2 Medicaid state plan amendments as necessary, to preserve or increase
3 supplemental payments available to providers with existing revenue
4 sources as provided in the Oklahoma Statutes including, but not
5 limited to:

6 1. Hospitals that participate in the supplemental hospital
7 offset payment program as provided by Section 3241.3 of Title 63 of
8 the Oklahoma Statutes;

9 2. Hospitals in this state that have Level I trauma centers, as
10 defined by the American College of Surgeons, that provide inpatient
11 and outpatient services, along with comprehensive pediatric
12 services, and are owned, operated, or in partnership with the
13 University Hospitals Trust or the Oklahoma State University Medical
14 Trust, or affiliates or locations of those hospitals designated by
15 the University Hospitals Trust or the Oklahoma State University
16 Medical Trust as part of the hospital trauma system. The qualified
17 entities in the Oklahoma City metropolitan area shall be a hospital
18 owned, operated, or in partnership with the University Hospitals
19 Authority or University Hospitals Trust. The qualified entities in
20 the Tulsa metropolitan area shall be a hospital owned, operated, or
21 in partnership with the Oklahoma State University Medical Authority,
22 or Oklahoma State University Medical Trust; and

23 3. Providers employed by or contracted with, or otherwise a
24 member of the faculty practice plan of:

- 1 a. a public, accredited Oklahoma medical school, or
2 b. a hospital or health care entity directly or
3 indirectly owned or operated by the University
4 Hospitals Trust or the Oklahoma State University
5 Medical Trust.

6 D. Subject to approval by the Centers for Medicare and Medicaid
7 Services, the Authority shall preserve and, to the maximum extent
8 permissible under federal law, improve existing levels of funding
9 through directed payments or other mechanisms outside the capitated
10 rate to contracted entities, including, where applicable, the use of
11 a directed payment program with an average commercial rate
12 methodology under the Supplemental Hospital Payment Program Act.

13 ~~E. On or before January 31, 2023, the Authority shall submit a~~
14 ~~report to the Oklahoma Health Care Authority Board, the Chair of the~~
15 ~~Appropriations Committee of the Oklahoma State Senate, and the Chair~~
16 ~~of the Appropriations and Budget Committee of the Oklahoma House of~~
17 ~~Representatives that includes the Authority's plans to continue~~
18 ~~supplemental payment programs and implement a managed care directed~~
19 ~~payment program for hospital services that complies with the reforms~~
20 ~~required by this act. If Medicaid-specific funding cannot be~~
21 ~~maintained as currently implemented and authorized by state law, the~~
22 ~~Authority shall propose to the Legislature any modifications~~
23 ~~necessary to preserve supplemental payments and managed care~~
24 ~~directed payments to prevent budgetary disruptions to providers.~~

1 ~~F.~~ The Authority shall, utilizing the centralized filing system
2 provided for in Section 378 of this act, electronically submit a
3 report to the Governor, the President Pro Tempore of the Oklahoma
4 State Senate and the Speaker of the Oklahoma House of
5 Representatives that includes at a minimum:

6 1. A description of the selection process of the contracted
7 entities;

8 2. Plans for enrollment of Medicaid members in health plans of
9 contracted entities;

10 3. Medicaid member network access standards;

11 4. Performance and quality metrics;

12 5. Maintenance of existing funding mechanisms described in this
13 section;

14 6. A description of the requirements and other provisions
15 included in capitated contracts; and

16 7. A full and complete copy of each executed capitated
17 contract.

18 ~~G.~~ F. 1. Each contracted entity shall report to the Authority
19 in time intervals determined by the Authority and through a process
20 determined by the Authority all claims data, expenditures, and such
21 other financial reporting information as may be required by the
22 Authority.

23 2. The Authority shall compile and analyze the information
24 described in paragraph 1 of this subsection and annually, utilizing

1 the centralized filing system provided for in Section 378 of this
2 act, electronically submit a report summarizing such information,
3 devoid of any personally identifying information, to the President
4 Pro Tempore of the Senate, the Speaker of the House of
5 Representatives, and the Oklahoma Health Care Authority Board.

6 SECTION 113. AMENDATORY 57 O.S. 2021, Section 95, is
7 amended to read as follows:

8 Section 95. A. Any person convicted of an offense against the
9 laws of this state and sentenced to imprisonment that is not to be
10 served in a county jail shall be transported by the sheriff of the
11 county where the person is sentenced, or transported by a designated
12 representative of the sheriff, to the Department of Corrections at
13 the Lexington Assessment and Reception Center or other location
14 designated by the Director of the Department of Corrections.

15 B. Any person convicted of an offense against the laws of this
16 state and sentenced to imprisonment that is not to be served in a
17 county jail and who is not housed in a county jail shall be
18 transported by the detention center, or transported by a designated
19 representative of the detention center, to the Department of
20 Corrections at the Lexington Assessment and Reception Center or
21 other location designated by the Director of the Department of
22 Corrections.

23 C. The sheriff shall deliver the person to the Department at
24 such center together with:

1 1. A certified copy of the judgment and sentence from the court
2 ordering such imprisonment, unless the judgment and sentence
3 previously has been sent electronically by an authorized clerk of
4 the court;

5 2. A certificate setting forth the number of days served in the
6 county jail after the pronouncement of judgment and rendering of
7 sentence for the offenses committed;

8 3. A copy of any medical, dental, or mental health records of
9 the defendant for conditions reviewed or treated while in the
10 custody of the sheriff;

11 4. Any medication or medical or dental device prescribed for
12 the defendant while in the custody of the sheriff or for a
13 preexisting condition; and

14 5. A copy of the presentence investigation report, if a report
15 was prepared.

16 D. The Department of Corrections shall give the sheriff a
17 receipt for each person received into the custody of the Department.
18 The receipt shall be filed by the sheriff in the office of the clerk
19 of the court where the sentence was made.

20 E. The Department of Corrections shall reimburse the
21 transporting agency as follows:

22 1. Mileage from the county sheriff's office to the appropriate
23 reception center and back to the county sheriff's office; and
24

1 2. Hourly wage reimbursement for the transporting officer for
2 the hours of transport travel and time spent at the reception center
3 based on the transporting officer's normal hourly wage.

4 Reimbursement shall not exceed Thirty Dollars (\$30.00) an hour per
5 officer. Documentation of the officer's hourly wage shall accompany
6 all reimbursement requests to the Department.

7 The Department of Corrections shall have the authority to
8 promulgate rules and forms for the reimbursement procedures provided
9 in this section.

10 The Department of Corrections shall, utilizing the centralized
11 filing system provided for in Section 378 of this act,
12 electronically submit a quarterly report to the Chair of the Senate
13 Appropriations Committee and Chair of the House of Representatives
14 Appropriations and Budget Committee.

15 SECTION 114. AMENDATORY 57 O.S. 2021, Section 115, is
16 amended to read as follows:

17 Section 115. A. A reentry program is hereby authorized to be
18 created within the Department of Corrections by January 1, 2005, for
19 offenders who need structured release prior to completion of the
20 sentence. The reentry program shall be designed to provide
21 structure and control as offenders near release to the community
22 without supervision. No offender otherwise eligible for any
23 community placement, halfway house, work release program, or minimum
24 security placement shall be eligible for this program. The program

1 shall not receive state appropriations and shall be fully funded by
2 federal or private funds.

3 B. The reentry program shall begin in a county or counties
4 selected by the Department and may expand or change to other
5 locations within the state at the discretion of the Department. The
6 program shall provide a continuum of services to meet the needs of
7 offenders assigned or required to complete the program. The program
8 duration shall be eighteen (18) months composed of twelve (12)
9 months at minimum security level and six (6) months at community
10 placement prior to release. The inmate is required to complete
11 twelve (12) months at minimum security level prior to completing the
12 six (6) months at community placement. The Department is authorized
13 to use monitoring and supervision in all levels of security as
14 necessary to ensure structure, control, and compliance.

15 C. The Department shall designate at least one medium, minimum
16 and community security level facility capable of serving male and
17 female offenders assigned or required to complete the program. Male
18 and female offenders shall not be housed in the same facility. Each
19 of the designated facilities shall be solely devoted to the program.
20 Nothing in this act shall require all offenders to be assigned to a
21 reentry program prior to release without supervision.

22 D. Any offender assigned or required to complete a reentry
23 program who subsequently fails, refuses or is noncompliant in the
24 reentry program shall be removed from the program, after notice of a

1 program failure, and placed in a higher security level facility
2 according to the rules established for the program. Earned credits
3 may be withheld for those inmates who fail to satisfactorily
4 complete the program as provided by rule.

5 E. All services available in the reentry program shall be
6 selected after open bid and the Department shall actively solicit
7 faith-based and secular providers in all service provider
8 categories. Offenders assigned to the reentry program shall choose
9 a provider of services for each service category.

10 F. All service providers contracting for the reentry program
11 shall be required to meet outcome-based standards and evaluations
12 and are required to measure recidivism for all offenders placed for
13 services with that provider according to the rules of the
14 Department.

15 G. The Department shall consider offenders with long-term
16 incarceration, violent offenses, repeat offenders with multiple
17 incarcerations, offenders ineligible for parole who will be released
18 without supervision, offenders with parole stipulations, and
19 offenders having consecutive sentences longer than the calculation
20 of a life sentence for purposes of ~~determining~~ determining parole
21 eligibility.

22 H. The Governor and the Pardon and Parole Board shall work
23 together with the Department of Corrections within the capabilities
24 of the reentry program and shall have the authority to stipulate

1 that an offender shall be paroled, conditioned upon completion of
2 the program, without further hearing recommendation or approval.

3 I. No offender shall be placed in the reentry program until the
4 offender is within eighteen (18) months of release from the custody
5 of the Department or is granted, by stipulation or otherwise, a
6 parole release upon completion of the reentry program. Nothing in
7 this act shall operate to reduce the length of a sentence to
8 incarceration, except completion of the reentry program.

9 J. The Department shall establish rules and procedures to
10 implement the provisions of this act. An annual report shall be
11 generated at the completion of each calendar year. This report
12 shall reflect the evaluation of the program based on the outcomes
13 designated by the Department. Copies of ~~said~~ such report shall be
14 forwarded by electronic submission, utilizing the centralized filing
15 system provided for in Section 378 of this act, to the Governor, the
16 Chair of the Sentencing Commission, the President Pro Tempore of the
17 Senate, the Speaker of the House of Representatives, and the
18 majority and minority leaders of the Legislature.

19 SECTION 115. AMENDATORY 57 O.S. 2021, Section 521, is
20 amended to read as follows:

21 Section 521. A. Whenever a person is convicted of a felony and
22 is sentenced to imprisonment that is not to be served in a county
23 jail, the person shall be committed to the custody of the Department
24 of Corrections and shall be classified and assigned to a

1 correctional facility or program designated by the Department and
2 authorized by law.

3 B. It is the intent of the Legislature that inmates in the
4 custody of the Department of Corrections, prior to leaving the
5 custody of the Department, be reintegrated into society through the
6 use of work release programs, work centers, community corrections
7 centers, intermediate sanctions facilities, accredited halfway
8 houses, and transitional living centers, subject to the availability
9 of space and funding.

10 C. All persons who have nonassaultive institutional records and
11 who are convicted of only previous and current nonviolent offenses
12 and have a nonviolent juvenile record and are sentenced to the
13 custody of the Department of Corrections shall be processed for
14 assignment to a work release program, a work center, a community
15 corrections center, an intermediate sanctions facility, an
16 accredited halfway house, a transitional living facility, or any
17 combination of such placements not less than two hundred ten (210)
18 calendar days immediately prior to release from the custody of the
19 Department of Corrections, unless the offender is currently
20 participating in another approved program based upon the offender's
21 needs assessment. Other persons may be processed for assignment
22 according to the offender's needs and security classification not
23 more than one hundred eighty (180) days prior to release from the
24 custody of the Department. This assignment shall be for the purpose

1 of assisting the person in obtaining gainful employment, receiving
2 reintegration skills, and locating a suitable post-release
3 residence. For purposes of this subsection, assistance in obtaining
4 employment, receiving reintegration skills, and a post-release
5 residence shall be part of the function of the placement and shall
6 not be construed to require or authorize any financial assistance or
7 expenditure of state funds to any inmate or to any contract provider
8 for additional program services to an individual inmate.

9 D. The provisions of subsections B and C of this section shall
10 not be applicable to inmates, as determined on an individual basis
11 by the Department of Corrections, who otherwise constitute a serious
12 or immediate risk to public health and safety.

13 E. Nothing in this section shall require a county jail to
14 provide any services that are not currently being provided.

15 F. Not later than February ~~1st~~ 1 of each year beginning
16 February 1, 2011, the Director of the Department of Corrections
17 shall post on the Department's website and, utilizing the
18 centralized filing system provided for in Section 378 of this act,
19 electronically transmit to the President Pro Tempore of the Senate,
20 the Speaker of the House of Representatives, and the Governor, a
21 report on the progress of the Department in meeting the goals and
22 intent of subsections B and C of this section. Such report shall,
23 at a minimum, include the following information:
24

1 1. A listing of all facilities owned, operated, ~~and/or~~ or
2 contracted to the Department by security level together with the
3 number of inmates released from each facility during the preceding
4 calendar year;

5 2. A total of the number of inmates released from physical
6 custody during the preceding calendar year;

7 3. A total of the number of inmates employed by private
8 employers prior to the inmate's release from physical custody; and

9 4. A total of the number of inmates exiting the Department's
10 system who have spent less than one hundred eighty (180) calendar
11 days in a halfway house.

12 The report shall be in such form and contain such other information
13 as may be required or desired by the President Pro Tempore of the
14 Senate, the Speaker of the House of Representatives, and the
15 Governor.

16 SECTION 116. AMENDATORY 57 O.S. 2021, Section 530.3, is
17 amended to read as follows:

18 Section 530.3. It is the intent of the Legislature that the
19 Department of Corrections vigorously provide assistance to the
20 United States Department of Justice:

21 1. For the identification of foreign-born nationals who are in
22 the custody of the Department of Corrections;

1 2. In conducting interviews of and processing foreign-born
2 nationals or suspected foreign-born nationals who are in the custody
3 of the Department of Corrections; and

4 3. In conducting and completing the deportation process of
5 inmates whom the United States Department of Justice determines to
6 be aliens deportable from the United States. The Department of
7 Corrections shall assist the Immigration and Naturalization Service
8 in obtaining court certified copies of any records requested for use
9 in official criminal or administrative proceedings.

10 The Department of Corrections shall implement rules for the
11 determination of the place of birth of all inmates in the custody of
12 the Department. This determination shall be completed by January 1,
13 1997. Upon completion of this determination, the Department of
14 Corrections shall report to the Governor, the President Pro Tempore
15 of the Senate, and the Speaker of the House of Representatives how
16 many inmates in the custody of the Department are not citizens of
17 the United States. The Department of Corrections shall, utilizing
18 the centralized filing system provided for in Section 378 of this
19 act, electronically submit updated reports to the Governor, the
20 President Pro Tempore of the Senate, and the Speaker of the House of
21 Representatives on a quarterly basis.

22 The Department of Corrections shall also implement rules for the
23 notification of the Immigration and Naturalization Service of the
24 identity of all inmates in the custody of the Department of

1 Corrections who are foreign-born nationals or that the Department of
2 Corrections suspects are foreign-born nationals. The Department of
3 Corrections shall convene a working group and include the
4 Immigration and Naturalization Service in the formulation of rules
5 for implementation of this section.

6 SECTION 117. AMENDATORY 57 O.S. 2021, Section 541, is
7 amended to read as follows:

8 Section 541. A. There is hereby created in the State Treasury
9 an Industries Revolving Fund for the Department of Corrections.

10 B. The revolving fund shall consist of earnings derived from
11 prison industries operated by the Department of Corrections and from
12 that portion of the prisoner's income apportioned and paid into the
13 prison system to recover the cost of incarceration of the prisoners
14 as provided by law. Funds derived from prisoner wages shall be
15 maintained and accounted for separately in this fund. The
16 Industries Revolving Fund shall be a continuing fund, not subject to
17 fiscal year limitations, and shall be under the control and
18 management of the State Board of Corrections.

19 C. Expenditures from the Industries Revolving Fund shall be
20 budgeted and expended pursuant to the laws of the state and the
21 statutes relating to public finance and to the institution. The
22 fund may be used to purchase, maintain, and repair machinery, to
23 purchase materials and supplies for the prison industries, and to
24 defray any other expenses necessary to operation of the industries,

1 with first priority being given to repairs, replacement, and
2 modernization of industrial or agricultural machinery or equipment.
3 These funds may also be used to support the overall operation of the
4 Department of Corrections subject to approval of the Director of the
5 Department of Corrections. Expenditures from the fund derived from
6 prisoner's income may be used for the maintenance of prisoners in
7 prison institutions and all expenses related thereto under such
8 rules as may be established by the State Board of Corrections.
9 Warrants for expenditures from the Industries Revolving Fund shall
10 be based on claims signed by an authorized employee or employees of
11 the Department, and approved for payment by the Director of the
12 Office of Management and Enterprise Services. The Department shall
13 maintain a separate accounting of receipts and expenditures for each
14 industry for periodic review by the Legislature. The fund may not
15 be used to employ personnel in excess of those authorized by
16 legislative action.

17 D. All funds in the Department of Corrections' Industries
18 Revolving Funds not encumbered or obligated upon the operative date
19 of this section shall be transferred to a single Industries
20 Revolving Fund of the Department of Corrections.

21 E. The Administrator of Industrial Production will determine
22 the prices of all goods produced through the state prison
23 industries, and the Administrator of Agri-Services will determine
24

1 the prices of all goods produced by Agri-Service units. These
2 prices will be filed with the Budget Office.

3 When industrial or agricultural items or products are furnished
4 to the institutions of the Department, or sold to other governmental
5 agencies, payment therefor shall be made within thirty (30) days for
6 deposit in the revolving account to be used in purchasing expendable
7 items, raw materials or other items needed to produce additional
8 such products or items, and for such other purposes as are
9 authorized by law. The Administrator of Industrial Production or
10 Administrator of Agri-Services may establish higher prices for sale
11 of products to governmental agencies, according to the current
12 market value of each product.

13 F. The Department of Corrections is authorized to pay inmates
14 for productive work in accordance with policies set by the State
15 Board of Corrections. The State Board of Corrections shall certify
16 the positions to be paid and the rate of pay in accordance with the
17 responsibilities and skills required for the position. The
18 Department of Corrections shall develop policies for payment of
19 inmates in the Industries Program that promote productivity as well
20 as compensate for responsibilities and skills. The Department
21 shall, utilizing the centralized filing system provided for in
22 Section 378 of this act, electronically file such policy statements
23 with the Chairs of the appropriate committees of both the Senate and
24 the House of Representatives as designated by the President Pro

1 Tempore of the Senate and the Speaker of the House of
2 Representatives. Any change in this policy by the State Board of
3 Corrections may be voided by legislative action to rescind such
4 policy.

5 SECTION 118. AMENDATORY 59 O.S. 2021, Section 858-705.1,
6 is amended to read as follows:

7 Section 858-705.1. A. In addition to the seven (7) appointed
8 members of the Board, the Insurance Commissioner shall serve as ex-
9 officio Chairperson of the Board, voting only in case of a tie.

10 B. As Chairperson, the Insurance Commissioner, in addition to
11 his duties prescribed by law as Insurance Commissioner on September
12 1, 1991, shall be required to perform the following duties, for
13 which duties he or she shall be paid an additional Twelve Thousand
14 Dollars (\$12,000.00) annually, payable monthly from appropriations
15 made to the Insurance Department:

16 1. Keep records of the proceedings of the Board;

17 2. Call special meetings of the Board when in the judgment of
18 the chairperson it is necessary or proper to do so;

19 3. Procure appropriate examination questions and answers which
20 shall meet criteria established by the Appraisal Qualifications
21 Board of the Appraisal Foundation and approved by the Board;

22 4. Prepare and, utilizing the centralized filing system
23 provided for in Section 378 of this act, electronically file an
24 annual report with the Speaker of the House of Representatives, the

1 President Pro Tempore of the Senate, and the Governor detailing the
2 number of applicants for the examination and the pass/fail rate;

3 5. Establish and maintain a recordkeeping system approved by
4 the Board to monitor compliance with the continuing education
5 requirements imposed by law;

6 6. Make recommendations to the Board concerning the
7 establishment of administrative procedures for conducting
8 disciplinary proceedings pursuant to the provisions of the Oklahoma
9 Certified Real Estate Appraisers Act;

10 7. Develop a procedure approved by the Board whereby persons
11 aggrieved by the actions of a licensed or certified appraiser may
12 file complaints with the Board;

13 8. Annually compile and, utilizing the centralized filing
14 system provided for in Section 378 of this act, electronically file
15 a report with the Speaker of the House of Representatives, President
16 Pro Tempore of the Senate, and the Governor detailing the number of
17 complaints received by the Board, the resulting number of
18 investigations and hearings conducted and the final disposition of
19 these matters; and

20 9. Prepare and, utilizing the centralized filing system
21 provided for in Section 378 of this act, electronically file a
22 report with the Speaker of the House of Representatives, the
23 President Pro Tempore of the Senate, and the Governor evaluating the
24 impact of the voluntary licensure/certification program on future

1 appraisers and recommend whether an appraiser trainee or
2 apprenticeship program should be instituted; and

3 ~~10. Submit to the Speaker of the House of Representatives, the~~
4 ~~President Pro Tempore of the Senate and the Governor on or before~~
5 ~~January 1, 1994, a report evaluating the impact of the~~
6 ~~licensure/certification requirements imposed by the Oklahoma~~
7 ~~Certified Real Estate Appraisers Act on the appraiser and banking~~
8 ~~industry and include in the report any recommendations for~~
9 ~~amendments to the Oklahoma Certified Real Estate Appraisers Act.~~

10 SECTION 119. AMENDATORY 59 O.S. 2021, Section 1000.4, as
11 last amended by Section 1, Chapter 321, O.S.L. 2025 (59 O.S. Supp.
12 2025, Section 1000.4), is amended to read as follows:

13 Section 1000.4. A. 1. Pursuant to and in compliance with
14 Article I of the Administrative Procedures Act, the Construction
15 Industries Board shall have the power to adopt, amend, repeal, and
16 promulgate rules as may be necessary to regulate the plumbing,
17 electrical, roofing, and mechanical trades, building and
18 construction inspectors and home inspectors. All rules promulgated
19 by the Board shall be reviewed and approved as provided in
20 subsection F of Section 308 of Title 75 of the Oklahoma Statutes.

21 2. The Board shall have the power to enforce the provisions of
22 the Construction Industries Board Act, The Plumbing License Law of
23 1955, the Oklahoma Inspectors Act, the Electrical License Act, the
24 Mechanical Licensing Act, the Home Inspection Licensing Act, and the

1 Roofing Contractor Registration Act, as provided in the respective
2 acts.

3 B. The Board shall have the following powers:

4 1. Exercise all incidental powers and duties which are
5 necessary to effectuate the provisions of The Plumbing License Law
6 of 1955, the Oklahoma Inspectors Act, the Electrical License Act,
7 the Mechanical Licensing Act, the Home Inspection Licensing Act, and
8 the Roofing Contractor Registration Act, including but not limited
9 to authorizing the Board chair, vice-chair, administrator, or
10 designee to determine good reason for and to cancel a scheduled
11 meeting or reschedule meetings of a licensing or registration act
12 advisory examining committee of the Board pursuant to state
13 requirements. Such canceling or rescheduling meetings authority
14 provided for in this section shall supersede all other meeting
15 scheduling requirements for acts administered by the Board;

16 2. Serve as a code variance and appeals board for the trades
17 and industries it regulates which do not have statutory code
18 variance and appeals boards;

19 3. Order or subpoena the attendance of witnesses, the
20 inspection of records and premises, and the production of relevant
21 books and papers for the investigation of matters that may come
22 before the Board;

23 4. Initiate disciplinary proceedings, request prosecution of
24 and initiate injunctive proceedings against any person who violates

1 any of the provisions of The Plumbing License Law of 1955, the
2 Oklahoma Inspectors Act, the Electrical License Act, the Mechanical
3 Licensing Act, the Home Inspection Licensing Act, and the Roofing
4 Contractor Registration Act;

5 5. Maintain an administrative staff including, but not limited
6 to, a Construction Industries Administrator whose appointment shall
7 be made as provided in Section 1000.6 of this title;

8 6. Establish and levy administrative fines and penalties for
9 violations of law or rule in the trades and industries the Board
10 licenses or regulates or against any person or entity denying the
11 Board or its representatives access to a job site for purposes of
12 enforcing any of the provisions of The Plumbing License Law of 1955,
13 the Oklahoma Inspectors Act, the Electrical License Act, the
14 Mechanical Licensing Act, the Home Inspection Licensing Act, or the
15 Roofing Contractor Registration Act; provided, however, the Board is
16 not authorized to inspect or issue administrative violations or
17 fines for public utilities, public service corporations, intrastate
18 gas pipeline companies, gas gathering pipeline companies, gas
19 processing companies, rural electric associations, municipal
20 utilities or their subsidiaries, chemical plants, gas processing
21 plants or petroleum refineries where the entity uses their employees
22 or contractors to work on their own facilities or equipment;
23 provided further, that any fines established by the Board pursuant
24 to the authority granted in this subsection for any second or

1 subsequent violation of a law or rule shall be set at five times the
2 amount of the fine set by the Board for initial violations. The
3 Board shall amend its rules to be consistent with the fine amounts
4 set forth herein;

5 7. Direct such other expenditures as may be necessary in the
6 performance of its duties including, but not limited to,
7 expenditures for office space, equipment, furnishings and contracts
8 for legal services. All expenditures shall be made pursuant to the
9 Oklahoma Central Purchasing Act; and

10 8. Enforce provisions of the plumbing, electrical and
11 mechanical codes as adopted by the Oklahoma Uniform Building Code
12 Commission pursuant to the Oklahoma Uniform Building Code Commission
13 Act.

14 C. The Board shall account for all receipts and expenditures of
15 the monies of the Board, including annually preparing and publishing
16 a statement of receipts and expenditures of the Board for each
17 fiscal year. The Board's annual statement of receipts and
18 expenditures shall be audited by the State Auditor and Inspector or
19 an independent accounting firm in accordance with the provisions of
20 subsection B of Section 212 of Title 74 of the Oklahoma Statutes,
21 and the audit report shall be certified to the Governor of this
22 state to be true and correct, under oath, by the chair and vice-
23 chair of the Board. A Such certified report shall be electronically
24 submitted to the Governor utilizing the centralized filing system

1 provided for in Section 378 of this act. In addition, a copy of
2 such certified report, if not already available online, shall be
3 ~~delivered~~ electronically submitted, utilizing the centralized filing
4 system provided for in Section 378 of this act, to the chairs of the
5 respective Senate and House of Representatives Committees having
6 authority over matters relating to business, labor, and construction
7 industry licensing or regulation not later than February 1 each
8 year.

9 D. The Board shall account for all fines, penalties and fees
10 assessed and collected pursuant to the Administrative Procedures Act
11 or any rule promulgated for regulation of any industry and trade
12 under the authority of the Construction Industries Board. All
13 fines, penalties, and fees assessed for any violation of law or rule
14 shall be automatically reviewed and brought before the entire Board
15 for consideration and vote not later than ninety (90) days from
16 which it was imposed. The Construction Industries Administrator
17 shall present to the Board a written recommendation and summary for
18 each case in which an assessment of a fine, penalty, or fee was
19 imposed after administrative proceedings. The Board shall consider
20 the recommendations for each case at the next meeting date and at
21 such meeting shall either vote to affirm the recommendations or vote
22 to deny the recommendations and remand the case for further
23 administrative hearing, with or without instructions. No
24 administrative case shall be delayed or continued by the Board after

1 being placed on an agenda for final Board review, except with the
2 consent of all parties. The licensee or persons affected by the
3 imposition of an administrative fine, penalty, or fee on final
4 review by the Board shall have all rights of appeal preserved
5 pursuant to the Administrative Procedures Act until final action by
6 the Board. Collection of unpaid, finalized administrative fines by
7 the Board, directly or through contracted services unless otherwise
8 provided in law, may be sought beginning ninety (90) days after
9 final disposition and order of the matter through the processes
10 established by this act and the Administrative Procedures Act.

11 E. The Construction Industries Board shall hear all appeals
12 timely made from an administrative ruling relating to an industry
13 and trade regulated by the Board; however, this appeal authority
14 shall not be in addition to the appeal process authorized by the
15 Administrative Procedures Act. Any ruling by the Board from an
16 administrative hearing may be further appealed to the district court
17 of Oklahoma County. The district court, upon conclusion of an
18 appeal from a Board ruling, shall be authorized to award reasonable
19 legal fees to the prevailing party.

20 SECTION 120. AMENDATORY 59 O.S. 2021, Section 1000.25,
21 as amended by Section 4, Chapter 225, O.S.L. 2025 (59 O.S. Supp.
22 2025, Section 1000.25), is amended to read as follows:

23 Section 1000.25. A. The Oklahoma Uniform Building Code
24 Commission shall establish a system of fees to be charged for the

1 issuance and renewal of any construction permits issued by any
2 agency, municipality, or other political subdivision of this state.

3 B. This provision is subject to the following limitations:

4 1. No schedule of fees may be established or amended by the
5 Commission except during such times as the Legislature is in
6 session; provided, the Commission may establish or amend a schedule
7 of fees at a time when the Legislature is not in session if the fees
8 or schedule of fees has been specifically authorized by the
9 Legislature pursuant to paragraphs 3 and 4 of this subsection. The
10 Commission ~~must~~ shall follow the procedures required by Article I of
11 the Administrative Procedures Act for adoption of rules in
12 establishing or amending any such schedule of fees;

13 2. The Commission shall charge fees for construction permits
14 and renewal of such permits issued by any state agency,
15 municipality, or other political subdivision of this state which
16 authorized work governed by codes within the purview of the
17 Commission only within the following ranges:

18 a. for issuance of permit not to exceed \$5.00, and

19 b. for renewal of permit not to exceed \$5.00;

20 3. Fees shall be remitted to the Oklahoma Uniform Building Code
21 Commission within thirty (30) days after the end of the preceding
22 calendar month. The Oklahoma Uniform Building Code Commission shall
23 report electronically, utilizing the centralized filing system
24 provided for in Section 378 of this act, to the Governor, President

1 Pro Tempore of the Senate, and the Speaker of the House semiannually
2 its collections for the six (6) months preceding the report;

3 4. Fees shall be collected by any state agency, municipality,
4 or other political subdivision issuing construction permits within
5 this state. The fees shall be deposited in an account created by
6 the collecting entity for that purpose;

7 5. The state agency, municipality, or other political
8 subdivision shall remit the monies in the account on a monthly basis
9 directly to the State Treasury for deposit in the Oklahoma Uniform
10 Building Code Commission Revolving Fund created pursuant to Section
11 1000.28 of this title. Along with the deposits required by this
12 paragraph, each state agency, municipality, or other political
13 subdivision shall also submit a report stating the total amount of
14 funds collected and the total number of fees imposed during the
15 preceding month. The report shall be made on computerized or manual
16 disposition reports as provided by rule of the Commission;

17 6. Any state agency, municipality, or other political
18 subdivision collecting and remitting fees pursuant to this section
19 may levy a fee up to fifty cents (\$0.50) for every construction
20 permit or renewal permit issued. These monies shall be deposited
21 into an account for the sole use of the state agency, municipality,
22 or other political subdivision. The state agency, municipality, or
23 other political subdivision shall state the total amount of funds
24

1 collected and the total number of fees imposed to the State Treasury
2 in the report required by paragraph 5 of this subsection;

3 7. It shall be the responsibility of the state agency,
4 municipality, or other political subdivision to account for and
5 ensure the correctness and accuracy of payments made to the State
6 Treasury pursuant to this title;

7 8. Funds collected by a state agency, municipality, or other
8 political subdivision and remitted to the State Treasury pursuant to
9 the Oklahoma Uniform Building Code Commission Act shall be deposited
10 in the Oklahoma Uniform Building Code Commission Revolving Fund and
11 shall be used solely for the purposes of the Oklahoma Uniform
12 Building Code Commission Act; and

13 9. Nothing in the Oklahoma Uniform Building Code Commission Act
14 shall prevent the Oklahoma Uniform Building Code Commission from
15 offering incentives for prompt payment.

16 SECTION 121. AMENDATORY 59 O.S. 2021, Section 3024, is
17 amended to read as follows:

18 Section 3024. A. The Commissioner of Labor shall have the
19 following powers and duties:

20 1. The Commissioner shall:

- 21 a. adopt or determine standards of elevator safety,
- 22 b. license elevator contractors, elevator mechanics, and
- 23 elevator inspectors,
- 24 c. register elevator apprentices,

- d. determine qualifications for examination, establish application processes, and examine applicants for licensure,
- e. establish terms of licensure and renewal procedures,
- f. attempt to achieve reciprocity agreements whereby licenses issued by other jurisdictions may be accepted in this state in lieu of examination,
- g. establish grounds for revocation, suspension, and nonrenewal of licenses and policies for reinstatement of licenses and for imposition of lesser disciplinary measures,
- h. establish continuing education requirements,
- i. provide for the inspection and certification of elevators,
- j. provide for the enforcement of the Elevator Safety Act,
- k. hear appeals pursuant to the Administrative Procedures Act,
- l. establish a procedure for the reporting and investigation of accidents, and
- m. establish a procedure to allow variances from the literal requirement of the code;

2. The Commissioner shall publish informational brochures about license examinations that indicate the scope of the examinations,

1 include suggestions about how to prepare for the examinations, and
2 may include sample questions of the type to be expected, but shall
3 never include test items that will be used in future examinations.
4 In no case shall information about forthcoming examinations, that is
5 not generally available, be given to any school, coaching service,
6 or individual privately; and

7 3. The Commissioner shall have subpoena powers and shall have
8 the right to seek injunctive relief to prevent the operation of
9 elevators lacking a certificate of operation after November 1, 2006,
10 or failing inspection. For any violation of the Elevator Safety
11 Act, the Commissioner may assess an administrative fine, which fine
12 may be assessed in addition to any other penalties provided pursuant
13 to the Elevator Safety Act. The Commissioner of Labor may
14 promulgate rules establishing a schedule of administrative fines for
15 violations of the Elevator Safety Act. Upon collection of an
16 assessed fine, the funds shall be deposited in the Department of
17 Labor Administrative Penalty Revolving Fund created in Section 11 of
18 this act.

19 B. The Commissioner of Labor may promulgate rules establishing
20 a schedule of administrative fees for the implementation of the
21 Elevator Safety Act. The following fees shall remain in effect
22 until such rules become effective, at which time the fees contained
23 in this subsection shall be superseded by rule. Fees shall be as
24 follows:

1	1. Elevator contractor examination	\$100.00
2	2. Elevator inspector examination	\$100.00
3	3. Elevator mechanic examination	\$100.00
4	4. Initial and renewal elevator	
5	contractor license	\$100.00
6	5. Initial and renewal elevator	
7	inspector License	\$ 75.00
8	6. Initial and renewal elevator	
9	mechanic License	\$ 50.00
10	7. Annual elevator apprentice	
11	registration	\$ 25.00
12	8. Late renewal - in addition to	
13	license fee	\$ 10.00
14	9. Replacement of lost or mutilated	
15	license	\$ 10.00
16	10. Reinstatement - in addition to	
17	license fee	\$100.00
18	11. Existing elevator - certification	
19	of operation	\$ 25.00
20	12. New elevator - inspection and	
21	certification	\$150.00
22	13. Elevator temporary certification	\$ 25.00
23	14. Elevator temporary mechanic	
24	license for 30 days	\$ 10.00

1 15. Labor for chief elevator inspector
2 or deputy elevator inspector to
3 perform inspection for issuance of
4 certificate of operation:

- | | | |
|---|-------------------------------------|----------|
| 5 | a. any escalator or moving walkway | \$125.00 |
| 6 | b. elevator, two-four floors | \$ 75.00 |
| 7 | c. elevator, five-ten floors | \$100.00 |
| 8 | d. elevator, eleven floors and over | \$125.00 |
| 9 | e. wheelchair lift | \$ 25.00 |

10 C. All revenues received shall be deposited to the Department
11 of Labor Revolving Fund. It is the intent of the Legislature that
12 fees charged pursuant to the Elevator Safety Act be adjusted to
13 provide sufficient income, but not substantially more than
14 sufficient income, to ensure elevator safety as provided by the
15 Elevator Safety Act. Accordingly, the Commissioner of Labor shall
16 make an annual study of the revenues to and expenditures from the
17 Department of Labor Revolving Fund related to elevator safety and
18 shall prepare a report indicating what fee adjustments, if any,
19 shall be recommended. The report shall be electronically submitted
20 by September 1 each year, utilizing the centralized filing system
21 provided for in Section 378 of this act, to the Director of the
22 Office of Management and Enterprise Services, the Chair of the
23 Appropriations Committee of the Senate, and the Chair of the
24

1 Appropriations and Budget Committee of the House of Representatives,
2 and shall be filed with the Department of Labor.

3 D. Licenses and certifications issued in accordance with the
4 provisions of the Elevator Safety Act shall be renewed according to
5 the following schedule:

6 1. Elevator contractor, elevator inspector, elevator mechanic
7 licenses, and elevator apprentice registration shall be renewed
8 annually prior to the last day of the calendar month in which the
9 license or registration was initially issued;

10 2. Any such license, registration or certificate required by
11 the Elevator Safety Act not renewed by the last day of the calendar
12 month in which renewal is required shall be subject to a late fee as
13 provided by this act;

14 3. Any elevator contractor, elevator inspector, elevator
15 mechanic license, or apprentice registration having been expired for
16 a period of not less than thirty (30) days nor more than three
17 hundred sixty-five (365) days shall be subject to a reinstatement
18 fee as provided for in the Elevator Safety Act; and

19 4. Any elevator contractor, elevator inspector, elevator
20 mechanic license, or apprentice registration being expired for a
21 period of one (1) year or longer from the last day of the month in
22 which renewal was required shall be considered void and the licensee
23 shall be subject to all requirements for new issuance.

24

SECTION 122. AMENDATORY 59 O.S. 2021, Section 4000.1, as last amended by Section 9, Chapter 227, O.S.L. 2024 (59 O.S. Supp. 2025, Section 4000.1), is amended to read as follows:

Section 4000.1. A. As used in this section:

1. "Substantially relate" means the nature of the criminal conduct for which the person was convicted has a direct bearing on the fitness or ability to perform one or more of the duties or responsibilities necessarily related to the occupation; and

2. "Pose a reasonable threat" means the nature of the criminal conduct for which the person was convicted involved an act or threat of harm against another and has a bearing on the fitness or ability to serve the public or work with others in the occupation.

B. Notwithstanding any other provision of law, a conviction, plea of guilty or nolo contendere, or pending criminal charge of a crime may be grounds for the denial of an applicant for a state license or state certification to practice an occupation only if the underlying offense substantially relates to the duties and responsibilities of the occupation and poses a reasonable threat to public safety, health, or welfare. When making a determination pursuant to this subsection, a licensing or certification authority shall consider:

1. The nature and seriousness of the offense;
2. The amount of time that has passed since the offense;
3. The age of the person at the time the offense was committed;

1 4. Evidence relevant to the circumstances of the offense
2 including any aggravating or mitigating circumstances of social
3 conditions surrounding the commission of the offense;

4 5. The nature of the specific duties and responsibilities for
5 which the license or certification is required; and

6 6. Any evidence of rehabilitation submitted by the applicant
7 including, but not limited to, evidence related to the person's
8 compliance with any conditions of community supervision, parole, or
9 mandatory supervision, the conduct and work activity of the person,
10 programming, or treatment undertaken by the person, and testimonials
11 or personal reference statements.

12 C. Notwithstanding any other provision of law, a licensing or
13 certification authority shall not deny a state license or state
14 certification to practice an occupation due to:

15 1. An arrest that was not followed by a valid plea of guilty or
16 nolo contendere unless charges are currently pending;

17 2. A conviction that has been sealed, or expunged;

18 3. A conviction or plea of guilty or nolo contendere for which
19 more than five (5) years have elapsed since the date of conviction,
20 plea, or release from incarceration, whichever is later, so long as
21 the person has not been convicted of a new crime. This paragraph
22 shall not apply to any conviction or plea of guilty or nolo
23 contendere for:
24

1 a. an offense enumerated in Section 571 of Title 57 of
2 the Oklahoma Statutes,

3 b. a felony involving domestic assault, domestic assault
4 and battery, or domestic abuse as defined in Section
5 644 of Title 21 of the Oklahoma Statutes,

6 c. an offense that would require registration as a sex
7 offender pursuant to the Sex Offenders Registration
8 Act, or

9 d. any equivalent law enumerated in this paragraph from
10 another jurisdiction; or

11 4. A finding that an applicant lacks good character or fails to
12 meet any other similarly vague standard where a criminal conviction
13 is the basis for the finding.

14 D. Before a state licensing or state certification authority
15 makes a final determination that a criminal conviction, plea of
16 guilty or nolo contendere, or pending criminal charge may disqualify
17 an applicant for licensure, that authority shall provide written
18 notice of:

19 1. The specific offense that is the basis for the intended
20 denial;

21 2. The reasons the offense was determined to substantially
22 relate to the duties and responsibilities of the occupation and
23 posed a reasonable threat to public safety, health, or welfare,
24 including findings for each of the factors in subsection B of this

1 section that the licensing or certification authority deemed
2 relevant to the determination; and

3 3. The right to submit additional evidence relevant to each of
4 the factors listed in subsection B of this section within thirty
5 (30) days, which the licensing or certification authority shall
6 consider before issuing a final determination.

7 E. A final determination that a criminal conviction, plea of
8 guilty or nolo contendere, or pending criminal charge may prevent a
9 person from receiving a license shall be in writing and include
10 notice of the right to appeal the determination pursuant to the
11 Administrative Procedures Act, or a more specific statutory
12 authority, and notice of the earliest date the applicant may reapply
13 for a license.

14 F. A person with a criminal history record may request a
15 determination of whether his or her criminal history record may
16 disqualify him or her from obtaining the desired license or
17 certification in the occupation from a state licensing or state
18 certification authority at any time, including before obtaining any
19 required education or training for such occupation. The request
20 shall be in writing and shall include either a copy of the person's
21 criminal history record with explanation of each conviction
22 mentioned in the criminal history record or a statement describing
23 each criminal conviction including the date of each conviction, the
24 court of jurisdiction and the sentence imposed. The person may

1 include a statement with his or her request describing additional
2 information for consideration by the licensing or certification
3 authority including, but not limited to, information relevant to any
4 of the factors for consideration described in subsection B of this
5 section.

6 G. Upon receipt of a written request for consideration of a
7 criminal history record for an occupation as provided in subsection
8 F of this section, the licensing or certification authority shall
9 evaluate the request and make a determination based upon the
10 information provided in such request whether the stated conviction
11 is a disqualifying offense for the occupation. A notice of the
12 determination shall be issued to the petitioner within sixty (60)
13 days from the date such request was received by the licensing or
14 certification authority; except, however, a licensing or
15 certification authority regulating fifty thousand or more members in
16 its occupation shall be allowed ninety (90) days to make its initial
17 determination and issue notice to the requestor.

18 H. A determination made pursuant to subsection F of this
19 subsection that a person may not be disqualified for licensure or
20 certification due to criminal history shall be binding upon a
21 licensing or certification authority unless, at the time a full
22 application for a license is submitted, the applicant has
23 subsequently pled guilty or nolo contendere to a crime, has pending
24

1 criminal charges, or has previously undisclosed criminal
2 convictions.

3 I. The notice of a determination made pursuant to subsection F
4 of this section shall be in writing and mailed to the requestor at
5 the address provided in his or her request, and shall contain the
6 following statements:

7 1. Whether the person is eligible for licensure or
8 certification in the occupation at the current time based upon the
9 information submitted by the requestor;

10 2. Whether there is a disqualifying offense that would
11 disqualify the person from engaging in the occupation at the current
12 time and a statement identifying such offense in the criminal
13 history record or information submitted for consideration;

14 3. Any actions the person may take to remedy a
15 disqualification, if any;

16 4. The earliest date the person may submit another request for
17 consideration, if any; and

18 5. A statement that the determination may be rescinded if, at
19 the time a full application for a license is submitted, the
20 applicant has subsequently pled guilty or nolo contendere to a
21 crime, has pending criminal charges, or has previously undisclosed
22 criminal convictions.

23 J. A state entity charged with oversight of an occupational
24 license or certification may promulgate forms for requests for

1 determinations for the occupation as authorized in subsection F of
2 this section. Each state licensing or certification authority may
3 charge a fee not to exceed Ninety-five Dollars (\$95.00) for each
4 initial determination of eligibility it makes for the occupation
5 based upon the information provided by the requestor.

6 K. Each state licensing or state certification authority shall
7 include in its application for a license or certification and
8 publish on its public website the following information:

9 1. Whether the criminal offenses of applicants may be used as a
10 basis for denial;

11 2. If criminal history may be used as a basis for denial as
12 listed in subsection B of this section, which offenses the licensing
13 or certification authority shall consider; and

14 3. Notice of the right to request a determination pursuant to
15 subsection F of this section.

16 L. Each state licensing or state certification authority
17 authorized to consider the criminal conviction of an applicant shall
18 annually, utilizing the centralized filing system provided for in
19 Section 378 of this act, electronically provide to the Legislature,
20 and publish on its public website, the following:

21 1. The number of license applications received;

22 2. The number of applications that resulted in a license being
23 granted;

1 3. The number of applications that resulted in a license being
2 denied;

3 4. The number of applications that were denied due to criminal
4 history;

5 5. A list of criminal offenses reported by individuals who were
6 granted a license;

7 6. A list of criminal offenses reported by individuals who were
8 denied a license due to criminal history along with the time elapsed
9 since the commission of the offense; and

10 7. The number of petitions received by the licensing or
11 certification authority pursuant to subsection F of this section.

12 M. The provisions of this section shall not be construed to
13 apply to the Council on Law Enforcement Education and Training, the
14 Bail Bonds Division of the Insurance Department, the State Board of
15 Education, the boards of examiners which are established in Title 20
16 of the Oklahoma Statutes, the State Board of Medical Licensure and
17 Supervision, or individuals applying to these authorities for
18 licensure or certification.

19 SECTION 123. AMENDATORY 60 O.S. 2021, Section 177.2, is
20 amended to read as follows:

21 Section 177.2. A. No public trust, school district, or county
22 shall issue any bonds, notes, certificates of participation,
23 certificates of indebtedness, or any other evidence of indebtedness,
24 excluding nonpayable warrants and agreements with a depository bank

1 to honor payment of checks when there are insufficient funds, for
2 the purpose of short-term cash management by any school district or
3 county unless such school district or county shall have been
4 approved for participation by the Oklahoma Commission on School and
5 County Funds Management.

6 As used in this section, "short-term cash management" means any
7 borrowing or any method employed by a school district or county to
8 obtain funds in advance of the receipt of tax revenue, and shall
9 include, but not be limited to, the issuance of certificates of
10 indebtedness, certificates of participation, tax-anticipation notes,
11 bonds, notes, or any other evidence of indebtedness. It shall not
12 include debt issued pursuant to a vote of the electors of the school
13 district or county pursuant to the Constitution.

14 B. The Oklahoma Commission on School and County Funds
15 Management, shall consist of the State Superintendent of Public
16 Instruction, the Director of the Oklahoma Department of Career and
17 Technology Education, and the State Bond Advisor. The Commission
18 shall:

19 1. Receive requests of school districts and counties for
20 authorization to participate in a short-term cash management program
21 where the proceeds will be used to facilitate cash-flow management.
22 The requests ~~must~~ shall be received by the Commission on or before
23 April 1 in order for the school district or county to be considered
24

1 for participation during the next fiscal year, unless such date is
2 extended by the Commission;

3 2. Within five (5) business days of receiving a request,
4 forward the request to the appropriate certifying authority. If the
5 request and accompanying material meet the requirements of this act,
6 the certifying authority ~~must~~ shall return the request and
7 accompanying information to the Commission with a written review and
8 comment within sixty (60) days of receipt of the request from the
9 Commission. The certifying authority for school districts shall be
10 the State Superintendent of Public Instruction and for technology
11 center school districts, shall be the Director of the Oklahoma
12 Department of Career and Technology Education and for counties,
13 shall be the State Board of Equalization;

14 3. Approve or reject each request for participation, and
15 forward notice of the decision of the Commission to the requesting
16 school district or county and to the Office of the Governor. The
17 Commission shall approve or reject a request within thirty (30) days
18 following the date it receives the request and accompanying
19 information with a written review and comment from a certifying
20 authority;

21 4. Certify the need for funds generated by the proposed short-
22 term cash management based on the financial projections of the
23 school district or county, including the projected cash-flow
24 shortfall, estimated income, and anticipated surplus balances on

1 June 30 of the current fiscal year in the general and building funds
2 of the school district or county. Accumulative cash-flow shortfall
3 projections ~~must~~ shall be determined using the method specified by
4 Section 148 of the Internal Revenue Code;

5 5. Establish reasonable limits for fees, commissions and other
6 compensation paid to any person or firm involved with the proposed
7 short-term cash management program;

8 6. Establish participation limitations for a school district or
9 a county using the method specified in Section 148 of the Internal
10 Revenue Code. No school district or county shall participate in a
11 short-term cash management program in an amount which exceeds the
12 determination of need pursuant to the accumulative cash-flow
13 projections as specified in paragraph 4 of this subsection or forty
14 percent (40%) of the approved annual budget of the school district
15 or county, whichever is less;

16 7. Establish limitations which prohibit school districts and
17 counties which are participating in a short-term cash management
18 program from issuing nonpayable warrants if proceeds are available
19 from the short-term cash management program;

20 8. ~~Submit~~ Electronically submit, utilizing the centralized
21 filing system provided for in Section 378 of this act, an annual
22 report, by December 15 of each year, to the Speaker of the House of
23 Representatives, the President Pro Tempore of the Senate, the
24 Governor, the State Auditor and Inspector, and the Attorney General,

1 detailing the participation of each school district and county for
2 the prior fiscal year in the short-term cash management programs
3 authorized by this act; and

4 9. Prescribe methods and procedures by which school districts
5 or counties may request authorization to participate in short-term
6 cash management programs.

7 C. School districts and counties desiring to participate in a
8 short-term cash management program as provided in subsection A of
9 this section shall file a request with the Commission on such forms
10 as the Commission shall prescribe. Such request shall be
11 accompanied by:

12 1. A resolution adopted by the board of education of the school
13 district or by the county commissioners of a county. Such
14 resolution shall state that the school district or county intends to
15 and has need to participate in a short-term cash management program
16 and that the board of education or county commission has authorized
17 the submission of such request;

18 2. A letter signed by the underwriter of the short-term cash
19 management program that specifies the name and address of all
20 persons and firms receiving compensation, directly or indirectly,
21 involved with the proposed short-term cash management program. All
22 persons and firms designated shall not be paid out of school or
23 county funds. For purposes of this paragraph, school or county
24 funds shall not include the proceeds from certificates of

1 indebtedness or certificates of participation generated from a
2 short-term cash management program;

3 3. A verification from the Administrator of the Oklahoma
4 Department of Securities that all persons receiving compensation,
5 directly or indirectly, for providing advice to the school districts
6 or counties concerning participation in the program or for endorsing
7 participation in the program are appropriately registered with the
8 Oklahoma Department of Securities as investment advisers or
9 investment adviser representatives, as applicable, and that all
10 persons receiving compensation, directly or indirectly, for the
11 placement of the certificates of participation or like securities
12 with investors are registered as broker-dealers or agents, as
13 applicable;

14 4. The estimated income and expenditures of the school district
15 or county for the year for which the school district or county
16 wishes to participate in a short-term cash management program. The
17 appropriate certifying authority shall develop and provide an income
18 and expenditure disclosure form for use by a school district or
19 county which desires to participate in a short-term cash management
20 program which follows the applicable portions of the information
21 return required by Section 148 of the Internal Revenue Code. The
22 information supplied in the disclosure form ~~must~~ shall reflect the
23 ability of the school district or county to pay off an amount equal
24 to the district's or county's liability on the program from the

1 income from the fiscal year of participation, prior to approval for
2 participation by the Commission. If the Commission determines that
3 a question exists concerning any information submitted pursuant to
4 this subsection, the Commission may request any additional
5 information from the school district or county that it deems
6 necessary;

7 5. A copy of the most recent information return for a short-
8 term cash management program filed with the Internal Revenue Service
9 pursuant to Section 149(e) of the Internal Revenue Code;

10 6. An affidavit by all persons, firms, corporations, or
11 business enterprises of any kind which provide services for
12 compensation on any financing to implement a short-term cash
13 management program, which shall be signed under oath on a form
14 approved by the Commission and which shall state that such persons,
15 firms, corporations, or business enterprises have not given any
16 money or other thing of value, other than a bona fide campaign
17 contribution, to any public official or to any public employee of a
18 school district or county participating in such a cash management
19 program. Any such person, firm, corporation, or business enterprise
20 shall also file a disclosure statement on a form approved by the
21 Commission, which shall disclose all campaign contributions of any
22 kind made to any public official of a school district or county
23 participating in such a short-term cash management program and shall
24 also disclose the identity of any officer, director, agent, or

1 employee of such person, firm, corporation, or business enterprise
2 who is an officer or employee of a school or county participating in
3 a short-term cash management program, or who is related to such
4 officers or employees within the third degree of affinity or
5 consanguinity;

6 7. A notarized sworn affidavit executed by each member of a
7 board of education of a school district, the superintendent of
8 schools, and the treasurer of the school district or by each county
9 commissioner of a county and the county treasurer, which states that
10 the person or any member of the immediate family of the person has
11 no direct or indirect financial interest in the short-term cash
12 management program being requested. The affidavit shall be on a
13 form prescribed by the Commission;

14 8. A summary report detailing all expenses incurred by a school
15 district or county in participating in a short-term cash management
16 program. The report shall be on a form prescribed by the
17 Commission; and

18 9. Any application and other materials including any other
19 necessary financial information, as may be required by the
20 Commission.

21 D. If the information required to be submitted pursuant to this
22 section meets all requirements established by the Commission and the
23 Commission has approved such information and participation, and the
24 participation is otherwise in accordance with law, the Oklahoma

1 Commission on School and County Funds Management shall authorize the
2 participation of the school district or county in the short-term
3 cash management program. The Commission shall notify the school
4 district or county in writing, whether the requirements of this
5 section have been satisfied and approved.

6 E. School districts and counties participating in a short-term
7 cash management program authorized by this section shall report to
8 the Commission the probable income and expenses of anticipated
9 investment income. The report shall not include probable income or
10 expenses related to participation in a short-term cash management
11 program.

12 F. The ability of a school district or county to issue general
13 obligation bonds shall not be modified by this act.

14 G. The Office of the Attorney General shall provide legal
15 assistance to the Oklahoma Commission on School and County Funds
16 Management.

17 SECTION 124. AMENDATORY 60 O.S. 2021, Section 178, is
18 amended to read as follows:

19 Section 178. A. The instrument or will creating such trust may
20 provide for the appointment, succession, powers, duties, term,
21 manner of removal, and compensation of the trustee or trustees
22 subject to the provisions of subsections C and E of this section,
23 and in all such respects the terms of said instrument or will shall
24 be controlling. Trustees, who are public officers, shall serve

1 without compensation, but may be reimbursed for actual expenses
2 incurred in the performance of their duties as trustees. If the
3 said instrument or will makes no provisions in regard to any of the
4 foregoing, then the general laws of the state shall control as to
5 such omission or omissions. Every person hereafter becoming a
6 trustee of a public trust first shall take the oath of office
7 required of an elected public officer and every officer and employee
8 who handles funds of a public trust shall furnish a good and
9 sufficient fidelity bond in an amount and with surety as may be
10 specified and approved by the persons constituting a majority of
11 each of the governing bodies of the beneficiaries of the trust, such
12 bond to be in a surety company authorized to transact surety
13 business in the State of Oklahoma but in no event shall any bond be
14 required of a trustee. The cost of said bond shall be paid from
15 funds of the trust authority. The oaths of office shall be
16 administered by any person authorized to administer oaths in the
17 State of Oklahoma, and shall be filed with the Secretary of State in
18 trusts wherein the State of Oklahoma is the beneficiary; in the
19 office of the county clerk in a trust wherein any county is
20 beneficiary; and in the office of the clerk of the municipality in a
21 trust wherein any municipality is the beneficiary.

22 B. Unless otherwise specified in another state law authorizing
23 the creation of a state-beneficiary public trust, any public trust
24 that hereafter names the State of Oklahoma as the beneficiary shall

1 have five (5) trustees appointed by the Governor of the State of
2 Oklahoma with the advice and consent of the Senate. The terms of
3 the trustees shall be as follows: of the trustees first appointed,
4 one member shall be appointed for a term of one (1) year; one member
5 shall be appointed for a term of two (2) years; one member shall be
6 appointed for a term of three (3) years; one member shall be
7 appointed for a term of four (4) years; and one member shall be
8 appointed for a term of five (5) years. At the expiration of the
9 term of each member and of each succeeding member, the Governor
10 shall appoint a successor who shall serve for a term of five (5)
11 years. Whenever a vacancy on such trust shall occur by death,
12 resignation or otherwise, the Governor shall fill the same by
13 appointment and the appointee shall hold office during the unexpired
14 term. Each member shall hold office until his successor has been
15 appointed and qualified.

16 C. Any instrument or will creating a trust which is not within
17 the scope of subsection B of this section shall provide for the
18 appointment of a minimum of three trustees, their succession,
19 powers, duties, term, manner of removal and compensation subject to
20 the provisions of subsection E of this section, and in all such
21 respects the terms of said instrument or will shall be controlling.
22 If the instrument or will makes no provision in regard to any of the
23 foregoing, then the general laws of the state shall control as to
24 the omissions.

1 D. Meetings of trustees of all public trusts shall be open to
2 the public to the same extent as is required by law for other public
3 boards and commissions. Such meetings shall also be open to the
4 press and any such equipment deemed necessary by the press to record
5 or report the activities of the meetings. In such trusts wherein
6 the State of Oklahoma is the beneficiary, a written notice of
7 trustees' meetings shall be filed with the office of the Secretary
8 of State at least three (3) days prior to the meeting date. Records
9 of the trust and minutes of the trust meetings of any public trust
10 shall be written and kept in a place, the location of which shall be
11 recorded in the office of the county clerk of each county, wherein
12 the trust instrument shall be recorded. Such records and minutes
13 shall be available for inspection by any person during regular
14 business hours. Every trust created under Sections 176 et seq. of
15 this title shall, utilizing the centralized filing system provided
16 for in Section 378 of this act, electronically file a monthly report
17 of all expenditures of bond proceeds with the governing body of each
18 beneficiary and with the Governor, the Speaker of the House of
19 Representatives, and the President Pro Tempore of the Senate in the
20 case of a public trust having the State of Oklahoma as beneficiary.

21 E. Trustees of any public trust may be removed from office for
22 cause, including incompetency, neglect of duty, or malfeasance in
23 office, by a district court having jurisdiction. In the case of
24 persons appointed by the Governor, such persons shall be appointed

1 for terms not in excess of five (5) years, and shall be subject to
2 removal for cause. In the event of removal of a trustee under this
3 subsection, a successor trustee shall be appointed as provided in
4 the trust instrument. Provided, however, in the event a trustee is
5 so removed who is also a member of the governing board of a
6 municipal beneficiary, the successor trustee shall be appointed by
7 the judge of the court wherein the removal occurred; said successor
8 trustee shall serve only until the removed trustee ceases to serve
9 as a member of the governing board of the municipal beneficiary and
10 his successor on said board has qualified.

11 F. The provisions of this section shall be inapplicable to any
12 public trust created and existing prior to July 1, 1988, if the
13 instrument or will creating such public trust shall have been held
14 to be a valid and binding agreement in an opinion of the Supreme
15 Court of the State of Oklahoma; and nothing in this section shall
16 impair or be deemed to impair the trust indenture or existing or
17 future obligations of such public trust.

18 SECTION 125. AMENDATORY Section 1, Chapter 220, O.S.L.
19 2024 (60 O.S. Supp. 2025, Section 1403), is amended to read as
20 follows:

21 Section 1403. A. There is hereby created the Task Force on
22 Trust Administration Review and Reform. The Task Force shall be
23 composed of the following seven (7) members:

24

1 1. The Governor shall appoint three members, one of whom shall
2 be a member of the Oklahoma State Chamber, and one of whom shall be
3 a member of the Oklahoma Bankers Association;

4 2. The President Pro Tempore of the Oklahoma State Senate shall
5 appoint two members; and

6 3. The Speaker of the Oklahoma House of Representatives shall
7 appoint two members.

8 B. The Task Force shall review and make recommendations for
9 changing Oklahoma's trust administration statutes in order to
10 provide an efficient framework for the administration of trusts.

11 C. The Task Force shall, utilizing the centralized filing
12 system provided for in Section 378 of this act, electronically
13 provide a report to the Governor, the President Pro Tempore of the
14 Oklahoma State Senate, and the Speaker of the Oklahoma House of
15 Representatives with its recommendations for legislation by November
16 1 of each year in which changes are recommended.

17 D. A majority of the members shall constitute a quorum for the
18 purpose of conducting the business of the Task Force. The Task
19 Force shall meet quarterly and at such other times as may be called
20 by the chair.

21 E. Members of the Task Force shall serve without compensation
22 but shall be reimbursed for expenses incurred in the performance of
23 their duties in accordance with the provisions of the State Travel
24 Reimbursement Act.

1 F. Administrative support for the Task Force including, but not
2 limited to, personnel necessary to ensure the proper performance of
3 the duties and responsibilities of the Task Force shall be provided
4 by the Oklahoma Legislative Office of Fiscal Transparency.

5 SECTION 126. AMENDATORY 61 O.S. 2021, Section 65, as
6 amended by Section 11, Chapter 238, O.S.L. 2022 (61 O.S. Supp. 2025,
7 Section 65), is amended to read as follows:

8 Section 65. A. In addition to the conditions prescribed
9 pursuant to subsection C of this section, the provisions of Section
10 62 of this title shall not apply whenever the Office of Management
11 and Enterprise Services with concurrence of the chief administrative
12 officer of the public agency affected declares that an emergency
13 exists. The construction manager or consultant shall be selected by
14 the Director of the Office of Management and Enterprise Services.
15 The resulting construction manager or consultant contract shall not
16 exceed Fifty Thousand Dollars (\$50,000.00). The reasons for the
17 emergency shall be recorded in the official records of the Office.

18 B. Emergency as used in this section shall be limited to
19 conditions resulting from any of the following:

20 1. A sudden unexpected happening or unforeseen occurrence if it
21 is impossible for the provisions of Section 62 of this title to be
22 observed because of the time factor and if the public health or
23 safety is endangered; and
24

1 2. A condition or situation which, if allowed to continue,
2 would lead to economic loss to the state or to further damage of
3 state property.

4 C. The provisions of Section 62 of this title shall not apply
5 to the process for construction of a correctional facility whenever
6 the State Board of Corrections informs the Office that an emergency
7 condition threatens the security of the state correctional system,
8 including inmate population growth, and the condition requires
9 expeditious treatment for the review, approval, and bid process as
10 it relates to construction or expansion of correctional facilities.
11 The Office and the Department of Corrections are authorized to
12 implement an expedited competitive bid process for the contracting
13 of construction managers or consultants and construction of new or
14 expanded correctional facilities that adequately respond to the
15 emergency. The State Board of Corrections shall, utilizing the
16 centralized filing system provided for in Section 378 of this act,
17 electronically provide written notification to the Governor, the
18 Speaker of the House of Representatives, and to the President Pro
19 Tempore of the Senate of the emergency conditions.

20 SECTION 127. AMENDATORY 61 O.S. 2021, Section 130, as
21 amended by Section 27, Chapter 238, O.S.L. 2022 (61 O.S. Supp. 2025,
22 Section 130), is amended to read as follows:
23
24

1 Section 130. A. The provisions of the Public Competitive
2 Bidding Act of 1974 with reference to notice and bids shall not
3 apply to an emergency if:

4 1. The governing body of a public agency declares by a two-
5 thirds (2/3) majority vote of all of the members of the governing
6 body that an emergency exists;

7 2. The Transportation Commission and the Oklahoma Tourism and
8 Recreation Commission, by majority vote of all the members of each
9 Commission, declare that an emergency exists; or

10 3. The chief administrative officer of a public agency without
11 a governing body declares that an emergency exists.

12 B. The governing body of a public agency may, upon approval of
13 two-thirds (2/3) majority of all of the members of the governing
14 body, delegate to the chief administrative officer of a public
15 agency the authority to declare an emergency whereby the provisions
16 of the Public Competitive Bidding Act of 1974 with reference to
17 notice and bids shall not apply to contracts less than One Hundred
18 Fifty Thousand Dollars (\$150,000.00) in amount; provided, such
19 authority of the Department of Transportation and the Oklahoma
20 Turnpike Authority shall not extend to any contract exceeding Seven
21 Hundred Fifty Thousand Dollars (\$750,000.00) in amount and such
22 authority of the Department of Corrections shall not extend to any
23 contract exceeding Two Hundred Fifty Thousand Dollars (\$250,000.00)
24 in amount for situations in which the emergency impacts the

1 conditions of confinement, health and safety of correctional
2 officers and inmates in the custody of the Department of
3 Corrections.

4 C. Upon approval of a two-thirds (2/3) majority vote, the
5 Oklahoma Conservation Commission may delegate to the Executive
6 Director the authority to declare an emergency and set a monetary
7 limit for the declaration. The provisions of this subsection may
8 only be used for the purpose of responding to an emergency involving
9 the reclamation of abandoned coal mines or the repair of damaged
10 upstream floodwater retarding structures.

11 D. An emergency declared by the Board of Corrections pursuant
12 to subsection C of Section 65 of this title shall exempt the
13 Department of Corrections from the limits which would otherwise be
14 imposed pursuant to subsection B of this section for the contracting
15 and construction of new or expanded correctional facilities.

16 E. The chief administrative officer of a public agency with a
17 governing body shall notify the governing body within ten (10) days
18 of the declaration of an emergency if the governing body did not
19 approve the emergency. The notification shall contain a statement
20 of the reasons for the action, and shall be recorded in the official
21 minutes of the governing body.

22 F. Emergency as used in this section shall be limited to
23 conditions resulting from a sudden unexpected happening or
24 unforeseen occurrence or condition whereby the public health or

1 safety is endangered or further damage to state property is likely
2 if the situation is not addressed promptly.

3 G. The chief administrative officer of a public agency shall
4 report an emergency within ten (10) days of the emergency
5 declaration and include the official minutes of the governing body
6 of the public agency, if applicable, to the Office of Management and
7 Enterprise Services which shall compile an annual report detailing
8 all emergencies declared pursuant to this section during the
9 previous calendar year. The report shall be electronically
10 submitted to the Governor, the President Pro Tempore of the Senate,
11 and the Speaker of the House of Representatives, utilizing the
12 centralized filing system provided for in Section 378 of this act,
13 upon request.

14 H. The Risk Management Administrator of the Office of
15 Management and Enterprise Services may declare an emergency on
16 behalf of a public agency when an insurable loss has occurred which
17 would lead to further economic loss or additional property damage if
18 not addressed promptly. Such declaration shall not relieve the
19 public agency of fiscal responsibility for its deductible, uninsured
20 losses, and other related expenses.

21 SECTION 128. AMENDATORY 61 O.S. 2021, Section 328, is
22 amended to read as follows:

23 Section 328. The Office of Management and Enterprise Services
24 may:

- 1 1. Research and identify available facilities management
- 2 software applications and existing facilities management software
- 3 systems in other state agencies;
- 4 2. Procure facilities management software in accordance with
- 5 the requirements of The Oklahoma Central Purchasing Act; and
- 6 3. Implement a comprehensive statewide facilities management
- 7 software program in order to effectively identify state-owned real
- 8 property and to efficiently and fiscally manage the long-range
- 9 deferred maintenance funding requirements of such real property.

10 State agencies that have existing facilities management software
11 systems shall cooperate with the Office in the integration of
12 existing and future maintenance data into the statewide system
13 database. It shall not be a requirement that the software directly
14 interface with any other computer system. After full operational
15 status of the management program is achieved, the Office of
16 Management and Enterprise Services shall make an annual facilities
17 condition assessment report to the Speaker of the Oklahoma House of
18 Representatives, the President Pro Tempore of the State Senate, and
19 the Governor by electronic submission utilizing the centralized
20 filing system provided for in Section 378 of this act. Provisions
21 of this section shall not apply to the physical assets, buildings,
22 and equipment of the Oklahoma State Regents for Higher Education.

SECTION 129. AMENDATORY 62 O.S. 2021, Section 34.2, as amended by Section 1, Chapter 86, O.S.L. 2025 (62 O.S. Supp. 2025, Section 34.2), is amended to read as follows:

Section 34.2. A. Agencies responsible for the collection of monies deposited to the credit of the General Revenue Fund and each of the Special Revenue Funds shall be subject to the provisions of this act. Upon request of the Director of the Office of Management and Enterprise Services, these agencies shall provide the Director of the Office of Management and Enterprise Services an itemized estimate of funds expected to accrue to the General Revenue Fund and each of the Special Revenue Funds for the ensuing fiscal year in the manner and form established by the Director, in accordance with the duties assigned to the State Board of Equalization in Section 23 of Article X of the Oklahoma Constitution. Each of these agencies shall also provide to the Director, as requested, a written explanation of the methodology and relevant assumptions used in developing the current and future revenue estimates submitted, a statement of:

1. The prior year's actual revenue collections;
2. A projection of the current year's revenue collections; and
3. Estimated revenue collections for the ensuing fiscal year.

No expenditure shall be made from any General Revenue Fund or Special Revenue Fund until such fund has been assigned to an agency

1 by law or by the Director of the Office of Management and Enterprise
2 Services.

3 B. In addition to providing the information listed above, the
4 Oklahoma Tax Commission shall also provide to the Director of the
5 Office of Management and Enterprise Services a comprehensive
6 economic report no later than two (2) weeks prior to each of the
7 meetings of the State Board of Equalization pursuant to paragraphs 1
8 and 3 of Section 23 of Article X of the Constitution of the State of
9 Oklahoma. Each report shall include a summary of recent national
10 and state economic performance and a forecast of national and state
11 economic performance for the current fiscal year and the ensuing
12 fiscal year. These reports shall be considered a basis upon which
13 the itemized revenue estimates of the Commission are developed. The
14 report shall include an analysis of the relative accuracy of the
15 economic forecasts on which the previous and current fiscal years'
16 revenue estimates were based.

17 C. The Tax Commission shall also, utilizing the centralized
18 filing system provided for in Section 378 of this act,
19 electronically provide all estimates, explanations, statements,
20 projections, reports, and other documents required by this section
21 to the President Pro Tempore of the Senate, members of the Senate
22 Appropriations and Finance Committees, the Speaker of the House of
23 Representatives, and members of the House Appropriations and Budget
24

1 Committee at the same time that such documents are provided to the
2 Director of the Office of Management and Enterprise Services.

3 SECTION 130. AMENDATORY 62 O.S. 2021, Section 34.6, as
4 amended by Section 2, Chapter 14, 2nd Extraordinary Session, O.S.L.
5 2022 (62 O.S. Supp. 2025, Section 34.6), is amended to read as
6 follows:

7 Section 34.6. A. The Director of the Office of Management and
8 Enterprise Services shall have the power and duty under the
9 direction of the Governor to:

10 1. Prepare the budget document and assist in the drafting of
11 legislation to make it effective;

12 2. Make field surveys and studies of governmental agencies,
13 looking toward economy and greater efficiency;

14 3. Make allotments to control expenditures;

15 4. Authorize transfers of appropriation authorized by law;

16 5. Study accounting and other reports rendered by the Division
17 of Central Accounting and Reporting;

18 6. Enter into agreements with the United States Secretary of
19 the Treasury for the purpose of implementing federal law;

20 7. Aid the Governor in the economical management of state
21 affairs; and

22 8. Adopt such rules and regulations concerning the exercise of
23 powers and duties as the Director shall deem appropriate, in
24 accordance with the Administrative Procedures Act.

1 B. In addition to other duties, the Director of the Office of
2 Management and Enterprise Services shall, upon request, advise and
3 consult with members of the Legislature and legislative committees
4 concerning revenue and expenditures of state agencies.

5 C. The Director of the Office of Management and Enterprise
6 Services shall publish daily reports of all expenditures of funds
7 from the Coronavirus Aid, Relief, and Economic Security (CARES) Act
8 on the Oklahoma Checkbook page on the state website.

9 D. The Director of the Office of Management and Enterprise
10 Services shall report weekly on the status of all grant agreements,
11 as provided for in Section 1 of this act.

12 E. The Director of the Office of Management and Enterprise
13 Services shall, utilizing the centralized filing system provided for
14 in Section 378 of this act, electronically report quarterly to the
15 chairs of the Joint Committee on Pandemic Relief Funding and make
16 available to the public on the state's website, a quarterly report
17 of all expenditures of federal funds drawn down from the American
18 Rescue Plan Act 2021 (ARPA), Public Law 117-2.

19 F. The Director of the Office of Management and Enterprise
20 Services shall provide technical assistance to agencies seeking to
21 comply with state law and federal guidelines as a recipient of
22 federal funds. Technical assistance shall include, but not be
23 limited to, procurement and competitive bidding requirements
24 assistance, capital expenditure assistance, model templates, model

1 agreements, grants management software or other advice, recommended
2 reporting, and accounting of federal funds, to all state agencies
3 who request technical assistance.

4 SECTION 131. AMENDATORY 62 O.S. 2021, Section 34.11.1,
5 as amended by Section 1, Chapter 193, O.S.L. 2024 (62 O.S. Supp.
6 2025, Section 34.11.1), is amended to read as follows:

7 Section 34.11.1. A. There is hereby created the position of
8 Chief Information Officer who shall be appointed by the Governor.
9 The Chief Information Officer, in addition to having authority over
10 the Information Services Division of the Office of Management and
11 Enterprise Services, shall also serve as Secretary of Information
12 Technology and Telecommunications or successor cabinet position and
13 shall have jurisdictional areas of responsibility related to
14 information technology and telecommunications systems of all state
15 agencies as provided for in state law. The salary of the Chief
16 Information Officer shall not be less than One Hundred Thirty
17 Thousand Dollars (\$130,000.00) or more than One Hundred Sixty
18 Thousand Dollars (\$160,000.00).

19 B. Any person appointed to the position of Chief Information
20 Officer shall meet the following eligibility requirements:

21 1. A baccalaureate degree in Computer Information Systems,
22 Information Systems or Technology Management, Business
23 Administration, Finance, or other similar degree;

24

1 2. A minimum of ten (10) years of professional experience with
2 responsibilities for management and support of information systems
3 and information technology, including seven (7) years of direct
4 management of a major information technology operation;

5 3. Familiarity with local and wide-area network design,
6 implementation, and operation;

7 4. Experience with data and voice convergence service
8 offerings;

9 5. Experience in developing technology budgets;

10 6. Experience in developing requests for proposal and
11 administering the bid process;

12 7. Experience managing professional staff, teams, and
13 consultants;

14 8. Knowledge of telecommunications operations;

15 9. Ability to develop and set strategic direction for
16 information technology and telecommunications and to manage daily
17 development and operations functions;

18 10. An effective communicator who is able to build consensus;

19 11. Ability to analyze and resolve complex issues, both logical
20 and interpersonal;

21 12. Effective verbal and written communications skills and
22 effective presentation skills, geared toward coordination and
23 education;

24 13. Ability to negotiate and defuse conflict; and

1 14. A self-motivator, independent, cooperative, flexible and
2 creative.

3 C. The salary and any other expenses for the Chief Information
4 Officer shall be budgeted as a separate line item through the Office
5 of Management and Enterprise Services. The operating expenses of
6 the Information Services Division shall be set by the Chief
7 Information Officer and shall be budgeted as a separate line item
8 through the Office of Management and Enterprise Services. The
9 Office of Management and Enterprise Services shall provide adequate
10 office space, equipment, and support necessary to enable the Chief
11 Information Officer to carry out the information technology and
12 telecommunications duties and responsibilities of the Chief
13 Information Officer and the Information Services Division.

14 D. 1. Within twelve (12) months of appointment, the first
15 Chief Information Officer shall complete an assessment, which shall
16 be modified annually pursuant to Section 35.5 of this title, of the
17 implementation of the transfer, coordination, and modernization of
18 all information technology and telecommunication systems of all
19 state agencies in the state as provided for in the Oklahoma
20 Information Services Act. The assessment shall include the
21 information technology and telecommunications systems of all
22 institutions within The Oklahoma State System of Higher Education,
23 the Oklahoma State Regents for Higher Education and the
24 telecommunications network known as OneNet as assembled and

1 submitted by the Oklahoma Higher Education Chief Information
2 Officer, as designated by the Oklahoma State Regents for Higher
3 Education.

4 2. ~~Within twelve (12) months of appointment, the first Chief~~
5 ~~Information Officer shall issue a report setting out a plan of~~
6 ~~action which will include the following:~~

7 a. ~~define the shared service model organization structure~~
8 ~~and the reporting relationship of the recommended~~
9 ~~organization,~~

10 b. ~~the implementation of an information technology and~~
11 ~~telecommunications shared services model that defines~~
12 ~~the statewide infrastructure environment needed by~~
13 ~~most state agencies that is not specific to individual~~
14 ~~agencies and the shared applications that are utilized~~
15 ~~across multiple agencies,~~

16 c. ~~define the services that shall be in the shared~~
17 ~~services model under the control of the Information~~
18 ~~Services Division of the Office of Management and~~
19 ~~Enterprise Services,~~

20 d. ~~define the roadmap to implement the proposed shared~~
21 ~~services model. The roadmap shall include~~
22 ~~recommendations on the transfer, coordination, and~~
23 ~~modernization of all information technology and~~
24

1 ~~telecommunication systems of all the state agencies in~~
2 ~~the state,~~
3 ~~e. recommendations on the reallocation of information~~
4 ~~technology and telecommunication resources and~~
5 ~~personnel,~~
6 ~~f. a cost benefit analysis to support the recommendations~~
7 ~~on the reallocation of information technology and~~
8 ~~telecommunication resources and personnel,~~
9 ~~g. a calculation of the net savings realized through the~~
10 ~~reallocation and consolidation of information~~
11 ~~technology and telecommunication resources and~~
12 ~~personnel after compensating for the cost of~~
13 ~~contracting with a private consultant as authorized in~~
14 ~~paragraph 4 of this subsection, implementing the plan~~
15 ~~of action, and ongoing costs of the Information~~
16 ~~Services Division of the Office of Management and~~
17 ~~Enterprise Services, and~~
18 ~~h. the information required in subsection B of Section~~
19 ~~35.5 of this title.~~

20 ~~3. The plan of action report shall be presented to the~~
21 ~~Governor, Speaker of the Oklahoma House of Representatives, and the~~
22 ~~President Pro Tempore of the Oklahoma State Senate.~~

23 ~~4. The Chief Information Officer may contract with a private~~
24 ~~consultant or consultants to assist in the assessment and~~

1 ~~development of the plan of action report~~ as required in this
2 subsection.

3 E. The Chief Information Officer shall be authorized to employ
4 personnel, fix the duties and compensation of the personnel, not
5 otherwise prescribed by law, and otherwise direct the work of the
6 personnel in performing the function and accomplishing the purposes
7 of the Information Services Division of the Office of Management and
8 Enterprise Services.

9 F. The Information Services Division of the Office of
10 Management and Enterprise Services shall be responsible for the
11 following duties:

12 1. Formulate and implement the information technology strategy
13 for all state agencies;

14 2. Define, design, and implement a shared services statewide
15 infrastructure and application environment for information
16 technology and telecommunications for all state agencies;

17 3. Direct the development and operation of a scalable
18 telecommunications infrastructure that supports data and voice
19 communications reliability, integrity, and security;

20 4. Supervise the applications development process for those
21 applications that are utilized across multiple agencies;

22 5. Provide direction for the professional development of
23 information technology staff of state agencies and oversee the
24

1 professional development of the staff of the Information Services
2 Division of the Office of Management and Enterprise Services;

3 6. Evaluate all technology and telecommunication investment
4 choices for all state agencies;

5 7. Create a plan to ensure alignment of current systems, tools,
6 and processes with the strategic information technology plan for all
7 state agencies;

8 8. Set direction and provide oversight for the support and
9 continuous upgrading of the current information technology and
10 telecommunication infrastructure in the state in support of enhanced
11 reliability, user service levels, and security;

12 9. Direct the development, implementation, and management of
13 appropriate standards, policies and procedures to ensure the success
14 of state information technology and telecommunication initiatives;

15 10. Recruit, hire and transfer the required technical staff in
16 the Information Services Division of the Office of Management and
17 Enterprise Services to support the services provided by the Division
18 and the execution of the strategic information technology plan;

19 11. Establish, maintain, and enforce information technology and
20 telecommunication standards;

21 12. Delegate, coordinate, and review all work to ensure quality
22 and efficient operation of the Information Services Division of the
23 Office of Management and Enterprise Services;

1 13. Create and implement a communication plan that disseminates
2 pertinent information to state agencies on standards, policies,
3 procedures, service levels, project status, and other important
4 information to customers of the Information Services Division of the
5 Office of Management and Enterprise Services and provide for agency
6 feedback and performance evaluation by customers of the Division;

7 14. Develop and implement training programs for state agencies
8 using the shared services of the Information Services Division of
9 the Office of Management and Enterprise Services and recommend
10 training programs to state agencies on information technology and
11 telecommunication systems, products and procedures;

12 15. Provide counseling, performance evaluation, training,
13 motivation, discipline, and assign duties for employees of the
14 Information Services Division of the Office of Management and
15 Enterprise Services;

16 16. For all state agencies, approve the purchasing of all
17 information technology and telecommunication services and approve
18 the purchase of any information technology and telecommunication
19 product except the following:

- 20 a. a purchase less than or equal to Five Thousand Dollars
21 (\$5,000.00) if such product is purchased using a state
22 purchase card and the product is listed on either the
23 Approved Hardware or Approved Software list located on
24

1 the Office of Management and Enterprise Services
2 website, or

3 b. a purchase over Five Thousand Dollars (\$5,000.00) and
4 less than or equal to Twenty-five Thousand Dollars
5 (\$25,000.00) if such product is purchased using a
6 state purchase card, the product is listed on an
7 information technology or telecommunications statewide
8 contract, and the product is listed on either the
9 Approved Hardware or Approved Software list located on
10 the Office of Management and Enterprise Services
11 website;

12 17. Develop and enforce an overall infrastructure architecture
13 strategy and associated roadmaps for desktop, network, server,
14 storage, and statewide management systems for state agencies;

15 18. Effectively manage the design, implementation and support
16 of complex, highly available infrastructure to ensure optimal
17 performance, on-time delivery of features, and new products, and
18 scalable growth;

19 19. Define and implement a governance model for requesting
20 services and monitoring service level metrics for all shared
21 services; and

22 20. Create the budget for the Information Services Division of
23 the Office of Management and Enterprise Services to be submitted to
24 the Legislature each year.

1 G. The State Governmental Technology Applications Review Board
2 shall provide ongoing oversight of the implementation of the plan of
3 action required in subsection D of this section. Any proposed
4 amendments to the plan of action shall be approved by the Board
5 prior to adoption.

6 H. 1. The Chief Information Officer shall act as the
7 Information Technology and Telecommunications Purchasing Director
8 for all state agencies and shall be responsible for the procurement
9 of all information technology and telecommunication software,
10 hardware, equipment, peripheral devices, maintenance, consulting
11 services, high technology systems, and other related information
12 technology, data processing, telecommunication, and related
13 peripherals and services for all state agencies. The Chief
14 Information Officer shall establish, implement, and enforce policies
15 and procedures for the procurement of information technology and
16 telecommunication software, hardware, equipment, peripheral devices,
17 maintenance, consulting services, high technology systems, and other
18 related information technology, data processing, telecommunication,
19 and related peripherals and services by purchase, lease-purchase,
20 lease with option to purchase, lease, and rental for all state
21 agencies. The procurement policies and procedures established by
22 the Chief Information Officer shall be consistent with The Oklahoma
23 Central Purchasing Act.

1 2. The Chief Information Officer, or any employee or agent of
2 the Chief Information Officer acting within the scope of delegated
3 authority, shall have the same power and authority regarding the
4 procurement of all information technology and telecommunication
5 products and services as outlined in paragraph 1 of this subsection
6 for all state agencies as the State Purchasing Director has for all
7 acquisitions used or consumed by state agencies as established in
8 The Oklahoma Central Purchasing Act. Such authority shall,
9 consistent with the authority granted to the State Purchasing
10 Director pursuant to Section 85.10 of Title 74 of the Oklahoma
11 Statutes, include the power to designate financial or proprietary
12 information submitted by a bidder confidential and reject all
13 requests to disclose the information so designated, if the Chief
14 Information Officer requires the bidder to submit the financial or
15 proprietary information with a bid, proposal, or quotation.

16 I. The Information Services Division of the Office of
17 Management and Enterprise Services and the Chief Information Officer
18 shall be subject to the Oklahoma Central Purchasing Act for the
19 approval and purchase of all equipment, products, and services and
20 shall also be subject to the requirements of the Public Competitive
21 Bidding Act of 1974, the Oklahoma Lighting Energy Conservation Act
22 and the Public Building Construction and Planning Act. The Chief
23 Information Officer shall be authorized to delegate all or some of
24 the procurement of information technology and telecommunication

1 products and services and construction of facilities and
2 telecommunication networks to another state entity if the Chief
3 Information Officer determines it to be cost-effective and in the
4 best interest of the state. The Chief Information Officer shall
5 have authority to designate information technology and
6 telecommunication contracts as statewide contracts and mandatory
7 statewide contracts pursuant to Section 85.5 of Title 74 of the
8 Oklahoma Statutes and to negotiate consolidation contracts,
9 enterprise agreements, and high technology systems contracts. Any
10 contract entered into by a state agency for which the Chief
11 Information Officer has not acted as the Information Technology and
12 Telecommunications Purchasing Director as required in this
13 subsection or subsection H of this section, shall be deemed to be
14 unenforceable and the Office of Management and Enterprise Services
15 shall not process any claim associated with the provisions thereof.

16 J. The Chief Information Officer shall establish, implement,
17 and enforce policies and procedure for the development and
18 procurement of an interoperable radio communications system for
19 state agencies. The Chief Information Officer shall work with local
20 governmental entities in developing the interoperable radio
21 communications system.

22 K. The Chief Information Officer shall develop and implement a
23 plan to utilize open source technology and products for the
24

1 information technology and telecommunication systems of all state
2 agencies.

3 L. All state agencies and authorities of this state and all
4 officers and employees of those entities shall work and cooperate
5 with and lend assistance to the Chief Information Officer and the
6 Information Services Division of the Office of Management and
7 Enterprise Services and provide any and all information requested by
8 the Chief Information Officer.

9 M. The Chief Information Officer shall prepare an annual report
10 detailing the ongoing net saving attributable to the reallocation
11 and consolidation of information technology and telecommunication
12 resources and personnel and shall, utilizing the centralized filing
13 system provided for in Section 378 of this act, electronically
14 submit the report to the Governor, the Speaker of the Oklahoma House
15 of Representatives, and the President Pro Tempore of the Oklahoma
16 State Senate.

17 N. For purposes of the Oklahoma Information Services Act,
18 unless otherwise provided for, "state agencies" shall include any
19 office, officer, bureau, board, commission, counsel, unit, division,
20 body, authority, or institution of the executive branch of state
21 government, whether elected or appointed; provided, except with
22 respect to the provisions of subsection D of this section, the term
23 "state agencies" shall not include institutions within The Oklahoma
24

1 State System of Higher Education, the Oklahoma State Regents for
2 Higher Education and the telecommunications network known as OneNet.

3 0. As used in this section:

4 1. "High technology system" means advanced technological
5 equipment, software, communication lines, and services for the
6 processing, storing, and retrieval of information by a state agency;

7 2. "Consolidation contract" means a contract for several state
8 or public agencies for the purpose of purchasing information
9 technology and telecommunication goods and services; and

10 3. "Enterprise agreement" means an agreement for information
11 technology or telecommunication goods and services with a supplier
12 who manufactures, develops, and designs products and provides
13 services that are used by one or more state agencies.

14 SECTION 132. AMENDATORY 62 O.S. 2021, Section 34.32, as
15 amended by Section 25, Chapter 228, O.S.L. 2022 (62 O.S. Supp. 2025,
16 Section 34.32), is amended to read as follows:

17 Section 34.32. A. The Information Services Division of the
18 Office of Management and Enterprise Services shall create a standard
19 security risk assessment for state agency information technology
20 systems that complies with the International Organization for
21 Standardization (ISO) and the International Electrotechnical
22 Commission (IEC) Information Technology - Code of Practice for
23 Security Management (ISO/IEC 27002).

1 B. Each state agency that has an information technology system
2 shall obtain an information security risk assessment to identify
3 vulnerabilities associated with the information system. The
4 Information Services Division of the Office of Management and
5 Enterprise Services shall approve not less than two firms which
6 state agencies may choose from to conduct the information security
7 risk assessment.

8 C. A state agency with an information technology system that is
9 not consolidated under the Information Technology Consolidation and
10 Coordination Act or that is otherwise retained by the agency shall
11 additionally be required to have an information security audit
12 conducted by a firm approved by the Information Services Division
13 that is based upon the most current version of the NIST Cyber-
14 Security Framework, and shall submit a final report of the
15 information security risk assessment and information security audit
16 findings to the Information Services Division each year on a
17 schedule set by the Information Services Division. Agencies shall
18 also submit a list of remedies and a timeline for the repair of any
19 deficiencies to the Information Services Division within ten (10)
20 days of the completion of the audit. The final information security
21 risk assessment report shall identify, prioritize, and document
22 information security vulnerabilities for each of the state agencies
23 assessed. The Information Services Division may assist agencies in
24

1 repairing any vulnerabilities to ensure compliance in a timely
2 manner.

3 D. Subject to the provisions of subsection C of Section 34.12
4 of this title, the Information Services Division shall, utilizing
5 the centralized filing system provided for in Section 378 of this
6 act, electronically report the results of the state agency
7 assessments and information security audit findings required
8 pursuant to this section to the Governor, the Speaker of the House
9 of Representatives, and the President Pro Tempore of the Senate by
10 the first day of January of each year. Any state agency with an
11 information technology system that is not consolidated under the
12 Information Technology Consolidation and Coordination Act that
13 cannot comply with the provisions of this section shall consolidate
14 under the Information Technology Consolidation and Coordination Act.

15 E. This section shall not apply to state agencies subject to
16 mandatory North American Electric Reliability Corporation (NERC)
17 cybersecurity standards and institutions within The Oklahoma State
18 System of Higher Education, the Social Security Disability
19 Determination Services Division of the Department of Rehabilitation
20 Services, and the Oklahoma State Regents for Higher Education and
21 the telecommunications network known as OneNet that follow the
22 International Organization for Standardization (ISO), the Oklahoma
23 Military Department (OMD) and the International Electrotechnical
24 Commission (IEC)-Security techniques-Code of Practice for

1 Information Security Controls or National Institute of Standards and
2 Technology.

3 SECTION 133. AMENDATORY 62 O.S. 2021, Section 34.36, as
4 amended by Section 2, Chapter 199, O.S.L. 2025 (62 O.S. Supp. 2025,
5 Section 34.36), is amended to read as follows:

6 Section 34.36. A. On the first day of October preceding each
7 regular session of the Legislature, each state agency, including
8 those created or established pursuant to constitutional provisions,
9 shall, utilizing the centralized filing system provided for in
10 Section 378 of this act, electronically report to the Director of
11 the Office of Management and Enterprise Services and the Chair and
12 Vice Chair of the Legislative Oversight Committee on State Budget
13 Performance an itemized request showing the amount needed for the
14 ensuing fiscal year beginning with the first day of July.

15 B. The forms which ~~must~~ shall be used in making these reports
16 shall be approved by the Director of the Office of Management and
17 Enterprise Services and the Legislative Oversight Committee on State
18 Budget Performance.

19 C. The forms shall be uniform, and shall clearly designate the
20 information to be given.

21 D. The information provided shall include, but not be limited
22 to:
23
24

- 1 1. A budget analysis of existing and proposed programs
2 utilizing performance-informed budgeting techniques. Such analysis
3 shall be included as a part of the estimate of funds needed;
- 4 2. A statement listing any other state, federal or local
5 agencies which administer a similar or cooperating program and an
6 outline of the interaction among such agencies;
- 7 3. A statement of the statutory authority for the missions and
8 quantified objectives of each program;
- 9 4. A description of the groups of people served by each program
10 in the agency;
- 11 5. A quantification of the need for the program;
- 12 6. A description of the tactics which are intended to
13 accomplish each objective;
- 14 7. A list of quantifiable program outcomes which measure the
15 efficiency and effectiveness of each program;
- 16 8. A ranking of these programs by priority;
- 17 9. Actual program expenditures for the current fiscal year and
18 prior fiscal years and the number of personnel required to
19 accomplish each program;
- 20 10. Revenues expected to be generated by each program, if any;
- 21 11. With respect to appropriated state agencies, a detailed
22 listing of all employees and resources dedicated to the provision of
23 financial services including but not limited to procurement,
24 payroll, accounts receivable, and accounts payable. The provisions

1 of this paragraph shall not be applicable to the Oklahoma State
2 Regents for Higher Education or to any institutions within The
3 Oklahoma State System of Higher Education; and

4 12. A certification that following the effective date of this
5 act and prior to July 1, 2011, no expenditure shall have been made
6 or funds encumbered for the purchase, lease, lease-purchase or
7 rental of any computers, software, telecom, information technology
8 hardware, firmware, or information technology services, including
9 support services without the prior written approval of the State
10 Comptroller or his or her designee.

11 E. These appropriated agencies shall make an itemized estimate
12 of needs for the ensuing fiscal year and the following two (2)
13 fiscal years and request for funds for the ensuing fiscal year and
14 an estimate of the revenues from all sources to be received by the
15 agency during the ensuing fiscal year and the following two (2)
16 fiscal years.

17 F. The Director of the Office of Management and Enterprise
18 Services shall submit to the Governor and the Legislative Oversight
19 Committee on State Budget Performance no later than the fifth day of
20 October a complete list of all spending agencies which have failed
21 to submit budgets by October 1.

22 G. The reports required by this section shall include an
23 itemized listing of outstanding capital lease debt and estimated
24 capital lease needs for the ensuing fiscal year and the following

1 two (2) fiscal years, and shall be provided on forms prescribed by
2 the Director of the Office of Management and Enterprise Services.

3 H. For the purposes of this section, "capital lease" means a
4 lease-purchase agreement which provides an option for the State of
5 Oklahoma or its agencies to purchase property, including personal
6 and real property, which is the subject thereof ~~and/or~~ or a lease
7 agreement that provides an option for the State of Oklahoma or its
8 agencies to lease such property, which is the subject thereof, at a
9 nominal annual amount, after a period in which leased property is
10 rented at fair market value.

11 I. Not later than January 1, the Director of the Office of
12 Management and Enterprise Services shall publish a shared services
13 cost-performance assessment report documenting the amount of each
14 state agency's cost for providing shared services. The lowest
15 ranking state agencies shall enter into a contract with the Office
16 of Management and Enterprise Services for the provision of shared
17 financial services, provided that the Director of the Office of
18 Management and Enterprise Services determines that implementation of
19 such a contract would be feasible and documents that the contractual
20 agreement will result in cost savings or efficiencies to the state.
21 Contracts required by this subsection shall be entered into at the
22 start of the next fiscal year. When a state agency is contracted
23 with the Office of Management and Enterprise Services for the
24 provision of shared financial services, the agency may discontinue

1 using shared services when documentation showing that the agency can
2 provide the services at a lower cost to the state is provided to and
3 approved by the Director of the Office of Management and Enterprise
4 Services. As used in this subsection, "shared services" means
5 process, resource utilization, or action as defined by
6 administrative rule. On a yearly basis the Director of the Office
7 of Management and Enterprise Services shall compile and publish a
8 report documenting the cost savings resulting from shared services
9 contracts. The provisions of this subsection shall not be
10 applicable to the Oklahoma State Regents for Higher Education or to
11 any institutions within The Oklahoma State System of Higher
12 Education.

13 SECTION 134. AMENDATORY 62 O.S. 2021, Section 34.37, is
14 amended to read as follows:

15 Section 34.37. Immediately after the beginning of each regular
16 session of the Legislature, the Governor shall, utilizing the
17 centralized filing system provided for in Section 378 of this act,
18 electronically submit to the presiding officer of each house, copies
19 of the budget based upon the investigations and conclusions of the
20 Office of Management and Enterprise Services. Such budget document
21 shall contain a complete and itemized plan of all proposed
22 expenditures for each agency or undertaking classified according to
23 the various cabinet areas designated by the Governor or otherwise
24 created by law. Such expenditures shall be further classified by

1 function, character, and object, and in the event such proposed
2 expenditures exceed the estimate made by the State Board of
3 Equalization, the Governor shall accompany the budget document with
4 a proposal of new revenue raising measures sufficient to effect a
5 balanced budget for the ensuing fiscal year.

6 SECTION 135. AMENDATORY 62 O.S. 2021, Section 34.42, as
7 last amended by Section 3, Chapter 199, O.S.L. 2025 (62 O.S. Supp.
8 2025, Section 34.42), is amended to read as follows:

9 Section 34.42. A. On or before the first day of June in each
10 year, or as soon thereafter as possible, all agencies shall file
11 agency budgets with the Director of the Office of Management and
12 Enterprise Services. Copies of all agency budgets shall also be
13 made available electronically to the staff of the Joint Legislative
14 Committee on Budget and Program Oversight utilizing the centralized
15 filing system provided for in Section 378 of this act.

16 B. The required instructions, content, and format of agency
17 budgets shall be developed by the staff of the Budget Division of
18 the Office of Management and Enterprise Services.

19 C. 1. The agency budget shall include a description of all
20 funds available to the agency for expenditure and set out allotments
21 requested by the agency by quarter and the entire fiscal year.

22 2. The agency budget shall be accompanied by an organizational
23 chart of the agency, a statement of agency mission, and program
24 objectives.

1 3. The agency budget shall delineate agency spending by such
2 categories and with at least as much detail as is specified in the
3 legislative appropriation and as prescribed by the Director of the
4 Office of Management and Enterprise Services.

5 4. Agency budgets shall be signed by the executive officer of
6 each agency.

7 5. The executive officer shall certify that the agency is in
8 complete compliance with the requirements of Section 34.11.3 of this
9 title and Section 3-114 of Title 65 of the Oklahoma Statutes.

10 D. A "request officer" shall be designated by each state agency
11 for the purpose of making program and allotment requests.

12 E. Executive officers of agencies shall cooperate with the
13 Office of Management and Enterprise Services staff and Joint
14 Committee staff in developing program budgeting categories.

15 F. All funds available or expected to be made available to any
16 agency, including nonfiscal appropriations, shall not be available
17 for expenditure until the request officer of the agency has complied
18 with the applicable provisions of the Oklahoma State Finance Act and
19 has received approval of such request for funds from the Director of
20 the Office of Management and Enterprise Services.

21 SECTION 136. AMENDATORY 62 O.S. 2021, Section 34.52, is
22 amended to read as follows:

23 Section 34.52. A. The administrative head of any agency or the
24 request officer may request that any current item of appropriation,

1 allotment, or budget category be transferred to any other budget
2 category within the same agency.

3 B. The administrative head shall make a request for budget
4 transfer to the Director of the Office of Management and Enterprise
5 Services in writing and file a revised agency budget.

6 C. Copies of the request for budget transfer and corresponding
7 agency budget revisions shall also be electronically filed,
8 utilizing the centralized filing system provided for in Section 378
9 of this act, with the Joint Legislative Committee on Budget and
10 Program Oversight as created by Section 34.96 of this title.

11 D. The Director of the Office of Management and Enterprise
12 Services shall approve the request for transfer unless both the
13 Chair and Vice Chair of the Joint Legislative Committee on Budget
14 and Program Oversight provide written notification to the Director
15 of the Office of Management and Enterprise Services within twelve
16 (12) calendar days of receipt of transfer request that the transfer
17 subverts the intention and objectives of the Legislature in
18 establishing the original appropriation, or unless the transfer does
19 not meet the requirements of this section or Section 34.49 of this
20 title. Notification of noncompliance with legislative intent shall
21 be electronically transmitted, utilizing the centralized filing
22 system provided for in Section 378 of this act, to the Director of
23 the Office of Management and Enterprise Services within twelve (12)
24 calendar days of receipt of the transfer request. The Director of

1 the Office of Management and Enterprise Services shall give written
2 notice of approval or disapproval of each budget transfer by
3 electronic transmission, utilizing the centralized filing system
4 provided for in Section 378 of this act, to the agency, the
5 Governor, and the Chair and Vice Chair of the Joint Legislative
6 Committee on Budget and Program Oversight within eighteen (18)
7 calendar days of receiving the request.

8 E. Transfers shall be subject to the following limitations:

9 1. The amount to be transferred, together with all previous
10 transfers, shall not exceed twenty-five percent (25%) of the total
11 appropriation of the least of the items of appropriation, allotment
12 or agency budget involved in the transfer; and

13 2. If the amount to be transferred, and all previous transfers,
14 is greater than twenty-five percent (25%) of the least items of
15 appropriation, allotment or agency budget involved in the transfer
16 request, the agency may make an application to the Director of the
17 Office of Management and Enterprise Services, and the Chair and Vice
18 Chair of the Joint Legislative Committee on Budget and Program
19 Oversight. If the agency obtains written approval from the Director
20 of the Office of Management and Enterprise Services and the Chair
21 and Vice Chair of the Joint Legislative Committee Budget and Program
22 Oversight, an additional fifteen percent (15%) may be transferred.

23 SECTION 137. AMENDATORY 62 O.S. 2021, Section 34.88, is
24 amended to read as follows:

1 Section 34.88. A. The Office of Accountability shall
2 separately account for and report monthly revenues which it
3 determines accrued to the Education Reform Revolving Fund which were
4 attributable to the tax increases contained in Enrolled House Bill
5 No. 1017 of the 1st Extraordinary Session of the 42nd Oklahoma
6 Legislature.

7 B. Funds separately accounted for herein shall be used only to
8 fund the reforms provided for in Enrolled House Bill No. 1017 of the
9 1st Extraordinary Session of the 42nd Oklahoma Legislature and for
10 no other purpose. Any appropriation or expenditure of any of such
11 funds for any other purpose shall be null and void and of no effect.

12 C. The Office of Accountability shall track apportionment of
13 revenues which are deposited to the credit of the Education Reform
14 Revolving Fund of the State Treasury which are attributable to the
15 changes contained in Enrolled House Bill No. 1017 of the 1st
16 Extraordinary Session of the 42nd Oklahoma Legislature on a fiscal
17 year basis and shall, utilizing the centralized filing system
18 provided for in Section 378 of this act, electronically provide an
19 accounting to the Governor, Speaker of the House of Representatives,
20 and President Pro Tempore of the Senate, within thirty (30) days
21 after the end of the fiscal year.

22 SECTION 138. AMENDATORY 62 O.S. 2021, Section 34.94, is
23 amended to read as follows:
24

1 Section 34.94. The Office of Management and Enterprise Services
2 shall separately account for and report monthly revenues which it
3 determines are attributable to fees collected by the Oklahoma Board
4 of Private Vocational Schools pursuant to Section 21-106 of Title 70
5 of the Oklahoma Statutes. The Office of Management and Enterprise
6 Services shall track the fee revenue deposited by the Board on a
7 fiscal year basis and shall, utilizing the centralized filing system
8 provided for in Section 378 of this act, electronically provide an
9 accounting to the Governor, the Speaker of the House of
10 Representatives, and the President Pro Tempore of the Senate within
11 thirty (30) days after the end of the fiscal year.

12 SECTION 139. AMENDATORY 62 O.S. 2021, Section 34.95, is
13 amended to read as follows:

14 Section 34.95. A. The Appropriations and Budget Committee of
15 the Oklahoma House of Representatives and the Appropriations
16 Committee of the State Senate shall:

17 1. Utilize information collected by the Office of Management
18 and Enterprise Services pursuant to Section 34.36 of this title and
19 any reports issued by the Legislative Oversight Committee on State
20 Budget Performance to evaluate management programs, operations and
21 fiscal needs of state agencies, boards, commissions, departments,
22 divisions, offices, bureaus, institutions, and other spending
23 agencies, including those created or established pursuant to
24 constitutional provisions; and

1 2. File an evaluation report no later than March 1 of each
2 fiscal year with the Chief Clerk of the Oklahoma House of
3 Representatives and the Clerk of the State Senate which shall
4 include, but not be limited to, the following information:

5 a. a review of the agency's programs, performance, and
6 management,

7 b. whether the agency has demonstrated a public need for
8 the services and programs justifying the agency's
9 continued existence, and

10 c. whether the agency is the most appropriate provider of
11 the programs and services furnished by the agency.

12 B. The Appropriations and Budget Committee of the Oklahoma
13 House of Representatives and the Appropriations Committee of the
14 State Senate shall utilize information contained in the evaluation
15 report in determining final appropriations for state agencies and in
16 any future adjustments in funding levels.

17 C. No action shall be taken on a measure making an
18 appropriation unless the evaluation report described by paragraph 2
19 of subsection A of this section with respect to the entity to which
20 the appropriation is made has first been filed with the applicable
21 clerk.

22 D. Each subcommittee of the Appropriations Committee of the
23 Oklahoma State Senate and the Appropriations and Budget Committee of
24 the Oklahoma House of Representatives shall establish budget

1 performance measurements for each spending agency under its
2 jurisdiction. The performance measurements shall be developed in
3 order to allow the Legislature and the Governor to obtain
4 ~~measureable~~ measurable data to determine if the agency is performing
5 its duties in the most cost-effective manner possible.

6 Each spending agency, whether or not it receives state
7 appropriations, shall, utilizing the centralized filing system
8 provided for in Section 378 of this act, electronically submit
9 analysis reports as required by the subcommittee in order to enable
10 the subcommittee to make a determination as to whether the agency
11 has met the established performance measurements.

12 Such requirements may be established for the forthcoming fiscal
13 year and for such additional fiscal years in the future as the
14 subcommittees deem appropriate.

15 SECTION 140. AMENDATORY 62 O.S. 2021, Section 34.200-1,
16 is amended to read as follows:

17 Section 34.200-1. A. The State Treasurer in cooperation with
18 the Office of Management and Enterprise Services shall produce a
19 written debt affordability study (study) to be presented to the
20 Legislature and the Governor.

21 B. The study shall be used to determine Oklahoma's debt
22 position relative to its benchmark debt ratio of debt service as a
23 percentage of revenues. The study shall incorporate information
24 available in other sources, such as the Annual Bonded Indebtedness

1 Report produced by the State Treasurer, into an analysis of
2 Oklahoma's debt position.

3 C. The study shall include the net tax-supported and net
4 revenue-supported debt of this state for the most recently concluded
5 fiscal year. It shall also include the debt for the most recently
6 concluded fiscal year of state agencies and state-beneficiary public
7 trusts which are authorized to issue debt.

8 D. The study shall include the following:

9 1. Projections of debt service, future debt issuance, and debt
10 to capacity, such as debt service as a percentage of revenues. Each
11 projection shall extend at least five (5) years from the study's
12 fiscal year of publication;

13 2. A discussion of Oklahoma's unfunded pension liabilities and
14 the impact of these liabilities on the state's ability to borrow and
15 cost of debt;

16 3. An identification and calculation of relevant metrics
17 including, but not limited to, debt service as a percentage of
18 revenues, total debt as a percentage of state personal income, and
19 total debt per capita;

20 4. A comparison of debt metrics to a select group of at least
21 ten other states so that Oklahoma may be able to measure and
22 contextualize its debt relative to other states;

23 5. A sensitivity analysis to understand the effects of
24 uncertain conditions. This sensitivity analysis may include

1 analysis on the impact of debt ratios of revenues being above or
2 below expectations or interest rates increasing or decreasing from
3 positions at time of publication; and

4 6. An estimate of available debt capacity the state may issue
5 over the next five (5) years without causing the benchmark debt
6 ratio of debt service as a percentage of revenues to exceed five
7 percent (5%). This estimate is based on the state's net tax-
8 supported debt and the debt of the relevant state units and
9 agencies.

10 E. In preparing any authorization of new debt, the debt-issuing
11 entity, the Legislature, and the Governor shall take the study's
12 recommendations and estimates into consideration. In addition, the
13 study's recommendations and estimates shall be taken into
14 consideration by the Legislature and the Governor during capital
15 planning and budgeting processes.

16 F. The State Treasurer and the Office of Management and
17 Enterprise Services shall report the results of the study to the
18 Legislature by electronically transmitting, utilizing the
19 centralized filing system provided for in Section 378 of this act, a
20 copy of such study to the Speaker of the House of Representatives,
21 the President Pro Tempore of the State Senate, and to the Governor
22 on or before January 15 of each year.

23 G. The study's recommendations and estimates shall be advisory
24 and not binding.

SECTION 141. AMENDATORY 62 O.S. 2021, Section 34.301, as last amended by Section 1, Chapter 319, O.S.L. 2025 (62 O.S. Supp. 2025, Section 34.301), is amended to read as follows:

Section 34.301. A. This act shall be known and may be cited as the "Civil Service and Human Capital Modernization Act".

B. The Human Capital Management Division and the Civil Service Division of the Office of Management and Enterprise Services shall:

1. Establish and maintain a State Employee Dispute Resolution Program, which may include mediation, to provide dispute resolution services for state agencies and state employees. Actions agreed to through the State Employee Dispute Resolution Program shall be consistent with applicable laws and rules and shall not alter, reduce, or modify any existing right or authority as provided by statute or rule;

2. Establish rules pursuant to the Administrative Procedures Act as may be necessary to perform the duties and functions of this act, including creating an Office of Veterans Placement to offer counseling, assessment, and assistance to veterans seeking state employment;

3. Receive and only act on complaints by state employees arising from disciplinary action;

4. Use administrative law judges as independent contractors or administrative law judges provided by the Office of the Attorney General to exercise the provisions of this act;

1 5. ~~Submit~~ Electronically submit, utilizing the centralized
2 filing system provided for in Section 378 of this act, quarterly
3 reports on workload statistics to the Governor, the Speaker of the
4 Oklahoma House of Representatives, and the President Pro Tempore of
5 the Oklahoma State Senate containing the following information:

6 a. the number of cases, complaints and requests for
7 hearings filed, disposed of, and pending with the
8 Divisions for each month of the quarter, and

9 b. a numerical breakdown of the methods of disposition of
10 such cases, complaints, and requests for hearing.

11 Quarterly reports shall be submitted within thirty (30) days
12 following the last day of the month of the appropriate quarter;

13 6. Create a confidential whistleblower program and serve as the
14 chief administrator of such program whereby a state employee may
15 confidentially report claims of agency or employee mismanagement as
16 well as criminal misuse of state funds or property. Mismanagement
17 includes fraudulent activity or abuse or violation of a well-
18 established, articulated, clear, and compelling public policy. The
19 Office of the Attorney General shall have the authority to
20 investigate and determine whether to prosecute such whistleblower
21 claims. The Attorney General shall also have the power to refer
22 such claims to the appropriate district attorney; and

23 7. Receive and act upon complaints from disciplinary action and
24 grievances filed by state employees employed to perform duties as

1 outlined in paragraph 6 of subsection E of Section 3311 of Title 70
2 and Section 2-105 of Title 47 of the Oklahoma Statutes and to
3 establish rules pursuant to the Administrative Procedures Act as may
4 be necessary to carry out this objective and the right to be heard.

5 C. Complaints shall be filed with the Civil Service Division
6 within ten (10) business days of the date of when such action
7 occurred and hearings shall take place within thirty (30) business
8 days from the filing of the complaint, with the exception of actions
9 filed pursuant to paragraph 7 of subsection B of this section.

10 D. Employees filing a complaint with the Civil Service Division
11 shall prove that there was no reasonable basis for the disciplinary
12 action by the state agency. The review of the merits of the
13 complaint may be limited to the employee disciplinary file directly
14 at issue. In the event documents needed are not maintained in the
15 disciplinary file, or additional witnesses are requested by the
16 parties, the administrative law judge shall have the discretion to
17 allow additional documentation or witnesses regarding the
18 disciplinary action taken. Complaints relating to punitive
19 transfers shall be administrated through mediation first and shall
20 only proceed to a hearing if mediation is unsuccessful. Employees
21 who were offered a relocation incentive as set forth in
22 administrative rule shall not be deemed as being subject to a
23 punitive transfer. Complaints relating to written reprimands shall
24 be administered through mediation exclusively, and state employees

1 employed to perform duties as outlined in paragraph 6 of subsection
2 E of Section 3311 of Title 70 and Section 2-105 of Title 47 of the
3 Oklahoma Statutes shall be permitted to proceed to a hearing if
4 mediation is unsuccessful. Mediation may also be available for
5 other disciplinary actions.

6 E. Claimants shall be permitted to secure and utilize
7 representation during the adverse action process.

8 F. The presiding officer of any proceeding before the Civil
9 Service Division may require payment of reasonable attorney fees and
10 costs to the prevailing party if the position of the nonprevailing
11 party was without reasonable basis or was frivolous.

12 G. For purposes of this section, "disciplinary actions" means
13 termination, suspension without pay, involuntary demotion, punitive
14 transfers, or written reprimand.

15 H. Nothing in this section shall apply to:

16 1. Persons employed by the Governor, Lieutenant Governor,
17 Oklahoma House of Representatives, Oklahoma State Senate,
18 Legislative Service Bureau, or the Legislative Office of Fiscal
19 Transparency;

20 2. Elected officials;

21 3. Political appointees;

22 4. District attorneys, assistant district attorneys or other
23 employees of the district attorney's office, and the District
24 Attorneys Council;

1 5. The state judiciary or persons employed by the state
2 judiciary;

3 6. Not more than five percent (5%) of an agency's employees
4 designated as executive management as determined by the agency
5 director and the agency shall designate the status of the employee
6 as state employee or executive management in the State of Oklahoma's
7 Human Resources Information System, maintained by the Human Capital
8 Management Division;

9 7. Temporary employees employed to work less than one thousand
10 (1,000) hours in any twelve-month period;

11 8. Seasonal employees employed to work less than one thousand
12 six hundred (1,600) hours in any twelve-month period;

13 9. Employees in a trial period; or

14 10. State employees whose employment status is otherwise
15 provided by law.

16 I. Except as provided by subsection H of this section,
17 effective January 1, 2022, all state employee positions shall be
18 administered by the Human Capital Management Division of the Office
19 of Management and Enterprise Services, without reference to prior
20 classified or unclassified status.

21 J. In collaboration with executive branch agencies, and their
22 human resources personnel, the Human Capital Management
23 Administrator shall establish and define statewide minimum standards
24 for human resource business processes, based on industry standards

1 and statewide best practices, to be followed by all executive branch
2 agencies. The Human Capital Management Administrator has the
3 authority to grant exceptions to the statewide minimum standards.
4 Additionally, the Human Capital Management Administrator shall
5 establish and maintain a statewide job catalog and pay structure for
6 executive branch jobs and establish policies and procedures for a
7 market-based pay system, pay-for-performance system, and dispute
8 resolution process for issues that do not rise to a disciplinary
9 action as provided by the Civil Service and Human Capital
10 Modernization Act. The Human Capital Management Administrator shall
11 promulgate rules necessary to carry out the authority set forth in
12 this section.

13 K. The Civil Service Division is authorized to employ attorneys
14 or contract with private attorneys to serve as legal counsel to the
15 Civil Service Division. The attorneys shall be authorized to appear
16 for and represent the Civil Service Division in all litigation that
17 may arise from the discharge of its duties, including the
18 representation of the Civil Service Division when its decisions are
19 appealed to higher courts. Attorneys employed by the Office of
20 Management and Enterprise Services to represent the Civil Service
21 Division shall represent the Civil Service Division notwithstanding
22 its representation of the Office of Management and Enterprise
23 Services in the same or related matters pending before the Civil
24 Service Division or before any court. The Office of Management and

1 Enterprise Services shall establish internal administrative
2 procedures to ensure that all departments within the Office of
3 Management and Enterprise Services are provided independent legal
4 representation, and such simultaneous representation shall not, of
5 itself, be deemed to constitute a conflict of interest.

6 L. The Civil Service Division shall be exempt from the
7 requirements set forth in Section 20i of Title 74 of the Oklahoma
8 Statutes when carrying out the duties and functions of this act.

9 SECTION 142. AMENDATORY 62 O.S. 2021, Section 35.9, is
10 amended to read as follows:

11 Section 35.9. In addition to any other reporting requirements
12 required by law, the Chief Information Officer shall, utilizing the
13 centralized filing system provided for in Section 378 of this act,
14 electronically submit quarterly progress reports to the Director of
15 the Office of Management and Enterprise Services, the Speaker of the
16 House of Representatives, and the President Pro Tempore of the
17 Senate. The reports shall be submitted not later than January 31,
18 April 30, July 31, and October 31 of each year and shall include,
19 but not be limited to, the following information:

20 1. The status of the implementation of the plan of action
21 required in paragraph 2 of subsection D of Section 34.11.1 of this
22 title;

23 2. A list of information technology assets and positions
24 transferred to the Information Services Division of the Office of

1 Management and Enterprise Services pursuant to the provisions of
2 subsection C of Section 35.5 of this title;

3 3. After July 1, 2012, and until the information technology
4 consolidation is completed, an annual reduction of three percent
5 (3%) in operational information technology and telecommunications
6 expenditures realized in the aggregate by all consolidated state
7 agencies;

8 4. A list of all state agencies which are not using the shared
9 services as required in Section 35.6 of this title;

10 5. A list of all exemptions or extensions granted pursuant to
11 the provisions of Section 35.7 of this title; and

12 6. Any other information as deemed appropriate by the Chief
13 Information Officer.

14 SECTION 143. AMENDATORY 62 O.S. 2021, Section 36, is
15 amended to read as follows:

16 Section 36. A. There is hereby created in the State Treasury a
17 fund for the Office of Management and Enterprise Services to be
18 designated the "Digital Transformation Program Revolving Fund". The
19 fund shall be a continuing fund, not subject to fiscal year
20 limitations, and shall consist of monies designated to the fund by
21 law. All monies accruing to the credit of the fund are hereby
22 appropriated and may be budgeted and expended by the Office of
23 Management and Enterprise Services for the purpose of implementing
24 digital transformation initiatives, and upon request of the Oklahoma

1 Department of Commerce, to pay for administrative support expenses
2 for the Rural Broadband Expansion Council as provided by Section 3
3 of this act. Expenditures from the fund shall be made upon warrants
4 issued by the State Treasurer against claims filed as prescribed by
5 law with the Director of the Office of Management and Enterprise
6 Services for approval and payment.

7 B. Monthly the Director of the Office of Management and
8 Enterprise Services shall, utilizing the centralized filing system
9 provided for in Section 378 of this act, electronically submit
10 reports to the Speaker of the Oklahoma House of Representatives, the
11 President Pro Tempore of the Oklahoma State Senate, the Chair of the
12 Appropriations and Budget Committee of the Oklahoma House of
13 Representatives, and the Chair of the Appropriations Committee of
14 the Oklahoma State Senate detailing:

15 1. Expenditures from the Digital Transformation Program
16 Revolving Fund; and

17 2. Projects under consideration for future expenditures from
18 the fund.

19 SECTION 144. AMENDATORY 62 O.S. 2021, Section 45.3, is
20 amended to read as follows:

21 Section 45.3. A. Each state agency shall make a strategic plan
22 for its operations. The first strategic plans will be due October
23 1, 2001, and in each subsequent even-numbered year. Each state
24

1 agency plan shall cover five (5) fiscal years beginning with the
2 next odd-numbered fiscal year.

3 B. The Office of Management and Enterprise Services shall
4 determine the elements required to be included in each agency's
5 strategic plan. Unless modified by the Office of Management and
6 Enterprise Services, and except as provided by subsection C of this
7 section, a plan ~~must~~ shall include, but is not limited to, the
8 following items:

9 1. A statement of the mission and goals of the state agency;

10 2. A description of the indicators developed under this act and
11 used to measure the output and outcome of the agency and its
12 programs;

13 3. Identification of the groups of people served by the agency,
14 including those having service priorities, or other service measures
15 established by law, and estimates of changes in those groups
16 expected during the term of the plan;

17 4. An analysis of the use of the agency's resources to meet the
18 agency's mission, including future needs, and an estimate of
19 additional resources that may be necessary to achieve said mission;

20 5. An analysis of expected changes in the services provided by
21 the agency because of changes in state or federal law;

22 6. A description of the means and strategies, including cost-
23 containment strategies and efficiency proposals, for meeting the
24 agency's needs, including future needs, and achieving the goals for

1 each area of state government for which the agency provides
2 services;

3 7. A summary of the capital improvement needs of the agency
4 which were provided to the Long-Range Capital Planning Commission as
5 required by Section 901 of this title; and

6 8. Other information that may be required.

7 C. A state agency's plan that does not include an item
8 described by subsection B of this section ~~must~~ shall include the
9 reason the item does not apply to the agency.

10 D. Each state agency's plan shall be submitted at the same time
11 as the estimate of funds needed developed pursuant to Section 34.36
12 of this title.

13 E. A state agency shall ~~send one~~, utilizing the centralized
14 filing system provided for in Section 378 of this act,
15 electronically submit a copy of the plan ~~each~~ to:

16 1. The Governor;

17 2. The President Pro Tempore of the State Senate;

18 3. The Speaker of the House of Representatives;

19 4. The Legislative Oversight Committee on State Budget
20 Performance;

21 5. The Chair and Vice Chair of the Joint Committee on
22 Accountability in Government;

23 6. The Director of the Office of Management and Enterprise
24 Services; and

1 7. The State Auditor and Inspector.

2 F. In this section, "capital improvement" means any building or
3 infrastructure project that will be owned by the state and built
4 with direct appropriations or with the proceeds of state-issued
5 bonds or paid from revenue sources other than general revenue at a
6 cost of at least Twenty-five Thousand Dollars (\$25,000.00) and has a
7 useful life of at least five (5) years.

8 SECTION 145. AMENDATORY 62 O.S. 2021, Section 45.11, is
9 amended to read as follows:

10 Section 45.11. A. No later than October 1 of each year, each
11 state agency shall, utilizing the centralized filing system provided
12 for in Section 378 of this act, electronically submit a program
13 management and performance report to the Chair and Vice Chair of the
14 House Appropriations and Budget Committee, the Chair and Vice Chair
15 of the Senate Appropriations Committee, the Chair and Vice Chair of
16 the Senate Finance Committee, and the Director of the Office of
17 Management and Enterprise Services. The report shall contain, at a
18 minimum, detailed data for each agency program relating to each of
19 the evaluation factors set out in Section 45.9 of Title 62 of the
20 Oklahoma Statutes. It shall also list:

21 1. Specific cost avoidance and cost containment measures
22 implemented during the previous fiscal year;

23 2. The agency's methodology for:

24 a. determining its fee structure,

1 b. calculating fees, and

2 c. measuring customer satisfaction;

3 3. Programs or operations not required for the agency's core
4 function; and

5 4. Details showing the actual cost of any programs or
6 operations listed under paragraph 3 of this subsection.

7 B. For purposes of this section:

8 1. "State agency" means a governmental agency as defined in
9 Section 34.29 of Title 62 of the Oklahoma Statutes that receives an
10 appropriation and is authorized to adopt a fee; and

11 2. "Program" means a service, contract, operation or procedure
12 of an agency.

13 SECTION 146. AMENDATORY 62 O.S. 2021, Section 48.2, as
14 amended by Section 1, Chapter 313, O.S.L. 2019, is amended to read
15 as follows:

16 Section 48.2. A. There is hereby created in the State Treasury
17 a revolving fund for the Oklahoma Department of Commerce to be
18 designated the Oklahoma Quick Action Closing Fund. The fund shall
19 be a continuing fund, not subject to fiscal year limitations and
20 shall consist of:

21 1. All monies apportioned or allocated to the fund pursuant to
22 law;

23 2. Any amounts appropriated by the Legislature to the fund;

24 3. Interest earned on the investment of money in the fund;

1 4. Gifts, grants, and other donations received for the fund;

2 and

3 5. Five percent (5%) of all funds paid by the Tax Commission to
4 establishments that execute contracts for payment of incentives
5 pursuant to the Oklahoma Quality Jobs Program Act and the 21st
6 Century Quality Jobs Incentive Act if the contract is executed on or
7 after the August 2, 2018.

8 B. All monies accruing to the credit of the fund are hereby
9 appropriated and may be budgeted and expended by the Governor for
10 the purposes of economic development and related infrastructure
11 development in instances in which expenditure of such funds would
12 likely be a determining factor in locating a high-impact business
13 project or facility in Oklahoma, in retaining such project or
14 facility within the state or for payment of rebates to a high impact
15 production pursuant to the Oklahoma Film Enhancement Rebate Program.
16 Expenditures from the fund shall be made upon warrants issued by the
17 State Treasurer against claims filed as prescribed by law with the
18 Director of the Office of Management and Enterprise Services for
19 approval and payment.

20 C. In order to qualify for any funds from the Oklahoma Quick
21 Action Closing Fund, the establishment making application shall be
22 engaged in a business activity described by a North American
23 Industry Classification System (NAICS) Code used to define
24 eligibility for incentive payments from the Oklahoma Quality Jobs

1 Program Act as defined in Section 3603 of Title 68 of the Oklahoma
2 Statutes or a business activity described by Section 3603 of Title
3 68 of the Oklahoma Statutes or be engaged in a "basic industry" used
4 to define eligibility for incentive payments from the 21st Century
5 Quality Jobs Incentive Act as prescribed by Section 3913 of Title 68
6 of the Oklahoma Statutes or a high impact production company which
7 has been approved for a rebate pursuant to the provisions of Section
8 3624 of Title 68 of the Oklahoma Statutes.

9 D. Except in the case of a high impact production company
10 which has been approved for a rebate pursuant to the provisions of
11 Section 3624 of Title 68 of the Oklahoma Statutes, the Governor
12 shall not approve payments from the Oklahoma Quick Action Closing
13 Fund unless the Department of Commerce has conducted a complete
14 analysis of the potential impact of the applicant's business
15 activity which shall include, but not be limited to:

16 1. The number of jobs to be created by a new business
17 establishment;

18 2. The number of jobs to be retained by an existing business
19 establishment;

20 3. The average salary of jobs to be created by a new
21 establishment;

22 4. The average salary of jobs to be retained by an existing
23 business establishment;

24

1 5. The total capital investment to be made by the business
2 establishment;

3 6. The likelihood of other business establishments locating
4 within the same vicinity or within the state as a result of the
5 business activity to be conducted by the entity to receive payments
6 from the Oklahoma Quick Action Closing Fund;

7 7. The impact on the economy of the area or community in which
8 the business activity of the applicant is or will be conducted; and

9 8. Such other factors as the Governor and the Department of
10 Commerce determine to be relevant.

11 E. The Oklahoma Department of Commerce shall administer the
12 Oklahoma Quick Action Closing Fund, and expenditures from the fund
13 shall be recommended by the Director of the Oklahoma Department of
14 Commerce to the Governor after a thorough evaluation of selected
15 projects or facilities or after a rebate is approved for payment to
16 a high impact production company pursuant to the provisions of
17 Section 3624 of Title 68 of the Oklahoma Statutes. Except for
18 rebates approved pursuant to the provisions of Section 3624 of Title
19 68 of the Oklahoma Statutes, the Director of the Oklahoma Department
20 of Commerce shall only recommend expenditures that the Director
21 determines are expected to result in a net economic benefit to the
22 state through the following:

23 1. The creation of new jobs which offer a basic health benefit
24 plan, as defined in the Oklahoma Quality Jobs Program Act;

1 2. The maintenance of existing jobs which are at a risk for
2 termination;

3 3. Investment in new real property, plant or equipment or in
4 the improvement or retooling of existing plant or equipment; or

5 4. Additional revenues in either ad valorem, income or sales
6 and use taxes.

7 F. The Oklahoma Department of Commerce shall develop rules for
8 the process of reviewing proposed expenditures from the Oklahoma
9 Quick Action Closing Fund and for the determination of whether or
10 not proposed expenditures meet the criteria identified in subsection
11 E of this section. Criteria shall include, but not be limited to,
12 requirements for economic impact, local participation in the
13 project, capital investment, and average wage thresholds.

14 G. Upon receipt of an evaluation that recommends an expenditure
15 from the Oklahoma Quick Action Closing Fund from the Director of the
16 Oklahoma Department of Commerce, the Governor shall, utilizing the
17 centralized filing system provided for in Section 378 of this act,
18 electronically provide the evaluation and recommendation to the
19 President Pro Tempore of the State Senate and the Speaker of the
20 Oklahoma House of Representatives before giving final approval for
21 the expenditure on the project. The Executive Office of the
22 Governor shall recommend final approval of an expenditure on a
23 project pursuant to consultation with the President Pro Tempore of
24

1 the State Senate and the Speaker of the Oklahoma House of
2 Representatives.

3 H. Upon approval by the Governor, the Oklahoma Department of
4 Commerce shall enter into an agreement that sets forth the
5 conditions for payment of monies from the Oklahoma Quick Action
6 Closing Fund. The agreement ~~must~~ shall include:

7 1. The total amount of funds awarded;

8 2. Except in the case of a rebate approved for payment to a
9 high impact production company pursuant to the provisions of Section
10 3624 of Title 68 of the Oklahoma Statutes, the performance
11 conditions that ~~must~~ shall be met to obtain the award including, but
12 not limited to, net new employment in the state, average salary, and
13 total capital investment;

14 3. If appropriate, a baseline of current service and measure of
15 enhanced capability;

16 4. The methodology of validating performance;

17 5. The schedule of payments from the fund, and claw-back
18 provisions for failure to meet performance conditions; and

19 6. A requirement that no monies paid from the Oklahoma Quick
20 Action Closing Fund shall be used by a recipient or any other person
21 or entity for purposes of any political contribution to or on behalf
22 of any candidate or for the support of or opposition to any measure
23 including but not limited to an initiative petition or referendum.

24

1 I. The Department of Commerce shall make available on its
2 website or other website dedicated for this purpose a complete
3 disclosure of all payments made from the Oklahoma Quick Action
4 Closing Fund. The disclosure shall include a description of the
5 expenditures made by the business establishment with the payments
6 made from the fund. No proprietary information of the business
7 establishment shall be subject to the requirements of this
8 subsection.

9 J. If any or all of the amount to be awarded is used to build a
10 capital improvement, except in the case of an amount approved for
11 payment to a high impact production company pursuant to the
12 provisions of Section 3624 of Title 68 of the Oklahoma Statutes:

13 1. The funds used for the capital improvement shall be deemed
14 to be held in trust for the benefit of the state and shall be
15 considered as a priority claim for purposes of federal bankruptcy
16 law; and

17 2. If the capital improvement is sold, the recipient of the
18 award shall:

19 a. repay the state the money awarded to pay for the
20 capital improvement, with interest at the rate and
21 according to the other terms provided by the
22 agreement, and

23 b. share with the state a proportionate amount of any
24 profit realized from the sale.

1 K. If, as of the date certain provided in the agreement, the
2 award recipient has not used monies awarded for the intended
3 purposes, the recipient shall repay that amount and any related
4 interest to the state at the agreed rate and on the agreed terms and
5 any such amounts shall be deemed to be held in trust for the benefit
6 of the state and shall be considered as a priority claim for
7 purposes of federal bankruptcy law.

8 SECTION 147. AMENDATORY 62 O.S. 2021, Section 49, is
9 amended to read as follows:

10 Section 49. On or before November 1 of each year, the Office of
11 Management and Enterprise Services shall develop and publish a
12 multi-year trend analysis of the state's budget outlook which
13 includes the current fiscal year, the ensuing fiscal year and the
14 following two (2) fiscal years. The trend analysis shall include
15 projections of revenues and expenditures reflecting the best
16 available information concerning economic activity, population
17 change, policy developments, and other factors affecting the state
18 budget. The analysis shall be electronically provided to the
19 President Pro Tempore of the Senate, members of the Senate
20 Appropriations and Finance Committees, the Speaker of the House of
21 Representatives and members of the House Appropriations and Budget
22 Committee utilizing the centralized filing system provided for in
23 Section 378 of this act.
24

1 SECTION 148. AMENDATORY 62 O.S. 2021, Section 71.1, as
2 amended by Section 4, Chapter 308, O.S.L. 2025 (62 O.S. Supp. 2025,
3 Section 71.1), is amended to read as follows:

4 Section 71.1. A. There is hereby created the Invest in
5 Oklahoma Board. The Board shall consist of five (5) members as
6 follows:

- 7 1. The Governor, or designee;
- 8 2. The Lieutenant Governor, or designee;
- 9 3. The State Treasurer, or designee;
- 10 4. An appointee of the Speaker of the House of Representatives
11 who shall serve at the Speaker's pleasure; and
- 12 5. An appointee of the President Pro Tempore of the Oklahoma
13 State Senate who shall serve at the President Pro Tempore's
14 pleasure.

15 B. The appointed and designated members shall have no direct or
16 indirect business relationship with the State Treasurer or the State
17 Treasurer's Office.

18 C. The Governor or Governor's designee shall serve as
19 chairperson.

20 D. The Board shall hold regular meetings not less than one per
21 quarter, and at such other times as it deems necessary for the
22 performance of its duties. The date, time, and place of the
23 meetings shall be set by the chairperson. The State Treasurer shall
24 provide the administrative support required by the Board. The Board

1 shall be staffed by efforts under the control of the State Treasurer
2 who shall prepare all materials and information needed by the Board
3 to perform its duties and responsibilities. Meetings of the Board
4 shall be subject to the Oklahoma Open Meeting Act, and their records
5 shall be public records pursuant to the Oklahoma Open Records Act.

6 E. The Board shall develop a standardized and uniform reporting
7 system which the State Treasurer shall use to make the reports
8 required by Section 89.7 of this title. The Board shall prescribe
9 such forms in order to obtain an objective and accurate analysis of
10 the investment of state funds by the State Treasurer and to obtain
11 an accurate analysis of investment performance according to an
12 objective standard established by the Board. The Board shall not be
13 subject to the provisions of the Administrative Procedures Act for
14 purposes of developing the reporting system required by this
15 subsection. The Board shall review the reports prepared by the
16 State Treasurer pursuant to Section 89.7 of this title. The Board
17 shall review with the State Treasurer investment strategies and
18 practices and the development of internal auditing procedures and
19 practices. The Board shall review the reports submitted by the
20 State Treasurer and shall identify any event, transaction, or trend
21 which the Board determines to represent a violation or potential
22 violation of law or public policy regarding the investment of state
23 funds. The Board shall specifically identify its concerns or
24

1 objections and shall communicate such concerns or objections in
2 writing to the State Treasurer.

3 F. The State Treasurer shall maintain a report available to
4 each member of the Board which specifically identifies entities with
5 whom or with which the State Treasurer has transacted business
6 related to investment of any state funds. Any person or entity to
7 whom or to which any form of compensation has been or will be paid
8 for services rendered to the State Treasurer's Office related to the
9 investment of state funds shall be identified in such report. Such
10 report shall also be available electronically to the Director of the
11 Office of Management and Enterprise Services, the State Auditor and
12 Inspector, the Speaker of the House of Representatives, the
13 President Pro Tempore of the Senate and the Governor utilizing the
14 centralized filing system provided for in Section 378 of this act.

15 G. Members of the Board shall serve without compensation,
16 except for travel, pursuant to the State Travel Reimbursement Act,
17 to be paid by the appointing authority.

18 H. The Board shall establish and adopt investment parameters
19 related to investments in Oklahoma-based private equity funds,
20 venture capital funds, growth funds, and direct investments in
21 Oklahoma companies authorized under the Invest in Oklahoma program;
22 provided that by a unanimous vote of the Board such parameters may
23 be exceeded with regard to investments to the extent allowable under
24 the Oklahoma Constitution.

1 I. The Board shall exercise confirmation and approval authority
2 over the appointment and contractual relationships of qualified
3 investment advisors and fiduciary managers engaged by the State
4 Treasurer to assist in the selection of the investments authorized
5 under the Invest in Oklahoma program.

6 SECTION 149. AMENDATORY 62 O.S. 2021, Section 88.4, is
7 amended to read as follows:

8 Section 88.4. A. The State Treasurer is hereby authorized to
9 administer the Oklahoma Small Business Linked Deposit Program. The
10 State Treasurer is further authorized to issue guidelines in a
11 manner similar to the Administrative Procedures Act, Section 250 et
12 seq. of Title 75 of the Oklahoma Statutes.

13 B. The State Treasurer shall take any and all steps necessary
14 to implement the Oklahoma Small Business Linked Deposit Program and
15 monitor compliance of eligible lending institutions and eligible
16 participants, including the development of guidelines as necessary.

17 C. The State Treasurer shall, utilizing the centralized filing
18 system provided for in Section 378 of this act, electronically
19 submit an annual report outlining the status of the Oklahoma Small
20 Business Linked Deposit Program to the Governor, the Lieutenant
21 Governor, the President Pro Tempore of the Senate, and the Speaker
22 of the House of Representatives.

1 SECTION 150. AMENDATORY 62 O.S. 2021, Section 89.2, as
2 amended by Section 5, Chapter 308, O.S.L. 2025 (62 O.S. Supp. 2025,
3 Section 89.2), is amended to read as follows:

4 Section 89.2. A. The State Treasurer is directed to invest the
5 maximum amount of funds under control of the State Treasurer
6 consistent with good business practices. Except as otherwise
7 provided for by law, the investments shall earn not less than the
8 rate for comparable maturities on United States Treasury
9 obligations. Except as otherwise provided for by law, the State
10 Treasurer may purchase and invest only in:

11 1. Obligations of the United States Government, its agencies
12 and instrumentalities, or other obligations fully insured or
13 unconditionally guaranteed as to the payment of principal and
14 interest by the United States government or any of its agencies and
15 instrumentalities;

16 2. Collateralized or insured certificates of deposit and other
17 evidences of deposit at banks, savings banks, savings and loan
18 associations, and credit unions located in this state;

19 3. Negotiable certificates of deposit issued by a nationally or
20 state-chartered bank, a savings bank, a savings and loan
21 association, or a state-licensed branch of a foreign bank.

22 Purchases of negotiable certificates of deposit shall not exceed ten
23 percent (10%) of the cash available for investment which may be
24 invested pursuant to this section. Not more than one-half (1/2) of

1 the ten percent (10%) limit shall be invested in any one financial
2 institution specified in this paragraph;

3 4. Prime banker's acceptances which are eligible for purchase
4 by the Federal Reserve System and which do not exceed two hundred
5 seventy (270) days' maturity. Purchases of prime banker's
6 acceptances shall not exceed ten percent (10%) of the cash available
7 for investment which may be invested pursuant to this section. Not
8 more than three-fourths (3/4) of the ten percent (10%) limit shall
9 be invested in any one commercial bank pursuant to this paragraph;

10 5. Prime commercial paper which shall not have a maturity that
11 exceeds one hundred eighty (180) days nor represent more than ten
12 percent (10%) of the outstanding paper of an issuing corporation.
13 Purchases of prime commercial paper shall not exceed seven and one-
14 half percent (7 1/2%) of the cash available for investment which may
15 be invested pursuant to this section;

16 6. Investment grade obligations of state and local governments,
17 including obligations of Oklahoma state public trusts which possess
18 the highest rating from at least one nationally recognized rating
19 agency acceptable to the State Treasurer. Purchases of investment
20 grade obligations of state and local governments shall not exceed
21 ten percent (10%) of the cash available for investment which may be
22 invested pursuant to this section;

23 7. Repurchase agreements, provided that such agreements are
24 included within the written investment policy required by subsection

1 D of this section that have underlying collateral consisting of
2 those items and those restrictions specified in paragraphs 1 through
3 6 of this subsection;

4 8. Money market funds and short term bond funds regulated by
5 the Securities and Exchange Commission and which investments consist
6 of those items and those restrictions specified in paragraphs 1
7 through 7 of this subsection; and

8 9. Bonds, notes, debentures, or other similar obligations of a
9 foreign government which the International Monetary Fund lists as an
10 industrialized country and for which the full faith and credit of
11 such nation has been pledged for the payment of principal and
12 interest; provided, that any such security shall be rated at least
13 A- or better by Standard & Poor's Corporation or A3 or better by
14 Moody's Investors Service, or an equivalent investment grade by a
15 securities ratings organization accepted by the National Association
16 of Insurance Commissioners; and provided further, that the total
17 investment in such foreign securities at any one time shall not
18 exceed five percent (5%) of the cash available for investment which
19 may be invested pursuant to this section. In no circumstance shall
20 investments be made in bonds, notes, debentures or any similar
21 obligations of a foreign government that:

22 a. is identified as a state sponsor of terrorism by the
23 United States Department of State, or
24

1 b. any authoritarian or totalitarian government the
2 sovereign powers of which are exercised through a
3 single person or group of persons who are not elected
4 by any form of legitimate popular voting.

5 B. Investments shall be made with judgment and care, under
6 circumstances then prevailing, which persons of prudence,
7 discretion, and intelligence exercise in the management of their own
8 affairs, not for speculation, but for investment, considering the
9 probable safety of their capital as well as the probable income to
10 be derived.

11 C. The State Treasurer shall appoint an investment officer who
12 shall perform duties related to the investment of state funds in the
13 Office of the State Treasurer. The investment officer shall not
14 perform or supervise any accounting functions, data processing
15 functions or duties related to the documentation or settlement of
16 investment transactions.

17 D. Investments of public funds by the State Treasurer shall be
18 made in accordance with written policies developed by the State
19 Treasurer. The written investment policies shall address:

- 20 1. Liquidity;
- 21 2. Diversification;
- 22 3. Safety of principal;
- 23 4. Yield;
- 24 5. Maturity and quality; and

1 6. Capability of investment management.

2 The State Treasurer shall place primary emphasis on safety and
3 liquidity in the investment of public funds. To the extent
4 practicable taking into account the need to use sound investment
5 judgment, the written investment policies shall include provision
6 for utilization of a system of competitive bidding in the investment
7 of state funds. The written investment policies shall be designed
8 to maximize yield within each class of investment instrument,
9 consistent with the safety of the funds invested.

10 E. Except as provided in subsection H of this section, the
11 State Treasurer shall select one custodial bank to settle
12 transactions involving the investment of state funds under the
13 control of the State Treasurer. The State Treasurer shall review
14 the performance of the custodial bank at least once every year. The
15 State Treasurer shall require a written competitive bid every five
16 (5) years. The custodial bank shall have a minimum of Five Hundred
17 Million Dollars (\$500,000,000.00) in assets to be eligible for
18 selection. Any out-of-state custodial bank shall have a service
19 agent in the State of Oklahoma so that service of summons or legal
20 notice may be had on such designated agent as is now or may
21 hereafter be provided by law. In order to be eligible for
22 selection, the custodial bank shall allow electronic access to all
23 transaction and portfolio reports maintained by the custodial bank
24 involving the investment of state funds under control of the State

1 Treasurer. The access shall be given to the State Treasurer. The
2 requirement for electronic access shall be incorporated into any
3 contract between the State Treasurer and the custodial bank.
4 Neither the State Treasurer nor the custodial bank shall permit any
5 of the funds under the control of the State Treasurer or any of the
6 documents, instruments, securities, or other evidence of a right to
7 be paid money to be located in any place other than within a
8 jurisdiction or territory under the control or regulatory power of
9 the United States Government.

10 F. The investment policy shall specify the general philosophy,
11 policies, and procedures to be followed in the investment of state
12 monies by the State Treasurer. The investment policy shall include,
13 but not be limited to, the following:

- 14 1. Policy objectives;
- 15 2. Performance measure objectives;
- 16 3. Authority for investment program;
- 17 4. Possible use of an investment advisory committee;
- 18 5. Reporting and documentation of investments;
- 19 6. Authorized investment instruments;
- 20 7. Diversification of investment risk;
- 21 8. Maturity limitations;
- 22 9. Selections of financial institutions;
- 23 10. Interest controls;
- 24 11. Safekeeping of investments;

1 12. Investment ethics; and

2 13. Formal adoption of policy.

3 G. The State Treasurer may invest cash balance amounts as
4 defined and limited by Section 2402 of this title in the Invest in
5 Oklahoma program.

6 H. The State Treasurer is hereby authorized to establish
7 internal custodial accounts within the State Treasury, and enter
8 contractual relationships for custodial account services with
9 private institutions as needed, for the implementation and
10 administration of the Invest in Oklahoma program.

11 I. Not later than July 1 of each year, the State Treasurer
12 shall, utilizing the centralized filing system provided for in
13 Section 378 of this act, electronically forward a copy of the
14 written investment policy to the Governor, the Speaker of the House
15 of Representatives, the President Pro Tempore of the Senate, the
16 Attorney General, the Bank Commissioner, and the Director of the
17 Office of Management and Enterprise Services. In addition, the
18 State Treasurer shall maintain one copy of the investment policy in
19 the office of the State Treasurer for public inspection during
20 regular business hours. Copies of any modifications to the
21 investment policy shall be forwarded electronically to the Governor,
22 Speaker of the House of Representatives, President Pro Tempore of
23 the Senate, and each member of the Cash Management and Investment
24

1 Oversight Commission utilizing the centralized filing system
2 provided for in Section 378 of this act.

3 SECTION 151. AMENDATORY 62 O.S. 2021, Section 89.7, is
4 amended to read as follows:

5 Section 89.7. A. The State Treasurer shall prepare monthly and
6 annual investment performance reports of the State Treasurer's
7 Office in the form and manner required by the Cash Management and
8 Investment Oversight Commission after consultation with the State
9 Treasurer which summarize recent market conditions, economic
10 developments, and anticipated investment conditions and the
11 investment plan performance, including portfolio diversification and
12 rates of return measured against the investment plan of the State
13 Treasury. The annual investment performance report shall be
14 submitted to the Commission and shall be made within ninety (90)
15 calendar days after the end of the fiscal year. The monthly
16 investment performance reports shall be submitted to the Executive
17 Review Committee and shall be made within thirty (30) days after the
18 end of the applicable month. The investment performance reports
19 shall specify the investment strategies employed in the most recent
20 reporting period and describe the investment portfolio of the state
21 in terms of:

- 22 1. Securities;
- 23 2. Maturities;
- 24 3. Fund type;

1 4. Financial institutions from which securities were purchased,
2 including the amounts and the city and state of location;

3 5. Investment return compared to budgetary expectations;

4 6. Average yield; and

5 7. Average life of the portfolio.

6 The investment performance reports shall also indicate any areas of
7 concern which the State Treasurer has concerning the basic
8 investment strategies being employed. The investment performance
9 reports shall contain:

10 a. combined and individual rates of return and a list of
11 all losses by category of investment, over periods of
12 time~~+~~

13 b. the rate of return on deposits and all fees and
14 expenses charged as to all depository financial
15 institutions of the State Treasury and a specific
16 review of the adequacy of the collateralization~~+~~

17 c. any other information that the State Treasurer may
18 include~~+~~ and

19 d. such other information that the Cash Management and
20 Investment Oversight Commission created by Section
21 71.1 of this title may request and that the State
22 Treasurer agrees to include in the investment
23 performance reports.

1 B. To the extent that the State Treasurer should have reason to
2 know, the State Treasurer shall also include in the investment
3 performance reports a listing of all payments, fees, commissions, or
4 other compensation received by any person, including but not limited
5 to individuals, financial institutions, or investment companies or
6 corporations, which have an investment agreement, contract, or other
7 arrangement with the State Treasurer, or who receive any
8 compensation as a result of a transaction involving the investment
9 of state monies or funds or the purchase, sale, or trade of
10 securities or bonds involving the Office of the State Treasurer.
11 Said listings shall also include the social security or federal
12 identification number of any person, including but not limited to
13 individuals, financial institutions, or investment companies or
14 corporations, receiving payments, fees, commissions, or other
15 compensation.

16 C. The annual investment performance report shall be written in
17 simple and easily understood language containing:

18 ~~a.~~—~~an~~

19 1. An analysis of the written investment plans developed by the
20 Treasurer as required by law;

21 ~~b.~~—~~a~~

22 2. A quantitative analysis of the performance of all depository
23 financial institutions approved by the State Treasurer, with regard
24 to monies deposited;

1 e. ~~the~~

2 3. The result of the analyses prepared pursuant to
3 ~~subparagraphs a and b~~ paragraphs 1 and 2 of this paragraph
4 subsection compared with similar data for other states;

5 d. ~~recommendations~~

6 4. Recommendations on administrative and legislative changes
7 which are necessary to improve the performance of the State Treasury
8 in accordance with current standards for large public fund portfolio
9 management; and

10 e. ~~a~~

11 5. A listing by object code of the expenses of the State
12 Treasury as audited by the independent auditor provided by Section
13 89.10 of this title.

14 D. The State Treasurer shall, utilizing the centralized filing
15 system provided for in Section 378 of this act, electronically
16 distribute the investment performance reports to the Governor, the
17 President Pro Tempore of the Senate, the Speaker of the House of
18 Representatives, the State Auditor and Inspector, the Attorney
19 General, and members of the Cash Management and Investment Oversight
20 Commission. Upon request, the State Treasurer shall make the annual
21 investment performance report available to the members of the
22 Legislature and the general public. The annual investment
23 performance report shall also include an investment plan for the
24 ensuing fiscal year.

1 E. The State Treasurer shall require all employees in the State
2 Treasury to sign an anti-collusion affidavit. Execution of a false
3 affidavit shall make such employees subject to disciplinary action,
4 including but not limited to termination, criminal prosecution or
5 both.

6 F. The State Treasurer shall require an anti-collusion
7 affidavit from brokers or other persons offering investment services
8 to the State Treasury. The State Treasurer shall be prohibited from
9 employing or doing business with any brokers or persons offering
10 investment services to the State Treasury who have not executed such
11 an affidavit.

12 G. The Cash Management and Investment Oversight Commission
13 shall certify that the State Treasurer has delivered to the
14 Commission the monthly and annual investment performance reports and
15 the annual financial report required by this section. If the
16 Commission determines that these reports have not been delivered by
17 the State Treasurer as required by law, the Commission shall notify
18 in writing the Governor, the Speaker of the House of
19 Representatives, the President Pro Tempore of the Senate, the
20 Attorney General, and the State Auditor and Inspector.

21 SECTION 152. AMENDATORY 62 O.S. 2021, Section 91.5, is
22 amended to read as follows:

23 Section 91.5. A. The State Treasurer is hereby authorized to
24 administer the Oklahoma Rural and Affordable Housing Linked Deposit

1 Program. The State Treasurer and the certifying agency shall be
2 exempt from Articles I and II of the Administrative Procedures Act
3 when taking actions pursuant to this act. The State Treasurer and
4 the certifying agency are authorized to issue guidelines in a manner
5 similar to the Administrative Procedures Act, Section 250.1 et seq.
6 of Title 75 of the Oklahoma Statutes.

7 B. The certifying agency will develop guidelines which, after
8 review and approval by the State Treasurer, will address maximum
9 possible participation amounts per each unit of single-family or
10 multifamily housing for land acquisition, site development, and
11 construction, as well as eligibility requirements as to sale or
12 rental price limitations and type of housing.

13 C. The State Treasurer shall, utilizing the centralized filing
14 system provided for in Section 378 of this act, electronically
15 submit an annual report outlining the status of the Oklahoma Rural
16 and Affordable Housing Linked Deposit Program to the Governor, the
17 Lieutenant Governor, the President Pro Tempore of the Senate, and
18 the Speaker of the House of Representatives.

19 SECTION 153. AMENDATORY 62 O.S. 2021, Section 166d, is
20 amended to read as follows:

21 Section 166d. All royalty monies received upon behalf of this
22 state, any and all bonus monies received upon behalf of this state,
23 and any and all delay rentals received upon behalf of this state, in
24 connection with or pursuant to the provisions of any oil and gas

1 lease covering any of the lands occupied by, or assigned to the use
2 of, the Southern Oklahoma Resource Center of Pauls Valley, entered
3 into by the Office of Management and Enterprise Services, shall be
4 deposited in the revolving fund of the Southern Oklahoma Resource
5 Center of Pauls Valley and shall be expended by said institution in
6 the same manner that other treasury funds of said institution are
7 expended as long as the Southern Oklahoma Resource Center of Pauls
8 Valley remains in operation and for three (3) months thereafter.
9 Upon expiration of the three (3) months after closure, the revenue
10 shall be placed in a special agency clearing account to be used for
11 establishing and maintaining community households for people with
12 intellectual disabilities served by Developmental Disabilities
13 Services at the Department of Human Services. The Department of
14 Human Services shall promulgate rules for the administration of the
15 fund and specific items allowed. The Department of Human Services
16 shall, utilizing the centralized filing system provided for in
17 Section 378 of this act, electronically submit an itemized report of
18 all income and expenditures to the account to the Governor,
19 President Pro Tempore of the Senate, and Speaker of the House of
20 Representatives annually.

21 SECTION 154. AMENDATORY Section 1, Chapter 14, 2nd
22 Extraordinary Session, O.S.L. 2022 (62 O.S. Supp. 2025, Section
23 255.1), is amended to read as follows:
24

1 Section 255.1. A. Pursuant to the American Rescue Plan Act of
2 2021 (ARPA), Public Law 117-2, the State of Oklahoma is the
3 recipient of the federal ARPA funds drawn down by the Office of
4 Management and Enterprise Services (OMES). The Oklahoma Legislature
5 shall not be considered a subrecipient of the ARPA funds. The
6 Office of Management and Enterprise Services shall be the
7 responsible entity for any claw back penalties, legal, or other
8 recoupment costs for the state.

9 B. 1. The Legislature authorizes the Office of Management and
10 Enterprise Services to manage federal APRA funds by requiring all
11 receiving entities known as subrecipients to sign a grant agreement.
12 Any entity, without exception, including state agencies receiving an
13 appropriation from the Statewide Recovery Fund or a similar fund
14 with federal requirement attached to its use shall have a fully
15 executed grant agreement in place within sixty (60) days after
16 enactment of any legislation that appropriates funding from the
17 Statewide Recovery Fund of the State Treasury created in Section 1,
18 Chapter 319, O.S.L. 2022, and be in compliance with such agreement
19 before a disbursement can be made. The mutually agreed upon grant
20 agreement, as reviewed and approved by the subrecipient's legal
21 counsel or advisor, shall be between the Office of Management and
22 Enterprise Services and the subrecipient. The grant agreement shall
23 be standard for all receiving entities and shall be executed by an
24 executive officer of the Office of Management and Enterprise

1 Services and the subrecipient. The grant agreement shall outline
2 the disbursement schedule, the subrecipient's efforts for compliance
3 with the federal requirements for the use of the funds, including
4 auditing, reporting, further disbursement, and cash management
5 procedures as well as compliance with the Oklahoma laws governing
6 the administration of the subrecipient. The requirements of this
7 subsection shall also apply when a receiving entity has been
8 designated as both a pass-through entity and a subrecipient.

9 2. The Office of Management and Enterprise Services shall,
10 utilizing the centralized filing system provided for in Section 378
11 of this act, electronically publish a weekly report, to the Chairs
12 of the Joint Committee on Pandemic Relief Funding and make available
13 to the public on the state's website, of the status of all grant
14 agreements, until such agreements are fully executed.

15 C. The Office of Management and Enterprise Services shall,
16 utilizing the centralized filing system provided for in Section 378
17 of this act, electronically provide to Chairs of the Joint Committee
18 on Pandemic Relief Funding and make available to the public on the
19 state's website, a quarterly report of all expenditures of ARPA
20 funds. The quarterly report shall include, but not be limited to,
21 any impediments to distribution and corrective action necessary.

22 SECTION 155. AMENDATORY 62 O.S. 2021, Section 690.19, is
23 amended to read as follows:
24

1 Section 690.19. The Oklahoma Department of Commerce shall,
2 utilizing the centralized filing system provided for in Section 378
3 of this act, electronically produce an annual report by October 15
4 of each year for the Governor, the Speaker of the House of
5 Representatives, and the President Pro Tempore of the Senate
6 regarding the performance of the zones. Information in the report
7 shall include but not be limited to the amount of tax credits
8 granted, jobs added, if known, and the impact on unemployment rates
9 within the zones. The information concerning the tax credits shall
10 be provided to the Department of Commerce by the Oklahoma Tax
11 Commission. The report shall include those zones in existence prior
12 to the passage of this act.

13 The county commissioners, municipal governing body, or
14 enterprise district management authority of any enterprise zone, or
15 enterprise district shall submit to the Department of Commerce the
16 name and address of the individual in charge of supervising such
17 enterprise zones by July 1 of each year.

18 SECTION 156. AMENDATORY 62 O.S. 2021, Section 695.7, is
19 amended to read as follows:

20 Section 695.7. A. The State Treasurer shall engage the
21 services of a person knowledgeable in the current state of the art
22 of national and international standards for the issuance of
23 obligations by governmental entities and experienced in the
24 negotiation of fees for various goods and services requisite to or

1 deemed desirable in the issuance of such obligations as well as the
2 negotiation of other matters essential to provide the best current
3 price and terms of the issuance of such obligations for the benefit
4 of the State of Oklahoma, who shall have the title "Deputy Treasurer
5 for Debt Management".

6 When hiring a person to the position of Deputy Treasurer for
7 Debt Management, the State Treasurer shall conduct a national search
8 in seeking requests for proposals for the position.

9 B. The State Treasurer may employ the necessary staff to carry
10 out the duties related to debt management and the Council of Bond
11 Oversight.

12 C. 1. Except as provided in Section 695.8 of this title, prior
13 to engaging the services of underwriters, bond or other legal
14 counsel, financial advisors, consultants, a financial institution to
15 serve as trustee, paying agent, or in any fiduciary capacity in
16 connection with any program, indenture, or general resolution of the
17 State Governmental Entity, or any other experts, except as provided
18 in Section 5062.8 of Title 74 of the Oklahoma Statutes, the State
19 Governmental Entity shall, in conjunction with a State Governmental
20 Entity Financing, request proposals for such services from a
21 plurality of persons engaged in the particular activity for such
22 services and the selection of such persons shall be made on the
23 basis of the response to the request which is the most economical
24 and will provide competent service which furthers the best interest

1 of the State Governmental Entity and the state. In negotiating
2 requests for proposals to engage such services, the State
3 Governmental Entity shall seek the advice and assistance of the
4 Deputy Treasurer for Debt Management. Under no circumstances shall
5 proprietary inducements be granted. The Deputy Treasurer for Debt
6 Management shall provide assistance and advice to State Governmental
7 Entities with respect to the issuance of obligations by the State
8 Governmental Entities, review, negotiate, and approve or disapprove
9 the fees and expenses for goods and services requisite to or deemed
10 desirable in the issuance of State Governmental Entity obligations
11 and State Governmental Entity Financing and shall represent the
12 interests of the state before rating agencies and credit enhancement
13 providers.

14 2. Any State Governmental Entity or Local Governmental Entity
15 proposing to make a significant modification to the terms of any
16 State Governmental Entity Financing, including modification of
17 collateral by substitution, swap, or other derivative product shall
18 first obtain the written approval of the Deputy Treasurer for Debt
19 Management. If the Deputy Treasurer for Debt Management denies
20 approval, the State Governmental Entity or Local Governmental Entity
21 may request the Council of Bond Oversight to review and approve
22 proposed modifications.

23 D. The Deputy Treasurer for Debt Management shall serve as an
24 advisor to the Governor and to the Legislature with respect to

1 issuance of indebtedness reviewed by the Council and shall prepare
2 an annual report to be electronically submitted to the Governor, the
3 President Pro Tempore of the Senate and the Speaker of the House of
4 Representatives as of January 15 each year utilizing the centralized
5 filing system provided for in Section 378 of this act. The report
6 shall contain a summary of the issuance of indebtedness by State
7 Governmental Entities during the preceding year.

8 E. The Deputy Treasurer for Debt Management or any member of
9 the immediate family of the Deputy Treasurer for Debt Management
10 shall not have any direct or indirect financial or contractual
11 relationship with any firm or corporation or any officer, partner or
12 principal stockholder of any firm or corporation directly involved
13 in public finance.

14 SECTION 157. AMENDATORY 62 O.S. 2021, Section 847, is
15 amended to read as follows:

16 Section 847. A. The Oklahoma Tax Commission shall maintain a
17 record of state local enterprise matching payments and state local
18 government matching payments made pursuant to Section 844 of this
19 title. Local sales taxes apportioned under the applicable project
20 plan shall be reported, collected, remitted, and disbursed in the
21 same manner as other local sales taxes under Title 68 of the
22 Oklahoma Statutes.

23 B. The Tax Commission shall prepare a report separately
24 identifying the amounts described in subsection A of this section

1 and data collection and analysis prepared by the Oklahoma Department
2 of Commerce pursuant to subsection J of Section 842 of this title.
3 The Commission shall, utilizing the centralized filing system
4 provided for in Section 378 of this act, electronically submit the
5 report prior to April 1 each year to the Governor, the Speaker of
6 the House of Representatives, and the President Pro Tempore of the
7 Senate.

8 SECTION 158. AMENDATORY 62 O.S. 2021, Section 901, as
9 amended by Section 1, Chapter 439, O.S.L. 2025 (62 O.S. Supp. 2025,
10 Section 901), is amended to read as follows:

11 Section 901. A. There is hereby created a Long-Range Capital
12 Planning Commission to advise and assist the Legislature in
13 providing for real property capital facility needs for this state.
14 The Commission shall consist of nine (9) members as follows:

15 1. Three members appointed by the President Pro Tempore of the
16 Senate;

17 2. Three members appointed by the Speaker of the House of
18 Representatives; and

19 3. Three members appointed by the Governor.

20 All appointees shall be from the public at large. Within thirty
21 (30) days of July 1, 2013, the appointing authorities shall appoint
22 new members to the Commission; provided, a member serving on July 1,
23 2013, may be reappointed if he or she is otherwise qualified. Of
24 the members initially appointed by each appointing authority after

1 July 1, 2013, one shall be appointed for a one-year term, one shall
2 be appointed for a two-year term and one shall be appointed for a
3 three-year term. Thereafter, their successors shall be appointed
4 for four-year terms. Any vacancy shall be filled for the remainder
5 of the unexpired term in the same manner as the original
6 appointment. The appointing authorities shall appoint members who
7 possess knowledge, skills, and abilities to perform the duties of
8 the Commission. No member of the Commission shall be interested,
9 directly or indirectly, in any contract entered into for a project
10 approved by the Commission during the period of service of the
11 member, nor shall any person be appointed as a member of the
12 Commission if such person is interested, directly or indirectly, in
13 a contract entered into for a project approved prior to the
14 appointment. An indirect interest shall include, but not be limited
15 to, an interest of an immediate family member of the member of the
16 Commission or a business with which the member of the Commission is
17 associated.

18 B. A chair of the Commission shall be elected from its
19 membership. Five members of the Commission shall constitute a
20 quorum. Members of the Commission shall serve without compensation,
21 but shall be entitled to reimbursement, pursuant to the State Travel
22 Reimbursement Act, for expenses incurred in the performance of their
23 duties.

1 C. Initial appointments to the Commission shall be made within
2 thirty (30) days of May 28, 1992.

3 D. The Commission shall have the authority to promulgate rules
4 and regulations necessary to implement the provisions of the State
5 Capital Improvement Planning Act.

6 E. The Office of Management and Enterprise Services, with the
7 advice and assistance of the Deputy Treasurer for Debt Management,
8 shall provide staffing for the Commission and other such assistance
9 as the Commission may require.

10 F. 1. The Commission shall prepare each year an annual capital
11 plan budget and a state capital plan for addressing state capital
12 facility needs for the next ensuing eight (8) years. The Oklahoma
13 State Regents for Higher Education and each state governmental
14 entity as defined in Section 695.3 of this title shall cooperate
15 with the Commission in the preparation of the state plan. Each
16 year, on or about December 1, the plan shall be electronically
17 submitted to the Governor, Speaker of the House of Representatives
18 and President Pro Tempore of the Senate utilizing the centralized
19 filing system provided for in Section 378 of this act. The Long-
20 Range Capital Planning Commission shall annually update the eight-
21 year plan. The Office of Management and Enterprise Services shall
22 perform routine services to support the eight-year plan, including,
23 but not limited to, agency-level planning, real estate services,
24 construction services, and facility operations as provided by law.

1 2. In addition to the requirements set forth in Section 901.1
2 of this title, the capital plan should:

- 3 a. supplement and integrate, not replace, existing
4 capital planning processes,
- 5 b. assess long-term needs for capital facilities to
6 support state government needs as determined by the
7 Commission,
- 8 c. review and assess the inventory of capital facilities
9 held by the state, and make recommendations on
10 reallocation, reuse or liquidation of properties for
11 incorporation into the annual capital plan,
- 12 d. include a projection of economic and demographic
13 trends likely to influence the needs of state
14 government during the eight-year period,
- 15 e. address agency strategic facility plans for new,
16 improved, renovated, or expanded capital facilities or
17 facilities that should be reallocated or liquidated,
- 18 f. include estimates of life cycle costs for new and
19 substantially expanded or renovated facilities,
- 20 g. evaluate the effectiveness of planning processes at
21 the agency level to account for all capital facility
22 costs for incorporation into the annual capital
23 budget,

- 1 h. account for projections of debt service and revenues
2 available from general obligation bonds and other
3 sources, including, but not limited to, the
4 Maintenance of State Buildings Revolving Fund,
- 5 i. analyze the capacity of the state to incur debt or
6 finance public capital facilities,
- 7 j. include a comprehensive listing of all capital
8 expenditures of the state which the Commission
9 recommends be undertaken or continued for any state
10 agency in the next two (2) fiscal years, together with
11 information as to the effect of such capital projects
12 on future operating expenses of the state, and with
13 recommendations as to the priority of such capital
14 projects and the means of funding them,
- 15 k. forecast the requirements for capital projects of
16 state agencies for the eight-year period and for such
17 additional periods, if any, as may be necessary or
18 desirable for adequate presentation of particular
19 capital projects, and include a schedule for the
20 planning and implementation or construction of such
21 capital projects,
- 22 l. set forth a proposed itemized budget for the next
23 fiscal year of recommended capital expenditures
24 inclusive of all funding sources, for each agency,

1 including facility rent and lease payments, energy and
2 utility expenditures, operations and maintenance,
3 capital improvements and capital development projects
4 as necessary to optimize and preserve the state's
5 capital assets,

6 m. include the findings of the Oklahoma State Government
7 Asset Reduction and Cost Savings Program and the
8 indexing of the most necessary capital improvements to
9 the expenditure of funds from the Maintenance of State
10 Buildings Revolving Fund,

11 n. include such other information as the Commission deems
12 relevant to its duties, and

13 o. include findings of the Oklahoma State Government
14 Asset Reduction and Cost Savings Program and the
15 indexing of the most necessary capital improvements to
16 the expenditure of funds from the Maintenance of State
17 Buildings Revolving Fund.

18 G. The capital plan budget shall include, for each expenditure
19 and class of expenditures, the capital facility costs to be incurred
20 during the next ensuing fiscal year, inclusive of the annual
21 operating and maintenance costs of such facilities and a schedule of
22 depreciation calculated in accordance with the principles and
23 standards of capital budgeting authorized by subsection H of this
24 section.

1 H. The Commission, with the assistance of the Office of
2 Management and Enterprise Services, shall prepare and publish rules
3 and regulations that set forth principles and standards for capital
4 planning and budgeting to be used by state agencies. The rules and
5 regulations shall set forth definitions of relevant terms to be used
6 in the capital planning and budgeting processes, establish
7 accounting standards, and standards for costs and benefits of public
8 facility investments.

9 I. 1. The Commission, the Office of Management and Enterprise
10 Services, and the Deputy Treasurer for Debt Management may request
11 the assistance of such personnel of any state agency in order to
12 perform their duties pursuant to the State Capital Improvement
13 Planning Act and such agencies shall respond and provide any such
14 assistance as may be required. The Commission may use existing
15 studies, surveys, plans, data, and other materials in the possession
16 of any state agency. Each such agency shall make the same available
17 to the Commission so that the Commission may have available to it
18 current information with respect to the capital plans and programs
19 of each such agency.

20 2. The officers and personnel of any state agency may serve at
21 the request of the Commission upon such advisory committees as the
22 Commission may create and such officers and personnel may serve upon
23 such committees without forfeiture of office or employment and with
24

1 no loss or diminution of the compensation, status, rights, and
2 privileges which they otherwise enjoy.

3 J. This section shall not be applicable to the following or
4 their lands, properties, buildings, funds, or revenue:

5 1. The Oklahoma Ordnance Works Authority; and

6 2. The Commissioners of the Land Office.

7 K. The Commission shall develop plans, adopt authorizations,
8 and fulfill the duties required pursuant to Section 188A of Title 73
9 of the Oklahoma Statutes.

10 SECTION 159. AMENDATORY 62 O.S. 2021, Section 901.1, is
11 amended to read as follows:

12 Section 901.1. A. The Long-Range Capital Planning Commission
13 shall, utilizing the centralized filing system provided for in
14 Section 378 of this act, electronically submit an itemized list of
15 the proposed projects set forth in its annual capital plan to the
16 Governor, the President Pro Tempore of the Senate, and the Speaker
17 of the House of Representatives within the first seven (7)
18 legislative days of a regular legislative session. The list shall
19 be in the order of the priority of the projects as determined by the
20 Commission. The submission to such elected officials shall occur
21 upon the same date for purposes of computing the time within which
22 action ~~must~~ shall be taken as further prescribed by this subsection.
23 The Legislature shall have a period of forty-five (45) calendar days
24 from the date on which the list is submitted to pass a concurrent

1 resolution disapproving any or all of the proposed projects. If the
2 Legislature does not disapprove any proposed project by concurrent
3 resolution by the end of the forty-fifth day following the date upon
4 which the proposed issuance is submitted, the proposed projects
5 shall be deemed to have been approved by the Legislature.

6 B. Upon approval of all or any part of the list of proposed
7 projects, the Office of Management and Enterprise Services may
8 expend funds in the Maintenance of State Buildings Revolving Fund
9 for approved projects in the order of priority set forth in its
10 annual capital plan.

11 C. In the event an emergency has been declared as provided for
12 in Section 130 of Title 61 of the Oklahoma Statutes, and as a result
13 thereof, repair or maintenance of a capital facility held by the
14 state is required, a state agency may submit a request to the
15 Director of the Office of Management and Enterprise Services to
16 substitute the emergency project for any other project or projects
17 of the state agency on the approved current fiscal year's Capital
18 Improvement Plan list, or to add the emergency project if the state
19 agency does not have any projects on the approved current fiscal
20 year's Capital Improvement Plan list; provided:

21 1. The Director determines that there are funds available in
22 the Maintenance of State Buildings Revolving Fund to cover all or
23 part of the cost of the emergency project; and
24

1 2. The Director, utilizing the centralized filing system
2 provided for in Section 378 of this act, electronically submits
3 information on the emergency project and the cost thereof to the
4 President Pro Tempore of the Senate and the Speaker of the House of
5 Representatives and they approve the substitution within five (5)
6 calendar days of such submission.

7 D. The Director has authority to redirect funds within the
8 Maintenance of State Buildings Revolving Fund for emergency projects
9 approved by the President Pro Tempore of the Senate and the Speaker
10 of the House of Representatives.

11 SECTION 160. AMENDATORY 62 O.S. 2021, Section 2309, is
12 amended to read as follows:

13 Section 2309. A. The Board of Directors of the Tobacco
14 Settlement Endowment Trust Fund shall be empowered to:

15 1. Appoint an executive director and other staff necessary to
16 perform the duties of the Board of Directors;

17 2. Make and execute contracts and other instruments necessary
18 or convenient to the exercise of its powers on such terms and for
19 such period of time as the Board of Directors shall determine; and

20 3. Promulgate rules in accordance with the Administrative
21 Procedures Act and not inconsistent with the Tobacco Settlement
22 Endowment Trust Fund Act to implement its duties and
23 responsibilities as provided by law.
24

1 B. Funding for capital expenditures and operating expenses
2 incurred by the University of Oklahoma Health Sciences Center and
3 the Oklahoma State University College of Osteopathic Medicine, for
4 educational programs and residency training to maintain or improve
5 the health of Oklahomans or to enhance the provision of health care
6 services to Oklahomans, is hereby deemed to be an allowable purpose
7 for which earnings from the trust fund may be expended pursuant to
8 the provisions of paragraph 3 of subsection E of Section 40 of
9 Article X of the Oklahoma Constitution. Pursuant to its authority
10 as set forth in subsection G of Section 40 of Article X of the
11 Oklahoma Constitution, the Legislature hereby authorizes the Board
12 to expend earnings from the trust fund for such purposes, in
13 addition to other purposes provided by law.

14 C. The Board shall develop a multiyear strategy by January 1,
15 2002, and annually update it in order to guide the Board's funding
16 for those programs set forth in Section 40 of Article X of the
17 Oklahoma Constitution. The strategy shall be used to maximize the
18 outcomes of the grants awarded by the Board of Directors.

19 D. The Board of Directors shall develop grant programs for
20 private, nonprofit, and public entities for the purposes set forth
21 in Section 40 of Article X of the Oklahoma Constitution.

22 1. The selection and awarding of grants, whether in the form of
23 professional service contracts or any other funding mechanism
24 developed by the Board of Directors, awarded pursuant to grant

1 programs developed under this subsection, shall be exempt from the
2 requirements of The Oklahoma Central Purchasing Act.

3 2. The Board of Directors shall develop competitive processes
4 for awarding grants under programs developed under this subsection.
5 Such competitive processes for selection shall not be required for
6 contracts awarded for program support services, including, but not
7 limited to, professional service contracts to evaluate, audit or
8 provide budgeting, accounting, auditing, or legal services for
9 specific programs or program grantees, contractors, or participants.

10 3. The Board of Directors may promulgate rules to assist in the
11 implementation and administration of grant programs developed under
12 this subsection.

13 4. The terms of any request for proposals, request for
14 applications, invitation for bid, bid notice, or grant proposal or
15 any other solicitation issued by the Board of Directors to solicit
16 or invite applications, proposals, bids, or responses to obtain
17 funding under grant programs developed under this subsection shall
18 be confidential until the date and time at which the solicitation is
19 to be made equally and uniformly known to all prospective applicants
20 and the public, at which point all such documents and information
21 shall be uniformly known to all prospective applicants and the
22 public, at which point all such documents and information shall be
23 subject to the Oklahoma Open Records Act and Oklahoma Open Meeting
24 Act. Any application, proposal, bid, or any other document to

1 obtain funding responsive to any solicitation of the Board of
2 Directors under grant programs developed under this subsection shall
3 be confidential until the date and time of award of the grant or
4 contract, at which point all such documents and information shall be
5 subject to the Oklahoma Open Records Act and Oklahoma Open Meeting
6 Act. Any unsolicited application, proposal, bid, or any other
7 document to obtain funding shall not be considered to be
8 confidential and shall be subject to the Oklahoma Open Records Act
9 and Oklahoma Open Meeting Act at all times.

10 E. The Board of Directors shall encourage grantees to match
11 grant monies awarded with monetary commitments and in-kind matches.

12 F. The Board of Directors shall be required to develop a
13 performance evaluation component for the Board of Directors'
14 activities and those of its grantees so that the performance of
15 grantees can be measured by their attainment of outcomes.

16 G. The Board of Directors shall contract periodically for
17 performance evaluations. Copies of the evaluations shall be filed
18 with the Governor, the Speaker of the House of Representatives, and
19 the President Pro Tempore of the Senate.

20 H. The Board of Directors shall prepare an annual report
21 detailing the Board of Directors' activities and reporting its
22 expenditures and the outcomes achieved by the expenditures. A copy
23 of the report shall be electronically submitted to the Governor, the
24 Speaker of the House of Representatives, and the President Pro

1 Tempore of the Senate utilizing the centralized filing system
2 provided for in Section 378 of this act.

3 I. All records associated with the expenditure of monies
4 received by the Board of Directors or its grantees pursuant to the
5 Tobacco Settlement Endowment Trust Fund Act shall be subject to the
6 Oklahoma Open Records Act.

7 SECTION 161. AMENDATORY 62 O.S. 2021, Section 7004, as
8 amended by Section 2, Chapter 125, O.S.L. 2023 (62 O.S. Supp. 2025,
9 Section 7004), is amended to read as follows:

10 Section 7004. A. For calendar years 2024 through 2027 and
11 every four (4) years thereafter, the Incentive Evaluation Commission
12 shall ensure that each incentive is evaluated within the four-year
13 evaluation period unless the Commission determines that the
14 incentive is exempt from evaluation. The Commission may exempt from
15 evaluation any incentive that it concludes has a minimal fiscal
16 impact. The Commission shall determine a specific threshold amount
17 which shall be considered as a minimal fiscal impact for the current
18 evaluation cycle. The Commission may also conduct an expedited
19 evaluation for any incentive that has been evaluated at least two
20 times from calendar years 2016 through 2023 and has not had a
21 material change to the program since its prior evaluation. The
22 expedited evaluation will update the prior evaluation's financial
23 and economic impact and findings and recommendations.

1 B. For calendar years 2016 through 2023, the Incentive
2 Evaluation Commission shall develop a four-year schedule for
3 evaluating incentives. The development of the schedule for
4 evaluating the incentives shall take into consideration fiscal
5 impacts to revenues of this state, including but not limited to the
6 General Revenue Fund, the opportunity to group incentives with
7 similar goals and objectives for evaluation, and the ability to
8 obtain sufficient data related to the incentives for evaluation.
9 Each schedule shall include a list of all incentives in the state,
10 including any it exempts from evaluation. In determining whether a
11 program is an incentive, the Incentive Evaluation Commission may
12 consider legislative intent and may also consider whether the
13 program is promoted as an incentive by any state agency. For each
14 incentive listed in the schedule, the Commission shall attempt to
15 identify the goal or goals of the incentive.

16 C. Upon approval of the schedule, the Commission shall,
17 utilizing the centralized filing system provided for in Section 378
18 of this act, electronically provide the schedule to the Governor,
19 President Pro Tempore of the Senate, and Speaker of the House of
20 Representatives.

21 SECTION 162. AMENDATORY 62 O.S. 2021, Section 7005, as
22 amended by Section 3, Chapter 125, O.S.L. 2023 (62 O.S. Supp. 2025,
23 Section 7005), is amended to read as follows:
24

1 Section 7005. A. The Commission may contract with a private
2 company, nonprofit, or academic institution to assist with
3 evaluation of each incentive. The Commission shall develop a scope
4 of services for a request for proposals issued pursuant to the
5 Oklahoma Central Purchasing Act, Section 85.1 et seq. of Title 74 of
6 the Oklahoma Statutes, for professional services necessary to
7 complete incentive evaluations pursuant to the Incentive Evaluation
8 Act. The scope of services shall include a provision requiring the
9 contractor to provide at least one draft report for each incentive
10 prior to the issuance of the final report; provided, the contractor
11 may determine the timing and frequency of draft reports based on the
12 availability of information and the potential for draft reports to
13 assist the Commission in making a final recommendation. The cost of
14 such contract shall be paid by the Office of Management and
15 Enterprise Services. No recipient or potential recipient of an
16 incentive or representative of a recipient or potential recipient
17 shall contact the entity or individual with whom the Commission
18 contracts pursuant to this subsection unless the entity or
19 individual specifically requests information or documentation for
20 purposes of the incentive evaluation process; provided, this shall
21 not be construed to prevent participation in a public hearing
22 conducted pursuant to subsection B of this section.

23 B. By October 1 of each year beginning in calendar year 2023,
24 the Commission or the Commission's chosen contractor shall evaluate

1 each incentive scheduled for review that year. The Commission or
2 the Commission's chosen contractor shall conduct each incentive
3 evaluation in consultation with the Oklahoma Department of Commerce
4 division of Research and Economic Analysis Services using criteria
5 developed pursuant to subsection D of this section. Between October
6 1 and November 30 of each year beginning in 2017, the Commission
7 shall hold at least one public meeting to review, allow for public
8 comment, and vote to approve, disapprove, or modify each incentive
9 evaluation conducted that year. By December 15 of each year
10 beginning in 2016, the Commission shall, utilizing the centralized
11 filing system provided for in Section 378 of this act,
12 electronically provide the results of each incentive evaluation, a
13 review of prior Commission recommendations, and changes to statute
14 or incentive administration related to incentive evaluation
15 recommendations in a written report to the Governor, President Pro
16 Tempore of the Senate, and Speaker of the House of Representatives.
17 If the Commission votes to modify an incentive evaluation as
18 provided in this subsection, such modification and the original
19 evaluation shall be documented in the annual written report. The
20 report shall be made publicly available on the Oklahoma Department
21 of Commerce website, the Commission website, and documents.ok.gov.

22 C. Each evaluation shall include the following:
23
24

1 1. An estimate of the economic and fiscal impact of the
2 incentive. This estimate shall take into account the following
3 considerations in addition to other relevant factors:

4 a. the extent to which the incentive changes business
5 behavior,

6 b. the results of the incentive for the economy of
7 Oklahoma as a whole. This consideration includes both
8 positive direct and indirect impacts and any negative
9 effects on other Oklahoma businesses, and

10 c. a comparison to the results of other incentives or
11 other economic development strategies with similar
12 goals;

13 2. An assessment of whether adequate protections are in place
14 to ensure the fiscal impact of the incentive does not increase
15 substantially beyond the state's expectations in future years;

16 3. An assessment of whether the incentive is being administered
17 effectively;

18 4. An assessment of whether the incentive is achieving its
19 goals;

20 5. Recommendations for how the state can most effectively
21 achieve the incentive's goals, including recommendations on whether
22 the incentive should be retained, reconfigured, or repealed; and

23 6. Recommendations for any changes to state policy, rules, or
24 statutes that would allow the incentive to be more easily or

1 conclusively evaluated in the future. These recommendations may
2 include changes to collection, reporting, and sharing of data, and
3 revisions or clarifications to the goal of the incentive.

4 D. Evaluation criteria shall be developed for each incentive
5 evaluated by the Commission. Each incentive shall be evaluated
6 using criteria specific to the individual incentive. The criteria
7 shall be developed by the Commission through the administrative
8 rulemaking process pursuant to the Administrative Procedures Act,
9 Section 250 et seq. of Title 75 of the Oklahoma Statutes, and
10 codified in the administrative code of the Oklahoma Department of
11 Commerce.

12 E. At the request of the Incentive Evaluation Commission,
13 unless prohibited by the Oklahoma Constitution, Oklahoma Statutes,
14 or federal law, state agencies shall provide any records,
15 information, data, or data analysis necessary for the Commission or
16 contractors to effectively evaluate incentives. The Commission and
17 contractors shall not disclose or release any data received from
18 other state agencies, except as permitted under law.

19 SECTION 163. AMENDATORY 62 O.S. 2021, Section 9010.4, is
20 amended to read as follows:

21 Section 9010.4. A. An agency or agencies may enter into a pay-
22 for-success contract with a private entity or entities to receive
23 up-front capital to fund a service or program. The agency or
24 agencies may not enter into a pay-for-success contract until each

1 state agency head entering into the contract determines with
2 reasonable certainty that the contract will result in a public
3 benefit to the state.

4 B. Each pay-for-success contract shall:

5 1. Require a private entity to underwrite or secure up-front
6 capital from private funding sources, including foundations,
7 financial institutions, businesses, or individuals;

8 2. Identify the specific service or program to be funded under
9 the contract;

10 3. Identify performance targets and outcome measures against
11 which the service or program's success can be measured to determine
12 whether the service or program has achieved quantifiable public
13 benefits or monetary savings;

14 4. Require and specify an independent third-party evaluator to
15 review and issue reports annually at specific times during the
16 contract term specifying the degree to which the service or program
17 has met the identified performance targets and outcome measures
18 specified in the contract;

19 5. Identify the calculation or algorithm to be used by the
20 agency or agencies in determining the amount and timing of
21 reimbursable success payments to the private entity;

22 6. Contain a statement that the independent third-party
23 evaluator will annually provide a report to the agency or agencies
24 that includes data deemed relevant by the agency or agencies; and

1 7. State that the amount of funds to be reimbursed to the
2 private entity is contingent upon the degree to which the service or
3 program has met the performance targets and outcome measures as
4 evaluated by the independent third-party evaluator.

5 C. No later than April 1 annually, the agency or agencies
6 shall, utilizing the centralized filing system provided for in
7 Section 378 of this act, electronically provide a report to the
8 chairs of the legislative appropriations committees that contains
9 the evaluation from the independent third-party evaluator.

10 D. Payments to private entities for the delivery of performance
11 targets and outcome measures as authorized in this section shall be
12 made only in accordance with the terms of the pay-for-success
13 contract. Payments may be made utilizing the Pay for Success
14 Innovation Fund created in Section 5 of this act or utilizing other
15 appropriated agency funds in accordance with Oklahoma law.

16 SECTION 164. AMENDATORY 63 O.S. 2021, Section 1-110.1,
17 is amended to read as follows:

18 Section 1-110.1. A. There is hereby created in the State
19 Treasury a revolving fund for the State Department of Health to be
20 designated the "Children First Fund". The fund shall be a
21 continuing fund, not subject to fiscal year limitations, and shall
22 consist of all monies deposited to the credit of the fund by law.
23 All monies accruing to the credit of the fund are hereby
24 appropriated and may be budgeted and expended by the State

1 Department of Health for operation of Children First family resource
2 programs. Expenditures from the fund shall be made upon warrants
3 issued by the State Treasurer against claims filed as prescribed by
4 law with the Director of the Office of Management and Enterprise
5 Services for approval and payment.

6 B. The State Department of Health shall, utilizing the
7 centralized filing system provided for in Section 378 of this act,
8 electronically submit to the Speaker of the House of
9 Representatives, the President Pro Tempore of the Senate, and the
10 Governor by January 15 of each year, an annual report, including a
11 full accounting of administrative expenditures from the fund for the
12 prior fiscal year, and a summary detailing the demographic
13 characteristics of families served including, but not limited to,
14 the following:

- 15 1. Age and marital status of parent(s);
- 16 2. Household composition of families served;
- 17 3. Number of families accepted into the program, by location,
18 and average length of time enrolled;
- 19 4. Referrals made on behalf of families not accepted into the
20 program; and
- 21 5. Average actual expenditures per child during the most recent
22 state fiscal year.

23 C. Projects shall comply with the uniform components of the
24 State Plan for the Prevention of Child Abuse.

1 D. The Department shall forward to the Oklahoma Health Care
2 Authority a report of the total number of hours of nursing services
3 provided to families under Children First family resource programs.
4 The Oklahoma Health Care Authority shall submit such information to
5 the Centers for Medicaid and Medicare Services for purposes of
6 applying for federal matching funds and shall submit any necessary
7 applications for waivers to accomplish the provisions of this
8 subsection.

9 E. The State Department of Health shall contract with a
10 university-related program for a performance-based evaluation of
11 programs. Program sites shall fully cooperate and comply with the
12 evaluation process, and sites shall provide weekly caseload and
13 referral information to the State Department of Health.

14 SECTION 165. AMENDATORY Section 2, Chapter 439, O.S.L.
15 2024 (63 O.S. Supp. 2025, Section 1-114.22), is amended to read as
16 follows:

17 Section 1-114.22. A. The State Department of Health may award
18 grants to public schools from the Public School Vision Screening
19 Modernization Revolving Fund created in Section 1 of this act for
20 the purpose of assisting public schools in obtaining vision
21 screening equipment, collecting vision screening data, and obtaining
22 related services to fulfill the requirements of Section 1210.284 of
23 Title 70 of the Oklahoma Statutes.

1 B. The State Department of Health shall, utilizing the
2 centralized filing system provided for in Section 378 of this act,
3 electronically submit an annual report on all grants awarded under
4 this section to the President Pro Tempore of the Senate, the Speaker
5 of the House of Representatives, and the Governor by January 15 of
6 each year.

7 SECTION 166. AMENDATORY 63 O.S. 2021, Section 1-227.2,
8 is amended to read as follows:

9 Section 1-227.2. A. The Office of Child Abuse Prevention,
10 giving consideration to the recommendations of the Infant and
11 Children's Health Advisory Council created in Section 1-103a.1 of
12 this title, is hereby authorized and directed to:

13 1. Prepare and implement a comprehensive state plan for the
14 planning and coordination of child abuse prevention programs and
15 services and for the establishment, development and funding of such
16 programs and services, and to revise and update the plan pursuant to
17 the provisions of Section 1-227.3 of this title;

18 2. Monitor, evaluate, and review the development and quality of
19 services and programs for the prevention of child abuse and neglect,
20 publish and, utilizing the centralized filing system provided for in
21 Section 378 of this act, electronically distribute an annual report
22 of its findings on or before January 1 of each year to the Governor,
23 the Speaker of the House of Representatives, the President Pro
24

1 Tempore of the Senate, and to the chief administrative officer of
2 each agency affected by the report. The report shall include:

3 a. activities of the Office,

4 b. a summary detailing the demographic characteristics of
5 families served including, but not limited to, the
6 following:

7 (1) age and marital status of parent(s),

8 (2) number and age of children living in the
9 household,

10 (3) household composition of families served,

11 (4) number of families accepted into the program by
12 grantee site and average length of time enrolled,

13 (5) number of families not accepted into the program
14 and the reason therefor,

15 (6) average actual expenditures per family during the
16 most recent state fiscal year, and

17 (7) number of individuals whose parental rights have
18 ever been terminated and number of children born
19 to an individual whose parental rights have ever
20 been terminated,

21 c. recommendations for the further development and
22 improvement of services and programs for the
23 prevention of child abuse and neglect,

24 d. budget and program needs, and

e. statistics developed based on the reports received pursuant to Section 3 of this act; and

3. Conduct or otherwise provide for or make available continuing professional education and training in the area of child abuse prevention.

B. For the purpose of implementing the provisions of the Child Abuse Prevention Act, the State Department of Health is authorized to:

1. Accept appropriations, gifts, loans and grants from the state and federal government and from other sources, public or private;

2. Enter into agreements or contracts for the establishment and development of:

a. programs and services for the prevention of child abuse and neglect,

b. training programs for the prevention of child abuse and neglect, and

c. multidisciplinary and discipline specific training programs for professionals with responsibilities affecting children, youth and families; and

3. Secure necessary statistical, technical, administrative and operational services by interagency agreement or contract.

C. For the purpose of implementing the provisions of the Child Abuse Prevention Act, the State Commissioner of Health, giving

1 consideration to the recommendations of the Infant and Children's
2 Health Advisory Council created in Section 1-103a.1 of this title,
3 is authorized to promulgate rules and regulations as necessary to
4 implement the duties and responsibilities assigned to the Office of
5 Child Abuse Prevention.

6 D. 1. The Department of Human Services shall, as soon as
7 reasonably possible, provide the State Department of Health access
8 to the identifying information of all individuals who, as to any
9 child, have had their parental rights terminated and the conditions
10 which led to the making of the finding which resulted in the
11 termination of parental rights.

12 2. The Division of Vital Records shall provide birth record
13 information to the Office of Child Abuse Prevention for a child born
14 to an individual whose identifying information has been provided
15 pursuant to paragraph 1 of this subsection.

16 3. The Office of Child Abuse Prevention or other appropriate
17 division of the State Department of Health shall review the
18 information provided by the Department of Human Services and the
19 Division of Vital Records and, when appropriate and if the resources
20 are available, provide an assessment of the family and offer
21 services if needed.

22 SECTION 167. AMENDATORY 63 O.S. 2021, Section 1-227.3,
23 is amended to read as follows:
24

1 Section 1-227.3. A. The Oklahoma Commission on Children and
2 Youth shall review and approve the comprehensive state plan and any
3 subsequent revisions of ~~said~~ such plan, prior to the submission of
4 the plan as provided in this section.

5 B. On or before July 1, 2007, the Oklahoma Commission on
6 Children and Youth shall deliver the comprehensive state plan for
7 the prevention of child abuse and neglect to the Governor, the
8 President Pro Tempore of the Senate, and the Speaker of the House of
9 Representatives. The plan shall include but not be limited to:

10 1. Specific proposals for the implementation of the
11 comprehensive state plan which would promote the efficient use of
12 staff, funds and other resources on the state level and improve the
13 coordination and integration of state goals, activities, and funds
14 for the prevention of child abuse and neglect, particularly with
15 regard to primary and secondary prevention of child abuse and
16 neglect; and

17 2. Specific proposals detailing the interagency provision of
18 services to all populations at risk of committing child abuse.
19 Services, especially those directed at high-risk populations
20 including, but not limited to, those populations in which parental
21 drug ~~and/or~~ or alcohol abuse, mental illness, and domestic abuse are
22 an issue, shall be specifically addressed.

23 C. The Office of Child Abuse Prevention and the Oklahoma
24 Commission on Children and Youth shall at least annually review the

1 state plan and make any necessary revisions based on changing needs
2 and program evaluation results not less than every five (5) years.
3 Any such revisions shall be electronically delivered to the
4 Governor, the Speaker of the House of Representatives, and the
5 President Pro Tempore of the Senate no later than July 1 of each
6 year utilizing the centralized filing system provided for in Section
7 378 of this act.

8 D. The Office of Child Abuse Prevention shall provide adequate
9 opportunity for appropriate private and public agencies and
10 organizations and private citizens and consumers to participate at
11 the local level in the development of the state plan.

12 SECTION 168. AMENDATORY 63 O.S. 2021, Section 1-229.8,
13 is amended to read as follows:

14 Section 1-229.8. A. As a condition to the receipt of funds
15 under this act, a contractor shall agree to file a report with the
16 State Department of Health on or before ninety (90) days after the
17 end of the agreement period as to the following:

18 1. Amount received as a contract and the expenditures made with
19 the proceeds of the contract;

20 2. A description of the program offered and the number of
21 individuals who initially participated in and completed the program;
22 and

23 3. Specific elements of the program meeting the criteria set
24 forth in the State Plan.

1 B. Any contractor failing to timely file the report required
2 pursuant to this section shall be subject to the jurisdiction of the
3 Attorney General for repayment of the full amount of the contract
4 expended.

5 C. The State Department of Health shall review and evaluate the
6 reports of contractors required pursuant to this section and shall,
7 utilizing the centralized filing system provided for in Section 378
8 of this act, electronically file a written report with the Speaker
9 of the House of Representatives, the President Pro Tempore of the
10 Senate, and the Governor on or before February 1 of each year on the
11 status of the Tobacco Use Reduction Fund and the activities of the
12 Fund for the fiscal year most recently ended. The report shall
13 include the beginning and ending balance of the Fund for each fiscal
14 year, payments or gifts received by the Fund, income earned and
15 expenditures made, the name of each contractor and the amount of
16 each contract made, the criteria used to award each contract, and
17 whether the program implemented by each contractor met the criteria.
18 The report shall be publicly available immediately upon its filing.

19 SECTION 169. AMENDATORY 63 O.S. 2021, Section 1-237, is
20 amended to read as follows:

21 Section 1-237. 1. The Governor shall appoint an Interagency
22 Coordinating Council for Coordination of Efforts for Prevention of
23 Adolescent Pregnancy and Sexually Transmitted Diseases which shall
24 be composed of thirty-one (31) members as follows:

1 a. the chief executive officers or their designees of
2 the:

3 (1) Commission on Children and Youth,

4 (2) State Department of Education,

5 (3) Oklahoma Department of Career and Technology
6 Education,

7 (4) Department of Human Services,

8 (5) Department of Mental Health and Substance Abuse
9 Services,

10 (6) Office of Volunteerism,

11 (7) State Department of Health, and

12 (8) College of Public Health,

13 b. the Executive Director of the Office of Juvenile
14 Affairs or designee,

15 c. two representatives from the Maternal and Infant
16 Health Division, two representatives from the HIV/STD
17 Division, two representatives from the Child Health
18 and Guidance Division of the State Department of
19 Health,

20 d. a superintendent of an independent school district,

21 e. a representative of a statewide association of medical
22 doctors,

23 f. a representative of a statewide association of
24 osteopathic physicians,

- g. a representative of a statewide association of parents and teachers,
- h. a representative of a statewide association of classroom teachers,
- i. a representative of a statewide association of school counselors,
- j. a principal of an alternative education program,
- k. a representative of business or industry,
- l. a representative of a statewide association formed for the purpose of developing leadership skills,
- m. a representative of an ecumenical association,
- n. two parents of ten- to twenty-year-old children,
- o. a teenage girl,
- p. a representative of a nonprofit statewide child advocacy organization, and
- q. the Governor or the Governor's designee, who shall chair the Coordinating Council.

Legal assistance shall be provided by the Office of the Attorney General. Staff support and assistance shall be provided by the State Department of Health as the legal agency.

2. The Coordinating Council shall:

- a. on or before December 1, 1994, complete the State Plan pursuant to the provisions of Section 1-238 of this

1 title and present it to the Committee for approval,
2 and

3 b. after approval of the State Plan, monitor
4 implementation of the plan, evaluate the plan, meet
5 with the Committee concerning revisions whenever
6 requested to do so, and on or before November 1, 1995,
7 and November 1 of each subsequent year, electronically
8 submit a report on the implementation and evaluation
9 of the State Plan to the Governor, the President Pro
10 Tempore of the Senate and the Speaker of the House of
11 Representatives utilizing the centralized filing
12 system provided for in Section 378 of this act.

13 SECTION 170. AMENDATORY 63 O.S. 2021, Section 1-238, is
14 amended to read as follows:

15 Section 1-238. A. The State Plan for Coordination of Efforts
16 for Prevention of Adolescent Pregnancy and Sexually Transmitted
17 Diseases shall include but not necessarily be limited to:

18 1. A statewide public awareness campaign which extols the
19 virtue of abstaining from premarital sexual activity. Said public
20 awareness campaign shall not directly or indirectly condone
21 premarital or promiscuous sexual activity;

22 2. Identification of effective prevention strategies;

23 3. Identification of resources, both within the agencies
24 subject to the provisions of this act and within the communities;

1 4. Identification of sources of revenue for programs and
2 efforts from private as well as federal and state sources;
3 5. Development and replication of effective model programs;
4 6. Empowerment of communities in developing local prevention
5 strategies;
6 7. Development of recommendations for local prevention efforts
7 and technical assistance to communities;
8 8. Delineation of service responsibilities and coordination of
9 delivery of services by the agencies subject to the provisions of
10 this act;
11 9. Coordination and collaboration among related efforts and
12 programs;
13 10. Evaluation of prevention strategies and programs;
14 11. Distribution of information on prevention programs and
15 strategies; and
16 12. A funding and implementation plan which shall provide for
17 utilization of identifiable financial resources from federal, state,
18 local, and private resources and coordination of those resources to
19 fund related services.

20 B. On or before July 1, 1995, the agencies subject to the
21 provisions of this act shall enter into interagency agreements for
22 the purpose of implementing the State Plan.

23 C. On or before September 1, 1995, and each September 1
24 thereafter, a joint funding plan shall be electronically submitted

1 to the Governor, the President Pro Tempore of the Senate, and the
2 Speaker of the House of Representatives by the agencies subject to
3 the provisions of this act utilizing the centralized filing system
4 provided for in Section 378 of this act. The individual components
5 of the plan as they relate to individual agencies shall be
6 incorporated annually into each affected agency's budget request in
7 accordance with the provisions of Section 41.29 of Title 62 of the
8 Oklahoma Statutes.

9 SECTION 171. AMENDATORY 63 O.S. 2021, Section 1-270.2,
10 as amended by Section 1, Chapter 111, O.S.L. 2024 (63 O.S. Supp.
11 2025, Section 1-270.2), is amended to read as follows:

12 Section 1-270.2. A. For the purposes of the Advancement in
13 Stem Cell Cures and Therapies Act, "human embryo" means a living
14 organism of the species Homo sapiens at the earliest stage of
15 development, including the single-cell stage, that is not located in
16 the body of a woman.

17 B. Research on human tissue regeneration and human diseases
18 using adult stem cells and stem cells obtained from umbilical cord
19 blood and amniotic fluid may be conducted in this state, provided
20 that the research is performed:

- 21 1. Safely and ethically;
- 22 2. Only on embryonic stem cell lines created prior to August 1,
23 2001, and in accordance with federal law as it existed on November
24 1, 2007; and

1 3. Without the use of a human embryo, including a human embryo
2 produced using cloning technology.

3 C. When research is performed in accordance with the
4 Advancement in Stem Cell Cures and Therapies Act, a person or
5 governmental body shall not:

6 1. Restrict public funds designated for the stem cell research;
7 or

8 2. Obstruct or provide disincentives for the stem cell
9 research.

10 D. The State Department of Health shall establish a reporting
11 system that collects information regarding all activities carried
12 out in accordance with this section.

13 E. The Department shall, utilizing the centralized filing
14 system provided for in Section 378 of this act, electronically
15 submit a report with all information collected pursuant to
16 subsection D of this section to the Governor, the Speaker of the
17 Oklahoma House of Representatives, and the President Pro Tempore of
18 the Oklahoma State Senate no later than December 31 of each year.
19 F. Provided that there is no stem cell research to report that
20 year, the Department does not need to file a report.

21 SECTION 172. AMENDATORY 63 O.S. 2021, Section 1-534.1,
22 is amended to read as follows:
23
24

1 Section 1-534.1. ~~A.~~ The State Department of Health shall be
2 the lead agency for the coordination of programs and services
3 related to the Human Immunodeficiency Virus (HIV).

4 ~~B. On or before January 1, 1994, the State Department of Health~~
5 ~~shall submit a State Plan for the Prevention and Treatment of~~
6 ~~Acquired Immune Deficiency Syndrome (AIDS) to the Governor, the~~
7 ~~President Pro Tempore of the Oklahoma State Senate, the Speaker of~~
8 ~~the Oklahoma House of Representatives, the chairmen of the~~
9 ~~appropriate committees of the Senate and the House of~~
10 ~~Representatives, and the chief executive officer and members of the~~
11 ~~governing bodies of each agency affected by the State Plan. Copies~~
12 ~~of the State Plan for the Prevention and Treatment of AIDS shall be~~
13 ~~available to members of the Oklahoma Legislature and the general~~
14 ~~public upon request.~~

15 ~~C. The State Plan for the Prevention and Treatment of AIDS~~
16 ~~shall be prepared jointly by the State Department of Health, the~~
17 ~~Department of Human Services, the State Department of Education, and~~
18 ~~the Department of Mental Health and Substance Abuse Services in~~
19 ~~collaboration with other appropriate public and private agencies and~~
20 ~~organizations.~~

21 SECTION 173. AMENDATORY 63 O.S. 2021, Section 1-550.3,
22 is amended to read as follows:

23 Section 1-550.3. A. The Department of Human Services shall
24 establish and maintain an up-to-date Record of Infants Born Exposed

1 to Alcohol and Other Harmful Substances. Such record shall include
2 data necessary for surveys and scientific research, and other data
3 which is necessary and proper to further the recognition, prevention
4 and treatment of infants born addicted to or prenatally exposed to
5 harmful substances and shall be based upon information collected by
6 the Department as a result of investigations made pursuant to
7 Section 7103 of Title 10 of the Oklahoma Statutes. For purposes of
8 this section, "harmful substances" means an intoxicating liquor or a
9 controlled dangerous substance.

10 B. The Record of Infants Born Exposed to Alcohol and Other
11 Harmful Substances shall include, but not be limited to, the
12 following information:

13 1. The classification of the birth hospital, whether it is
14 public or private;

15 2. Results of the toxicology report on an infant and its mother
16 and, if positive, the type of drug or drugs involved;

17 3. The date of birth, birth weight, gestational age and race of
18 the infant;

19 4. The county of residence;

20 5. The date and county of report;

21 6. Demographic information on the mother including, but not
22 limited to, age, race, education level, marital status, income
23 level, whether prenatal care was received and the type of prenatal
24

1 care received, whether it was private, public health clinic, or
2 hospital clinic;

3 7. Type of treatment, whether the mother was referred for
4 inpatient or outpatient; and

5 8. Whether the child was recommended for removal from custody
6 of the parent.

7 C. Nothing in this section shall be construed to compel any
8 infant or mother reported pursuant to the provisions of this act to
9 submit to any medical examination, treatment, or supervision of any
10 kind.

11 D. The Commission for Human Services shall promulgate rules to
12 carry out the provisions of this section and the Department of Human
13 Services shall adopt agency policy directing employees of the Child
14 Welfare Division within the Department of Human Services to collect
15 and compile any and all data and information gathered from
16 investigations made pursuant to Section 7103 of Title 10 of the
17 Oklahoma Statutes necessary for the purposes of this section.

18 E. The Department of Human Services shall compile and evaluate
19 information received from the reports required pursuant to this
20 section into a report to be electronically distributed on or before
21 January 1 of each year to the Governor, the President Pro Tempore of
22 the Senate, the Speaker of the House of Representatives, and such
23 other persons as the Department deems advisable or necessary
24

1 utilizing the centralized filing system provided for in Section 378
2 of this act.

3 SECTION 174. AMENDATORY 63 O.S. 2021, Section 1-552, is
4 amended to read as follows:

5 Section 1-552. A. The State Department of Health shall make
6 such investigations concerning birth defects and cancer, the
7 prevention and treatment of said diseases or impairments and the
8 mortality resulting from them, and take such action to assist in
9 reducing said mortality as it deems necessary and appropriate.

10 B. The State Department of Health shall compile and evaluate
11 information received from the reports required pursuant to Sections
12 1 and 2 of this act and subsection A of this section in a report to
13 be electronically distributed on or before January 1 of each year to
14 the Governor, the Speaker of the House of Representatives, the
15 President Pro Tempore of the Senate, and to such other person as the
16 Commissioner deems advisable or necessary utilizing the centralized
17 filing system provided for in Section 378 of this act. Copies of
18 such report shall also be made available to the federal government,
19 and to members of the public upon written request.

20 SECTION 175. AMENDATORY 63 O.S. 2021, Section 1-556, is
21 amended to read as follows:

22 Section 1-556. A. The State Department of Health, giving
23 consideration to the recommendations of the Advancement of Wellness
24 Advisory Council created in Section 1-103a.1 of this title, shall be

1 responsible for evaluating and reporting to the Governor and the
2 State Commissioner of Health regarding contracting for statewide
3 services or issues related to breast cancer including, but not
4 limited to:

5 1. Mammography and pap smear screening of women for breast and
6 cervical cancer as an early detection health care measure provided
7 by facilities which are accredited by national organizations that
8 have formed coalitions to issue national cancer screening
9 guidelines;

10 2. Medical referral of screened persons with abnormal breast
11 findings and, to the extent practical, for additional services or
12 assistance for such persons;

13 3. Education and training programs for health care
14 professionals to improve methods for the detection and control of
15 breast and cervical cancer, and to improve communication with breast
16 and cervical cancer patients after diagnosis;

17 4. Annual public education and awareness campaigns to improve
18 the knowledge and health care practices of all Oklahomans with
19 respect to breast and cervical cancer;

20 5. Epidemiological trend studies utilizing the data from the
21 Oklahoma Central Cancer Registry for incidence, prevalence and
22 survival of breast and cervical cancer victims; and

23 6. Outreach to groups with high proportions of uninsured and
24 underinsured women.

1 B. The evaluative efforts of the Advisory Committee with
2 respect to contracts for services specified in subsection A of this
3 section shall provide appropriate oversight and requirements that
4 result in:

5 1. Enhanced quality control standards within facilities which
6 perform diagnostic cancer screening for breast and cervical cancer;
7 and

8 2. Establishment of a fee schedule for breast and cervical
9 cancer screening and diagnosis that complies with accepted
10 Medicare/Medicaid rates and that incorporates a sliding fee payment
11 system to encourage self-responsibility.

12 C. The State Department of Health, giving consideration to the
13 recommendations of the Advancement of Wellness Advisory Council
14 created in Section 1-103a.1 of this title, shall, utilizing the
15 centralized filing system provided for in Section 378 of this act,
16 electronically report to the Governor, the Speaker of the House of
17 Representatives, the President Pro Tempore of the Senate, and the
18 State Commissioner of Health by October 1 of every fifth year,
19 beginning on October 1, 2021, activities completed pursuant to the
20 Oklahoma Breast and Cervical Cancer Act during the prior five (5)
21 fiscal years including a report of the revolving funds expended on
22 related activities. The report may identify populations at highest
23 risk for breast or cervical cancer, priority strategies, and
24 emerging technologies including newly introduced therapies and

1 preventive vaccines that are effective in preventing and controlling
2 the risk of breast and cervical cancer, and any recommendations for
3 additional funding, if necessary, to provide screenings and
4 treatment for breast and cervical cancer for uninsured and
5 underinsured women. The report may further recommend strategies or
6 actions to reduce the costs of breast and cervical cancer in this
7 state.

8 D. The Advancement of Wellness Advisory Council shall evaluate
9 the prospective termination or continuation of its ongoing duties on
10 October 1, 2008. Such evaluation shall be made based on the
11 successful implementation of breast and cervical cancer reduction
12 plans ~~and/or~~ or achievement of significant reductions in breast and
13 cervical cancer morbidity and mortality in this state.

14 SECTION 176. AMENDATORY 63 O.S. 2021, Section 1-740.11,
15 is amended to read as follows:

16 Section 1-740.11. A. Before July 1, 2007, the State Department
17 of Health shall establish and implement a program to facilitate
18 funding to nongovernmental entities that provide alternatives-to-
19 abortion services. The services ~~must~~ shall be outcome-based with
20 positive outcome-based results.

21 B. ~~During the~~ On or before December 1, 2006 interim, and
22 annually thereafter, the State Department of Health shall ~~make~~
23 annual reports, utilizing the centralized filing system provided for
24 in Section 378 of this act, electronically report to the Speaker of

1 the House of Representatives and the President Pro Tempore of the
2 Senate regarding the status of the alternatives-to-abortion services
3 funding, ~~the first of which must be made by December 1, 2006.~~

4 C. The Department may contract with nongovernmental health care
5 and special service organizations to provide services offered under
6 the program. The services ~~must~~ shall be outcome-based with positive
7 outcome-based results. The Department may not contract with a
8 provider of adoption services not licensed by the state.

9 D. The State Department of Health shall promulgate rules
10 necessary to implement the provisions of this act.

11 E. As used in this section, "alternatives-to-abortion services"
12 means those services that promote childbirth instead of abortion by
13 providing information, counseling, and support services that assist
14 pregnant women or women who believe they may be pregnant to choose
15 childbirth and to make informed decisions regarding the choice of
16 adoption or parenting with respect to their children.

17 The information, counseling and services provided under this
18 program may include, but are not limited to:

- 19 1. Medical care;
- 20 2. Nutritional services;
- 21 3. Housing assistance;
- 22 4. Adoption services;
- 23 5. Educational and employment assistance, including services
24 that support the continuation and completion of high school;

1 6. Child care assistance; and

2 7. Parenting education and support services.

3 SECTION 177. AMENDATORY 63 O.S. 2021, Section 1-753, is
4 amended to read as follows:

5 Section 1-753. Contingent on the availability of funds being
6 appropriated by the Legislature specifically for this purpose, the
7 State Department of Health shall:

8 1. Develop and make available materials designed to provide
9 accurate, scientifically verifiable information concerning the
10 probable anatomical and physiological characteristics of the unborn
11 child at two-week gestational intervals. The Department may utilize
12 as a resource the material dealing with characteristics of the
13 unborn child created pursuant to Section 1-738.3 of Title 63 of the
14 Oklahoma Statutes and as located on the website www.awomansright.org
15 under the link "Characteristics of the Unborn Child";

16 2. Develop and distribute educational and informational
17 materials to provide public information through public service
18 announcements, media, and otherwise for the purpose of achieving an
19 abortion-free society. Such materials shall be developed from the
20 most readily available, accurate, and up-to-date information and
21 shall clearly and consistently teach that abortion kills a living
22 human being. All efforts by the Department in this regard shall be
23 electronically reported annually to the Chair and Vice Chair of the
24 Senate Health and Human Services Committee and the House Public

1 Health Committee utilizing the centralized filing system provided
2 for in Section 378 of this act;

3 3. Provide technical assistance to help community-based
4 organizations in the planning and implementation of abortion
5 prevention, alternatives to abortion referral, and education
6 programs regarding the humanity of the unborn child;

7 4. Provide outreach, consultation, training, and alternatives
8 to abortion referral services to schools, organizations, and members
9 of the community;

10 5. Distribute educational and informational material concerning
11 maternal behavior during pregnancy which is helpful to a human child
12 in utero, including avoidance of tobacco, alcohol, and other drugs;
13 proper nutrition and prenatal vitamins; and utilization of and
14 resources available for prenatal medical and wellness care; and

15 6. Recommend to the State Department of Education
16 scientifically verifiable information concerning the unborn child in
17 the educational standards of science, family and consumer sciences
18 and health classes.

19 SECTION 178. AMENDATORY 63 O.S. 2021, Section 1-756.8,
20 is amended to read as follows:

21 Section 1-756.8. A. For the purpose of promoting maternal
22 health and adding to the sum of medical and public health knowledge
23 through the compilation of relevant data, a report of each drug-
24 induced abortion performed shall be made to the State Department of

1 Health on forms prescribed by it. The reports shall be completed by
2 the hospital or other licensed facility in which the abortion-
3 inducing drug was given, sold, dispensed, administered, or otherwise
4 provided or prescribed; signed by the qualified physician who gave,
5 sold, dispensed, administered, or otherwise provided or prescribed
6 the abortion-inducing drug; and transmitted to the Department within
7 fifteen (15) days after each reporting month.

8 B. Each report shall include, at minimum, the following
9 information:

10 1. Identification of the qualified physician who provided the
11 abortion-inducing drug;

12 2. Whether the chemical abortion was completed at the hospital
13 or licensed facility in which the abortion-inducing drug was
14 provided or at an alternative location;

15 3. The referring physician, agency, or service, if any;

16 4. The pregnant woman's age and race;

17 5. The number of previous pregnancies, number of live births
18 and number of previous abortions of the pregnant woman;

19 6. The probable gestational age of the unborn child as
20 determined by both patient history and by ultrasound results used to
21 confirm the gestational age. The report shall include the date of
22 the ultrasound and gestational age determined on that date;

1 7. The abortion-inducing drug or drugs used, the date each was
2 provided to the pregnant woman and the reason for the abortion, if
3 known;

4 8. Preexisting medical conditions of the pregnant woman which
5 would complicate her pregnancy, if any;

6 9. Whether the woman returned for a follow-up examination to
7 determine completion of the abortion procedure and to assess
8 bleeding and the date and results of any such follow-up examination,
9 and what reasonable efforts were made by the qualified physician to
10 encourage that she return for a follow-up examination if she did
11 not;

12 10. Whether the woman suffered any complications, and what
13 specific complications arose and any follow-up treatment needed; and

14 11. The amount billed to cover the treatment for specific
15 complications including whether the treatment was billed to
16 Medicaid, private insurance, private pay, or other method. This
17 shall include charges for any physician, hospital, emergency room,
18 prescription, or other drugs, laboratory tests, and any other costs
19 for treatment rendered.

20 C. Reports required under this subsection shall not contain:

21 1. The name of the pregnant woman;

22 2. Common identifiers such as her social security number or
23 driver license number; or
24

1 3. Other information or identifiers that would make it possible
2 to identify, in any manner or under any circumstances, a woman who
3 has obtained or seeks to obtain a chemical abortion.

4 D. If a qualified physician provides an abortion-inducing drug
5 to a pregnant woman for the purpose of inducing an abortion as
6 authorized in Sections 2 and 3 of this act, and if the qualified
7 physician knows that the woman who uses the abortion-inducing drug
8 for the purpose of inducing an abortion experiences, during or after
9 the use of the abortion-inducing drug, an adverse event, the
10 qualified physician shall provide a written report of the adverse
11 event within three (3) days of the event to the Food and Drug
12 Administration via the Medwatch Reporting System, and to the
13 Department and to the State Board of Medical Licensure and
14 Supervision.

15 E. Any physician, qualified physician, associated physician, or
16 other healthcare provider who treats a woman, either
17 contemporaneously to or at any time after the procedure, for an
18 adverse event or complication related to a chemical abortion shall
19 make a report of the adverse event to the Department on forms
20 prescribed by it. The reports shall be completed by the hospital or
21 other facility in which the adverse event treatment was provided;
22 signed by the physician, qualified physician, or other healthcare
23 provider who treated the adverse event; and transmitted to the
24 Department within (15) days after each reporting month.

1 F. The Department shall prepare and, utilizing the centralized
2 filing system provided for in Section 378 of this act,
3 electronically submit a comprehensive annual statistical report ~~for~~
4 to the Legislature based upon the data gathered from reports under
5 this section. The aggregated data shall also be made available to
6 the public by the Department in a downloadable format.

7 G. The Department shall summarize aggregate data from the
8 reports required under this act and submit the data to the Centers
9 for Disease Control and Prevention.

10 H. Reports filed pursuant to this section shall be public
11 records and shall be available to the public in accordance with the
12 confidentiality and public records reporting laws of this state.
13 Copies of all reports filed under this subsection shall be available
14 to the State Board of Medical Licensure and Supervision, State Board
15 of Pharmacy, state law enforcement offices, and child protective
16 services for use in the performance of their official duties.

17 I. Absent a valid court order or judicial subpoena, neither the
18 Department, any other state department, agency, or office nor any
19 employees thereof shall compare data concerning abortions or
20 abortion complications maintained in an electronic or other
21 information system file with data in any other electronic or other
22 information system with the intention of identifying, in any manner
23 or under any circumstances, a woman obtaining or seeking to obtain a
24 drug-induced abortion.

1 J. Statistical information that may reveal the identity of a
2 woman obtaining or seeking to obtain a drug-induced abortion shall
3 not be publicly disclosed by the Department, any other state
4 department, agency, office, or any employee or contractor thereof.

5 K. Copies of all reports filed under this section shall be
6 available to the Department and the State Board of Medical Licensure
7 and Supervision for use in the performance of its official duties.

8 L. The Department shall communicate the reporting requirements
9 in this section to all medical professional organizations, licensed
10 physicians, hospitals, emergency rooms, abortion facilities,
11 clinics, ambulatory surgical facilities, and other healthcare
12 facilities operating in this state.

13 M. Any physician including emergency medical personnel, who
14 treats a woman for complications or adverse event arising from an
15 abortion, shall file a written report as required by this section of
16 this act with the Department.

17 N. A physician filing a written report with the Department
18 after treating a woman for complications or otherwise in an
19 emergency capacity shall make reasonable efforts to include all of
20 the required information that may be obtained without violating the
21 privacy of the woman.

22 SECTION 179. AMENDATORY 63 O.S. 2021, Section 1-2530.9,
23 is amended to read as follows:
24

1 Section 1-2530.9. A. There is hereby created in the State
2 Treasury a revolving fund for the State Department of Health to be
3 designated the "Trauma Care Assistance Revolving Fund". The fund
4 shall be a continuing fund, not subject to fiscal year limitations,
5 and shall consist of all monies received by the State Department of
6 Health from monies apportioned thereto for purposes of this section.
7 All monies accruing to the credit of the fund are hereby
8 appropriated and may be budgeted and expended by the Department as
9 follows:

10 1. Ninety percent (90%) of such monies shall be used to
11 reimburse recognized trauma facilities, licensed ambulance service
12 providers, and physicians for uncompensated trauma care expenditures
13 as documented in the statewide emergency medical services and trauma
14 analysis system developed pursuant to the provisions of Section 1-
15 2511 of this title. In lieu of or in combination with reimbursement
16 for uncompensated care, monies from the fund may also be used to
17 support readiness costs incurred by recognized trauma facilities
18 associated with ensuring a stable trauma care system with
19 availability of twenty-four-hour physician services for the
20 provision of trauma care. Any monies used for the treatment of
21 Medicaid-eligible patients that are subsequently used to establish
22 federal matching fund requirements shall also be reimbursed to
23 eligible trauma facilities, licensed ambulance service providers,
24 and physicians; and

1 2. Ten percent (10%) of such monies shall be used by the
2 Department in the furtherance of its powers and duties set forth in
3 the Oklahoma Emergency Response Systems Development Act.

4 B. Expenditures from the fund shall be made upon warrants
5 issued by the State Treasurer against claims filed as prescribed by
6 law with the Director of the Office of Management and Enterprise
7 Services for approval and payment.

8 C. The State Board of Health shall establish by rule a formula
9 and procedure for the distribution of funds for uncompensated trauma
10 care ~~and/or~~ or readiness costs that shall provide for the allocation
11 of funds to hospitals, ambulance service providers, and physicians.

12 D. Annually, monies accumulated in the fund may be transferred
13 to the Oklahoma Health Care Authority, by order of the State
14 Commissioner of Health, to maximize Medicaid reimbursement of trauma
15 care. The Oklahoma Health Care Authority shall use these funds with
16 federal matching funds to reimburse hospitals, ambulance service
17 providers and physicians for trauma care provided to severely
18 injured patients who are participants in Medicaid.

19 E. An annual report detailing the disbursements from the fund
20 shall be electronically provided on January 1 of each year to the
21 Speaker of the House of Representatives, the President Pro Tempore
22 of the Senate, and the Chair of each health-related committee of
23 both the House of Representatives and the Senate utilizing the
24 centralized filing system provided for in Section 378 of this act.

1 SECTION 180. AMENDATORY 63 O.S. 2021, Section 1-2712, is
2 amended to read as follows:

3 Section 1-2712. A. 1. The State Department of Health shall
4 administer the Oklahoma Dental Loan Repayment Program.

5 2. The Program, depending upon available funding, shall provide
6 educational loan repayment assistance for up to a total of twenty-
7 five full-time equivalent Oklahoma licensed dentists per year
8 including new and continuing contract renewable participants.

9 3. Each award shall be for a contracted period and shall be
10 distributed to the participant by drafts made payable to the
11 participant for deposit to an appropriate loan agency in equal
12 monthly disbursements, not to exceed Fifty Thousand Dollars
13 (\$50,000.00) per year for a maximum five-year period. Prior to any
14 disbursement, the Department shall certify and properly review
15 monthly reports submitted by the participating dentist detailing
16 performance of activities in accordance with the Oklahoma Dental
17 Loan Repayment Act.

18 4. At the conclusion of the minimum service obligation, the
19 Department shall review the performance in the Program of the
20 participating dentist and determine whether an award may be granted
21 for an additional period not to exceed a total participation in the
22 Program of five (5) years pursuant to rules promulgated by the
23 Department.

24

1 B. Any dentist entering the Program each year as a nonfaculty
2 participant shall agree to provide dental care and services to
3 Medicaid recipients as authorized by the Oklahoma Health Care
4 Authority. The Department shall be responsible for ensuring that at
5 least thirty percent (30%) of the patients treated by the dentist
6 will be Medicaid recipients.

7 1. Any general practice dentist entering the Program each year
8 as a nonfaculty participant shall agree to provide dental care and
9 services in a designated Dental Health Professional Shortage Area
10 (DHPSA) of this state.

11 2. Any dentist licensed to practice as a Pediatric Dentistry
12 Specialist as defined by the State Dental Act or any dentist
13 practicing in a Federally Qualified Health Center (FQHC), FQHC look-
14 alike, county health department or city-county health department may
15 be exempt from the requirement to practice in a Dental Health
16 Professional Shortage Area (DHPSA).

17 C. A dentist entering the Program as a faculty participant
18 shall agree to teach at the University of Oklahoma College of
19 Dentistry. In the event there are no appropriate faculty
20 applicants, the Program may award additional nonfaculty dentists.

21 D. A dentist shall be eligible to participate in the Program if
22 the dentist:

23 1. Is a new dental school graduate. Preference will be given
24 to graduates of the University of Oklahoma College of Dentistry;

2. Is licensed to practice dentistry in Oklahoma; and

3. Has demonstrated financial need.

E. The dentist shall execute a contract with the Department to provide dental services pursuant to the terms of the contract and in accordance with rules promulgated by the Department.

F. If the dentist does not fulfill the service obligation, the Department may collect from the participant the entire amount of loan payments made under the Program plus interest.

G. The Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically present a report on the operation of the Program to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate within one (1) month of the beginning of each regular session of the Legislature including but not limited to the progress made in accomplishing the goal of the Program.

SECTION 181. AMENDATORY 63 O.S. 2021, Section 1-2721, as last amended by Section 1, Chapter 184, O.S.L. 2024 (63 O.S. Supp. 2025, Section 1-2721), is amended to read as follows:

Section 1-2721. A. 1. The Health Care Workforce Training Commission shall administer the Oklahoma Medical Loan Repayment Program.

2. For the purposes of this section, "primary care physicians" shall mean physicians practicing in family medicine, geriatrics,

1 general internal medicine, general pediatrics,
2 obstetrics/gynecology, emergency medicine, or general surgery.

3 3. For the purposes of this section, "health center" shall mean
4 a Federally Qualified Health Center as defined by 42 U.S.C., Section
5 1905(1) (2) (B).

6 4. For the purposes of this section, "teaching health center"
7 shall mean a health center that supports the residencies of primary
8 care physicians within the operations of the health center.

9 5. The program, depending upon and limited to available
10 funding, shall provide educational loan repayment assistance to
11 Oklahoma-licensed primary care physicians, physician assistants, and
12 certified nurse practitioners who agree to establish a practice in a
13 community located in Oklahoma approved by the Commission.

14 6. Each award of educational loan repayment assistance shall be
15 for a contracted period and shall be distributed to the participant
16 by drafts made payable to the participant at the end of each
17 contract year with disbursements not to exceed an amount to be
18 established annually by the Commission. Prior to any disbursement,
19 the Commission shall certify and properly review reports submitted
20 by the participating physician, physician assistant, or certified
21 nurse practitioner detailing performance of activities in accordance
22 with the program.

23 7. The Commission shall review the performance in the program
24 of the participating physician, physician assistant, or certified

1 nurse practitioner and determine whether an award may be granted for
2 additional years pursuant to rules promulgated by the Commission.

3 B. The physicians, physician assistants, and certified nurse
4 practitioners entering the program each year shall agree to provide
5 medical care and services in areas designated by the Commission to
6 provide medical care and services to Medicaid recipients as
7 authorized by the Oklahoma Health Care Authority.

8 C. A physician, physician assistant, or certified nurse
9 practitioner shall be eligible to participate in the loan repayment
10 program if the individual:

11 1. Is a physician, physician assistant, or certified nurse
12 practitioner who holds a current Oklahoma medical license;

13 2. Is a new primary care graduate physician, physician
14 assistant, or certified nurse practitioner. Preference will be
15 given to graduates of the primary care residency programs affiliated
16 with the Oklahoma State University College of Osteopathic Medicine,
17 the University of Oklahoma College of Medicine, and the teaching
18 hospitals affiliated with both schools of medicine and teaching
19 health centers located in this state; or

20 3. Is a current practicing physician, physician assistant, or
21 certified nurse practitioner and has met criteria established by the
22 Commission.

23 D. The Commission may accept donations of public or private
24 funds to assist in funding the Oklahoma Medical Loan Repayment

1 Program. The Commission may, at its discretion, contract with other
2 public entities and nonprofit corporations for the endowment,
3 management, and administration of such funds.

4 E. The Commission shall, utilizing the centralized filing
5 system provided for in Section 378 of this act, electronically
6 present a report on the operation of the program to the Governor,
7 the Speaker of the Oklahoma House of Representatives, and the
8 President Pro Tempore of the Oklahoma State Senate within one (1)
9 month of the beginning of each regular session of the Legislature,
10 including but not limited to the progress made in accomplishing the
11 goal of the program.

12 SECTION 182. AMENDATORY 63 O.S. 2021, Section 1-2731, is
13 amended to read as follows:

14 Section 1-2731. A. 1. The Department of Mental Health and
15 Substance Abuse Services shall administer the Oklahoma Mental Health
16 Loan Repayment Program.

17 2. The Program, depending upon available funding, shall provide
18 educational loan repayment assistance for mental health or substance
19 abuse treatment providers who provide services in Health
20 Professional Shortage Areas (HPSAs) for mental health.

21 3. Each award shall be for a contracted period and shall be
22 distributed to the participant by drafts made payable to the
23 participant and the appropriate loan agency following a completed
24 year of service. Prior to any disbursement, the Department shall

1 certify and properly review reports submitted by the participating
2 provider detailing performance of activities in accordance with this
3 act.

4 4. At the conclusion of the minimum service obligation, the
5 Department shall review the performance in the Program of the
6 participating mental health or substance abuse provider and
7 determine whether an award may be granted for an additional period
8 not to exceed a total participation in the Program of five (5) years
9 pursuant to rules promulgated by the Board of Mental Health and
10 Substance Abuse Services.

11 B. Any participating mental health or substance abuse treatment
12 provider shall agree to provide mental health or substance abuse
13 treatment services to Medicaid recipients as authorized by the
14 Oklahoma Health Care Authority and individuals lacking health
15 insurance coverage. The Department of Mental Health and Substance
16 Abuse Services shall be responsible for ensuring that at least
17 twenty-five percent (25%) of the patients treated by the provider
18 are Medicaid beneficiaries, uninsured, or a combination of Medicaid
19 and uninsured recipients.

20 C. The mental health or substance abuse treatment provider
21 shall execute a contract with the Department to provide mental
22 health or substance abuse treatment services pursuant to the terms
23 of the contract and in accordance with rules promulgated by the
24 Board.

1 D. The Department shall, utilizing the centralized filing
2 system provided for in Section 378 of this act, electronically
3 present a report on the operation of the Program to the Governor,
4 the President Pro Tempore of the Senate, and the Speaker of the
5 House of Representatives within one (1) month of the beginning of
6 each regular session of the Legislature, including but not limited
7 to the progress made in accomplishing the goal of the Program.

8 SECTION 183. AMENDATORY 63 O.S. 2021, Section 2-805, is
9 amended to read as follows:

10 Section 2-805. A. The State Commissioner of Health shall have
11 the authority to approve physicians conducting clinical trials
12 performed pursuant to the provisions of this act. In the event of a
13 substantial violation of this act, the Commissioner shall provide
14 written notice to the Oklahoma State Bureau of Narcotics and
15 Dangerous Drugs Control and the Governor. The Governor, upon
16 receipt of a notice from the Commissioner, shall have the authority
17 to terminate the operations of a clinical trial found to be in
18 violation of any provision of this act.

19 B. The clinical trials and related research authorized by this
20 act shall adhere to the highest standards of academic research
21 including, but not limited to, peer review of research conducted
22 pursuant to this act.

23 C. Clinical trials and related research authorized by this act
24 shall conclude no later than December 31, 2017. Nothing in this act

1 shall be construed as to permit the continuation of clinical trials
2 after December 31, 2017, without approval by a concurrent resolution
3 approved by the Legislature expressing approval of such
4 continuation.

5 ~~D. The State Commissioner of Health shall submit a report to~~
6 ~~the Chair and Vice Chair of the Senate Health and Human Services~~
7 ~~Committee, the Chair and Vice Chair of the House Alcohol, Tobacco~~
8 ~~and Dangerous Drugs Committee, and the Chair and Vice Chair of the~~
9 ~~House Public Health Committee on or before December 31, 2017. Such~~
10 ~~report shall include a summary of findings from clinical trials~~
11 ~~authorized by this act. The Commissioner shall, upon request by the~~
12 ~~Chair and Vice Chair of the Committees specified in this subsection,~~
13 ~~make available any data, excluding individual health records,~~
14 ~~relating to clinical trials authorized by this act.~~

15 ~~E.~~ The Oklahoma State Bureau of Narcotics and Dangerous Drugs
16 Control, the State Board of Health, and the Oklahoma State Regents
17 for Higher Education shall promulgate rules to implement the
18 provisions of this act.

19 SECTION 184. AMENDATORY 63 O.S. 2021, Section 2-904, is
20 amended to read as follows:

21 Section 2-904. A. District attorneys shall prepare and submit
22 an annual report to the District Attorneys Council showing total
23 deposits and total expenditures in the Drug Possession Diversion
24 Program.

1 B. By September 15 of each year, the District Attorneys Council
2 shall publish an annual report for the previous fiscal year of the
3 Drug Possession Diversion Program. An electronic copy of the report
4 shall be distributed to the President Pro Tempore of the Senate, the
5 Speaker of the House of Representatives and the chairs of the House
6 and Senate Appropriation and Budget Committees utilizing the
7 centralized filing system provided for in Section 378 of this act.

8 Each district attorney shall submit information requested by the
9 District Attorneys Council regarding the Drug Possession Diversion
10 Program. The report shall include the number of charges referred to
11 and accepted into the Drug Possession Diversion Program, the total
12 amount of fees collected and such other information as required by
13 the District Attorneys Council.

14 SECTION 185. AMENDATORY 63 O.S. 2021, Section 2-1001, as
15 last amended by Section 1, Chapter 198, O.S.L. 2025 (63 O.S. Supp.
16 2025, Section 2-1001), is amended to read as follows:

17 Section 2-1001. A. The Attorney General shall have the power
18 and duty to:

19 1. Coordinate and integrate state and local efforts to address
20 overdose deaths and create a body of information to prevent overdose
21 deaths;

22 2. Conduct case reviews of deaths of persons eighteen (18)
23 years of age or older due to licit or illicit opioid use in this
24 state;

1 3. Collect, analyze, and interpret state and local data on
2 opioid overdose deaths;

3 4. Develop a state and local database on opioid overdose
4 deaths;

5 5. Improve policies, procedures, and practices within the
6 agencies in order to prevent fatal opioid overdoses and to serve
7 victims of unintentional overdose; and

8 6. Enter into agreements with other state, local, or private
9 entities as necessary to carry out the duties under this section,
10 including, but not limited to, conducting joint reviews with the
11 Child Death Review Board on unintentional overdose cases involving
12 child death and child near-death incidents.

13 B. In carrying out his or her duties and responsibilities, the
14 Attorney General shall:

15 1. Promulgate rules, if necessary, establishing criteria for
16 identifying cases involving an opioid overdose death subject to
17 specific, in-depth review by the Attorney General;

18 2. Conduct a specific case review of those cases where the
19 cause of death is or may be related to overdose of opioid drugs;

20 3. Establish and maintain statistical information related to
21 opioid overdose deaths including, but not limited to, demographic
22 and medical diagnostic information;

23 4. Establish procedures for obtaining initial information
24 regarding opioid overdose deaths from law enforcement agencies;

1 5. Review the policies, practices, and procedures of medical
2 systems and law enforcement systems and other overdose protection
3 and prevention systems, and make specific recommendations to those
4 entities for actions necessary for the improvement of the system;

5 6. Request and obtain a copy of all records and reports
6 pertaining to an adult whose case is under review including, but not
7 limited to:

- 8 a. the report of the medical examiner,
- 9 b. hospital records,
- 10 c. school records,
- 11 d. court records,
- 12 e. prosecutorial records,
- 13 f. local, state, and federal law enforcement records
14 including, but not limited to, the Oklahoma State
15 Bureau of Investigation (OSBI) and Oklahoma State
16 Bureau of Narcotics and Dangerous Drugs Control (OBN),
- 17 g. fire department records,
- 18 h. State Department of Health records, including birth
19 certificate records,
- 20 i. medical and dental records,
- 21 j. Department of Mental Health and Substance Abuse
22 Services and other mental health records,
- 23 k. emergency medical service records,
- 24 l. files of the Department of Human Services, and

1 m. records in the possession of the Child Death Review
2 Board when conducting a joint review in accordance
3 with paragraph 6 of subsection A of this section.

4 Confidential information or records provided to the Attorney General
5 shall be maintained by the Attorney General in a confidential manner
6 as otherwise required by state and federal law. Any person damaged
7 by disclosure of such confidential information by the Attorney
8 General or any employees or contractors of the Office of the
9 Attorney General which is not authorized by law may maintain an
10 action for damages, costs, and attorney fees pursuant to The
11 Governmental Tort Claims Act;

12 7. Maintain all confidential information, documents and records
13 in possession of the Attorney General as confidential and not
14 subject to subpoena or discovery in any civil or criminal
15 proceedings; provided however, information, documents, and records
16 otherwise available from other sources shall not be exempt from
17 subpoena or discovery through those sources solely because such
18 information, documents, and records were presented to or reviewed by
19 the Attorney General;

20 8. Conduct reviews of specific cases of opioid overdose deaths
21 and request the preparation of additional information and reports as
22 determined to be necessary by the Attorney General including, but
23 not limited to, clinical summaries from treating physicians,
24 chronologies of contact, and second-opinion autopsies;

1 9. ~~Report~~ Utilizing the centralized filing system provided for
2 in Section 378 of this act, electronically report to the Governor,
3 the President Pro Tempore of the Senate, and the Speaker of the
4 House of Representatives any information and guidance regarding the
5 prevention and protection system to advise on changing trends in
6 overdose rates, substances, methods, or any other factor impacting
7 overdose deaths, including any systemic issue within the medical,
8 law enforcement, or other relevant systems discovered by the
9 Attorney General while performing his or her duties; and

10 10. Exercise all incidental powers necessary and proper for the
11 implementation and administration of this section.

12 C. All discussions of individual cases and any writings
13 produced by or created for the Attorney General in the course of
14 determining a remedial measure to be recommended by the Attorney
15 General, as the result of a review of an individual case of an
16 opioid overdose death, shall be privileged and shall not be
17 admissible in evidence in any proceeding.

18 D. The Attorney General shall submit an annual statistical
19 report on the incidence and causes of opioid overdose deaths in this
20 state for which the Attorney General has completed his or her review
21 during the past calendar year including his or her recommendations,
22 if any, to the medical and law enforcement system. The Attorney
23 General shall also prepare and make available to the public, on an
24 annual basis, a report containing a summary of the activities

1 relating to the review of opioid overdose deaths, the extent to
2 which the state medical and law enforcement system is coordinated,
3 and an evaluation of whether the state is efficiently discharging
4 its responsibilities to prevent opioid overdose deaths. The report
5 shall be completed no later than February 1 of the subsequent year.

6 E. Any entity from which the Attorney General requests records
7 in accordance with paragraph 6 of subsection B of this section shall
8 provide the records to the Attorney General.

9 F. The Attorney General may assign any of the powers and duties
10 in this section or in Section 2-1003 of this title to any of the
11 Attorney General's assistants or employees.

12 SECTION 186. AMENDATORY Section 10, Chapter 322, O.S.L.
13 2023 (63 O.S. Supp. 2025, Section 427.17a), is amended to read as
14 follows:

15 Section 427.17a. A. The Oklahoma Medical Marijuana Authority
16 may operate a quality assurance laboratory for the purpose of
17 conducting compliance testing of medical marijuana businesses
18 licensed in this state.

19 B. The Authority shall utilize the quality assurance laboratory
20 to:

21 1. Provide recommendations for all equipment and standards to
22 be utilized by licensed medical marijuana testing laboratories when
23 testing samples of medical marijuana, medical marijuana concentrate,
24 and medical marijuana products;

1 2. Provide standardized operating procedures when procuring,
2 collecting, extracting, and testing medical marijuana, medical
3 marijuana concentrate, and medical marijuana products;

4 3. Procure, handle, transfer, transport, and test samples taken
5 from medical marijuana licensed businesses;

6 4. Implement the secret shopper program pursuant to Section
7 427.25 of Title 63 of the Oklahoma Statutes; and

8 5. Detect and analyze any compounds that are not among the
9 targeted analytes and are unknown, unidentified, tentatively
10 identified, or known and injurious to human health if consumed.

11 C. In order to fulfill the provisions of subsection A of this
12 section, the Authority may:

13 1. Enter into interlocal agreements with any other government
14 agency pursuant to Section 1001 et seq. of Title 74 of the Oklahoma
15 Statutes;

16 2. Select a laboratory information system through a competitive
17 bidding process pursuant to Section 85.7 of Title 74 of the Oklahoma
18 Statutes; or

19 3. Collect samples from harvest batches that failed testing.

20 D. The quality assurance laboratory may transport and transfer
21 medical marijuana, medical marijuana concentrate, and medical
22 marijuana product for testing between the originating medical
23 marijuana business, the quality assurance laboratory, and other
24

1 licensed medical marijuana testing laboratories pursuant to this
2 section.

3 E. The quality assurance laboratory shall comply with the
4 provisions of the Oklahoma Medical Marijuana and Patient Protection
5 Act when transporting samples of medical marijuana, medical
6 marijuana concentrate, and medical marijuana product for testing
7 between the originating medical marijuana business, the quality
8 assurance laboratory, and other licensed medical marijuana testing
9 laboratories pursuant to this section. Nothing in this section
10 shall require the quality assurance laboratory to apply for and
11 receive a license.

12 F. The Authority shall, utilizing the centralized filing system
13 provided for in Section 378 of this act, electronically submit an
14 annual report to the Legislature on quality assurance activities and
15 results.

16 G. The Authority may promulgate rules necessary for the
17 implementation of a quality assurance laboratory pursuant to this
18 section.

19 SECTION 187. AMENDATORY Section 1, Chapter 321, O.S.L.
20 2024 (63 O.S. Supp. 2025, Section 427.29), is amended to read as
21 follows:

22 Section 427.29. A. There is hereby created the Oklahoma
23 Medical Marijuana Authority Executive Advisory Council.
24

1 B. The Oklahoma Medical Marijuana Authority Executive Advisory
2 Council shall consist of the following members, and all appointees
3 shall serve their terms at the pleasure of the appointing authority
4 and may be removed or replaced without cause:

5 1. One member appointed by the Governor to represent all
6 citizens of this state;

7 2. One member appointed by the Speaker of the Oklahoma House of
8 Representatives, who shall be a citizen from a county with a
9 population under twenty-five thousand (25,000) persons, as
10 determined by the latest Federal Decennial Census;

11 3. One member appointed by the President Pro Tempore of the
12 Oklahoma State Senate, who shall be a citizen from a municipality
13 with a population in excess of seventy-five thousand (75,000)
14 persons, as determined by the latest Federal Decennial Census;

15 4. One member appointed by the Speaker of the Oklahoma House of
16 Representatives, who is a current medical marijuana business license
17 holder;

18 5. One member appointed by the President Pro Tempore of the
19 Oklahoma State Senate, who is a current medical marijuana business
20 license holder; and

21 6. One member appointed by the Governor, who holds a medical
22 marijuana patient license.
23
24

1 C. The Executive Director of the Oklahoma Medical Marijuana
2 Authority shall chair the Advisory Council and provide staff and
3 administrative support to the Advisory Council.

4 D. The Advisory Council shall select a co-chair from the
5 membership of the Advisory Council.

6 E. Each member of the Advisory Council shall serve a term of
7 four (4) years from the date of appointment. Members of the
8 Advisory Council shall not serve more than two consecutive terms.

9 F. A majority of the members of the Advisory Council shall
10 constitute a quorum for the transaction of business and for taking
11 any official actions. Official actions by the Advisory Council
12 shall have a favorable vote by a majority of the members present.

13 G. Appointed members who serve on the Advisory Council shall be
14 exempt from dual-office-holding prohibitions pursuant to Section 6
15 of Title 51 of the Oklahoma Statutes.

16 H. The Advisory Council may advise the Authority of recommended
17 changes to state policy, rules, or statutes.

18 I. The Advisory Council shall prepare and issue a report of its
19 findings and recommendations electronically to the Governor,
20 President Pro Tempore of the Senate, and Speaker of the House by
21 November 1, 2025, and no later than November 1 of each year
22 thereafter utilizing the centralized filing system provided for in
23 Section 378 of this act.
24

1 J. Members appointed pursuant to subsection B of this section
2 shall serve without compensation but shall be reimbursed for
3 expenses incurred in the performance of their duties in accordance
4 with the State Travel Reimbursement Act.

5 K. The Oklahoma Medical Marijuana Authority Executive Advisory
6 Council shall meet as often as necessary to conduct business but
7 shall meet not less than four times a year, with an organizational
8 meeting to be held prior to January 1, 2025.

9 L. Any vacancy occurring on the Oklahoma Medical Marijuana
10 Authority Executive Advisory Council shall be filled for the
11 unexpired term of office in the same manner as provided for in
12 subsection B of this section.

13 M. The Advisory Council shall act in accordance with the
14 provisions of the Oklahoma Open Meeting Act, the Oklahoma Open
15 Records Act, and the Administrative Procedures Act.

16 SECTION 188. AMENDATORY 63 O.S. 2021, Section 683.4, is
17 amended to read as follows:

18 Section 683.4. A. There is hereby created the Oklahoma
19 Department of Emergency Management (OEM). The Governor shall
20 appoint a Director of the Department, with the advice and consent of
21 the Senate, who shall be the head of the Department. The Governor
22 shall fix the salary of the Director, in cooperation with standards
23 promulgated by the Office of Management and Enterprise Services.
24

1 B. The Director may employ personnel and fix their compensation
2 in cooperation with standards promulgated by the Office of
3 Management and Enterprise Services, and may make such expenditures
4 within the appropriation therefor, or from such other available
5 funds as may be necessary to carry out the purposes of the Oklahoma
6 Emergency Management Act of 2003 and other programs specified by
7 law.

8 C. The Director and other personnel of the Department shall be
9 provided with appropriate office space, furniture, equipment,
10 supplies, stationery, and printing in the same manner as provided
11 for personnel of other state agencies.

12 D. The Director, subject to the direction and control of the
13 Governor, shall be the executive head of the Department and shall
14 serve as the chief advisor to the Governor on emergency management
15 and shall:

16 1. Be responsible to the Governor for carrying out the programs
17 as required by law;

18 2. Coordinate the activities of all organizations for emergency
19 management within the state;

20 3. Maintain liaison with and cooperate with the emergency
21 management agencies and organizations of other states and of the
22 federal government;

23 4. Develop and maintain a comprehensive all-hazards mitigation
24 plan for this state;

5. Implement the Oklahoma Hazard Mitigation Program;

6. Have such additional authority, duties, and responsibilities authorized by the Oklahoma Emergency Management Act of 2003 and as may be prescribed by the Governor;

7. Supervise the Office of Volunteerism in accordance with Section 683.26 of this title; and

8. ~~Report~~ Utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report quarterly to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate the balance and outstanding obligations of the State Emergency Fund.

E. The Director shall supervise the formulation, execution, review, and revisions of the state Emergency Operations Plan as provided for by Section 683.2 of this title. The plan shall be reviewed annually and revised as necessary.

SECTION 189. AMENDATORY 63 O.S. 2021, Section 2565, is amended to read as follows:

Section 2565. A. Any agency making decisions on utilization management measures, coverage, reimbursement, or incentive programs shall be required to consult with:

1. Organizations representing patients and people with disabilities, including both self-advocacy organizations and organizations representing patients, prior to proceeding on any

1 measure likely to impact the relevant patient or disability
2 community; and

3 2. Organizations representing patients and people that advocate
4 for the rights of patients to obtain treatment without regard to the
5 patients' quality of life and representatives of organizations that
6 advocate for the rights of older persons to receive health care.

7 B. Any agency making decisions on utilization management
8 measures, coverage, reimbursement, or incentive programs shall
9 ensure that a process is in place to ensure robust stakeholder
10 engagement and full transparency surrounding the provision of any
11 research and analysis relied upon for decision-making that would
12 impact access to health care treatments and services by patient
13 groups provided for in subsection A of this section, including:

14 1. Providing stakeholders with meaningful notice and
15 opportunity to comment on the retention of any vendor providing
16 research and analysis to the agency;

17 2. Subjecting research and analysis relied upon by an agency to
18 meaningful notice and comment process;

19 3. Ensuring deliberation around the coverage or reimbursement
20 for health care treatments and services occurs in open meetings;

21 4. Presenting and releasing any research and analysis relied
22 upon for decision-making in public meetings or publicly released
23 prior to deliberation;

24

1 5. Requiring full disclosure into funding sources and conflicts
2 of interest of any third party providing research and analysis to
3 the state;

4 6. Prohibiting sole-source contracts for research and analysis
5 to ensure reliance on a range of evidence; and

6 7. Preparing an annual report assessing beneficiary access to
7 health care treatments and services. The report shall assess the
8 impact of any form of utilization management on access to care with
9 a specific analysis of the impact on persons with disabilities,
10 chronic illness, and advanced age. The report shall be
11 electronically submitted to the State Legislature utilizing the
12 centralized filing system provided for in Section 378 of this act,
13 be posted on the state Medicaid website, and the agency shall
14 provide an opportunity for public comment.

15 C. Any research and analysis relied upon for decision-making
16 that would impact coverage and access to health care treatments and
17 services shall measure outcomes prioritized by patients and persons
18 with disabilities as required by this section, as well as consider
19 meaningful differences in the characteristics, needs and preferences
20 of patients and persons with disabilities.

21 SECTION 190. AMENDATORY 63 O.S. 2021, Section 3208, is
22 amended to read as follows:

23 Section 3208. A. The Authority shall have the power to:
24

- 1 1. Adopt bylaws and promulgate rules for the regulation of its
2 affairs and the conduct of its business;
- 3 2. Adopt an official seal;
- 4 3. Maintain an office at the University Hospitals;
- 5 4. Sue and be sued, subject to the provisions of The
6 Governmental Tort Claims Act;
- 7 5. Establish rates of payment for hospital and clinical
8 services, which shall provide for exceptions and adjustments in
9 cases where the recipients of services are unable to pay and for
10 whom no third party source of payment is available, and to establish
11 different rates of payment for indigent and nonindigent care;
- 12 6. Enter into cooperative agreements with the Board of Regents
13 of the University of Oklahoma for educational programs, professional
14 staffing, research, and other medical activities and to pass through
15 funds appropriated by the Legislature consistent with past practice;
- 16 7. Make and enter into all contracts necessary or incidental to
17 the performance of its duties and the execution of its powers
18 pursuant to the University Hospitals Authority Act;
- 19 8. Purchase or lease equipment, furniture, materials, and
20 supplies, and incur such other expenses as may be necessary to
21 maintain and operate the hospitals or clinics, or to discharge its
22 duties and responsibilities or to make any of its powers effective;
- 23 9. Acquire by purchase, lease, gift, or by any other manner,
24 and to maintain, use, and operate or to contract for the

1 maintenance, use, and operation of or lease of any and all property
2 of any kind, real, personal, or mixed or any interest therein unless
3 otherwise provided by the University Hospitals Authority Act;

4 10. Appoint such officers, agents, and employees, including but
5 not limited to attorneys, architects, and construction managers, as
6 it deems necessary to operate and maintain the University Hospitals
7 and to prescribe their duties and to fix their compensation;

8 11. Accept grants from the United States of America, or from
9 any corporation or agency created or designated by the United States
10 of America, and, in connection with any such grant, to enter into
11 such agreements as the United States of America or such corporation
12 or agency may require;

13 12. Make and issue bonds and to pledge revenues of the
14 Authority subject to the Oklahoma Bond Oversight and Reform Act.
15 Nothing in the University Hospitals Authority Act shall authorize
16 the issuance of any bonds of the Authority payable other than from
17 revenues of the University Hospitals. Funds appropriated to the
18 University Hospitals shall not be used for issuance of bonds.
19 Authority revenue bonds issued under the provisions of the
20 University Hospitals Authority Act shall not at any time be deemed
21 to constitute a debt of the state or of any political subdivision
22 thereof or a pledge of the faith and credit of the state or of any
23 political subdivision, but such bonds shall be payable solely from
24 the funds herein provided. Such revenue bonds shall contain on the

1 face thereof a statement to the effect that neither the state nor
2 the Authority shall be obligated to pay the same or the interest
3 thereon except from the revenues of the project or projects for
4 which they are issued and that neither the faith and credit nor the
5 taxing power of the state or any political subdivision thereof is
6 pledged, or may hereafter be pledged, to the payment of the
7 principal of or the interest on such bonds. The maximum amount of
8 outstanding bonds at any time shall not exceed Fifty Million Dollars
9 (\$50,000,000.00) unless a greater amount is expressly approved by
10 the Legislature by a concurrent resolution adopted prior to
11 commencing any action in anticipation of issuance of revenue bonds
12 of the University Hospitals Authority for the greater amount;

13 13. Provide for complete financial audits on all accounts of
14 the University Hospitals Authority and to authorize periodic audits
15 by an independent external auditing agency. Such audits to be
16 performed annually in a format approved by the State Auditor and
17 Inspector and all such audits shall be submitted to the State
18 Auditor and Inspector for review. Such audits shall be made in
19 accordance with generally accepted auditing standards and government
20 auditing standards. Financial statements shall be prepared in
21 accordance with generally accepted accounting principles. In
22 addition to said audits, the State Auditor and Inspector, whenever
23 he or she deems it appropriate, and at least once each five (5)
24 years, or upon receipt of a request to do so from the Governor, the

1 Attorney General, the President Pro Tempore of the Senate, the
2 Speaker of the House of Representatives or the Authority shall
3 conduct a special audit of the Authority and the University
4 Hospitals;

5 14. Engage in long-term planning for the operation and
6 management of the University Hospitals;

7 15. Establish petty cash funds and provide for appropriate
8 accounting procedures and controls;

9 16. Contract with national manufacturers, wholesalers and
10 distributors of equipment, drugs, and medical supplies when
11 appropriate to carry out the purposes of the University Hospitals
12 Authority Act;

13 17. Do all other things necessary and proper to implement the
14 provisions of the University Hospitals Authority Act;

15 18. Waive, by such means as the Authority deems appropriate,
16 the exemption from federal income taxation of interest on the
17 Authority's bonds provided by the Internal Revenue Code of 1986, as
18 amended, or any other federal statute providing a similar exemption;

19 19. Arrange for guaranties or insurance of its bonds by the
20 federal government or by any private insurer, and to pay any
21 premiums therefor; and

22 20. Adopt policies for the disposal of surplus property.
23
24

1 B. The University Hospitals Authority shall be subject to the
2 Oklahoma State Finance Act, Section 34 et seq. of Title 62 of the
3 Oklahoma Statutes.

4 C. The Authority shall prepare monthly a "budget vs. actual"
5 report which shows by budget activity the monthly and year-to-date
6 revenues and expenditures compared to budgeted revenues and
7 expenditures. Such report shall be electronically submitted upon
8 request to the Office of Management and Enterprise Services and to
9 the Directors of the House of Representatives Fiscal Division and
10 the Senate Fiscal Division utilizing the centralized filing system
11 provided for in Section 378 of this act.

12 D. The Authority shall be subject to the professional risk
13 management program provided for in Section 85.58A of Title 74 of the
14 Oklahoma Statutes.

15 E. The Authority may enter into contracts for construction and
16 remodeling projects in accordance with applicable statutes and its
17 own administrative rules. The Authority shall have the power to
18 authorize the demolition of any building owned by the Authority upon
19 a finding that the building is no longer suitable for the purposes
20 for which it was intended and that a renovation of the building is
21 not economically justifiable.

22 F. The Authority may provide space, utilities and janitorial
23 services to the Department of Human Services Institutional
24

1 Maintenance and Construction Architecture and Engineering Planning
2 Unit.

3 SECTION 191. AMENDATORY 63 O.S. 2021, Section 3220, is
4 amended to read as follows:

5 Section 3220. The University Hospitals Authority shall,
6 utilizing the centralized filing system provided for in Section 378
7 of this act, electronically submit an annual report to the Governor,
8 the President Pro Tempore of the Senate, and the Speaker of the
9 House of Representatives. Such report shall be submitted in
10 accordance with the requirements for financial statement audits in
11 Section 212A of Title 74 of the Oklahoma Statutes, and shall include
12 an account of the operations and actions of the Authority and an
13 accounting of all revenue received and disbursed by the Authority
14 for the previous fiscal year. The report shall include an
15 accounting of expenses related to each of the following:

16 1. Education and training of students of the University of
17 Oklahoma, resident physicians and others;

18 2. Care and treatment of indigents for whom the Authority
19 receives any form of state or federal reimbursement; and

20 3. Research.

21 SECTION 192. AMENDATORY 63 O.S. 2021, Section 3224, is
22 amended to read as follows:

23 Section 3224. A. The State of Oklahoma expressly approves the
24 creation of a public trust to be denominated the "University

Hospitals Trust", of which the State of Oklahoma shall be the beneficiary, provided such approval shall be contingent upon the following conditions being satisfied:

1. Finalizing of the Declaration of Trust;

2. Adoption of the Declaration of Trust by an official action of the trustees of the Trust;

3. Submission of the Trust for acceptance of the beneficial interest and approval as required by Section 177 of Title 60 of the Oklahoma Statutes; and

4. The approved Declaration of Trust shall:

a. clearly state that the principal purpose of the University Hospitals Trust is to effectuate the purposes of the University Hospitals Authority as established in the University Hospitals Authority Act,

b. except as otherwise provided by law, provide that the fee simple title to real property held by the University Hospitals Authority shall not be transferred, conveyed, or assigned to the University Hospitals Trust without the express consent of the Legislature as the governing entity of the beneficiary pursuant to Section 176 of Title 60 of the Oklahoma Statutes,

c. provide that any indebtedness incurred by the University Hospitals Trust or the trustees of the

- 1 Trust shall not be secured with or create a lien upon
2 real property to which title is held by the University
3 Hospitals Authority and shall not involve the bonding
4 capacity of the University Hospitals Authority,
- 5 d. provide that the trust estate of the University
6 Hospitals Trust shall not include fee simple title to
7 real property owned by the University Hospitals
8 Authority,
- 9 e. clearly state that the creation of the University
10 Hospitals Trust shall not in any way reduce, limit or
11 interfere with the power granted to the University
12 Hospitals Authority in the University Hospitals
13 Authority Act,
- 14 f. provide that any lease or contractual agreement
15 involving use of the real property to which title is
16 held by the University Hospitals Authority and any
17 improvements thereto shall contain a provision and
18 covenants requiring the proper maintenance and upkeep
19 of the real property and improvements,
- 20 g. provide that the trustees of the University Hospitals
21 Trust shall be the acting members of the University
22 Hospitals Authority as provided in the University
23 Hospitals Authority Act, and
24

1 h. provide that the trustees of the University Hospitals
2 Trust shall have the duty to, utilizing the
3 centralized filing system provided for in Section 378
4 of this act, electronically submit an annual report to
5 the Governor, the President Pro Tempore of the Senate,
6 and the Speaker of the House of Representatives. The
7 report shall be submitted by January 1 of each year
8 and shall include an account of all operations,
9 actions of the Trust, account of all revenue received
10 and disbursed by the Trust for the previous fiscal
11 year. The report shall also provide a complete
12 accounting of how the Trust meets its primary function
13 of effectuating the purposes of the University
14 Hospitals Authority, as established in the University
15 Hospitals Authority Act.

16 B. The University Hospitals Trust shall require any agreements
17 which it enters into with any entity pursuant to Section 3226 of
18 this title for the operations of facilities leased by the University
19 Hospitals Authority to the Trust to include, but not be limited to:

20 1. The inclusion of four of the five members of the Trust as
21 four of the five members representing the State of Oklahoma as state
22 appointees to the governing committee created pursuant to a proposed
23 agreement;

1 2. Binding arbitration shall not be involved in such agreements
2 for resolving issues under consideration by the governing committee;
3 and

4 3. Major decisions shall be resolved by the governing
5 committee, and approval of any major decision by the governing
6 committee ~~must~~ shall include the approval of a majority of the state
7 appointees and the approval of a majority of the members of the
8 private entity appointees to the governing committee. Major
9 decisions shall include:

- 10 a. approval of the annual operating and capital budgets,
- 11 b. sale or disposition of assets that individually have a
12 fair market value over Two Hundred Fifty Thousand
13 Dollars (\$250,000.00),
- 14 c. the termination or transfer or material addition or
15 material diminution of medical services at the
16 Oklahoma Medical Center related to and part of a
17 teaching program of the University of Oklahoma Health
18 Sciences Center, and
- 19 d. other major decisions as may be agreed upon by the
20 Trust and the private entity.

21 C. To the extent it is determined by legislative enactment that
22 the Trust has expended funds in contravention of its mission as set
23 forth in this section, the Trust shall remit, upon thirty (30) days'

1 written notice from the University Hospitals Authority, such sum or
2 sums to the University Hospitals Authority.

3 D. In the event the Trust enters into a joint venture or
4 acquires an interest in a not-for-profit entity to effectuate the
5 administration of the mission of the Trust, that entity shall not be
6 subject to the Oklahoma Open Meeting Act and the Oklahoma Open
7 Records Act. Any information submitted to or compiled by the Trust
8 with respect to marketing plans, financial statements, trade
9 secrets, research concepts, methods, or products or any other
10 proprietary information submitted to or compiled by the Trust,
11 persons, firms, associations, partnerships, agencies, corporations,
12 institutions of higher education, nonprofit research institutions,
13 or other entities shall be confidential, except to the extent that
14 the person or entity which provided such information or which is the
15 subject of such information consents to disclosure. Executive
16 sessions may be held to discuss such materials if deemed necessary
17 by the Trust. The provisions of this subsection shall not apply to
18 budgetary information related to appropriations or the
19 appropriations process.

20 E. In addition to the powers and exemptions granted to state
21 beneficiary public trusts organized under Section 176 et seq. of
22 Title 60 of the Oklahoma Statutes, the Trust shall possess all the
23 statutory powers and exemptions provided to the University Hospitals
24 Authority.

1 F. The Trust shall have the authority or may contract with a
2 joint operator or with a foundation supporting the programs of
3 Oklahoma Children's Hospital to sell naming rights to property owned
4 or leased by the Trust, provided proceeds from the sale of naming
5 rights are used to effectuate the purposes of the University
6 Hospitals Authority as established in the University Hospitals
7 Authority Act and are specifically approved by the Trust, which
8 shall have absolute discretion in granting or denying naming rights.
9 Naming rights shall not include any interest in the property by the
10 purchaser other than the naming rights.

11 SECTION 193. AMENDATORY 63 O.S. 2021, Section 3229, is
12 amended to read as follows:

13 Section 3229. With respect to the provisions of paragraph 30 of
14 Section 1356 of Title 68 of the Oklahoma Statutes as amended by
15 Enrolled Senate Bill No. 79 of the 1st Session of the 58th Oklahoma
16 Legislature, the University Hospitals Authority shall, utilizing the
17 centralized filing system provided for in Section 378 of this act,
18 electronically report the total value of the sales tax exemption
19 from the prior fiscal year to the Governor, the Speaker of the House
20 of Representatives, the President Pro Tempore of the Senate, the
21 Chair of the House Appropriations and Budget Committee or successor
22 committee, and the Chair of the Senate Appropriations Committee or
23 successor committee as part of its annual budget and performance
24 review materials submitted for the fiscal year beginning July 1,

1 2024, and for fiscal years thereafter. The Authority shall further
2 report the total number of filled resident positions and the number
3 of nursing graduates of the University of Oklahoma Health Sciences
4 Center compared to the baseline numbers for fiscal year 2021 as part
5 of the same report each year. The University Hospitals Trust shall
6 confirm for each fiscal year beginning in fiscal year 2023 that any
7 nonprofit entity which has entered into a joint operating agreement
8 with the Trust and is subject to the provisions of paragraph 30 of
9 Section 1356 of Title 68 of the Oklahoma Statutes has budgeted an
10 amount equal to or greater than the baseline amount for fiscal year
11 2021 for physician and nursing workforce development, and the Trust
12 shall verify that:

13 1. The nonprofit entity subject to these provisions has
14 increased funding to the University of Oklahoma Health Sciences
15 Center College of Medicine in a sufficient amount to support seventy
16 additional medical residency positions by fiscal year 2025 than the
17 baseline amount supported in fiscal year 2021;

18 2. The nonprofit entity subject to these provisions has
19 increased funding to the University of Oklahoma Health Sciences
20 Center College of Nursing in a sufficient amount to support fifty
21 additional Nurse Practitioner graduates by fiscal year 2026 than the
22 baseline amount supported in fiscal year 2021; and

23 3. The nonprofit entity subject to these provisions has
24 increased funding to the University of Oklahoma Health Sciences

1 Center College of Nursing in a sufficient amount to support one
2 hundred ten additional Registered Nurse graduates by fiscal year
3 2024 than the baseline amount supported in fiscal year 2021.

4 SECTION 194. AMENDATORY 63 O.S. 2021, Section 3240.6, is
5 amended to read as follows:

6 Section 3240.6. A. The Community Hospitals Authority shall
7 have the power and duty to:

8 1. Adopt bylaws and promulgate rules for the regulation of its
9 affairs and the conduct of its business;

10 2. Adopt an official seal;

11 3. Maintain an office in one of the participating hospitals for
12 the Community Hospitals Authority at no cost to the Authority;

13 4. Sue and be sued;

14 5. Make and enter into all contracts necessary or incidental to
15 the performance of its duties and the execution of its powers
16 pursuant to the Community Hospitals Authority Act;

17 6. Purchase or lease equipment, furniture, materials, and
18 supplies, and incur such other expenses as may be necessary to
19 discharge its duties and responsibilities or to make any of its
20 powers effective;

21 7. Accept any and all grants from persons and from the United
22 States of America, or from any corporation or agency created or
23 designed by the United States of America, and, in connection with
24

1 any such grant, to enter into such agreements as the United States
2 of America or such corporation or agency may require;

3 8. Accept grants and gifts from private individuals and
4 organizations;

5 9. Provide for complete financial audits on all accounts of the
6 Community Hospitals Authority and to authorize periodic audits by an
7 independent external auditing agency. Such audits shall be
8 performed annually in a format approved by the State Auditor and
9 Inspector, and all such audits shall be submitted to the State
10 Auditor and Inspector for review. Such audits shall be made in
11 accordance with generally accepted auditing standards and government
12 auditing standards. Financial statements shall be prepared in
13 accordance with generally accepted accounting principles. In
14 addition to the audits, the State Auditor and Inspector, whenever
15 the State Auditor deems it appropriate, and at least once each five
16 (5) years, or upon receipt of a request to do so from the Governor,
17 the Attorney General, the President Pro Tempore of the Senate, the
18 Speaker of the House of Representatives or the Authority shall
19 conduct a special audit of the Authority;

20 10. Engage in long-term planning for the operation and
21 management of the Community Hospitals Authority;

22 11. Establish petty cash funds and provide for appropriate
23 accounting procedures and controls; and
24

1 12. Do all other things necessary and proper to implement the
2 provisions of the Community Hospitals Authority Act.

3 B. The Community Hospitals Authority shall be subject to the
4 Oklahoma Budget Law of 1947.

5 C. The Authority shall prepare monthly a "budget vs. actual"
6 report which shows by budget activity the monthly and year-to-date
7 revenues and expenditures compared to budgeted revenues and
8 expenditures. Such report shall be electronically submitted to the
9 Office of Management and Enterprise Services and to the directors of
10 the Fiscal Divisions of the State Senate and the Oklahoma House of
11 Representatives utilizing the centralized filing system provided for
12 in Section 378 of this act.

13 D. The Authority shall be subject to the professional risk
14 management program provided for in Section 85.58A of Title 74 of the
15 Oklahoma Statutes.

16 E. The Authority shall be and is prohibited from issuing bonds
17 or other evidences of indebtedness.

18 F. The Authority shall be and is prohibited from acquiring any
19 real property.

20 SECTION 195. AMENDATORY 63 O.S. 2021, Section 3240.7, is
21 amended to read as follows:

22 Section 3240.7. The Community Hospitals Authority shall,
23 utilizing the centralized filing system provided for in Section 378
24 of this act, electronically submit an annual report to the Governor,

1 the President Pro Tempore of the Senate and the Speaker of the House
2 of Representatives. Such report shall be submitted in accordance
3 with the requirements for financial statement audits in Section 212A
4 of Title 74 of the Oklahoma Statutes, and shall include an account
5 of the operations and actions of the Authority and an accounting of
6 all revenue received and disbursed by the Authority for the previous
7 fiscal year. The report shall include an accounting of expenses
8 related to the care and treatment of indigent persons for whom the
9 Authority receives any form of state or federal reimbursement.

10 SECTION 196. AMENDATORY 63 O.S. 2021, Section 3250.6, is
11 amended to read as follows:

12 Section 3250.6. A. 1. Each community hospital public trust
13 authority shall be a governmental entity and a body politic and
14 corporate with powers of government and with authority to establish
15 and operate a hospital district and to exercise the rights,
16 privileges and functions specified by the Oklahoma Community
17 Hospitals Public Trust Authorities Act and Sections 176 through
18 180.3 of Title 60 of the Oklahoma Statutes.

19 2. Nothing in this subsection shall be construed as authorizing
20 any hospital district to levy or collect taxes or to pledge the
21 credit of the state or any subdivision of this state.

22 B. Each community hospital public trust authority shall have
23 the power to:
24

- 1 1. Adopt bylaws and promulgate rules for the regulation of its
2 affairs and the conduct of its business;
- 3 2. Adopt an official seal;
- 4 3. Act as a vehicle for securing funds for education, indigent
5 medical care, trauma, emergency, and other health care services;
- 6 4. Coordinate the delivery and efficiency of health care
7 services within the hospital district established pursuant to the
8 Oklahoma Community Hospitals Public Trust Authorities Act;
- 9 5. Sue and be sued;
- 10 6. Make and enter into all contracts necessary or incidental to
11 the performance of its duties and the execution of its powers
12 pursuant to the Oklahoma Community Hospitals Public Trust
13 Authorities Act;
- 14 7. Purchase or lease equipment, furniture, materials, and
15 supplies, and incur such other expenses as may be necessary to
16 discharge its duties and responsibilities or to implement the
17 provisions of the Oklahoma Community Hospitals Public Trust
18 Authorities Act;
- 19 8. Accept grants and other funds from agencies of this state
20 and the United States of America, from other government entities, or
21 from any corporation or agency created or designed by the United
22 States or other government entity, and to enter into such agreements
23 as the United States or such corporation or agency may require;

24

1 9. Accept grants and gifts from private individuals and
2 organizations;

3 10. Accept and make intergovernmental transfers authorized by
4 state law. A hospital district may make intergovernmental transfers
5 to the Oklahoma Health Care Authority to the extent permitted by
6 state or federal law;

7 11. Issue bonds and other evidences of indebtedness, and to
8 secure the payment thereof by mortgage, pledge, or deed of trust of,
9 or any other encumbrance upon, any or all of its then-owned or
10 after-acquired real or personal property, assets, franchises, or
11 revenues;

12 12. Become a member of other cooperatives, joint ventures,
13 partnerships, corporations, or other legal entities or to own stock
14 therein;

15 13. Conduct its business and exercise its powers within or
16 without this state;

17 14. Assess fees, levies, assessments, or charges upon and
18 enforce the payment of such fees, levies, assessments, or charges
19 against any hospital located within the geographical boundaries of
20 its hospital district and to remit such monies to the Oklahoma
21 Health Care Authority for purposes of meeting the state's share for
22 the supplemental Medicaid programs to the extent and manner
23 authorized by federal law. Fees, levies, assessments, or charges
24 may be enforced by a community hospital public trust authority

1 through civil action brought in the district court in the county in
2 which the community hospital public trust authority is located;

3 15. Appoint officers, agents, and employees, prescribe their
4 duties and fix their compensation;

5 16. Engage in long-term planning for the operation and
6 management of a community hospital public trust authority;

7 17. Establish petty cash funds as needed and provide for
8 appropriate accounting procedures and controls; and

9 18. Do all other things necessary and proper to implement the
10 provisions of the Oklahoma Community Hospitals Public Trust
11 Authorities Act.

12 C. No director or officer of a community hospital public trust
13 authority shall vote on any issue before the authority in which such
14 director or officer has a direct interest in any contract or for any
15 work by or for the community hospital public trust authority.

16 D. The trustees of each community hospital public trust
17 authority created pursuant to the Oklahoma Community Hospitals
18 Public Trust Authorities Act shall make and adopt bylaws for the due
19 and orderly administration and regulation of the affairs of the
20 community hospital public trust authority. All bylaws and
21 amendments thereto of a community hospital public trust authority
22 shall be electronically submitted in writing to each beneficiary of
23 the community hospital public trust authority, the Governor of this
24 state ~~and to~~, the Speaker of the Oklahoma House of Representatives,

1 and the President Pro Tempore of the State Senate utilizing the
2 centralized filing system provided for in Section 378 of this act.

3 E. No appropriation of state funds shall be made to any
4 community hospital public trust authority. Each authority may
5 receive the funds it may be entitled to receive pursuant to the
6 Medicaid program as administered by the Oklahoma Health Care
7 Authority.

8 F. Each community hospital public trust authority shall comply
9 with:

10 1. The annual budget provisions of the state requiring a
11 balanced budget. A copy of the budget shall be submitted annually
12 to the Governor and to each beneficiary of the community hospital
13 public trust authority;

14 2. The Public Competitive Bidding Act of 1974;

15 3. The Oklahoma Open Records Act;

16 4. The Oklahoma Open Meeting Act; and

17 5. The provisions of Sections 176 through 180.3 of Title 60 of
18 the Oklahoma Statutes and the Community Hospitals Public Trust
19 Authorities Act.

20 G. 1. Each community hospital public trust authority shall
21 provide for complete financial audits on all accounts of the
22 community hospital public trust authority and authorize periodic
23 audits by an independent external auditing agency. Such audits
24 shall be performed annually in a format approved by the State

1 Auditor and Inspector. The audits shall be made in accordance with
2 generally accepted auditing standards and government auditing
3 standards. Financial statements shall be prepared in accordance
4 with generally accepted accounting principles. Such audits shall be
5 submitted to the State Auditor and Inspector and to the beneficiary
6 of the community hospital public trust authority for review.

7 2. In addition to the audits specified by this subsection, the
8 State Auditor and Inspector, whenever the State Auditor and
9 Inspector deems it appropriate, and at least once each five (5)
10 years, or upon receipt of a request to do so from the beneficiary of
11 a community hospital public trust authority, the Governor, the
12 Attorney General, the President Pro Tempore of the Senate, the
13 Speaker of the House of Representatives or the community hospital
14 public trust authority shall conduct a special audit of the
15 authority. Such audit shall be paid from the funds of the community
16 hospital public trust authority.

17 H. 1. Except for acts of dishonesty, no trustee of a community
18 hospital public trust authority shall be charged personally with any
19 liability whatsoever by reason of any act or omission committed or
20 suffered in the performance of such trust or in the operation of the
21 trust property.

22 2. A community hospital public trust authority established
23 pursuant to the provisions of the Oklahoma Community Hospitals
24

1 Public Trust Authorities Act shall be covered by The Governmental
2 Tort Claims Act.

3 3. Officers, employees, agents, independent contractors, and
4 employees of independent contractors of hospitals participating in
5 the hospital district shall not be covered by The Governmental Tort
6 Claims Act. The provisions of this paragraph shall not affect the
7 immunity provided to hospitals or to officers and employees of
8 hospitals covered by Section 152 of Title 51 of the Oklahoma
9 Statutes.

10 4. In no event shall the state, county, or municipality be
11 construed to be or become liable for any act, omission, or
12 obligation of a trustee or of the community hospital public trust
13 authority.

14 I. A community hospital public trust authority may be
15 terminated by agreement of the trustees of this state; provided,
16 that such community hospital public trust authority shall not be
17 terminated while there exists any outstanding contractual
18 obligations chargeable against the trust property.

19 J. 1. Compliance with the provisions of Sections 176 through
20 180.3 of Title 60 of the Oklahoma Statutes and the Oklahoma
21 Community Hospitals Public Trust Authorities Act by a community
22 hospital public trust authority shall be and constitute a binding
23 contract with the county or counties and municipality beneficiaries
24 for the acceptance of the beneficial interest in the trust property

1 by the designated beneficiary and the application of the proceeds of
2 the trust property and its operation for the purposes, and in
3 accordance with the stipulations, of the public trust instrument.

4 2. Each community hospital public trust authority shall be the
5 regularly constituted authority of the beneficiary for the
6 performance of the functions for which the community hospital public
7 trust authority shall have been created.

8 K. 1. A community hospital public trust authority shall have
9 the power and duty to make and issue bonds and to pledge revenues of
10 the community hospital public trust authority subject to the
11 Oklahoma Bond Oversight and Reform Act. Nothing in the Oklahoma
12 Community Hospitals Public Trust Authorities Act shall authorize the
13 issuance of any bonds by a community hospital public trust authority
14 payable other than from revenues of the community hospital public
15 trust authority.

16 2. Community hospital public trust authority revenue bonds
17 issued under the provisions of this subsection shall not at any time
18 be deemed to constitute a debt of the state or of any political
19 subdivision thereof or a pledge of the faith and credit of the state
20 or of any political subdivision, but such bonds shall be payable
21 solely from the funds herein provided.

22 3. Such revenue bonds shall contain on the face thereof a
23 statement to the effect that neither the state nor the community
24 hospital public trust authority shall be obligated to pay the same

1 or the interest thereon except from the revenues of the project or
2 projects for which they are issued and that neither the faith and
3 credit nor the taxing power of the state or any political
4 subdivision thereof is pledged, or may hereafter be pledged, to the
5 payment of the principal of or the interest on such bonds.

6 4. The interest income derived from any obligation issued by a
7 community hospital public trust authority shall be exempt from the
8 tax imposed pursuant to Section 2355 of Title 68 of the Oklahoma
9 Statutes.

10 SECTION 197. AMENDATORY 63 O.S. 2021, Section 3250.7, is
11 amended to read as follows:

12 Section 3250.7. Each community hospital public trust authority
13 shall, utilizing the centralized filing system provided for in
14 Section 378 of this act, electronically submit an annual report to
15 each beneficiary of the authority, the Governor, the President Pro
16 Tempore of the State Senate, and the Speaker of the Oklahoma House
17 of Representatives. Such report shall be submitted in accordance
18 with the requirements for financial statement audits in Section 212A
19 of Title 74 of the Oklahoma Statutes, and shall include an account
20 of the operations and actions of the authority and an accounting of
21 all revenue received and disbursed by the authority for the previous
22 fiscal year.

1 SECTION 198. AMENDATORY 63 O.S. 2021, Section 3276, as
2 amended by Section 2, Chapter 334, O.S.L. 2023 (63 O.S. Supp. 2025,
3 Section 3276), is amended to read as follows:

4 Section 3276. A. The Oklahoma State University Medical
5 Authority shall have the power and duty to:

6 1. Adopt bylaws and promulgate rules for the regulation of its
7 affairs and the conduct of its business;

8 2. Adopt an official seal;

9 3. Maintain an office at a location to be determined by the
10 Authority;

11 4. Sue and be sued, subject to the provisions of The
12 Governmental Tort Claims Act;

13 5. Enter into cooperative agreements with the Board of Regents
14 for the Oklahoma Agricultural and Mechanical Colleges for
15 educational programs, professional staffing, research, and other
16 medical activities;

17 6. Make and enter into all contracts necessary or incidental to
18 the performance of its duties and the execution of its powers
19 pursuant to the Oklahoma State University Medical Authority Act;

20 7. Purchase or lease equipment, furniture, materials, and
21 supplies, and incur such other expenses as may be necessary to
22 maintain and operate hospitals or clinics, or to discharge its
23 duties and responsibilities or to make any of its powers effective;

24

1 8. Acquire by purchase, lease, gift, or by any other manner,
2 and to maintain, use, and operate or to contract for the
3 maintenance, use and operation of or lease of any and all property
4 of any kind, real, personal, or mixed or any interest therein unless
5 otherwise provided by the Oklahoma State University Medical
6 Authority Act;

7 9. Appoint such officers, agents, and employees, including but
8 not limited to attorneys, as it deems necessary and to prescribe
9 their duties and to fix their compensation;

10 10. Accept grants from the United States of America, or from
11 any corporation or agency created or designed by the United States
12 of America, and, in connection with any grant, to enter into such
13 agreements as the United States of America or such corporation or
14 agency may require;

15 11. Make and issue bonds and to pledge revenues of the
16 Authority subject to the Oklahoma Bond Oversight and Reform Act.
17 Nothing in the Oklahoma State University Medical Authority Act shall
18 authorize the issuance of any bonds of the Authority payable other
19 than from revenues of the Authority. Funds appropriated to the
20 Authority shall not be used for issuance of bonds. Authority
21 revenue bonds issued under the provisions of this act shall not at
22 any time be deemed to constitute a debt of the state or of any
23 political subdivision thereof or a pledge of the faith and credit of
24 the state or of any political subdivision, but such bonds shall be

1 payable solely from the funds herein provided. Such revenue bonds
2 shall contain on the face thereof a statement to the effect that
3 neither the state nor the Authority shall be obligated to pay the
4 same or the interest thereon except from the revenues of the project
5 or projects for which they are issued and that neither the faith and
6 credit nor the taxing power of the state or any political
7 subdivision thereof is pledged, or may hereafter be pledged, to the
8 payment of the principal of or the interest on such bonds. The
9 maximum amount of outstanding bonds at any time shall not exceed
10 Fifty Million Dollars (\$50,000,000.00) unless a greater amount is
11 expressly approved by the Legislature by a concurrent resolution
12 adopted prior to commencing any action in anticipation of issuance
13 of revenue bonds of the Oklahoma State University Medical Authority
14 for the greater amount;

15 12. Provide for complete financial audits on all accounts of
16 the Oklahoma State University Medical Authority and to authorize
17 periodic audits by an independent external auditing agency. Such
18 audits shall be performed annually in a format approved by the State
19 Auditor and Inspector, and all such audits shall be submitted to the
20 State Auditor and Inspector for review. Such audits shall be made
21 in accordance with generally accepted auditing standards and
22 government auditing standards. Financial statements shall be
23 prepared in accordance with generally accepted accounting
24 principles. In addition to said audits, whenever the State Auditor

1 and Inspector deems it appropriate, and at least once each five (5)
2 years, or upon receipt of a request to do so from the Governor, the
3 Attorney General, the President Pro Tempore of the Oklahoma State
4 Senate, the Speaker of the Oklahoma House of Representatives or the
5 Authority, the State Auditor and Inspector shall conduct a special
6 audit of the Authority;

7 13. Engage in long-term planning for the operation and
8 management of the Authority;

9 14. Establish petty cash funds and provide for appropriate
10 accounting procedures and controls;

11 15. Contract with national manufacturers and distributors of
12 drugs and medical supplies when appropriate to carry out the
13 purposes of this act;

14 16. Provide funding to other entities for purposes related to
15 public health, teaching, research, and the purposes of the Oklahoma
16 State University Medical Authority Act when provided funding for
17 such purposes by the Legislature;

18 17. Do all other things necessary and proper to implement the
19 provisions of the Oklahoma State University Medical Authority Act;

20 18. Waive, by such means as the Authority deems appropriate,
21 the exemption from federal income taxation of interest on the
22 Authority's bonds provided by the Internal Revenue Code of 1986, as
23 amended, or any other federal statute providing a similar exemption;

1 19. Arrange for guaranties or insurance of its bonds by the
2 federal government or by any private insurer, and to pay any
3 premiums therefor; and

4 20. Make a declaration of necessity as provided in Section 3273
5 of this title. The Authority may, in its exclusive judgment, make a
6 declaration of necessity when such a declaration is deemed necessary
7 to effectuate the purposes of the Oklahoma State University Medical
8 Authority Act.

9 B. The Oklahoma State University Medical Authority shall be
10 subject to the Oklahoma Budget Law of 1947.

11 C. The Authority shall prepare monthly a "budget vs. actual"
12 report which shows by budget activity the monthly and year-to-date
13 revenues and expenditures compared to budgeted revenues and
14 expenditures. Such report shall be electronically submitted to the
15 Office of Management and Enterprise Services and to the Directors of
16 the House of Representatives Fiscal Division and the Senate Fiscal
17 Division utilizing the centralized filing system provided for in
18 Section 378 of this act.

19 D. The Authority shall be subject to the professional risk
20 management program provided for in Section 85.58A of Title 74 of the
21 Oklahoma Statutes.

22 SECTION 199. AMENDATORY Section 1, Chapter 112, O.S.L.
23 2023, as amended by Section 1, Chapter 295, O.S.L. 2024 (63 O.S.
24 Supp. 2025, Section 3278.1), is amended to read as follows:

1 Section 3278.1. A. There is hereby created in the State
2 Treasury a revolving fund for the Oklahoma State University Medical
3 Authority to be designated the "Oklahoma State University Medical
4 Authority Behavioral Health Workforce Development Fund". The fund
5 shall be a continuing fund, not subject to fiscal year limitations,
6 and shall consist of appropriated revenues and private endowments.
7 All monies accruing to the credit of said fund are hereby
8 appropriated and may be budgeted and expended by the Oklahoma State
9 University Medical Authority for the purpose of designing and
10 implementing a pilot program at behavioral health facilities, the
11 purpose of which is to provide for behavioral health workforce
12 development and access to behavioral health professionals as
13 provided by law. The purpose of the pilot program includes, but is
14 not limited to, bed conversion and new beds; renovations at
15 behavioral health facilities to accommodate new licensed acute or
16 residential treatment beds; reallocation of beds from adult acute to
17 child/adolescent acute beds; relocation assistance for licensed
18 behavioral health staff currently living out of state; upskilling
19 existing behavioral health workforce; adding new psychiatric and
20 psychological residencies, internships and post-doctoral training
21 programs; providing social work scholarships; providing mental
22 health nursing scholarships; creating one-time private-sector
23 workforce innovation grants; providing licensure preparation
24 assistance; and creating a behavioral health trauma fund for

1 intensive home and community-based services. Expenditures from the
2 fund shall be made upon warrants issued by the State Treasurer
3 against claims filed as prescribed by law with the Director of the
4 Office of Management and Enterprise Services for approval and
5 payment.

6 B. There is hereby created in the State Treasury a revolving
7 fund for the University Hospitals Authority to be designated the
8 "University Hospitals Authority Behavioral Health Workforce
9 Development Fund". The fund shall be a continuing fund, not subject
10 to fiscal year limitations, and shall consist of appropriated
11 revenues and private endowments. All monies accruing to the credit
12 of said fund are hereby appropriated and may be budgeted and
13 expended by the University Hospitals Authority for the purpose of
14 designing and implementing a pilot program at behavioral health
15 facilities, the purpose of which is to provide for behavioral health
16 workforce development and access to behavioral health professionals
17 as provided by law. The purpose of the pilot program includes, but
18 is not limited to, bed conversion and new beds; renovations at
19 behavioral health facilities to accommodate new licensed acute or
20 residential treatment beds; reallocation of beds from adult acute to
21 child/adolescent acute beds; relocation assistance for licensed
22 behavioral health staff currently living out of state; upskilling
23 existing behavioral health workforce; adding new psychiatric and
24 psychological residencies, internships and post-doctoral training

1 programs; providing social work scholarships; providing mental
2 health nursing scholarships; creating one-time private-sector
3 workforce innovation grants; providing licensure preparation
4 assistance; and creating a behavioral health trauma fund for
5 intensive home and community-based services. Expenditures from the
6 fund shall be made upon warrants issued by the State Treasurer
7 against claims filed as prescribed by law with the Director of the
8 Office of Management and Enterprise Services for approval and
9 payment.

10 C. The Oklahoma State University Medical Authority and the
11 University Hospitals Authority shall prepare and, utilizing the
12 centralized filing system provided for in Section 378 of this act,
13 electronically submit a report ~~for~~ to the Legislature on the results
14 of the first year of funding, including the number of professionals
15 retained and recruited, and the expected benefits of the program.
16 The report shall be electronically delivered to the relevant health
17 care committee and appropriations subcommittee chairs following the
18 first full year of implementation utilizing the centralized filing
19 system provided for in Section 378 of this act.

20 SECTION 200. AMENDATORY 63 O.S. 2021, Section 3285, is
21 amended to read as follows:

22 Section 3285. The Oklahoma State University Medical Authority
23 shall, utilizing the centralized filing system provided for in
24 Section 378 of this act, electronically submit an annual report to

1 the Governor, the President Pro Tempore of the Senate and the
2 Speaker of the House of Representatives. Such report shall be
3 submitted in accordance with the requirements for financial
4 statement audits in Section 212A of Title 74 of the Oklahoma
5 Statutes, and shall include an account of the operations and actions
6 of the Authority and an accounting of all revenue received and
7 disbursed by the Authority for the previous fiscal year. The report
8 shall include an accounting of expenses related to each of the
9 following:

10 1. Education and training of students of the Oklahoma State
11 University, resident physicians and others;

12 2. Care and treatment of patients for whom the Authority
13 receives any form of state or federal reimbursement; and

14 3. Research.

15 SECTION 201. AMENDATORY 63 O.S. 2021, Section 3290, as
16 amended by Section 3, Chapter 334, O.S.L. 2023 (63 O.S. Supp. 2025,
17 Section 3290), is amended to read as follows:

18 Section 3290. A. The State of Oklahoma expressly approves the
19 creation of a public trust to be named the "Oklahoma State
20 University Medical Trust", of which the State of Oklahoma shall be
21 the beneficiary, provided such approval shall be contingent upon
22 satisfaction of the following conditions:

23 1. Finalizing of the declaration of trust;

24

1 2. Adoption of the declaration of trust by an official action
2 of the trustees of the Trust;

3 3. Submission of the Trust for acceptance of the beneficial
4 interest and approval as required by Section 177 of Title 60 of the
5 Oklahoma Statutes; and

6 4. The approved declaration of trust shall:

7 a. clearly state that the principal purpose of the

8 Oklahoma State University Medical Trust is to

9 effectuate the purposes of the Oklahoma State

10 University Medical Authority as established in the

11 Oklahoma State University Medical Authority Act,

12 b. except as otherwise provided by law, provide that the

13 title to real property held by the Oklahoma State

14 University Medical Authority shall not be transferred,

15 conveyed, or assigned to the Oklahoma State University

16 Medical Trust without the express consent of the

17 Legislature as the governing entity of the beneficiary

18 pursuant to Section 176 of Title 60 of the Oklahoma

19 Statutes,

20 c. provide that any indebtedness incurred by the Oklahoma

21 State University Medical Trust or the trustees of the

22 Trust shall not be secured with or create a lien upon

23 real property to which title is held by the Oklahoma

24 State University Medical Authority and shall not

- 1 involve the bonding capacity of the Oklahoma State
2 University Medical Authority,
- 3 d. provide that the trust estate of the Oklahoma State
4 University Medical Trust shall not include fee simple
5 title to real property owned by the Oklahoma State
6 University Medical Authority,
- 7 e. clearly state that the creation of the Oklahoma State
8 University Medical Trust shall not in any way reduce,
9 limit, or interfere with the power granted to the
10 Oklahoma State University Medical Authority in the
11 Oklahoma State University Medical Authority Act,
- 12 f. provide that any lease or contractual agreement
13 involving use of the real property to which title is
14 held by the Oklahoma State University Medical
15 Authority and any improvements thereto shall contain a
16 provision and covenants requiring the proper
17 maintenance and upkeep of the real property and
18 improvements,
- 19 g. provide that the trustees of the Oklahoma State
20 University Medical Trust shall be the acting members
21 of the Oklahoma State University Medical Authority as
22 provided in the Oklahoma State University Medical
23 Authority Act, and
24

1 h. provide that the trustees of the Oklahoma State
2 University Medical Trust shall have the duty to
3 electronically submit an annual report to the
4 Governor, the President Pro Tempore of the Oklahoma
5 State Senate, and the Speaker of the Oklahoma House of
6 Representatives utilizing the centralized filing
7 system provided for in Section 378 of this act. The
8 report shall be submitted by January 1 of each year
9 and shall include an account of all operations,
10 actions of the Trust, account of all revenue received
11 and disbursed by the Trust for the previous fiscal
12 year. The report shall also provide a complete
13 accounting of how the Trust meets its primary function
14 of effectuating the purposes of the Oklahoma State
15 University Medical Authority, as established in the
16 Oklahoma State University Medical Authority Act.

17 B. The Oklahoma State University Medical Trust shall require
18 any agreements which it enters into with any entity pursuant to
19 Section 3292 of this title for the operations of facilities leased
20 by the Oklahoma State University Medical Authority to the Trust to
21 include, but not be limited to:

22 1. The inclusion of all the members of the Trust, except the
23 Chief Executive Officer of the Oklahoma Health Care Authority, as
24 five of the six members representing the State of Oklahoma in a

governing committee, and the sixth member of the governing committee representing the State of Oklahoma to be designated by the President of Oklahoma State University;

2. Binding arbitration shall not be required by such agreements for resolving issues under consideration by the governing committee; and

3. Major decisions shall be resolved by the governing committee, and approval of any major decision by the governing committee ~~must~~ shall include the approval of a majority of the state appointees and the approval of a majority of the private entity appointees to the governing committee. Major decisions shall include:

- a. approval of the operating and capital budgets,
- b. sale or disposition of assets over Five Hundred Thousand Dollars (\$500,000.00),
- c. the termination or transfer or material addition or material diminution of medical services at the Oklahoma State University Medical Center related to and part of a teaching program of the Oklahoma State University Center for Health Sciences, and
- d. other major decisions as may be agreed upon by the Trust and the private entity.

C. To the extent it is determined by legislative enactment that the Trust has expended funds in contravention of its mission as set

1 forth in this section, the Trust shall remit, upon thirty (30) days'
2 written notice from the Oklahoma State University Medical Authority,
3 such sum or sums to the Oklahoma State University Medical Authority.

4 D. In the event the Trust enters into a joint venture or
5 acquires an interest in a not-for-profit entity to effectuate the
6 administration of the mission of the Trust, that entity shall not be
7 subject to the Oklahoma Open Meeting Act and the Oklahoma Open
8 Records Act. Any information submitted to or compiled by the Trust
9 with respect to marketing plans, financial statements, trade
10 secrets, research concepts, methods, or products or any other
11 proprietary information submitted to or compiled by the Trust,
12 persons, firms, associations, partnerships, agencies, corporations,
13 institutions of higher education, nonprofit research institutions,
14 or other entities shall be confidential, except to the extent that
15 the person or entity which provided such information or which is the
16 subject of such information consents to disclosure. Executive
17 sessions may be held to discuss such materials if deemed necessary
18 by the Trust. The provisions of this subsection shall not apply to
19 budgetary information related to appropriations or the
20 appropriations process.

21 SECTION 202. AMENDATORY 63 O.S. 2021, Section 5007, is
22 amended to read as follows:
23
24

1 Section 5007. A. There is hereby created the Oklahoma Health
2 Care Authority Board which shall consist of the following nine (9)
3 members:

4 1. Five members appointed by the Governor;

5 2. Two members appointed by the Speaker of the House of
6 Representatives; and

7 3. Two members appointed by the President Pro Tempore of the
8 Senate.

9 B. Each member shall serve at the pleasure of his or her
10 appointing authority and may be removed or replaced without cause.

11 Any member of the Board shall be prohibited from voting on any issue
12 in which the member has a direct financial interest. The
13 Administrator of the Oklahoma Health Care Authority shall be an ex
14 officio member of the Board, but shall be entitled to vote only in
15 case of a tie vote.

16 C. The Board shall have the power and duty to:

17 1. Establish the policies of the Oklahoma Health Care
18 Authority;

19 2. Adopt and promulgate rules as necessary and appropriate to
20 carry out the duties and responsibilities of the Authority. The
21 Board shall be the rulemaking body for the Authority; and

22 3. Adopt, publish, and, utilizing the centralized filing system
23 provided for in Section 378 of this act, electronically submit by
24 January 1 of each year to the Governor, the President Pro Tempore of

1 the Senate, and the Speaker of the House of Representatives
2 appropriate administrative policies and the business plan for that
3 year. All actions governed by the administrative policies and
4 annual business plan shall be examined annually in an independent
5 audit.

6 D. A majority of the members of the Board shall constitute a
7 quorum for the transaction of business and for taking any official
8 action. Official action of the Board ~~must~~ shall have a favorable
9 vote by a majority of the members present.

10 E. Members appointed pursuant to subsection A of this section
11 shall serve without compensation but shall be reimbursed for
12 expenses incurred in the performance of their duties in accordance
13 with the State Travel Reimbursement Act.

14 F. The Board and the Authority shall act in accordance with the
15 provisions of the Oklahoma Open Meeting Act, the Oklahoma Open
16 Records Act, and the Administrative Procedures Act.

17 SECTION 203. AMENDATORY 63 O.S. 2021, Section 5010, is
18 amended to read as follows:

19 Section 5010. A. The Oklahoma Health Care Authority shall
20 analyze the state-purchased and state-subsidized health care
21 programs and explore options for cost containment and delivery
22 alternatives for those programs that are consistent with the
23 purposes of those programs, including, but not limited to:

24

1 1. Creation of economic incentives for the persons for whom the
2 state purchases or subsidizes health care to appropriately utilize
3 and purchase health care services, including the development of
4 flexible benefit plans to offset increases in individual financial
5 responsibility;

6 2. Utilization of provider arrangements that encourage cost
7 containment and ensure access to quality care, including, but not
8 limited to, prepaid delivery systems, utilization review, and
9 prospective payment methods;

10 3. Coordination of state agency efforts to purchase drugs
11 effectively;

12 4. Development of recommendations and methods for purchasing
13 medical equipment and supporting services on a volume discount
14 basis; and

15 5. Development of data systems to obtain utilization data from
16 state-purchased and state-subsidized health care programs in order
17 to identify cost centers, utilization patterns, provider and
18 hospital practice patterns, and procedure costs.

19 B. 1. The Authority shall prepare ~~for~~ and, utilizing the
20 centralized filing system provided for in Section 378 of this act,
21 electronically submit to the Governor, the Legislature, and the
22 Joint Legislative Oversight Committee for the Oklahoma Health Care
23 Authority an annual report on the savings realized and all costs
24

1 incurred in the implementation of any drug cost containment programs
2 including, but not limited to:

- 3 a. development and implementation of a drug prior
4 authorization list, and
- 5 b. other uses of prior authorizations.

6 2. Costs shall include direct costs such as staffing, contracts
7 and other resources used.

8 SECTION 204. AMENDATORY 63 O.S. 2021, Section 5013, is
9 amended to read as follows:

10 Section 5013. ~~A.~~ The Authority shall serve as a resource for
11 information on state-purchased and state-subsidized health care
12 access, cost containment, and related health issues, and shall:

13 1. Provide data and information required by the Governor, the
14 Legislature, or its committees, and to state agencies, institutions
15 of higher education and cities, towns, counties, and school
16 districts and to private citizens and groups, within the limitations
17 of the resources available to the Authority;

18 2. Participate with any state agency or institution of higher
19 education in developing specific goals, programs, and performance
20 monitoring systems to assist in the development of health care
21 delivery in this state;

22 3. Conduct or contract for studies which are related to health
23 care delivery, involving product or process innovation; and
24

1 4. Prepare, publish, and distribute such studies, reports,
2 bulletins and other materials as it considers appropriate regarding
3 health care studies and other relevant health care topics.
4 Provided, that a copy of any material which evaluates health plans
5 or health care providers shall be electronically provided to the
6 Governor, the Speaker of the House of Representatives, and the
7 President Pro Tempore of the Senate at least sixty (60) days prior
8 to public dissemination utilizing the centralized filing system
9 provided for in Section 378 of this act.

10 SECTION 205. AMENDATORY Section 1, Chapter 162, O.S.L.
11 2022 (63 O.S. Supp. 2025, Section 5026.1), is amended to read as
12 follows:

13 Section 5026.1. A. The Oklahoma Health Care Authority shall
14 conduct an annual review of all medications and forms of treatment
15 for sickle cell disease and services for enrollees with a diagnosis
16 of sickle cell disease. The purpose of the annual review is to
17 determine if the available covered medications, treatments, and
18 services are adequate to meet the needs of enrollees with a
19 diagnosis of sickle cell disease, and whether the Authority should
20 seek to add or recommend additional medications, treatments, or
21 services.

22 B. The review shall include, but not be limited to:

23 1. The extent to which healthcare transitional programs covered
24 under the state Medicaid program prepare, transfer, and integrate

1 emerging adults into the adult care setting from a pediatric
2 setting;

3 2. The extent to which emergency department providers are
4 adequately trained and otherwise prepared to treat and manage sickle
5 cell patients presenting with vaso-occlusive crises including but
6 not limited to the extent to which providers follow clinically
7 validated algorithms and protocols regarding such treatment and
8 management;

9 3. The extent to which sickle cell patients covered under the
10 state Medicaid program are entitled to receive the same standard of
11 care when referred or transferred to an out-of-state facility, and
12 the extent to which the state reimburses such patients for
13 reasonable interstate travel costs; and

14 4. Any additional areas identified by the Authority that impact
15 the care and treatment of individuals in this state living with
16 sickle cell disease or sickle cell trait.

17 C. When conducting the annual review required by this section,
18 the Authority shall solicit and consider input from the general
19 public, with specific emphasis on seeking input from persons or
20 groups with knowledge and experience in the area of sickle cell
21 disease treatment.

22 D. To the extent practicable, the Authority shall utilize the
23 Oklahoma State Health Information Network and Exchange created under
24

1 Section 1-133 of Title 63 of the Oklahoma Statutes to collect
2 information for the purpose of implementing this section.

3 E. On or before January 15, 2023, and on or before January 15
4 each year thereafter, the Authority shall, utilizing the centralized
5 filing system provided for in Section 378 of this act,
6 electronically submit a report to the President Pro Tempore of the
7 Senate and the Speaker of the House of Representatives for
8 distribution to the appropriate subject matter committees that
9 details the Authority's findings from the annual review required by
10 this section and any recommendations to the Legislature based upon
11 those findings. The Authority shall publish the annual report
12 required by this subsection to its website in a manner accessible by
13 the general public.

14 SECTION 206. AMENDATORY 63 O.S. 2021, Section 5061.2, is
15 amended to read as follows:

16 Section 5061.2. A. There is hereby created in the State
17 Treasury a revolving fund for the Oklahoma Health Care Authority to
18 be designated the "I/T/U Shared Savings Revolving Fund". The fund
19 shall be a continuing fund, not subject to fiscal year limitations,
20 and shall consist of all monies received by the Authority pursuant
21 to this act and otherwise specified or authorized by law.

22 All monies accruing to the credit of the fund are hereby
23 appropriated and shall be budgeted and expended by the Authority to
24 increase Medicaid provider rates, unless otherwise provided by law.

1 Expenditures from the fund shall be made upon warrants issued by the
2 State Treasurer against claims filed as prescribed by law with the
3 Director of the Office of Management and Enterprise Services for
4 approval and payment.

5 B. An annual report shall be prepared by the Authority's Chief
6 Financial Officer and shall be electronically submitted to the
7 Governor, the President Pro Tempore of the Senate and the Speaker of
8 the House of Representatives no later than thirty (30) days
9 following the end of each State Fiscal Year utilizing the
10 centralized filing system provided for in Section 378 of this act.

11 The annual report shall account for:

12 1. The savings realized by the Authority as a result of the
13 I/T/U Shared Savings Program;

14 2. The administrative costs incurred by the Authority as a
15 result of the I/T/U Shared Savings Program;

16 3. The monies distributed to participating I/T/U facilities as
17 a result of I/T/U Shared Savings Program including, but not limited
18 to, a summary of all specific distributions;

19 4. The balance of savings realized by the Authority as a result
20 of the I/T/U Shared Savings Program and accruing to the credit of
21 the fund after payment of administrative costs and distributions to
22 participating I/T/U facilities; and

23 5. The monies expended on increasing Medicaid provider rates
24 including, but not limited to, identification of the types of

1 providers affected and the percentage by which the providers' rates
2 were increased.

3 SECTION 207. AMENDATORY 63 O.S. 2021, Section 7301, as
4 amended by Section 1, Chapter 328, O.S.L. 2023 (63 O.S. Supp. 2025,
5 Section 7301), is amended to read as follows:

6 Section 7301. A. The Oklahoma Health Care Authority and the
7 State Department of Health shall collaborate to identify benchmarks
8 and develop goals to reduce the incidence rates of, improve health
9 care services for, and control complications resulting from
10 diabetes.

11 B. The Authority and the Department shall, utilizing the
12 centralized filing system provided for in Section 378 of this act,
13 electronically submit a report to the President Pro Tempore of the
14 Senate, the Speaker of the House of Representatives, and the
15 Governor by January 10 of every fifth year. Such report shall
16 contain the following information:

17 1. The fiscal impact of all types of diabetes on the Authority,
18 the Department, and county health departments including the number
19 of persons with diabetes receiving services through the Authority,
20 the Department, and county health departments;

21 2. The fiscal impact of diabetes on the Authority, the
22 Department, and county health departments in comparison to other
23 chronic diseases;
24

1 3. An assessment of the benefits of diabetes prevention
2 programs including a summary of funding directed to the Authority
3 and the Department from the Legislature;

4 4. A description of coordination between the Authority and the
5 Department including, but not limited to, programs relating to the
6 treatment and prevention of all forms of diabetes;

7 5. Detailed action plans for battling diabetes with actionable
8 items for consideration by the Legislature including, but not
9 limited to, steps to reduce the impact of diabetes, pre-diabetes,
10 and related diabetes complications;

11 6. Identification of expected outcomes of the action steps and
12 benchmarks for controlling and preventing all forms of diabetes; and

13 7. The development of a detailed budget blueprint identifying
14 needs, costs, and resources required to implement the plan provided
15 for in this section. Such blueprint shall include a budget range
16 for all options presented in the plan for consideration by the
17 Legislature.

18 C. In addition to the complete report required by subsection B
19 of this section, the Authority or the Department shall, to the
20 extent practicable, provide components of the upcoming report as
21 listed in subsection B of this section upon request to the President
22 Pro Tempore of the Senate, the Speaker of the House of
23 Representatives, and the Governor.

1 D. The provisions of this section shall be limited to diabetes
2 information, data, initiatives, and programs within the Authority
3 and the Department prior to November 1, 2015, unless there is
4 available funding for diabetes in each agency that may be used for
5 new research, data collection reporting, or other requirements of
6 this section.

7 SECTION 208. AMENDATORY 64 O.S. 2021, Section 1013, as
8 amended by Section 40, Chapter 228, O.S.L. 2022 (64 O.S. Supp. 2025,
9 Section 1013), is amended to read as follows:

10 Section 1013. A. The Commissioners of the Land Office shall be
11 responsible for the investment of the permanent school funds, other
12 educational funds, and public building funds solely in the best
13 interests of the current and future beneficiaries. The
14 Commissioners of the Land Office shall make investments:

15 1. For the exclusive purpose of:

16 a. providing maximum benefits to current and future
17 beneficiaries, and

18 b. defraying reasonable expenses of administering the
19 trust funds;

20 2. With the care, skill, prudence, and diligence under the
21 circumstances then prevailing that a prudent person acting in a like
22 enterprise of a like character and with like aims would use; and

23 3. By diversifying the investments of the trust funds so as to
24 minimize the risk of large losses.

1 B. The permanent school fund and other educational funds may
2 only be invested in bonds issued in the United States, United States
3 dollar denominated or other investments settled in United States
4 dollars or traded on the United States exchange markets and real
5 property to be owned or acquired by the Commissioners of the Land
6 Office. The Commissioners of the Land Office shall not invest more
7 than sixty percent (60%) of the trust fund investments in equity
8 securities. The Commissioners of the Land Office are further
9 authorized to acquire, purchase, exchange and grant any real
10 property under its jurisdiction as is necessary to carry out the
11 investment in the real property. The Commissioners of the Land
12 Office shall not invest more than five percent (5%) of the total
13 value of the assets of the permanent school funds in connection with
14 investments in real property. The calculation of investments in
15 real property within the five percent (5%) cap shall not include the
16 value of real property under long-term lease to the State of
17 Oklahoma, agencies of the state or subdivisions thereof. In no case
18 shall the Commissioners of the Land Office bid against private-
19 sector bidders above the appraised value of any property to be
20 acquired.

21 C. The Commissioners shall establish an investment committee.
22 The investment committee shall be composed of not more than three
23 members of the Commissioners of the Land Office or their designees.
24 The committee shall make recommendations to the Commissioners of the

1 Land Office on all matters related to the choice of managers of the
2 assets of the funds, on the establishment of investment and fund
3 management guidelines, and in planning future investment policy.
4 The committee shall have no authority to act on behalf of the
5 Commissioners of the Land Office in any circumstances whatsoever.
6 No recommendations of the committee shall have effect as an action
7 of the Commissioners of the Land Office or take effect without the
8 approval of the Commissioners as provided by law. The Commissioners
9 shall promulgate and adopt on an annual basis an investment plan.
10 The investment plan shall state the criteria for selecting
11 investment managers, the allocation of assets among investment
12 managers, and established standards of investment and fund
13 management.

14 D. The Commissioners shall retain qualified investment managers
15 to provide for investment of the fund monies and for the management
16 of investment real property pursuant to the investment plan.
17 Investment managers shall be chosen by a solicitation of proposals
18 on a competitive bid basis pursuant to standards set by the
19 Commissioners. Subject to the investment plan, each investment
20 manager shall have full discretion in the management of the funds or
21 investment real property allocated to the investment managers. The
22 funds allocated to investment managers shall be actively managed by
23 them, which may include selling investments and realizing losses if
24 the action is considered advantageous to longer term return

1 maximization. Because of the total return objective, no distinction
2 shall be made for management and performance evaluation purposes
3 between realized and unrealized capital gains and losses.

4 E. The Commissioners shall take any measures they deem
5 appropriate to safeguard custody of securities and other assets of
6 the trusts.

7 F. By September 1 of each year, the Commissioners shall develop
8 a written investment plan for the trust funds.

9 G. The Commissioners shall compile a quarterly financial report
10 showing the performance of all the combined funds under their
11 control on a fiscal year basis. The report shall contain a list of
12 all investments made by the Commissioners and a list of any
13 commissions, fees or payments made for services regarding the
14 investments for that reporting period. The report shall be based on
15 market values and shall be compiled pursuant to uniform reporting
16 standards prescribed by the Oklahoma State Pension Commission for
17 all state retirement systems. The report shall be electronically
18 distributed to the Oklahoma State Pension Commission, the Cash
19 Management and Investment Oversight Commission, and the Legislative
20 Service Bureau utilizing the centralized filing system provided for
21 in Section 378 of this act.

22 H. Before January 1 of each year, the Commissioners shall
23 publish an annual report of all Trust operations, presented in a
24 simple and easily understood manner to the extent possible. The

1 report shall be electronically submitted to the Governor, the
2 Speaker of the House of Representatives, the President Pro Tempore
3 of the Senate, the State Department of Education, and each higher
4 education beneficiary utilizing the centralized filing system as
5 provided for in Section 378 of this act. The annual report shall
6 cover the operation of the Trusts during the past fiscal year
7 including income, disbursements, and the financial condition of the
8 Trusts at the end of each fiscal year on a cash basis. The annual
9 report shall also contain a summary of the assets of each trust and
10 current market value as of the report date.

11 I. The Cash Management and Investment Oversight Commission
12 shall review reports prepared by the Commissioners of the Land
13 Office pursuant to this subsection and shall make recommendations
14 regarding the investment strategies and practices, the development
15 of internal auditing procedures and practices and any other matters
16 as determined necessary and applicable.

17 J. The Commissioners of the Land Office shall select one or
18 more custodial banks to settle transactions involving the investment
19 of the funds under the control of the Commissioners of the Land
20 Office. The Commissioners of the Land Office shall review the
21 performance of each custodial bank at least once every year. The
22 Commissioners of the Land Office shall require a written competitive
23 bid every ten (10) years. The custodial bank shall have a minimum
24 of Five Hundred Million Dollars (\$500,000,000.00) in assets to be

1 eligible for selection. Any out-of-state custodial bank shall have
2 a service agent in the State of Oklahoma so that service of summons
3 or legal notice may be had on the designated agent, and the bank
4 shall submit to the jurisdiction of Oklahoma state courts for
5 resolution of any and all disputes. In order to be eligible for
6 selection, the custodial bank shall allow electronic access to all
7 transaction and portfolio reports maintained by the custodial bank
8 involving the investment of state funds under control of the
9 Commissioners of the Land Office and to the Cash Management and
10 Investment Oversight Commission. The requirement for electronic
11 access shall be incorporated into any contract between the
12 Commissioners of the Land Office and the custodial bank. Neither
13 the Commissioners of the Land Office nor the custodial bank shall
14 permit any of the funds under the control of the Commissioners of
15 the Land Office or any of the documents, instruments, securities or
16 other evidence of a right to be paid money to be located in any
17 place other than within a jurisdiction or territory under the
18 control or regulatory power of the United States government.

19 SECTION 209. AMENDATORY 65 O.S. 2021, Section 3-114, is
20 amended to read as follows:

21 Section 3-114. A. Every agency except institutions of higher
22 education, but specifically including any board of regents for
23 higher education, which issues a state publication shall immediately
24 file the publication electronically, in compliance with the

1 provision of any applicable section of Title 62 of the Oklahoma
2 Statutes that is related to submission of state publications. If a
3 state publication cannot be filed electronically, a maximum of
4 twenty-five copies shall be deposited with the Publications
5 Clearinghouse in lieu of the electronic filing and the agency shall
6 include an explanation of the reason the document cannot be filed
7 electronically.

8 B. Upon failure of an agency to comply with the provisions of
9 this section, the Director of the Department of Libraries shall
10 forward a written notice of the failure to the chief administrative
11 officer of the agency. The notice shall state a reasonable time,
12 not to exceed thirty (30) days, in which the agency shall fully
13 comply. Further failure to comply shall be electronically reported
14 in writing to the Speaker of the House of Representatives, the
15 President Pro Tempore of the Senate, and the Attorney General
16 utilizing the centralized filing system provided for in Section 378
17 of this act. The Attorney General shall immediately institute
18 mandamus proceedings to secure compliance by the agency.

19 SECTION 210. AMENDATORY 66 O.S. 2021, Section 190, is
20 amended to read as follows:

21 Section 190. A. As it is immediately necessary for the safety
22 and welfare of the people, no railcar shall be brought to rest in a
23 position which blocks vehicular traffic at a railroad intersection
24 with a public highway or street for longer than ten (10) minutes.

1 B. Municipalities, county sheriffs, and the Oklahoma Highway
2 Patrol shall have the authority to issue a citation to any person or
3 corporation that violates a provision of this section. Such person
4 or corporation shall be subject to a fine of up to One Thousand
5 Dollars (\$1,000.00) for each violation. Seventy-five percent (75%)
6 of the collected fine shall be deposited to the credit of the
7 general fund of the entity that issued the citation and the
8 remaining twenty-five percent (25%) shall be credited to the
9 Corporation Commission Revolving Fund established in Section 180.7
10 of Title 17 of the Oklahoma Statutes. A copy of the citation, along
11 with any information regarding train identification, shall be sent
12 to the Corporation Commission for enforcement of the penalty at a
13 hearing before an administrative law judge of the Commission. The
14 violating entity or individual may appeal the administrative law
15 judge's decision to the Commission en banc. The Commission shall
16 annually deliver an electronic report detailing the number of
17 violations, number of rulings, number of appeals, and amount of
18 fines assessed under this section. Commission reports shall be
19 delivered to the Speaker of the Oklahoma House of Representatives,
20 the President Pro Tempore of the Oklahoma State Senate, and the
21 Governor utilizing the centralized filing system provided for in
22 Section 378 of this act. The Commission shall promulgate rules and
23 procedures to effectuate the provisions of this section.

1 C. 1. Railroads or other persons, firms or corporations
2 operating over tracks within the State of Oklahoma shall not block
3 vehicle traffic at any railroad grade crossing for a period of time
4 in excess of ten (10) minutes except if the train is moving in a
5 continuous forward or backward direction, or if the train is stopped
6 for an emergency condition, including an accident, derailment,
7 critical mechanical failure, track or bridge washout, storm, flood
8 or other emergency situation.

9 2. A one-time exception of up to, but not exceeding, ten (10)
10 additional minutes shall be authorized under the following
11 conditions:

- 12 a. when a train and its crew, operating under the rules
13 of the Federal Railroad Administration (FRA), are
14 unable to complete a switching maneuver while setting
15 out or picking up railcars within the ten (10) minutes
16 as set forth in paragraph 1 of this subsection,
- 17 b. when a train is stopped to allow the passage of a
18 second train and the stopped train has exhausted the
19 ten (10) minutes as set forth in paragraph 1 of this
20 subsection, or if the arrival of the second train is
21 imminent and separation and coupling of the stopped
22 train would result in further unnecessary blocking of
23 motor vehicle or pedestrian traffic, and
- 24 c. when a train is stopped for a red train signal.

1 3. When a train is cut or separated to prevent blocking of
2 motor vehicle traffic at a public crossing, and a working charging
3 station exists, the time required for recoupling a train and
4 performing air tests as required by the FRA shall not be considered
5 a violation of this section.

6 4. Every railroad shall be operated in such a manner as to
7 minimize obstruction of emergency vehicles at public highway grade
8 crossings.

9 SECTION 211. AMENDATORY 66 O.S. 2021, Section 304, as
10 amended by Section 556, Chapter 486, O.S.L. 2025 (66 O.S. Supp.
11 2025, Section 304), is amended to read as follows:

12 Section 304. A. The Department of Transportation is hereby
13 authorized and empowered:

14 1. To acquire, construct, reconstruct, repair, replace,
15 operate, and maintain railroad rights-of-way and trackage projects
16 at such locations and on such routes as it shall determine to be
17 feasible and economically sound;

18 2. To enter into agreements with the owners of operating
19 railroads for the acquisition ~~and/or~~ or use of railroad rights-of-
20 way and trackage on such terms, conditions, rates, or rentals as the
21 Department may consider to be in the best interests of the state;

22 3. To enter directly into agreements with owners of operating
23 railroads or persons intending to operate as common carriers by rail
24 to sell, lease, or sell by lease-purchase agreement any state-owned

1 railroad property on such terms, conditions or amounts as the
2 Department may consider to be in the best interests of the state and
3 to promote the purposes of the Railroad Revitalization Act;

4 4. Prior to the sale of any railroad asset owned by the State
5 of Oklahoma or the Department of Transportation, a process of
6 request for proposal shall be initiated by the Department of
7 Transportation with consultation by the Office of Management and
8 Enterprise Services. Upon the issue date of a request for proposal
9 regarding the sale of any railroad asset owned by the State of
10 Oklahoma or the Department of Transportation, interested parties
11 will have no less than ninety (90) days to provide a response.

12 Following the close of the ninety-day response period, the
13 Department of Transportation will conduct an evaluation of all
14 submitted proposals, utilizing all available resources, and the
15 Department of Commerce shall conduct an economic impact ~~and/or~~ or
16 activity study of all proposals. The Secretary of Transportation,
17 Secretary of Finance, Secretary of Commerce, Secretary of
18 Agriculture, and Secretary of Energy shall be responsible for
19 preparing a recommendation to the Transportation Commission, based
20 on its evaluation of all submitted proposals including the results
21 of the economic impact ~~and/or~~ or activity study, provided the
22 recommendation meets all other statutory requirements needed for
23 action by the Commission. The Secretary of Transportation,
24 Secretary of Finance, Secretary of Commerce, Secretary of

1 Agriculture, and Secretary of Energy will have up to ninety (90)
2 days, upon the closing date of the request for proposal, to present
3 its recommendation to the Transportation Commission. The
4 Transportation Commission will be responsible for determining if the
5 sale of railroad assets within its jurisdiction is in the best
6 interests of the State of Oklahoma and for authorizing the sale of
7 such assets. If a determination is rendered by the Transportation
8 Commission that the sale of any railroad asset within its
9 jurisdiction is appropriate, notification ~~must~~ shall be made
10 electronically to the Speaker of the House of Representatives and
11 the President Pro Tempore of the Senate in writing, utilizing the
12 centralized filing system provided for in Section 378 of this act,
13 prior to the Commission meeting where final action will take place.
14 All proceeds from the sale shall be deposited into the Railroad
15 Maintenance Revolving Fund;

16 5. To acquire and hold real or personal property in the
17 exercise of its powers for the performance of its duties as
18 authorized by this act. Surplus property may be disposed of by the
19 Department;

20 6. To acquire in the name of the Department, by purchase or
21 otherwise on such terms and conditions and in such manner as it may
22 deem proper, or by exercise of the right of condemnation, such
23 public or private lands and personalty, including public parks,
24 playgrounds, or reservations, or parts thereof or rights therein,

1 rights-of-way, trackage, property, rights, easements, and interests,
2 as it may deem necessary for carrying out the provisions of the
3 Railroad Revitalization Act;

4 7. To make and enter into all contracts and agreements
5 necessary or incidental to the performance of its duties and the
6 execution of its powers under the Railroad Revitalization Act, and
7 to employ rail planning and management consultants, consulting
8 engineers, attorneys, accountants, construction and financial
9 consultants, superintendents, managers, and such other employees and
10 agents as may be necessary in its judgment, and to fix their
11 compensation; provided, that all such expenses shall be payable
12 solely from funds made available under and pursuant to the
13 provisions of the Railroad Revitalization Act or from revenues;
14 provided, further, no attorney employed by the Department, nor any
15 member of any law firm of which the member may be connected, shall
16 ever be paid any fee or compensation for any special or
17 extraordinary services;

18 8. To receive, accept and expend funds from the state, any
19 federal agency, or from private sources, for rail planning and for
20 administration of railroad assistance projects, and for or in aid of
21 the acquisition, construction, reconstruction, replacement, repair,
22 maintenance, and operation of railroad rights-of-way and trackage
23 and for rail service continuation payments to railroad companies for
24 operating losses sustained by reasons of continuing service on a

1 line which may otherwise be abandoned or which may experience a
2 reduced level of service not in the public interest, where such
3 continuation of service is carried out under a written agreement
4 with the Department establishing the terms and conditions for such
5 payments, and to receive and accept funds, aid, or contributions
6 from any source of either money, property, labor, or other things of
7 value, to be held, used and applied only for the purposes for which
8 such funds, aid or contributions may be made;

9 9. To adopt such rules and to do any and all things necessary
10 to comply with rules, regulations or requirements of the United
11 States Department of Transportation, any successor thereof, the
12 Surface Transportation Board or any federal agency administering any
13 law enacted by the Congress of the United States or having funds
14 available for the purpose of the Department that are not
15 inconsistent with or contrary to the prohibitions and restrictions
16 of Oklahoma law or public interest;

17 10. To expend, not to exceed twenty percent (20%) of the funds
18 available in the Railroad Maintenance Revolving Fund during any one
19 (1) year, at locations approved by the Oklahoma Corporation
20 Commission, such Railroad Maintenance Revolving Fund monies as may
21 be budgeted by the Department of Transportation for the purposes of
22 installing signal lights, gate arms, or other active warning devices
23 where any public road, street, or highway crosses a railroad right-
24 of-way; provided, however, nothing in this act shall negate, change,

1 or otherwise modify any existing statutory or common law duty of a
2 railroad company;

3 11. To expend income and funds from the Railroad Maintenance
4 Revolving Fund in the exercise of any or all of the foregoing
5 powers; and

6 12. To do all things necessary or convenient to carry out the
7 powers expressly granted in this act.

8 B. It shall be unlawful for any member, officer, or employee of
9 the Department to transact with the Department, either directly or
10 indirectly, any business for profit of such member, officer, or
11 employee; and any person, firm or corporation knowingly
12 participating therein shall be equally liable for violation of this
13 provision.

14 The term "business for profit" shall include, but not be limited
15 to, the acceptance or payment of any fee, commission, gift, or
16 consideration to such member, officer, or employee.

17 Violation of this provision shall constitute a Class D1 felony
18 offense and upon conviction shall be punishable by incarceration as
19 provided for in subsections B through F of Section 20N of Title 21
20 of the Oklahoma Statutes, or by a fine of not less than Five Hundred
21 Dollars (\$500.00) and not more than Five Thousand Dollars
22 (\$5,000.00), or by both such imprisonment and fine.

23

24

1 C. All meetings of the Department shall be open public
2 meetings, and all records shall be public records, except when
3 considering personnel.

4 SECTION 212. AMENDATORY 67 O.S. 2021, Section 315, is
5 amended to read as follows:

6 Section 315. Within thirty (30) days after the head of each
7 such agency, authority, board, commission, department, institution,
8 instrumentality, office, officer, official, or society is furnished
9 with such a listing by the Secretary of such documents, records,
10 papers, and archives are to be delivered to the Secretary of the
11 Archives and Records Commission for disposition as provided.

12 In the event delivery is refused of such documents, records,
13 papers, and archives the Secretary of the Archives and Records
14 Commission is directed not later than ten (10) days after the
15 expiration of thirty-day period of compliance to, utilizing the
16 centralized filing system provided for in Section 378 of this act,
17 electronically report such noncompliance to the President Pro
18 Tempore of the Senate, ~~to~~ the Speaker of the House of the Oklahoma
19 Legislature, and ~~to~~ the Governor of the State of Oklahoma, setting
20 forth in detail the extent of noncompliance and the reasons assigned
21 therefor. In addition the Secretary is directed to file a copy of
22 such report or reports of noncompliance with the Secretary of State
23 of Oklahoma, and the same is to be a public record open for the
24 inspection and information of the public.

1 SECTION 213. AMENDATORY 68 O.S. 2021, Section 102.3, is
2 amended to read as follows:

3 Section 102.3. In addition to their other duties, the members
4 of the Oklahoma Tax Commission shall make a continuous study of the
5 critical national energy crisis to determine its impact on the tax
6 revenues of Oklahoma, particularly the revenues derived from the
7 gross production taxes and gasoline and other motor fuel taxes and
8 also to determine and project the degree of the consequent erosion
9 of the present tax structure of the state which will be caused by
10 the gradual change from the use of oil and natural gas as a basic
11 fuel for energy. The Commission shall make periodic appraisals
12 concerning the several taxes directly related to the fuels presently
13 used by motor vehicles and other modes of travel and for heating and
14 cooling, as well as the tax paid by those engaged in the business of
15 producing oil and gas, as the use of substitute types of fuels
16 evolve which undoubtedly will result in substantial changes in the
17 types and size of vehicles used in the business activities of many
18 taxpayers.

19 The Commission shall also develop such econometric models as are
20 deemed necessary, compile data and other information as to the
21 possible rate of decline in tax revenue and, utilizing the
22 centralized filing system provided for in Section 378 of this act,
23 electronically report to the Governor, Speaker of the House of
24 Representatives, and President Pro Tempore of the Senate by the

1 second Tuesday of every year, to insure the availability of revenue
2 to properly operate and carry on the functions of state and local
3 government.

4 For the performance of such additional duties, the members of
5 said Commission not receiving the maximum salary provided in Section
6 102.1 of Title 68 of the Oklahoma Statutes shall be compensated as
7 follows:

8 The Chairman of said Commission shall receive Eleven Thousand
9 Five Hundred Dollars (\$11,500.00) per annum and the Vice Chairman
10 and Secretary-Member of ~~said~~ such Commission shall each receive
11 Fifteen Thousand Five Hundred Dollars (\$15,500.00) per annum,
12 payable monthly. Provided, it is the intent hereof that no member
13 of said Commission shall receive total compensation greater than
14 that provided in Section 102.1 of Title 68 of the Oklahoma Statutes
15 as amended.

16 SECTION 214. AMENDATORY 68 O.S. 2021, Section 120, is
17 amended to read as follows:

18 Section 120. A. This act shall be known and may be cited as
19 the "Out-of-State Tax Collections Enforcement Act of 2017".

20 B. For the purpose of collecting taxes owed to this state, the
21 Oklahoma Tax Commission may establish and maintain a division to be
22 known as the "Out-of-State Tax Collections Enforcement Division".
23 Pursuant to Section 262 of Title 68 of the Oklahoma Statutes, the
24 Tax Commission may contract with out-of-state private auditors or

1 audit firms and may require any person performing an audit to be
2 first approved by the Tax Commission.

3 C. The Tax Commission may employ full-time, unclassified, out-
4 of-state tax auditors or full-time-equivalent contracted auditors to
5 staff the Division who shall perform audit functions related to
6 enhancing:

7 1. Sales and use tax collections related to sales or
8 transactions involving residents of Oklahoma and out-of-state
9 vendors with a nexus to the State of Oklahoma; and

10 2. Collections of any other unpaid taxes owed the State of
11 Oklahoma by out-of-state individuals, firms and corporations.

12 D. For purposes of this section, the term "audit function"
13 includes but is not limited to the auditing of the books of
14 individuals, firms, and corporations which the Tax Commission
15 believes may owe the State of Oklahoma additional tax monies.

16 E. The Tax Commission shall annually, utilizing the centralized
17 filing system provided for in Section 378 of this act,
18 electronically submit a report to the Governor, President Pro
19 Tempore of the Senate, and Speaker of the House of Representatives
20 listing the number of individuals, firms, and corporations audited,
21 the types of taxes audited, the amount of taxes assessed and the
22 amount of taxes collected as the result of such audits.

1 SECTION 215. AMENDATORY 68 O.S. 2021, Section 205, as
2 last amended by Section 2, Chapter 204, O.S.L. 2025 (68 O.S. Supp.
3 2025, Section 205), is amended to read as follows:

4 Section 205. A. The records and files of the Oklahoma Tax
5 Commission concerning the administration of the Uniform Tax
6 Procedure Code or of any state tax law shall be considered
7 confidential and privileged, except as otherwise provided for by
8 law, and neither the Tax Commission nor any employee engaged in the
9 administration of the Tax Commission or charged with the custody of
10 any such records or files nor any person who may have secured
11 information from the Tax Commission shall disclose any information
12 obtained from the records or files or from any examination or
13 inspection of the premises or property of any person.

14 B. Except as provided in paragraph 26 of subsection C of this
15 section, neither the Tax Commission nor any employee engaged in the
16 administration of the Tax Commission or charged with the custody of
17 any such records or files shall be required by any court of this
18 state to produce any of the records or files for the inspection of
19 any person or for use in any action or proceeding, except when the
20 records or files or the facts shown thereby are directly involved in
21 an action or proceeding pursuant to the provisions of the Uniform
22 Tax Procedure Code or of the state tax law, or when the
23 determination of the action or proceeding will affect the validity
24 or the amount of the claim of the state pursuant to any state tax

1 law, or when the information contained in the records or files
2 constitutes evidence of violation of the provisions of the Uniform
3 Tax Procedure Code or of any state tax law.

4 C. The provisions of this section shall not prevent the Tax
5 Commission, or with respect to the Oklahoma Department of Commerce
6 in administration of the Oklahoma Rural Jobs Act as provided by
7 paragraph 22 of this subsection, from disclosing the following
8 information and no liability whatsoever, civil or criminal, shall
9 attach to any member of the Tax Commission, or the Oklahoma
10 Department of Commerce as applicable, or any employee thereof for
11 any error or omission in the disclosure of such information:

12 1. The delivery to a taxpayer or a duly authorized
13 representative of the taxpayer of a copy of any report or any other
14 paper filed by the taxpayer pursuant to the provisions of the
15 Uniform Tax Procedure Code or of any state tax law;

16 2. The exchange of information that is not protected by the
17 federal Privacy Protection Act, 42 U.S.C., Section 2000aa et seq.,
18 pursuant to reciprocal agreements entered into by the Tax Commission
19 and other state agencies or agencies of the federal government;

20 3. The publication of statistics so classified as to prevent
21 the identification of a particular report and the items thereof;

22 4. The examination of records and files by the State Auditor
23 and Inspector or the duly authorized agents of the State Auditor and
24 Inspector;

1 5. The disclosing of information or evidence to the Oklahoma
2 State Bureau of Investigation, Attorney General, Oklahoma State
3 Bureau of Narcotics and Dangerous Drugs Control, any district
4 attorney or agent of any federal law enforcement agency when the
5 information or evidence is to be used by such officials to
6 investigate or prosecute violations of the criminal provisions of
7 the Uniform Tax Procedure Code or of any state tax law or of any
8 federal crime committed against this state. Any information
9 disclosed to the Oklahoma State Bureau of Investigation, Attorney
10 General, Oklahoma State Bureau of Narcotics and Dangerous Drugs
11 Control, any district attorney or agent of any federal law
12 enforcement agency shall be kept confidential by such person and not
13 be disclosed except when presented to a court in a prosecution for
14 violation of the tax laws of this state or except as specifically
15 authorized by law, and a violation by the Oklahoma State Bureau of
16 Investigation, Attorney General, Oklahoma State Bureau of Narcotics
17 and Dangerous Drugs Control, district attorney, or agent of any
18 federal law enforcement agency by otherwise releasing the
19 information shall be a felony;

20 6. The use by any division of the Tax Commission of any
21 information or evidence in the possession of or contained in any
22 report or return filed with any other division of the Tax
23 Commission;
24

1 7. The furnishing, at the discretion of the Tax Commission, of
2 any information disclosed by its records or files to any official
3 person or body of this state, any other state, the United States or
4 foreign country who is concerned with the administration or
5 assessment of any similar tax in this state, any other state or the
6 United States. The provisions of this paragraph shall include the
7 furnishing of information by the Tax Commission to a county assessor
8 to determine the amount of gross household income pursuant to the
9 provisions of Section 8C of Article X of the Oklahoma Constitution
10 or Section 2890 of this title. The Tax Commission shall promulgate
11 rules to give guidance to the county assessors regarding the type of
12 information which may be used by the county assessors in determining
13 the amount of gross household income pursuant to Section 8C of
14 Article X of the Oklahoma Constitution or Section 2890 of this
15 title. The provisions of this paragraph shall also include the
16 furnishing of information to the State Treasurer for the purpose of
17 administration of the Uniform Unclaimed Property Act;

18 8. The furnishing of information to other state agencies for
19 the limited purpose of aiding in the collection of debts owed by
20 individuals to such requesting agencies;

21 9. The furnishing of information requested by any member of the
22 general public and stated in the sworn lists or schedules of taxable
23 property of public service corporations organized, existing, or
24 doing business in this state which are submitted to and certified by

1 the State Board of Equalization pursuant to the provisions of
2 Section 2858 of this title and Section 21 of Article X of the
3 Oklahoma Constitution, provided such information would be a public
4 record if filed pursuant to Sections 2838 and 2839 of this title on
5 behalf of a corporation other than a public service corporation;

6 10. The furnishing of information requested by any member of
7 the general public and stated in the findings of the Tax Commission
8 as to the adjustment and equalization of the valuation of real and
9 personal property of the counties of the state, which are submitted
10 to and certified by the State Board of Equalization pursuant to the
11 provisions of Section 2865 of this title and Section 21 of Article X
12 of the Oklahoma Constitution;

13 11. The furnishing of information as to the issuance or
14 revocation of any tax permit, license or exemption by the Tax
15 Commission as provided for by law. Such information shall be
16 limited to the name of the person issued the permit, license or
17 exemption, the name of the business entity authorized to engage in
18 business pursuant to the permit, license or exemption, the address
19 of the business entity and the grounds for revocation;

20 12. The posting of notice of revocation of any tax permit or
21 license upon the premises of the place of business of any business
22 entity which has had any tax permit or license revoked by the Tax
23 Commission as provided for by law. Such notice shall be limited to
24 the name of the person issued the permit or license, the name of the

1 business entity authorized to engage in business pursuant to the
2 permit or license, the address of the business entity and the
3 grounds for revocation;

4 13. The furnishing of information upon written request by any
5 member of the general public as to the outstanding and unpaid amount
6 due and owing by any taxpayer of this state for any delinquent tax,
7 together with penalty and interest, for which a tax warrant or a
8 certificate of indebtedness has been filed pursuant to law;

9 14. After the filing of a tax warrant pursuant to law, the
10 furnishing of information upon written request by any member of the
11 general public as to any agreement entered into by the Tax
12 Commission concerning a compromise of tax liability for an amount
13 less than the amount of tax liability stated on such warrant;

14 15. The disclosure of information necessary to complete the
15 performance of any contract authorized by this title to any person
16 with whom the Tax Commission has contracted;

17 16. The disclosure of information to any person for a purpose
18 as authorized by the taxpayer pursuant to a waiver of
19 confidentiality. The waiver shall be in writing and shall be made
20 upon such form as the Tax Commission may prescribe;

21 17. The disclosure of information required in order to comply
22 with the provisions of Section 2369 of this title;

1 18. The disclosure to an employer, as defined in Sections
2 2385.1 and 2385.3 of this title, of information required in order to
3 collect the tax imposed by Section 2385.2 of this title;

4 19. The disclosure to a plaintiff of a corporation's last-known
5 address shown on the records of the Franchise Tax Division of the
6 Tax Commission in order for such plaintiff to comply with the
7 requirements of Section 2004 of Title 12 of the Oklahoma Statutes;

8 20. The disclosure of information directly involved in the
9 resolution of the protest by a taxpayer to an assessment of tax or
10 additional tax or the resolution of a claim for refund filed by a
11 taxpayer, including the disclosure of the pendency of an
12 administrative proceeding involving such protest or claim, to a
13 person called by the Tax Commission as an expert witness or as a
14 witness whose area of knowledge or expertise specifically addresses
15 the issue addressed in the protest or claim for refund. Such
16 disclosure to a witness shall be limited to information pertaining
17 to the specific knowledge of that witness as to the transaction or
18 relationship between taxpayer and witness;

19 21. The disclosure of information necessary to implement an
20 agreement authorized by Section 2702 of this title when such
21 information is directly involved in the resolution of issues arising
22 out of the enforcement of a municipal sales tax ordinance. Such
23 disclosure shall be to the governing body or to the municipal
24 attorney, if so designated by the governing body;

1 22. The furnishing of information regarding incentive payments
2 made pursuant to the provisions of Sections 3601 through 3609 of
3 this title, incentive payments made pursuant to the provisions of
4 Sections 3501 through 3508 of this title, or tax credits claimed
5 pursuant to the provisions of Sections 3930 through 3937 of this
6 title;

7 23. The furnishing to a prospective purchaser of any business,
8 or his or her authorized representative, of information relating to
9 any liabilities, delinquencies, assessments or warrants of the
10 prospective seller of the business which have not been filed of
11 record, established or become final and which relate solely to the
12 seller's business. Any disclosure under this paragraph shall only
13 be allowed upon the presentment by the prospective buyer, or the
14 buyer's authorized representative, of the purchase contract and a
15 written authorization between the parties;

16 24. The furnishing of information as to the amount of state
17 revenue affected by the issuance or granting of any tax permit,
18 license, exemption, deduction, credit, or other tax preference by
19 the Tax Commission as provided for by law. Such information shall
20 be limited to the type of permit, license, exemption, deduction,
21 credit or other tax preference issued or granted, the date and
22 duration of such permit, license, exemption, deduction, credit, or
23 other tax preference and the amount of such revenue. The provisions
24 of this paragraph shall not authorize the disclosure of the name of

1 the person issued such permit, license, exemption, deduction, credit
2 or other tax preference, or the name of the business entity
3 authorized to engage in business pursuant to the permit, license,
4 exemption, deduction, credit, or other tax preference;

5 25. The examination of records and files of a person or entity
6 by the Oklahoma State Bureau of Narcotics and Dangerous Drugs
7 Control, district attorney, or the Attorney General pursuant to a
8 court order by a magistrate in whose territorial jurisdiction the
9 person or entity resides, or where the Tax Commission records and
10 files are physically located. Such an order may only be issued upon
11 a sworn application by an agent of the Oklahoma State Bureau of
12 Narcotics and Dangerous Drugs Control or the Attorney General,
13 certifying that the person or entity whose records and files are to
14 be examined is the target of an ongoing investigation of a felony
15 violation of the Uniform Controlled Dangerous Substances Act and
16 that information resulting from such an examination would likely be
17 relevant to that investigation. Any records or information obtained
18 pursuant to such an order may only be used by the Oklahoma State
19 Bureau of Narcotics and Dangerous Drugs Control, district attorney
20 or the Attorney General in the investigation and prosecution of a
21 felony violation of the Uniform Controlled Dangerous Substances Act
22 or money laundering pursuant to Section 2001 of Title 21 of the
23 Oklahoma Statutes. Any such order issued pursuant to this
24 paragraph, along with the underlying application, shall be sealed

1 and not disclosed to the person or entity whose records were
2 examined, for a period of ninety (90) days. The issuing magistrate
3 may grant extensions of such period upon a showing of good cause in
4 furtherance of the investigation. Upon the expiration of ninety
5 (90) days and any extensions granted by the magistrate, a copy of
6 the application and order shall be served upon the person or entity
7 whose records were examined, along with a copy of the records or
8 information actually provided by the Tax Commission;

9 26. The disclosure of information, as prescribed by this
10 paragraph, which is related to the proposed or actual usage of tax
11 credits pursuant to Section 2357.7 of this title, the Small Business
12 Capital Formation Incentive Act or the Rural Venture Capital
13 Formation Incentive Act. Unless the context clearly requires
14 otherwise, the terms used in this paragraph shall have the same
15 meaning as defined by Section 2357.7, 2357.61 or 2357.72 of this
16 title. The disclosure of information authorized by this paragraph
17 shall include:

- 18 a. the legal name of any qualified venture capital
19 company, qualified small business capital company, or
20 qualified rural small business capital company,
21 b. the identity or legal name of any person or entity
22 that is a shareholder or partner of a qualified
23 venture capital company, qualified small business
24

capital company, or qualified rural small business capital company,

c. the identity or legal name of any Oklahoma business venture, Oklahoma small business venture, or Oklahoma rural small business venture in which a qualified investment has been made by a capital company, or

d. the amount of funds invested in a qualified venture capital company, the amount of qualified investments in a qualified small business capital company or qualified rural small business capital company and the amount of investments made by a qualified venture capital company, qualified small business capital company, or qualified rural small business capital company;

27. The disclosure of specific information as required by Section 46 of Title 62 of the Oklahoma Statutes;

28. The disclosure of specific information as required by Section 205.5 of this title;

29. The disclosure of specific information as required by Section 205.6 of this title;

30. The disclosure of information to the State Treasurer necessary to implement Section 2368.27 of this title;

31. The disclosure of specific information to the Oklahoma Health Care Authority for purposes of determining eligibility for

1 current or potential recipients of assistance from the Oklahoma
2 Medicaid Program;

3 32. The disclosure of information to the Oklahoma Department of
4 Veterans Affairs including but not limited to the name and basis for
5 eligibility of each individual who qualifies for the sales tax
6 exemption authorized in paragraph 34 of Section 1357 of this title;

7 33. The disclosure of information to the Oklahoma Medical
8 Marijuana Authority for the purposes of compliance with the Oklahoma
9 Medical Marijuana and Patient Protection Act or Section 420 et seq.
10 of Title 63 of the Oklahoma Statutes; or

11 34. The disclosure of information required in order to comply
12 with the provisions of subsection H of Section 2902 of this title.

13 D. The Tax Commission shall cause to be prepared and made
14 available for public inspection in the office of the Tax Commission
15 in such manner as it may determine an annual list containing the
16 name and post office address of each person, whether individual,
17 corporate, or otherwise, making and filing an income tax return with
18 the Tax Commission.

19 It is specifically provided that no liability whatsoever, civil
20 or criminal, shall attach to any member of the Tax Commission or any
21 employee thereof for any error or omission of any name or address in
22 the preparation and publication of the list.

23 E. The Tax Commission shall prepare or cause to be prepared a
24 report on all provisions of state tax law that reduce state revenue

1 through exclusions, deductions, credits, exemptions, deferrals, or
2 other preferential tax treatments. The report shall be prepared not
3 later than October 1 of each even-numbered year and shall be
4 electronically submitted to the Governor, the President Pro Tempore
5 of the Senate, and the Speaker of the House of Representatives
6 utilizing the centralized filing system provided for in Section 378
7 of this act. The Tax Commission may prepare and submit supplements
8 to the report at other times of the year if additional or updated
9 information relevant to the report becomes available. The report
10 shall include, for the previous fiscal year, the Tax Commission's
11 best estimate of the amount of state revenue that would have been
12 collected but for the existence of each such exclusion, deduction,
13 credit, exemption, deferral, or other preferential tax treatment
14 allowed by law. The Tax Commission may request the assistance of
15 other state agencies as may be needed to prepare the report. The
16 Tax Commission is authorized to require any recipient of a tax
17 incentive or tax expenditure to report to the Tax Commission such
18 information as requested so that the Tax Commission may fulfill its
19 obligations as required by this subsection. The Tax Commission may
20 require this information to be submitted in an electronic format.
21 The Tax Commission may disallow any claim of a person for a tax
22 incentive due to its failure to file a report as required under the
23 authority of this subsection.

24

1 F. It is further provided that the provisions of this section
2 shall be strictly interpreted and shall not be construed as
3 permitting the disclosure of any other information contained in the
4 records and files of the Tax Commission relating to income tax or to
5 any other taxes.

6 G. Unless otherwise provided for in this section, any violation
7 of the provisions of this section shall constitute a misdemeanor and
8 shall be punishable by the imposition of a fine not exceeding One
9 Thousand Dollars (\$1,000.00) or by imprisonment in the county jail
10 for a term not exceeding one (1) year, or by both such fine and
11 imprisonment, and the offender shall be removed or dismissed from
12 office.

13 H. Offenses described in Section 2376 of this title shall be
14 reported to the appropriate district attorney of this state by the
15 Tax Commission as soon as the offenses are discovered by the Tax
16 Commission or its agents or employees. The Tax Commission shall
17 make available to the appropriate district attorney or to the
18 authorized agent of the district attorney its records and files
19 pertinent to prosecutions, and such records and files shall be fully
20 admissible as evidence for the purpose of such prosecutions.

21 SECTION 216. AMENDATORY 68 O.S. 2021, Section 270, is
22 amended to read as follows:

23 Section 270. A. Notwithstanding any other provisions of this
24 section, the Oklahoma Tax Commission shall, upon request of any

1 taxpayer or the taxpayer's authorized agent, representative, or
2 attorney, provide certification in writing of qualification for the
3 credits in the following sections of law:

- 4 1. Section 2357.7 of this title;
- 5 2. Section 2357.11 of this title;
- 6 3. Section 2357.32A of this title;
- 7 4. Section 2357.41 of this title; and
- 8 5. Section 2357.42 of this title.

9 B. On or before November 1 of each year subsequent to the
10 effective date of this section, the Oklahoma Tax Commission shall,
11 utilizing the centralized filing system provided for in Section 378
12 of this act, electronically file a report with the Speaker of the
13 Oklahoma House of Representatives, the President Pro Tempore of the
14 State Senate, and the Director of the Office of Management and
15 Enterprise Services, stating the amount of credits claimed and
16 allowed.

17 SECTION 217. AMENDATORY 68 O.S. 2021, Section 291, is
18 amended to read as follows:

19 Section 291. A. At the request of the Chair of the Finance
20 Subcommittee of the House Appropriations and Budget Committee or the
21 Senate Finance Committee, the Oklahoma Tax Commission shall prepare
22 an incidence impact analysis of a bill or a proposal to change the
23 tax system which increases, decreases, or redistributes taxes by
24 more than Twenty Million Dollars (\$20,000,000.00). To the extent

1 data is available on the changes in the distribution of the tax
2 burden that are affected by the bill or proposal, the analysis shall
3 report on the incidence effects that would result if the bill were
4 enacted. The report may present information using systemwide
5 measures, such as the Suits or other similar indexes, by income
6 classes, taxpayer characteristics, or other relevant categories.
7 The report may include analyses of the effect of the bill or
8 proposal on representative taxpayers. The analysis ~~must~~ shall
9 include a statement of the incidence assumptions that were used in
10 computing the burdens. The report shall be electronically submitted
11 to the requestor utilizing the centralized filing system provided
12 for in Section 378 of this act.

13 B. The incidence analyses shall use the broadest measure of
14 economic income for which reliable data is available.

15 SECTION 218. AMENDATORY 68 O.S. 2021, Section 400.1, as
16 amended by Section 3, Chapter 285, O.S.L. 2023 (68 O.S. Supp. 2025,
17 Section 400.1), is amended to read as follows:

18 Section 400.1. A. For the purpose of enforcing the tobacco tax
19 laws of this state, the Oklahoma Tax Commission is authorized,
20 contingent upon the availability of funds, to establish and maintain
21 a unit to be known as the "Tobacco Products Tax Enforcement Unit".
22 The unit shall enforce the tobacco tax laws of this state and ensure
23 that all taxes are paid on tobacco products by:
24

1 1. Confirming that all entities selling tobacco products in
2 this state are properly licensed as provided in Section 400 et seq.
3 of Title 68 of the Oklahoma Statutes;

4 2. Verifying that all retailers are only purchasing tobacco
5 products from wholesalers licensed by the Tax Commission;

6 3. Providing a dedicated telephone line and email address for
7 licensed wholesalers, licensed retailers, and the general public to
8 report suspected violations of tobacco tax laws; provided, no
9 entity, individual, or those who report violations on behalf of a
10 licensed wholesaler or retailer shall be required to disclose their
11 identity;

12 4. Auditing licensed wholesalers and retailers to ensure all
13 tobacco product taxes are paid;

14 5. Issuing fines for violations as provided in Section 400 et
15 seq. of Title 68 of the Oklahoma Statutes;

16 6. Conducting wholesale and retail tobacco inspections to find
17 and confiscate untaxed tobacco products;

18 7. Establishing data-sharing programs with tax departments in
19 surrounding states related to tobacco product taxes;

20 8. Creating an industry advisory committee including licensed
21 wholesalers and retailers who may represent the entity related to
22 tobacco products tax enforcement concerns and suggestions. The
23 industry advisory committee shall be composed of five (5) members as
24 follows:

- 1 a. two members who are licensed wholesalers to be
2 appointed by the Governor,
3 b. one member who is a licensed retailer to be appointed
4 by the President Pro Tempore of the Oklahoma Senate,
5 c. one member who is a licensed retailer to be appointed
6 by the Speaker of the Oklahoma House of
7 Representatives, and
8 d. one member who is a licensed wholesaler to be
9 appointed by the four members provided for in
10 subparagraphs a through c of this paragraph.

11 The committee shall meet quarterly. The Oklahoma Tax Commission
12 shall promulgate rules establishing minimum requirements as may be
13 deemed necessary to carry out the purposes of the committee; and

14 9. Working with law enforcement and conducting investigations
15 to stop illegal acquisition and shipment of tobacco products by
16 persons not licensed to sell tobacco products in this state.

17 B. The Tax Commission shall annually, utilizing the centralized
18 filing system provided for in Section 378 of this act,
19 electronically submit a report to the Governor, President Pro
20 Tempore of the Senate, and Speaker of the House of Representatives
21 listing the number of wholesale and retail tobacco inspections
22 conducted, the amount of untaxed tobacco products confiscated, the
23 number of tobacco products tax audits conducted, the amount of taxes
24 assessed and the amount of taxes collected as the result of audits

1 and confiscations, the number of suspected violations reported and
2 the actions taken in response, and the number of fines issued and
3 the amount of fines collected.

4 SECTION 219. AMENDATORY 68 O.S. 2021, Section 1357.21,
5 as last amended by Section 1, Chapter 353, O.S.L. 2025 (68 O.S.
6 Supp. 2025, Section 1357.21), is amended to read as follows:

7 Section 1357.21. A. The exemption authorized by the provisions
8 of paragraph 43 of Section 1357 of this title shall be administered
9 as a rebate. The rebate program shall be administered by the
10 Oklahoma Broadband Office and the Oklahoma Tax Commission.

11 B. No claim for a rebate shall be approved unless the equipment
12 was purchased in order to establish or expand broadband services in
13 underserved or unserved areas. As used in this subsection and for
14 purposes of the exemption authorized by paragraph 43 of Section 1357
15 of this title, "broadband", "underserved", and "unserved" shall mean
16 those services and areas as defined in Section 139.102 of Title 17
17 of the Oklahoma Statutes.

18 C. No claim for rebate shall be approved unless the claimant
19 establishes that as a result of the equipment purchase there has
20 been net growth in the number of potential customers served in
21 underserved or unserved areas.

22 D. In order to qualify for rebate payments for equipment or
23 other items qualifying for the exemption authorized by paragraph 43
24 of Section 1357 of this title, the items shall be purchased and

1 placed in service between January 1, 2022, and December 31, 2023.
2 Claims for rebates of sales tax or use tax paid for such equipment
3 purchased in calendar year 2022 shall be filed with the Oklahoma Tax
4 Commission not later than September 1, 2023, and in subsequent
5 calendar years shall be filed with the Oklahoma Tax Commission not
6 later than September 1 of the following year. Beginning in calendar
7 year 2025, claims for rebates for sales or use tax paid for such
8 equipment purchased in calendar year 2025 and subsequent calendar
9 years shall be filed with the Oklahoma Broadband Office not later
10 than September 1 of the following year.

11 E. The Oklahoma Broadband Office shall approve or disapprove
12 all claims for a rebate payment beginning with claims for rebates
13 for sales or use tax paid for such equipment purchased in calendar
14 year 2025 and subsequent calendar years and shall notify the
15 Oklahoma Tax Commission. Upon notification of approval from the
16 Oklahoma Broadband Office, the Tax Commission shall issue a rebate
17 payment for all approved claims from funds in the Oklahoma Broadband
18 Rebate Revolving Fund, created pursuant to Section 2 of this act.

19 F. Qualifying purchases do not include supporting or ancillary
20 functions, such as office operations, field operations, marketing,
21 transportation, warehousing, data storage, or similar operations
22 that do not directly result in the distribution of broadband
23 Internet service. Property directly used or consumed in or during
24 the provision, creation, or production of a data processing service

1 or information service, or property the provider grants, sells, or
2 leases to the customer for use within the home or establishment
3 receiving broadband is not eligible for a rebate under this section.

4 G. The total amount of rebates that may be paid shall not
5 exceed Fourteen Million Seventy-one Thousand Six Hundred Ninety-one
6 Dollars (\$14,071,691.00).

7 H. The amount of rebates paid to each claimant shall be
8 computed by dividing the applicable total rebate pool amount by the
9 dollar amount of claims timely received by the Tax Commission with
10 respect to each fiscal year, and paying in full the amount of the
11 claims submitted if the amount of claims are equal to, or less than,
12 the total rebate pool, or a pro rata share if the total amount of
13 claims submitted exceed the rebate pool.

14 I. The total amount of rebates that may be paid shall not
15 exceed Fourteen Million Seventy-one Thousand Six Hundred Ninety-one
16 Dollars (\$14,071,691.00).

17 J. Claims for rebate shall be on such forms as the Oklahoma Tax
18 Commission may prescribe for such purpose and shall contain any
19 required information or supporting documentation the Commission
20 requires to verify eligibility for the rebate payment. Claims for
21 rebate for sales or use tax paid for equipment purchased in calendar
22 year 2025 and subsequent calendar years shall be on such forms as
23 the Oklahoma Broadband Office may prescribe for such purpose.

1 K. The Oklahoma Department of Commerce shall use information
2 provided by the Oklahoma Tax Commission and the Oklahoma Broadband
3 Office to prepare a report to identify the qualifying rural
4 broadband projects completed with the equipment purchased together
5 with the location of the equipment and the geographic areas served
6 as a result of the equipment purchases, including the total number
7 of potential new customers receiving qualifying broadband services
8 resulting from the project. The report shall not identify any
9 entity by name that purchased equipment.

10 L. The report shall be filed not later than April 1, 2025, with
11 respect to rebates paid for equipment purchases made during calendar
12 years 2022 and 2023 and April 1 of the second succeeding year for
13 equipment purchases made in subsequent calendar years. The Oklahoma
14 Tax Commission and the Oklahoma Broadband Office shall make
15 information available as required by subsection K of this section as
16 claims are completed to assist with the timely preparation of the
17 report.

18 M. The report shall be electronically filed with the Governor,
19 the Speaker of the House of Representatives, and the President Pro
20 Tempore of the Senate utilizing the centralized filing system
21 provided for in Section 378 of this act and posted on the Oklahoma
22 Broadband Office website.

23 SECTION 220. AMENDATORY 68 O.S. 2021, Section 2357.1A-2,
24 is amended to read as follows:

1 Section 2357.1A-2. A. Notwithstanding any other provision of
2 law, the transfer or allocation of any tax credit authorized
3 pursuant to the provisions of this title, except as provided in this
4 section, shall be reported to the Oklahoma Tax Commission and any
5 tax credit authorized pursuant to the provisions of Title 36 of the
6 Oklahoma Statutes shall be reported to the Oklahoma Insurance
7 Department as provided in subsection B of this section.

8 B. The transfer or allocation of any tax credit shall be
9 reported to the Tax Commission or Insurance Department by the entity
10 transferring or allocating the credit on or before the twentieth day
11 of the second month after the tax year in which an act occurs which
12 allows the tax credit to eventually be claimed. If the credit is
13 transferable, the report shall state whether the credit will or may
14 be transferred to another taxpayer and the names of the taxpayers to
15 whom the credit is transferred. The report shall also provide
16 whether the credit will or may be allocated by a pass-through entity
17 to one or more of the shareholders, partners or members of the pass-
18 through entity and the identity of the shareholders, partners, or
19 members of the pass-through entity to whom the credit was allocated.
20 Further, the report shall include the tax type, the amount of the
21 credit, the statutory or other legal authority which forms the basis
22 for the credit, and other information that may be required by the
23 Tax Commission or the Insurance Department. The report to the Tax
24 Commission or to the Insurance Department shall be on such form as

1 the Commission or Department may prescribe. The Tax Commission and
2 the Insurance Department shall be authorized to require the report
3 to be filed electronically.

4 C. Notwithstanding the provisions of Section 205 of Title 68 of
5 the Oklahoma Statutes the Tax Commission and the Insurance
6 Department shall compile a list of all tax credits reported as
7 required by this section and shall, utilizing the centralized filing
8 system provided for in Section 378 of this act, electronically
9 provide the list to the Governor, the Speaker of the Oklahoma House
10 of Representatives, the President Pro Tempore of the State Senate,
11 and the Director of the Office of Management and Enterprise Services
12 not later than June 1 of each year. Not later than five (5) working
13 days after the report has been provided to the Governor, the Speaker
14 of the Oklahoma House of Representatives and the President Pro
15 Tempore of the State Senate, the Oklahoma Tax Commission shall
16 publish the report on its website.

17 D. The compiled list shall identify the tax credits reported
18 pursuant to subsection A of this section and shall separately
19 identify the amount of tax credits that may be claimed against each
20 separate state tax under the jurisdiction of the administering
21 agency and the name of the entity that will be claiming the credit.

22 E. To the extent possible, the Tax Commission and the Insurance
23 Department shall make an estimate of the revenue impact to the State
24 of Oklahoma resulting from the credits reported on a separate fiscal

1 year by fiscal year basis. Each agency shall make its estimate only
2 for tax credits under the jurisdiction of each administering agency.

3 F. If a taxpayer claims a credit on any state tax return that
4 was not previously reported to the Tax Commission or Insurance
5 Department pursuant to this section, the Tax Commission or Insurance
6 Department shall disallow the credit and recompute the applicable
7 tax liability including any penalty or interest; provided, upon the
8 filing of the report required by this section, the credit shall be
9 allowed.

10 G. This section shall not be applicable to the following tax
11 credits:

12 1. The sales tax relief credit authorized by Section 5011 of
13 this title;

14 2. The low income property tax relief credit authorized by
15 Section 2907 of this title;

16 3. The earned income tax credit authorized by Section 2357.43
17 of this title;

18 4. The child care/child tax credit authorized by Section 2357
19 of this title;

20 5. The credit for taxes paid to another state authorized by
21 Section 2357 of this title; and

22 6. The credit for property taxes paid on tornado damaged
23 residential property authorized by Section 2357.29 of this title.
24

1 SECTION 221. AMENDATORY 68 O.S. 2021, Section 2357.7A,
2 is amended to read as follows:

3 Section 2357.7A. On or before November 1 of each year
4 subsequent to the effective date of this act, the Oklahoma Tax
5 Commission shall, utilizing the centralized filing system provided
6 for in Section 378 of this act, electronically file a report with
7 the Speaker of the House of Representatives and the President Pro
8 Tempore of the Senate. The report shall state the amount of credits
9 actually claimed and allowed pursuant to the provisions of Section
10 2357.7 of Title 68 of the Oklahoma Statutes during the previous
11 calendar year, statistical information on the qualified investments
12 made by qualified venture capital companies during the previous
13 year, an estimate of the number of jobs created in this state during
14 the previous year pursuant to qualified investments made by
15 qualified venture capital companies, and such other information as
16 the Tax Commission may deem relevant.

17 SECTION 222. AMENDATORY 68 O.S. 2021, Section 2357.22,
18 as last amended by Section 153, Chapter 452, O.S.L. 2024 (68 O.S.
19 Supp. 2025, Section 2357.22), is amended to read as follows:

20 Section 2357.22. A. For tax years 2028 and before, there shall
21 be allowed a one-time credit against the income tax imposed by
22 Section 2355 of this title for investments in qualified clean-
23 burning motor vehicle fuel property placed in service on or after
24

1 January 1, 1991, or with respect to a hydrogen fuel cell, on or
2 after the effective date of this act.

3 B. As used in this section, "qualified clean-burning motor
4 vehicle fuel property" means:

5 1. Equipment installed to modify a motor vehicle which is
6 propelled by gasoline or diesel fuel so that the vehicle may be
7 propelled by compressed natural gas, a hydrogen fuel cell, liquefied
8 natural gas, or liquefied petroleum gas. The equipment covered by
9 this paragraph ~~must~~ shall:

10 a. be new, not previously used to modify or retrofit any
11 vehicle propelled by gasoline or diesel fuel and be
12 installed by an alternative fuels equipment technician
13 who is certified in accordance with the Alternative
14 Fuels Technician Certification Act,

15 b. meet all Federal Motor Vehicle Safety Standards set
16 forth in 49 CFR 571, or

17 c. for any commercial motor vehicle (CMV), follow the
18 Federal Motor Carrier Safety Regulations or Oklahoma
19 Intrastate Motor Carrier Regulations;

20 2. A motor vehicle originally equipped so that the vehicle may
21 be propelled by compressed natural gas, a hydrogen fuel cell, or
22 liquefied natural gas or liquefied petroleum gas but only to the
23 extent of the portion of the basis of such motor vehicle which is
24 attributable to the storage of such fuel, the delivery to the engine

1 of such motor vehicle of such fuel, and the exhaust of gases from
2 combustion of such fuel;

3 3. Property, not including a building and its structural
4 components, which is:

5 a. directly related to the delivery of compressed natural
6 gas, liquefied natural gas or liquefied petroleum gas,
7 or hydrogen for commercial purposes or for a fee or
8 charge, into the fuel tank of a motor vehicle
9 propelled by such fuel including compression equipment
10 and storage tanks for such fuel at the point where
11 such fuel is so delivered but only if such property is
12 not used to deliver such fuel into any other type of
13 storage tank or receptacle and such fuel is not used
14 for any purpose other than to propel a motor vehicle,
15 or

16 b. a metered-for-fee, public access recharging system for
17 motor vehicles propelled in whole or in part by
18 electricity. The property covered by this paragraph
19 ~~must~~ shall be new, and ~~must~~ shall not have been
20 previously installed or used to refuel vehicles
21 powered by compressed natural gas, liquefied natural
22 gas or liquefied petroleum gas, hydrogen, or
23 electricity;

1 4. Property which is directly related to the compression and
2 delivery of natural gas from a private home or residence, for
3 noncommercial purposes, into the fuel tank of a motor vehicle
4 propelled by compressed natural gas. The property covered by this
5 paragraph ~~must~~ shall be new and ~~must~~ shall not have been previously
6 installed or used to refuel vehicles powered by natural gas; or

7 5. For tax years 2010 and 2023 through 2028, a motor vehicle
8 originally equipped so that the vehicle may be propelled by a
9 hydrogen fuel cell electric fueling system.

10 C. As used in this section, "motor vehicle" means a motor
11 vehicle originally designed by the manufacturer to operate lawfully
12 and principally on streets and highways.

13 D. The credit provided for in subsection A of this section
14 shall be as follows:

15 1. For the qualified clean-burning motor vehicle fuel property
16 defined in paragraphs 1, 2, or 5 of subsection B of this section,
17 the amount of the credit shall be as follows based upon gross
18 vehicle weight of the qualified vehicle:

- 19 a. for vehicles up to or below six thousand (6,000)
20 pounds, the credit shall be a maximum of Five Thousand
21 Five Hundred Dollars (\$5,500.00),
22 b. for vehicles between six thousand one (6,001) pounds
23 to ten thousand (10,000) pounds, the credit shall be a
24 maximum amount of Nine Thousand Dollars (\$9,000.00),

- 1 c. for vehicles of ten thousand one (10,001) pounds, but
2 not in excess of twenty-six thousand five hundred
3 (26,500) pounds, the credit shall be a maximum amount
4 of Twenty-six Thousand Dollars (\$26,000.00), and
5 d. for vehicles in excess of twenty-six thousand five
6 hundred one (26,501) pounds, the credit shall be a
7 maximum amount of One Hundred Thousand Dollars
8 (\$100,000.00);

9 2. For qualified clean-burning motor vehicle fuel property
10 defined in paragraph 3 of subsection B of this section, a per-
11 location credit of forty-five percent (45%) of the cost of the
12 qualified clean-burning motor vehicle fuel property; and

13 3. For qualified clean-burning motor vehicle fuel property
14 defined in paragraph 4 of subsection B of this section, a per-
15 location credit of the lesser of fifty percent (50%) of the cost of
16 the qualified clean-burning motor vehicle fuel property or Two
17 Thousand Five Hundred Dollars (\$2,500.00).

18 E. In cases where no credit has been claimed pursuant to
19 paragraph 1 of subsection D of this section by any prior owner and
20 in which a motor vehicle is purchased by a taxpayer with qualified
21 clean-burning motor vehicle fuel property installed by the
22 manufacturer of such motor vehicle and the taxpayer is unable or
23 elects not to determine the exact basis which is attributable to
24 such property, the taxpayer may claim a credit in an amount not

1 exceeding the lesser of ten percent (10%) of the cost of the motor
2 vehicle or One Thousand Five Hundred Dollars (\$1,500.00).

3 F. If the tax credit allowed pursuant to subsection A of this
4 section exceeds the amount of income taxes due or if there are no
5 state income taxes due on the income of the taxpayer, the amount of
6 the credit not used as an offset against the income taxes of a
7 taxable year may be carried forward, in order, as a credit against
8 subsequent income tax liability for a period not to exceed five (5)
9 years. The tax credit authorized pursuant to the provisions of this
10 section shall not be used to reduce the tax liability of the
11 taxpayer to less than zero (0).

12 G. A husband and wife who file separate returns for a taxable
13 year in which they could have filed a joint return may each claim
14 only one-half (1/2) of the tax credit that would have been allowed
15 for a joint return.

16 H. The Oklahoma Tax Commission is herein empowered to
17 promulgate rules by which the purpose of this section shall be
18 administered including the power to establish and enforce penalties
19 for violations thereof.

20 I. Notwithstanding the provisions of Section 2352 of this
21 title, for the fiscal year beginning on July 1, 2014, through fiscal
22 year 2023, the Tax Commission shall calculate an amount that equals
23 five percent (5%) of the cost of qualified clean-burning motor
24 vehicle fuel property as provided for in paragraph 1 of subsection D

1 of this section for tax year 2012. For each subsequent fiscal year
2 thereafter, the Tax Commission shall perform the same computation
3 with respect to the second tax year preceding the beginning of each
4 subsequent fiscal year. For fiscal year 2024, the Tax Commission
5 shall calculate an amount that equals twelve percent (12%) of the
6 credit for qualified clean-burning motor vehicle fuel property as
7 provided in paragraph 1 of subsection D of this section for tax year
8 2021. For each subsequent fiscal year, the Tax Commission shall
9 perform the same calculation for credits claimed in the second
10 preceding tax year. The Tax Commission shall then transfer an
11 amount equal to the amount calculated in this subsection from the
12 revenue derived pursuant to the provisions of subsections A, B and E
13 of Section 2355 of this title to the Compressed Natural Gas
14 Conversion Safety and Regulation Fund created in Section 130.25 of
15 Title 74 of the Oklahoma Statutes.

16 J. For the tax years 2020 through 2022, the total amount of
17 credits authorized by this section used to offset tax shall be
18 adjusted annually to limit the annual amount of credits to Twenty
19 Million Dollars (\$20,000,000.00). The Tax Commission shall annually
20 calculate and publish by the first day of the affected taxable year
21 a percentage by which the credits authorized by this section shall
22 be reduced so the total amount of credits used to offset tax does
23 not exceed Twenty Million Dollars (\$20,000,000.00) per year. The
24 formula to be used for the percentage adjustment shall be Twenty

1 Million Dollars (\$20,000,000.00) divided by the credits claimed in
2 the second preceding year, with respect to any changes to the future
3 of the credit.

4 K. Pursuant to subsection J of this section, in the event the
5 total tax credits authorized by this section exceed Twenty Million
6 Dollars (\$20,000,000.00) in any calendar year, the Tax Commission
7 shall permit any excess over Twenty Million Dollars (\$20,000,000.00)
8 but shall factor such excess into the percentage adjustment formula
9 for subsequent years with respect to any changes to the future of
10 the credit.

11 L. For the tax years 2023 through 2028, the total amount of
12 credits authorized by this section used to offset tax shall be
13 adjusted annually to limit the annual amount of credits to:

14 1. Ten Million Dollars (\$10,000,000.00) for qualified clean
15 burning fuel property propelled by compressed natural gas, liquefied
16 natural gas, or liquefied petroleum gas, property related to the
17 delivery of compressed natural gas, liquefied natural gas or
18 liquefied petroleum gas, and property directly related to the
19 compression and delivery of natural gas;

20 2. Ten Million Dollars (\$10,000,000.00) for property originally
21 equipped so that the vehicle may be propelled by a hydrogen fuel
22 cell electric fueling system and property directly related to the
23 delivery of hydrogen; and
24

1 3. Ten Million Dollars (\$10,000,000.00) for property which is a
2 metered-for-fee, public access recharging system for motor vehicles
3 propelled in whole or in part by electricity.

4 The Tax Commission shall annually calculate and publish by the
5 first day of the affected taxable year a percentage by which the
6 credits authorized by this section shall be reduced so the total
7 amount of credits used to offset tax does not exceed each of the
8 limits provided in paragraphs 1 through 3 of this subsection. The
9 formula to be used for the percentage adjustment shall be Ten
10 Million Dollars (\$10,000,000.00) divided by the credits claimed in
11 the second preceding year, with respect to any changes to the future
12 of the credit.

13 M. Pursuant to subsection L of this section, in the event the
14 tax credits authorized by this section exceed any of the limits
15 provided in paragraphs 1 through 3 of subsection L of this section
16 in any year, the Tax Commission shall permit any excess over Ten
17 Million Dollars (\$10,000,000.00) but shall factor such excess into
18 the percentage adjustment formula for subsequent years with respect
19 to any changes to the future of the credit.

20 N. The Tax Commission shall notify the Office of the State
21 Secretary of Energy and Environment at any time when the amount of
22 claims for credits allowed pursuant to this section reaches eighty
23 percent (80%) of the total annual limit provided in subsection J of
24 this section. Upon such notification, the Secretary shall,

1 utilizing the centralized filing system provided for in Section 378
2 of this act, electronically provide notice to the Governor,
3 President Pro Tempore of the Senate, and Speaker of the House of
4 Representatives.

5 SECTION 223. AMENDATORY 68 O.S. 2021, Section 2357.32A,
6 is amended to read as follows:

7 Section 2357.32A. A. Except as otherwise provided in
8 subsection H of this section, for tax years beginning on or after
9 January 1, 2003, but with respect to tax credits for eligible
10 renewable resources described by subparagraphs b, c and d of
11 paragraph 2 of this subsection, for tax years ending not later than
12 December 31, 2021, there shall be allowed a credit against the tax
13 imposed by Section 2355 of this title to a taxpayer for the
14 taxpayer's production and sale to an unrelated person of electricity
15 generated by zero-emission facilities located in this state. As
16 used in this section:

17 1. "Electricity generated by zero-emission facilities" means
18 electricity that is exclusively produced by any facility located in
19 this state with a rated production capacity of one megawatt (1 mw)
20 or greater, constructed for the generation of electricity and placed
21 in operation after June 4, 2001, and with respect to electricity
22 generated by wind for any facility placed in operation not later
23 than July 1, 2017, which utilizes eligible renewable resources as
24 its fuel source. The construction and operation of such facilities

1 shall result in no pollution or emissions that are or may be harmful
2 to the environment, pursuant to a determination by the Department of
3 Environmental Quality; and

4 2. "Eligible renewable resources" means resources derived from:

- 5 a. wind,
- 6 b. moving water,
- 7 c. sun, or
- 8 d. geothermal energy.

9 B. For facilities placed in operation on or after January 1,
10 2003, and before January 1, 2007, the amount of the credit for the
11 electricity generated on or after January 1, 2003, but prior to
12 January 1, 2004, shall be seventy-five one-hundredths of one cent
13 (\$0.0075) for each kilowatt-hour of electricity generated by zero-
14 emission facilities. For electricity generated on or after January
15 1, 2004, but prior to January 1, 2007, the amount of the credit
16 shall be fifty one-hundredths of one cent (\$0.0050) per kilowatt-
17 hour for electricity generated by zero-emission facilities. For
18 electricity generated on or after January 1, 2007, but prior to
19 January 1, 2012, the amount of the credit shall be twenty-five one-
20 hundredths of one cent (\$0.0025) per kilowatt-hour of electricity
21 generated by zero-emission facilities. For facilities placed in
22 operation on or after January 1, 2007, and before January 1, 2021,
23 or with respect to electricity generated by wind for any facility
24 placed in operation not later than July 1, 2017, the amount of the

1 credit for the electricity generated on or after January 1, 2007,
2 shall be fifty one-hundredths of one cent (\$0.0050) for each
3 kilowatt-hour of electricity generated by zero-emission facilities.

4 C. Credits may be claimed with respect to electricity generated
5 on or after January 1, 2003, during a ten-year period following the
6 date that the facility is placed in operation on or after June 4,
7 2001.

8 D. 1. For credits generated prior to January 1, 2014, if the
9 credit allowed pursuant to this section exceeds the amount of income
10 taxes due or if there are no state income taxes due on the income of
11 the taxpayer, the amount of the credit allowed but not used in any
12 tax year may be carried forward as a credit against subsequent
13 income tax liability for a period not exceeding ten (10) years.

14 2. Except as provided by paragraph 3 of this subsection, for
15 credits generated, but not used, on or after January 1, 2014, the
16 Oklahoma Tax Commission shall refund, at the taxpayer's election,
17 directly to the taxpayer eighty-five percent (85%) of the face
18 amount of such credits. The direct refund of the credits pursuant
19 to this paragraph shall be available to all taxpayers, including,
20 without limitation, pass-through entities, and taxpayers subject to
21 Section 2355 of this title, but shall not be available to any
22 entities falling within the provisions of subsection E of this
23 section. The amount of any direct refund of credits actually
24 received at the eighty-five percent (85%) level by the taxpayer

1 pursuant to this paragraph shall not be subject to the tax imposed
2 by Section 2355 of this title. If the pass-through entity does not
3 file a claim for a direct refund, the pass-through entity shall
4 allocate the credit to one or more of the shareholders, partners or
5 members of the pass-through entity; provided, the total of all
6 credits refunded or allocated shall not exceed the amount of the
7 credit or refund to which the pass-through entity is entitled. For
8 the purposes of this paragraph, "pass-through entity" means a
9 corporation that for the applicable tax year is treated as an S
10 corporation under the Internal Revenue Code of 1986, as amended,
11 general partnership, limited partnership, limited liability
12 partnership, trust or limited liability company that for the
13 applicable tax year is not taxed as a corporation for federal income
14 tax purposes.

15 3. With respect to credits claimed for the first time on or
16 after July 1, 2019, or the effective date of this act, whichever
17 date last occurs, a taxpayer may irrevocably elect to not receive a
18 direct refund for a given tax year. Any credits not directly
19 refunded may be carried forward as a credit against subsequent
20 income tax liability for a period not exceeding ten (10) years. If
21 a taxpayer makes the irrevocable election to carry over credits for
22 a given tax year pursuant to this paragraph, any credits remaining
23 in the tenth year of carry forward shall be refunded at eighty-five
24 percent (85%).

1 E. Any nontaxable entities, including agencies of the State of
2 Oklahoma or political subdivisions thereof, shall be eligible to
3 establish a transferable tax credit in the amount provided in
4 subsection B of this section. Such tax credit shall be a property
5 right available to a state agency or political subdivision of this
6 state to transfer or sell to a taxable entity, whether individual or
7 corporate, who shall have an actual or anticipated income tax
8 liability under Section 2355 of this title. These tax credit
9 provisions are authorized as an incentive to the State of Oklahoma,
10 its agencies, and its political subdivisions to encourage the
11 expenditure of funds in the development, construction, and
12 utilization of electricity from zero-emission facilities as defined
13 in subsection A of this section.

14 F. For credits generated prior to January 1, 2014, the amount
15 of the credit allowed, but not used, shall be freely transferable at
16 any time during the ten (10) years following the year of
17 qualification. Any person to whom or to which a tax credit is
18 transferred shall have only such rights to claim and use the credit
19 under the terms that would have applied to the entity by whom or by
20 which the tax credit was transferred. The provisions of this
21 subsection shall not limit the ability of a tax credit transferee to
22 reduce the tax liability of the transferee, regardless of the actual
23 tax liability of the tax credit transferor, for the relevant taxable
24 period. The transferor initially allowed the credit and any

1 subsequent transferees shall jointly file a copy of any written
2 transfer agreement with the Oklahoma Tax Commission within thirty
3 (30) days of the transfer. The written agreement shall contain the
4 name, address and taxpayer identification number or Social Security
5 number of the parties to the transfer, the amount of the credit
6 being transferred, the year the credit was originally allowed to the
7 transferor, and the tax year or years for which the credit may be
8 claimed. The Tax Commission may promulgate rules to permit
9 verification of the validity and timeliness of the tax credit
10 claimed upon a tax return pursuant to this subsection but shall not
11 promulgate any rules that unduly restrict or hinder the transfers of
12 such tax credit. The tax credit allowed by this section, upon the
13 election of the taxpayer, may be claimed as a payment of tax, a
14 prepayment of tax or a payment of estimated tax for purposes of
15 Section 1803 or Section 2355 of this title.

16 G. For electricity generation produced and sold in a calendar
17 year, the tax credit allowed by the provisions of this section, upon
18 election of the taxpayer, shall be treated and may be claimed as a
19 payment of tax, a prepayment of tax or a payment of estimated tax
20 for purposes of Section 2355 of this title on or after July 1 of the
21 following calendar year.

22 H. No credit otherwise authorized by the provisions of this
23 section may be claimed for any event, transaction, investment,
24 expenditure, or other act occurring on or after July 1, 2010, for

1 which the credit would otherwise be allowable until the provisions
2 of this subsection shall cease to be operative on July 1, 2011.
3 Beginning July 1, 2011, the credit authorized by this section may be
4 claimed for any event, transaction, investment, expenditure, or
5 other act occurring on or after July 1, 2010, according to the
6 provisions of this section. Any tax credits which accrue during the
7 period of July 1, 2010, through June 30, 2011, may not be claimed
8 for any period prior to the taxable year beginning January 1, 2012.
9 No credits which accrue during the period of July 1, 2010, through
10 June 30, 2011, may be used to file an amended tax return for any
11 taxable year prior to the taxable year beginning January 1, 2012.

12 I. For tax years beginning on or after January 1, 2019, the
13 total amount of credits authorized by this section with respect to
14 eligible renewable resources described by subparagraphs b, c and d
15 of paragraph 2 of subsection A of this section used to offset tax or
16 paid as a refund shall be adjusted annually to limit the annual
17 amount of credits to Five Hundred Thousand Dollars (\$500,000.00).
18 The Tax Commission shall annually calculate and publish a percentage
19 by which the credits authorized by subparagraphs b, c and d of
20 paragraph 2 of subsection A of this section shall be reduced so the
21 total amount of credits used to offset tax or paid as a refund does
22 not exceed Five Hundred Thousand Dollars (\$500,000.00) per year.
23 The formula to be used for the percentage adjustment shall be Five
24

1 Hundred Thousand Dollars (\$500,000.00) divided by the credits
2 claimed in the second preceding year.

3 J. Pursuant to subsection I of this section, in the event the
4 total tax credits authorized by this section with respect to
5 eligible renewable resources described by subparagraphs b, c and d
6 of paragraph 2 of subsection A of this section exceed Five Hundred
7 Thousand Dollars (\$500,000.00) in any calendar year, the Tax
8 Commission shall permit any excess over Five Hundred Thousand
9 Dollars (\$500,000.00) but shall factor such excess into the
10 percentage adjustment formula for subsequent years.

11 K. Any credits authorized by this section with respect to
12 eligible renewable resources described by subparagraphs b, c and d
13 of paragraph 2 of subsection A of this section not used or unable to
14 be used because of the provisions of subsection I or J of this
15 section may be carried over until such credits are fully used.

16 L. The Tax Commission shall prepare an annual report and,
17 utilizing the centralized filing system provided for in Section 378
18 of this act, electronically submit it to the Office of the State
19 Secretary of Energy and Environment, the Governor, the Speaker of
20 the Oklahoma House of Representatives, and the President Pro Tempore
21 of the Oklahoma State Senate summarizing the amount of credits
22 allowed pursuant to subparagraphs b, c, and d of paragraph 2 of
23 subsection A of this section. The Secretary of Energy and
24 Environment shall, utilizing such centralized filing system,

1 electronically submit recommendations for changes to the tax credit
2 to the Governor, the Speaker of the Oklahoma House of
3 Representatives, and the President Pro Tempore of the Oklahoma State
4 Senate within sixty (60) days after receipt of the report from the
5 Oklahoma Tax Commission.

6 SECTION 224. AMENDATORY 68 O.S. 2021, Section 2357.65,
7 is amended to read as follows:

8 Section 2357.65. On or before November 1 of each year
9 subsequent to the effective date of this act, the Oklahoma Tax
10 Commission shall, utilizing the centralized filing system provided
11 for in Section 378 of this act, electronically file a report with
12 the Speaker of the House of Representatives and the President Pro
13 Tempore of the Senate. The report shall state the amount of credits
14 actually claimed and allowed pursuant to the provisions of this act
15 during the previous calendar year, statistical information on the
16 qualified investments made by qualified small business capital
17 companies during the previous year, an estimate of the number of
18 jobs created in this state during the previous year, and such other
19 information as the Tax Commission may deem relevant.

20 SECTION 225. AMENDATORY 68 O.S. 2021, Section 2357.76,
21 is amended to read as follows:

22 Section 2357.76. On or before November 1 of each year
23 subsequent to the effective date of the Rural Venture Capital
24 Formation Incentive Act, the Oklahoma Tax Commission shall,

1 utilizing the centralized filing system provided for in Section 378
2 of this act, electronically file a report with the Speaker of the
3 House of Representatives and the President Pro Tempore of the
4 Senate. The report shall state the amount of credits actually
5 claimed and allowed pursuant to the provisions of this act during
6 the previous calendar year, statistical information on the qualified
7 investments made by qualified rural small business capital companies
8 during the previous year, an estimate of the number of jobs created
9 in this state during the previous year, and such other information
10 as the Tax Commission may deem relevant to the effective
11 administration of the Rural Venture Capital Formation Incentive Act.

12 SECTION 226. AMENDATORY 68 O.S. 2021, Section 2370.1, as
13 amended by Section 1, Chapter 223, O.S.L. 2024 (68 O.S. Supp. 2025,
14 Section 2370.1), is amended to read as follows:

15 Section 2370.1. A. There shall be allowed a credit against the
16 tax imposed by Section 2370 of this title for any state banking
17 association, national banking association and credit union organized
18 under the laws of this state and whose main office is located in the
19 state, for the amount of the guaranty fee paid by the banking
20 association or credit union to the United States Small Business
21 Administration pursuant to the "7(a)" loan guaranty program.

22 B. The credit authorized by this section may be claimed for
23 guaranty fees paid to the Small Business Administration on behalf of
24 the borrower.

1 C. No credit may be claimed pursuant to this section if,
2 pursuant to the agreement between the banking association or credit
3 union and the entity to which proceeds are made available, the
4 banking association or credit union adds the amount of the SBA 7(a)
5 loan guaranty fee to the amount financed by the borrower or in any
6 other way recovers the guaranty fee amount from the borrower.

7 D. The credit authorized by this section may be claimed and if
8 not fully used in the initial year for which the credit is claimed
9 may be carried over, in order, to each of the five (5) succeeding
10 taxable years. The credit authorized by this section may not be
11 used to reduce the tax liability of the credit claimant below zero
12 (0).

13 E. The Oklahoma Tax Commission shall prepare a report regarding
14 the amount of tax credits claimed as authorized by this section.
15 The report shall be electronically submitted to the Speaker of the
16 House of Representatives and ~~to~~ the President Pro Tempore of the
17 Senate not later than March 31 of each year utilizing the
18 centralized filing system provided for in Section 378 of this act.

19 F. Pursuant to Section 46A of Title 62 of the Oklahoma
20 Statutes, there shall be a measurable goal of retaining ~~and/or~~ or
21 creating two thousand jobs per year in Oklahoma for the credit
22 against the tax imposed by Section 2370 of this title.

23 SECTION 227. AMENDATORY 68 O.S. 2021, Section 3507, is
24 amended to read as follows:

1 Section 3507. A. A political subdivision receiving an
2 incentive payment pursuant to the provisions of this act shall
3 deposit such payment in a separate fund and shall not be permitted
4 to use such monies for any purpose other than payment of expenses
5 associated with a qualified federal facility.

6 A political subdivision shall be permitted to invest the monies
7 accruing to such fund in such manner as is authorized by law for
8 investment of other monies of the political subdivision; provided,
9 the interest earned from such investments shall be deposited to the
10 fund and shall be used solely for payment of expenses associated
11 with a qualified federal facility.

12 B. A political subdivision receiving an incentive payment
13 pursuant to the provisions of this act shall annually cause an
14 independent financial audit of such fund to be made and shall submit
15 such audit to the Department of Commerce, the Oklahoma Tax
16 Commission, and the State Auditor and Inspector. The State Auditor
17 and Inspector shall review such audit and, utilizing the centralized
18 filing system provided for in Section 378 of this act,
19 electronically report his or her findings to the Governor, the
20 President Pro Tempore of the Senate, and the Speaker of the House of
21 Representatives.

22 C. At the end of the project term or at the end of the period
23 of time for which the qualified federal facility is leased or
24 conveyed to the government of the United States, whichever is later,

1 any assets of the qualified federal facility owned by the political
2 subdivision, including, but not limited to any property or any
3 monies remaining in the fund created pursuant to the provisions of
4 subsection A of this section, shall be disposed of between the
5 political subdivision and the state according to the proportions of
6 funding provided by the state through incentive payments authorized
7 by this act and funding provided by the political subdivision.

8 SECTION 228. AMENDATORY 68 O.S. 2021, Section 3610, is
9 amended to read as follows:

10 Section 3610. The Oklahoma Department of Commerce shall prepare
11 triennially a report which shall include, but not be limited to,
12 documentation of the new direct jobs created under the Oklahoma
13 Quality Jobs Program Act and a fiscal analysis of the costs and
14 benefits of the Program to the state. The report shall be
15 electronically submitted to the President Pro Tempore of the Senate,
16 the Speaker of the House of Representatives, and the Governor of
17 this state no later than March 1, 1996, and every three (3) years
18 thereafter utilizing the centralized filing system provided for in
19 Section 378 of this act. The report may be used for the purpose of
20 determining whether to continue or sunset the Oklahoma Quality Jobs
21 Program Act.

22 SECTION 229. AMENDATORY 68 O.S. 2021, Section 3633, as
23 amended by Section 2, Chapter 341, O.S.L. 2025 (68 O.S. Supp. 2025,
24 Section 3633), is amended to read as follows:

1 Section 3633. A. There is hereby created an incentive rebate
2 program for certain film projects and eligible television series
3 projects filmed or produced in Oklahoma who meet the requirements of
4 this act.

5 B. The rebate program shall be administered by the Oklahoma
6 Department of Commerce and the Oklahoma Tax Commission.

7 C. By October 1 of each year, the Oklahoma Department of
8 Commerce shall, utilizing the centralized filing system provided for
9 in Section 378 of this act, electronically submit an annual report
10 to the Speaker of the House of Representatives, the President Pro
11 Tempore of the Senate, the Chair of the Appropriations and Budget
12 Committee of the House of Representatives, the Chair of the
13 Appropriations Committee of the Senate, and the Director of the
14 Legislative Office of Fiscal Transparency detailing the program and
15 incentive rebate payments.

16 D. The Oklahoma Department of Commerce and the Oklahoma Tax
17 Commission may promulgate rules to implement the provisions of this
18 act.

19 E. To be eligible for a rebate payment a production company
20 shall:

21 1. Submit an application and documentation to the Oklahoma
22 Department of Commerce as required by the Department;

23 2. Have filed any Oklahoma tax returns and tax documents
24 required by law;

1 3. Provide evidence that all Oklahoma crew and local vendors
2 have been paid and that there are no pending liens against the
3 production company in this state;

4 4. Provide evidence of financing for production prior to the
5 commencement of principal photography;

6 5. Provide evidence of a certificate of general liability
7 insurance with a minimum coverage of One Million Dollars
8 (\$1,000,000.00) and a workers' compensation policy in compliance
9 with law, which shall include coverage of employer's liability;

10 6. Provide evidence, as required by the Department, that the
11 projects pursuant to this act are completed; and

12 7. The production company, or its payroll service provider,
13 shall withhold Oklahoma income tax at the highest percentage rate
14 found in the withholding statutes, on all payments to loan-out
15 companies for services performed in Oklahoma. The amounts so
16 withheld shall be allocated to the loan-out company's employees
17 based on the payments made to the loan-out company's employees for
18 services performed in Oklahoma. The loan-out company employees
19 performing services in Oklahoma shall be considered taxable and the
20 loan-out company shall be subject to income taxation in the taxable
21 year in which the loan-out company's employees perform services in
22 Oklahoma.

23 F. A production company shall not be eligible to receive both a
24 rebate payment pursuant to the provisions of this act and an

1 exemption from sales tax pursuant to the provisions of paragraph 23
2 of Section 1357 of Title 68 of the Oklahoma Statutes. If a
3 production company has received the exemption from sales taxes and
4 submits a claim for rebate pursuant to the provisions of this act,
5 the company shall be required to fully repay the amount of the
6 exemption to the Tax Commission. A claim for a rebate shall include
7 documentation from the Tax Commission that repayment has been made
8 as required in this subsection or shall include an affidavit from
9 the production company that the company has not received an
10 exemption from sales tax pursuant to the provisions of paragraph 23
11 of Section 1357 of Title 68 of the Oklahoma Statutes.

12 G. The Department of Commerce shall approve or disapprove all
13 claims for rebate and shall notify the Tax Commission subject to the
14 limitations set forth in Section 4 of this act. Upon notification
15 of approval from the Department, the Commission shall issue payment
16 for all approved claims from funds held in the Filmed in Oklahoma
17 Program Revolving Fund created pursuant to Section 9 of this act and
18 subject to the limitations set forth in Section 4 of this act. If
19 the amount of approved claims exceeds the balance of the revolving
20 fund, payments shall be made in the order the claims are approved by
21 the Department. If an approved claim is not paid in whole, the
22 unpaid claim or unpaid portion of the claim shall be paid upon the
23 availability of funds.

24

SECTION 230. AMENDATORY Section 4, Chapter 66, O.S.L.

2022, as amended by Section 1, Chapter 1, O.S.L. 2023 (68 O.S. Supp. 2025, Section 3645.4), is amended to read as follows:

Section 3645.4. A. 1. There is hereby created until July 1, 2032, an investment rebate program for the cost of qualified capital expenditures by establishments which create not less than a threshold number of new direct jobs as provided in this section.

2. a. The threshold number of new direct jobs required for establishments to qualify and remain qualified for investment rebate payments created in paragraph 1 of this subsection shall be as follows:

- (1) five hundred (500) new direct jobs in year one of the rebate payment period,
- (2) one thousand (1,000) cumulative new direct jobs in year two of the rebate payment period,
- (3) two thousand five hundred (2,500) cumulative new direct jobs in year three of the rebate payment period,
- (4) three thousand five hundred (3,500) cumulative new direct jobs in year four of the rebate payment period, and
- (5) three thousand five hundred (3,500) cumulative new direct jobs in year five of the rebate payment period.

1 b. For establishments qualifying for investment rebate
2 payments pursuant to division (2) of subparagraph a of
3 paragraph 1 of subsection E of this section, the
4 threshold numbers provided in this paragraph shall be
5 reduced proportionally to reflect the lesser capital
6 expenditure of such establishment. Such reduction
7 shall be achieved by multiplying the thresholds in
8 paragraph 2 of this subsection by a fractional
9 equivalent equal to the following: the capital
10 expenditure plan amount of the establishment
11 qualifying pursuant to division (2) of subparagraph a
12 of paragraph 1 of subsection E of this section,
13 divided by the capital expenditure plan amount of the
14 establishment qualifying pursuant to division (1) of
15 subparagraph a of paragraph 1 of subsection E of this
16 section.

17 3. New direct jobs in this state of a subsidiary of a primary
18 establishment, if such subsidiary is defined or classified in the
19 NAICS Manual under Industry Group No. 5132, 5222, or 5413, shall be
20 aggregated with the number of new direct jobs in the state of the
21 primary establishment for the purpose of determining if the
22 thresholds provided in paragraph 2 of this subsection are met.

23 B. The investment rebate program shall be administered by the
24 Oklahoma Department of Commerce and the Oklahoma Tax Commission.

1 C. By October 1 of each year, the Oklahoma Department of
2 Commerce shall, utilizing the centralized filing system provided for
3 in Section 378 of this act, submit electronically an annual report
4 to the Speaker of the House of Representatives, the President Pro
5 Tempore of the Senate, the Chair of the Appropriations and Budget
6 Committee of the House of Representatives, the Chair of the
7 Appropriations Committee of the Senate, and the Executive Director
8 of the Legislative Office of Fiscal Transparency detailing the
9 program and investment rebate payments.

10 D. The Oklahoma Department of Commerce and the Oklahoma Tax
11 Commission may promulgate rules to implement the provisions of the
12 Large-scale Economic Activity and Development Act of 2022 (LEAD
13 Act).

14 E. To be eligible for consideration for an investment rebate
15 payment awarded under the provisions of the LEAD Act, a primary
16 establishment shall:

- 17 1. a. (1) Submit an application and documentation to the
18 Oklahoma Department of Commerce, as required by
19 the Department, outlining a capital expenditure
20 plan in this state associated with qualified
21 capital expenditures totaling no less than Three
22 Billion Six Hundred Six Million Dollars
23 (\$3,606,000,000.00), or
24

- (2) Submit an application and documentation to the Oklahoma Department of Commerce, as required by the Department, outlining a capital expenditure plan in this state associated with qualified capital expenditures totaling no less than Five Hundred Million Dollars (\$500,000,000.00), provided a separate establishment has been approved by the Oklahoma Department of Commerce to participate in the investment rebate program pursuant to division (1) of this subparagraph, and such establishment participating pursuant to division (1) of this subparagraph remains in compliance with such approved application, and
- b. Have made qualified capital expenditures of no less than twenty percent (20%) of the capital expenditure plan outlined in the application submitted by the primary establishment and approved by the Oklahoma Department of Commerce, pursuant to the provisions of the LEAD Act.

New investment in this state of a subsidiary of a primary establishment, if such subsidiary is defined or classified in the NAICS Manual under Industry Group No. 5132, 5222, or 5413, shall be aggregated with the investment in this state of the primary

1 establishment for the purpose of determining if the thresholds
2 provided in this paragraph are met;

3 2. Be qualified to receive payments pursuant to the provisions
4 of the Oklahoma Quality Jobs Program Act created pursuant to Section
5 3601 of Title 68 of the Oklahoma Statutes; and

6 3. Have filed all Oklahoma tax returns and tax documents
7 required by law.

8 F. 1. Notwithstanding any other provision of law, if a primary
9 establishment receives an investment rebate payment pursuant to the
10 provisions of the LEAD Act, neither the qualified establishment nor
11 its subsidiaries shall be eligible to receive the credits provided
12 for in Section 2357.4 of Title 68 of the Oklahoma Statutes, in
13 connection with the project or development for which the investment
14 rebate payment was based; provided, however, the limitation provided
15 in this paragraph, on claiming credits, shall not apply to the
16 amount of qualifying capital expenditure in excess of Four Billion
17 Five Hundred Million Dollars (\$4,500,000,000.00) made by an
18 establishment on a project or development in this state.

19 2. Notwithstanding any other provision of law, no investment
20 expenditure shall be utilized for calculation purposes in a way that
21 results in the qualification of more than one establishment under
22 the provisions of the LEAD Act, for investment rebate payments based
23 on the same expenditure.

1 3. Notwithstanding any other provision of law, no investment
2 rebate payment amount pre-qualified or pre-encumbered by the
3 Oklahoma Department of Commerce for an establishment qualifying for
4 payment under the provisions of division (1) of subparagraph a of
5 paragraph 1 of subsection E of this section, shall be reallocated to
6 an establishment that at such time is participating under an
7 approved application pursuant to division (2) of subparagraph a of
8 paragraph 1 of subsection E of this section.

9 G. 1. Except as limited by paragraph 2 of this subsection, the
10 Oklahoma Department of Commerce shall approve or disapprove claims
11 for rebates and shall notify the Tax Commission subject to the
12 limitations set forth in Section 3645.5 of this title. Upon
13 notification of approval from the Department, the Commission shall
14 issue payment for all approved claims from funds held in the Large-
15 scale Economic Activity and Development Fund created pursuant to
16 Section 3645.6 of this title and subject to the limitations set
17 forth in Section 3645.5 of this title.

18 2. The Department shall disapprove all applications and claims,
19 as well as portions of applications and claims, for rebates that
20 would exceed the balance of available funds in the Large-scale
21 Economic Activity and Development Fund.

22 H. The total amount of applications approved and investment
23 rebate payments awarded under the provisions of the LEAD Act shall
24

1 not exceed the total amount of monies designated by law for deposit
2 to the Large-scale Economic Activity and Development Fund.

3 SECTION 231. AMENDATORY 68 O.S. 2021, Section 3808, is
4 amended to read as follows:

5 Section 3808. The Oklahoma Department of Commerce shall prepare
6 triennially a report which shall include, but not be limited to,
7 documentation of the new direct jobs created under the Former
8 Military Facility Development Act and a fiscal analysis of the costs
9 and benefits of the act to the state. The report shall be
10 electronically submitted to the President Pro Tempore of the Senate,
11 the Speaker of the House of Representatives, and the Governor of
12 this state no later than March 1, 1996, and every three (3) years
13 thereafter utilizing the centralized filing system provided for in
14 Section 378 of this act. The report may be used for the purpose of
15 determining whether to continue or sunset the Former Military
16 Facility Development Act.

17 SECTION 232. AMENDATORY 68 O.S. 2021, Section 3910, is
18 amended to read as follows:

19 Section 3910. The Oklahoma Department of Commerce shall prepare
20 triennially a report which shall include, but not be limited to,
21 documentation of the new direct jobs created under the Small
22 Employer Quality Jobs Incentive Act and a fiscal analysis of the
23 costs and benefits of the act to the state. The report shall be
24 electronically submitted to the President Pro Tempore of the Senate,

1 the Speaker of the House of Representatives, and the Governor no
2 later than March 1, 2001, and every three (3) years thereafter
3 utilizing the centralized filing system provided for in Section 378
4 of this act. The report may be used for the purpose of determining
5 whether to continue or sunset the Small Employer Quality Jobs
6 Incentive Act.

7 SECTION 233. AMENDATORY 68 O.S. 2021, Section 3920, is
8 amended to read as follows:

9 Section 3920. The Oklahoma Department of Commerce shall prepare
10 a report which shall include, but not be limited to, documentation
11 of the new direct jobs created under this act and a fiscal analysis
12 of the costs and benefits of the act to the state. The report shall
13 be electronically submitted to the President Pro Tempore of the
14 Senate, the Speaker of the House of Representatives, and the
15 Governor no later than March 1, 2011, and every three (3) years
16 thereafter utilizing the centralized filing system provided for in
17 Section 378 of this act. The report may be used for the purpose of
18 determining whether to continue or sunset the 21st Century Quality
19 Jobs Incentive Act.

20 SECTION 234. AMENDATORY 68 O.S. 2021, Section 4206, is
21 amended to read as follows:

22 Section 4206. A. The Quality Investment Committee shall meet
23 not less than once per quarter and consider applications for Quality
24 Investment Contracts from at-risk establishments. The Committee

1 shall review each application received since its last meeting and
2 consider for each application economic impacts, historical
3 contributions trends, and tax revenue projections analyses conducted
4 by or on behalf of the Oklahoma Department of Commerce; whether the
5 establishment is located in an economically distressed area of the
6 state; whether loss of the establishment would cause the local
7 community to become an economically distressed area; the number of
8 jobs of Oklahoma citizens which are at risk; and the average salary
9 of the jobs which are at risk.

10 B. Based on its review of applications, the Committee shall
11 ~~make~~, utilizing the centralized filing system provided for in
12 Section 378 of this act, electronically submit its recommendations
13 to the Governor, the Speaker of the House of Representatives, and
14 the President Pro Tempore of the Senate as to which applications for
15 investment contracts should be approved and the percentage of
16 investment the state should make as an incentive payment to the at-
17 risk establishment for those contracts which are approved. In
18 making such recommendations, the Committee shall not make
19 recommendations for Quality Investment Contracts which could require
20 payments in any year in excess of the amount allowed by the Oklahoma
21 Quality Investment Act or the provisions of Section 23 of Article X
22 of the Oklahoma Constitution.

23 C. The Governor, the Speaker of the House of Representatives,
24 and the President Pro Tempore of the Senate shall meet as often as

1 is necessary to consider recommendations of the Quality Investment
2 Committee. The Governor shall schedule and chair such meetings.
3 Quality Investment Contracts shall only be entered into upon the
4 unanimous approval by the Governor, the Speaker of the House of
5 Representatives, and the President Pro Tempore of the Senate of the
6 terms of the contract. A decision on recommendations of the Quality
7 Investment Committee shall be made within thirty (30) days of
8 receipt of such recommendations.

9 D. For any fiscal year, the incentives shall not exceed ten
10 percent (10%) of the amount invested by an establishment in capital
11 assets to be utilized in this state. The contract shall make
12 payment of any incentives in any fiscal year contingent on the
13 balance at the beginning of such fiscal year in the Constitutional
14 Reserve Fund being equal to or greater than Eighty Million Dollars
15 (\$80,000,000.00) and on the certification by the State Board of
16 Equalization for such fiscal year General Revenue Fund being greater
17 than that of the preceding fiscal year certification. Investment
18 contracts authorized by this act shall provide that if any incentive
19 payment is payable during a fiscal year in which either the balance
20 at the beginning of the fiscal year in the Constitutional Reserve
21 Fund is not equal to or greater than Eighty Million Dollars
22 (\$80,000,000.00) or when the certification by the State Board of
23 Equalization for such fiscal year General Revenue Fund is less than
24 that of the immediately prior fiscal year certification, then any

1 incentive payments which would have been payable during such fiscal
2 year shall be payable in the first fiscal year when funds are
3 available pursuant to the provisions of division 1 of subparagraph
4 (b) of paragraph 6 of Section 23 of Article X of the Oklahoma
5 Constitution. In the event that the amount of incentives due in any
6 year under investment contracts authorized by this subsection is
7 less than the amounts available for payment under this subsection in
8 such year, then incentives payments for such year shall be reduced
9 pro rata.

10 SECTION 235. AMENDATORY 68 O.S. 2021, Section 4210, is
11 amended to read as follows:

12 Section 4210. A. The Oklahoma Department of Commerce shall,
13 using its own resources or through a contract with a service
14 provider, conduct a five-year performance review of the Oklahoma
15 Quality Investment Act. The performance review may include measures
16 of economic productivity in areas or regions affected by the
17 business activity of any recipient of a payment authorized pursuant
18 to this act. Such measures of economic productivity may include,
19 but shall not be limited to, total payroll statistics, business
20 activity supported by the business activity of the payment
21 recipients, growth in property tax values attributable to capital
22 expansion, growth in state or local tax sources attributable to
23 capital expansion, increased investment activity by other business
24 entities, business site location inquiries related to the business

1 activity of a recipient or such other indicators of the net benefits
2 to the State of Oklahoma or an economic region as the Department of
3 Commerce or its service provider may select.

4 B. The results of the five-year performance review shall be
5 provided in a written report to be submitted not later than January
6 31, 2012, and not later than January 31 each successive five-year
7 period covering the results of performance measurement of the
8 Oklahoma Quality Investment Act as conducted pursuant to subsection
9 A of this section. The first such report shall only be required to
10 address the performance measures for the period of July 1, 2006,
11 through December 31, 2011. The report shall be electronically
12 provided to the Governor, the Speaker of the Oklahoma House of
13 Representatives, the President Pro Tempore of the State Senate, and
14 to each member of the Quality Investment Committee utilizing the
15 centralized filing system provided for in Section 378 of this act.

16 C. The Quality Investment Committee shall use the results of
17 the five-year performance report in making determinations required
18 of it pursuant to the Oklahoma Quality Investment Act.

19 SECTION 236. AMENDATORY 68 O.S. 2021, Section 4310, is
20 amended to read as follows:

21 Section 4310. The Executive Director of the Oklahoma Department
22 of Commerce shall, utilizing the centralized filing system provided
23 for in Section 378 of this act, electronically make a report to the
24 Governor, the Speaker of the House of Representatives, and the

1 President Pro Tempore of the Senate not later than December 1, 2013,
2 and each December 1 thereafter if this act is in force and effect,
3 regarding the effect and impact of the Oklahoma Quality Events
4 Incentive Act.

5 SECTION 237. AMENDATORY 68 O.S. 2021, Section 4510, is
6 amended to read as follows:

7 Section 4510. The Oklahoma Department of Commerce shall prepare
8 triennially a report which shall include, but not be limited to,
9 documentation of the new direct jobs created under the Oklahoma
10 Remote Quality Jobs Incentive Act and a fiscal analysis of the costs
11 and benefits of this act to the state. The report shall be
12 electronically submitted to the President Pro Tempore of the Senate,
13 the Speaker of the House of Representatives, and the Governor of
14 this state no later than March 1, 2023, and every three (3) years
15 thereafter utilizing the centralized filing system provided for in
16 Section 378 of this act. The report may be used for the purpose of
17 determining whether to continue or sunset the Oklahoma Remote
18 Quality Jobs Incentive Act.

19 SECTION 238. AMENDATORY 68 O.S. 2021, Section 50016, is
20 amended to read as follows:

21 Section 50016. The Department of Tourism and Recreation shall
22 develop, periodically revise, and maintain a comprehensive state
23 master capital improvement plan for state park and recreation
24 facilities under its jurisdiction, and shall prioritize projects

1 within the plan. Prior to the expenditure of funds in the Oklahoma
2 Tourism Capital Improvement Revolving Fund, the Department shall
3 identify and list the specific projects for which such funds will be
4 used, which shall be taken from the state master plan in the order
5 of priority. If the Department determines that an emergency exists
6 which could adversely affect the public peace, health, and safety,
7 it may identify and list a project not taken from the state master
8 plan in the order of priority. In such instance, the Department
9 shall include a determination of the existence of such emergency and
10 a justification therefor.

11 The list of such projects shall be electronically submitted to
12 the President Pro Tempore of the Oklahoma State Senate and the
13 Speaker of the Oklahoma House of Representatives utilizing the
14 centralized filing system provided for in Section 378 of this act.

15 The Legislature may, within thirty (30) legislative days after
16 submission of the list, in a bill or joint resolution approved by a
17 vote of not fewer than two-thirds (2/3) of the members in each house
18 thereof, disapprove one or more projects on the list and direct the
19 Department to revise and resubmit the list as provided herein.

20 SECTION 239. AMENDATORY 69 O.S. 2021, Section 322, is
21 amended to read as follows:

22 Section 322. A. There is hereby created the Office of Mobility
23 and Public Transit within the Department of Transportation. All
24 current Transit Division responsibilities, including oversight and

1 management of Federal Transit Administration (FTA) grants and
2 resources and the State Management Plan, are moved to the Office of
3 Mobility and Public Transit. Notwithstanding this subsection, the
4 Office of Mobility and Public Transit will not be responsible for
5 oversight and management of FTA grants and resources received by
6 transit agencies as a direct recipient of the FTA as that is not a
7 current responsibility of the Transit Division. All Federal Transit
8 Administration program implementations not currently managed by the
9 Department of Transportation shall be moved to the Office of
10 Mobility and Public Transit from other state agencies and other
11 state programs. The Office of Mobility and Public Transit is
12 charged with overseeing a network of public transit systems that
13 receive adequate funding to ensure the mobility needs of all
14 Oklahomans are met in a safe, affordable, reliable, consistent, and
15 coordinated fashion.

16 B. The Office of Mobility and Public Transit shall promulgate
17 rules and procedures to:

18 1. Implement innovative pilot programs including, but not
19 limited to, microtransit and autonomous vehicles in the following
20 systems:

- 21 a. EMBARK,
- 22 b. Tulsa Transit,
- 23 c. Little Dixie Transit, and

d. other transit systems as determined by the Department of Transportation; and

2. Implement expansion of the current Veterans' Ride Connect call center at Pelivan Transit to create a "one call/one click" statewide system for all citizens; ~~and~~

~~3. Develop the Oklahoma Public Transit Policy Plan. The plan will be developed jointly by the Department of Transportation and the Oklahoma Transit Association.~~

~~a. A copy of the plan shall be submitted to the Governor, the Speaker of the House of Representatives and the President Pro Tempore of the Senate by July 1, 2020.~~

~~b. The plan shall:~~

~~(1) be all-inclusive of the public transit systems in the state,~~

~~(2) reflect the results of the 2018 Oklahoma Transit Needs Assessment conducted by the Small Urban and Rural Transit Center,~~

~~(3) include all stakeholder input,~~

~~(4) provide for future collaboration and coordination of an effective network of public transit systems across the state,~~

~~(5) provide for future collaboration and coordination among all public transit agencies and systems and~~

~~all stakeholders with an interest in public transit, and~~

~~(6) provide for future collaboration and coordination among all state agencies with an interest in public transit including, but not limited to, the:~~

~~(a) Oklahoma Department of Commerce,~~

~~(b) Oklahoma Department of Rehabilitation Services,~~

~~(c) Oklahoma Department of Human Services,~~

~~(d) Oklahoma Department of Mental Health and Substance Abuse Services,~~

~~(e) Oklahoma Department of Veterans Affairs,~~

~~(f) Oklahoma Association of Centers for Independent Living,~~

~~(g) Oklahoma Health Care Authority,~~

~~(h) Oklahoma Employment Security Commission,~~

~~(i) Oklahoma State Department of Education,~~

~~(j) Oklahoma Department of Environmental Quality, and~~

~~(k) Oklahoma Department of Labor.~~

SECTION 240. AMENDATORY 69 O.S. 2021, Section 1705.6, is amended to read as follows:

1 Section 1705.6. The Oklahoma Turnpike Authority shall be
2 authorized to construct and it is the intent of the Legislature that
3 they do construct, by December 31, 1994, an interchange with a
4 tollgate and full entry and exit ramps in the vicinity of Luther on
5 the turnpike in Oklahoma County, provided that all right-of-way,
6 grading, base preparation, drainage and structures other than
7 tollgates and paving, are constructed without cost to the Authority
8 and ownership thereof transferred to the Authority upon completion
9 thereof. Such construction shall be in accordance with the most
10 recent edition of the geometric design standards of the American
11 Association of State Highway and Transportation Officials (AASHTO).

12 ~~The Authority shall issue a progress report on the Luther~~
13 ~~interchange by December 31, 1992, to the Speaker of the House of~~
14 ~~Representatives and the President Pro Tempore of the Senate.~~

15 SECTION 241. AMENDATORY 69 O.S. 2021, Section 1728, is
16 amended to read as follows:

17 Section 1728. It is hereby declared to be the intent of the
18 Legislature, and the Authority is therefor directed, to hold
19 payments for engineering and legal services to the barest minimum,
20 and it is further the intent of the Legislature that in regard to
21 bonds hereafter issued, so far as possible, the service of the chief
22 engineer of the Authority to be utilized as the consulting engineer
23 and the service of the Attorney General be utilized as legal counsel
24 for the Authority. The Authority is hereby directed to, utilizing

1 the centralized filing system provided for in Section 378 of this
2 act, electronically submit to the Governor and the Legislature a
3 complete detailed and itemized annual report of all sums, expended
4 for engineering and legal services, showing the amounts of and to
5 whom paid. Such report shall be submitted within thirty (30) days
6 after the convening of the Legislature for general sessions.

7 SECTION 242. AMENDATORY 69 O.S. 2021, Section 1912, is
8 amended to read as follows:

9 Section 1912. With monies made available, the Department of
10 Transportation shall create and maintain an on-line, updateable,
11 real-time, and interactive mapping system for the road and highway
12 systems for this state. The Department shall promulgate rules that
13 will provide for accessing the mapping system information. ~~The~~
14 ~~Department shall submit an annual report to the Speaker of the House~~
15 ~~of Representatives and the President Pro Tempore of the Senate on~~
16 ~~the progress for the design and implementation of the mapping system~~
17 ~~until the system is operational.~~

18 SECTION 243. AMENDATORY 70 O.S. 2021, Section 3-104, as
19 last amended by Section 1, Chapter 445, O.S.L. 2025 (70 O.S. Supp.
20 2025, Section 3-104), is amended to read as follows:

21 Section 3-104. A. The supervision of the public school system
22 of Oklahoma shall be vested in the State Board of Education and,
23 subject to limitations otherwise provided by law, the State Board of
24 Education shall:

1 1. Adopt policies and make rules for the operation of the
2 public school system of the state;

3 2. Appoint, prescribe the duties, and fix the compensation of a
4 secretary, an attorney, and all other personnel necessary for the
5 proper performance of the functions of the State Board of Education.
6 The secretary shall not be a member of the Board;

7 3. Submit to the Governor a departmental budget based upon
8 major functions of the State Department of Education as prepared by
9 the Superintendent of Public Instruction and supported by detailed
10 data on needs and proposed operations as partially determined by the
11 budgetary needs of local school districts filed with the State Board
12 of Education for the ensuing fiscal year. Appropriations therefor
13 shall be made in lump-sum form for each major item in the budget as
14 follows:

15 a. State Aid to schools,

16 b. the supervision of all other functions of general and
17 special education including general control, free
18 textbooks, school lunch, Indian education, and all
19 other functions of the Board and an amount sufficient
20 to adequately staff and administer these services, and

21 c. the Board shall determine the details by which the
22 budget and the appropriations are administered.

23 Annually, the Board shall make preparations to

24 consolidate all of the functions of the Department in

1 such a way that the budget can be based on two items,
2 administration and aid to schools. A maximum amount
3 for administration shall be designated as a part of
4 the total appropriation;

5 4. On the first day of December preceding each regular session
6 of the Legislature, prepare and deliver electronically to the
7 Governor and the Legislature a report for the year ending June 30
8 immediately preceding the regular session of the Legislature. The
9 report shall contain:

10 a. detailed statistics and other information concerning
11 enrollment, attendance, expenditures including State
12 Aid, and other pertinent data for all public schools
13 in this state,

14 b. reports from each and every division within the State
15 Department of Education as submitted by the
16 Superintendent of Public Instruction and any other
17 division, department, institution, or other agency
18 under the supervision of the Board,

19 c. recommendations for the improvement of the public
20 school system of the state,

21 d. a statement of the receipts and expenditures of the
22 State Board of Education for the past year, and

23 e. a statement of plans and recommendations for the
24 management and improvement of public schools and such

1 other information relating to the educational
2 interests of the state as may be deemed necessary and
3 desirable;

4 5. Provide for the formulation and adoption of curricula,
5 courses of study, and other instructional aids necessary for the
6 adequate instruction of pupils in the public schools;

7 6. Have authority in matters pertaining to the licensure and
8 certification of persons for instructional, supervisory, and
9 administrative positions and services in the public schools of the
10 state subject to the provisions of Section 6-184 of this title, and
11 shall formulate rules governing the issuance and revocation of
12 certificates for superintendents of schools, principals,
13 supervisors, librarians, clerical employees, school nurses, school
14 bus drivers, visiting teachers, classroom teachers, and for other
15 personnel performing instructional, administrative, and supervisory
16 services, but not including members of boards of education and other
17 employees who do not work directly with pupils, and may charge and
18 collect reasonable fees for the issuance of such certificates:

19 a. the State Department of Education shall not issue a
20 certificate to and shall revoke the certificate of any
21 person who has been convicted, whether upon a verdict
22 or plea of guilty or upon a plea of nolo contendere,
23 or received a suspended sentence or any probationary
24 term for a crime or an attempt to commit a crime

provided for in Section 843.5 of Title 21 of the Oklahoma Statutes if the offense involved sexual abuse or sexual exploitation as those terms are defined in Section 1-1-105 of Title 10A of the Oklahoma Statutes, Section 741, 843.1, if the offense included sexual abuse or sexual exploitation, 865 et seq., 885, 888, 891, 1021, 1021.2, 1021.3, 1040.13a, 1087, 1088, 1111.1, 1114, or 1123 of Title 21 of the Oklahoma Statutes or who enters this state and who has been convicted, received a suspended sentence, or received a deferred judgment for a crime or attempted crime which, if committed or attempted in this state, would be a crime or an attempt to commit a crime provided for in any of the laws,

b. except as provided for in subparagraph a of this paragraph, the State Board of Education shall have the authority to revoke or suspend a license or certificate only for the following reasons:

- (1) a willful violation of any federal or state law,
- (2) the abuse or neglect of a child,
- (3) moral turpitude, or
- (4) a conviction for any of the offenses or basis for revocation set forth in this section and Section 3-104.1 of this title,

1 c. the State Board of Education shall not have the
2 authority to summarily revoke or suspend a license or
3 certificate pending an individual proceeding for
4 revocation or other action unless for a valid
5 emergency as defined in the Administrative Procedures
6 Act. Upon initiating a formal investigation, the
7 State Department of Education shall notify via
8 certified mail and electronic mail the superintendent
9 of the school district where the license or
10 certificate holder is employed. In no event shall the
11 State Board of Education move to revoke or suspend a
12 license or certificate, for an emergency or otherwise,
13 unless the license or certificate holder and any
14 employing school district received notice via
15 certified mail and electronic mail within three (3)
16 days of the date the application was filed with the
17 State Board of Education, and

18 d. all funds collected by the State Department of
19 Education for the issuance of certificates to
20 instructional, supervisory, and administrative
21 personnel in the public schools of the state shall be
22 deposited in the "Teachers' Certification Fund" in the
23 State Treasury and may be expended by the State Board
24 of Education to finance the activities of the State

1 Department of Education necessary to administer the
2 program, for consultative services, publication costs,
3 actual and necessary travel expenses as provided in
4 the State Travel Reimbursement Act incurred by persons
5 performing research work, and other expenses found
6 necessary by the State Board of Education for the
7 improvement of the preparation and certification of
8 teachers in this state. Provided, any unobligated
9 balance in the Teachers' Certification Fund in excess
10 of Ten Thousand Dollars (\$10,000.00) on June 30 of any
11 fiscal year shall be transferred to the General
12 Revenue Fund of this state. Until July 1, 1997, the
13 State Board of Education shall have authority for
14 approval of teacher education programs. The State
15 Board of Education shall also have authority for the
16 administration of teacher residency and professional
17 development, subject to the provisions of the Oklahoma
18 Teacher Preparation Act;

19 7. Promulgate rules governing the classification, inspection,
20 supervision, and accrediting of all public nursery, kindergarten,
21 elementary and secondary schools, and on-site educational services
22 provided by public school districts or state-accredited private
23 schools in partial hospitalization programs, day treatment programs,
24 and day hospital programs as defined in Section 3-104.7 of this

1 title and Section 175.20 of Title 10 of the Oklahoma Statutes for
2 persons between the ages of three (3) and twenty-one (21) years of
3 age in the state. However, no school shall be denied accreditation
4 solely on the basis of average daily attendance.

5 Any school district which maintains an elementary school and
6 faces the necessity of relocating its school facilities because of
7 construction of a lake, either by state or federal authority, which
8 will inundate the school facilities, shall be entitled to receive
9 probationary accreditation from the State Board of Education for a
10 period of five (5) years after June 12, 1975, and any school
11 district, otherwise qualified, shall be entitled to receive
12 probationary accreditation from the State Board of Education for a
13 period of two (2) consecutive years to attain the minimum average
14 daily attendance. The Head Start and public nurseries or
15 kindergartens operated from community action agency funds shall not
16 be subjected to the accrediting rules of the State Board of
17 Education. Neither will the State Board of Education make rules
18 affecting the operation of the public nurseries and kindergartens
19 operated from federal funds secured through community action
20 agencies even though they may be operating in the public schools of
21 the state. However, any of the Head Start or public nurseries or
22 kindergartens operated under federal regulations may make
23 application for accrediting from the State Board of Education but
24 will be accredited only if application for the approval of the

1 programs is made. The status of no school district shall be changed
2 which will reduce it to a lower classification until due notice has
3 been given to the proper authorities thereof and an opportunity
4 given to correct the conditions which otherwise would be the cause
5 of such reduction.

6 Private and parochial schools may be accredited and classified
7 in like manner as public schools or, if an accrediting association
8 is approved by the State Board of Education, by procedures
9 established by the State Board of Education to accept accreditation
10 by such accrediting association, if application is made to the State
11 Board of Education for such accrediting;

12 8. Be the legal agent of this state to accept, in its
13 discretion, the provisions of any Act of Congress appropriating or
14 apportioning funds which are now, or may hereafter be, provided for
15 use in connection with any phase of the system of public education
16 in Oklahoma. It shall prescribe such rules as it finds necessary to
17 provide for the proper distribution of such funds in accordance with
18 the state and federal laws;

19 9. Be and is specifically hereby designated as the agency of
20 this state to cooperate and deal with any officer, board, or
21 authority of the United States Government under any law of the
22 United States which may require or recommend cooperation with any
23 state board having charge of the administration of public schools
24 unless otherwise provided by law;

1 10. Be and is hereby designated as the state educational agency
2 referred to in Public Law 396 of the 79th Congress of the United
3 States, as amended, which may be known as the Richard B. Russell
4 National School Lunch Act, and the State Board of Education is
5 hereby authorized and directed to accept the terms and provisions of
6 the act and to enter into such agreements, not in conflict with the
7 Constitution of Oklahoma or the Constitution and Statutes of the
8 United States, as may be necessary or appropriate to secure for this
9 state the benefits of the school lunch program established and
10 referred to in the act;

11 11. Have authority to secure and administer the benefits of the
12 Richard B. Russell National School Lunch Act, Public Law 396 of the
13 79th Congress of the United States, as amended, in this state and is
14 hereby authorized to employ or appoint and fix the compensation of
15 such additional officers or employees and to incur such expenses as
16 may be necessary for the accomplishment of the above purpose, and
17 administer the distribution of any state funds appropriated by the
18 Legislature required as federal matching to reimburse on children's
19 meals;

20 12. Accept and provide for the administration of any land,
21 money, buildings, gifts, donations, or other things of value which
22 may be offered or bequeathed to the schools under the supervision or
23 control of the Board;

24

1 13. Have authority to require persons having administrative
2 control of all school districts in Oklahoma to make such regular and
3 special reports regarding the activities of the schools in the
4 districts as the Board may deem needful for the proper exercise of
5 its duties and functions. Such authority shall include the right of
6 the State Board of Education to withhold all state funds under its
7 control, to withhold official recognition including accrediting,
8 until such required reports have been filed and accepted in the
9 office of the Board and to revoke the certificates of persons
10 failing or refusing to make such reports;

11 14. Have general supervision of the school lunch program. The
12 State Board of Education may sponsor workshops for personnel and
13 participants in the school lunch program and may develop, print, and
14 distribute free of charge or sell any materials, books, and
15 bulletins to be used in the school lunch programs. There is hereby
16 created in the State Treasury a revolving fund for the Board, to be
17 designated the "School Lunch Workshop Revolving Fund". The fund
18 shall consist of all fees derived from or on behalf of any
19 participant in any such workshop sponsored by the State Board of
20 Education, or from the sale of any materials, books, and bulletins,
21 and funds shall be disbursed for expenses of such workshops and for
22 developing, printing, and distributing of the materials, books, and
23 bulletins relating to the school lunch program. The fund shall be
24

1 administered in accordance with Section 155 of Title 62 of the
2 Oklahoma Statutes;

3 15. Prescribe all forms for school district and county officers
4 to report to the State Board of Education where required. The State
5 Board of Education shall also prescribe a list of appropriation
6 accounts by which the funds of school districts shall be budgeted,
7 accounted for, and expended; and it shall be the duty of the State
8 Auditor and Inspector in prescribing all budgeting, accounting, and
9 reporting forms for school funds to conform to such lists;

10 16. Provide for the establishment of a uniform system of pupil
11 and personnel accounting, records, and reports;

12 17. Have authority to provide for the health and safety of
13 school children and school personnel while under the jurisdiction of
14 school authorities;

15 18. Provide for the supervision of the transportation of
16 pupils;

17 19. Have authority, upon request of the local school board, to
18 act in behalf of the public schools of the state in the purchase of
19 transportation equipment;

20 20. Have authority and is hereby required to perform all duties
21 necessary to the administration of the public school system in
22 Oklahoma as specified in the Oklahoma School Code; and, in addition
23 thereto, those duties not specifically mentioned herein if not
24 delegated by law to any other agency or official;

1 21. Administer the State Public Common School Building
2 Equalization Fund established by Section 32 of Article X of the
3 Oklahoma Constitution. Any monies as may be appropriated or
4 designated by the Legislature, other than ad valorem taxes, any
5 other funds identified by the State Department of Education, which
6 may include, but not be limited to, grants-in-aid from the federal
7 government for building purposes, the proceeds of all property that
8 shall fall to the state by escheat, penalties for unlawful holding
9 of real estate by corporations, and capital gains on assets of the
10 permanent school funds, shall be deposited in the State Public
11 Common School Building Equalization Fund. The fund shall be used to
12 aid school districts and charter schools in acquiring buildings,
13 subject to the limitations fixed by Section 32 of Article X of the
14 Oklahoma Constitution. It is hereby declared that redbud school
15 grants disbursed from the State Public Common School Building
16 Equalization Fund shall be used for the same purposes as a building
17 fund, as provided for in Section 1-118 of this title. It is hereby
18 declared that the term "school districts" as used in Section 32 of
19 Article X of the Oklahoma Constitution shall mean school districts
20 and eligible charter schools as defined in subsection B of this
21 section. The State Board of Education shall disburse redbud school
22 grants annually from the State Public Common School Building
23 Equalization Fund to public schools and eligible charter schools
24 pursuant to subsection B of this section. The Board shall

1 promulgate rules for the implementation of disbursing redbud school
2 grants pursuant to this section. The State Board of Education shall
3 prescribe rules for making grants of aid from, and for otherwise
4 administering, the fund pursuant to the provisions of this
5 paragraph, and may employ and fix the duties and compensation of
6 technicians, aides, clerks, stenographers, attorneys, and other
7 personnel deemed necessary to carry out the provisions of this
8 paragraph. The cost of administering the fund shall be paid from
9 monies appropriated to the State Board of Education for the
10 operation of the State Department of Education. From monies
11 apportioned to the fund, the State Department of Education may
12 reserve not more than one-half of one percent (1/2 of 1%) for
13 purposes of administering the fund;

14 22. Recognize that the Director of the Department of
15 Corrections shall be the administrative authority for the schools
16 which are maintained in the state reformatories and shall appoint
17 the principals and teachers in such schools. Provided, that rules
18 of the State Board of Education for the classification, inspection,
19 and accreditation of public schools shall be applicable to such
20 schools; and such schools shall comply with standards set by the
21 State Board of Education; and

22 23. Have authority to administer a revolving fund which is
23 hereby created in the State Treasury, to be designated the
24 "Statistical Services Revolving Fund". The fund shall consist of

1 all monies received from the various school districts of the state,
2 the United States Government, and other sources for the purpose of
3 furnishing or financing statistical services and for any other
4 purpose as designated by the Legislature. The State Board of
5 Education is hereby authorized to enter into agreements with school
6 districts, municipalities, the United States Government,
7 foundations, and other agencies or individuals for services,
8 programs, or research projects. The Statistical Services Revolving
9 Fund shall be administered in accordance with Section 155 of Title
10 62 of the Oklahoma Statutes.

11 B. 1. The redbud school grants shall be determined by the
12 State Department of Education as follows:

- 13 a. divide the county four-mill levy revenue by four to
14 determine the nonchargeable county four-mill revenue
15 for each school district,
- 16 b. determine the amount of new revenue generated by the
17 five-mill building fund levy as authorized by Section
18 10 of Article X of the Oklahoma Constitution for each
19 school district as reported in the Oklahoma Cost
20 Accounting System for the preceding fiscal year,
- 21 c. add the amounts calculated in subparagraphs a and b of
22 this paragraph to determine the nonchargeable millage
23 for each school district,

24

- d. add the nonchargeable millage in each district statewide as calculated in subparagraph c of this paragraph and divide the total by the average daily membership in public schools statewide based on the preceding school year's average daily membership, according to the provisions of Section 18-107 of this title. This amount is the statewide nonchargeable millage per student, known as the baseline local funding per student,
- e. all eligible charter schools shall be included in these calculations as unique school districts, separate from the school district that may sponsor the eligible charter school, and the total number of districts shall be used to determine the statewide average baseline local funding per student,
- f. for each school district or eligible charter school which is below the baseline local funding per student, the Department shall subtract the baseline local funding per student from the average nonchargeable millage per student of the school district or eligible charter school to determine the nonchargeable millage per student shortfall for each district, and
- g. the nonchargeable millage per student shortfall for a school district or eligible charter school shall be

1 multiplied by the average daily membership of the
2 preceding school year of the eligible school district
3 or eligible charter school. This amount shall be the
4 redbud school grant amount for the school district or
5 eligible charter school.

6 2. For fiscal year 2022, monies for the redbud school grants
7 shall be expended from the funds apportioned pursuant to Section 426
8 of Title 63 of the Oklahoma Statutes. For fiscal year 2023 and each
9 subsequent fiscal year, monies for the redbud school grants shall be
10 appropriated pursuant to Section 426 of Title 63 of the Oklahoma
11 Statutes, not to exceed three-fourths (3/4) of the tax collected in
12 the preceding fiscal year pursuant to Section 426 of Title 63 of the
13 Oklahoma Statutes as determined by the Oklahoma Tax Commission. For
14 fiscal year 2023 and each subsequent fiscal year, if such
15 appropriated funds are insufficient to fund the redbud school
16 grants, then an additional apportionment of funds shall be made from
17 sales tax collections as provided by subsection D of Section 1353 of
18 Title 68 of the Oklahoma Statutes. If both funds are insufficient,
19 the Department shall promulgate rules to permit a decrease to the
20 baseline local funding per student to the highest amount allowed
21 with the funding available.

22 3. As used in this section, "eligible charter school" shall
23 mean a charter school which is sponsored pursuant to the provisions
24 of the Oklahoma Charter Schools Act. Provided, however, eligible

1 charter school shall not include a statewide virtual charter school
2 sponsored by the Statewide Charter School Board but shall only
3 include those which provide in-person or blended instruction, as
4 provided by Section 1-111 of this title, to not less than two-thirds
5 (2/3) of students as the primary means of instructional service
6 delivery.

7 4. The Department shall develop a program to acknowledge the
8 redbud school grant recipients and shall include elected members of
9 the House of Representatives and Senate who represent the school
10 districts and eligible charter schools.

11 5. The Department shall create a dedicated page on its website
12 listing annual redbud school grant recipients, amount awarded to
13 each recipient, and other pertinent information about the Redbud
14 School Funding Act.

15 6. The Department shall, utilizing the centralized filing
16 system provided for in Section 378 of this act, electronically
17 provide the chair of the House Appropriations and Budget Committee
18 and the chair of the Senate Appropriations Committee no later than
19 February 1 of each year with an estimate of the upcoming year's
20 redbud school grant allocation as prescribed by this section.

21 SECTION 244. AMENDATORY 70 O.S. 2021, Section 3-104.10,
22 is amended to read as follows:

23 Section 3-104.10. A. The Imagination Library Revolving Fund
24 created pursuant to Section 2 of this act shall be used to promote

1 and foster the development of the Oklahoma Imagination Library
2 Program, which shall be a statewide program for encouraging pre-
3 school children to read by providing age-appropriate books to
4 children at their homes from birth to age five (5) on a monthly
5 basis.

6 B. Contingent upon funds appropriated to the Imagination
7 Library Revolving Fund created pursuant to Section 2 of this act,
8 the State Department of Education shall:

9 1. Manage the daily operations of the Oklahoma Imagination
10 Library Program and provide oversight of the Imagination Library
11 Revolving Fund including but not limited to establishing county-
12 based programs in all seventy-seven counties and advancing and
13 strengthening the programs to ensure enrollment growth;

14 2. Develop, promote, and coordinate a public awareness program
15 to make donors aware of the opportunity to donate to the Imagination
16 Library Revolving Fund; and

17 3. Develop, promote, and coordinate a public awareness program
18 to make the public aware of the opportunity to register children to
19 receive age-appropriate books on a monthly basis. To receive books
20 on a monthly basis, a child shall be under the age of five (5) and
21 shall have an Oklahoma residence.

22 C. The State Department of Education may establish a volunteer
23 advisory committee to assist with implementing the provisions of
24 paragraphs 2 and 3 of subsection B of this section.

1 D. The State Department of Education is authorized to retain up
2 to ten percent (10%) of the funds appropriated, gifted, granted,
3 donated, or bequested to the Imagination Library Revolving Fund for
4 administrative and operating expenses related to implementation of
5 the Oklahoma Imagination Library Program.

6 E. The Oklahoma Imagination Library Program shall be funded by
7 fifty percent (50%) private funds and fifty percent (50%)
8 appropriated funds. The State Department of Education shall include
9 in its annual budget request the estimated need to fund the Oklahoma
10 Imagination Library Program for the following fiscal year.

11 F. The State Department of Education shall, utilizing the
12 centralized filing system provided for in Section 378 of this act,
13 electronically submit a report by July 1, 2021, and each July 1
14 thereafter to the chair of the Senate Education Committee and the
15 chair of the House of Representatives Common Education Committee
16 detailing the status of implementing the Oklahoma Imagination
17 Library Program.

18 SECTION 245. AMENDATORY 70 O.S. 2021, Section 3-117.3,
19 is amended to read as follows:

20 Section 3-117.3. A. The School Finance Review Commission shall
21 conduct a review of all matters related to school finance, including
22 but not limited to teacher compensation, benefits, and
23 administration costs.
24

1 B. The Commission shall, utilizing the centralized filing
2 system provided for in Section 378 of this act, electronically
3 submit a report of its findings to the Governor, the President Pro
4 Tempore of the Senate, and the Speaker of the House of
5 Representatives no later than December 31, 2023, and every
6 subsequent four (4) years by December 31.

7 SECTION 246. AMENDATORY 70 O.S. 2021, Section 3-118, is
8 amended to read as follows:

9 Section 3-118. The Secretary of Education shall:

10 1. Oversee the Office of Educational Quality and
11 Accountability;

12 2. Employ necessary personnel according to procedures
13 established for the employment of personnel by the Office of
14 Management and Enterprise Services;

15 3. Monitor the efforts of the public school districts to comply
16 with the provisions of this act and of Enrolled Senate Bill No. 183
17 of the 1st Session of the 42nd Oklahoma Legislature which relate to
18 common education;

19 4. Identify districts not making satisfactory progress toward
20 compliance with the provisions and recommend appropriate corrective
21 actions to the State Board of Education concerning each district so
22 identified;

1 5. Have executive responsibility for the Oklahoma Educational
2 Indicators Program and the annual report required pursuant to
3 Section 1210.531 of this title;

4 6. Review and make periodic public comment on the progress and
5 effectiveness of the State Board and State Department of Education,
6 the Office of the State Superintendent of Public Instruction, other
7 bodies created by this act, and the public schools of this state
8 concerning the implementation of the provisions of this act and of
9 Enrolled Senate Bill No. 183 of the 1st Session of the 42nd Oklahoma
10 Legislature which relate to common education;

11 7. Analyze the revenues for all systems of education and the
12 expenditure of common education revenue, giving close attention to
13 expenditures for administrative expenses relating to the common
14 schools;

15 8. Make reports to the public concerning these matters whenever
16 appropriate; and

17 9. ~~Submit~~ Utilizing the centralized filing system provided for
18 in Section 378 of this act, electronically submit recommendations
19 regarding funding for education or statutory changes to the Speaker
20 of the House of Representatives, the President Pro Tempore of the
21 Senate, and the Governor whenever appropriate.

22 SECTION 247. AMENDATORY 70 O.S. 2021, Section 3-127, is
23 amended to read as follows:
24

1 Section 3-127. A. Prior to the adoption of a resolution by the
2 local board of education as required in subsection A of Section 3-
3 126 of this title, the local board of education shall provide for a
4 period of public review and comment on the proposed educational
5 improvement plan and shall notify and allow comment from the
6 district bargaining agent of the plan. If no bargaining agent
7 exists for that district, the teachers directly effected shall be
8 notified and allowed to make comments. All comments,
9 recommendations, and objections made by the bargaining agent and
10 others to the local board of education shall be forwarded to the
11 State Board of Education for consideration prior to review of the
12 plan.

13 B. Each educational improvement plan shall be approved by the
14 State Board of Education before implementation.

15 C. Approval of a plan shall be for no longer than three (3)
16 years. If a plan is approved, the school district shall be required
17 to submit an annual report and the Board shall provide for an annual
18 assessment of the plan.

19 D. The Board shall notify the Speaker of the House of
20 Representatives and the President Pro Tempore of the Senate of the
21 approval of plans on a quarterly basis and shall, utilizing the
22 centralized filing system provided for in Section 378 of this act,
23 electronically provide the Speaker and the President Pro Tempore
24 with copies of the annual reports and assessments.

1 E. If the Board determines through the annual assessment
2 process that the school district is not complying with the
3 requirements of the Educational Deregulation Act or is not meeting
4 the goals of the plan, it shall first provide notice to the district
5 of its findings. If the school district does not come into
6 compliance or take action to meet the goals of the plan, the Board
7 shall withdraw approval and terminate the plan.

8 SECTION 248. AMENDATORY 70 O.S. 2021, Section 3-129.10,
9 is amended to read as follows:

10 Section 3-129.10. A. By March 1, 2011, and each year
11 thereafter, the State Board of Education shall, utilizing the
12 centralized filing system provided for in Section 378 of this act,
13 electronically submit to the Governor, the President Pro Tempore of
14 the State Senate, the Speaker of the House of Representatives, and
15 to the members of the education committees of the Senate and the
16 House of Representatives, or any successor committees, a report
17 concerning the empowered districts. At a minimum, the report shall
18 include:

19 1. The number of school districts designated as empowered
20 districts in the preceding academic year and the total number of
21 empowered districts in the state;

22 2. The number of empowered schools and the number of empowered
23 school zones, including the number of schools in the zone, in each
24 empowered district and the number of students served in the

empowered schools and empowered school zones, expressed as a total number and as a percentage of the students enrolled in the empowered district;

3. An overview of the innovations implemented in each empowered school, zone, and district;

4. An overview of the academic performance of the students served in empowered schools, zones, and districts, including a comparison between the academic performance of the students before and since implementation of the innovations;

5. Any recommendations for legislative changes based on the innovations implemented or to further enhance the ability of school district boards of education to implement innovations; and

6. Any additional information requested by the Governor or a member of the Legislature.

B. The State Superintendent of Public Instruction shall ensure that the annual report submitted pursuant to this section is promptly posted on the State Department of Education website.

SECTION 249. AMENDATORY 70 O.S. 2021, Section 5-141, is amended to read as follows:

Section 5-141. A. Each school district of this state shall adopt a minimum salary schedule and shall transmit a copy of it to the State Board of Education within thirty (30) days after adoption. A school district shall not calculate salaries of teachers solely as a proportion of the salaries of the administrators of the district.

1 B. Districts shall be encouraged to provide compensation
2 schedules to reflect district policies and circumstances, including
3 differential pay for different subject areas and special incentives
4 for teachers in districts with specific geographical attributes.
5 Districts may also adopt a salary schedule that provides additional
6 compensation for achieving certain ratings under the Oklahoma
7 Teacher and Leader Effectiveness Evaluation System (TLE) as set
8 forth in Section 6 of this act. Any salary schedule adopted by a
9 district pursuant to this section shall not set salaries at amounts
10 less than those set pursuant to Section 18-114.12 of this title.

11 C. The State Department of Education shall compile a report of
12 the minimum salary schedules for every school district in the state
13 and shall, utilizing the centralized filing system provided for in
14 Section 378 of this act, electronically submit the report to the
15 Governor, Speaker of the House of Representatives, and President Pro
16 Tempore of the Senate no later than December 15 of each year.

17 D. Each school district shall file within fifteen (15) days of
18 signing the contract, the employment contract of the superintendent
19 of the school district with the State Department of Education. The
20 Department shall keep all contracts available for inspection by the
21 public. The school district shall not be authorized to pay any
22 salary, benefits or other compensation to a superintendent which are
23 not specified in the contract on file and shall not pay
24 administrators any amounts for accumulated sick leave that are not

1 calculated on the same formula used for determining payment for
2 accumulated sick leave benefits for other full-time employees of
3 that school district and shall not pay administrators any amounts
4 for accumulated vacation leave benefits that are not calculated on
5 the same formula used for determining payment for accumulated
6 vacation leave benefits for other twelve-month full-time employees
7 of that school district.

8 E. By October 1 of each year each district board of education
9 shall prepare a schedule of salaries and fringe benefits paid
10 administrators employed by the district, including a description of
11 the fringe benefits. The schedule shall be a public record and
12 shall be disclosed as required by the Oklahoma Open Records Act.
13 The board shall file a copy of the schedule with the State
14 Department of Education within one week of completion.

15 F. For purposes of this section the term "administrator" shall
16 include employees who are employed and certified as superintendents,
17 assistant superintendents, principals, and assistant principals and
18 who have responsibilities for supervising classroom teachers.

19 SECTION 250. AMENDATORY 70 O.S. 2021, Section 5-146, is
20 amended to read as follows:

21 Section 5-146. A. Any school employee, as defined by
22 subsection A of Section 650.7 of Title 21 of the Oklahoma Statutes,
23 upon whom an assault, battery, assault and battery, or aggravated
24 battery or aggravated assault and battery is committed while in the

1 performance of any duties as a school employee shall notify either
2 the superintendent, building administrator, or one member of a Safe
3 School Committee of the school district employing the school
4 employee. The building administrator or member of the Safe School
5 Committee shall notify the superintendent of the assault, battery,
6 assault and battery, aggravated battery or aggravated assault and
7 battery.

8 B. The superintendent shall notify the State Department of
9 Education of all incidents described in subsection A of this section
10 for the previous year on July 1 of each year. The report shall
11 include a description of the battery or assault and battery, and the
12 final disposition of each incident.

13 C. The State Department of Education shall, utilizing the
14 centralized filing system provided for in Section 378 of this act,
15 electronically submit a report to the President Pro Tempore of the
16 Senate, the Speaker of the House of Representatives, and the
17 Governor on December 1 of each year.

18 D. For purposes of this section, "assault" shall be defined by
19 Section 641 of Title 21 of the Oklahoma Statutes, "battery" shall be
20 defined by Section 642 of Title 21 of the Oklahoma Statutes, and
21 "aggravated assault and battery" shall be defined by Section 646 of
22 Title 21 of the Oklahoma Statutes.

23 E. No school employee shall be subject to any civil liability
24 for any statement, report, or action taken in reporting or assisting

1 in reporting a battery or assault and battery which is committed
2 upon the school employee while in the performance of any duties
3 unless such report or assistance was made in bad faith or with
4 malicious purpose.

5 F. Every school district shall have and deliver to each school
6 employee a written policy that such employee shall follow if an
7 assault, battery, or assault and battery is committed upon the
8 school employee while in the performance of any school duties.

9 SECTION 251. AMENDATORY 70 O.S. 2021, Section 6-186, is
10 amended to read as follows:

11 Section 6-186. A. Criteria for the approval and accreditation
12 of teacher education programs in Oklahoma institutions of higher
13 education shall include, but not be limited to, substantial evidence
14 that persons who enter teacher education programs demonstrate:

15 1. Competency in the oral and written use of the English
16 language;

17 2. A minimum grade point average as established by the
18 Commission for Educational Quality and Accountability; and

19 3. The ability to meet criteria established pursuant to the
20 Oklahoma Teacher Preparation Act at the completion of the teacher
21 education program and provide evidence of having worked with
22 children or youth in a variety of situations.

23

24

1 Criteria shall also include a greater emphasis upon field work
2 in accredited schools by prospective teachers under the supervision
3 of higher education faculty.

4 B. The Commission for Educational Quality and Accountability
5 shall work with the Oklahoma State Regents for Higher Education and
6 the various institutions of higher education in developing
7 guidelines for a paid teacher internship program which may be
8 offered at each institution for prospective teachers. The purpose
9 of each program shall be to provide mentorship and support for
10 prospective teachers. Students enrolled in a teacher education
11 program shall be eligible to participate in the program.

12 C. It is hereby declared to be the intent of the Legislature
13 that the Commission for Educational Quality and Accountability work
14 with the Oklahoma State Regents for Higher Education and the various
15 institutions of higher education in establishing a procedure whereby
16 full-time teacher education faculty continue their professional
17 development during their tenure at an institution of higher
18 education to ensure that the future teachers of this state are
19 taught by professional educators fully trained in their area of
20 expertise. Each approved or accredited program of teacher education
21 shall have a system for documenting and reporting the annual
22 professional development activities of all teacher education faculty
23 members. Faculty professional development reports shall be reviewed
24

1 by the Commission along with professional development activities as
2 a normal part of the accreditation process.

3 It is further declared to be the intent of the Legislature that
4 such professional development plans provide alternative means of
5 education including, but not limited to:

6 1. Professional development programs;

7 2. Higher education courses;

8 3. Exchange programs with public school classroom teachers,
9 administrators, and other school personnel; and

10 4. Programs whereby all full-time teacher education faculty
11 members directly involved in the teacher education process including
12 all administrators of the teacher education program, are required to
13 serve in a state accredited public school for at least ten (10)
14 clock hours per school year in responsibilities related to their
15 respective teacher education teaching fields.

16 All public school systems shall participate in the programs
17 provided for in this subsection when needed.

18 D. The Commission for Educational Quality and Accountability
19 shall adopt rules requiring specific improvements to strengthen the
20 screening of student applicants and field activity and placement as
21 set out in subsection A of this section. Such rules shall be
22 reviewed and amended or readopted by the Commission at least once
23 every five (5) years.

24

1 E. To assist the Commission in setting specific requirements as
2 set out in subsections A and D of this section, the Commission shall
3 annually prepare a statistical report showing the percentage of
4 students from each of the Oklahoma institutions of higher education
5 who have successfully completed or who have failed the competency
6 examination for certification. The annual report shall show the
7 percentages for each institution of higher education and each
8 assessment area separately by student degree status and shall be
9 electronically distributed annually to each member of the Commission
10 for Educational Quality and Accountability, the Oklahoma State
11 Regents for Higher Education, the governing board of each
12 institution which has an approved or state accredited teacher
13 education program, the State Board of Education, the State Board of
14 Career and Technology Education, and the Legislature utilizing the
15 centralized filing system provided for in Section 378 of this act.

16 F. By November 1, 2017, the Commission shall adopt rules
17 requiring coursework or training in the use of digital and other
18 instructional technologies as a requisite for program accreditation.

19 SECTION 252. AMENDATORY 70 O.S. 2021, Section 6-211, is
20 amended to read as follows:

21 Section 6-211. The State Board of Education in cooperation with
22 the Commission for Educational Quality and Accountability, the
23 Oklahoma State Regents for Higher Education and institutions of
24 higher education shall conduct an educator supply-and-demand study

1 every three (3) years. The study shall identify areas of teacher
2 shortage and make recommendations for addressing the areas of most
3 critical need. The Board shall, utilizing the centralized filing
4 system provided for in Section 378 of this act, electronically
5 submit a report outlining the findings to the Governor, the Speaker
6 of the House of Representatives, and the President Pro Tempore of
7 the Senate.

8 SECTION 253. AMENDATORY 70 O.S. 2021, Section 11-103.6,
9 as last amended by Section 1, Chapter 384, O.S.L. 2024 (70 O.S.
10 Supp. 2025, Section 11-103.6), is amended to read as follows:

11 Section 11-103.6. A. 1. The State Board of Education shall
12 adopt subject matter standards for instruction of students in the
13 public schools of this state that are necessary to ensure there is
14 attainment of desired levels of competencies in a variety of areas
15 to include language, mathematics, science, social studies,
16 communication, and health and physical education.

17 2. School districts shall develop and implement curriculum,
18 courses and instruction in order to ensure that students meet the
19 skills and competencies as set forth in this section and in the
20 subject matter standards adopted by the State Board of Education.

21 3. All students shall gain literacy at the elementary and
22 secondary levels. Students shall develop skills in reading,
23 writing, speaking, computing, and critical thinking. For purposes
24 of this section, critical thinking means a manner of analytical

1 thinking which is logical and uses linear factual analysis to reach
2 a conclusion. They shall learn about cultures and environments -
3 their own and those of others with whom they share the earth. All
4 students shall receive the instruction needed to lead healthy and
5 physically active lifestyles. Students, therefore, shall study
6 social studies, literature, languages, the arts, health,
7 mathematics, and science. Such curricula shall provide for the
8 teaching of a hands-on career exploration program in cooperation
9 with technology center schools.

10 4. The subject matter standards shall be designed to teach the
11 competencies for which students shall be tested as provided in
12 Section 1210.508 of this title and shall be designed to prepare all
13 students for active citizenship, employment, ~~and/or~~ or successful
14 completion of postsecondary education without the need for remedial
15 coursework at the postsecondary level.

16 5. The subject matter standards shall be designed with rigor as
17 defined in paragraph 6 of subsection F of this section.

18 6. The subject matter standards for English Language Arts shall
19 give Classic Literature and nonfiction literature equal
20 consideration to other literature. In addition, emphasis shall be
21 given to the study of complete works of literature.

22 7. At a minimum, the subject matter standards for mathematics
23 shall require mastery of the standard algorithms in mathematics,
24 which is the most logical, efficient way of solving a problem that

1 consistently works, and for students to attain fluency in Euclidian
2 geometry.

3 8. The subject matter standards for history, social studies,
4 and United States Government shall include the content of the United
5 States naturalization test, with an emphasis on the specific content
6 of the test and the ideas and concepts it references. The United
7 States naturalization test shall be made available in physical and
8 electronic online formats as an optional assessment tool for
9 teachers.

10 9. The subject matter standards for United States Government
11 shall include an emphasis on civics. For the purposes of this
12 section, "civics" means the study of the rights and duties of
13 Oklahoma and United States citizens and of how those governments
14 work.

15 10. The subject matter standards for health and physical
16 education shall include but not be limited to the domains of
17 physical, emotional, social, and intellectual health. Health
18 literacy shall include the ability to obtain, process, and
19 understand basic health information and services needed to make
20 appropriate health decisions. Health shall also include the
21 importance of proper nutrition and exercise, mental health and
22 wellness, substance abuse, coping skills for understanding and
23 managing trauma, establishing and maintaining positive
24 relationships, and responsible decision making. Physical literacy

1 shall include the ability to move with competence and confidence in
2 a wide variety of physical activities in multiple environments that
3 benefit the healthy development of the whole person.

4 B. Subject to the provisions of subsection C or subsection D of
5 this section, in order to graduate from a public high school
6 accredited by the State Board of Education with a standard diploma,
7 students enrolled in grades eight through twelve in the 2024-2025
8 school year shall complete the following college preparatory/work
9 ready curriculum units or sets of competencies at the secondary
10 level:

11 1. Four units or sets of competencies of English to include
12 Grammar, Composition, Literature, or any English course approved for
13 college admission requirements;

14 2. Three units or sets of competencies of mathematics, limited
15 to Algebra I, Algebra II, Geometry, Trigonometry, Math Analysis,
16 Calculus, Advanced Placement Statistics, or any mathematics course
17 with content ~~and/or~~ or rigor above Algebra I and approved for
18 college admission requirements;

19 3. Three units or sets of competencies of laboratory science
20 approved for college admission requirements including one unit or
21 set of competencies of life science meeting the standards for
22 Biology I; one unit or set of competencies of physical science
23 meeting the standards for Physical Science, Chemistry, or Physics;
24 and one unit or set of competencies from the domains of physical

1 science, life science, or earth and space science such that the
2 content and rigor is above Biology I or Physical Science;

3 4. Three units or sets of competencies of history and
4 citizenship skills including one unit of American History, 1/2 unit
5 of Oklahoma History, 1/2 unit of United States Government, and one
6 unit from the subjects of History, Government, Geography, Economics,
7 Civics, or non-Western culture and approved for college admission
8 requirements;

9 5. Two units or sets of competencies of the same world or non-
10 English language or two units of computer technology approved for
11 college admission requirements, whether taught at a high school or a
12 technology center school including computer programming, hardware,
13 and business computer applications, such as word processing,
14 databases, spreadsheets, and graphics, excluding keyboarding or
15 typing courses;

16 6. One additional unit or set of competencies selected from
17 paragraphs 1 through 5 of this subsection or career and technology
18 education courses, concurrently enrolled courses, advanced placement
19 courses, or International Baccalaureate courses approved for college
20 admission requirements; and

21 7. One unit or set of competencies of fine arts, such as music,
22 art, or drama, or one unit or set of competencies of speech.

23 C. In lieu of the requirements of subsection B or subsection D
24 of this section which requires a college preparatory/work ready

1 curriculum, a student enrolled in grades eight through twelve in the
2 2024-2025 school year may enroll in the core curriculum as provided
3 in this subsection upon written approval of the parent or legal
4 guardian of the student. For students under the age of eighteen
5 (18) school districts shall require a parent or legal guardian of
6 the student to meet with a designee of the school prior to
7 enrollment in the core curriculum. The State Department of
8 Education shall develop and distribute to school districts a form
9 suitable for this purpose, which shall include information on the
10 benefits to students of completing the college preparatory/work
11 ready curriculum as provided for in subsection B of this section.

12 In order to graduate from a public high school accredited by the
13 State Board of Education with a standard diploma, students enrolled
14 in grades eight through twelve in the 2024-2025 school year shall
15 complete the following core curriculum units or sets of competencies
16 at the secondary level:

17 1. Language Arts - 4 units or sets of competencies to consist
18 of 1 unit or set of competencies of grammar and composition, and 3
19 units or sets of competencies which may include, but are not limited
20 to, the following courses:

- 21 a. American Literature,
- 22 b. English Literature,
- 23 c. World Literature,
- 24 d. Advanced English Courses, or

e. other English courses with content ~~and/or~~ or rigor equal to or above grammar and composition;

2. Mathematics - 3 units or sets of competencies to consist of 1 unit or set of competencies of Algebra I or Algebra I taught in a contextual methodology, and 2 units or sets of competencies which may include, but are not limited to, the following courses:

- a. Algebra II,
- b. Geometry or Geometry taught in a contextual methodology,
- c. Trigonometry,
- d. Math Analysis or Precalculus,
- e. Calculus,
- f. Statistics ~~and/or~~ or Probability,
- g. Computer Science or acceptance and successful completion of one (1) year of a full-time, three-hour career and technology program leading to an industry credential/certificate or college credit. The State Board of Career and Technology Education shall promulgate rules to define the provisions of this section related to the accepted industry-valued credentials which are industry-endorsed or industry-aligned. The list of accepted industry-valued credentials shall be reviewed annually and updated at least every three (3) years by the Board,

- 1 h. (1) contextual mathematics courses which enhance
2 technology preparation, or
3 (2) a science, technology, engineering, and math
4 (STEM) block course meeting the requirements for
5 course competencies listed in paragraph 2 of
6 subsection B of this section, whether taught at
7 a:
8 (a) comprehensive high school, or
9 (b) technology center school when taken in the
10 tenth, eleventh, or twelfth grade, taught by
11 a certified teacher, and approved by the
12 State Board of Education and the independent
13 district board of education,
14 i. mathematics courses taught at a technology center
15 school by a teacher certified in the secondary subject
16 area when taken in the tenth, eleventh, or twelfth
17 grade upon approval of the State Board of Education
18 and the independent district board of education, or
19 j. any other mathematics course with content ~~and/or~~ or
20 rigor equal to or above Algebra I;

21 3. Science - 3 units or sets of competencies to consist of 1
22 unit or set of competencies of Biology I or Biology I taught in a
23 contextual methodology, and 2 units or sets of competencies in the
24

1 areas of life, physical, or earth science or technology which may
2 include, but are not limited to, the following courses:

- 3 a. Chemistry I,
- 4 b. Physics,
- 5 c. Biology II,
- 6 d. Chemistry II,
- 7 e. Physical Science,
- 8 f. Earth Science,
- 9 g. Botany,
- 10 h. Zoology,
- 11 i. Physiology,
- 12 j. Astronomy,
- 13 k. Applied Biology/Chemistry,
- 14 l. Applied Physics,
- 15 m. Principles of Technology,
- 16 n. qualified agricultural education courses,
- 17 o. (1) contextual science courses which enhance
18 technology preparation, or
19 (2) a science, technology, engineering, and math
20 (STEM) block course meeting the requirements for
21 course competencies listed in paragraph 3 of
22 subsection B of this section, whether taught at
23 a:
24 (a) comprehensive high school, or

(b) technology center school when taken in the tenth, eleventh, or twelfth grade, taught by a certified teacher, and approved by the State Board of Education and the independent district board of education,

p. science courses taught at a technology center school by a teacher certified in the secondary subject area when taken in the tenth, eleventh, or twelfth grade upon approval of the State Board of Education and the independent district board of education, or

q. other science courses with content ~~and/or~~ or rigor equal to or above Biology I;

4. Social Studies - 3 units or sets of competencies to consist of 1 unit or set of competencies of United States History, 1/2 to 1 unit or set of competencies of United States Government, 1/2 unit or set of competencies of Oklahoma History, and 1/2 to 1 unit or set of competencies which may include, but are not limited to, the following courses:

a. World History,

b. Geography,

c. Economics,

d. Anthropology, or

e. other social studies courses with content ~~and/or~~ or
rigor equal to or above United States History, United
States Government, and Oklahoma History;

5. Arts - 1 unit or set of competencies which may include, but
is not limited to, courses in Visual Arts and General Music; and

6. Computer Education or World Language - 1 unit or set of
competencies of computer technology, whether taught at a high school
or a technology center school including computer programming,
hardware, and business computer applications, such as word
processing, databases, spreadsheets, and graphics, excluding
keyboarding or typing courses, or 1 unit or set of competencies of
world or non-English language.

D. Beginning with the 2024-2025 school year, students whose
parent or legal guardian approve modification of the existing
graduation track as outlined in subsections B and C of this section,
subject to school approval, may complete a minimum of twenty-three
(23) curriculum units or sets of competencies at the secondary level
as listed below; and students entering the eighth grade in the 2025-
2026 school year, in order to graduate from a public high school
accredited by the State Board of Education with a standard diploma,
students shall complete a minimum of the following twenty-three (23)
curriculum units or sets of competencies at the secondary level:

1. Four units or sets of competencies of English to include
Grammar, Composition, Literature, or any English course;

1 2. Four units or sets of competencies of mathematics, two of
2 which shall be Algebra I and either Algebra II or Geometry. The
3 other two units may include Algebra II, Geometry, Trigonometry, Math
4 Analysis, Calculus, Statistics, Math of Finance, Computer Science,
5 college courses approved for dual credit, an approved full-time
6 postsecondary career and technology program, or locally approved
7 math based application course, or any mathematics course with
8 content ~~and/or~~ or rigor above Algebra I;

9 3. Three units or sets of competencies of laboratory science
10 approved for college admission requirements including one unit or
11 set of competencies of life science meeting the standards for
12 Biology I; one unit or set of competencies of physical science
13 meeting the standards for Physical Science, Chemistry, or Physics;
14 and one unit or set of competencies from the domains of physical
15 science, life science, or earth and space science, or approved full-
16 time postsecondary career and technology program or locally approved
17 science based application course, or any science course with content
18 ~~and/or~~ or rigor above Biology I or Physical Science;

19 4. Three units or sets of competencies of history and
20 citizenship skills including one unit of American History, 1/2 unit
21 of Oklahoma History, 1/2 unit of United States Government, and one
22 unit from the subjects of History, Government, Geography, Economics,
23 Civics, or non-Western culture;

1 5. Six pathway units or sets of competencies approved at the
2 discretion of the school district board of education which align
3 with each student's Individual Career and Academic Plan (ICAP) and
4 may include, but are not limited to, any additional units or sets of
5 competencies as provided in paragraphs 1 through 4 of this
6 subsection, world or non-English language, computer technology,
7 Junior Reserve Officers' Training Corps (JROTC), internship or
8 apprenticeship programs, career and technology education courses,
9 concurrently enrolled courses, advanced placement courses,
10 International Baccalaureate courses approved for college admission
11 requirements, music, art, drama, speech, dance, media arts, or other
12 approved courses; and

13 6. Three units or sets of competencies of elective courses
14 approved by the school district board of education.

15 E. A school district shall determine the specific description
16 of the locally approved math and science based application courses
17 allowed pursuant to paragraphs 2 and 3 of subsection D of this
18 section. Formal notification with the specific course description
19 shall be provided to the State Department of Education prior to July
20 1 of each school year. The notification shall include what courses
21 will be coded as locally approved math and science based application
22 courses for the ensuing school year.

23 F. 1. In addition to the curriculum requirements of subsection
24 B, C, or D of this section, in order to graduate from a public high

1 school accredited by the State Board of Education students shall
2 complete the requirements for a personal financial literacy passport
3 as set forth in the Passport to Financial Literacy Act and any
4 additional course requirements or recommended elective courses as
5 may be established by the State Board of Education and the district
6 school board. School districts shall strongly encourage students to
7 complete two units or sets of competencies of world languages and
8 two units or sets of competencies of physical and health education.

9 2. No student shall receive credit for high school graduation
10 more than once for completion of the same unit or set of
11 competencies to satisfy the curriculum requirements of this section.

12 3. A school district shall not be required to offer every
13 course listed in subsections B, C, and D of this section but shall
14 offer sufficient courses to allow a student to meet the graduation
15 requirements during the secondary grade years of the student.

16 G. For purposes of this section:

17 1. "Contextual methodology" means academic content and skills
18 taught by utilizing real-world problems and projects in a way that
19 helps students understand the application of that knowledge;

20 2. "Locally approved" means approved by the local school
21 district board of education;

22 3. "Math based application course" means a course that teaches
23 math content within a real-world application;

1 4. "Pathway unit" means a course taken by a high school student
2 that is aligned with the student's current Individualized Career and
3 Academic Plan (ICAP);

4 5. "Qualified agricultural education courses" means courses
5 that have been determined by the State Board of Education to offer
6 the sets of competencies for one or more science content areas and
7 which correspond to academic science courses. Qualified
8 agricultural education courses shall include, but are not limited
9 to, horticulture, plant and soil science, natural resources and
10 environmental science, and animal science. The courses shall be
11 taught by teachers certified in agricultural education and comply
12 with all rules of the Oklahoma Department of Career and Technology
13 Education;

14 6. "Rigor" means a level of difficulty that is thorough,
15 exhaustive and accurate and is appropriate for the grade level;

16 7. "Science based application course" means a course that
17 teaches science content within a real-world application;

18 8. "Sets of competencies" means instruction in those skills and
19 competencies that are specified in the subject matter standards
20 adopted by the State Board of Education and other skills and
21 competencies adopted by the Board, without regard to specified
22 instructional time; and

23 9. "Unit" means a Carnegie Unit as defined by the North Central
24 Association's Commission on Schools.

1 H. 1. ~~The State Board of Education, State Board of Career and~~
2 ~~Technology Education, and State Regents for Higher Education shall~~
3 ~~adopt a joint plan and electronically submit it to the Speaker of~~
4 ~~the Oklahoma House of Representatives and the President Pro Tempore~~
5 ~~of the Oklahoma State Senate by January 1, 2025, to ensure that~~
6 ~~rigor is maintained in the content, teaching methodology, level of~~
7 ~~expectations for student achievement, and application of learning in~~
8 ~~all the courses taught to meet the graduation requirements specified~~
9 ~~in subsection D of this section.~~

10 ~~2.~~ The State Board of Education shall allow as much flexibility
11 at the district level as is possible without diminishing the rigor
12 or undermining the intent of providing these courses. To accomplish
13 this purpose, the State Department of Education shall work with
14 school districts in reviewing and approving courses taught by
15 districts that are not specifically listed in subsections B, C, and
16 D of this section. Options may include, but shall not be limited
17 to, courses taken by concurrent enrollment, advanced placement, or
18 correspondence, or courses bearing different titles.

19 ~~3.~~ 2. Technology center school districts may offer programs
20 designed in cooperation with institutions of higher education.
21 Students in the tenth grade may be allowed to attend these programs
22 for up to one-half (1/2) of a school day and credit for the units or
23 sets of competencies required in paragraphs 2, 3, and 6 of
24 subsection B or C and paragraphs 2 and 3 of subsection D of this

1 section shall be given if the courses are taught by a teacher
2 certified in the secondary subject area; provided, credit for units
3 or sets of competencies pursuant to subsection B of this section
4 shall be approved for college admission requirements.

5 ~~4.~~ 3. If a student enrolls in a concurrent course, the school
6 district shall not be responsible for any costs incurred for that
7 course, unless the school district does not offer enough course
8 selection during the student's secondary grade years to allow the
9 student to receive the courses needed to meet the graduation
10 requirements of this section. If the school district does not offer
11 the necessary course selection during the student's secondary grade
12 years, it shall be responsible for the cost of resident tuition at
13 an institution in The Oklahoma State System of Higher Education,
14 fees, and books for the concurrent enrollment course, and providing
15 for transportation to and from the institution to the school site.

16 It is the intent of the Legislature that for students enrolled
17 in a concurrent enrollment course which is paid for by the school
18 district pursuant to this paragraph, the institution charge only the
19 supplementary and special service fees that are directly related to
20 the concurrent enrollment course and enrollment procedures for that
21 student. It is further the intent of the Legislature that fees for
22 student activities and student service facilities including the
23 student health care and cultural and recreational service fees not
24 be charged to such students.

1 ~~5.~~ 4. Credit for the units or sets of competencies required in
2 subsection B, C, or D of this section shall be given when such units
3 or sets of competencies are taken prior to ninth grade if the
4 teachers are certified or authorized to teach the subjects for high
5 school credit and the required rigor is maintained.

6 ~~6.~~ 5. The units or sets of competencies in mathematics required
7 in subsection B, C, or D of this section may be completed at any
8 time during the eighth through twelfth grades. If a student
9 completes any required courses or sets of competencies in
10 mathematics prior to eighth grade, the student may take any other
11 mathematics courses or sets of competencies to fulfill the
12 requirement to complete the units or sets of competencies in grades
13 eight through twelve after the student has satisfied the
14 requirements of subsection B, C, or D of this section.

15 ~~7.~~ 6. All units or sets of competencies required for graduation
16 may be taken in any sequence recommended by the school district.

17 I. As a condition of receiving accreditation from the State
18 Board of Education, all students in grades nine through twelve shall
19 enroll in a minimum of six periods, or the equivalent in block
20 scheduling or other scheduling structure that allows for instruction
21 in sets of competencies, of rigorous academic ~~and/or~~ or rigorous
22 vocational courses each day, which may include arts, vocal and
23 instrumental music, speech classes, and physical education classes.
24

1 J. 1. Academic and vocational-technical courses designed to
2 offer sets of competencies integrated or embedded within the course
3 that provide for the teaching and learning of the appropriate skills
4 and knowledge in the subject matter standards, as adopted by the
5 State Board of Education, may upon approval of the Board, in
6 consultation with the Oklahoma Department of Career and Technology
7 Education if the courses are offered at a technology center school
8 district, be counted for academic credit and toward meeting the
9 graduation requirements of this section.

10 2. Internet-based courses offered by a technology center school
11 that are taught by a certified teacher and provide for the teaching
12 and learning of the appropriate skills and knowledge in the subject
13 matter standards may, upon approval of the State Board of Education
14 and the independent district board of education, be counted for
15 academic credit and toward meeting the graduation requirements of
16 this section.

17 3. Internet-based courses or vocational-technical courses
18 utilizing integrated or embedded skills for which no subject matter
19 standards have been adopted by the State Board of Education may be
20 approved by the Board, in consultation with the Oklahoma Department
21 of Career and Technology Education if the courses are offered by a
22 technology center school district, if such courses incorporate
23 standards of nationally recognized professional organizations and
24 are taught by certified teachers.

1 4. Courses offered by a supplemental education organization
2 that is accredited by a national accrediting body and that are
3 taught by a certified teacher and provide for the teaching and
4 learning of the appropriate skills and knowledge in the subject
5 matter standards may, upon approval of the State Board of Education
6 and the school district board of education, be counted for academic
7 credit and toward meeting the graduation requirements of this
8 section.

9 K. The State Board of Education shall provide an option for
10 high school graduation based upon attainment of the desired levels
11 of competencies as required in tests pursuant to the provisions of
12 Section 1210.508 of this title. Such option shall be in lieu of the
13 amount of course credits earned.

14 L. The State Board of Education shall prescribe, adopt, and
15 approve a promotion system based on the attainment by students of
16 specified levels of competencies in each area of the core
17 curriculum.

18 M. Children who have individualized education programs pursuant
19 to the Individuals with Disabilities Education Act (IDEA), and who
20 satisfy the graduation requirements through the individualized
21 education program for that student shall be awarded a standard
22 diploma.

1 N. Any student who completes the curriculum requirements of the
2 International Baccalaureate Diploma Program shall be awarded a
3 standard diploma.

4 O. Any student who successfully completes an advanced
5 mathematics or science course offered pursuant to Section 1210.404
6 of this title shall be granted academic credit toward meeting the
7 graduation requirements pursuant to paragraph 2 or 3, as
8 appropriate, of subsection B, C, or D of this section.

9 P. For purposes of this section, the courses approved for
10 college admission requirements shall be courses which are approved
11 by the Oklahoma State Regents for Higher Education for admission to
12 an institution within The Oklahoma State System of Higher Education.

13 Q. Students who have been denied a standard diploma by the
14 school district in which the student is or was enrolled for failing
15 to meet the requirements of this section may re-enroll in the school
16 district that denied the student a standard diploma following the
17 denial of a standard diploma. The student shall be provided
18 remediation or intervention and the opportunity to complete the
19 curriculum units or sets of competencies required by this section to
20 obtain a standard diploma. Students who re-enroll in the school
21 district to meet the graduation requirements of this section shall
22 be exempt from the hourly instructional requirements of Section 1-
23 111 of this title and the six-period enrollment requirements of this
24 section.

SECTION 254. AMENDATORY 70 O.S. 2021, Section 11-103.6a,

is amended to read as follows:

Section 11-103.6a. A. Beginning with the 2014-15 school year, each area of subject matter standards, except for standards for career and technology education adopted pursuant to Section 14-103 of this title, shall be adopted by the State Board of Education and shall be subject to legislative review and approval as provided for in Section 4 of this act. The subject matter standards shall be implemented statewide by every public school district in this state. The subject matter standards shall be thoroughly reviewed by the State Board every six (6) years according to and in coordination with the existing subject area textbook adoption cycle. After review, the State Board shall adopt any revisions in such subject matter standards deemed necessary to achieve further improvements in the quality of education for the students of this state. Any revisions adopted by the State Board of Education shall be subject to review and approval as provided for in Section 4 of this act. The adoption of subject matter standards or revisions to the standards by the State Board of Education pursuant to this section shall not be promulgated as rules and shall not be subject to Article I of the Administrative Procedures Act.

B. 1. In addition to the requirements set forth in subsection A of this section, on or before August 1, 2016, the State Board of Education, in consultation with the State Regents for Higher

1 Education, the State Board of Career and Technology Education and
2 the Oklahoma Department of Commerce, shall adopt subject matter
3 standards for English Language Arts and Mathematics which are
4 college- and career-ready and will replace current standards. To be
5 considered college- and career-ready, the standards shall be
6 evaluated by the State Department of Education, the State Regents
7 for Higher Education, the State Board of Career and Technology
8 Education and the Oklahoma Department of Commerce and be determined
9 to be such that the standards will address the goals of reducing the
10 need for remedial coursework at the postsecondary level and
11 increasing successful completion of postsecondary education. The
12 subject matter standards and corresponding student assessments for
13 English Language Arts and Mathematics shall be solely approved and
14 controlled by the state through the State Board of Education.

15 2. Upon the effective date of this act, the State Board of
16 Education shall begin the process of adopting the English Language
17 Arts and Mathematics standards and shall provide reasonable
18 opportunity, consistent with best practices, for public comment on
19 the revision of the standards, including but not limited to comments
20 from students, parents, educators, organizations representing
21 students with disabilities and English language learners, higher
22 education representatives, career technology education
23 representatives, subject matter experts, community-based
24

1 organizations, Native American tribal representatives, and business
2 community representatives.

3 3. Until the statewide student assessments for English Language
4 Arts and Mathematics are implemented as provided for in paragraph 1
5 of subsection C of this section, the State Board of Education shall
6 implement the subject matter standards for English Language Arts and
7 Mathematics which were in place prior to the revisions adopted by
8 the Board in June 2010.

9 4. Upon the effective date of this act, the State Board of
10 Education shall seek certification from the State Regents for Higher
11 Education that the subject matter standards for English Language
12 Arts and Mathematics which were in place prior to the revisions
13 adopted by the Board in June 2010 are college- and career-ready as
14 defined in the Federal Elementary and Secondary Education Act (ESEA)
15 Flexibility document issued by the United States Department of
16 Education and referenced in Option B of Principle 1: College and
17 Career-Ready Expectations for All Students. The State Regents shall
18 provide the Board a detailed description of the certification
19 process and results, including a list of deficiencies if the State
20 Regents conclude that the standards are not college- and career-
21 ready. The Board shall post all documents, materials, reports,
22 descriptions, and correspondence produced by the State Regents or
23 used by the State Regents in the certification process on the
24 website for the State Department of Education.

1 C. 1. On or before the 2017-18 school year, the State Board of
2 Education, in consultation with the State Regents for Higher
3 Education, the State Board of Career and Technology Education and
4 the Oklahoma Department of Commerce, shall direct the process of the
5 development of annual high-quality statewide student assessments for
6 English Language Arts and Mathematics as provided for in Section
7 1210.508 of this title that align with the college- and career-ready
8 subject matter standards developed pursuant to subsection B of this
9 section.

10 2. The statewide student assessments for English Language Arts
11 and Mathematics shall continue to assess standards and objectives
12 found in the subject matter standards for English Language Arts and
13 Mathematics which were in place prior to the revisions adopted by
14 the Board in June 2010 and the test blueprints shall continue to
15 align to the standards and objectives found in such subject matter
16 standards for English Language Arts and Mathematics until the new
17 assessments are implemented as provided for in paragraph 1 of this
18 subsection.

19 D. 1. The State Board of Education shall not enter into any
20 agreement, memorandum of understanding, or contract with any federal
21 agency or private entity which in any way cedes or limits state
22 discretion or control over the process of development, adoption, or
23 revision of subject matter standards and corresponding student
24 assessments in the public school system, including, but not limited

1 to, agreements, memoranda of understanding, and contracts in
2 exchange for funding for public schools and programs. If the State
3 Board of Education is a party to such an agreement, memorandum of
4 understanding, or contract on the effective date of this act, the
5 State Board of Education shall initiate necessary efforts to amend
6 the agreement, memorandum of understanding, or contract to comply
7 with the requirements of this subsection.

8 2. Nothing in this section shall be construed to prohibit the
9 State Board of Education from seeking and being granted a waiver
10 from federal law, provided that the conditions for the waiver do not
11 require the state to cede or limit its discretion or control over
12 the process of development, adoption, or revision of subject matter
13 standards and corresponding statewide student assessments.

14 3. The State Department of Education may participate in a
15 multistate or multigovernmental cooperative pursuant to the
16 requirements of the Oklahoma Central Purchasing Act, but shall not
17 bind the state, contractually or otherwise, to the authority of any
18 other state, organization, or entity which may supersede the
19 authority of the State Board of Education.

20 E. The content of all subject matter standards and
21 corresponding student assessments shall be solely approved and
22 controlled by the state through the State Board of Education. The
23 State Board of Education shall maintain independence of all subject
24 matter standards referenced in Section 11-103.6 of this title and

1 corresponding statewide student assessments and shall not relinquish
2 authority over Oklahoma subject matter standards and corresponding
3 statewide student assessments. Nothing in this section shall
4 prohibit benchmarking the state subject matter standards and
5 corresponding student assessments with those of other states or
6 nations to allow comparison of Oklahoma subject matter standards and
7 corresponding student assessments with those of other states and
8 nations.

9 F. School districts shall exclusively determine the
10 instruction, curriculum, reading lists, and instructional materials
11 and textbooks, subject to any applicable provisions or requirements
12 as set forth in law, to be used in meeting the subject matter
13 standards. School districts may, at their discretion, adopt
14 supplementary student assessments which are in addition to the
15 statewide student assessments.

16 G. ~~1.~~ Upon completion of the adoption of English Language Arts
17 and Mathematics subject matter standards pursuant to subsection B of
18 this section, the State Board of Education shall compare such
19 English Language Arts and Mathematics standards with the English
20 Language Arts and Mathematics standards that were adopted by the
21 State Board of Education prior to implementation of this act. The
22 State Board of Education shall consider public comments, the use of
23 best practices, evidence, and research in the evaluation of both
24

sets of standards. The State Board of Education shall compare the standards in the areas of:

~~a. effective~~

1. Effective preparation for active citizenship and postsecondary education or the workforce*ti*

~~b. subject~~

2. Subject matter content*ti*

~~c. sequencing~~

3. Sequencing of subject matter content and relationship to measurement of student performance and the application of subject matter standards*ti*

~~d. developmental~~

4. Developmental appropriateness of grade-level expectations, academic content, and instructional rigor*ti*

~~e. clarity~~

5. Clarity for educators and parents*ti*

~~f. exemplars~~

6. Exemplars tied to the standards*ti*

~~g. measurability~~

7. Measurability of student proficiency in the subject matter*ti*

~~h. pedagogy,~~

8. Pedagogy;

~~i. development~~

9. Development of critical thinking skills*ti* and

1 ~~j. demonstration~~

2 10. Demonstration of application of acquired knowledge and
3 skills.

4 ~~2. Upon completion of the comparison of the English Language~~
5 ~~Arts and Mathematics subject matter standards, the State Board of~~
6 ~~Education shall submit to the Governor, the Speaker of the House of~~
7 ~~Representatives, the President Pro Tempore of the Senate, the~~
8 ~~Minority Leader of the House of Representatives and the Minority~~
9 ~~Leader of the Senate a report outlining the results of the~~
10 ~~comparison of the standards.~~

11 H. All subject matter standards and corresponding statewide
12 student assessments adopted by the State Board of Education shall be
13 carefully circumscribed to reflect direct application to subject
14 matter proficiency and shall not include standards or assessment
15 questions that are designed to collect or measure noncognitive,
16 emotional or psychological characteristics, attributes, or skills of
17 students.

18 I. Any rule, including but not limited to Rules 210:15-4-1
19 through 210:15-4-3 of the Oklahoma Administrative Code, which
20 conflicts with the requirements of this section, shall be amended or
21 repealed by the State Board of Education as necessary to comply with
22 the requirements of this section.

SECTION 255. AMENDATORY Section 1, Chapter 280, O.S.L. 2022, as last amended by Section 45, Chapter 59, O.S.L. 2024 (70 O.S. Supp. 2025, Section 11-202), is amended to read as follows:

Section 11-202. A. A school district, charter school, virtual charter school, state agency, public library, or institution of higher education within The Oklahoma State System of Higher Education may offer digital or online library database resources to students in kindergarten through twelfth grade only if the vendor, person, or entity providing the resources verifies that all the resources comply with the provisions of subsection B of this section.

B. Digital or online library database resources offered by school districts, charter schools, virtual charter schools, state agencies, public libraries, or universities to students in kindergarten through twelfth grade shall have safety policies and technology protection measures that:

1. Prohibit and prevent a user of the resource from sending, receiving, viewing, or downloading materials that are child sexual abuse material or obscene materials, as defined in Section 1024.1 of Title 21 of the Oklahoma Statutes, or materials that depict child sexual exploitation, as defined in Section 843.5 of Title 21 of the Oklahoma Statutes; and

2. Filter or block access to child sexual abuse material or obscene materials, as defined in Section 1024.1 of Title 21 of the

1 Oklahoma Statutes, or materials that depict child sexual
2 exploitation, as defined in Section 843.5 of Title 21 of the
3 Oklahoma Statutes.

4 C. Notwithstanding any contract provision to the contrary, if a
5 provider of digital or online library resources fails to comply with
6 the requirements of subsection B of this section, the school
7 district, public charter school, state agency, public library, or
8 institution of higher education shall withhold further payments, if
9 any, to the provider pending verification of compliance.

10 D. If a provider of digital or online library database
11 resources fails to timely verify that the provider is in compliance
12 with the safety policies and requirements of subsection B of this
13 section, the school district, public charter school, state agency,
14 public library, or institution of higher education shall consider
15 the provider's act of noncompliance a breach of contract.

16 E. No later than December 1 of each year, libraries shall,
17 utilizing the centralized filing system provided for in Section 378
18 of this act, electronically submit to the Speaker of the Oklahoma
19 House of Representatives and President Pro Tempore of the Oklahoma
20 State Senate an aggregate written report on any issues related to
21 provider compliance with technology protection measures required by
22 subsection B of this section.

23 F. Employees of school districts, charter schools, virtual
24 charter schools, state agencies, public libraries, and universities

1 shall not be exempt from prosecution for willful violations of state
2 law prohibiting indecent exposure to obscene material or child
3 sexual abuse material as provided in Section 1021 of Title 21 of the
4 Oklahoma Statutes.

5 G. Nothing in this act shall be construed in a manner that
6 applies to digital or online library database resources offered by
7 institutions of higher education when the primary purpose of the
8 resources is for education or research.

9 SECTION 256. AMENDATORY Section 1, Chapter 336, O.S.L.
10 2022 (70 O.S. Supp. 2025, Section 14-201), is amended to read as
11 follows:

12 Section 14-201. A. There is hereby created until November 1,
13 2027, the Oklahoma Education Commission.

14 B. The Commission shall consist of seventeen (17) members to be
15 appointed as follows:

16 1. A member of the Oklahoma House of Representatives shall be
17 appointed by the Speaker of the Oklahoma House of Representatives;

18 2. A member of the Oklahoma State Senate shall be appointed by
19 the President Pro Tempore of the Oklahoma State Senate;

20 3. The Director of the Department of Corrections, or his or her
21 designee;

22 4. The Director of the Oklahoma Department of Libraries, or his
23 or her designee;

24

1 5. The Executive Director of the Oklahoma Educational
2 Television Authority, or his or her designee;

3 6. Four members with expertise in online and educational
4 innovation shall be appointed by the Chancellor of Higher Education,
5 one of whom shall be a representative of the Oklahoma State Regents
6 for Higher Education, one of whom shall be a representative of a
7 research institution within The Oklahoma State System of Higher
8 Education, one of whom shall be a representative of a regional
9 institution within The Oklahoma State System of Higher Education,
10 and one of whom shall be a representative of a community college
11 within The Oklahoma State System of Higher Education;

12 7. Four members with expertise in effective approaches to
13 classroom instruction and learning or educational innovation shall
14 be appointed by the State Superintendent of Public Instruction, one
15 of whom shall represent the State Department of Education, one of
16 whom shall be a school district administrator, one of whom shall be
17 a certified classroom teacher, and one of whom shall be a high
18 school student; and

19 8. Four members with expertise in effective approaches to
20 career and technology education instruction and learning or
21 educational innovation shall be appointed by the Director of the
22 Oklahoma Department of Career and Technology Education, one of whom
23 shall represent the Oklahoma Department of Career and Technology
24 Education, one of whom shall be an administrator of a state

1 technology center school or college, one of whom shall be a
2 certified teacher at a state technology center school or college,
3 and one of whom shall be a student enrolled at a state technology
4 center school or college.

5 C. The Commission shall hold an organizational meeting not
6 later than ninety (90) days after the effective date of this act.
7 The member of the Oklahoma House of Representatives shall serve as
8 chair of the Commission and the member of the Oklahoma State Senate
9 shall serve as vice-chair. A quorum of the membership of the
10 Commission shall be required to approve any final action of the
11 Commission. For purposes of this section, nine members shall
12 constitute a quorum.

13 D. The Commission may meet as often as required to perform the
14 duties imposed upon it, but shall meet at least quarterly.

15 E. The Commission shall engage multiple stakeholders in
16 research, evaluation, and information sharing to conduct a study on
17 how to improve the quality of instruction and learning through
18 distance and remote modalities. Topic areas of the study shall
19 include, but not be limited to:

- 20 1. Support infrastructure;
- 21 2. Open education resources;
- 22 3. Compliance with the federal Americans with Disabilities Act;
- 23 4. Professional development; and
- 24 5. Modality research.

1 F. The Commission shall be subject to the Oklahoma Open Meeting
2 Act and the Oklahoma Open Records Act.

3 G. Members of the Commission shall not receive compensation or
4 travel reimbursement.

5 H. The Oklahoma House of Representatives shall provide staff
6 and administrative support for the Commission.

7 I. The Commission shall, utilizing the centralized filing
8 system provided for in Section 378 of this act, electronically
9 submit a report of its findings and recommendations no later than
10 November 1, 2027, to the Governor, the President Pro Tempore of the
11 Oklahoma State Senate, and the Speaker of the Oklahoma House of
12 Representatives.

13 SECTION 257. AMENDATORY 70 O.S. 2021, Section 17-106.1,
14 is amended to read as follows:

15 Section 17-106.1. A. The Board of Trustees of the Teachers'
16 Retirement System of Oklahoma shall discharge their duties with
17 respect to the System solely in the interest of the participants and
18 beneficiaries and:

19 1. For the exclusive purpose of:

20 a. providing benefits to participants and their
21 beneficiaries, and

22 b. defraying reasonable expenses of administering the
23 System;
24

1 2. With the care, skill, prudence, and diligence under the
2 circumstances then prevailing that a prudent person acting in a like
3 capacity and familiar with such matters would use in the conduct of
4 an enterprise of a like character and with like aims;

5 3. By diversifying the investments of the System so as to
6 minimize the risk of large losses, unless under the circumstances it
7 is clearly prudent not to do so; and

8 4. In accordance with the laws, documents and instruments
9 governing the System.

10 B. The Board of Trustees of the Teachers' Retirement System of
11 Oklahoma may invest the assets of the System in real property owned
12 or to be acquired by the State of Oklahoma. It is further
13 authorized to acquire, exchange, and grant any real property under
14 its jurisdiction as is necessary to carry out the investment in the
15 real property. The Board of Trustees of the Teachers' Retirement
16 System of Oklahoma is authorized to invest not more than ten percent
17 (10%) of the total value of assets of the System in connection with
18 such investments. Limitations on investment of the assets of the
19 System provided herein shall be determined as of the date of its
20 making or acquisition.

21 C. The Board of Trustees may procure insurance indemnifying the
22 members of the Board of Trustees from personal loss or
23 accountability from liability resulting from a member's action or
24 inaction as a member of the Board.

1 D. The Board of Trustees may establish an investment committee.
2 The investment committee shall be composed of not more than five (5)
3 members of the Board of Trustees appointed by the chairman of the
4 Board of Trustees. The committee shall make recommendations to the
5 full Board of Trustees on all matters related to the choice of
6 custodians and managers of the assets of the System, on the
7 establishment of investment and fund management guidelines, and in
8 planning future investment policy. The committee shall have no
9 authority to act on behalf of the Board of Trustees in any
10 circumstances whatsoever. No recommendation of the committee shall
11 have effect as an action of the Board of Trustees nor take effect
12 without the approval of the Board of Trustees as provided by law.

13 E. The Board of Trustees may retain qualified investment
14 managers to provide for the investment of the monies of the System.
15 The investment managers shall be chosen by a solicitation of
16 proposals on a competitive bid basis pursuant to standards set by
17 the Board of Trustees. Subject to the overall investment guidelines
18 set by the Board of Trustees, the investment managers shall have
19 full discretion in the management of those monies of the System
20 allocated to the investment managers. The Board of Trustees shall
21 manage those monies not specifically allocated to the investment
22 managers. The monies of the System allocated to the investment
23 managers shall be actively managed by the investment managers, which
24 may include selling investments and realizing losses if such action

1 is considered advantageous to longer term return maximization.

2 Because of the total return objective, no distinction shall be made
3 for management and performance evaluation purposes between realized
4 and unrealized capital gains and losses.

5 F. Funds and revenues for investment by the investment managers
6 or the Board of Trustees shall be placed with a custodian selected
7 by the Board of Trustees. The custodian shall be a bank or trust
8 company offering pension fund master trustee and master custodial
9 services. The custodian shall be chosen by a solicitation of
10 proposals on a competitive bid basis pursuant to standards set by
11 the Board of Trustees. In compliance with the investment policy
12 guidelines of the Board of Trustees, the custodian bank or trust
13 company shall be contractually responsible for ensuring that all
14 monies of the System are invested in income-producing investment
15 vehicles at all times. If a custodian bank or trust company has not
16 received direction from the investment managers of the System as to
17 the investment of the monies of the System in specific investment
18 vehicles, the custodian bank or trust company shall be contractually
19 responsible to the Board of Trustees for investing the monies in
20 appropriately collateralized short-term interest-bearing investment
21 vehicles.

22 G. By November 1, 1988, and prior to August 1 of each year
23 thereafter, the Board of Trustees shall develop a written investment
24 plan for the System.

1 H. The Board of Trustees shall compile a quarterly financial
2 report of all the funds of the System on a fiscal year basis. The
3 report shall be compiled pursuant to uniform reporting standards
4 prescribed by the Oklahoma State Pension Commission for all state
5 retirement systems. The report shall include several relevant
6 measures of investment value, including acquisition cost and current
7 fair market value with appropriate summaries of total holdings and
8 returns. The report shall contain combined and individual rate of
9 returns of the investment managers by category of investment, over
10 periods of time. The Board of Trustees shall include in the
11 quarterly reports all commissions, fees or payments for investment
12 services performed on behalf of the Board. The report shall be
13 electronically distributed to the Governor, the Oklahoma State
14 Pension Commission, the Legislative Service Bureau, the Speaker of
15 the House of Representatives, and the President Pro Tempore of the
16 Senate utilizing the centralized filing system provided for in
17 Section 378 of this act. In lieu of compiling and distributing the
18 quarterly report, the Board may provide the Oklahoma State Pension
19 Commission with direct access to the same data from the custodian
20 bank for the System.

21 I. After July 1 and before December 1 of each year, the Board
22 of Trustees shall publish widely an annual report presented in
23 simple and easily understood language pursuant to uniform reporting
24 standards prescribed by the Oklahoma State Pension Commission for

1 all state retirement systems. The report shall be submitted to the
2 Governor, the Speaker of the House of Representatives, the President
3 Pro Tempore of the Senate, the Oklahoma State Pension Commission,
4 and the members of the System. The annual report shall cover the
5 operation of the System during the past fiscal year, including
6 income, disbursements, and the financial condition of the System at
7 the end of the fiscal year. The annual report shall also contain
8 the information issued in the quarterly reports required pursuant to
9 subsection H of this section as well as a summary of the results of
10 the most recent actuarial valuation to include total assets, total
11 liabilities, unfunded liability or over funded status,
12 contributions, and any other information deemed relevant by the
13 Board of Trustees. The annual report shall be written in such a
14 manner as to permit a readily understandable means for analyzing the
15 financial condition and performance of the System for the fiscal
16 year.

17 SECTION 258. AMENDATORY 70 O.S. 2021, Section 17-116.7,
18 is amended to read as follows:

19 Section 17-116.7. A. After the effective date of this act,
20 before entering into any type of contract that creates an unfunded
21 liability and is for the purpose of enhancing pension benefits for
22 employees beyond the provisions of the Teachers' Retirement System
23 of Oklahoma, a state institution of higher education, technology
24 center school district, or public school district, unless otherwise

1 provided by law, shall forward to the Office of the Attorney General
2 a copy of the contract and a copy of an actuarial report indicating
3 the amount of unfunded liability that would be created pursuant to
4 the contract. The Attorney General shall review the contract to
5 ensure that the contract conforms to state law. No such contract
6 shall be signed by the education entity until the Attorney General
7 approves the contract. Any such contract entered into without
8 complying with the requirements of this section shall be void.

9 B. In order to make the Legislature and Governor more aware of
10 the effect of unfunded pension benefits and other post-employment
11 benefits on state finances, annual audits conducted pursuant to law
12 on state institutions of higher education, technology center school
13 districts, and school districts shall be prepared in accordance with
14 appropriate accounting standards pertaining to unfunded pension
15 benefits and other post-employment benefits. The State Regents for
16 Higher Education, the State Board of Career and Technology Education
17 and the State Board of Education, jointly, shall have the
18 information pertaining to benefits compiled into an annual report
19 that shall be electronically distributed to the Governor, the
20 Speaker of the House of Representatives, and the President Pro
21 Tempore of the Senate utilizing the centralized filing system
22 provided for in Section 378 of this act.

23 SECTION 259. AMENDATORY 70 O.S. 2021, Section 18-162, is
24 amended to read as follows:

1 Section 18-162. No later than the first day of October of each
2 year, the State Board of Education shall submit with the itemized
3 budget request and estimates for the ensuing fiscal year, a Schools
4 Capital Improvements Budget. Such Schools Capital Improvements
5 Budget shall be electronically submitted to the Director of the
6 Office of Management and Enterprise Services, the Director of the
7 Legislative Service Bureau, and the Oklahoma Development Finance
8 Authority utilizing the centralized filing system provided for in
9 Section 378 of this act.

10 SECTION 260. AMENDATORY 70 O.S. 2021, Section 24-158, as
11 amended by Section 2, Chapter 281, O.S.L. 2022 (70 O.S. Supp. 2025,
12 Section 24-158), is amended to read as follows:

13 Section 24-158. A. The "Oklahoma Prevention Needs Assessment
14 Survey" means the biennial mental health prevention survey of public
15 school students in grades six, eight, ten, and twelve managed by the
16 Department of Mental Health and Substance Abuse Services.

17 B. Beginning in the 2022-2023 school year, and biennially
18 thereafter, public schools shall administer the Oklahoma Prevention
19 Needs Assessment Survey, or an alternative survey as provided in
20 subsection D of this section, for the purpose of providing direction
21 to schools, school districts, and communities to effectively improve
22 the lives of students regarding a variety of issues with a focus on
23 alcohol, tobacco, other drug use, mental health, academic failure,
24 and violence.

1 C. The Department of Mental Health and Substance Abuse Services
2 shall maintain the Oklahoma Prevention Needs Assessment Survey and
3 shall provide technical assistance for schools in survey
4 administration, reporting, planning, and development of school
5 mental health prevention and intervention strategies informed by the
6 survey results.

7 D. If a school or school district chooses to administer an
8 alternative survey or assessment tool to fulfill the purpose
9 described in subsection B of this section, it may apply for a waiver
10 through the Department of Mental Health and Substance Abuse
11 Services.

12 E. The school district superintendent or his or her designee
13 shall provide prior written notification to the parents or legal
14 guardians of students to be administered the Oklahoma Prevention
15 Needs Assessment Survey or an alternative survey or assessment tool
16 adopted pursuant to subsection D of this section. The notification
17 shall include information to parents and legal guardians that they
18 may opt their student out of the survey or assessment tool by
19 providing written notice to the school district.

20 F. Prior to the biennial administration of the Oklahoma
21 Prevention Needs Assessment Survey, the Department of Mental Health
22 and Substance Abuse Services shall, utilizing the centralized filing
23 system provided for in Section 378 of this act, electronically
24 submit the survey to the President Pro Tempore of the Oklahoma State

1 Senate, the Speaker of the Oklahoma House of Representatives, the
2 chairs of the committees with responsibility over common education
3 in both houses of the Legislature, and the chairs of the committees
4 with responsibility over public health in both houses of the
5 Legislature.

6 G. The provisions of this section shall be subject to the
7 availability of federal funding. If federal funding is insufficient
8 to provide the Oklahoma Prevention Needs Assessment Survey to public
9 schools on a biennial basis, administration of the survey shall not
10 be required.

11 H. The Board of Mental Health and Substance Abuse Services and
12 the State Board of Education may promulgate rules as necessary to
13 carry out the provisions of this section.

14 SECTION 261. AMENDATORY 70 O.S. 2021, Section 625.14, as
15 amended by Section 15, Chapter 407, O.S.L. 2022 (70 O.S. Supp. 2025,
16 Section 625.14), is amended to read as follows:

17 Section 625.14. The Health Care Workforce Training Commission
18 shall establish and administer cost-sharing programs for internship
19 and residency physician training. The Commission shall provide for
20 state assistance by sharing the cost on a percentage basis, as may
21 be prescribed by law or as determined by the Commission, of the
22 salary, fringe benefits, training, and program administration of the
23 interns and residents as may be arranged by contract for
24 reimbursement with an accredited and approved hospital and

1 accredited clinical programs throughout the state in cooperation
2 with the University of Oklahoma College of Medicine and the
3 University of Oklahoma College of Medicine at Tulsa. Such physician
4 training institutions in the state shall serve as the administrative
5 agent for internship and residency programs which are located in
6 hospitals and clinical training programs throughout the state. Such
7 programs are affiliated with the institutions and are approved for
8 funding by the Commission. The Commission shall conduct the
9 planning, coordination, and selection of the training programs to
10 assure the effective and efficient operation of these programs. Not
11 less than seventy-five percent (75%) of the subsidy for these
12 programs shall be used in the training of primary health care and
13 family practice physicians for the rural and medically underserved
14 areas of the state. Provided that such subsidy may be used for the
15 primary purpose of increasing the total number of residencies funded
16 by this state, wherever located within the state, during that period
17 in which residency programs are being established in rural areas;
18 provided further, that as the residency programs are established and
19 accredited in rural hospitals, residency positions in such programs
20 shall be first provided for by the Commission. The Commission
21 shall, utilizing the centralized filing system provided for in
22 Section 378 of this act, electronically present a report to the
23 Governor, the Speaker of the House of Representatives, and the
24 President Pro Tempore of the Senate within one (1) month of the

1 beginning of each regular legislative session on the operation of
2 the programs including the progress made in accomplishing the goals
3 of physician training as to type of specialties and workforce
4 placement of the kind necessary to provide adequate health care to
5 the people throughout this state. The subsidy to the participating
6 hospital, clinical situation or training institution per resident or
7 intern shall not exceed any maximum or minimum amount as may be
8 prescribed by law or as determined by the Commission. The actual
9 amount of subsidy for physician training program situations shall be
10 based upon a determination by the Commission of:

11 1. The type of primary care residency and internship programs
12 involved and being conducted;

13 2. The extent of reimbursement available through third-party
14 payers and all other sources; and

15 3. The program and salary costs incurred in the given training
16 situation.

17 SECTION 262. AMENDATORY 70 O.S. 2021, Section 695.20, is
18 amended to read as follows:

19 Section 695.20. The State Auditor and Inspector shall perform a
20 special audit on the Oklahoma Student Loan Authority during the
21 fiscal year beginning July 1, 1992, and at least once each five (5)
22 years thereafter. The State Auditor and Inspector shall have the
23 power to take custody of any records necessary to the performance of
24 the audit but shall minimize actual physical removal of or denial of

1 access to such records. At the conclusion of the audit, the State
2 Auditor and Inspector shall meet with the chief executive officer
3 and the audit committee of the board of trustees of the Authority to
4 review the audit report to be issued. The report, when issued,
5 shall include any responses to the audit which the chief executive
6 officer or the audit committee wishes to have included. The State
7 Auditor and Inspector shall, utilizing the centralized filing system
8 provided for in Section 378 of this act, electronically file the
9 report with the Governor, the President Pro Tempore of the Senate,
10 the Speaker of the House of Representatives, the chairs of the
11 Education Committees of the Senate and the House of Representatives,
12 and the Oklahoma State Regents for Higher Education. The costs of
13 the audit shall be borne by the Authority.

14 SECTION 263. AMENDATORY 70 O.S. 2021, Section 697.2, as
15 amended by Section 17, Chapter 407, O.S.L. 2022 (70 O.S. Supp. 2025,
16 Section 697.2), is amended to read as follows:

17 Section 697.2. The Health Care Workforce Training Commission is
18 authorized to establish and administer cost-sharing programs for
19 internship and residency physician training. The Commission shall
20 provide for state assistance by sharing the cost on a percentage
21 basis, as may be prescribed by law or as determined by the
22 Commission, of the salary, fringe benefits, training, and program
23 administration of the interns and residents as may be arranged by
24 contract for reimbursement with an accredited and approved hospital

1 and accredited clinical programs throughout the state in cooperation
2 with the Oklahoma State University College of Osteopathic Medicine.
3 Such physician training institutions in the state shall serve as the
4 administrative agent for internship and residency programs which are
5 located in hospitals and clinical training programs throughout the
6 state. Such programs are affiliated with the institutions and
7 approved for funding by the Commission. The Commission shall
8 conduct the planning, coordination, and selection of the training
9 programs to assure the effective and efficient operation of these
10 programs. Not less than seventy-five percent (75%) of the subsidy
11 for these programs shall be used in the training of primary health
12 care and family/general practice physicians for the rural and
13 medically underserved areas of the state. Provided that such
14 subsidy may be used for the primary purpose of increasing the total
15 number of residencies funded by this state, wherever located within
16 the state, during that period in which residency programs are being
17 established in rural areas; provided further, that as the residency
18 programs are established and accredited in rural hospitals,
19 residency positions in such programs shall be first provided for by
20 the Commission. The Commission shall, utilizing the centralized
21 filing system provided for in Section 378 of this act,
22 electronically present a report to the Governor, the Speaker of the
23 House of Representatives, and the President Pro Tempore of the
24 Senate within one (1) month of the beginning of each regular

1 legislative session on the operation of the programs including the
2 progress made in accomplishing the goals of physician training as to
3 type of specialties and workforce placement of the kind necessary to
4 provide adequate health care to the people throughout this state.
5 The subsidy to the participating hospital, clinical situation or
6 training institution per resident or intern shall not exceed any
7 maximum or minimum amount as may be prescribed by law or as
8 determined by the Commission. The actual amount of subsidy for
9 physician training program situations shall be based upon a
10 determination by the Commission of:

11 1. The type of primary care residency and internship programs
12 involved and being conducted;

13 2. The extent of reimbursement available through third-party
14 payers and all other sources; and

15 3. The program and salary costs incurred in the given training
16 situation.

17 SECTION 264. AMENDATORY 70 O.S. 2021, Section 697.25, is
18 amended to read as follows:

19 Section 697.25. A. The Oklahoma Health Care Authority shall,
20 in consultation with the Oklahoma State University College of
21 Osteopathic Medicine and the University of Oklahoma College of
22 Medicine, designate eligible hospitals for the creation of new
23 residency training programs to serve medically underserved areas.
24

1 B. The Oklahoma Health Care Authority is authorized to contract
2 with the Oklahoma State University of Osteopathic Medicine and the
3 University of Oklahoma College of Medicine to provide funding for
4 the establishment of new residency training programs created under
5 the Oklahoma Hospital Residency Training Program Act.

6 C. The Oklahoma Health Care Authority shall, with the
7 assistance of the Oklahoma State University College of Osteopathic
8 Medicine and the University of Oklahoma College of Medicine, provide
9 technical assistance and funding for the colleges' costs incurred in
10 supporting the programs to ensure that residency training programs
11 established pursuant to the Oklahoma Hospital Residency Training
12 Program Act become funded by the Centers for Medicaid and Medicare
13 Services. Any student who is a resident of this state or who is in
14 good academic standing with an accredited medical college in this
15 state shall receive priority consideration in the process of
16 assigning clinical rotations at a health care facility that accepts
17 state funding. For purposes of this section, "resident" means an
18 individual who resided in this state at the time of graduation from
19 an Oklahoma high school.

20 D. The Oklahoma Health Care Authority shall establish reporting
21 mechanisms for eligible hospitals for the monitoring of progress of
22 the new residency training programs.

23 E. The Oklahoma Health Care Authority shall, utilizing the
24 centralized filing system provided for in Section 378 of this act,

1 electronically present a report on the operation of the Oklahoma
2 Hospital Residency Training Program to the Governor, the President
3 Pro Tempore of the Senate, and the Speaker of the House of
4 Representatives within one (1) month of the beginning of each
5 regular session of the Legislature which shall include, but shall
6 not be limited to, information on the progress made in implementing
7 the Oklahoma Hospital Residency Training Program Act.

8 SECTION 265. AMENDATORY 70 O.S. 2021, Section 698.1, as
9 last amended by Section 1, Chapter 249, O.S.L. 2023 (70 O.S. Supp.
10 2025, Section 698.1), is amended to read as follows:

11 Section 698.1. A. The Oklahoma State Regents for Higher
12 Education shall establish and maintain an incentive scholarship
13 program and teacher employment incentive program, as funding is
14 available, to encourage the preparation of public school teachers
15 for prekindergarten through twelfth grade, including minority
16 teachers, at all state public higher education institutions or
17 private higher education institutions accredited pursuant to Section
18 4103 of this title and incentivize employment as public teachers for
19 prekindergarten through twelfth grade in the state for at least five
20 (5) years, to be known as the Inspired to Teach Program.
21 Prospective teachers planning to pursue an undergraduate teacher
22 education program at an accredited Oklahoma teacher preparation
23 program shall be considered if they graduated from high school,
24 completed high-school level instruction at home, or completed

1 General Educational Development (GED) test requirements; meet the
2 higher education admission standards; and declare a pre-education
3 major or major in an approved Oklahoma teacher preparation degree
4 program leading to a standard teaching certificate.

5 B. To the extent that funds are available, scholarships,
6 renewable for up to three (3) additional years for qualified
7 students meeting satisfactory academic progress standards in
8 completing a teacher preparation degree program leading to a
9 standard teaching certificate, shall be awarded to cover costs of
10 tuition, general enrollment fees, other fees, books, materials, and
11 services provided by the institution, including room and board, in
12 the following manner:

13 1. One Thousand Dollars (\$1,000.00) per academic year for up to
14 three (3) academic years for full-time students who have earned less
15 than ninety (90) credit hours; and

16 2. Two Thousand Five Hundred Dollars (\$2,500.00) for the final
17 academic year for full-time students who have earned ninety (90) or
18 more credit hours.

19 The maximum amount of scholarship funds awarded as provided in this
20 subsection to any qualified student shall not exceed Five Thousand
21 Five Hundred Dollars (\$5,500.00).

22 C. As used in this section, "full-time student" means:

23 1. An undergraduate student enrolled in twelve (12) or more
24 semester credits toward teacher education degree requirements;

1 2. An undergraduate student who is a teacher education major
2 who is enrolled in or has completed an internship or student
3 teaching credit hours in order to complete the degree program prior
4 to certification and who has been approved to take less than twelve
5 (12) credit hours; or

6 3. An undergraduate student who is a teacher education major
7 with an approved reasonable accommodation from Student Accessibility
8 Services at the institution due to a documented disability and who
9 has been approved to take less than twelve (12) credit hours.

10 D. It is the intent of the Oklahoma Legislature that the
11 Oklahoma State Regents for Higher Education create a committee
12 composed of educators, teacher educators from the participating
13 institutions, and representatives of the public schools and the
14 State Department of Education to provide recommendations to the
15 State Regents to improve effectiveness of the Inspired to Teach
16 Program. The committee shall prepare and, utilizing the centralized
17 filing system provided for in Section 378 of this act,
18 electronically deliver a report on the program to the Legislature on
19 or before July 1 of each year.

20 E. Each scholarship participant, prior to entry into the
21 Inspired to Teach Program, shall have agreed to teach in an Oklahoma
22 public prekindergarten through twelfth grade school for a minimum of
23 five (5) consecutive years upon graduation and licensure as a
24 teacher. Any scholarship participant failing to maintain a 2.5

1 grade point average throughout matriculation, changing to an
2 ineligible area of study, failing to meet satisfactory academic
3 progress standards, withdrawing, or otherwise leaving school, or
4 failing to meet requirements for licensure and certification to
5 teach as established by law shall be subject to disqualification
6 from the program.

7 F. The Oklahoma State Regents for Higher Education are
8 authorized to make employment incentive payments pursuant to the
9 provisions of this section to Inspired to Teach Program participants
10 who are employed as traditionally certified teachers in Oklahoma
11 public prekindergarten through twelfth grade schools following
12 graduation. Incentive payments may be awarded following each
13 consecutive year of satisfactory service as documented by the
14 employing school district, up to five (5) years of service for
15 scholarship recipients as provided in subsection A of this section,
16 upon graduation from an accredited Oklahoma teacher preparation
17 degree program. The maximum amount of employment incentive payments
18 for any qualified participant shall be Four Thousand Dollars
19 (\$4,000.00) per year for up to five (5) years, not to exceed a total
20 of Twenty Thousand Dollars (\$20,000.00) per participant.

21 G. The Oklahoma State Regents for Higher Education shall
22 require the execution of appropriate contracts with eligible
23 Inspired to Teach Program participants. Participants failing to
24 comply with the requirements of this section or failing to provide

1 current contact information shall not be eligible for the employment
2 incentive payments provided for in this section. The Chancellor of
3 the Oklahoma State Regents for Higher Education, with the approval
4 of the State Regents, may contract with any other appropriate
5 organization or unit of government for the administration of the
6 provisions of this section.

7 H. If sufficient funds are not available for employment
8 incentive payments to qualified participants during any fiscal year,
9 the Chancellor may make reductions in the payments made to qualified
10 participants.

11 I. The Oklahoma State Regents for Higher Education may, at the
12 time an award is made on behalf of the Inspired to Teach Program,
13 set aside funds for the full commitment made to an eligible student.

14 J. The Oklahoma State Regents for Higher Education may utilize
15 Inspired to Teach Program designated funds for administration of the
16 program.

17 SECTION 266. AMENDATORY Section 1, Chapter 155, O.S.L.
18 2023 (70 O.S. Supp. 2025, Section 1210.210), is amended to read as
19 follows:

20 Section 1210.210. A. The State Department of Education Office
21 of Federal Programs shall, in conjunction with the Office of
22 Planning and Coordination for Services to Children and Youth
23 Steering Committee established in Section 601.6c of Title 10 of the
24 Oklahoma Statutes, adopt a standard form to be used by all school

1 districts to identify students who are homeless children and youth
2 as defined in Section 600 of Title 10 of the Oklahoma Statutes.
3 Beginning with the 2024-2025 school year, the form shall be
4 completed annually at enrollment by the parent or guardian of a
5 student or by the student if he or she is not in the physical
6 custody of a parent or guardian. Districts shall report the results
7 to the Department, in a manner prescribed by the Department, no
8 later than June 1 of each year.

9 B. Beginning July 1, 2025, the Department shall compile a
10 report of the number of students identified as being homeless, by
11 district and grade level. The report shall be electronically
12 distributed annually to the Governor, Speaker of the Oklahoma House
13 of Representatives, Chair of the House Common Education Committee,
14 President Pro Tempore of the Oklahoma State Senate, Chair of the
15 Senate Education Committee, and the Oklahoma Commission on Children
16 and Youth utilizing the centralized filing system provided for in
17 Section 378 of this act.

18 SECTION 267. AMENDATORY 70 O.S. 2021, Section 1210.228,
19 is amended to read as follows:

20 Section 1210.228. The State Department of Education shall, ~~at~~
21 ~~least thirty (30) days prior to the 1973 regular session of the~~
22 ~~Legislature and each regular session thereafter, transmit~~ utilizing
23 the centralized filing system provided for in Section 378 of this
24 act, electronically submit to the members of the State Board of

1 Education, the President Pro Tempore of the Senate, the Speaker of
2 the House of Representatives, and the ~~Chairmen~~ Chairs of the Senate
3 and House Education Committees, a report as to the status of the
4 drug abuse education program together with any recommendations for
5 further improvement, modification, or additional legislation. Such
6 submission shall be made annually at least thirty (30) days prior to
7 the regular session of the Legislature.

8 SECTION 268. AMENDATORY 70 O.S. 2021, Section 1210.258,
9 is amended to read as follows:

10 Section 1210.258. The State Department of Education shall, ~~at~~
11 ~~least thirty (30) days prior to the 1975 regular session of the~~
12 ~~Legislature and each regular session thereafter, transmit~~ utilizing
13 the centralized filing system provided for in Section 378 of this
14 act, electronically submit to the members of the State Board of
15 Education, the President Pro Tempore of the Senate, the Speaker of
16 the House of Representatives, and the ~~Chairmen~~ Chairs of the Senate
17 and House Education Committees, a report as to the status of the
18 economic education program together with any recommendations for
19 further improvement, modification or additional legislation. Such
20 submission shall be made annually at least thirty (30) days prior to
21 the regular session of the Legislature.

22 SECTION 269. AMENDATORY 70 O.S. 2021, Section 1210.307,
23 is amended to read as follows:

1 Section 1210.307. A. It shall be the duty of each school
2 district to provide gifted child educational programs and to serve
3 those children, as defined in Section 1210.301 of this title, who
4 reside in that school district. This duty may be satisfied by:

5 1. The district directly providing gifted child educational
6 programs for such children;

7 2. The district joining in a cooperative program with another
8 district or districts to provide gifted child educational programs
9 for such children;

10 3. The district joining in a cooperative program with a private
11 or public institution within such district; or

12 4. The district transferring identified gifted and talented
13 children to other school districts which provide the appropriate
14 gifted child educational programs, provided, no transfer shall be
15 made without the consent of the board of education of the receiving
16 school district. The district in which the child resides shall
17 provide transportation for the transferred student and pay an amount
18 of tuition equal to the proportion of the operating costs of the
19 program to the receiving district. Transfers authorized by this
20 section shall be made under such rules and regulations as the State
21 Board of Education may prescribe.

22 B. Each district shall, regardless of the method used for
23 accomplishing the duty set forth in subsection A of this section,
24 notify in writing the parents of each child identified as gifted of

1 the fact that the child has been so identified. The district shall
2 also provide each such parent a summary of the program to be offered
3 such child.

4 C. Beginning with the 1994-95 school year, and each year
5 thereafter, each board of education shall submit a plan for gifted
6 child educational programs as defined in Section 1210.301 of this
7 title to the State Department of Education which shall include:

8 1. A written policy statement which specifies a process for
9 selection and assessment of children for placement in gifted and
10 talented programs that is consistent for grades one through twelve;

11 2. A description of curriculum for the gifted child educational
12 program. Such description shall demonstrate that the curriculum is
13 differentiated from the normal curriculum in pace ~~and/or~~ or depth
14 and that it has scope and sequence;

15 3. Criteria for evaluation of the gifted child educational
16 program;

17 4. Evidence of participation by the local advisory committee on
18 education for gifted and talented children in planning, child
19 identification process, and program evaluation;

20 5. Required competencies and duties of gifted child educational
21 program staff;

22 6. Number and percentage of students identified by the district
23 as gifted children pursuant to subparagraph g of paragraph 2 of
24 subsection B of Section 18-201 of this title; and

1 7. A budget for the district gifted child educational programs.

2 D. The board of education of each school district shall prepare
3 a report which outlines the expenditures made by the district during
4 that year for gifted child educational programs pursuant to the
5 Oklahoma Cost Accounting System, as adopted by the State Board of
6 Education pursuant to Section 5-135 of this title.

7 E. The State Department of Education shall, after each school
8 year and utilizing the centralized filing system provided for in
9 Section 378 of this act, electronically report to the President Pro
10 Tempore of the Senate and the Speaker of the House of
11 Representatives concerning the number of children identified for the
12 programs, number of children served by the programs, type of
13 programs provided, type of screening procedures utilized, cost
14 analysis of the programs, and the estimated number of gifted and
15 talented children unserved by the programs.

16 SECTION 270. AMENDATORY 70 O.S. 2021, Section 1210.405,
17 is amended to read as follows:

18 Section 1210.405. A. The Board of Trustees of the Oklahoma
19 School of Science and Mathematics, upon a finding of unused capacity
20 within the Oklahoma School of Science and Mathematics (OSSM), shall
21 have the authority to:

22 1. Establish a policy providing for the acceptance of students
23 residing outside of Oklahoma and outside the United States for
24 enrollment in courses offered by OSSM in an amount not to exceed ten

1 percent (10%) of the total enrollment of OSSM. The policy shall
2 include but not be limited to:

3 a. a method of calculating rates for nonresident tuition
4 and room and board which ~~must~~ shall meet or exceed the
5 cost of attendance, subject to limits prescribed by
6 the Legislature, and

7 b. a provision that residents of Oklahoma seeking
8 acceptance to OSSM be given priority for enrollment
9 over students who are not residents of the state, if
10 all other qualifications are equal;

11 2. Offer for rent dormitories, classrooms, laboratories or
12 other OSSM facilities located in Oklahoma City; and

13 3. Establish educational programs and professional development
14 workshops to be offered during summer periods for which tuition and
15 fee rates may be established.

16 B. By January 1 of each year, the Board shall, utilizing the
17 centralized filing system provided for in Section 378 of this act,
18 electronically submit a report to the Governor, the President Pro
19 Tempore and the Minority Leader of the Senate, the Speaker and the
20 Minority Leader of the House of Representatives, the chair of the
21 Senate Education Committee, and the chair of the House Common
22 Education Committee that includes the nonresident tuition and room
23 and board rates approved by the Board for the current academic year.
24 The annual report shall include data on the impact of any tuition

1 increases on the ability of students to meet the costs of
2 attendance, enrollment patterns, and any other data considered
3 relevant by the Board.

4 C. The Board shall promulgate rules to implement the provisions
5 of this section.

6 SECTION 271. AMENDATORY 70 O.S. 2021, Section 1210.407,
7 is amended to read as follows:

8 Section 1210.407. A. 1. There is hereby created a mechanism
9 for establishing criteria and a process for designation as a STEM
10 Community or STEM Region. The STEM Community or STEM Region is one
11 of several recommendations on improving Oklahoma Science,
12 Technology, Engineering and Mathematics (STEM) education in the
13 Governor's Science and Technology Council's "OneOklahoma" report.

14 2. The criteria for designation as a STEM Community or STEM
15 Region shall include a requirement that educators, administrators,
16 business leaders, students, parents, government officials, and
17 business and industry groups within a community or region create
18 awareness, promote partnerships with education and industry, develop
19 and execute action plans for improving STEM education and training,
20 identify and acquire the needed resources to improve STEM education
21 and training, and identify and accumulate STEM data within the
22 community or region, including but not limited to kindergarten
23 through twelfth grade test results, the number of STEM-related
24 degree holders in the local workforce, the number of STEM-related

1 degrees conferred, and the number of STEM-related certifications or
2 credentials obtained. The region or community shall also develop a
3 plan to recognize and promote successes in both student and teacher
4 accomplishments in the STEM area within the community or region.
5 The concept of creating a STEM Community or STEM Region is
6 incorporated in the Department of Education's STEM strategy and will
7 include and support STEM programs in many of the Department of
8 Career and Technology Education's technology centers.

9 3. The process for designation as a STEM Community or STEM
10 Region shall require that state legislators initiate designation of
11 a STEM Community or STEM Region through an application process. The
12 final approval and designation of an Oklahoma STEM Community or STEM
13 Region shall reside with the Governor.

14 4. The application process shall be outlined by a subcommittee
15 of an existing STEM education or workforce committee or board, to be
16 identified by the Governor. The creation, sustainment, and
17 execution of the subcommittee shall be the responsibility of the
18 Department of Career and Technology Education. The application
19 process shall be based on criteria established by the subcommittee.

20 B. The subcommittee shall also study issues related to the
21 promotion and growth of STEM education and training in the state and
22 create specific recommendations to address the current and pending
23 shortage of highly skilled employees in the energy, agriculture and
24 biosciences, aerospace and defense, transportation and distribution,

1 and information technology and financial services sectors in
2 Oklahoma.

3 C. The subcommittee shall, utilizing the centralized filing
4 system provided for in Section 378 of this act, electronically
5 submit a report of its findings and recommendations to the Governor,
6 the President Pro Tempore of the Senate and the Speaker of the House
7 of Representatives on an annual basis.

8 SECTION 272. AMENDATORY 70 O.S. 2021, Section 1210.508C,
9 as last amended by Section 2, Chapter 297, O.S.L. 2025 (70 O.S.
10 Supp. 2025, Section 1210.508C), is amended to read as follows:

11 Section 1210.508C. A. To identify students who have
12 characteristics of dyslexia that lead to or cause reading
13 difficulty, each student enrolled in kindergarten and first, second,
14 and third grade in a public school in this state shall be screened
15 at the beginning, middle, and end of each school year for reading
16 skills including, but not limited to, phonological awareness,
17 decoding, fluency, vocabulary, and comprehension. A screening
18 instrument approved by the State Board of Education, in consultation
19 with the Commission for Educational Quality and Accountability and
20 the Secretary of Education, shall be utilized for the purposes of
21 this section. In determining which screening instrument to approve,
22 the State Board of Education, the Commission for Educational Quality
23 and Accountability, and the Secretary of Education shall take into
24 consideration at a minimum the following factors:

1 1. The time required to conduct the screening instrument with
2 the intention of minimizing the impact on instructional time;

3 2. The timeliness in reporting screening instrument results to
4 teachers, administrators, and parents and legal guardians of
5 students; and

6 3. The integration of the screening instrument into reading
7 curriculum.

8 B. Beginning in the 2025-2026 school year, the State Board of
9 Education shall approve no fewer than three screening instruments
10 for use at the beginning, middle, and end of the school year for
11 monitoring of progress and for measurement of reading skills as
12 required in subsection A of this section. The screening instruments
13 shall meet the following criteria:

14 1. Assess for phonological awareness, decoding, fluency,
15 vocabulary, and comprehension;

16 2. Document the validity and reliability of each assessment;

17 3. Can be used for identifying students who are at risk for
18 reading deficiency and progress monitoring throughout the school
19 year;

20 4. Can be used to assess students with disabilities and English
21 language learners; and

22 5. Accompanied by a data management system that provides
23 profiles of each student, class, grade level, and school building.

24 The profiles shall identify each student's instructional point of

1 need and reading achievement level. The State Board shall also
2 determine other comparable reading assessments for diagnostic
3 purposes to be used for students at risk of reading failure.

4 C. 1. Exemptions to the screening requirements of this section
5 may be provided to students who have documented evidence that they
6 meet at least one of the following criteria as related to the
7 provision of classroom instruction:

8 a. the student participates in the Oklahoma Alternate
9 Assessment Program (OAAP) and is taught using
10 alternate methods,

11 b. the student's primary expressive or receptive
12 communication is sign language,

13 c. the student's primary form of written or read text is
14 Braille, or

15 d. the student's primary expressive or receptive language
16 is not English, the student is identified as an
17 English learner using a state-approved identification
18 assessment, and the student has had less than one (1)
19 school year of instruction in an English-learner
20 program.

21 2. A public school that grants an exemption pursuant to
22 paragraph 1 of this subsection shall provide ongoing evidence of
23 student progression toward English language acquisition with the
24 same frequency as administration of screening assessments. Evidence

1 may include, but not be limited to, student progression toward OAAP
2 reading essential elements, proficiency in sign language and reading
3 comprehension, and proficiency in Braille and reading comprehension.

4 D. 1. Students who are administered a screening instrument
5 pursuant to subsection A of this section and are found not to be
6 meeting grade-level targets shall be provided a program of reading
7 instruction designed to enable students to acquire the appropriate
8 grade-level reading skills. The program of reading instruction
9 shall be based on scientific reading research and align with the
10 subject matter standards adopted by the State Board of Education. A
11 program of reading instruction shall include:

- 12 a. sufficient additional in-school instructional time for
13 the acquisition of phonological awareness, decoding,
14 fluency, vocabulary, and comprehension,
- 15 b. if necessary and if funding is available, tutorial
16 instruction after regular school hours, on Saturdays,
17 and during summer; however, such instruction may not
18 be counted toward the one-hundred-eighty-day or one-
19 thousand-eighty-hour school year required in Section
20 1-109 of this title,
- 21 c. assessments identified for diagnostic purposes and
22 periodic monitoring to measure the acquisition of
23 reading skills including, but not limited to,
24 phonological awareness, decoding, fluency, vocabulary,

1 and comprehension, as identified in the student's
2 program of reading instruction,

3 d. high-quality instructional materials grounded in
4 scientifically based reading research, and

5 e. a means of providing every family of a student in
6 prekindergarten, kindergarten, and first, second, and
7 third grade access to free online evidence-based
8 literacy instruction resources to support the
9 student's literacy development at home.

10 2. A student enrolled in kindergarten or first, second, or
11 third grade who exhibits a deficiency in reading at any time based
12 on the screening instrument administered pursuant to subsection A of
13 this section shall receive an individual reading intervention plan
14 no later than thirty (30) days after the identification of the
15 deficiency in reading. The reading intervention plan shall be
16 provided in addition to core reading instruction that is provided to
17 all students. The reading intervention plan shall:

18 a. describe the research-based reading intervention
19 services the student will receive to remedy the
20 deficiency in reading,

21 b. provide explicit and systematic instruction in
22 phonological awareness, decoding, fluency, vocabulary,
23 and comprehension, as applicable,
24

- c. monitor the reading progress of each student's reading skills throughout the school year and adjust instruction according to the student's needs, and
- d. continue until the student is determined to be meeting grade-level targets in reading based on screening instruments administered pursuant to subsection A of this section or assessments identified for diagnostic purposes and periodic monitoring pursuant to subparagraph c of paragraph 1 of this subsection.

3. The reading intervention plan for each student identified with a deficiency in reading shall be developed by a Student Reading Proficiency Team and shall include supplemental instructional services and supports. Each team shall be composed of:

- a. the parent or legal guardian of the student,
- b. the teacher assigned to the student who had responsibility for reading instruction in that academic year,
- c. a teacher who is responsible for reading instruction and is assigned to teach in the next grade level of the student, and
- d. a certified reading specialist or an individual with advanced training or specialization in literacy instruction, if one is available.

1 4. A school district shall notify the parent or legal guardian
2 of any student in kindergarten or first, second, or third grade who
3 exhibits a deficiency in reading at any time based on the screening
4 instrument administered pursuant to subsection A of this section.
5 The notification shall occur no later than thirty (30) days after
6 the identification of the deficiency in reading.

7 E. 1. Every school district shall adopt and implement a
8 district strong readers plan which has had input from school
9 administrators, teachers, and parents and legal guardians and if
10 possible a reading specialist, and which shall be submitted
11 electronically to and approved by the State Board of Education. The
12 plan shall be updated annually. School districts shall not be
13 required to electronically submit the annual updates to the Board if
14 the last plan submitted to the Board was approved and expenditures
15 for the program include only expenses relating to individual and
16 small group tutoring, purchase of and training in the use of
17 screening and assessment measures, summer school programs, and
18 Saturday school programs. If any expenditure for the program is
19 deleted or changed or any other type of expenditure for the program
20 is implemented, the school district shall be required to submit the
21 latest annual update to the Board for approval. The district strong
22 readers plan shall include a plan for each site which includes an
23 analysis of the data provided by the Oklahoma School Testing Program
24 and other reading assessments utilized as required in this section,

1 and which outlines how each school site will comply with the
2 provisions of the Strong Readers Act.

3 2. The State Board of Education shall adopt rules for the
4 implementation and evaluation of the provisions of the Strong
5 Readers Act. The evaluation shall include, but not be limited to,
6 an analysis of the data required in subsection L of this section.

7 F. 1. Any first-grade, second-grade, or third-grade student
8 who demonstrates proficiency in reading through a grade-level
9 appropriate screening instrument approved pursuant to subsection B
10 of this section shall not require a program of reading instruction
11 or an individual reading intervention plan. After a student has
12 demonstrated proficiency through a screening instrument, the
13 district shall provide notification to the parent or legal guardian
14 of the student that he or she has satisfied the requirements of the
15 Strong Readers Act. The district shall continue to monitor the
16 student in the next successive grade level to ensure he or she
17 maintains proficiency.

18 2. Beginning with the 2025-2026 school year, if a third-grade
19 student is identified at any point of the academic year as having a
20 significant reading deficiency, which shall be defined as not
21 meeting grade-level targets on a screening instrument administered
22 pursuant to subsection A of this section, the district shall provide
23 the student with intensive intervention services for the appropriate
24 amount of the instructional day consistent with the individual

1 reading intervention plan developed pursuant to paragraph 2 of
2 subsection D of this section and as determined by the Student
3 Reading Proficiency Team. Intensive intervention services shall
4 continue until the student demonstrates proficiency at his or her
5 grade level based on a screening instrument administered pursuant to
6 subsection A of this section.

7 G. Each school district shall annually report in an electronic
8 format to the State Department of Education, the Office of
9 Educational Quality and Accountability, and the Secretary of
10 Education the number of students in kindergarten through third grade
11 per grade level who exhibit grade-level reading proficiency, the
12 number of students per grade level who received intensive
13 intervention services pursuant to paragraph 2 of subsection F of
14 this section, the number of students per grade level who attended a
15 summer academy as provided for in Section 1210.508E of this title,
16 the number of students per grade level who exhibited improved
17 reading proficiency after completion of intensive intervention
18 services, and the number of students per grade level who are still
19 in need of intensive intervention services. The State Department of
20 Education shall publicly report the aggregate and district-specific
21 numbers submitted pursuant to this subsection on its website and
22 shall, utilizing the centralized filing system provided for in
23 Section 378 of this act, provide electronic copies of the report to
24 the Governor, Secretary of Education, President Pro Tempore of the

1 Senate, Speaker of the House of Representatives, and to the
2 respective chairs of the committees with responsibility for common
3 education policy in each legislative chamber.

4 H. The parent of any student who is found to have a reading
5 deficiency and is not meeting grade-level reading targets and has
6 been provided a program of reading instruction as provided for in
7 paragraph 1 of subsection D of this section shall be notified in
8 writing of the following:

9 1. That the student has been identified as having a substantial
10 deficiency in reading;

11 2. A description of the current services that are provided to
12 the student pursuant to subsection D of this section;

13 3. A description of the proposed intensive intervention
14 services and supports that will be provided to the student that are
15 designed to remediate the identified area of reading deficiency as
16 provided for in paragraph 2 of subsection F of this section;

17 4. That a student who is promoted to the fourth grade shall
18 receive supplemental intensive intervention services;

19 5. Strategies for parents to use in helping their child succeed
20 in reading proficiency; and

21 6. The grade-level performance scores of the student.

22 I. No student may be assigned to a grade level based solely on
23 age or other factors that constitute social promotion.

24

1 J. 1. Each school district board of education shall annually
2 publish on the school website and report electronically to the State
3 Department of Education, the Office of Educational Quality and
4 Accountability, and the Secretary of Education by September 1 of
5 each year the following information on the prior school year:

6 a. the policies and procedures adopted by the school
7 district board of education to implement the
8 provisions of this section. The information submitted
9 shall include expenditures related to implementing the
10 provisions of this section, the number of staff
11 implementing the provisions of this section, and
12 average daily classroom time devoted to implementing
13 the provisions of this section,

14 b. by grade, the number and percentage of all students in
15 kindergarten through third grade who did not meet
16 grade-level targets based on a screening instrument
17 administered pursuant to subsection A of this section,

18 c. by grade, the number and percentage of all students in
19 kindergarten through third grade who have been
20 enrolled in the district for fewer than two (2) years,

21 d. by grade, the number and percentage of students in
22 kindergarten through third grade who demonstrated
23 grade-level proficiency based on a screening
24

1 instrument administered pursuant to subsection A of
2 this section, and

3 e. by grade, the number and percentage of students in
4 kindergarten through third grade who are on an
5 individualized education program (IEP) in accordance
6 with the Individuals with Disabilities Education Act
7 (IDEA) and who demonstrated grade-level proficiency
8 based on a screening instrument administered pursuant
9 to subsection A of this section or an alternative
10 assessment prescribed by the student's IEP.

11 2. The State Department of Education shall establish a uniform
12 format for school districts to report the information required in
13 this subsection. The format shall be developed with input from
14 school districts and shall be provided not later than ninety (90)
15 days prior to the annual due date. The Department shall annually
16 compile the information required, along with state-level summary
17 information, and, utilizing the centralized filing system provided
18 for in Section 378 of this act, electronically report the
19 information to the public, the Governor, the Secretary of Education,
20 the President Pro Tempore of the Senate, and the Speaker of the
21 House of Representatives.

22 K. The State Department of Education shall provide technical
23 assistance as needed to aid school districts in administering the
24 provisions of the Strong Readers Act.

1 L. On or before January 31 of each year, the State Department
2 of Education shall, utilizing the centralized filing system provided
3 for in Section 378 of this act, electronically submit to the
4 Governor, the President Pro Tempore of the Senate, the Speaker of
5 the House of Representatives, and members of the committees with
6 responsibility over common education in both houses of the
7 Legislature a Strong Readers Report which shall include, but is not
8 limited to, trend data detailing three (3) years of data,
9 disaggregated by student subgroups to include economically
10 disadvantaged, major racial or ethnic groups, students with
11 disabilities, and English language learners, as appropriate for the
12 following:

13 1. The statewide aggregate number and percentage of students in
14 kindergarten through third grade determined to be at risk for
15 reading difficulties compared to the total number of students
16 enrolled in each grade;

17 2. The statewide aggregate number and percentage of students in
18 kindergarten who continue to be at risk for reading difficulties as
19 determined by the year-end administration of the screening
20 instrument required in subsection A of this section;

21 3. The statewide aggregate number and percentage of students in
22 kindergarten through third grade who have successfully completed
23 their program of reading instruction and are reading on grade level
24

1 as determined by the results of screening instruments administered
2 pursuant to subsection A of this section;

3 4. The statewide aggregate and district-specific number and
4 percentage of students that meet or do not meet grade-level targets
5 for reading based on screening instruments administered pursuant to
6 subsection A of this section;

7 5. The amount of funds received by each district for
8 implementation of the Strong Readers Act;

9 6. An evaluation and narrative interpretation of the report
10 data analyzing the impact of the Strong Readers Act on students'
11 ability to read at grade level;

12 7. The type of reading instruction practices and methods
13 currently being used by school districts in the state;

14 8. Socioeconomic information, access to reading resources
15 outside of school, and screening for and identification of learning
16 disabilities for students not reading at the appropriate grade level
17 in kindergarten and first through third grade;

18 9. By grade level, the types of intensive intervention efforts
19 being conducted by school districts for students who are not on an
20 IEP and who are not reading at the appropriate grade level and for
21 students who are on an IEP and who are not reading at the
22 appropriate grade level; and

23 10. Any recommendations for improvements or amendments to the
24 Strong Readers Act.

1 The State Department of Education may contract with an
2 independent entity for the reporting and analysis requirements of
3 this subsection.

4 M. Copies of the results of the screening instruments
5 administered pursuant to subsection A of this section shall be made
6 a part of the permanent record of each student.

7 SECTION 273. AMENDATORY Section 2, Chapter 288, O.S.L.
8 2023, as amended by Section 9, Chapter 411, O.S.L. 2024 (70 O.S.
9 Supp. 2025, Section 1210.508H), is amended to read as follows:

10 Section 1210.508H. A. Beginning with the 2023-2024 school
11 year, the State Department of Education shall establish a three-year
12 pilot program to employ a literacy instructional team to support
13 school districts in implementation of the requirements of Section
14 1210.508C of this title. The Department shall provide technical
15 assistance for literacy instruction, dyslexia, and related
16 disorders, and serve as a primary source of information and support
17 for schools in addressing the needs of students struggling with
18 literacy, dyslexia, and related disorders.

19 B. The Department shall employ a literacy instructional team
20 with team members who are placed regionally across the state. The
21 literacy instructional teams shall assist general education and
22 special education teachers in recognizing educational needs to
23 improve literacy outcomes for all students including those with
24 dyslexia or identified with the risk characteristics associated with

1 dyslexia. The role of the literacy instructional team shall also
2 include increasing professional awareness and instructional
3 competencies to meet the educational needs of all students including
4 those with dyslexia or identified with risk characteristics
5 associated with dyslexia. The Department shall prioritize supports
6 and interventions including enrollment in reading trainings and
7 professional development for schools which have the highest
8 percentage of students who do not demonstrate sufficient reading
9 skills as established by the State Board of Education.

10 C. Literacy instructional team members employed by the
11 Department shall have training in:

12 1. The science of how students learn to read including
13 phonological awareness, phonics, fluency, vocabulary, comprehension,
14 writing, and language;

15 2. Foundation of multisensory, explicit, systematic, and
16 structured reading instruction;

17 3. Identification of and the appropriate interventions,
18 accommodations, and teaching techniques for struggling students;

19 4. The requirements of the Strong Readers Act;

20 5. Special education laws and procedures; and

21 6. Appropriate interventions, accommodations, and assistive
22 technology supports for students with dyslexia or a related
23 disorder.

24

1 D. The literacy instructional team members employed by the
2 Department shall report to the Program Director for Literacy at the
3 Department and have:

4 1. A minimum of five regional literacy leads, at least one who
5 shall be designated by the Department as a dyslexia specialist to
6 provide school districts with support and resources that are
7 necessary to assist students with dyslexia. The Department shall
8 give preference to educators applying for regional literacy lead
9 who:

- 10 a. have an endorsement or certification as a certified
11 structured literacy dyslexia specialist or certified
12 academic language therapist,
- 13 b. are knowledgeable of multitiered systems of support,
14 and
- 15 c. have been trained in the identification of and
16 intervention for dyslexia and related disorders
17 including best practice interventions and treatment
18 models for dyslexia; and

19 2. A minimum of ten literacy specialists. The Department shall
20 give preference to educators applying for literacy specialist who:

- 21 a. have training in the science of reading,
- 22 b. are knowledgeable of multitiered systems of support,
23 and

1 c. have been trained in the identification of and
2 intervention for dyslexia and related disorders
3 including best practice interventions and treatment
4 models for dyslexia.

5 E. The State Department of Education shall, utilizing the
6 centralized filing system provided for in Section 378 of this act,
7 electronically submit a report to the Governor, the President Pro
8 Tempore of the Senate, and the Speaker of the House of
9 Representatives by December 31, 2026, that includes an evaluation of
10 the pilot program by school districts, data on whether the program
11 had an impact on increasing the number of students who demonstrate
12 proficiency in reading, and recommendations for changes to the
13 Strong Readers Act.

14 SECTION 274. AMENDATORY 70 O.S. 2021, Section 1210.509,
15 is amended to read as follows:

16 Section 1210.509. A. The Department shall provide in-service
17 training for local school personnel who administer tests required by
18 the Oklahoma School Testing Program Act, Section 1210.505 et seq. of
19 this title.

20 B. The Board shall require the company or companies providing
21 tests required ~~by the~~ by the Oklahoma School Testing Program Act,
22 Section 1210.505 et seq. of this title, to submit summary reports of
23 the results by school district to the Department and the respective
24 local school district. Individualized results of the test shall be

1 made available by the local school district to the classroom
2 teachers who instruct the students in the academic areas tested. In
3 every year, prior to the convening of the Legislature, the Board
4 shall ~~give~~, utilizing the centralized filing system provided for in
5 Section 378 of this act, electronically submit a summary report on
6 the testing results to the Governor, the Speaker of the House of
7 Representatives, and the President Pro Tempore of the Senate.

8 SECTION 275. AMENDATORY 70 O.S. 2021, Section 1210.516,
9 is amended to read as follows:

10 Section 1210.516. A. The State Board of Education shall
11 establish the Oklahoma Bridge to Literacy Program. The purpose of
12 the Program is to improve reading skills of children up through the
13 fourth grade, as measured by mastery of the skills identified in the
14 subject matter standards adopted by the State Board of Education, by
15 training and assisting private entities, as defined in subsection C
16 of this section, to offer reading instruction to children before
17 school, after school, on Saturdays, and during summer periods.

18 B. The State Department of Education shall issue a request for
19 proposals on or before October 1, 2012, and each October 1
20 thereafter for which the Oklahoma Bridge to Literacy Program is
21 funded, seeking applications for the Oklahoma Bridge to Literacy
22 Program. The Department shall review the applications for
23 compliance with the established requirements.

1 C. Private entities eligible to submit applications for the
2 Oklahoma Bridge to Literacy Program shall include the following:

3 1. Nonprofit organizations or programs which are exempt from
4 taxation pursuant to the provisions of Section 501(c)(3) of the
5 Internal Revenue Code, 26 U.S.C., Section 501(c)(3);

6 2. Community-based programs, centers, organizations, or
7 services which maintain community participation or supervision in
8 their planning, operation, and evaluation; and

9 3. Churches or religious organizations, associations, or
10 societies or nonprofit organizations or programs operated,
11 supervised, or controlled by or in conjunction with a religious
12 organization, association, or society.

13 D. The State Board of Education may approve applications that
14 meet the requirements set forth in this subsection and as
15 established by the Board. Approved applications shall establish
16 reading programs for children up through the fourth grade. The
17 reading programs may be offered before school, after school, on
18 Saturdays or during summer periods. The reading programs shall
19 offer reading instruction designed to enable the children to acquire
20 the appropriate level reading skills and shall provide diagnostic
21 assessments and measurement of reading skills to determine reading
22 success. The reading program shall focus on the acquisition of
23 reading skills including, but not limited to, phonological
24

1 awareness, phonics, spelling, reading fluency, vocabulary, and
2 comprehension.

3 E. On or before December 1, 2012, and each December 1
4 thereafter for which the Oklahoma Bridge to Literacy Program is
5 funded, the Department shall forward applications that the
6 Department has determined meet the requirements of this section to
7 the Board. On or before February 1, 2013, and each February 1
8 thereafter for which the Oklahoma Bridge to Literacy Program is
9 funded, the Board shall award, through a competitive bid process,
10 one or more grants to private entities to provide reading
11 instruction programs through the Oklahoma Bridge to Literacy
12 Program. To the extent possible, grants shall be awarded on a
13 statewide basis. The grant funding shall be used to provide the
14 reading instruction program, provide employees and volunteers for
15 the program and to purchase materials for the program.

16 F. In addition to the grant funding, the Department shall
17 provide to the private entities awarded grants pursuant to this
18 section the following:

19 1. Reading instruction training, academies, or courses designed
20 to train the private entity employees or volunteers in reading
21 instruction and remediation strategies;

22 2. Resources and materials on reading instruction and
23 remediation; and

24 3. Any other appropriate assistance.

1 G. The Board shall provide for independent evaluations of
2 programs funded pursuant to this section.

3 H. Beginning June 30, 2013, and each year thereafter for which
4 the Oklahoma Bridge to Literacy Program is funded, the Board shall
5 prepare and, utilizing the centralized filing system provided for in
6 Section 378 of this act, electronically submit a report to the
7 Governor, the Speaker of the House of Representatives, and the
8 President Pro Tempore of the Senate containing:

9 1. Descriptions of the reading programs approved and funded
10 through the Oklahoma Bridge to Literacy Program;

11 2. Number and amount of grants awarded;

12 3. Number of children served through approved programs; and

13 4. Achievement data for children served through approved
14 programs.

15 SECTION 276. AMENDATORY 70 O.S. 2021, Section 1210.544,
16 is amended to read as follows:

17 Section 1210.544. A. Notwithstanding any other provision of
18 law, the State Board of Education shall establish a process to
19 identify schools in the state that are listed as in need of
20 improvement in accordance with 20 U.S.C., Section 6301 et seq. A
21 school district board of education with a school identified as being
22 among the schools in the state that are in need of improvement shall
23 implement a locally developed, evidence-based intervention model for
24 the school site determined by the Board to be low performing

1 B. 1. Consistent with 20 U.S.C., Section 6301 et seq., for
2 schools that are identified for school improvement by the Board for
3 four (4) consecutive years, the district board of education shall
4 seek support from the State Department of Education. Such support
5 may include academic intervention, professional development,
6 restructuring of the governance arrangement of the school or any
7 other plan that is reasonably calculated to improve student academic
8 achievement in the school. State support plans shall be designed to
9 provide a substantial assurance of enabling the school to
10 appropriately serve all students. If after two (2) years of
11 implementing the state support plan, improvements to student
12 achievement remain insufficient and, in accordance with 20 U.S.C.,
13 Section 6301 et seq., the school continues to be identified by the
14 Board as low performing, the Board may exercise the option of
15 assuming control of the school as provided for in this subsection.

16 2. If the Board assumes control of a school, the Board shall
17 retain all funds that otherwise would have been allocated to the
18 school district based on the average daily membership of the school
19 which shall be used to operate the school.

20 C. 1. A district board of education for a district with an
21 average daily membership of more than 30,000 which implements an
22 alternative governance arrangement as provided for in this section
23 may utilize the following procedures, upon approval of the district
24

1 board and concurrence of the executive committee of the appropriate
2 local bargaining unit:

3 a. any teacher not retained at the school site shall be
4 given status as a full-time substitute teacher within
5 the school district for a period of not to exceed two
6 (2) years,

7 b. if the teacher is not offered a contract teaching
8 position at a school in the district within the two-
9 year period specified in subparagraph a of this
10 paragraph, the district board shall be authorized to
11 not reemploy the teacher, and

12 c. the district board shall designate trained, certified,
13 instructional staff to provide teacher support,
14 development, and evaluation, which may include
15 certified personnel other than administrators.

16 2. Any actions taken pursuant to this subsection shall not be
17 subject to the Teacher Due Process Act of 1990. The decision by the
18 district board for renewal or nonrenewal shall be final.

19 3. For purposes of this subsection, a full-time substitute
20 teacher shall perform the duties assigned by the district
21 superintendent and shall continue to receive the same salary,
22 benefits, and step increases that the teacher would otherwise be
23 entitled to for the time period the teacher serves as a full-time
24 substitute.

1 D. 1. Each school district subject to the provisions of
2 subsection B of this section shall submit a plan for compliance with
3 this section to the State Department of Education, in a manner
4 prescribed by the Department.

5 2. The State Department of Education shall annually, utilizing
6 the centralized filing system provided for in Section 378 of this
7 act, electronically submit a report of the district plans received
8 as provided in paragraph 1 of this subsection to the members of the
9 Senate and House Education Committees.

10 SECTION 277. AMENDATORY 70 O.S. 2021, Section 1210.591,
11 is amended to read as follows:

12 Section 1210.591. The State Board of Education shall establish
13 a project review and evaluation process and shall make an annual
14 report to the Legislature analyzing and evaluating all pilot
15 projects in operation. ~~Said~~ Such report shall be electronically
16 furnished to the President Pro Tempore of the Senate and the Speaker
17 of the House of Representatives not later than the tenth legislative
18 day of each legislative session utilizing the centralized filing
19 system provided for in Section 378 of this act.

20 SECTION 278. AMENDATORY 70 O.S. 2021, Section 2120, as
21 amended by Section 3, Chapter 18, O.S.L. 2022 (70 O.S. Supp. 2025,
22 Section 2120), is amended to read as follows:

23 Section 2120. A. As used in this act:
24

1 1. "Campus community" means students, administrators, faculty,
2 and staff at the public institution of higher education and their
3 invited guests;

4 2. "Harassment" means only that expression that is unwelcome,
5 so severe, pervasive, and subjectively and objectively offensive
6 that a student is effectively denied equal access to educational
7 opportunities or benefits provided by the public institution of
8 higher education;

9 3. "Materially and substantially disrupts" means when a person,
10 with the intent to or with knowledge of doing so, significantly
11 hinders another person's or group's expressive activity, prevents
12 the communication of the message, or prevents the transaction of the
13 business of a lawful meeting, gathering or procession by:

14 a. engaging in fighting, violent or other unlawful
15 behavior, or

16 b. physically blocking or using threats of violence to
17 prevent any person from attending, listening to,
18 viewing, or otherwise participating in an expressive
19 activity. Conduct that "materially disrupts" shall
20 not include conduct that is protected under the First
21 Amendment to the United States Constitution or Section
22 22 of Article 2 of the Oklahoma Constitution. Such
23 protected conduct includes but is not limited to
24 lawful protests in the outdoor areas of campus

1 generally accessible to the members of the public,
2 except during times when those areas have been
3 reserved in advance for other events, or minor, brief
4 or fleeting nonviolent disruptions of events that are
5 isolated and short in duration;

6 4. "Outdoor areas of campus" means the generally accessible
7 outside areas of campus where members of the campus community are
8 commonly allowed, such as grassy areas, walkways or other similar
9 common areas and does not include outdoor areas where access is
10 restricted from a majority of the campus community;

11 5. "Public institution of higher education" means any
12 institution within The Oklahoma State System of Higher Education or
13 technology center schools overseen by the State Board of Career and
14 Technology Education; and

15 6. "Student organization" means an officially recognized group
16 at a public institution of higher education, or a group seeking
17 official recognition, comprised of admitted students that receive or
18 are seeking to receive benefits through the public institution of
19 higher education.

20 B. Expressive activities protected under the provisions of this
21 section include but are not limited to any lawful verbal, written,
22 audio-visual or electronic means by which individuals may
23 communicate ideas to one another, including all forms of peaceful
24

1 assembly, protests, speeches and guest speakers, distribution of
2 literature, carrying signs, and circulating petitions.

3 C. 1. The outdoor areas of campuses of public institutions of
4 higher education in this state shall be deemed public forums for the
5 campus community, and public institutions of higher education shall
6 not create "free speech zones" or other designated areas of campus
7 outside of which expressive activities are prohibited. Public
8 institutions of higher education may maintain and enforce reasonable
9 time, place, and manner restrictions narrowly tailored in service of
10 a significant institutional interest only when such restrictions
11 employ clear, published, content- and viewpoint-neutral criteria and
12 provide for ample alternative means of expression. Any such
13 restrictions shall allow for members of the campus community to
14 spontaneously and contemporaneously assemble and distribute
15 literature.

16 2. Nothing in this subsection shall be interpreted as limiting
17 the right of student expression elsewhere on campus.

18 D. 1. Any person who wishes to engage in noncommercial
19 expressive activity on campus shall be permitted to do so freely, as
20 long as the person's conduct is not unlawful and does not materially
21 and substantially disrupt the functioning of the public institutions
22 of higher education, subject only to the requirements of subsection
23 C of this section.

1 2. Nothing in this subsection shall prohibit public
2 institutions of higher education from maintaining and enforcing
3 reasonable time, place, and manner restrictions that are narrowly
4 tailored to serve a significant institutional interest only when
5 such restrictions employ clear, published, content- and viewpoint-
6 neutral criteria. Any such restrictions shall allow for members of
7 the campus community to spontaneously and contemporaneously
8 assemble, speak, and distribute literature.

9 3. Nothing in this subsection shall be interpreted as
10 preventing public institutions of higher education from prohibiting,
11 limiting or restricting expression that the First Amendment does not
12 protect or prohibiting harassment as defined by this section.

13 4. Nothing in this section shall enable individuals to engage
14 in conduct that intentionally, materially, and substantially
15 disrupts another person's expressive activity if that activity is
16 occurring in a campus space reserved for that activity under the
17 exclusive use or control of a particular group.

18 E. Public institutions of higher education shall make public in
19 their handbooks, on their websites and through their orientation
20 programs for students the policies, regulations, and expectations of
21 students regarding free expression on campus consistent with this
22 section.

23 F. Public institutions of higher education shall develop
24 materials, programs, and procedures to ensure that those persons who

1 have responsibility for discipline or education of students,
2 including but not limited to administrators, campus police officers,
3 residence life officials and professors, understand the policies,
4 regulations, and duties of public institutions of higher education
5 regarding free expression on campus consistent with this section.

6 G. 1. Each public institution of higher education shall
7 publicly post on its website, as well as electronically submit to
8 the Governor, the Legislature, and the Chancellor of The Oklahoma
9 State System of Higher Education annually by December 31 utilizing
10 the centralized filing system provided for in Section 378 of this
11 act, a report that details the course of action implemented to be in
12 compliance with the requirements of this section. A report shall
13 also be given in the instance of any changes or updates to the
14 chosen course of action. The information required in the report
15 shall be:

- 16 a. accessible from the institution's website home page by
17 use of not more than three links,
- 18 b. searchable by key words and phrases, and
- 19 c. accessible to the public without requiring
20 registration or use of a user name, password or
21 another user identification.

22 2. The report shall include:

- 23 a. a description of any barriers to or incidents of
24 disruption of free expression occurring on campus,

1 including but not limited to attempts to block or
2 prohibit speakers and investigations into students or
3 student organizations for their speech. The
4 description shall include the nature of each barrier
5 or incident, as well as what disciplinary action, if
6 any, was taken against members of the campus community
7 determined to be responsible for those specific
8 barriers or incidents involving students without
9 revealing those students' personally identifiable
10 information, and

11 b. any other information each public institution of
12 higher education deems valuable for the public to
13 evaluate whether free expression rights for all
14 members of the campus community have been equally
15 protected and enforced consistent with this act.

16 3. If a public institution of higher education is sued for an
17 alleged violation of First Amendment rights, a supplementary report
18 with a copy of the complaint, or any amended complaint, shall be
19 electronically submitted to the Governor and the Legislature within
20 thirty (30) days utilizing the centralized filing system provided
21 for in Section 378 of this act.

22 H. Any person or student organization aggrieved by a violation
23 of this section may bring an action against the public institution
24 of higher education and its employees acting in their official

1 capacities responsible for the violation and seek appropriate
2 relief, including but not limited to injunctive relief, monetary
3 damages, reasonable attorneys' fees, and court costs. Any person or
4 student organization aggrieved by a violation of this section may
5 assert such violation as a defense or counter claim in any
6 disciplinary action or in any civil or administrative proceedings
7 brought against such student or student organization. Nothing in
8 this subsection shall be interpreted to limit any other remedies
9 available to any person or student organization.

10 I. A person shall be required to bring suit for violation of
11 this section no later than one year after the day the cause of
12 action occurs. For purposes of calculating the one-year limitation
13 period, each day that the violation persists and each day that a
14 policy in violation of this section remains in effect shall
15 constitute a new day that the cause of action has occurred.

16 J. If any provision of this section or any application of such
17 provision to any person or circumstance is held to be
18 unconstitutional, the remainder of the section and the application
19 of the provision to any other person or circumstance shall not be
20 affected.

21 SECTION 279. AMENDATORY 70 O.S. 2021, Section 2607, is
22 amended to read as follows:

23 Section 2607. A. Beginning December 31, 2022, and each
24 December 31 thereafter, the Oklahoma State Regents for Higher

1 Education shall, utilizing the centralized filing system provided
2 for in Section 378 of this act, electronically submit to the
3 President Pro Tempore of the Senate and the Speaker of the House of
4 Representatives an annual report on the impact of the Oklahoma
5 Higher Learning Access Program, also known as Oklahoma's Promise,
6 created pursuant to Sections 2601 et seq. of Title 70 of the
7 Oklahoma Statutes. The report shall include:

8 ~~A.~~ 1. Year-to-year cohort retention and five-year graduation
9 rates of all students enrolled in institutions within The Oklahoma
10 State System of Higher Education compared to the year-to-year cohort
11 retention and five-year graduation rates of students who receive
12 Oklahoma Higher Learning Access Program awards who are enrolled in
13 institutions within The Oklahoma State System of Higher Education.
14 The data shall include the degree programs in which the students are
15 enrolled~~;~~;

16 2. Year-to-year cohort retention and five-year graduation rates
17 of students who receive Oklahoma Higher Learning Access Program
18 awards who are enrolled in private institutions of higher learning
19 located within this state and accredited pursuant to Section 4103 of
20 Title 70 of the Oklahoma Statutes. The data shall include the
21 degree programs in which the students are enrolled~~;~~; and

22 3. Certificate attainment rates of all students enrolled in
23 technology center schools compared to the certificate attainment
24 rates of students who receive Oklahoma Higher Learning Access

1 Program awards who are enrolled in technology center schools. The
2 data shall include the career areas in which the students are
3 enrolled.

4 B. The financial impact and enrollment impact of the Oklahoma
5 Higher Learning Access Program on two-year and four-year
6 institutions within The Oklahoma State System of Higher Education,
7 private institutions of higher learning located within this state
8 and accredited pursuant to Section 4103 of Title 70 of the Oklahoma
9 Statutes and technology center schools.

10 C. Data on Oklahoma Higher Learning Access Program participants
11 who graduate from an institution of higher education within The
12 Oklahoma State System of Higher Education or a private institution
13 of higher learning located within this state and accredited pursuant
14 to Section 4103 of Title 70 of the Oklahoma Statutes or who attain a
15 certificate from a technology center school, including:

16 1. The number of participants who are residents of the state
17 one year after graduation or certificate attainment; and

18 2. The industry or career area in which the participant is
19 employed.

20 D. Data from surveys completed pursuant to the provisions of
21 subsection B of Section 2606 of Title 70 of the Oklahoma Statutes.

22 SECTION 280. AMENDATORY 70 O.S. 2021, Section 2632, as
23 amended by Section 1, Chapter 129, O.S.L. 2025 (70 O.S. Supp. 2025,
24 Section 2632), is amended to read as follows:

1 Section 2632. A. To be eligible for an Oklahoma Tuition
2 Equalization Grant, a student shall:

3 1. Be an Oklahoma resident as defined by the Oklahoma State
4 Regents for Higher Education;

5 2. Have enrolled as a full-time undergraduate student in an
6 eligible institution of higher education as prescribed in subsection
7 D of this section;

8 3. Meet the income eligibility level, which is the student's
9 parents' income from taxable sources which shall not be more than
10 Fifty Thousand Dollars (\$50,000.00) per year or the student's income
11 if the student is independent and self-supporting as determined by
12 the State Regents consistent with federal financial aid regulations;

13 4. Pay more tuition than is required at a comparable public
14 institution of higher education and pay no less than the regular
15 tuition required of all students enrolled at the institution where
16 the student is enrolled; and

17 5. Maintain at least minimum standards of academic performance
18 as required by the enrolling institution.

19 B. The enrolling institution shall forward a completed student
20 application, documentation of full-time enrollment status, and
21 certification of resident status to the State Regents no later than
22 October 15 for the fall semester and March 15 for the spring
23 semester of each academic year.
24

1 C. Subject to the availability of funds in the Oklahoma Tuition
2 Equalization Grant Trust Fund, an Oklahoma Tuition Equalization
3 Grant in the amount of Two Thousand Dollars (\$2,000.00) per academic
4 year, or One Thousand Dollars (\$1,000.00) per academic semester
5 shall be awarded by the State Regents by allocation from the
6 Oklahoma Tuition Equalization Grant Trust Fund, beginning with
7 eligible students enrolled in the 2003-2004 school year. No grants
8 pursuant to this act shall be provided to students for attending
9 summer terms or intersessions.

10 D. The State Regents shall implement policies and procedures
11 for the administration of this act. The State Regents shall approve
12 as eligible institutions of higher education only those private or
13 independent, not-for-profit colleges or universities that are
14 domiciled within this state, meet approved program and accreditation
15 standards as determined by the State Regents, and are fully
16 accredited by the Higher Learning Commission of the North Central
17 Association on Colleges and Schools or a national accrediting body
18 recognized by the United States Department of Education. To be
19 eligible, institutions ~~must~~ shall have been granted not-for-profit
20 status by the Internal Revenue Service and the U.S. Department of
21 Education prior to July 1, 2012. Additionally, eligible
22 institutions shall adhere to the complaint process policies and
23 procedures administered by the State Regents. The State Regents
24 shall review and take action, as authorized, on complaints

1 concerning eligible institutions. The eligible institutions shall
2 include Family of Faith College, Mid-America Christian University,
3 Oklahoma Baptist University, Oklahoma Christian University, Oklahoma
4 City University, Oklahoma Wesleyan University, Oral Roberts
5 University, Southern Nazarene University, Southwestern Christian
6 University, the University of Tulsa, and Randall University.

7 E. If funds are not sufficient in the Oklahoma Tuition
8 Equalization Grant Trust Fund to provide grants for all eligible
9 applicants, the State Regents shall award grants on the basis of
10 need and take into consideration other grants and scholarships
11 received by an eligible applicant when awarding grants. Students
12 who have previously received a tuition equalization grant and who
13 continue to meet the requirements for eligibility shall have
14 absolute priority for continued financial support superior to any
15 student who is applying for a grant for the first time.

16 F. Students enrolling as first-time freshmen for the 2003-2004
17 school year shall be the first class of students eligible to apply
18 for Oklahoma Tuition Equalization Grants. In subsequent years, all
19 previously eligible students and the first-time enrolling freshmen
20 students shall be entitled to apply for a grant pursuant to this
21 section. Beginning in the 2007-2008 school year, all eligible
22 students shall be entitled to apply for a grant pursuant to this
23 section.

1 G. A grant provided by this section shall not be allowed for
2 courses or other postsecondary units taken in excess of the
3 requirements for completion of a baccalaureate program or taken more
4 than five (5) years after the student's first grant is received.
5 The State Regents may award an Oklahoma Tuition Equalization Grant
6 for courses of postsecondary units taken more than five (5) years
7 after the student's first grant is received only in hardship
8 circumstances. No Oklahoma Tuition Equalization Grant recipient may
9 receive benefits beyond a cumulative time period of five (5) years.

10 H. On or before February 1 after the first semester in which
11 grants are awarded pursuant to this act and every year thereafter,
12 the State Regents shall, utilizing the centralized filing system
13 provided for in Section 378 of this act, electronically provide a
14 report to the Governor, President Pro Tempore of the Senate, and the
15 Speaker of the House of Representatives to include, but not be
16 limited to the number of students awarded grants, grade point
17 average, persistence rates, degree completion rates, demographic
18 data, and any other indicators the State Regents deem appropriate.

19 SECTION 281. AMENDATORY 70 O.S. 2021, Section 3206, is
20 amended to read as follows:

21 Section 3206. As provided in Article XIII-A of the Constitution
22 of Oklahoma, the State Regents shall constitute a coordinating board
23 of control for all state educational institutions, with the
24 following specific powers:

1 (a) It shall prescribe standards of higher education applicable
2 to each institution.

3 (b) It shall determine the functions and courses of study in
4 each of the institutions to conform to the standards prescribed.

5 (c) It shall grant degrees and other forms of academic
6 recognition for completion of the prescribed courses in all of such
7 institutions.

8 (d) It shall recommend to the State Legislature the budget
9 allocations to each institution.

10 (e) It shall have the power to recommend to the Legislature
11 proposed fees for all of such institutions, and any such fees shall
12 be effective only within the limits prescribed by the Legislature,
13 after taking due cognizance of expressed legislative intent.

14 (f) It shall allocate funds to each institution according to
15 its needs and functions from appropriations made by the Legislature.

16 (g) It may coordinate private, denominational, and other
17 institutions of higher learning with the State System under
18 regulations set forth by the State Regents.

19 Among other powers and duties, the State Regents shall:

20 (h) Prescribe standards for admission to, retention in, and
21 graduation from state educational institutions.

22 (i) Accept federal funds and grants and use the same in
23 accordance with federal requirements; and accept and disburse
24 grants, gifts, devises, bequests, and other monies and property from

1 foundations, corporations, and individuals; and establish, award,
2 and disburse scholarships and scholarship funds and rewards for
3 merit from any funds available for such purpose.

4 (j) Allocate revolving and other non-state-appropriated
5 educational and general funds.

6 (k) Transfer from one institution to another any property
7 belonging to such institution when no longer needed by it and when
8 needed by another institution to accomplish its functions.

9 (l) Prepare and, utilizing the centralized filing system
10 provided for in Section 378 of this act, electronically publish
11 annually a report to the Governor, the Legislature, and
12 institutions, setting forth the progress, needs, and recommendations
13 of state educational institutions and of the State Regents; conduct
14 studies, surveys, and research projects to gather information about
15 the needs of state educational institutions and make such additional
16 reports and recommendations as it deems necessary or as the Governor
17 or the Legislature may direct, and publish such information obtained
18 as may be considered worthy of dissemination.

19 (m) Any monies which it is authorized to invest shall be
20 invested with the care, skill, prudence, and diligence under the
21 circumstances then prevailing that a prudent person acting in a like
22 capacity and familiar with such matters would use in the conduct of
23 an enterprise of a like character and with like aims.

1 (n) Issue, on behalf of institutions within The Oklahoma State
2 System of Higher Education, other than the University of Oklahoma
3 and Oklahoma State University, and with the powers enumerated by
4 this act, its obligations for purposes of such capital projects as
5 the Regents may deem to be proper for the benefit of such
6 institutions. The obligations issued pursuant to the authority of
7 this paragraph shall be part of a comprehensive program for capital
8 maintenance of such institutions and the obligations shall be
9 special and limited obligations of the Oklahoma State Regents for
10 Higher Education and shall not constitute general obligations of the
11 State of Oklahoma.

12 (o) Exercise all powers necessary or convenient to accomplish
13 the purposes and objectives of Article XIII-A of the Constitution of
14 Oklahoma.

15 SECTION 282. AMENDATORY 70 O.S. 2021, Section 3206.6a,
16 as amended by Section 2, Chapter 84, O.S.L. 2025 (70 O.S. Supp.
17 2025, Section 3206.6a), is amended to read as follows:

18 Section 3206.6a. A. The Oklahoma State Regents for Higher
19 Education may finance acquisition of or improvements to, or
20 refinance or restructure outstanding obligations for real property
21 pursuant to the master lease program. The funds used by the Regents
22 for the purposes authorized by this section shall be available for
23 lease transactions having a term that is no more than the useful
24 life of any real property or improvements acquired by institutions

1 pursuant to the provisions of this section, and in no event, more
2 than thirty (30) years.

3 B. After May 24, 2005, any bonds issued pursuant to this
4 section shall be subject to the approval of the Legislature as
5 provided by this subsection. The Oklahoma State Regents for Higher
6 Education shall, utilizing the centralized filing system provided
7 for in Section 378 of this act, electronically submit an itemized
8 list of the proposed projects and the terms of the financing to the
9 Governor, the Speaker of the House of Representatives, the President
10 Pro Tempore of the Senate, and all members of the Legislature within
11 the first seven (7) legislative days of an annual legislative
12 session and prior to the time any such obligations are sold. The
13 submission to such elected officials shall occur upon the same date
14 for purposes of computing the time within which action ~~must~~ shall be
15 taken as further prescribed by this subsection. The Legislature
16 shall have a period of forty-five (45) calendar days from the date
17 on which the information is submitted to pass a concurrent
18 resolution disapproving all or part of the proposed issuance. If
19 the Legislature does not disapprove the proposed issuance by
20 concurrent resolution by the end of the forty-fifth day following
21 the date upon which the proposed issuance is submitted, the proposed
22 issuance shall be deemed to have been approved by the Legislature.

1 C. The amount of transactions financed in a calendar year
2 through the real property master lease program authorized by this
3 section shall not exceed the combined total of:

4 1. The submission described in subsection B of this section, or
5 portion thereof, approved by the Legislature;

6 2. Any issuance for additional proposed individual projects
7 submitted by institutions under the coordination of the Oklahoma
8 State Regents for Higher Education and approved by the Legislature;

9 3. Any projects approved by the Legislature in a prior calendar
10 year for which no financing action was taken in the prior calendar
11 year; and

12 4. Any projects refunded from a previous issuance.

13 SECTION 283. AMENDATORY 70 O.S. 2021, Section 3218.2, is
14 amended to read as follows:

15 Section 3218.2. A. Resident tuition, nonresident tuition, and
16 other fees to be required of students receiving instruction or other
17 academic services provided by institutions of The Oklahoma State
18 System of Higher Education shall be established by the Oklahoma
19 State Regents for Higher Education with due regard for the
20 provisions of Section 3218.14 of this title within limits prescribed
21 by the Legislature. Nothing in this act shall be construed as
22 limiting or prohibiting the requirement of payment for goods or
23 services provided by auxiliary enterprises operated by or in
24 conjunction with institutions of The Oklahoma State System of Higher

1 Education and authorized by the Oklahoma State Regents for Higher
2 Education.

3 B. By January 1 of each year, the Oklahoma State Regents for
4 Higher Education shall, utilizing the centralized filing system
5 provided for in Section 378 of this act, electronically submit a
6 report to the Governor, the President Pro Tempore of the Senate, the
7 Speaker of the House of Representatives, and the minority floor
8 leaders and education committee chairs of both houses of the
9 Oklahoma Legislature. The annual report shall include the following
10 information:

11 1. Actions taken in regard to and the schedule of tuition and
12 fees approved for The Oklahoma State System of Higher Education for
13 the current academic year;

14 2. Data on the impact of any tuition or fee increases on the
15 ability of students to meet the costs of attendance, enrollment
16 patterns, availability of financial aid;

17 3. The budget prepared by the State Regents setting out in
18 detail the necessary expenses of the State Regents for the next
19 fiscal year;

20 4. The budget requests or proposals submitted by each
21 institution to the State Regents for the next fiscal year;

22 5. The funding formula or allotment system used by the State
23 Regents to allocate money to each institution, including a
24

1 description of the functional goals of the formula or system for
2 distributing funds to each institution;

3 6. A calculation of any differences in the budget requests
4 amounts for each institution and the actual amounts allocated to
5 each institution, including an explanation for any differences; and

6 7. Any other data considered relevant by the State Regents.

7 C. By January 1 of each year, each institution of The Oklahoma
8 State System of Higher Education shall, utilizing the centralized
9 filing system provided for in Section 378 of this act,

10 electronically submit a report to the Governor, the President Pro
11 Tempore of the Senate, the Speaker of the House of Representatives,
12 and the minority floor leaders and education committee chairs of
13 both houses of the Oklahoma Legislature. The annual report shall
14 include the following information:

15 1. A copy of reports submitted to the State Regents which
16 itemizes the tuition and fees for each institution by campus or
17 location; and

18 2. The total budget of each institution for the previous fiscal
19 year including the amount of revenue received from tuition and fees
20 and other sources and expenses for each campus or location.

21 SECTION 284. AMENDATORY 70 O.S. 2021, Section 3219.1, is
22 amended to read as follows:

23 Section 3219.1. A. The Oklahoma State Regents for Higher
24 Education may establish any special fee not specified by law if the

1 Regents determine that such fee is necessary for academic services
2 or other activities, facilities or services provided by any
3 institution of The Oklahoma State System of Higher Education.

4 Within thirty (30) days of the establishment by the Regents of
5 such fee, the Regents shall, utilizing the centralized filing system
6 provided for in Section 378 of this act, electronically file a
7 report with the Speaker of the House of Representatives, the
8 President Pro Tempore of the Senate, the Chairperson of the Higher
9 Education Committee of the House of Representatives, and the
10 Chairperson of the Education Committee of the Senate. The report
11 shall specify the reasons the Regents determined such fee was
12 necessary and any other information concerning the fee.

13 B. Each educational institution within The Oklahoma State
14 System of Higher Education shall annually publish all tuition and
15 fees charged at that institution. The institution shall provide
16 that publication free of charge to any person requesting any
17 information relating to tuition or fees at that institution.

18 SECTION 285. AMENDATORY 70 O.S. 2021, Section 3224, is
19 amended to read as follows:

20 Section 3224. A. It is the intent of the Oklahoma Legislature
21 that all instructors, including all graduate teaching assistants,
22 now employed or being considered for employment at institutions
23 within The Oklahoma State System of Higher Education shall be
24

1 proficient in speaking the English language so that they may
2 adequately instruct students.

3 B. Exceptions to this statement of intent shall include the
4 instruction of courses that are:

5 1. Designed to be taught predominantly in a foreign language;
6 and

7 2. Elective, special arrangement courses such as individualized
8 instruction and independent study courses.

9 C. It is further the intent of the Legislature that each
10 institution within The Oklahoma State System of Higher Education
11 evaluate its instructional faculty for oral, aural, and written
12 fluency in the English language in the classroom. By September 1 of
13 each year, each state institution shall, utilizing the centralized
14 filing system provided for in Section 378 of this act,
15 electronically file with the Oklahoma State Regents for Higher
16 Education a certification stating that the instructional faculty
17 members, whose native language is other than English, hired either
18 after July 1, 1995, or hired subsequent to the last annual
19 certification, are proficient in the English language.

20 D. Each college and university of the State System shall,
21 utilizing the centralized filing system provided for in Section 378
22 of this act, electronically provide an annual report to the
23 President Pro Tempore of the Senate and the Speaker of the House of
24

1 the Oklahoma Legislature by January 1 of each year setting forth the
2 following information:

3 1. Procedures established to guarantee faculty members have
4 proficiency in both written and spoken English; and

5 2. Procedures established to inform students of grievance
6 procedures regarding instructors who are not able to speak the
7 English language.

8 SECTION 286. AMENDATORY 70 O.S. 2021, Section 3903, is
9 amended to read as follows:

10 Section 3903. (a) The Oklahoma State System of Higher
11 Education shall operate an allotment system similar to the procedure
12 set out in the Oklahoma State Finance Act, Section 34 et seq. of
13 Title 62 of the Oklahoma Statutes, for other agencies of the state
14 except that the State Regents shall be substituted for the Director
15 of the Office of Management and Enterprise Services in connection
16 with approving allotment requests of the constituent institutions
17 and agencies comprising the State System. The account
18 classification for the State System shall conform as nearly as
19 possible with the classification of accounts recommended by the
20 publications of the National Association of College and University
21 Business Officers. The State Regents shall allocate to each
22 institution and agency in the State System, from the consolidated or
23 lump-sum appropriation made by the Legislature, an amount sufficient
24 to meet the needs and functions of the institution or agency for the

1 entire year. Upon such allocation, monies appropriated for
2 educational and general purposes shall be transferred to the
3 Educational and General Operations Revolving Fund of the institution
4 or agency and monies appropriated for capital improvement purposes
5 shall be transferred to the Capital Improvement Revolving Fund of
6 the institution or agency. The amount allocated to an institution
7 or agency for each fiscal year shall be made in a lump sum without
8 regard to uniform budget or accounting classifications, but shall
9 not be available for expenditure until subsequently allotted by the
10 State Regents.

11 (b) The State Regents, with the approval of the Director of the
12 Office of Management and Enterprise Services, may allot money to any
13 such institution or agency to establish and operate a petty cash
14 fund at the institution or agency; said fund shall only be
15 reimbursed upon the filing of claims showing the purposes for which
16 the money was expended. No single expenditure from any petty cash
17 fund so established and operated shall exceed Five Hundred Dollars
18 (\$500.00). Splitting of invoices for the purpose of avoiding this
19 limitation is prohibited. Except for payments to sports officials,
20 research participants, refunds to students, competition judges, and
21 temporary farm crews employed at Oklahoma Agricultural Experiment
22 Stations, expenditures from such fund for personal services, travel
23 reimbursement, or professional services are prohibited. Further,
24 the exemption for payments to sports officials and refunds to

1 students is limited to only those institutions which have previously
2 been authorized to participate in both the "Alternate Claims
3 Processing", by the Director of the Office of Management and
4 Enterprise Services, and "Remote Warrant Printing", by the State
5 Treasurer. The Oklahoma State Regents for Higher Education shall
6 publish uniform guidelines applicable to all institutions of higher
7 education for expenditures from petty cash funds, which shall be
8 strictly adhered to.

9 (c) Governing boards of control are integral parts of
10 institutions under their respective jurisdiction; therefore, the
11 expenses of boards in carrying out their respective duties shall be
12 paid from the operating budgets of the institutions and other budget
13 agencies under their jurisdiction. In cases where a board is the
14 governing board for two or more institutions ~~and/or~~ or other budget
15 agencies, the board shall prorate its operating expenses among the
16 institutions ~~and/or~~ or other budget agencies so governed. Prior to
17 the beginning of the fiscal year, each board shall prepare a budget,
18 setting out in detail its necessary expenses for the entire fiscal
19 year and shall, not later than July 1 and utilizing the centralized
20 filing system provided for in Section 378 of this act,
21 electronically file a copy of its budget with the President Pro
22 Tempore of the Senate, the Speaker of the House of Representatives,
23 the Director of the Office of Management and Enterprise Services,
24 and the Legislative Service Bureau. Said budget shall include all

1 full-time-equivalent positions in each activity or division and an
2 itemization of all sources of income used for operations and
3 programs. Each board shall revise its budget, if necessary, and
4 provide said revisions to the President Pro Tempore of the Senate,
5 the Speaker of the House of Representatives, the Director of the
6 Office of Management and Enterprise Services, and the Legislative
7 Service Bureau not later than January 1 of each year. In cases
8 where a board has jurisdiction over two or more institutions or
9 budget agencies, it shall, not later than July 1, notify the
10 President of each institution as to the amount of its pro rata share
11 of the board's expense budget that will be assessed against the
12 institution ~~and/or~~ or other budget agency during the fiscal year.

13 (d) Prior to the beginning of the fiscal year, the coordinating
14 board of the Oklahoma State Regents for Higher Education shall
15 prepare a budget setting out in detail its necessary expenses for
16 the entire fiscal year, and, not later than July 1 and utilizing the
17 centralized filing system provided for in Section 378 of this act,
18 shall electronically file a copy of its budget with the Director of
19 the Office of Management and Enterprise Services and the Legislative
20 Service Bureau. The State Regents shall allocate the money required
21 to fund its budget prior to making distribution of appropriated
22 monies to the various institutions of The Oklahoma State System of
23 Higher Education.

24

1 (e) The Division of Central Accounting and Reporting shall make
2 cash allocations of revenue in accordance with Section 23 of Article
3 X of the Oklahoma Constitution, to each institution and agency,
4 considering the total allocation made by the State Regents from the
5 lump-sum legislative appropriation as the total appropriation for
6 the institution or agency, in lieu of legislative appropriations.
7 All income available to an institution or agency for educational and
8 general purposes, as defined in the uniform budget and accounting
9 classifications recommended by the publications of the National
10 Association of College and University Business Officers, and
11 including income defined by law as revolving fund income, shall
12 operate as a continuing nonfiscal appropriation which may be
13 expended for any educational and general purpose for which
14 appropriated funds may be expended, if allocated and allotted in
15 accordance with the Oklahoma State Finance Act, as provided in this
16 section; provided that no obligation shall be incurred in excess of
17 the unencumbered balance of cash on hand.

18 (f) At least thirty (30) days prior to the beginning of each
19 fiscal year, each of the constituent institutions and agencies shall
20 file with the State Regents its request for appropriation allotments
21 for each of the purposes for which expenditures are to be made.
22 Such requests shall be in conformity with the uniform budget or
23 accounting classifications recommended by the publications of the
24 National Association of College and University Business Officers.

1 Each request for appropriation allotments shall show the amount
2 required to finance each item of the request for the entire year and
3 for each quarter or each six-month period within the fiscal year, as
4 required by the Director of the Office of Management and Enterprise
5 Services. The State Regents, or their designated official or
6 employee who has been authorized to approve itemized allotment
7 requests, shall consider the allotment requests for the purpose of
8 making a determination that: (1) the current financial requirements
9 of the institution or agency concerned justify the allotment to be
10 made; (2) the accounting classification is sufficient to reflect the
11 purpose for which expenditures are to be made and that such
12 classification is in accordance with the budget classifications
13 adopted by the Director of the Office of Management and Enterprise
14 Services and the State Regents, which shall conform as nearly as
15 possible to the account classification recommended by the
16 publications of the National Association of College and University
17 Business Officers; and (3) the realization of estimated revenues
18 determined by the Director of the Office of Management and
19 Enterprise Services is sufficient to allow the commitments to be
20 made. In allotting appropriations and other funds, and approving
21 subsequent allotments, which may be required by each institution and
22 agency the State Regents shall follow the same general procedure as
23 other agencies of the state not under the control of the State
24 Regents, except as otherwise provided in this section. All forms

1 and account classifications shall be mutually agreed upon by the
2 Director of the Office of Management and Enterprise Services and the
3 State Regents. The State Regents shall file approved requests of
4 constituent institutions and agencies with the Division of Central
5 Accounting and Reporting. The State Regents and the Director of the
6 Office of Management and Enterprise Services shall approve any
7 request from the administrative head of a constituent institution or
8 agency for amendment of the approved schedule of positions and
9 salaries or transfers between items, so long as the currently
10 approved allotment for such purposes is not exceeded and each such
11 amendment shall be filed with the Director of the Office of
12 Management and Enterprise Services, in such detail as he or she may
13 require, prior to the date on which the first payroll or other
14 disbursement affected by such amendments is submitted for payment.
15 In the event that the realization of estimated revenues at any time
16 during the fiscal year indicates that the total revenue from that
17 fiscal year to any state fund will be insufficient at the end of the
18 fiscal year to meet the total appropriations from that fund, the
19 Director of the Office of Management and Enterprise Services shall
20 notify the State Regents as to the amount of reduction necessary
21 against the consolidated, or lump-sum appropriation, made to the
22 State Regents.

23 (g) The State Regents in making itemized allotments during the
24 fiscal year, may reserve an amount sufficient to meet a reasonable

1 failure of revenue until receipt of notice from the Director of the
2 Office of Management and Enterprise Services that the realization of
3 estimated revenues indicates that the total appropriations may be
4 allotted for expenditure. Upon receipt of notice from the Director
5 of the Office of Management and Enterprise Services of a necessary
6 reduction in the consolidated, or lump-sum appropriation, to meet a
7 failure in revenue, the State Regents shall immediately take action
8 to control the approval of subsequent allotment requests sufficient
9 to make the aggregate reduction in allotments of all constituent
10 institutions under their control equal the amount of reduction
11 ordered against the lump-sum appropriation made by the Legislature.
12 Such reductions against the lump-sum appropriation shall not exceed
13 the percentage reduction ordered against other agencies of the
14 state, in accordance with Section 23 of Article X of the Oklahoma
15 Constitution.

16 SECTION 287. AMENDATORY 70 O.S. 2021, Section 3909, as
17 amended by Section 575, Chapter 486, O.S.L. 2025 (70 O.S. Supp.
18 2025, Section 3909), is amended to read as follows:

19 Section 3909. A. In addition to such other audits as may be
20 required of or desired by the various boards of regents responsible
21 for the institutions of The Oklahoma State System of Higher
22 Education, each board shall annually obtain the services of an
23 independent accounting firm or individual holding a permit to
24 practice public accounting in this state to perform a complete

1 financial audit for the preceding fiscal year of each institution
2 for which the board is responsible. The Oklahoma State Regents for
3 Higher Education shall likewise annually obtain the services of an
4 independent accounting firm or individual holding a permit to
5 practice public accounting in this state to perform a complete
6 financial audit of all the offices, operations, and accounts of the
7 State Regents which are not subject to the control of other boards
8 of regents. The audits shall be filed in accordance with the
9 requirements set forth for financial statement audits in Section
10 212A of Title 74 of the Oklahoma Statutes.

11 B. Each board of regents shall appoint a standing Audit
12 Committee of the board consisting of not fewer than three (3) board
13 members. The Audit Committee shall be responsible for establishing
14 the qualifications of any accounting firm or individual seeking to
15 be hired to perform an audit for the board and shall recommend to
16 the board the firms or individuals whom the board shall invite to
17 submit competitive bids. The full board shall select the auditor
18 from among the competitive bidders. Audit committees shall not
19 recommend any firm or individual unwilling to meet the following
20 specifications. The specifications shall be among the terms and
21 conditions of any contract awarded:

22 1. All revolving fund accounts, special accounts, special
23 agency accounts, auxiliary enterprise accounts, and technical area
24

1 school district accounts, if any, shall be included within the scope
2 of the audit;

3 2. Where operations of constituent agencies or technical area
4 school districts are relevant to the complete financial audit of the
5 institution, records of those enterprises shall be included within
6 the scope of the audit;

7 3. To the extent required by subsection (d) of Section 4306 of
8 this title, records of college- or university-related foundations
9 shall be included within the scope of the audit;

10 4. At the conclusion of the audit, the auditor shall meet with
11 the president of the institution and the Audit Committee to review
12 the audit report to be issued, the management letter or other
13 comments or suggestions to be issued, and any other findings; and

14 5. Findings of material weaknesses, qualifications of the
15 auditor's report other than those deriving from inadequate plant
16 records, and of defalcations, or a report of lack of such findings,
17 shall be electronically communicated in writing to the board, the
18 State Auditor and Inspector, the Legislative Service Bureau, and the
19 Oklahoma State Regents for Higher Education with or in advance of
20 the filing of the audit report required by Section 452.10 of Title
21 74 of the Oklahoma Statutes utilizing the centralized filing system
22 provided for in Section 378 of this act; and such written
23 communications shall include any responses or other comments which
24 the president or the Audit Committee wishes to have included.

1 C. The State Auditor and Inspector whenever he or she deems it
2 appropriate, or upon receiving a written request to do so by the
3 Governor, Attorney General, President Pro Tempore of the Senate, the
4 Speaker of the House of Representatives, the governing board of an
5 institution of higher education, the Oklahoma State Regents for
6 Higher Education or the president of an institution of higher
7 education, shall conduct a special audit of any institution of
8 higher education within The Oklahoma State System of Higher
9 Education. The special audit shall include, but not necessarily be
10 limited to, a compliance audit as defined in subsection C of Section
11 213 of Title 74 of the Oklahoma Statutes. The State Auditor and
12 Inspector shall have the power to take custody of any records
13 necessary to the performance of the audit but shall minimize actual
14 physical removal of or denial of access to such records. At the
15 conclusion of the audit, the State Auditor and Inspector shall meet
16 with the president of the institution and the Audit Committee of the
17 board which governs the component audited to review the audit report
18 to be issued. The report, when issued, shall include any responses
19 to the audit which the president or the Audit Committee wishes to
20 have included and shall be electronically presented to the full
21 board, the Legislative Service Bureau, and the Oklahoma State
22 Regents for Higher Education with or in advance of the filing
23 required by Section 452.10 of Title 74 of the Oklahoma Statutes
24 utilizing the centralized filing system provided for in Section 378

1 of this act. The cost of such audit shall be borne by the audited
2 entity and may be defrayed in whole or in part by any federal funds
3 available for that purpose.

4 D. Each board of regents shall require the employment of a
5 sufficient number of internal auditors to meet the board's fiduciary
6 responsibilities. Internal audits shall be conducted in accordance
7 with the provisions of Sections 228 and 229 of Title 74 of the
8 Oklahoma Statutes. The internal auditors shall submit a report
9 directly and simultaneously to the audit committee of the board and
10 the president of the institution; all members of the board of
11 regents governing the institution, however, shall receive all
12 internal audit reports and the board of regents shall, at least
13 annually, review and prescribe the plan of work to be performed by
14 the internal auditors.

15 E. Any person who alters or destroys records needed for the
16 performance of an audit or causes or directs a subordinate to do
17 such acts shall be guilty of a Class D1 felony offense punishable by
18 imprisonment as provided for in subsections B through F of Section
19 20N of Title 21 of the Oklahoma Statutes, or by a fine of not more
20 than Twenty Thousand Dollars (\$20,000.00), or by both such fine and
21 imprisonment. Such person shall also be subject to immediate
22 removal from office or employment.

23 SECTION 288. AMENDATORY 70 O.S. 2021, Section 3954, is
24 amended to read as follows:

1 Section 3954. A. The Oklahoma State Regents for Higher
2 Education shall discharge their duties as trustees of the Oklahoma
3 State Regents' Endowment Trust Fund, as trustees of the Oklahoma
4 State Regents' Academic Scholars Trust Fund, as trustees of the
5 Oklahoma Higher Learning Access Trust Fund, as trustees of the
6 Oklahoma GEAR UP Scholarship Trust Fund, and as trustees of the
7 Oklahoma Tuition Equalization Grant Trust Fund, hereafter "Trust
8 Funds":

9 1. With the care, skill, prudence, and diligence under the
10 circumstances then prevailing that a prudent person acting in a like
11 capacity and familiar with such matters would use in the conduct of
12 an enterprise of a like character and with like aims;

13 2. By diversifying the investments of the Trust Funds so as to
14 minimize the risk of large losses, unless under the circumstances it
15 is clearly prudent not to do so; and

16 3. In accordance with the laws, documents and instruments
17 governing the Trust Funds.

18 B. The State Regents may procure insurance indemnifying the
19 members of the State Regents from personal loss or accountability
20 from liability resulting from a member's action or inaction as a
21 trustee.

22 C. The State Regents may establish an investment committee for
23 any of the Trust Funds or any combination of such Trust Funds. Such
24 investment committee shall be composed of members of the State

1 Regents appointed by the chair of the State Regents. The committee
2 shall make recommendations to the entire membership of the State
3 Regents on all matters related to the choice of custodians and
4 managers of the assets of the Trust Funds, on the establishment of
5 investment and fund management guidelines, and in planning future
6 investment policy. The committee shall have no authority to act on
7 behalf of the State Regents in any circumstances whatsoever. No
8 recommendation of the committee shall have effect as an action of
9 the State Regents nor take effect without the approval of the State
10 Regents.

11 D. The State Regents may retain qualified investment managers
12 to provide for the investment of the monies of the Trust Funds and
13 may pay the fees for the services of such investment managers from
14 the investment proceeds attributable to each of the Trust Funds.
15 The investment managers shall be chosen by a solicitation of
16 proposals on a competitive bid basis pursuant to standards set by
17 the State Regents. Subject to the overall investment guidelines set
18 by the State Regents, the investment managers shall have full
19 discretion in the management of those monies of the Trust Funds
20 allocated to the investment managers. The State Regents shall
21 manage those monies not specifically allocated to the investment
22 managers. The monies of the Trust Funds allocated to the investment
23 managers shall be actively managed by the investment managers, which
24 may include selling investments and realizing losses if such action

1 is considered advantageous to longer term return maximization.

2 Because of the total return objective, no distinction shall be made
3 for management and performance evaluation purposes between realized
4 and unrealized capital gains and losses.

5 E. Funds and revenues for investment by the investment managers
6 or the State Regents shall be placed with a custodian selected by
7 the State Regents. Payment of the fees for the custodians' services
8 may be paid from the applicable Trust Fund. The custodian shall be
9 a bank or trust company offering pension fund master trustee and
10 master custodial services. The custodian shall be chosen by a
11 solicitation of proposals on a competitive bid basis pursuant to
12 standards set by the State Regents. In compliance with the
13 investment policy guidelines of the State Regents, the custodian
14 bank or trust company shall be contractually responsible for
15 ensuring that all monies of the Trust Funds are invested in income-
16 producing investment vehicles at all times. If a custodian bank or
17 trust company has not received direction from the investment
18 managers of the Trust Funds as to the investment of the monies of
19 the Trust Funds in specific investment vehicles, the custodian bank
20 or trust company shall be contractually responsible to the State
21 Regents for investing the monies in appropriately collateralized
22 short-term interest-bearing investment vehicles.

23

24

1 F. By November 1, 1989, and prior to August 1 of each year
2 thereafter, the State Regents shall develop written investment plans
3 for the Trust Funds.

4 G. The State Regents shall compile quarterly financial reports
5 of all the funds and accounts of the Oklahoma State Regents'
6 Endowment Trust Fund, the Oklahoma State Regents' Academic Scholars
7 Trust Fund, the Oklahoma Higher Learning Access Trust Fund, the
8 Oklahoma GEAR UP Scholarship Trust Fund, and the Oklahoma Tuition
9 Equalization Grant Trust Fund on a fiscal year basis. The reports
10 shall include several relevant measures of investment value,
11 including acquisition cost and current fair market value with
12 appropriate summaries of total holdings and returns. The reports
13 shall contain combined and individual rates of returns of the
14 investment managers by category of investment, over periods of time.
15 The reports shall be electronically distributed to the Director of
16 the Legislative Service Bureau and the Chair of the Joint Committee
17 on Fiscal Operations utilizing the centralized filing system
18 provided for in Section 378 of this act.

19 H. After July 1 and before October 1 of each year, the State
20 Regents shall publish four annual reports presented in simple and
21 easily understood language. The reports shall be electronically
22 submitted to the Governor, the Speaker of the House of
23 Representatives, the President Pro Tempore of the Senate, the
24 Director of the Legislative Service Bureau, and the Chair of the

1 Joint Committee on Fiscal Operations utilizing the centralized
2 filing system provided for in Section 378 of this act. The annual
3 reports shall cover the operation of the Oklahoma State Regents'
4 Endowment Trust Fund, the Oklahoma State Regents' Academic Scholars
5 Trust Fund, the Oklahoma Higher Learning Access Trust Fund, the
6 Oklahoma GEAR UP Scholarship Trust Fund, and the Oklahoma Tuition
7 Equalization Grant Trust Fund during the past fiscal year, including
8 income, disbursements, and the financial condition of the Trust
9 Funds at the end of the fiscal year. The annual reports shall also
10 contain the information issued in the quarterly reports required
11 pursuant to subsection G of this section as well as a summary of the
12 results of the most recent actuarial valuation to include total
13 assets, total liabilities, unfunded liability or over-funded status,
14 contributions and any other information deemed relevant by the State
15 Regents.

16 SECTION 289. AMENDATORY 70 O.S. 2021, Section 3970.11,
17 is amended to read as follows:

18 Section 3970.11. The Board of Trustees of the Oklahoma College
19 Savings Plan shall, utilizing the centralized filing system provided
20 for in Section 378 of this act, electronically submit a report
21 summarizing any findings and recommendations concerning the program
22 to the Speaker of the House of Representatives, the President Pro
23 Tempore of the Senate, and the Governor by February 1 of each year.

24

1 SECTION 290. AMENDATORY 70 O.S. 2021, Section 3980.4, as
2 amended by Section 4, Chapter 186, O.S.L. 2023 (70 O.S. Supp. 2025,
3 Section 3980.4), is amended to read as follows:

4 Section 3980.4. A. The Oklahoma State Regents for Higher
5 Education shall be authorized to issue indebtedness for capital
6 projects to benefit each and every institution within The Oklahoma
7 State System of Higher Education except the University of Oklahoma
8 and Oklahoma State University.

9 B. The Board of Regents of the University of Oklahoma shall be
10 authorized to issue indebtedness for capital projects to benefit the
11 University of Oklahoma as provided by paragraph (n) of Section 3305
12 of this title. The Board of Regents of the University of Oklahoma,
13 acting for the benefit of the University of Oklahoma, shall be
14 authorized to pledge any lawfully available source of revenue other
15 than revenues appropriated by the Legislature from tax receipts, but
16 inclusive of revenues derived from the Oklahoma Education Lottery
17 Act accruing to the credit of the University of Oklahoma to the
18 repayment of obligations issued pursuant to this subsection and,
19 with respect to obligations issued for the purpose specified in
20 Section 160.1 of Title 62 of the Oklahoma Statutes, inclusive of
21 monies accruing to the credit of the Comprehensive Cancer Center
22 Debt Service Revolving Fund.

23 C. The Board of Regents for the Oklahoma Agricultural and
24 Mechanical Colleges shall be authorized to issue indebtedness for

1 capital projects to benefit Oklahoma State University pursuant to
2 paragraph 16 of Section 3412 of this title. The Board of Regents
3 for the Oklahoma Agricultural and Mechanical Colleges, acting for
4 the benefit of Oklahoma State University, shall be authorized to
5 pledge any lawfully available source of revenue, other than revenues
6 appropriated by the Legislature from tax receipts, but inclusive of
7 revenues derived from the Oklahoma Education Lottery Act, accruing
8 to the credit of Oklahoma State University to the repayment of
9 obligations issued pursuant to this subsection.

10 D. The Board of Regents of Oklahoma Colleges, also known as the
11 Regional University System of Oklahoma (RUSO) pursuant to Section
12 3507.1 of this title, shall be authorized to issue indebtedness for
13 capital projects to benefit the institutions supervised and managed
14 by RUSO. RUSO shall be authorized to pledge any lawfully available
15 source of revenue, other than revenue appropriated by the
16 Legislature from tax receipts, but inclusive of revenues derived
17 from the Oklahoma Education Lottery Act, accruing to the credit of
18 institutions supervised and managed by RUSO to the repayment of
19 obligations issued pursuant to this subsection.

20 E. The Oklahoma State Regents for Higher Education shall be
21 required to affirmatively approve the issuance of obligations
22 pursuant to the provisions of the Oklahoma Higher Education Promise
23 of Excellence Act of 2005 by either the Board of Regents of the
24 University of Oklahoma, acting for the benefit of the University of

1 Oklahoma, the Board of Regents for the Oklahoma Agricultural and
2 Mechanical Colleges, acting for the benefit of Oklahoma State
3 University, or RUSO, acting for the benefit of institutions
4 supervised and managed by RUSO. For each of the proposed bond
5 issues authorized pursuant to the Oklahoma Higher Education Promise
6 of Excellence Act of 2005, a Statement of Essential Facts shall be
7 prepared by the issuing Board of Regents for the use and information
8 of prospective bond purchasers. It shall be the duty of the
9 Oklahoma State Regents for Higher Education to examine such
10 Statement of Essential Facts and determine that, based upon such
11 facts and projections, the projected revenue will satisfy the
12 financial obligation to be incurred under the proposed bond issue.
13 If the facts are found by the State Regents to be substantially
14 accurate and if the State Regents find that, based upon such facts
15 and projections, the projected revenue will satisfy the financial
16 obligation to be incurred under the proposed bond issue, then the
17 Oklahoma State Regents for Higher Education shall, utilizing the
18 centralized filing system provided for in Section 378 of this act,
19 electronically certify such to the Governor, the Speaker of the
20 House of Representatives, and the President Pro Tempore of the
21 Senate. The certificate shall be made in substantially the
22 following form:
23
24

1 The Oklahoma State Regents for Higher Education do hereby
2 certify that the provisions of this section have been complied with
3 in proper order, for the bond issue mentioned above.

4 F. All obligations except refunding or defeasance obligations
5 proposed to be issued by an authorized issuer pursuant to the
6 Oklahoma Higher Education Promise of Excellence Act of 2005 shall be
7 subject to final approval by the Legislature as provided by this
8 subsection. The authorized issuer shall communicate the proposed
9 projects and the terms of the financing to the Governor, the Speaker
10 of the House of Representatives, and the President Pro Tempore of
11 the Senate prior to the time any such obligations are sold. The
12 communication required by this subsection shall be made not later
13 than April 1 each year. The communication to such elected officials
14 shall occur upon the same date for purposes of computing the time
15 within which action ~~must~~ shall be taken as further prescribed by
16 this subsection. The Legislature shall have a period of forty-five
17 calendar days from the date as of which the information is
18 communicated to the presiding officers of both chambers in order to
19 pass a Concurrent Resolution disapproving the proposed issuance. If
20 the Concurrent Resolution has not received a majority of votes of
21 those elected to and constituting both the House of Representatives
22 and the Senate by the end of the forty-fifth day following the date
23 upon which the proposed issuance is communicated to the presiding
24

1 officers of both chambers, the proposed issuance shall be deemed to
2 have been approved by the Legislature.

3 G. With the approval of the Oklahoma State Regents for Higher
4 Education, the total revenues described by subsection B and
5 subsection C of this section may be pledged to the repayment of
6 obligations issued by either the Board of Regents of the University
7 of Oklahoma or obligations issued by the Board of Regents for the
8 Oklahoma Agricultural and Mechanical Colleges in order to obtain the
9 highest possible credit rating. If the Board of Regents of the
10 University of Oklahoma and the Board of Regents for the Oklahoma
11 Agricultural and Mechanical Colleges agree to the use of the total
12 revenues available to each such Board of Regents pursuant to this
13 subsection for a project that benefits either the University of
14 Oklahoma or Oklahoma State University or both such comprehensive
15 universities, there shall be an agreement executed by both such
16 Boards of Regents describing the project, the principal amount of
17 the indebtedness, the terms of the financing, and such other matters
18 as the two Boards of Regents may mutually agree. Such agreement
19 shall be executed prior to the sale of any obligations by either
20 Board of Regents with respect to the proposed project or projects.
21 The agreement shall provide for one or the other Board of Regents to
22 be the authorized issuer with respect to the project or projects.
23 The agreement shall also provide for the ownership or control of any
24 real or personal property to be improved or acquired with the

1 proceeds from the sale of any such obligations including any
2 requirements for the transfer of real or personal property from one
3 comprehensive university to the other comprehensive university if
4 such transfer is required in order to promote or ensure the
5 marketability of any obligations sold by either Board of Regents.

6 H. The Oklahoma State Regents for Higher Education may pledge
7 all lawfully available revenues, other than revenues appropriated by
8 the Legislature from tax receipts, but inclusive of revenues derived
9 from the Oklahoma Education Lottery Act, and other than the revenues
10 described by subsection B, C, or D of this section, to the repayment
11 of obligations issued by the State Regents.

12 I. The authorized issuers shall be subject to the following
13 restrictions governing the issuance of the obligations authorized by
14 the Oklahoma Higher Education Promise of Excellence Act of 2005:

15 1. Obligations used to pay for the following assets shall be
16 repaid in a period not to exceed five (5) years:

- 17 a. computers,
- 18 b. portable telecommunications equipment costing less
19 than Fifty Thousand Dollars (\$50,000.00),
- 20 c. motor vehicles, and
- 21 d. any other item of tangible personal property with an
22 original useful life of six (6) years or less;

23 2. Obligations used to pay for the following assets shall be
24 repaid in a period not to exceed ten (10) years:

- 1 a. equipment with an original cost of less than One
2 Hundred Thousand Dollars (\$100,000.00) per item, and
3 b. renovation of existing structures, unless the cost of
4 the renovation exceeds the fair market value of the
5 existing structure or unless the improvement extends
6 the useful life of the existing structure, but in no
7 case shall the maturity period exceed the period by
8 which the life of the existing structure is extended;
9 and

10 3. Obligations used to pay for all other assets shall be repaid
11 in a period not to exceed thirty (30) years and in no case shall the
12 latest maturity date of an obligation exceed the expected useful
13 life of the asset.

14 SECTION 291. AMENDATORY 70 O.S. 2021, Section 4705, is
15 amended to read as follows:

16 Section 4705. The State Regents for Higher Education are hereby
17 authorized to study developing a program to create at least one
18 trust fund whereby Oklahoma residents will be able to pre-pay all or
19 part of enrollment fees or tuition to any Oklahoma institution of
20 higher education recognized by the Oklahoma State Regents for Higher
21 Education. This program shall require that monies paid in shall be
22 held in trust and used to pay all or part of the enrollment fees for
23 the beneficiaries designated by the contributor to the trust. The
24 program shall allow payments to be made either in a lump sum or in

1 installments, with the amounts of money due being determined based
2 on the age of the beneficiary. The program shall require the
3 Oklahoma State Regents for Higher Education to, utilizing the
4 centralized filing system provided for in Section 378 of this act,
5 electronically file a report with the Speaker of the House of
6 Representatives and the President Pro Tempore of the Senate prior to
7 January 31 of each year, detailing the activity of the trust in the
8 previous year. The Oklahoma State Regents for Higher Education are
9 authorized to model the ~~plan~~ plan on the Michigan education trust
10 act. The Regents shall, prior to January 31, 1988, file a report
11 with the Speaker of the House of Representatives and the President
12 Pro Tempore of the Senate, outlining the program.

13 SECTION 292. AMENDATORY 71 O.S. 2021, Section 1-601, as
14 last amended by Section 1, Chapter 225, O.S.L. 2023 (71 O.S. Supp.
15 2025, Section 1-601), is amended to read as follows:

16 Section 1-601. A. The Administrator shall administer the
17 Oklahoma Uniform Securities Act of 2004.

18 B. There are hereby created the Oklahoma Securities Commission
19 and the Department of Securities. The Commission shall be the
20 policy making and governing authority of the Department, shall
21 appoint the Administrator and shall be responsible for the
22 enforcement of the Oklahoma Uniform Securities Act of 2004.

23 C. 1. The Commission shall consist of five (5) members,
24 including the State Banking Commissioner who shall serve as an ex

1 officio voting member. Four (4) members shall be appointed by the
2 Governor by and with the advice and consent of the Senate. One
3 member will be a member of the Oklahoma Bar Association appointed
4 from a list of five nominees submitted by the Oklahoma Bar
5 Association; one member shall be an active officer of a bank or
6 trust company operating in the State of Oklahoma appointed from a
7 list of five nominees submitted by the Oklahoma Bankers Association;
8 and one member shall be a certified public accountant appointed from
9 a list of five nominees submitted by the Oklahoma Society of
10 Certified Public Accountants; and one member shall be a resident of
11 this state actively engaged in the securities industry with the
12 qualifications set forth in paragraph 3 of this subsection.

13 2. Except for appointment of the member engaged in the
14 securities industry as provided for in subsection C of this section,
15 no person may be appointed to or by the Commission while such person
16 is registered as a broker-dealer, agent, investment adviser, or
17 investment adviser representative under the Oklahoma Uniform
18 Securities Act of 2004, or while he or she is an officer, director,
19 or partner of any person so registered, or while he or she is an
20 officer, director, or partner of an issuer which has a registration
21 statement effective under the Oklahoma Uniform Securities Act of
22 2004, or while he or she is occupying a similar status or performing
23 similar functions.

24

1 3. The member appointed as a representative of the securities
2 industry shall:

- 3 a. be currently registered as an agent, investment
4 adviser, or investment adviser representative under
5 the requirements of this title,
- 6 b. have at least ten (10) years of experience in the
7 industry immediately preceding appointment, and
- 8 c. have not been subject to a regulatory action requiring
9 disclosure on the uniform applications for
10 registration for agents, investment advisers, or
11 investment adviser representatives.

12 The member may be removed from office by the Governor when the
13 member has ceased to be qualified based on subparagraph a or c of
14 this paragraph.

15 4. It is unlawful for any member of the Commission, the
16 Administrator, or any other officer or employee of the Department to
17 use for personal benefit any information which is filed with or
18 obtained by the Administrator and which is not made public. No
19 provision of the Oklahoma Uniform Securities Act of 2004 authorizes
20 any member of the Commission, the Administrator or any other officer
21 or employee of the Department to disclose any such information
22 except among themselves or when necessary or appropriate in a
23 proceeding or investigation under the Oklahoma Uniform Securities
24 Act of 2004 or in connection with a proceeding or investigation

1 conducted by any state, federal or foreign law enforcement agency,
2 securities agency, or self-regulatory organization. No provision of
3 the Oklahoma Uniform Securities Act of 2004 either creates or
4 derogates from any privilege which exists at common law or otherwise
5 when documentary or other evidence is sought under a subpoena
6 directed to any member of the Commission, the Administrator, or any
7 other officer or employee of the Department.

8 5. Except on proof of corruption, no Commissioner shall for his
9 or her acts or failure to act be civilly liable to any investor,
10 applicant for registration, or any other person.

11 D. The Governor shall biennially appoint Commission members to
12 serve for a staggered term of six (6) years. Upon the expiration of
13 initial terms, the term of each member shall be six (6) years from
14 the date of his or her appointment and qualification, and until his
15 or her successor shall qualify. Vacancies shall be filled by the
16 Governor for the unexpired term. Members shall be eligible for
17 reappointment.

18 E. The Commission shall select a chair and is hereby authorized
19 to adopt rules for conducting its proceedings. Any three members
20 shall constitute a quorum for transacting Commission business. The
21 Commission shall meet bimonthly on such date as it may designate and
22 may meet at such other times as it may deem necessary, or when
23 called by the chair or by any two members. Complete minutes of each
24 meeting shall be kept and filed in the Department and shall be

1 available for public inspection during reasonable office hours. The
2 Commission shall, utilizing the centralized filing system provided
3 for in Section 378 of this act, electronically report annually to
4 the Governor, to the Speaker of the House of Representatives, and to
5 the President Pro Tempore of the Senate. The report shall contain
6 the minutes of each meeting held during the year, legislative
7 recommendations, a summary of violations of the Oklahoma Uniform
8 Securities Act of 2004 and action taken thereon, a list of
9 securities registered under the Oklahoma Uniform Securities Act of
10 2004 and such other data and information as may be deemed necessary
11 or appropriate. The Commission is hereby authorized to publish such
12 report, and the Administrator may sell copies of such report at such
13 price as is reasonably sufficient to defray the expenses of the
14 Department in preparing, publishing, and disseminating the same.
15 Each member of the Commission shall have unrestricted access to all
16 offices and records under the jurisdiction of the Department. The
17 Commission, or a majority thereof, may exercise any power or perform
18 any act authorized for the Administrator under the provisions of the
19 Oklahoma Uniform Securities Act of 2004.

20 F. The Commission shall appoint a full-time Administrator, who
21 shall serve at the pleasure of the Commission. The Administrator
22 shall administer the Oklahoma Uniform Securities Act of 2004 under
23 the supervision of the Commission and in accordance with its
24 policies.

1 G. The Administrator shall be a person of good moral character,
2 at least thirty (30) years of age, a resident taxpayer of Oklahoma,
3 and thoroughly familiar with corporate organization, investment
4 banking, investment trusts, the sale of securities, and the
5 statistical details of the manufacturing industries and commerce of
6 this state. In addition, the Administrator shall:

7 1. Be a graduate of an accredited law school and a member of
8 the Oklahoma Bar Association, or shall have had ten (10) years'
9 experience as a certified public accountant; and

10 2. Have at least three (3) years' work experience involving
11 some aspect of the securities industry. The Commission may also
12 require additional qualifications. The salary of the Administrator
13 shall be fixed by the Commission.

14 H. The Administrator, with the approval of the Commission, may
15 designate a Deputy Securities Administrator, who shall possess the
16 same qualifications, including bond, required for the Administrator
17 and who shall perform all the duties required to be performed by the
18 Administrator when the Administrator is absent or unable to act for
19 any reason.

20 I. Before assuming office, the Administrator shall give a bond
21 in the sum of Fifty Thousand Dollars (\$50,000.00) payable to the
22 State of Oklahoma, to be approved by the Attorney General of the
23 State of Oklahoma, conditioned that he or she will faithfully
24 execute the duties of the office. The Administrator may by rule or

1 order require any employee of the Department to be bonded on the
2 same condition and in the same or such lesser amount as he or she
3 determines. The expense of all such bonds shall be paid from funds
4 available to the Department.

5 J. 1. The internal administrative organization of the
6 Department shall be determined by the Commission in such manner as
7 to promote the efficient and effective enforcement of the Oklahoma
8 Uniform Securities Act of 2004. The Department shall include, but
9 not be limited to, divisions relating to:

- 10 a. registration of broker-dealers, agents, investment
- 11 advisers, and investment adviser representatives,
- 12 b. registration of securities,
- 13 c. investigation and enforcement, and
- 14 d. investor education.

15 2. Within the division of investor education, the Department
16 may provide the following services at the discretion of the
17 Administrator:

- 18 a. informing investors of all rights and remedies
- 19 available under this act,
- 20 b. informing investors of the availability of private
- 21 dispute resolution, including arbitration and
- 22 mediation, as an alternative to other courses of
- 23 action,
- 24

- 1 c. acting as a liaison between investors and the other
2 divisions of the Department, and
- 3 d. acting as a liaison between investors and issuers of
4 securities, broker-dealers or investment advisers
5 subject to the jurisdiction of the Department under
6 this act.

7 Nothing in this subsection shall authorize any employee of the
8 Department to represent the interests of, or to serve as counsel
9 for, investors in any proceeding or action to include an
10 administrative or civil proceeding brought by the Department or the
11 Securities and Exchange Commission, a proceeding brought by the
12 Financial Industry Regulatory Authority, Inc., or an arbitration or
13 mediation proceeding. Further, no employee of the Department may
14 advise any person about the value of securities or as to the
15 advisability of investing in, purchasing or selling securities, or
16 as to the value or merits of pursuing a particular course of action.

17 3. Records of the division of investor education shall not be
18 exempt from the provisions of the Open Records Act and Section 1-607
19 of this title except as provided for in subparagraph 8 of paragraph
20 B of Section 1-607 of this title.

21 K. The Administrator shall prepare in writing a manual of
22 necessary employee positions for the Department, including job
23 classifications, personnel qualifications, duties, maximum and
24 minimum salary schedules, and other personnel information, which

1 shall be approved by the Commission. The Administrator may select,
2 appoint, and employ such attorneys, accountants, auditors,
3 examiners, investigators, clerks, and other personnel as he or she
4 deems necessary for the proper administration of the Oklahoma
5 Uniform Securities Act of 2004, and may fix their compensation and
6 the salary of the Deputy Administrator. The Deputy Administrator
7 and other employees of the Department shall serve at the pleasure of
8 the Administrator.

9 L. The Commission and the Securities Department shall be
10 assigned offices in Oklahoma City, Oklahoma, by the Office of
11 Management and Enterprise Services, and all records of the
12 Commission and Department shall be kept in those offices, unless and
13 until transferred to the Records Management Division of the Oklahoma
14 Department of Libraries.

15 M. 1. Neither the Administrator nor any employee of the
16 Department, during their respective terms of employment, shall serve
17 as a director, officer, shareholder, member, partner, agent, or
18 employee of any person who, during the period of such
19 Administrator's or employee's employment with the Department:

- 20 a. was licensed or applied for registration as a broker-
21 dealer, agent, investment adviser, or investment
22 adviser representative under this act, or
23 b. applied for or secured the registration of securities
24 under the Oklahoma Uniform Securities Act of 2004.

1 2. Nothing in paragraph 1 of this subsection shall prohibit the
2 holding, purchasing, or selling of any securities by the
3 Administrator or any employee of the Department in accordance with
4 regulations adopted by the Commission for the purpose of protecting
5 the public interest and avoiding conflicts of interest.

6 3. Nothing contained in paragraph 1 of this subsection shall
7 prohibit the holding, purchasing, or selling of any securities of
8 any issuer described in subparagraph b of paragraph 1 of this
9 subsection of this section by the Administrator if either:

10 a. the Administrator together with his or her spouse, or
11 minor children, owns less than one percent (1%) of any
12 class of outstanding securities of any such issuer so
13 long as such securities are not purchased in an
14 initial public offering, or

15 b. such securities are held or purchased through a
16 management account or trust administered by a bank or
17 trust company authorized to do business in this state
18 that has sole investment discretion regarding the
19 holding, purchasing or selling of such securities and
20 the Administrator or employee did not, directly or
21 indirectly, advise, counsel, or command the holding,
22 purchasing or selling of any securities or furnish any
23 information relating to any such securities to such
24 bank or trust company and further, such account or

1 trust does not at any time have more than ten percent
2 (10%) of its total assets invested in the securities
3 of any one issuer or hold more than five percent (5%)
4 of the outstanding securities of any class of
5 securities of any one issuer.

6 N. The Oklahoma Uniform Securities Act of 2004 does not create
7 or diminish a privilege or exemption that exists at common law, by
8 statute or rule, or otherwise.

9 O. The Administrator may develop and implement investor
10 education initiatives to inform the public about investing in
11 securities, with particular emphasis on the prevention and detection
12 of securities fraud. In developing and implementing these
13 initiatives, the Administrator may collaborate with public and
14 nonprofit organizations with an interest in investor education. The
15 Administrator may accept a grant or donation from a person that is
16 not affiliated with the securities industry or from a nonprofit
17 organization, regardless of whether the organization is affiliated
18 with the securities industry, to develop and implement investor
19 education initiatives. This subsection does not authorize the
20 Administrator to require participation or monetary contributions of
21 a registrant in an investor education program.

22 SECTION 293. AMENDATORY 73 O.S. 2021, Section 179, is
23 amended to read as follows:
24

1 Section 179. A. There is hereby created in the State Treasury
2 a revolving fund for the Oklahoma Tourism and Recreation Department,
3 to be designated the "1995 Tourism Bond Revolving Fund". The fund
4 shall be a continuing fund, not subject to fiscal year limitations,
5 and shall consist of all revenues generated pursuant to the
6 provisions of Section 178 of this title, which are not otherwise
7 committed for other lawful purposes. All monies accruing to the
8 credit of the fund are hereby appropriated and may be budgeted and
9 expended by the Oklahoma Tourism and Recreation Department for
10 purposes of retiring the debt created pursuant to Section 178 of
11 this title. Expenditures from the fund shall be made upon warrants
12 issued by the State Treasurer against claims filed as prescribed by
13 law with the Director of the Office of Management and Enterprise
14 Services for approval and payment.

15 B. Any revenues generated pursuant to Section 178 of this
16 title, and not expended for purposes of meeting the requirements of
17 subsection A of this section, may be expended for paying the
18 operations and maintenance expenses for facilities created pursuant
19 to Section 178 of this title.

20 C. The Oklahoma Tourism and Recreation Department shall,
21 utilizing the centralized filing system provided for in Section 378
22 of this act, electronically submit an annual report to the President
23 Pro Tempore of the Senate, the Speaker of the House of
24 Representatives, and the Governor detailing the revenues generated

1 and detailing the operating and maintenance expenses in the previous
2 fiscal year which are attributable to the repairs, refurbishments
3 and improvements to Oklahoma Tourism and Recreation Department
4 properties pursuant to Section 178 of this title. Such report shall
5 be submitted before August 1 of each year.

6 SECTION 294. AMENDATORY Section 2, Chapter 1, 1st
7 Extraordinary Session, O.S.L. 2023, as amended by Section 1, Chapter
8 393, O.S.L. 2024 (73 O.S. Supp. 2025, Section 187B), is amended to
9 read as follows:

10 Section 187B. A. There is hereby created in the State Treasury
11 a revolving fund for the Oklahoma Capitol Improvement Authority to
12 be designated the "Legacy Capital Financing Fund". The fund shall
13 be a continuing fund, not subject to fiscal year limitations, and
14 shall consist of all monies received by the Oklahoma Capitol
15 Improvement Authority eligible under law and directed for deposit.
16 All monies accruing to the credit of ~~said~~ such fund are hereby
17 appropriated and may be budgeted and expended by the Oklahoma
18 Capitol Improvement Authority for capital projects specifically and
19 exclusively as authorized by law. Such budgeting and expenditure
20 shall strictly adhere to the specific terms, limitations, purposes,
21 and requirements described in such authorizations and in this act.
22 Expenditures from said fund shall be made upon warrants issued by
23 the State Treasurer against claims filed as prescribed by law with
24

1 the Director of the Office of Management and Enterprise Services for
2 approval and payment.

3 B. 1. The Oklahoma Capitol Improvement Authority shall be
4 authorized to enter into memoranda of understanding with agencies,
5 departments, and subdivisions of the state as provided by law and as
6 deemed necessary by the Authority to administer expenditures from
7 and deposits to the Legacy Capital Financing Fund; provided that
8 such memoranda of understanding do not conflict with or impede the
9 administration of capital projects specifically authorized by law.
10 Such memoranda of understanding shall not constitute a legal
11 obligation of the State of Oklahoma.

12 2. a. Unless specified otherwise in the applicable
13 authorizing legislation, all distributions from the
14 Legacy Capital Financing Fund shall be returned to the
15 Fund over a twenty-year period. Such distributions
16 shall be returned in the form of LCF Recapitalization
17 Payments as provided in subparagraph b of this
18 paragraph.

19 b. The annual LCF Recapitalization Payment required of
20 entities in receipt of Legacy Capital Financing Fund
21 distributions shall be equal to one-twentieth (1/20)
22 of the amount distributed to the entity. Such payment
23 shall be collected by the Oklahoma Capitol Improvement
24 Authority in equal monthly installments and deposited

1 to the Legacy Capital Financing Fund; provided, that
2 in the year of initial distribution no monthly payment
3 shall be made until the second month after such
4 distribution. Upon such second month, all monthly
5 payments for such state fiscal year up to that point
6 shall become payable.

7 c. (1) By authorizing distributions from the Legacy
8 Capital Financing Fund and making recipients of
9 such funds responsible for LCF Recapitalization
10 Payments, the Legislature voluntarily subjects
11 itself to the moral obligation that the
12 Legislature shall appropriate to recipient state
13 agencies, otherwise receiving legislative
14 appropriations, the first annual required LCF
15 Recapitalization Payment for the state fiscal
16 year for which the distribution was authorized,
17 and that such appropriated amount shall remain in
18 the agency's appropriation base for the duration
19 of the LCF Recapitalization period for such
20 project.

21 (2) The Legislature, as it deems necessary for the
22 best interests of the state, may suspend or
23 restructure for a period of time such LCF
24

1 Recapitalization Payments through the adoption of
2 a concurrent resolution.

3 C. Limited to the extent required for projects specifically
4 authorized through the Legacy Capital Financing Act, the Oklahoma
5 Capitol Improvement Authority shall be authorized to:

6 1. Acquire real property together with improvements located
7 thereon and personal property;

8 2. Provide for the construction of improvements to real
9 property and to provide funding for repairs, refurbishments, and
10 improvements to real and personal property;

11 3. Hold title to property and improvements as necessary to
12 comply with legal directives and authorizations; and

13 4. Lease, transfer, and otherwise legally dispose of property
14 and improvements as necessary to comply with legal directives and
15 authorizations.

16 D. No later than January 15 annually, the Oklahoma Capitol
17 Improvement Authority shall, utilizing the centralized filing system
18 provided for in Section 378 of this act, submit electronically to
19 the Governor, the Speaker of the Oklahoma House of Representatives,
20 the President Pro Tempore of the Oklahoma State Senate, the
21 Appropriations and Budget Chair of the Oklahoma House of
22 Representatives, and the Appropriations Chair of the Oklahoma State
23 Senate a report detailing impacts to the balance of the Legacy
24 Capital Financing Fund occurring in the prior calendar year,

1 including, but not limited to, all distributions, expenditures,
2 collections, deposits and investment returns of the Legacy Capital
3 Financing Fund.

4 E. Notwithstanding any provision of law to the contrary, all
5 interest and income derived from deposits to the Legacy Capital
6 Financing Fund shall be credited to the Legacy Capital Financing
7 Fund.

8 SECTION 295. AMENDATORY Section 3, Chapter 441, O.S.L.
9 2024, as amended by Section 2, Chapter 439, O.S.L. 2025 (73 O.S.
10 Supp. 2025, Section 188A), is amended to read as follows:

11 Section 188A. A. The Long-Range Capital Planning Commission
12 shall develop plans and adopt authorizations directing the Oklahoma
13 Capitol Improvement Authority on the utilization of Oklahoma Capital
14 Assets Maintenance and Protection Fund monies.

15 B. 1. The Commission shall develop and adopt the following
16 five-year plans to provide for allocations and expenditures of the
17 Oklahoma Capital Assets Maintenance and Protection Fund as follows:

18 a. the OCAMP Higher Education Five-year Plan, for the
19 maintaining and repairing of state-owned properties
20 and buildings of public institutions of higher
21 learning,

22 b. the OCAMP Tourism and Recreation Five-year Plan, for
23 the maintaining and repairing of properties and
24

1 buildings of state parks operated by the Oklahoma
2 Tourism and Recreation Department, and

3 c. the OCAMP State Five-year Plan, for the maintaining
4 and repairing of all state-owned properties and
5 buildings.

6 2. For fiscal year 2026, the Commission shall allocate Oklahoma
7 Capital Assets Maintenance and Protection Fund monies to such five-
8 year plans in the following proportions:

9 a. the OCAMP Higher Education Five-year Plan shall be
10 allocated forty-five percent (45%) of such monies for
11 the following:

12 (1) twenty percent (20%) of those monies allocated
13 shall be for four-year colleges and universities
14 receiving a Research Colleges and Universities
15 designation from the Carnegie Classification of
16 Institutions of Higher Education to be further
17 allocated as follows:

18 (a) fifty percent (50%) for those colleges and
19 universities defined as a historically black
20 college or university pursuant to the
21 federal Higher Education Act of 1965, as
22 amended, and
23
24

(b) fifty percent (50%) of those monies
allocated shall be for other colleges and
universities,

(2) thirty-five percent (35%) of those monies
allocated shall be for two-year institutions of
higher education within The Oklahoma State System
of Higher Education, and

(3) forty-five percent (45%) of those monies
allocated shall be for all 4-year colleges and
universities except the University of Oklahoma
located in Norman, Oklahoma, and Oklahoma State
University located in Stillwater, Oklahoma,

b. the OCAMP Tourism and Recreation Five-year Plan shall
be allocated ten percent (10%) of such monies, and

c. the OCAMP State Five-year Plan shall be allocated
forty-five percent (45%) of such monies.

C. The Commission shall update each five-year plan no less
often than biennially. Upon the adoption of such plans and upon
each update to such plans, a report detailing such plans shall be
submitted by electronic means to the Governor, the President Pro
Tempore of the Senate, and the Speaker of the House of
Representatives utilizing the centralized filing system provided for
in Section 378 of this act.

1 D. The Office of Management and Enterprise Services, with the
2 advice and assistance of the Oklahoma Capitol Improvement Authority,
3 shall provide staffing for the Commission and other such assistance
4 as the Commission may require.

5 E. The Commission may direct the Oklahoma Capitol Improvement
6 Authority to allocate, budget, and expend, either directly or under
7 the terms of memoranda of understanding lawfully entered into with
8 other state entities, monies from the Oklahoma Capital Assets
9 Maintenance and Protection Fund on any project or item that has been
10 included in an applicable five-year plan authorized under the
11 provisions of the Oklahoma Capital Assets Maintenance and Protection
12 Act for no less than one (1) year.

13 SECTION 296. AMENDATORY Section 2, Chapter 441, O.S.L.
14 2024, as amended by Section 3, Chapter 439, O.S.L. 2025 (73 O.S.
15 Supp. 2025, Section 188B), is amended to read as follows:

16 Section 188B. A. There is hereby created in the State Treasury
17 a revolving fund for the Oklahoma Capitol Improvement Authority to
18 be designated the "Oklahoma Capital Assets Maintenance and
19 Protection Fund" (OCAMP Fund). The fund shall be a continuing fund,
20 not subject to fiscal year limitations, and shall consist of all
21 monies received by the Oklahoma Capitol Improvement Authority
22 eligible under law and directed for deposit to the fund. All monies
23 accruing to the credit of the fund are hereby appropriated and,
24 except for the transfer required pursuant to Enrolled Senate Bill

1 No. 1125 of the 2nd Session of the 59th Oklahoma Legislature, may be
2 allocated, budgeted, and expended by the Oklahoma Capitol
3 Improvement Authority as directed by the Long-Range Capital Planning
4 Commission. Such allocations, budgeting, and expenditures shall
5 strictly adhere to the specific terms, limitations, purposes, and
6 requirements described in the directive adopted by the Commission.
7 Expenditures from the fund shall be made upon warrants issued by the
8 State Treasurer against claims filed as prescribed by law with the
9 Director of the Office of Management and Enterprise Services for
10 approval and payment.

11 B. The Oklahoma Capitol Improvement Authority shall be
12 authorized to enter into memoranda of understanding with agencies,
13 departments, and subdivisions of the state as provided by law and as
14 deemed necessary by the Authority to administer expenditures from
15 and allocations and deposits to and from the Oklahoma Capital Assets
16 Maintenance and Protection Fund, provided that such memoranda of
17 understanding do not conflict with or impede the administration of
18 capital projects specifically authorized by law or directed by the
19 Commission. Such memoranda of understanding shall not constitute a
20 legal obligation of this state.

21 C. Limited to the extent required for projects specifically
22 authorized under the provisions of the Oklahoma Capital Assets
23 Maintenance and Protection Act, the Oklahoma Capitol Improvement
24 Authority shall be authorized to:

1 1. Acquire real property together with improvements located
2 thereon and personal property;

3 2. Provide for the construction of improvements to real
4 property and to provide funding for repairs, refurbishments,
5 deferred maintenance, and improvements to real and personal
6 property;

7 3. Hold title to property and improvements as necessary to
8 comply with legal directives and authorizations; and

9 4. Lease, transfer, and otherwise legally dispose of property
10 and improvements as necessary to comply with legal directives and
11 authorizations.

12 D. No later than January 15 annually, the Oklahoma Capitol
13 Improvement Authority shall, utilizing the centralized filing system
14 provided for in Section 378 of this act, submit electronically to
15 the Governor, the President Pro Tempore of the Senate, the Speaker
16 of the House of Representatives, the Chair of the Appropriations
17 Committee of the Senate, and the Chair of the Appropriations and
18 Budget Committee of the House of Representatives a report detailing
19 impacts to the balance of the Oklahoma Capital Assets Maintenance
20 and Protection Fund occurring in the prior calendar year, including,
21 but not limited to, all distributions, expenditures, collections,
22 and deposits of the Oklahoma Capital Assets Maintenance and
23 Protection Fund.
24

SECTION 297. AMENDATORY 74 O.S. 2021, Section 18b, as last amended by Section 2, Chapter 335, O.S.L. 2025 (74 O.S. Supp. 2025, Section 18b), is amended to read as follows:

Section 18b. A. The duties of the Attorney General as the chief law officer of the state shall be:

1. To appear for the state and prosecute and defend all actions and proceedings, civil or criminal, in the Supreme Court and Court of Criminal Appeals in which the state is interested as a party;

2. To appear for the state and prosecute and defend all actions and proceedings in any of the federal courts in which the state is interested as a party;

3. To initiate or appear in any action in which the interests of the state or the people of the state are at issue, or to appear at the request of the Governor, the Legislature, or either branch thereof, and prosecute and defend in any court or before any commission, board, or officers any cause or proceeding, civil or criminal, in which the state may be a party or interested; and when so appearing in any such cause or proceeding, the Attorney General may, if the Attorney General deems it advisable and to the best interest of the state, take and assume control of the prosecution or defense of the state's interest therein;

4. To consult with and advise district attorneys, when requested by them, in all matters pertaining to the duties of their offices, when the district attorneys shall furnish the Attorney

1 General with a written opinion supported by citation of authorities
2 upon the matter submitted;

3 5. To give an opinion in writing upon all questions of law
4 submitted to the Attorney General by the Legislature or either
5 branch thereof, or by any state officer, board, commission or
6 department, provided, that the Attorney General shall not furnish
7 opinions to any but district attorneys, the Legislature or either
8 branch thereof, or any other state official, board, commission, or
9 department, and to them only upon matters in which they are
10 officially interested;

11 6. At the request of the Governor, State Auditor and Inspector,
12 State Treasurer, or either branch of the Legislature, to prosecute
13 any official bond or any contract in which the state is interested,
14 upon a breach thereof, and to prosecute or defend for the state all
15 actions, civil or criminal, relating to any matter connected with
16 either of their Departments;

17 7. Whenever requested by any state officer, board or
18 commission, to prepare proper drafts for contracts, forms and other
19 writing which may be wanted for the use of the state;

20 8. To prepare drafts of bills and resolutions for individual
21 members of the Legislature upon their written request stating the
22 gist of the bill or resolution desired;

23

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1 9. To enforce the proper application of monies appropriated by
2 the Legislature and to prosecute breaches of trust in the
3 administration of such funds;

4 10. To institute actions to recover state monies illegally
5 expended, to recover state property and to prevent the illegal use
6 of any state property, upon the request of the Governor or the
7 Legislature;

8 11. To pay into the State Treasury, immediately upon its
9 receipt, all monies received by the Attorney General belonging to
10 the state;

11 12. To settle, compromise and dispose of an action in which the
12 Attorney General represents the interests of the state, so long as
13 the consideration negotiated for such settlement, compromise or
14 disposition is payable to the state or one of its agencies which is
15 a named party of the action and any monies, any property or other
16 item of value is paid first to the State Treasury;

17 13. To keep and file copies of all opinions, contracts, forms,
18 and letters of the office, and to keep an index of all opinions,
19 contracts, and forms according to subject and section of the law
20 construed or applied;

21 14. To keep a register or docket of all actions, demands and
22 investigations prosecuted, defended, or conducted by the Attorney
23 General in behalf of the state. The register or docket shall give
24 the style of the case or investigation, where pending, court number,

1 office number, the gist of the matter, result, and the names of the
2 assistants who handled the matter;

3 15. To keep a complete office file of all cases and
4 investigations handled by the Attorney General on behalf of the
5 state;

6 16. To, utilizing the centralized filing system provided for in
7 Section 378 of this act, electronically report to the Legislature or
8 either branch thereof whenever requested upon any business relating
9 to the duties of the Attorney General's office;

10 17. To institute civil actions against members of any state
11 board or commission for failure of such members to perform their
12 duties as prescribed by the statutes and the Constitution and to
13 prosecute members of any state board or commission for violation of
14 the criminal laws of this state where such violations have occurred
15 in connection with the performance of such members' official duties;

16 18. To respond to any request for an opinion of the Attorney
17 General's office, submitted by a member of the Legislature,
18 regardless of subject matter, by written opinion determinative of
19 the law regarding such subject matter;

20 19. To convene multicounty grand juries in such manner and for
21 such purposes as provided by law; provided, such grand juries are
22 composed of citizens from each of the counties on a pro rata basis
23 by county;

24

1 20. To investigate any report by the State Auditor and
2 Inspector filed with the Attorney General pursuant to Section 223 of
3 this title and prosecute all actions, civil or criminal, relating to
4 such reports or any irregularities or derelictions in the management
5 of public funds or property which are violations of the laws of this
6 state;

7 21. To represent and protect the collective interests of all
8 utility consumers of this state in rate-related proceedings before
9 the Corporation Commission or in any other state or federal judicial
10 or administrative proceeding;

11 22. To represent and protect the collective interests of
12 insurance consumers of this state in rate-related proceedings before
13 the Insurance Commissioner or in any other state or federal judicial
14 or administrative proceeding;

15 23. To investigate and prosecute any criminal action relating
16 to insurance fraud, if in the opinion of the Attorney General a
17 criminal prosecution is warranted, or to refer such matters to the
18 appropriate district attorney;

19 24. To monitor and evaluate any action by the federal
20 government including, but not limited to, executive orders by the
21 President of the United States, rules or regulations promulgated by
22 an agency of the federal government or acts of Congress to determine
23 if such actions are in violation of the Tenth Amendment to the
24 Constitution of the United States;

1 25. To cross-deputize police officers of the police department
2 of any municipality or any officer deputized by the county sheriff
3 or a designee subject to an interlocal governmental agreement with
4 the Attorney General's Office in an effort to combine city, county,
5 and state law enforcement efforts and to encourage cooperation
6 between city, county, and state law enforcement officials.
7 Liability for the conduct of any municipal police officer cross-
8 deputized under the terms and conditions of an interlocal
9 governmental agreement or any officer deputized by the county
10 sheriff under the terms and conditions of an interlocal governmental
11 agreement shall remain the responsibility of the respective employer
12 for that officer;

13 26. To maintain data related to human trafficking and to assist
14 law enforcement, social service agencies, and victim services
15 programs in identifying and supporting victims of human trafficking;
16 and

17 27. To investigate and prosecute any civil or criminal action
18 relating to violations of the Oklahoma Open Records Act, Section
19 24A.1 et seq. of Title 51 of the Oklahoma Statutes, or the Oklahoma
20 Open Meeting Act, Section 301 et seq. of Title 25 of the Oklahoma
21 Statutes, if the Attorney General determines that a civil or
22 criminal prosecution is warranted or to defer such matters to a
23 district attorney.
24

1 B. Nothing in this section shall be construed as requiring the
2 Attorney General to appear and defend or prosecute in any court any
3 cause or proceeding for or on behalf of the Oklahoma Tax Commission,
4 the Board of Managers of the State Insurance Fund, or the
5 Commissioners of the Land Office.

6 C. In all appeals from the Corporation Commission to the
7 Supreme Court of Oklahoma in which the state is a party, the
8 Attorney General shall have the right to designate counsel of the
9 Corporation Commission as the Attorney General's legally appointed
10 representative in such appeals, and it shall be the duty of the
11 Corporation Commission counsel to act when so designated and to
12 consult and advise with the Attorney General regarding such appeals
13 prior to taking action therein.

14 SECTION 298. AMENDATORY 74 O.S. 2021, Section 20i, as
15 last amended by Section 1, Chapter 212, O.S.L. 2024 (74 O.S. Supp.
16 2025, Section 20i), is amended to read as follows:

17 Section 20i. A. An agency or official of the executive branch
18 may obtain legal representation by one or more attorneys by means of
19 one of the following:

20 1. Employing an attorney as such if otherwise authorized by
21 law;

22 2. Contracting with the Office of the Attorney General; or

23 3. If the Attorney General is unable to represent the agency,
24 or official due to a conflict of interest, or the Office of the

1 Attorney General is unable or lacks the personnel or expertise to
2 provide the specific representation required by such agency or
3 official, contracting with a private attorney or attorneys pursuant
4 to this section.

5 B. When entering into a contract for legal representation by
6 one or more private attorneys or law firms, an agency or official of
7 the executive branch shall select an attorney or attorneys or a law
8 firm or law firms from a list of attorneys and firms maintained by
9 the Attorney General. An agency may contract for legal
10 representation with one or more attorneys who are not on the list
11 only when there is no attorney or firm on the list capable of
12 providing the specific representation and only with the approval of
13 the Attorney General. The list shall include any attorney or firm
14 who desires to furnish services to an agency or official of the
15 executive branch and who has filed a schedule of fees for services
16 with and on a form approved by the Attorney General. The list of
17 attorneys and firms desiring to furnish services and a schedule of
18 fees for each attorney and firm shall be maintained and made
19 available to the public.

20 C. An agency or official may agree to deviate from the schedule
21 of fees only with the approval of the Attorney General and if the
22 new schedule of fees would not violate the fee schedules set forth
23 in subsections D and E of this section.

24

1 D. An agency or official of the executive branch shall not
2 enter into a contingency fee contract that provides for the private
3 attorney or firm to receive an aggregate contingency fee that
4 exceeds:

5 1. Twenty-five percent (25%) of that portion of any amount
6 recovered that is Ten Million Dollars (\$10,000,000.00) or less;

7 2. Twenty percent (20%) of that portion of any amount recovered
8 that is more than Ten Million Dollars (\$10,000,000.00) but less than
9 or equal to Fifteen Million Dollars (\$15,000,000.00);

10 3. Fifteen percent (15%) of that portion of any amount
11 recovered that is more than Fifteen Million Dollars (\$15,000,000.00)
12 but less than or equal to Twenty Million Dollars (\$20,000,000.00);

13 4. Ten percent (10%) of that portion of any amount recovered
14 that is more than Twenty Million Dollars (\$20,000,000.00) but less
15 than or equal to Twenty-five Million Dollars (\$25,000,000.00); and

16 5. Five percent (5%) of that portion of any amount recovered
17 that is more than Twenty-five Million Dollars (\$25,000,000.00).

18 E. Notwithstanding subsection D of this section, the total fee
19 payable to all retained private attorneys in any contingency fee
20 contract shall not exceed Fifty Million Dollars (\$50,000,000.00),
21 exclusive of any costs and expenses provided by the contract and
22 actually incurred by the retained private attorneys, regardless of
23 the number of actions or proceedings or the number of retained
24 private attorneys involved in the matter.

1 F. The Attorney General shall develop a standard clause for
2 inclusion in every contract for contingent fee attorney services
3 that shall be used in all cases, describing in detail what is
4 expected of both the contracted private attorney and the state
5 including, but not limited to, the requirements as provided in this
6 subsection. The state shall not enter into a contract for
7 contingency fee attorney services that does not incorporate such
8 requirements:

9 1. The government attorneys shall retain complete control over
10 the course and conduct of the case;

11 2. A government attorney with supervisory authority shall be
12 personally involved in oversight of the case;

13 3. The government attorneys shall retain veto power over any
14 decision made by outside counsel related to the case;

15 4. Any defendant in the case may contact the lead government
16 attorneys directly, without having to confer with outside counsel;

17 5. A government attorney with supervisory authority for the
18 case shall attend all settlement conferences; and

19 6. Decisions regarding settlement of the case shall be reserved
20 exclusively to the discretion of the government attorneys and the
21 state.

22 G. Copies of any executed contingency fee contract with the
23 private attorney shall be posted on the Attorney General's website
24 for public inspection within five (5) business days after the date

1 the contract is executed and shall remain posted on the website for
2 the duration of the contingency fee contract including any
3 extensions or amendments to the contract. Any payment of
4 contingency fees shall be posted on the Attorney General's website
5 within fifteen (15) days after the payment of the contingency fees
6 to the private attorney or law firm and shall remain posted on the
7 website for at least three hundred sixty-five (365) days after the
8 payment is made.

9 H. Any private attorney or law firm under contract to provide
10 services to the state on a contingency fee basis shall from the
11 inception of the contract until at least four (4) years after the
12 contract expires or is terminated, maintain detailed current records
13 including documentation of all expenses, disbursements, charges,
14 credits, underlying receipts and invoices and other financial
15 transactions related to the attorney services. The private attorney
16 or law firm shall make all such records available for inspection and
17 copying upon request of the Attorney General. In addition, the
18 private attorney or law firm shall maintain detailed contemporaneous
19 time records for the attorneys and paralegals working on the matter
20 in increments of no greater than one-tenth (1/10) of an hour and
21 shall promptly provide such records to the Attorney General upon
22 request.

23 I. Before entering into a contract for legal representation by
24 one or more private attorneys, an agency or official of the

1 executive branch shall furnish a copy of the proposed contract to
2 the Attorney General and notify the Attorney General of the
3 following:

4 1. The nature and scope of the representation including, but
5 not limited to, a description of any pending or anticipated
6 litigation or of the transaction requiring representation;

7 2. The reason or reasons for not obtaining the representation
8 from an attorney employed by the agency or official, if an attorney
9 is employed by the agency or official;

10 3. The reason or reasons for not obtaining the representation
11 from the Attorney General by contract;

12 4. The anticipated cost of the representation including the
13 following:

14 a. the basis for or method of calculation of the fee
15 including, when applicable, the hourly rate for each
16 attorney, paralegal, legal assistant, or other person
17 who will perform services under the contract, and

18 b. the basis for and method of calculation of any
19 expenses which will be reimbursed by the agency or
20 official under the contract;

21 5. An estimate of the anticipated duration of the contract;

22 6. The past or present relationship, if any, between such
23 attorney, law firm or any partner or other principal in such law
24

1 firm and the state agency or state agent proposing to enter into the
2 contract;

3 7. If the contract contemplates that all or part of the fee is
4 contingent on the outcome of the legal proceeding, the reasons the
5 contingent fee arrangement is believed to be in the state's interest
6 and any efforts undertaken to obtain private counsel on a
7 noncontingent fee basis; and

8 8. The justification for the determination that the selection
9 of a contract for legal representation by one or more private
10 attorneys or firms was made based on the ability of the private
11 attorney or firm to provide the most economical and most competent
12 service which furthers the best interest of the state.

13 J. After the approval of the contract by the Attorney General
14 for legal representation by one or more private attorneys or law
15 firms, the Attorney General shall make available to the public on
16 the Attorney General's website the information required pursuant to
17 paragraphs 1 through 8 of subsection I of this section.

18 K. 1. Before entering into a contract for legal representation
19 by one or more private attorneys or firms where the agency has
20 reason to believe that the case, transaction or matter will equal or
21 exceed Twenty Thousand Dollars (\$20,000.00) or after employment when
22 it becomes apparent that the case, transaction or matter will equal
23 or exceeds Twenty Thousand Dollars (\$20,000.00), an agency or
24 official of the executive branch shall obtain the approval of the

1 Attorney General when the total cost including fees and expenses, of
2 all contracts relating to the same case, transaction, or matter will
3 equal or exceed Twenty Thousand Dollars (\$20,000.00).

4 2. Before entering into a contract for legal representation by
5 one or more private attorneys or firms to initiate a legal action on
6 behalf of the state where the agency has reason to believe that the
7 total cost of the case, transaction or matter including fees and
8 expenses will equal or exceed One Million Dollars (\$1,000,000.00),
9 an agency or official of the executive branch shall initiate a
10 request for proposal from at least three qualified private attorneys
11 or firms, when possible, engaged in providing such services. Notice
12 of the request for proposal shall be published on the Attorney
13 General's website. The request for proposal shall solicit a
14 billable hourly rate, regardless of whether a contingency fee is
15 ultimately agreed upon, and shall specify the importance of price,
16 quality, ability and experience. The selection of a contract for
17 legal representation by one or more private attorneys or firms shall
18 be made using the criteria established in the request for proposal
19 and shall be based on the response to the request which is the most
20 economical and provides the most competent service which furthers
21 the best interests of the state. Most economical and most competent
22 shall not be construed to mean the least expensive proposal.

23 3. Any amendment, modification or extension of a contract
24 which, had it been a part of the original contract would have

1 required approval by the Attorney General, shall also require
2 approval by the Attorney General.

3 L. After entering into a contract for legal representation by
4 one or more private attorneys or firms where the agency has reason
5 to believe that the case, transaction or matter will equal or exceed
6 One Million Dollars (\$1,000,000.00), an agency or official of the
7 executive branch shall, utilizing the centralized filing system
8 provided for in Section 378 of this act, electronically submit a
9 copy of the contract to the Legislative Oversight Committee
10 overseeing the operations of the Legislative Office of Fiscal
11 Transparency (LOFT) along with the following:

12 1. A description of the litigation or of the transaction
13 requiring representation;

14 2. The reason or reasons for not obtaining the representation
15 from an attorney employed by the agency or official;

16 3. The justification for selecting an attorney or firm
17 contracted to represent the state; and

18 4. An estimate of the anticipated duration of the contract.

19 M. A settlement agreement shall not contemplate the ultimate
20 use and destination of recovered funds unless done in accordance
21 with paragraphs 11 and 12 of Section 18b of this title.

22 N. Within ten (10) days of an agency or official of the
23 executive branch entering into a settlement agreement where a
24 private attorney or firm was hired on a contingency fee contract and

1 the settlement was equal to or greater than One Million Dollars
2 (\$1,000,000.00), the agency or official of the executive branch
3 shall present the settlement agreement to the Legislative Oversight
4 Committee with oversight of the operations of the Legislative Office
5 of Fiscal Transparency (LOFT), unless otherwise postponed by LOFT.

6 O. When an agency or official of the executive branch enters
7 into a contract for professional legal services pursuant to this
8 section, the agency shall also comply with the applicable provisions
9 of Section 85.41 of this title.

10 P. The provisions of this section shall not apply to the
11 Oklahoma Indigent Defense System created pursuant to Section 1355 et
12 seq. of Title 22 of the Oklahoma Statutes.

13 Q. Upon request of an agency or official of the executive
14 branch, the Governor, the President Pro Tempore of the Oklahoma
15 State Senate and the Speaker of the Oklahoma House of
16 Representatives may exempt a legal matter from the requirements of
17 this section if an exemption is deemed to be in the best interest of
18 the state. Such exemption shall be issued at their discretion, in
19 writing and by unanimous consent, and shall be submitted to LOFT.

20 R. By February 1 of each year, the Attorney General shall,
21 utilizing the centralized filing system provided for in Section 378
22 of this act, electronically submit a report to the Governor, the
23 President Pro Tempore of the Senate, the Speaker of the House of
24 Representatives, the Chair of the Appropriations and Budget

1 Committee of the House of Representatives, and the Chair of the
2 Appropriations Committee of the Senate, that describes the use of
3 contracts with private attorneys or law firms in the preceding
4 fiscal year. At a minimum, the report shall identify all new
5 contracts entered into during the fiscal year being reported and all
6 previously executed contracts that remain current during any part of
7 the fiscal year. For each contract, the report shall contain:

8 1. The name of the private attorney with whom the agency has
9 contracted including the name of the attorney's law firm;

10 2. The nature and status of the legal matter;

11 3. The name of the parties to the legal matter;

12 4. The amount of any recovery;

13 5. The amount of any hourly rate;

14 6. The amount of any contingency fee paid, if applicable; and

15 7. The amount paid under the contract for the fiscal year.

16 S. The provisions of subsections B through R of this section
17 shall not apply to any agency that invests funds on behalf of its
18 beneficiaries and, as part of its fiduciary duty, retains one or
19 more private attorneys or law firms to pursue individual, derivative
20 or class litigation concerning its investments or assets.

21 T. The provisions of this section shall not apply to any entity
22 exempted from Article I of the Administrative Procedures Act
23 pursuant to paragraphs 6 and 7 of subsection A of Section 250.4 of
24 Title 75 of the Oklahoma Statutes.

SECTION 299. AMENDATORY 74 O.S. 2021, Section 51.1a, as last amended by Section 2, Chapter 257, O.S.L. 2024 (74 O.S. Supp. 2025, Section 51.1a), is amended to read as follows:

Section 51.1a. A. In addition to the powers and duties as defined elsewhere in statute, the Office of Homeland Security has the duty and responsibility for interoperable public safety communications planning within this state. As part of this duty the Office of Homeland Security shall:

1. Annually develop and, utilizing the centralized filing system provided for in Section 378 of this act, electronically report to the Governor, President Pro Tempore of the Senate, and Speaker of the House of Representatives, the Statewide Communications Interoperability Plan;

2. Coordinate statewide planning for public safety communication needs of state government and state emergency responders, including a migration plan for state agency use of public safety communications technologies and rendering of aid between state government and its political subdivisions for organizing and use of disparate public safety communications systems;

3. Serve as a focal point for all state-level projects involving public safety communications vendors where the focus of such authority can substantially enhance the state communications plan or savings;

1 4. Apply for, receive and hold, or assist state agencies in
2 applying for, receiving or holding such authorizations, licenses,
3 and allocations of channels and frequencies to carry out the
4 purposes of this section;

5 5. Establish minimum standards and protocols for acquisition,
6 development, or enhancement of public safety communications
7 technologies. These standards shall be utilized by the Information
8 Services Division of the Office of Management and Enterprise
9 Services pursuant to the provisions of Section 34.20 of Title 62 of
10 the Oklahoma Statutes; and

11 6. Accomplish such other purposes as may be necessary or
12 incidental to the administration of its authority or functions
13 pursuant to law.

14 B. It is the intent of the Legislature that all state public
15 entities comply with the provisions of the Statewide Communications
16 Interoperability Plan issued by the Office of Homeland Security.
17 All state agencies are required to review the provisions of the
18 Statewide Communications Interoperability Plan and the public safety
19 communications standards issued by the Office of Homeland Security
20 prior to the purchase, acquisition, development, or enhancement of
21 any public safety communications system. Local public safety
22 agencies and political subdivisions of the state are encouraged, but
23 not required, to review the provisions of the Statewide
24 Communications Interoperability Plan and the public safety

1 communications standards issued by the Office of Homeland Security
2 prior to the purchase, acquisition, development, or enhancement of
3 any public safety communications system to assist the local public
4 safety agency or political subdivision in purchasing decisions.

5 C. No state agency shall use state funds or enter into any
6 agreement for the acquisition, development, or enhancement of a
7 public safety communication system unless the request is consistent
8 with the Statewide Communications Interoperability Plan and the
9 public safety communications standards issued by the Office of
10 Homeland Security.

11 SECTION 300. AMENDATORY 74 O.S. 2021, Section 51.2b, as
12 last amended by Section 5, Chapter 257, O.S.L. 2024 (74 O.S. Supp.
13 2025, Section 51.2b), is amended to read as follows:

14 Section 51.2b. A. This section shall be known and may be cited
15 as the "Oklahoma School Security Grant Program Act".

16 B. The Office of Homeland Security shall solicit proposals for
17 and make grants for the enhancement of campus security at
18 institutions of higher learning, technology center schools, public
19 schools, and private schools.

20 C. The goals and objectives of the Oklahoma School Security
21 Grant Program are to:

22 1. Increase the awareness of the public and educational
23 institutions of the risks, threats, and vulnerabilities of school
24 campuses as well as mitigation strategies;

1 2. Incentivize participation in school security training
2 programs designed to assess campus risks, threats, and
3 vulnerabilities;

4 3. Provide assistance to institutions of higher learning,
5 technology center schools, public schools, and private schools
6 initiating or implementing school security plans, programs, and
7 activities; and

8 4. Build upon the success of the pilot education grant program
9 established by the Office of Homeland Security.

10 D. The Office of Homeland Security shall determine grant
11 project criteria and establish a process for the consideration of
12 proposals. The proposals shall be considered on a statewide
13 competitive basis among peer institutions. To be eligible for an
14 Oklahoma School Security Grant Program award, an institution of
15 higher learning, technology center school, public school, or private
16 school shall:

17 1. Complete a risk and vulnerability assessment conducted by
18 the Oklahoma School Security Institute or a nationally qualified
19 risk and vulnerability assessor; and

20 2. Agree to expend grant funds on items recommended by the risk
21 and vulnerability assessment ~~and/or~~ or to provide de-escalation and
22 behavioral threat assessment and management training to employees.
23 Recommended items eligible for grant fund expenditures may include,
24 but shall not be limited to, physical security enhancements such as

1 cameras, gates, lighting, locks, doors, windows, security
2 geofencing, and ballistic storm shelters.

3 E. Each year the Office of Homeland Security shall prepare an
4 annual report on the Oklahoma School Security Grant Program and,
5 utilizing the centralized filing system provided for in Section 378
6 of this act, submit the report electronically to the Governor, the
7 President Pro Tempore of the Senate, and the Speaker of the House of
8 Representatives. The report shall include a list of the recipients
9 of Oklahoma School Security Grant Program awards and information on
10 how grant funds were used during the previous year.

11 SECTION 301. AMENDATORY 74 O.S. 2021, Section 61.8, as
12 amended by Section 1, Chapter 194, O.S.L. 2025 (74 O.S. Supp. 2025,
13 Section 61.8), is amended to read as follows:

14 Section 61.8. A. The Long-Range Capital Planning Commission
15 shall work to decrease the amount of property owned by Oklahoma
16 state government, return state-owned property to private sector
17 ownership, better maintain and utilize the state's needed capital
18 assets, and, whenever possible, eliminate the practice of state
19 agencies leasing real property not owned by the state.

20 B. Each year, the Director of the Office of Management and
21 Enterprise Services, at the direction of the Long-Range Capital
22 Planning Commission, shall take action to approve the privatization
23 of state-owned real property as identified pursuant to the Oklahoma
24 State Government Asset Reduction and Cost Savings Program. Proceeds

1 from the liquidation of real properties shall be deposited into the
2 Maintenance of State Buildings Revolving Fund.

3 C. Prior to entering into or renewing a lease for real
4 property, each state agency, board, commission, and public trust
5 having the state as a beneficiary shall receive approval for
6 entering into the lease from the Office of Management and Enterprise
7 Services.

8 D. Prior to making a purchase of real property or constructing
9 a building, each state agency, board, commission, and public trust
10 having the state as a beneficiary shall receive approval for the
11 purchase or construction from the Director of the Office of
12 Management and Enterprise Services; provided, if such purchase or
13 construction is deemed by the Director of the Office of Management
14 and Enterprise Services to be within the authority of the Long-Range
15 Capital Planning Commission, the Director shall not approve the
16 purchase or construction and shall refer the request to the
17 Commission for action.

18 E. Prior to approval or referral pursuant to subsection C or D
19 of this section, the Office of Management and Enterprise Services
20 shall determine if the applicant entity can utilize already existing
21 state-owned real property as an alternative to leasing non-state-
22 owned real property or purchasing or constructing new real property.
23 If such existing state-owned real property is owned by the Oklahoma
24 Historical Society, is listed on the National Register of Historic

1 Places or with the National Trust for Historic Preservation, or is
2 potentially of historical significance, the Office of Management and
3 Enterprise Services shall notify the Oklahoma Historical Society and
4 obtain its approval prior to approving an application for its reuse.

5 F. No state agency, board, commission, or public trust having
6 the state as its beneficiary shall transfer any real property owned
7 by the agency, board, commission, or trust to any other state
8 agency, board, commission, state beneficiary trust, or any public or
9 private entity unless the transfer is first approved by the Long-
10 Range Capital Planning Commission. Any transfer made without the
11 prior approval of the Long-Range Capital Planning Commission as
12 required by this subsection may be reversed by the Long-Range
13 Capital Planning Commission and if a transfer is reversed the
14 agency, board, commission, state beneficiary trust, or other state
15 government entity to which the real property has been impermissibly
16 transferred shall take such actions to convey the subject property
17 to the entity from which the asset was acquired not later than
18 thirty (30) days from the date an order for such transfer is entered
19 by the Long-Range Capital Planning Commission. The Commission shall
20 not approve any transfer unless proceeds from the sale shall be
21 deposited within the Maintenance of State Buildings Revolving Fund
22 as established by Section 908 of Title 62 of the Oklahoma Statutes.

23 G. By February 1 of each year, the Office of Management and
24 Enterprise Services shall publish a report for the preceding

1 calendar year listing the parcels of previously state-owned property
2 sold, detailing the reduction in the amount of space leased by the
3 state, describing the source of funds and expenditures from the
4 Maintenance of State Buildings Revolving Fund, and showing the
5 manner in which deferred maintenance needs are being met. The
6 report shall be electronically provided to the Governor, Speaker of
7 the House of Representatives, and President Pro Tempore of the
8 Senate utilizing the centralized filing system provided for in
9 Section 378 of this act and placed on the documents.ok.gov web
10 portal.

11 H. This section shall not be applicable to the following or
12 their lands, properties, buildings, funds, or revenue:

- 13 1. The Oklahoma Ordnance Works Authority;
- 14 2. The Commissioners of the Land Office;
- 15 3. The Department of Transportation;
- 16 4. The Oklahoma Turnpike Authority; and
- 17 5. The Grand River Dam Authority.

18 I. The Director of the Office of Management and Enterprise
19 Services may make recommendations to the Long-Range Capital Planning
20 Commission for liquidation of underutilized properties that have
21 environmental issues, create a liability for the state, or create
22 expenses that make the continued ownership of the underutilized
23 property undesirable and the property has been offered through two
24 public auctions or sealed bids and no viable bids were received. If

1 the Long-Range Capital Planning Commission approves the liquidation
2 of the property, the Office of Management and Enterprise Services
3 may accept a bid of less than ninety percent (90%) of the appraised
4 value in accordance with Section 327 of Title 61 of the Oklahoma
5 Statutes.

6 SECTION 302. AMENDATORY 74 O.S. 2021, Section 63.3, is
7 amended to read as follows:

8 Section 63.3. A. The Office of Management and Enterprise
9 Services shall establish and maintain adequate records and
10 information on all underground storage tank systems owned and
11 operated by the state or any agency of the state, including but not
12 limited to school districts or any agency thereof and institutions
13 of higher learning.

14 B. Upon the effective date of this act, every state agency and
15 school district and institution of higher education owning or
16 operating an underground storage tank system shall furnish and
17 deliver to the Office of Management and Enterprise Services a report
18 of the underground tanks owned and operated by the agency, district,
19 or institution detailing location of the tank, the age, condition of
20 any such tank, and installation methods, if known.

21 C. Prior to the report, each agency, district, or institution
22 shall:

23

24

1 1. Make a visual assessment of the tanks owned and operated by
2 them to determine whether evidence of leakage from the tank has
3 occurred;

4 2. An examination of fuel records during the past year to
5 determine if input equals output; and

6 3. Determine based upon visible assessment and upon information
7 the condition of the tank, expected life of the tank, present and
8 future need for the tank.

9 D. Based on the information received from the agencies,
10 districts and institutions, the Office of Management and Enterprise
11 Services shall establish and maintain a priority list on state owned
12 and operated underground storage tank systems with the tanks needing
13 removal or repair due to leakage given the greatest priority.

14 E. Upon establishment of the priority list, as funds become
15 available for such purposes, the Office of Management and Enterprise
16 Services shall provide for the upgrade, repair or removal of tanks
17 owned and operated by said state agencies, districts, or
18 institutions so as to meet the federal protection standards for
19 underground storage tank systems by 1999. When possible an internal
20 assessment of the tanks shall be made and as a preference over
21 removal except in cases of economics or extent of deterioration of
22 the tank, or future need of the tank, and when needed the tank shall
23 be upgraded pursuant to the most current edition of the National
24 Leak Prevention Association Standard No. 631.

1 F. Except in an emergency situation no tank shall be removed
2 without the approval of the Office of Management and Enterprise
3 Services after determination that removal would be more cost
4 effective than repairing or upgrading the tank.

5 G. By January 15 of each year, the Office of Management and
6 Enterprise Services shall, utilizing the centralized filing system
7 provided for in Section 378 of this act, electronically make a
8 written report to the Speaker of the House of Representatives and
9 the President Pro Tempore of the Senate listing:

10 1. The number of tanks owned and operated by state agencies,
11 districts, and institutions; and

12 2. How many tanks were removed and replaced or removed, or
13 upgraded and an estimated cost of bringing the tanks into compliance
14 with federal law requirements by 1999.

15 SECTION 303. AMENDATORY 74 O.S. 2021, Section 63.5, is
16 amended to read as follows:

17 Section 63.5. Upon receipt of reports required by Section 2 of
18 this act, the Office of Management and Enterprise Services shall
19 cause the reports to be posted on the documents.ok.gov website. The
20 Office shall also, utilizing the centralized filing system provided
21 for in Section 378 of this act, electronically send a notice of such
22 posting to the Governor, the President Pro Tempore of the Senate, and
23 and the Speaker of the House of Representatives.
24

SECTION 304. AMENDATORY 74 O.S. 2021, Section 78, as amended by Section 1, Chapter 351, O.S.L. 2023 (74 O.S. Supp. 2025, Section 78), is amended to read as follows:

Section 78. A. There is hereby created and established within the Office of Management and Enterprise Services, the Fleet Management Division. The Division shall provide oversight of and advice to state agencies that own, operate, and utilize motor vehicles. All agencies shall be subject to Fleet Management Division reporting requirements. The following agencies are exempt from Fleet Management Division oversight and advice, but are still subject to required reporting from Fleet Management Division to provide full transparency of the statewide fleet: Department of Public Safety, the Department of Transportation, the Oklahoma State Bureau of Narcotics and Dangerous Drugs Control, the Military Department of the State of Oklahoma, the Oklahoma State Bureau of Investigation, the Commissioners of the Land Office and The Oklahoma State System of Higher Education.

B. The Director of the Office of Management and Enterprise Services shall:

1. Appoint and fix duties and compensation for a Fleet Manager who shall serve as the administrative head of the division;
2. Hire personnel as necessary to provide fleet services;
3. Acquire facilities to maintain vehicles;

1 4. Promulgate rules for efficient and economical operations to
2 provide fleet services; and

3 5. ~~Report~~ Utilizing the centralized filing system provided for
4 in Section 378 of this act, electronically report to the Governor,
5 Speaker of the House of Representatives, and President Pro Tempore
6 of the Senate those agencies that fail to comply with the provisions
7 of law and the rules of the Fleet Management Division regarding
8 submission of reports, vehicle use, and vehicle maintenance.

9 C. The rules shall include provisions to:

10 1. Establish uniform written vehicle acquisition, leasing,
11 maintenance, repairs, and disposal standards for use by all state
12 agencies to justify actual need for vehicles;

13 2. Establish standards for routine vehicle inspection and
14 maintenance;

15 3. Provide standards and forms for recordkeeping of fleet
16 operation, maintenance, and repair costs for mandatory use by all
17 state agencies to report the data to the Fleet Management Division
18 on a monthly basis;

19 4. Provide standards and utilize methods for disposal of
20 vehicles pursuant to the Oklahoma Surplus Property Act and any other
21 applicable state laws;

22 5. Establish mandatory maintenance contracts throughout the
23 state for all agencies to access for vehicle repairs and service at
24 discounted rates and parts;

1 6. Require all agencies with in-house repair and service
2 facilities to assign a value to the preventive maintenance services,
3 track those services with a dollar value, and report costs to the
4 Fleet Manager for the prior month no later than the twentieth day
5 following the close of each month;

6 7. Promulgate rules requiring all state-owned motor vehicles to
7 be marked in a uniform, highly visible manner, except for certain
8 vehicles driven by law enforcement agencies or other agencies
9 requiring confidentiality;

10 8. Require agencies to produce and maintain written
11 justification for any vehicle that travels fewer than twelve
12 thousand (12,000) miles annually and report to the Fleet Manager
13 such information by October 1 of each year; and

14 9. Address any other matter or practice which relates to the
15 responsibilities of the Director of the Office of Management and
16 Enterprise Services.

17 D. The Fleet Manager shall:

18 1. Develop specifications for contracts for vehicle maintenance
19 for state vehicles not serviced or maintained by state agencies;

20 2. Conduct on-site inspections to verify state agency or
21 supplier compliance with Division standards for inspections,
22 maintenance and recordkeeping;

23 3. Assess state agency needs for vehicles and types of
24 vehicles;

1 4. Assign, transfer, or lease vehicles to a state agency to
2 meet the needs of the state agency;

3 5. Unless otherwise provided by law, determine whether a state
4 agency may use or operate a vehicle without state identifying
5 markings, bearing a license plate used by a privately owned vehicle
6 to perform the duties of the state agency without hindrance;

7 6. Report to the Director of the Office of Management and
8 Enterprise Services occurrences of agencies failing to comply with
9 the provisions of law and the rules of the Fleet Management Division
10 regarding submission of reports, vehicle use, and vehicle
11 maintenance;

12 7. Offer guidelines to agencies to assist in determining the
13 most cost-effective and reasonable modes of travel for single trips
14 from the following options: state vehicle, private rental, or
15 mileage reimbursement; and

16 8. ~~Provide~~ Utilizing the centralized filing system provided for
17 in Section 378 of this act, electronically provide, upon the request
18 of the Governor, the President Pro Tempore of the Senate, or the
19 Speaker of the House of Representatives, reports from data the Fleet
20 Manager collects.

21 E. The Director of the Office of Management and Enterprise
22 Services may enter into agreements with any political subdivision of
23 this state for the purpose of providing fleet services established
24

1 by the Fleet Management Division pursuant to this section and rules
2 promulgated pursuant to this section.

3 F. The Director of the Office of Management and Enterprise
4 Services, through the Fleet Management Division, may enter into
5 partnership agreements with political subdivisions and private
6 entities for the purposes of applying for, participating in, and
7 administering federal grant funds. The partnership agreements and
8 activities authorized in this subsection are hereby declared to be a
9 public purpose.

10 G. The Office may offer public access to alternative fueling
11 infrastructure owned and operated by the Office in areas of the
12 state in which access to an alternative fueling infrastructure is
13 not readily available to the public. The Office shall cease
14 allowing public access to an alternative fueling infrastructure
15 operated by the Office if a privately owned alternative fueling
16 infrastructure locates within a five-mile radius of the
17 infrastructure operated by the Department.

18 H. When used in relation to the Fleet Management Division:

19 1. "Alternative fueling infrastructure" shall mean a fill
20 station or charge station used to deliver or provide alternative
21 fuels as defined in Section 130.2 of this title; and

22 2. "Alternative fuel vehicle" shall mean a motor vehicle
23 originally designed by the manufacturer to operate lawfully and
24

1 principally on streets and highways which is propelled by an
2 alternative fuel as defined in Section 130.2 of this title.

3 SECTION 305. AMENDATORY 74 O.S. 2021, Section 78d, as
4 amended by Section 2, Chapter 351, O.S.L. 2023 (74 O.S. Supp. 2025,
5 Section 78d), is amended to read as follows:

6 Section 78d. The Fleet Management Division shall, utilizing the
7 centralized filing system provided for in Section 378 of this act,
8 electronically furnish to the Governor, President Pro Tempore of the
9 Senate, and the Speaker of the House of Representatives, at the
10 close of each fiscal year a statement showing the financial
11 condition of the Division, an inventory of all motor vehicles
12 regardless of exemption or oversight status, and such other
13 information regarding the state motor vehicle transportation system
14 as is necessary for a proper understanding of the operation of such
15 system and of the financial condition of the motor pool operations.

16 SECTION 306. AMENDATORY 74 O.S. 2021, Section 85.5, as
17 amended by Section 1, Chapter 102, O.S.L. 2024 (74 O.S. Supp. 2025,
18 Section 85.5), is amended to read as follows:

19 Section 85.5. A. Except as otherwise provided in this section,
20 the State Purchasing Director, under the supervision of the Director
21 of the Office of Management and Enterprise Services, shall have sole
22 and exclusive authority and responsibility for all acquisitions by
23 state agencies. In order to carry out the powers and duties of the
24 Chief Information Officer and the Information Services Division, the

1 Chief Information Officer shall have sole and exclusive authority
2 and responsibility for all acquisitions of information and
3 telecommunications technology, equipment, software, products and
4 related peripherals and services by state agencies. Public
5 construction contracts are awarded pursuant to Title 61 of the
6 Oklahoma Statutes and are not subject to the Oklahoma Central
7 Purchasing Act.

8 B. Every state agency shall determine its own quantitative
9 needs for acquisitions and the general class or nature of the
10 acquisitions. The State Purchasing Director, after consultation
11 with the requisitioning state agency, shall have authority to
12 determine the particular brand, model, or other specific
13 classification of each acquisition and to draft or invoke pursuant
14 to the Oklahoma Central Purchasing Act specifications establishing
15 the requirements for all necessary contracts or purchase orders.

16 C. The Director of the Office of Management and Enterprise
17 Services shall have authority and responsibility to promulgate rules
18 in connection with provisions of the Oklahoma Central Purchasing Act
19 for:

20 1. The time, manner, authentication, and form of making
21 requisitions for acquisitions;

22 2. Inspection, analysis and testing of acquisitions or samples
23 bidders submit prior to contract award;

24

1 3. The form and manner of submission for bids or proposals a
2 bidder submits and the manner of accepting and opening bids or
3 proposals;

4 4. The conditions under which the Office of Management and
5 Enterprise Services shall require written contracts for
6 acquisitions, the conditions under which acquisitions may be made on
7 an open account basis, and the conditions and manner of negotiating
8 such contracts;

9 5. Obtaining acquisitions produced by state institutions;

10 6. Conditions under which any of the rules herein authorized
11 may be waived;

12 7. The amounts of and deposits on any bond or other surety
13 required to be submitted with a bid or contract for the furnishing
14 of acquisitions and the conditions under which such bond or other
15 surety shall be required;

16 8. The manner and conditions of delivery, which shall include
17 the designation of the common carrier of property to be used to
18 transport acquisitions whenever a common carrier is used, and the
19 acceptance, or rejection, including check of quantities, of any
20 acquisitions;

21 9. The form of any estimate, order or other information
22 required in connection with an acquisition;

23 10. State agency acquisitions not exceeding the acquisition
24 threshold amount requiring competitive bid to ensure

1 competitiveness, fairness, compliance with the Oklahoma Central
2 Purchasing Act and Section 3001 et seq. of this title, which relates
3 to the State Use Committee. The rules shall include separate
4 provisions based on acquisition amounts as follows:

5 a. state agencies shall make acquisitions not exceeding
6 Twenty-five Thousand Dollars (\$25,000.00), provided
7 the acquisition process is fair and reasonable and is
8 conducted pursuant to rules authorized pursuant to
9 this section, and

10 b. state agencies with certified procurement officers and
11 internal purchasing procedures found compliant by the
12 State Purchasing Director may make acquisitions in
13 excess of the fair and reasonable acquisition
14 threshold amount provided for in this section and not
15 exceeding Two Hundred Fifty Thousand Dollars
16 (\$250,000.00), pursuant to rules authorized by this
17 section;

18 11. Training by the State Purchasing Director of state agency
19 procurement officers;

20 12. Review and audit by the State Purchasing Director of state
21 agency acquisitions;

22 13. The conditions for increasing acquisition limits for state
23 agencies which have had a prior reduction in acquisition limit by
24 the Director of the Office of Management and Enterprise Services;

1 14. Use of a state purchase card to make acquisitions;

2 15. Any other matter or practice which relates to the
3 responsibilities of the State Purchasing Director;

4 16. Conditions for determination and authorization of
5 acquisition threshold amounts of state agencies;

6 17. The form and manner of verification by suppliers that the
7 supplier is eligible to do business in the State of Oklahoma and has
8 obtained all necessary permits and licenses, pursuant to applicable
9 provisions of law; and

10 18. Payment procedure rules for state agencies to adhere to
11 regarding statewide contracts.

12 D. The State Purchasing Director shall provide training for
13 state agency procurement officials, and other procurement staff, and
14 is authorized to require retraining of such procurement personnel
15 found not to be in compliance with provisions of the Oklahoma
16 Central Purchasing Act or associated rules. The training may
17 include any matters related to state procurement practices. State
18 agency purchasing officials that demonstrate proficiency shall be
19 certified as "certified procurement officers" by the State
20 Purchasing Director and shall be authorized to make acquisitions
21 pursuant to provisions of the Oklahoma Central Purchasing Act and
22 associated rules. The State Purchasing Director may assess a fee to
23 state agencies for the training that does not exceed each state
24

1 agency's pro rata share of the costs the State Purchasing Director
2 incurs to provide the training.

3 E. The State Purchasing Director shall review state agency
4 acquisitions for the purposes of:

5 1. Ensuring state agency compliance with provisions of the
6 Oklahoma Central Purchasing Act;

7 2. Ensuring state agency compliance with rules promulgated by
8 the Office of Management and Enterprise Services pursuant to the
9 Oklahoma Central Purchasing Act;

10 3. Ensuring state agency compliance with provisions of Section
11 3001 et seq. of this title pertaining to the State Use Committee;

12 4. Reporting any acquisition by any state agency found not to
13 be in compliance with those sections or rules to the Director of the
14 Office of Management and Enterprise Services;

15 5. A determination by the State Purchasing Director to reduce a
16 state agency's acquisition authority amount when the state agency is
17 found not to be in compliance with the Oklahoma Central Purchasing
18 Act or associated rules or requirements of the State Purchasing
19 Director pursuant to this section; and

20 6. A determination by the State Purchasing Director to increase
21 a state agency's acquisition authority amount after the agency cures
22 deficiencies in connection with a prior reduction in the authority
23 amount by the State Purchasing Director.
24

1 F. Based on written findings and when recommended by the State
2 Purchasing Director, the Director of the Office of Management and
3 Enterprise Services may:

4 1. Transmit written findings by the State Purchasing Director
5 to the State Auditor and Inspector for further investigation,
6 indicating purchasing procedures that do not conform to the Oklahoma
7 Central Purchasing Act or associated rules; or

8 2. Transmit to the Attorney General or the State Auditor and
9 Inspector for further investigation a report made by the State
10 Purchasing Director that the Director of the Office of Management
11 and Enterprise Services reasonably believes indicates that an action
12 that constitutes a criminal violation pursuant to the Oklahoma
13 Central Purchasing Act or other laws has been taken by any state
14 agency, state agency official, bidder, or supplier.

15 G. 1. Pursuant to the requirements of the Oklahoma Central
16 Purchasing Act, the State Purchasing Director shall have authority
17 to enter into any statewide, multistate, or multigovernmental
18 contract. The state entity designated by law, as specified in
19 Section 1010.3 of Title 56 of the Oklahoma Statutes, shall
20 participate in the purchase of pharmaceuticals available through
21 such multistate or multigovernmental contracts entered into by the
22 State Purchasing Director.

23 2. Whenever it appears advantageous to the state or to any
24 state agency to purchase or otherwise acquire any acquisition which

1 may be offered for sale by the United States government or any
2 agency thereof, the State Purchasing Director may execute a contract
3 for the acquisition with the federal government or federal agency
4 and may also utilize contracts awarded by other governmental
5 agencies including, but not limited to, agencies of the United
6 States of America.

7 3. The State Purchasing Director may designate, for use by
8 state agencies, contracts described in this subsection and contracts
9 awarded on behalf of one or more state agencies.

10 4. Prior to exercising the authority to cancel a contract, the
11 State Purchasing Director may authorize renegotiation of an existing
12 contract with an incumbent supplier for the purposes of obtaining
13 more favorable terms for the state.

14 5. The State Purchasing Director shall have the authority to
15 designate certain contracts for state agencies as statewide
16 contracts and mandatory statewide contracts. In order to carry out
17 the powers and duties of the Chief Information Officer and
18 Information Services Division, the Chief Information Officer shall
19 have the authority to designate certain information technology and
20 telecommunication contracts as statewide contracts and mandatory
21 statewide contracts and may negotiate consolidation contracts,
22 enterprise agreements and high technology system contracts in lieu
23 of or in conjunction with competitive bidding procedures to reduce
24 acquisition cost.

1 6. The State Purchasing Director may publish such
2 specifications relating to materials, supplies, equipment, and
3 services to be acquired for the state as may best promote
4 competition and apprise potential suppliers of the type of product
5 desired.

6 H. 1. The State Purchasing Director may develop and test new
7 contracting policies, procedures and innovations that hold potential
8 for making state procurement more effective and efficient and
9 identify, and make recommendations to the Legislature of, any
10 appropriate changes in law. Such development and testing, proof of
11 concept, pilot project or other similar test shall not be considered
12 an acquisition subject to the Oklahoma Central Purchasing Act.

13 2. The State Purchasing Director is authorized to explore and
14 investigate cost savings in energy, resource usage and maintenance
15 contracts and to identify and negotiate contract solutions
16 including, but not limited to, pilot projects to achieve cost
17 savings for this state.

18 I. The State Purchasing Director shall endeavor to satisfy
19 state agencies in terms of cost, quality, and timeliness of the
20 delivery of acquisitions by using bidders who have a record of
21 successful past performance, promoting competition, minimizing
22 administrative operating costs and conducting business with
23 integrity, fairness, and openness.

24 J. The State Purchasing Director shall undertake the following:

1 1. The use of electronic commerce pursuant to the Oklahoma
2 Online Bidding Act for solicitation, notification and other
3 purchasing processes;

4 2. Monitoring rules promulgated pursuant to the Oklahoma
5 Central Purchasing Act to ensure that the rules satisfy the
6 interests of the state, are clear and succinct and encourage
7 efficiency in purchasing processes;

8 3. A program to identify suppliers' performance records;

9 4. Development of criteria for the use of sealed bid
10 contracting procedures, negotiated contracting procedures, selection
11 of types of contracts, postaward administration of purchase orders
12 and contracts, addendums, termination of contracts, and contract
13 pricing;

14 5. Continual improvement in the quality of the performance of
15 the Purchasing Division through training programs, management
16 seminars, development of benchmarks and key management indicators,
17 and development of standard provisions, clauses, and forms;

18 6. The State Purchasing Director shall prescribe standardized
19 contract forms and all other forms or certifications requisite or
20 deemed necessary by the State Purchasing Director to effectuate the
21 provisions of the Oklahoma Central Purchasing Act and associated
22 rules;

1 7. Development of programs to improve customer relations
2 through training, improved communications, and appointment of
3 technical representatives;

4 8. Provide for public two-way communication between procurement
5 officers and potential bidders who have questions regarding a
6 request for proposal or invitation to bid; and

7 9. Determine whether and to what extent information included in
8 a bid or similar offer is confidential and reject all requests to
9 disclose the information so designated.

10 K. The State Purchasing Director may utilize and authorize
11 state agencies to utilize reverse auctions to obtain acquisitions.

12 L. Prior to the award of a contract to a supplier, the State
13 Purchasing Director shall verify, pursuant to applicable provisions
14 of law, that the supplier is eligible to do business in this state
15 by confirming registration with the Secretary of State and franchise
16 tax payment status pursuant to Sections 1203 and 1204 of Title 68 of
17 the Oklahoma Statutes. The provisions of this subsection shall be
18 applicable only if the contract amount is Two Hundred Fifty Thousand
19 Dollars (\$250,000.00) or greater.

20 M. On an annual basis, the State Purchasing Director shall,
21 utilizing the centralized filing system provided for in Section 378
22 of this act, electronically transmit to the Governor, Speaker of the
23 House of Representatives, and President Pro Tempore of the Senate a
24 report documenting the savings realized by each agency through the

1 application of best spend practices including the collection and
2 tracking of spend data, strategic sourcing programs and
3 implementation of managed and mandatory statewide contracts and
4 include in the report information regarding emergency acquisitions.

5 N. The acquisition threshold amount applicable to an
6 acquisition made pursuant to this act or associated rules shall not
7 apply to state agency purchases; provided, the State Purchasing
8 Director determines the agency has subject matter experts on staff
9 having the specialized expertise to purchase goods or services, the
10 agency possesses the necessary legal and procurement staff to
11 procure and monitor the contracts and provided the Director of the
12 Office of Management and Enterprise Services shall certify that the
13 proposed purchase does not conflict with consolidated statewide
14 spend initiatives.

15 1. Nothing in this subsection shall give an agency authority to
16 issue statewide, multistate, or multigovernmental contracts.

17 2. Agencies making purchases pursuant to this subsection shall:

18 a. be responsible for contracts awarded pursuant to this
19 subsection, which includes, but may not be limited to,
20 contract management, protest costs, all costs
21 connected with or incurred as a result of the
22 contract, including legal representation,

23 b. comply with rules and policies of the Office of
24 Management and Enterprise Services, and

1 c. report contracts issued pursuant to this subsection to
2 the Office of Management and Enterprise Services,
3 Central Purchasing Division, on a quarterly basis.

4 3. Purchases made in accordance with this subsection shall be
5 made pursuant to rules authorized by this section.

6 O. The State Purchasing Director, with approval by the Director
7 of the Office of Management and Enterprise Services, is authorized
8 to make use of any state laboratories for the tests and analyses
9 authorized in this section wherever practicable and to use private
10 laboratories or the laboratories of another government agency if it
11 is impracticable to use state laboratories. The State Purchasing
12 Director is further authorized to cooperate in test and analysis
13 programs or agreements with other states or the United States
14 government and to accept federal funds and funds donated by private
15 endowments or foundations for the purpose of participation in such
16 testing programs.

17 P. The State Purchasing Director shall require all contractors
18 or subcontractors who have entered into a contract with a public
19 employer to submit an affidavit that the contractor or subcontractor
20 is in compliance with the provisions of Section 1313 of Title 25 of
21 the Oklahoma Statutes. If the State Purchasing Director determines
22 that a contractor or subcontractor has knowingly submitted a false
23 affidavit:

1 1. The contractor or subcontractor shall be liable for an
2 administrative penalty of Five Thousand Dollars (\$5,000.00) for the
3 first offense, which shall increase by Two Thousand Dollars
4 (\$2,000.00) for each subsequent offense; and

5 2. The public employer or the Office of Management and
6 Enterprise Services may terminate the contract with the contractor
7 or subcontractor.

8 SECTION 307. AMENDATORY 74 O.S. 2021, Section 85.7, as
9 last amended by Section 1, Chapter 339, O.S.L. 2023 (74 O.S. Supp.
10 2025, Section 85.7), is amended to read as follows:

11 Section 85.7. A. 1. Except as otherwise provided by the
12 Oklahoma Central Purchasing Act, or associated rules:

13 a. every state agency shall initiate all acquisitions by
14 the submission of a requisition to the Purchasing
15 Division, and

16 b. no state agency shall make an acquisition for an
17 amount exceeding Fifty Thousand Dollars (\$50,000.00)
18 or the limit determined by the State Purchasing
19 Director pursuant to rules authorized by Section 85.5
20 of this title, not to exceed Two Hundred Fifty
21 Thousand Dollars (\$250,000.00), without submission of
22 a requisition to the Purchasing Division for issuance
23 of a solicitation for the acquisition on behalf of the
24 agency. Any exemption from competitive bid

1 requirements of the Oklahoma Central Purchasing Act
2 further exempts the acquisition from requisition
3 requirements of the act.

4 2. The State Purchasing Director may request additional
5 information necessary to adequately review a requisition to ensure
6 compliance with the Oklahoma Central Purchasing Act and associated
7 rules. If the State Purchasing Director determines that an
8 acquisition is not necessary, excessive or not justified, the State
9 Purchasing Director shall deny the requisition.

10 3. The provisions of the Oklahoma Central Purchasing Act shall
11 not preclude a state agency from:

- 12 a. accepting gifts or donations in any manner authorized
13 by law, or
- 14 b. making an acquisition for itself without submitting a
15 requisition under this section when authorized in
16 writing by the State Purchasing Director.

17 4. Any acquisition a state agency makes shall be made pursuant
18 to the Oklahoma Central Purchasing Act and associated rules. No
19 agency shall use split purchasing for the purpose of evading the
20 requirement of competitive bidding or other requirement of the
21 Oklahoma Central Purchasing Act or associated rules. Violation of
22 this provision shall be cause for discipline of a state employee up
23 to and including termination.

1 5. The State Purchasing Director may waive or increase the
2 limit authorized for a state agency acquisition made pursuant to its
3 own competitive procedures. To perfect an otherwise valid
4 acquisition inadvertently exceeding the limit due to administrative
5 error by a state agency or unforeseeable circumstances, the state
6 agency shall request a limited waiver or increase upon the discovery
7 of the error or circumstance to the State Purchasing Director. The
8 State Purchasing Director shall, utilizing the centralized filing
9 system provided for in Section 378 of this act, electronically
10 report requests for waivers or increases, stating the amount and
11 whether the request was granted or denied, upon request by the
12 Governor, President Pro Tempore of the Senate, or Speaker of the
13 House of Representatives.

14 6. Competitive bidding requirements of this section shall not
15 be required for the following:

- 16 a. contracts for master custodian banks or trust
17 companies, investment managers, investment
18 consultants, and actuaries for the state retirement
19 systems, and Oklahoma Employees Insurance and Benefits
20 Board, pension fund management consultants of the
21 Oklahoma State Pension Commission and the
22 Commissioners of the Land Office, examiners, experts,
23 or consultants for the Insurance Department whose job
24 duties are tied to Market Conduct Exams, Financial

1 Exams, and Insurance Business Transfers, financial
2 institutions to act as depositories, and managers of
3 the Oklahoma College Savings Plan accounts and other
4 professional services as defined in Section 803 of
5 Title 18 of the Oklahoma Statutes. When requested by
6 the Oklahoma Employees Insurance and Benefits Board or
7 the governing board of a state retirement system
8 authorized to hire investment managers, the Purchasing
9 Division shall assist in the process of selecting
10 investment managers,

11 b. a state agency making such an acquisition shall notify
12 the State Purchasing Director within fifteen (15) days
13 following completion of the acquisition. A list of
14 the exempt contracts shall be electronically provided,
15 upon request, to a member of the Appropriations and
16 Budget Committee of the House of Representatives or
17 Appropriations Committee of the Senate utilizing the
18 centralized filing system provided for in Section 378
19 of this act,

20 c. purchases of postage by state agencies made pursuant
21 to Sections 90.1 through 90.4 of this title,

22 d. a sole source acquisition made in compliance with
23 Section 85.44D.1 of this title,
24

1 e. an acquisition for design, development, communication
2 or implementation of the state employees flexible
3 benefits plan; provided, procedures used for the
4 acquisition are consistent with competitive bid
5 requirements of the Oklahoma Central Purchasing Act
6 and associated rules,

7 f. any acquisition of a service which the Office of
8 Management and Enterprise Services has approved as
9 qualifying for a fixed and uniform rate, subject to
10 the following:

11 (1) the Purchasing Division shall establish criteria
12 and guidelines for those services which may
13 qualify for a fixed and uniform rate,

14 (2) fixed and uniform rate contracts authorized by
15 this subsection shall be limited to contracts for
16 those services furnished to persons directly
17 benefiting from such services and shall not be
18 used by a state agency to employ consultants or
19 to make other acquisitions,

20 (3) any state agency desiring to have a service
21 qualified for a fixed and uniform rate shall make
22 a request for service qualification to the State
23 Purchasing Director and submit documentation to
24 support the request. The State Purchasing

1 Director shall approve or deny the request. If
2 approved, the state agency shall establish a
3 fixed and uniform rate for the service. No
4 contracts shall be entered into by the state
5 agency until the rate has been approved by the
6 state agency in a public hearing. The proposed
7 rate shall be clearly and separately identified
8 in the agenda of the state agency for the hearing
9 and shall be openly and separately discussed
10 during such hearing. The state agency shall
11 notify the State Purchasing Director of its
12 pending consideration of the proposed rate at
13 least thirty (30) days before the state agency is
14 to meet on the proposed rate and deliver a copy
15 of the agenda items concerning the proposed rate
16 with supporting documentation. The State
17 Purchasing Director shall communicate any
18 observation, reservation, criticism, or
19 recommendation to the agency, either in person at
20 the time of the hearing or in writing delivered
21 to the state agency before or at the time of the
22 hearing. The State Purchasing Director shall
23 specifically note in the written communications
24 whether the Director has determined the rate to

1 be excessive. Any written communication
2 presented in the absence of the State Purchasing
3 Director shall be presented orally during the
4 public hearing. Whether made in person or in
5 writing, any comment made by the State Purchasing
6 Director shall be made a part of the minutes of
7 the hearing in full,

- 8 (4) within two (2) weeks after the convening of the
9 Legislature, the administrative officer of the
10 state agency shall furnish to the Speaker of the
11 House of Representatives, the President Pro
12 Tempore of the Senate and to any member of the
13 House or Senate, if requested by the member, a
14 complete list of all of the types of services
15 paid for by uniform fixed rates, the amount of
16 the rate last approved by the agency for the
17 service and the number of contracts then in
18 existence for each type of service. Any rate
19 which has been determined to be excessive by the
20 State Purchasing Director shall be specifically
21 identified in the list by the state agency, and
22 (5) at any time, the State Purchasing Director may
23 review, suspend, or terminate a contract entered
24 into pursuant to the provisions of this paragraph

- 1 if the Director determines the contract is not
2 necessary, is excessive or is not justified,
- 3 g. an acquisition for a client of the State Department of
4 Rehabilitation Services; provided, the agency develops
5 and maintains standards for such an acquisition. The
6 agency may elect to utilize the Purchasing Division
7 for an acquisition. The standards shall foster
8 economy, provide a short response time, include
9 appropriate safeguards, require written records,
10 ensure appropriate competition for economical and
11 efficient purchasing and shall be approved by the
12 State Purchasing Director,
- 13 h. structured settlement agreements entered into by the
14 Attorney General's office in order to settle any
15 lawsuit involving the state, the Legislature, any
16 state agency or any employee or official of the state
17 if:
- 18 (1) prior to entering into any contract for the
19 services of an entity to administer a structured
20 settlement agreement, the Attorney General
21 receives proposals from at least three entities
22 engaged in providing such services, and
- 23 (2) the selection of a particular entity is made on
24 the basis of the response to the request which is

1 the most economical and provides the most
2 competent service which furthers the best
3 interests of the state,

4 i. an acquisition by a state agency pursuant to a
5 contract the State Purchasing Director enters into on
6 behalf of a state agency or awards and designates for
7 use by state agencies,

8 j. an acquisition by the Committee for Sustaining
9 Oklahoma's Energy Resources pursuant to a contract
10 with a local supplier for the purpose of holding a
11 special event or an exhibition throughout the state,
12 and

13 k. contracts for the study, analysis, and planning, as
14 reasonably necessary, to aid in determining the
15 feasibility of leasing, selling, or privately managing
16 or developing the property or facilities under control
17 of the Oklahoma Tourism and Recreation Commission.
18 The Commission shall be exempt from the competitive
19 bidding requirements of the Oklahoma Central
20 Purchasing Act for the purpose of soliciting,
21 negotiating, and effectuating such a contract or
22 contracts; provided, that the State Purchasing
23 Director shall review and audit all uses of the
24 exemptions provided in this subparagraph biannually.

1 7. Notwithstanding any other provision of law, an acquisition
2 may be exempted from requirements of this section by the State
3 Purchasing Director when in the State Purchasing Director's
4 discretion unusual, time-sensitive or unique circumstances exist
5 which make such exemption in the best and immediate interest of the
6 state. As used in this subsection, "State Purchasing Director"
7 shall not mean a designee. Any such acquisitions shall be described
8 in detail and publicly posted as a data feed. The description shall
9 include the name of the supplier, cost of the acquisition, reason
10 for exemption and, as applicable, detailed comparison of the
11 acquisition with comparable items, any identified cost savings
12 resulting from the acquisition and a description of benefits to the
13 state. The State Purchasing Director shall take no action under the
14 provisions of this subsection prior to such public posting.

15 B. Competitively bid acquisitions shall be awarded to the
16 lowest and best, or best value, bidder, or bidders.

17 C. Bids for an amount requiring submission of requisitions to
18 the Purchasing Division shall be evaluated by the Purchasing
19 Division and the state agency receiving the acquisition. At a
20 minimum, cost and technical expertise shall be considered in
21 determining the lowest and best, or best value, bid. Further, the
22 state agency shall present its evaluation and recommendation to the
23 State Purchasing Director. A documented evaluation report
24 containing the evaluations of the Purchasing Division or the state

1 agency shall be completed prior to the contract award and such
2 report shall be a matter of public record.

3 D. Except as otherwise specifically provided by law, the
4 acquisition of food items or food products by a state agency from a
5 public trust created pursuant to Sections 176 through 180.56 of
6 Title 60 of the Oklahoma Statutes shall comply with competitive
7 bidding requirements of this section.

8 E. Cooperative contracts shall not be utilized unless the
9 purchasing cooperative and its affiliated suppliers have complied
10 with competitive bid requirements of the Oklahoma Central Purchasing
11 Act and associated rules.

12 F. Notwithstanding any provision of the Oklahoma Central
13 Purchasing Act, in all cases where federal granted funds are
14 involved, the federal laws, rules and regulations thereto shall
15 govern to the extent necessary to inure to the benefit of such funds
16 to this state.

17 G. A court order requiring an acquisition by a state agency,
18 whether or not such state agency is subject to the Oklahoma Central
19 Purchasing Act, shall not invalidate competitive bidding procedures
20 required by this section if such court order does not specify a
21 specific supplier. Any such acquisition shall comply with
22 competitive bid procedures.

23 SECTION 308. AMENDATORY 74 O.S. 2021, Section 85.43, is
24 amended to read as follows:

1 Section 85.43. A. Each chief administrative officer of a state
2 agency shall submit to the State Purchasing Director by November 1
3 of each year a report listing all acquisitions exceeding the
4 agency's acquisition threshold amount for the preceding fiscal year
5 and identify the following:

- 6 1. Professional services contracts;
- 7 2. Nonprofessional services contracts;
- 8 3. Sole source and sole brand acquisitions; and
- 9 4. Contracts for the leasing of personal property other than a
10 lease acquisition utilizing a statewide contract.

11 B. The report shall contain:

- 12 1. The name of the supplier;
- 13 2. A description of each acquisition;
- 14 3. The purchase price of the acquisition; and
- 15 4. The total amount expended to date for the preceding fiscal
16 year for the acquisition.

17 C. The state agency shall additionally submit the report to the
18 State Auditor and Inspector and, upon request, electronically submit
19 such report to any member of the Appropriations and Budget Committee
20 of the House of Representatives or Appropriations Committee of the
21 Senate utilizing the centralized filing system provided for in
22 Section 378 of this act.

1 D. The State Auditor and Inspector shall review the report for
2 compliance with statutes and rules or other provisions of law
3 applicable to sole source and sole brand acquisitions.

4 SECTION 309. AMENDATORY 74 O.S. 2021, Section 85.44D.1,
5 is amended to read as follows:

6 Section 85.44D.1. A. 1. A sole source acquisition is exempt
7 from competitive bidding procedures as a sole source or requirements
8 of this act, but a sole brand acquisition is subject to such
9 competitive bidding requirements.

10 2. For each sole source or sole brand acquisition, the state
11 agency shall retain in the state agency's acquisition file and
12 attach to the requisition, a certification signed by the chief
13 administrative officer of the state agency, in the following form:

14 SOLE SOURCE OR SOLE BRAND ACQUISITION

15 CERTIFICATION

16 STATE AGENCY _____

17 SUPPLIER NAME _____

18 SUPPLIER ADDRESS _____

19 SUPPLIER CONTACT INFORMATION _____

20 In connection with the attached requisition or contract, I
21 hereby affirm that

22 (Name of Supplier)

23

24

1 is the only business entity singularly qualified to provide the
2 acquisition, or is the only brand satisfying the acquisition
3 requirements, for the following reasons:

4 _____
5 _____
6 _____
7 _____
8 _____

9 The following is a brief description of all efforts made to
10 verify that the acquisition qualifies as a sole source or sole brand
11 acquisition:

12 _____
13 _____
14 _____
15 _____
16 _____

17 I understand that the signing of this certification knowing such
18 information to be false may result in forfeiture of my position and
19 ineligibility for appointment to or employment in state service for
20 a period of five (5) years following forfeiture of position.

21 _____
22 (Chief administrative officer)

23 3. A court order requiring a particular acquisition, but which
24 does not specify a brand or supplier shall not substitute for the

1 certification required by this section or otherwise invalidate
2 acquisition procedures required by the Oklahoma Central Purchasing
3 Act.

4 4. Upon a determination by the Director of the Office of
5 Management and Enterprise Services that there are reasonable grounds
6 to believe that a violation of this section has occurred, the
7 Director shall send findings to the Attorney General that support
8 the determination. The Attorney General shall review the findings
9 and determine whether to investigate or prosecute the person.

10 5. Prior to approving a requisition for a sole source or sole
11 brand acquisition, the Purchasing Division shall require the signed
12 certification documenting the need for a sole source or sole brand
13 acquisition and shall retain the certification in accordance with
14 state record retention requirements.

15 6. For a sole source or sole brand acquisitions exceeding the
16 fair and reasonable acquisition threshold amount and not requiring
17 submission of a requisition to the Purchasing Division, the state
18 agency's certified procurement officer shall retain, in the
19 acquisition file, the signed certification documenting the need for
20 the sole source or sole brand acquisition in accordance with state
21 record retention requirements.

22 B. By the fifteenth day of each month, or the first working day
23 thereafter, the Office of Management and Enterprise Services shall,
24

1 utilizing the centralized filing system provided for in Section 378
2 of this act, electronically provide a report to:

3 1. The Speaker of the House of Representatives and the
4 President Pro Tempore of the Senate; and

5 2. Any member of the Legislature requesting the report.

6 The report shall detail sole source and sole brand acquisitions
7 by state agencies for the month prior to the month preceding the
8 submission of the report. The report shall be titled "Monthly Sole
9 Source and Sole Brand Contracting Report of Oklahoma State Agencies"
10 and indicate the time period of the report. The report shall be
11 provided by the Director of the Office of Management and Enterprise
12 Services or the Director's designee. The report shall be in
13 columnar database format and shall include at least the following
14 fields of information: state agency number; state agency name; date
15 created by the Office of Management and Enterprise Services for the
16 requisition; date of either approval or disapproval of the
17 requisition; if disapproved, the reason why such contract
18 requisition was disapproved; estimated amount of the requisition
19 acquisition; purchase order amount; purchase order number; actual
20 business name of supplier; supplier federal employer identification
21 number; and the commodity classification listing at the appropriate
22 level to distinguish between similar acquisitions. Information
23 required by this subsection shall be reported and maintained on each
24 report through the next reporting period after an acquisition is

1 made. The applicable data in the fields of information specified in
2 this subsection shall be listed even if the state agency requisition
3 is disapproved.

4 SECTION 310. AMENDATORY 74 O.S. 2021, Section 85.45f, is
5 amended to read as follows:

6 Section 85.45f. On or before July 15 of each year, the State
7 Purchasing Director shall, utilizing the centralized filing system
8 provided for in Section 378 of this act, electronically submit a
9 report to the Governor, the Speaker of the House of Representatives,
10 and the President Pro Tempore of the Senate on the status of the
11 percentile of state funds expended on contracts awarded to minority
12 business in the preceding fiscal year and provide any report,
13 statistic or information concerning the compliance of the Office of
14 Management and Enterprise Services with the Oklahoma Minority
15 Business Enterprise Assistance Act.

16 SECTION 311. AMENDATORY 74 O.S. 2021, Section 85.45j.11,
17 is amended to read as follows:

18 Section 85.45j.11. A. There is hereby created the "Oklahoma
19 Supplier Diversity Initiative", which shall be a state-sponsored
20 supplier diversity program to provide a resource for state agencies
21 and private businesses to utilize diverse firms in procurement
22 opportunities to encourage growth in the economy of the state. The
23 program shall provide convenience for qualified and certified small
24

1 business enterprises and minority business enterprises in
2 contracting projects in underserved areas.

3 B. The program shall allow diverse business enterprises to
4 register with the Office of Management and Enterprise Services and
5 allow registered vendors to be automatically notified of
6 opportunities to do business with the state for specific
7 commodities. The program shall provide for simplified vendor
8 registration processes.

9 C. The program shall authorize the Oklahoma Department of
10 Commerce to develop a diversity certification program to qualify and
11 certify diverse business enterprises for the state.

12 D. To qualify for the program, businesses shall have less than
13 five hundred total employees, an annual revenue equal to or less
14 than Twenty-five Million Dollars (\$25,000,000.00), and be certified
15 as one of the following:

16 1. An Oklahoma Department of Transportation Disadvantaged
17 Business Enterprise;

18 2. Any of the following entities certified by the United States
19 Small Business Administration:

20 a. Woman-Owned Small Business,

21 b. Minority-Business Enterprise,

22 c. Small Disadvantaged Business,

23 d. Service-disabled Veteran-Owned Small Business,

24 e. HUBZone Small Business Concern, and

1 f. 8(a) Business Development Program;

2 3. A Native American-owned Business; or

3 4. A Veteran-owned Business.

4 E. The Central Purchasing Division of the Office of Management
5 and Enterprise Services shall:

6 1. Amend the vendor registration process to require diversity
7 certification check off and size standard information; and

8 2. Create a search tool for all state agencies and public or
9 private entities to utilize to obtain contact information for
10 diverse firms for the purpose of promoting procurement opportunities
11 within the state.

12 F. On or before September 1 of each year, the State Purchasing
13 Director shall, utilizing the centralized filing system provided for
14 in Section 378 of this act, electronically submit a report to the
15 Governor, the Speaker of the House of Representatives, and the
16 President Pro Tempore of the Senate on the status of the percentile
17 of state funds expended on contracts awarded to a certified Oklahoma
18 Department of Transportation Disadvantaged Business Enterprise and
19 all of the entities certified by the United States Small Business
20 Administration mentioned in subsection D of this section in the
21 preceding fiscal year. The report may include related economic
22 impacts when applicable. The report, statistics, or other
23 information concerning the participation in the program shall be
24 retained by the Office of Management and Enterprise Services.

1 G. The Oklahoma Department of Commerce shall promulgate rules
2 to create and administer the Oklahoma Supplier Diversity Initiative.

3 SECTION 312. AMENDATORY 74 O.S. 2021, Section 150.5, is
4 amended to read as follows:

5 Section 150.5. A. 1. Oklahoma State Bureau of Investigation
6 investigations not covered under Section 150.2 of this title shall
7 be initiated at the request of the following persons:

8 a. the Governor,

9 b. the Attorney General,

10 c. the Council on Judicial Complaints upon a vote by a
11 majority of the Council,

12 d. the chair of any Legislative Investigating Committee
13 which has been granted subpoena powers by resolution,
14 upon authorization by a vote of the majority of the
15 Committee,

16 e. the Director of the Department of Human Services, or
17 designee, as authorized by Section 1-2-105 of Title
18 10A of the Oklahoma Statutes, or

19 f. a district court judge as authorized by Section 1-2-
20 103 of Title 10A of the Oklahoma Statutes.

21 2. Requests for investigations shall be submitted in writing
22 and shall contain specific allegations of wrongdoing under the laws
23 of the State of Oklahoma.
24

1 B. The Governor may initiate special background investigations
2 with the written consent of the person who is the subject of the
3 investigation.

4 C. The chair of any Senate committee which is fulfilling the
5 statutory responsibility for approving nominations made by the
6 Governor may, upon a vote by a majority of the committee and with
7 the written consent of the person who is to be the subject of the
8 investigation, initiate a special background investigation of any
9 nominee for the Oklahoma Horse Racing Commission as established by
10 Section 201 of Title 3A of the Oklahoma Statutes or any nominee for
11 the Board of Trustees of the Oklahoma Lottery Commission as
12 established by Section 704 of Title 3A of the Oklahoma Statutes.
13 The Bureau shall, utilizing the centralized filing system provided
14 for in Section 378 of this act, electronically submit a report to
15 the committee within thirty (30) days of the receipt of the request.
16 Any consideration by the committee of a report from the Bureau shall
17 be for the exclusive use of the committee and shall be considered
18 only in executive session.

19 D. 1. All records relating to any investigation being
20 conducted by the Bureau, including any records of laboratory
21 services provided to law enforcement agencies pursuant to paragraph
22 1 of Section 150.2 of this title, shall be confidential and shall
23 not be open to the public or to the Commission except as provided in
24 Section 150.4 of this title; provided, however, officers and agents

1 of the Bureau may disclose, at the discretion of the Director, such
2 investigative information to:

- 3 a. officers and agents of federal, state, county, or
4 municipal law enforcement agencies and to district
5 attorneys, in the furtherance of criminal
6 investigations within their respective jurisdictions,
- 7 b. employees of the Department of Human Services in the
8 furtherance of child abuse investigations, and
- 9 c. appropriate accreditation bodies for the purposes of
10 the Bureau's obtaining or maintaining accreditation.

11 2. Any unauthorized disclosure of any information contained in
12 the confidential files of the Bureau shall be a misdemeanor. The
13 person or entity authorized to initiate investigations in this
14 section, and the Attorney General in the case of investigations
15 initiated by the Insurance Commissioner, shall receive a report of
16 the results of the requested investigation. The person or entity
17 requesting the investigation may give that information only to the
18 appropriate prosecutorial officer or agency having statutory
19 authority in the matter if that action appears proper from the
20 information contained in the report, and shall not reveal or give
21 such information to any other person or agency. Violation hereof
22 shall be deemed willful neglect of duty and shall be grounds for
23 removal from office.

1 E. It shall not be a violation of this section to reveal
2 otherwise confidential information to outside agencies or
3 individuals who are providing interpreter services, questioned
4 document analysis, laboratory services, or other specialized
5 services that are necessary in the assistance of Bureau
6 investigations. Individuals or agencies receiving the confidential
7 and investigative information or records or results of laboratory
8 services provided to the Bureau by those agencies or individuals,
9 shall be subject to the confidentiality provisions and requirements
10 established in subsection D of this section.

11 F. It shall not be a violation of this section to reveal for
12 training or educational purposes otherwise confidential information
13 from records relating to any investigation previously conducted by
14 the Bureau, including any records of laboratory services provided to
15 law enforcement agencies pursuant to paragraph 1 of Section 150.2 of
16 this title, so long as ten (10) or more years have passed since the
17 production of the information or record.

18 G. It shall not be a violation of this section to reveal
19 otherwise confidential information from records relating to any
20 investigation being conducted by the Bureau, including any records
21 of laboratory services provided to law enforcement agencies pursuant
22 to paragraph 1 of Section 150.2 of this title or to the public,
23 provided, release of the confidential information has been
24 authorized by the Director of the Bureau for the purposes of

1 developing or obtaining further information reasonably necessary to
2 the successful conclusion of a criminal investigation being
3 conducted by the Bureau or authorized by the Director of the Bureau
4 for the purpose of advising crime victims or family representatives
5 of homicide victims regarding the status of a pending investigation.

6 H. The State Treasurer shall initiate a complete background
7 investigation of the positions with the written consent of the
8 persons who are the subject of the investigation pursuant to
9 subsection I of Section 71.1 of Title 62 of the Oklahoma Statutes.
10 The Bureau shall advise the State Treasurer and the Cash Management
11 and Investment Oversight Commission in writing of the results of the
12 investigation.

13 SECTION 313. AMENDATORY 74 O.S. 2021, Section 150.38, is
14 amended to read as follows:

15 Section 150.38. A. Subject to the availability of funds, there
16 is hereby established within the Oklahoma State Bureau of
17 Investigation the Child Abuse Response Team (CART) for the purpose
18 of investigating cases of physical and sexual abuse of a child. For
19 the purpose of implementing CART, the Bureau shall employ at least
20 eight Law Enforcement Special Agents assigned to the CART, which
21 shall be full-time-equivalent positions within the Bureau. The
22 previously unclassified positions of CART investigator and CART
23 forensic interviewer shall be transferred to and placed in the
24 classified service without a loss in salary.

1 B. In addition to any other law or rule specifying requirements
2 or qualifications for an OSBI agent to be employed by the Bureau,
3 the Child Abuse Response Team employees shall be qualified for the
4 respective positions as follows:

5 1. Every CART Agent shall:

- 6 a. have at least three (3) years of experience as a
7 criminal investigator in a law enforcement agency or
8 agencies,
- 9 b. be currently certified as a peace officer by the
10 Council on Law Enforcement Education and Training
11 (CLEET),
- 12 c. have served as the primary criminal investigative
13 officer in a law enforcement agency or agencies on
14 cases of physical or sexual abuse of a child,
- 15 d. have graduated from an accredited college or
16 university with a bachelor degree,
- 17 e. have experience in conducting forensic interviews of
18 children in cases of physical or sexual abuse of a
19 child,
- 20 f. have experience testifying in cases of physical or
21 sexual abuse of a child, and
- 22 g. have completed at least one hundred (100) hours of
23 education or training on forensic interviewing of a
24 child.

1 2. If the director of the Oklahoma State Bureau of
2 Investigation is unable to find a person whose qualifications meet
3 or exceed the qualifications specified for the position of Law
4 Enforcement Special Agent assigned to the CART, the director is
5 authorized to offer such position to a person whose qualifications
6 substantially meet the qualifications specified for the position.

7 C. The Bureau may promulgate rules, procedures and forms
8 necessary to establish and implement the functions of the Child
9 Abuse Response Team and to coordinate responsibilities with other
10 persons or agencies having responsibilities relating to child abuse
11 investigation and response to child abuse. Members of the Child
12 Abuse Response Team are authorized, when available, to be involved
13 and utilized in investigations of crimes other than cases of
14 physical and sexual abuse of a child.

15 ~~D. On or before July 1, 2015, the Bureau shall submit to the~~
16 ~~Governor, President Pro Tempore of the Senate, and Speaker of the~~
17 ~~House of Representatives a statistical report regarding the~~
18 ~~activities of the CART.~~

19 SECTION 314. AMENDATORY 74 O.S. 2021, Section 212, as
20 amended by Section 1, Chapter 93, O.S.L. 2022 (74 O.S. Supp. 2025,
21 Section 212), is amended to read as follows:

22 Section 212. A. STATE TREASURER AND OKLAHOMA TAX COMMISSION

23 1. The State Treasurer shall prepare annual financial
24 statements in accordance with the reporting requirements set forth

1 by the Governmental Accounting Standards Board (GASB). The State
2 Treasurer shall prescribe and implement sound internal control,
3 accounting and recordkeeping practices consistent with and to
4 facilitate compliance with all reporting requirements as set forth
5 by law.

6 2. The annual financial statements of the State Treasurer shall
7 be delivered by the State Treasurer to the State Auditor and
8 Inspector within ninety (90) calendar days after the close of the
9 state fiscal year.

10 3. The State Auditor and Inspector shall perform an audit of
11 the annual financial statements of the State Treasurer for each
12 state fiscal year. Such audits shall be conducted in accordance
13 with auditing standards generally accepted in the United States and
14 the standards applicable to financial audits contained in Government
15 Auditing Standards, latest revised edition, issued by the
16 Comptroller General of the United States. The State Auditor and
17 Inspector shall complete the audits not later than ninety (90)
18 calendar days after the financial statements are delivered to the
19 State Auditor and Inspector. The annual audit reports and related
20 financial statements shall be electronically delivered by the State
21 Auditor and Inspector to the Governor, President Pro Tempore of the
22 Senate, and Speaker of the House of Representatives utilizing the
23 centralized filing system provided for in Section 378 of this act.
24 The annual audit report and related financial statements of the

1 State Treasurer shall also be delivered to the Attorney General and
2 the members of the Cash Management and Investment Oversight
3 Commission created by Section 71.1 of Title 62 of the Oklahoma
4 Statutes. The State Auditor and Inspector shall conduct unannounced
5 cash audits of the State Treasury at least once each quarter.

6 4. The audit of the Tax Commission shall be an operational
7 audit performed annually. To the extent of the amount included in
8 the Tax Commission's appropriation, the Tax Commission shall pay the
9 expenses of the audit including personal services, equipment and
10 supplies, from the appropriation.

11 B. STATE AGENCIES

12 1. Except as otherwise provided by law, the State Auditor and
13 Inspector shall audit at least once every two (2) fiscal years the
14 books and accounts of all state agencies whose duty it is to
15 collect, disburse or manage funds of the state. The State Auditor
16 and Inspector shall audit a state agency each fiscal year if that
17 state agency is required to be audited on an annual basis pursuant
18 to the federal Single Audit Act of 1984, as amended, 31 U.S.C.,
19 Section 7501 et seq. If the state agency is audited only once every
20 two (2) fiscal years, the audit shall cover both fiscal years.

21 2. Except as otherwise provided by law, the scope of audits
22 performed by the State Auditor and Inspector shall include all funds
23 collected, disbursed, or managed by a state agency including, but
24

1 not limited to, all special, revolving, depository, canteen, or
2 other nonstate funds.

3 3. As used in this section, "state agency" means every agency,
4 board, or commission included in the primary government of the State
5 of Oklahoma. For purposes of this paragraph, the primary government
6 of the State of Oklahoma includes all agencies, boards, and
7 commissions included in the primary government in the State of
8 Oklahoma Comprehensive Annual Financial Report. The agencies,
9 boards, and commissions included in the primary government of the
10 State of Oklahoma shall be determined using criteria set by the
11 Governmental Accounting Standards Board.

12 4. As used in this subsection, "audit" means any of the
13 following:

14 a. "financial audit", which means an audit of financial
15 statements in order to express an opinion on the
16 fairness with which they are presented in conformity
17 with generally accepted accounting principles or any
18 other comprehensive basis of accounting, as defined by
19 the American Institute of Certified Public
20 Accountants' Professional Standards, latest revised
21 edition. Financial audits ~~must~~ shall be conducted in
22 accordance with auditing standards generally accepted
23 in the United States and the standards applicable to
24 financial audits contained in Government Auditing

- Standards, latest revised edition, issued by the
Comptroller General of the United States,
- b. "operational audit", which means an audit conducted in
accordance with applicable Government Auditing
Standards, the purpose of which is to evaluate
management's performance in administering assigned
responsibilities in accordance with applicable laws,
administrative rules, and other policies and
guidelines and to determine the extent to which the
internal control, as designed and placed in operation,
promotes and encourages the achievement of
management's control objectives in the categories of
compliance, reliability of financial records and
reports, and safeguarding of assets,
- c. "performance audit", which means an audit of a
program, activity, or function of a state agency
conducted in accordance with applicable Government
Auditing Standards. The term includes, but is not
limited to, an audit to assess program, activity, or
function effectiveness, economy and efficiency,
internal control, or compliance,
- d. "special or investigative audit", which means an audit
with respect to a particular situation which may be,

1 but is not required to be, conducted in accordance
2 with applicable Government Auditing Standards,
3 e. any other type of engagement conducted in accordance
4 with Government Auditing Standards, and
5 f. engagements not conducted in accordance with
6 Government Auditing Standards, when engagements
7 involve state agencies that collect less than Three
8 Million Dollars (\$3,000,000.00) annually.

9 C. GUBERNATORIAL REQUEST

10 Whenever called upon to do so by the Governor, it shall be the
11 duty of the State Auditor and Inspector to examine the books and
12 accounts of any officer of the state or any of the officer's
13 predecessors. The cost of the audit shall be borne by the entity to
14 be audited.

15 D. COUNTY TREASURER

16 The State Auditor and Inspector shall examine without notice all
17 books and accounts of each county treasurer of the state twice each
18 year.

19 E. DISTRICT ATTORNEYS

20 1. The State Auditor and Inspector shall annually audit the
21 books and accounts of the several offices of the district attorneys
22 of this state. The audits shall be reported in separate reports for
23 each entity. The audit may include, but shall not be limited to,
24 the audit of the financial records, performance measures, and

1 compliance with state or federal statutes and rules, and compliance
2 with any regulations of state or federal programs. The expense of
3 the audits shall be paid by the entity audited.

4 2. The State Auditor and Inspector shall examine and file a
5 report of the accounts established within the office of each
6 district attorney for bogus check programs, drug task force
7 programs, child support collection programs, and any other programs
8 receiving any nonstate funds. The reports shall be filed with the
9 President Pro Tempore of the Senate, the Speaker of the House of
10 Representatives, and the Executive Coordinator of the District
11 Attorneys Council.

12 F. DEPARTMENT OF CORRECTIONS

13 The State Auditor and Inspector shall perform an annual audit,
14 as defined in paragraph 4 of subsection B of this section, of the
15 books and accounts of the Department of Corrections. The scope of
16 the audit shall be determined by the State Auditor and Inspector
17 using a risk-based approach. The audit may include, but shall not
18 be limited to, the audit of the financial records, performance
19 measures, and compliance with any state or federal statutes and
20 rules, and compliance with any regulations of state or federal
21 programs. The expense of the audits shall be paid by the Department
22 of Corrections.

23 G. OKLAHOMA EMPLOYEES INSURANCE AND BENEFITS BOARD
24

1 The State Auditor and Inspector shall cause to be audited the
2 books and accounts of the office of the Oklahoma Employees Insurance
3 and Benefits Board. The audit may include, but shall not be limited
4 to, the audit of the financial records, performance measures,
5 compliance with any state or federal statutes and rules, and
6 compliance with any regulations of state programs. The audit shall
7 be contracted out to private audit firms. The cost of the audit
8 shall be borne by the Oklahoma Employees Insurance and Benefits
9 Board.

10 H. DISTRICT ATTORNEY REQUEST

11 Whenever called upon to do so by any of the several district
12 attorneys of the state, it shall be the duty of the State Auditor
13 and Inspector to examine the books and accounts of any officer of
14 any public entity. The cost of the audit shall be borne by the
15 entity audited.

16 I. COUNTY OFFICERS BY REQUEST

17 Upon request of the county commissioners of any county or the
18 Governor, the State Auditor and Inspector shall examine the books
19 and accounts of all or any of the officers or custodians of the
20 various funds of the county; and payment for such examination shall
21 be made by the county so examined.

22 J. AUDITORS

23 The State Auditor and Inspector shall have power to employ
24 auditors. No auditor shall examine the books or records of the

1 county of the auditor's residence in counties of under two hundred
2 thousand (200,000) population according to the most recent Federal
3 Decennial Census. The State Auditor and Inspector may employ on an
4 as-needed basis only, legal counsel to carry out the statutory
5 duties of the Office of the State Auditor and Inspector.

6 K. EXAMINATION OF LEVIES

7 It shall be the duty of the State Auditor and Inspector to
8 examine all levies to raise public revenue to see that they are made
9 according to law and constitutional provisions. The State Auditor
10 and Inspector shall have the power to order all excessive or
11 erroneous lines (levies) to be corrected by the proper officers, and
12 shall report any irregularities to the Governor, the Speaker of the
13 House of Representatives and the President Pro Tempore of the
14 Senate.

15 L. PETITION AUDITS

16 1. The State Auditor and Inspector shall audit the books and
17 records of any subdivision of the State of Oklahoma upon petition
18 signed by the requisite number of voters registered in the
19 subdivision and meeting the requirements set out in this subsection.

20 2. The petition ~~must~~ shall contain the number of signatures
21 equivalent to ten percent (10%) of the registered voters of the
22 subdivision as determined by the county election board or, if the
23 county election board determines that the number of registered
24 voters in the subdivision cannot be determined due to boundary lines

1 not conforming to precinct lines, the required number of petitioners
2 shall be twenty-five percent (25%) of the total number of persons
3 voting in the last general election. If the subdivision is a public
4 trust, the required number of petitioners shall be the same as those
5 required for an audit of its beneficiary. The appropriate county
6 election board shall provide the number of signatures so required
7 upon request.

8 3. The petition shall be in the form of an affidavit wherein
9 the signatory shall declare upon oath or affirmation that the
10 information given is true and correct and that he or she is a
11 citizen of the entity to be audited. The petition shall clearly
12 state that falsely signing shall constitute perjury. It shall
13 include the signature of the individual, the name of the signatory
14 in printed form, the individual's residential address, the date of
15 signing, the public entity to be audited and the anticipated range
16 of the cost of the audit provided by the State Auditor and
17 Inspector.

18 4. Any person desiring to petition for an audit shall list the
19 areas, items or concerns they want to be audited, and request from
20 the State Auditor and Inspector the anticipated range of cost of the
21 audit. Within thirty (30) days from the receipt of the request, the
22 State Auditor and Inspector shall mail a petition form to the person
23 requesting the information which shall state the anticipated range
24 of the cost and the items or concerns to be audited. The

1 | circulators of the petition shall have thirty (30) days from the
2 | date the petition is mailed by the State Auditor and Inspector to
3 | obtain the requisite number of signatures and return it to the State
4 | Auditor and Inspector.

5 | 5. Upon collection of the required number of signatures, the
6 | person desiring the audit shall present the signed petitions to the
7 | State Auditor and Inspector. Within thirty (30) days of receipt of
8 | the petitions, the State Auditor and Inspector shall present the
9 | petitions to the county election board located in the county in
10 | which the subdivision is located.

11 | 6. The county election board shall determine whether the
12 | signers of the petition are registered voters of the county in which
13 | the subdivision to be audited is located and whether the petition
14 | has the requisite number of signatures of such registered voters.
15 | The county election board shall certify the petition as having the
16 | required number of signatures or as failing to have the required
17 | number of signatures and return it to the State Auditor and
18 | Inspector.

19 | 7. The cost of the audit shall be borne by the public entity
20 | audited. Upon notification by the State Auditor and Inspector of
21 | receipt of the petition, certified by the county election board as
22 | having the required number of signatures, the public entity shall
23 | encumber funds in an amount specified by the State Auditor and
24 | Inspector, which shall be within the range of anticipated cost

1 stated on the petition from any funds not otherwise specifically
2 appropriated or allocated. Payment for the audit from such
3 encumbered funds shall be made as work progresses, and final payment
4 shall be made on or before its publication.

5 8. The names of the signers of any petition shall be
6 confidential and neither the State Auditor and Inspector, the county
7 election board nor the county treasurer may release them to any
8 other person or entity except upon an order from a court of
9 competent jurisdiction.

10 M. PENALTIES FOR NONPAYMENT

11 Except as otherwise provided by law, the cost of any services
12 provided by the State Auditor and Inspector or as specified in an
13 audit contract shall be borne by the entity or fund audited and
14 shall be due and payable upon receipt of progress billing during the
15 course of an audit. Any such costs not paid within ninety (90) days
16 of the date of receipt of billing shall incur a penalty of Ten
17 Dollars (\$10.00) per day for each day from the date of receipt of
18 billing.

19 SECTION 315. AMENDATORY 74 O.S. 2021, Section 213.2, is
20 amended to read as follows:

21 Section 213.2. A. There is hereby created in the Office of the
22 State Auditor and Inspector a Performance Audit Division, subject to
23 the discretion of the State Auditor and Inspector. An Assistant
24 State Auditor and Inspector may be appointed to direct the

1 operations of the Division, subject to the supervision and control
2 of the State Auditor and Inspector at all times.

3 B. The State Auditor and Inspector, deputies and agents of the
4 Performance Audit Division may examine all books and accounts of all
5 public officers, institutions and other governmental entities
6 specified in Sections 212 through 227.9 of this title to instruct
7 the proper officers thereof in the performance of their duties and
8 to prescribe cost-effective methods of operating such governmental
9 entities; provided, however, the State Auditor and Inspector shall
10 perform the examinations authorized in this subsection upon
11 receiving a written request to do so by the Governor, the chief
12 executive officer of a governmental entity or pursuant to a joint or
13 concurrent resolution of the Legislature. A copy of the examination
14 shall be given to the examined entity. A copy of any examination
15 conducted pursuant to this subsection shall be electronically
16 submitted to the Governor, the Speaker of the House of
17 Representatives, the President Pro Tempore of the Senate, the
18 appropriations and budget chairs of the House of Representatives and
19 the Senate, and the Minority Leader of the House of Representatives
20 and of the Senate utilizing the centralized filing system provided
21 for in Section 378 of this act.

22 C. The cost of the examinations authorized pursuant to
23 subsection B of this section shall be borne by the examined agency
24 in an amount not to exceed the actual costs of the examination.

1 Prior to the start of such an examination, the State Auditor and
2 Inspector shall prepare in writing and present to the affected state
3 agency an estimate of the cost of the examination. If the estimate
4 requires revision, the State Auditor and Inspector shall notify the
5 agency in a prompt manner. Except as otherwise provided, the State
6 Auditor and Inspector shall recover its costs for the examination
7 pursuant to monthly progress billings presented by the State Auditor
8 and Inspector to the Office of Management and Enterprise Services
9 detailing current monthly costs for each examination. In addition,
10 the State Auditor and Inspector shall provide a copy of the billing
11 to the affected state agency. The Office of Management and
12 Enterprise Services may deduct the amounts billed from the next
13 subsequent allotment for the corresponding state agency and transfer
14 the funds to the State Auditor and Inspector Revolving Fund.

15 D. The salaries and traveling expenses of the Assistant State
16 Auditor and Inspector, deputies and agents of the Performance Audit
17 Division and the costs of material, supplies and equipment for the
18 Division shall be paid from funds made available through
19 appropriation by the Legislature.

20 E. The State Auditor and Inspector shall, utilizing the
21 centralized filing system provided for in Section 378 of this act,
22 electronically submit an annual report of the Performance Audit
23 Division to the Governor, the President Pro Tempore of the Senate,
24 the Speaker of the House of Representatives, appropriations and

1 budget chairs of the House of Representatives and the Senate, and
2 the Minority Leader of the Senate and of the House of
3 Representatives.

4 SECTION 316. AMENDATORY 74 O.S. 2021, Section 214, is
5 amended to read as follows:

6 Section 214. The State Auditor and Inspector shall prescribe a
7 uniform system of bookkeeping for the use of all county officials to
8 afford a suitable check upon their mutual acts and ensure a thorough
9 inspection, and to ensure the safety of the state and county funds.

10 He or she shall have full authority to prescribe a system of

11 bookkeeping for all county officers which shall be in accordance

12 with generally accepted accounting principles, as applied to

13 governmental units, except when in conflict with Oklahoma Statutes,

14 and when necessary instruct or cause to be instructed the state and

15 county officers in the proper mode of keeping the accounts.

16 Provided however, when a conflict with Oklahoma Statutes arises

17 concerning accounting systems for those counties utilizing

18 electronic data processing, the county may request in writing that

19 the State Auditor and Inspector approve an alternate accounting

20 procedure. The State Auditor and Inspector shall have the authority

21 to approve or disapprove such requests. Annually, the State Auditor

22 and Inspector shall, utilizing the centralized filing system

23 provided for in Section 378 of this act, electronically provide a

24 report of those counties requesting alternate accounting systems to

1 the Speaker of the House of Representatives and the President Pro
2 Tempore of the Senate. The State Auditor and Inspector shall not
3 change any accounting systems or procedures during the last year of
4 his or her term of office that would have an impact on the ability
5 of any independent licensed public accountant to provide auditing
6 services to such officers. He or she shall make a thorough
7 examination of the books, accounts, and vouchers of such officers,
8 ascertaining in detail the various items of receipts and
9 expenditures. He or she shall report to the Governor the refusal or
10 neglect of any state or county officer to obey his or her
11 instruction. He or she shall make a report of the result of his or
12 her examination, which shall be filed in the Office of the State
13 Auditor and Inspector, as well as any failure of duty by any
14 financial officers, and the Governor may cause the result of such
15 examination to be published. Provided, that no county officer shall
16 be required to discard any books or supplies on hand.

17 SECTION 317. AMENDATORY 74 O.S. 2021, Section 324.2, is
18 amended to read as follows:

19 Section 324.2. The Commission shall select a chair. The
20 Commission is hereby authorized to adopt rules necessary for the
21 licensure, regulation, and enforcement of the fire extinguishers
22 pursuant to the Fire Extinguisher Licensing Act and for conducting
23 its proceedings. Any four members shall constitute a quorum. The
24 Commission shall meet monthly on such date as it may designate and

1 may meet at such other times as it may deem necessary, or when
2 called by the chairman or by any four members. Complete minutes of
3 each meeting shall be kept and filed in the office of the State Fire
4 Marshal and shall be available for public inspection during
5 reasonable office hours. The Commission shall, utilizing the
6 centralized filing system provided for in Section 378 of this act,
7 electronically report annually to the Governor and to the Speaker of
8 the House of Representatives and the President Pro Tempore of the
9 Senate of the affairs of the Commission and the office of the State
10 Fire Marshal.

11 SECTION 318. AMENDATORY 74 O.S. 2021, Section 325.1, is
12 amended to read as follows:

13 Section 325.1. A. The Oklahoma Council on Firefighter Training
14 is hereby abolished and all powers, duties, and responsibilities of
15 the Oklahoma Council on Firefighter Training shall be transferred to
16 the Office of the State Fire Marshal. All equipment, vehicles,
17 records, furniture, and fixtures of the Oklahoma Council on
18 Firefighter Training shall be turned over to the Office of the State
19 Fire Marshal by January 1, 2018. Any unexpended balance of the
20 Oklahoma Council on Firefighter Training's operational funds as of
21 January 1, 2018, shall be transferred to the State Fire Marshal
22 Revolving Fund.

23 B. There is hereby established within the Office of the State
24 Fire Marshal, the Firefighter Training Advisory Committee.

1 C. The Committee shall consist of representatives of the
2 Oklahoma State Fire Service, with the total number and length of
3 appointments to be determined by the State Fire Marshal Commission.

4 D. The Committee shall:

5 1. Advise and assist the State Fire Marshal Commission in
6 identifying firefighter training needs and setting the firefighter
7 training goals for the State of Oklahoma;

8 2. Advise and assist the State Fire Marshal Commission in
9 interacting with the Homeland Security Department's Preparedness and
10 Awareness Division on firefighter training and grants;

11 3. Advise and assist the State Fire Marshal Commission in
12 administering and maintaining the incentive and recognition programs
13 established for Oklahoma firefighters; and

14 4. Advise and assist the State Fire Marshal Commission in
15 ensuring that the state has consistent basic and continuing
16 education programs that include steps for all ranks or positions of
17 career and volunteer firefighters, by setting minimum standards for
18 career, recommended levels for volunteer, identifying training
19 programs and courses required for fire service members to achieve
20 those levels.

21 E. The Committee shall assist the State Fire Marshal Commission
22 in advising the Governor, the Speaker of the House of
23 Representatives, the President Pro Tempore of the State Senate, and
24 the Oklahoma State Fire Service on fire and emergency service

1 training needs for the state. The State Fire Marshal Commission
2 shall, utilizing the centralized filing system provided for in
3 Section 378 of this act, electronically submit an annual report or
4 recommendations regarding fire and emergency service training needs
5 to the Governor, the Speaker of the House of Representatives, and
6 the President Pro Tempore of the State Senate not later than
7 December 31 each year.

8 F. The Committee shall meet at the discretion of the State Fire
9 Marshal Commission.

10 SECTION 319. AMENDATORY 74 O.S. 2021, Section 450, is
11 amended to read as follows:

12 Section 450. A. The State Legislative Council, the Executive
13 Committee, and all standing and special committees thereof are
14 hereby abolished. Except as otherwise provided in this section, all
15 powers, duties, responsibilities, property, assets, and liabilities
16 administered by the State Legislative Council for the benefit of the
17 Oklahoma Legislature shall be transferred to either the Senate or
18 the House of Representatives as determined by the President Pro
19 Tempore of the Senate and the Speaker of the House of
20 Representatives acting jointly.

21 B. All annual reports or other reports required by law to be
22 submitted to the State Legislative Council, after July 1, 1981,
23 shall be electronically submitted to the President Pro Tempore of
24 the Senate and the Speaker of the House of Representatives utilizing

1 the centralized filing system provided for in Section 378 of this
2 act.

3 SECTION 320. AMENDATORY 74 O.S. 2021, Section 452.8, is
4 amended to read as follows:

5 Section 452.8. A. The Legislature may hold public hearings on
6 the proposals submitted by state agencies, boards, and commissions
7 including those established by statute or Constitution for use of
8 federal monies.

9 B. Prior to any public hearing on a proposal by the Joint
10 Committee on Federal Funds, ten copies of each proposal shall be
11 electronically filed with the Speaker of the House of
12 Representatives and the President Pro Tempore of the Senate
13 utilizing the centralized filing system provided for in Section 378
14 of this act. Additional complete copies shall be provided to the
15 Legislature and individuals by the agencies, boards, and commissions
16 at no charge.

17 C. The Speaker of the House of Representatives and President
18 Pro Tempore of the Senate may refer proposals to the Joint Committee
19 on Federal Funds or other committees of the Legislature for public
20 hearings. Said committees may take facts and make findings and
21 recommendations on the proposals regarding the use and distribution
22 of federal monies as provided by the plans.

23 D. If a proposal is referred to committees of the Legislature
24 other than the Joint Committee on Federal Funds, such committees, by

1 August 1, may make written reports regarding their findings and
2 recommendations and submit such reports to the Joint Committee on
3 Federal Funds. Said reports shall include a summary of public
4 comments received through written or oral testimony during public
5 hearings if a public hearing had been conducted. Where appropriate,
6 the report may recommend amendments to the proposals for
7 consideration by the Joint Committee on Federal Funds.

8 E. The Joint Committee on Federal Funds may hold further public
9 hearings on the proposals.

10 SECTION 321. AMENDATORY 74 O.S. 2021, Section 452.10, is
11 amended to read as follows:

12 Section 452.10. A. Each state agency shall, utilizing the
13 centralized filing system provided for in Section 378 of this act,
14 electronically furnish copies of financial audits, compliance
15 audits, and program reviews on its entity to the Office of
16 Management and Enterprise Services, the State Auditor and Inspector,
17 and the Legislative Service Bureau.

18 B. Each state agency shall, utilizing the centralized filing
19 system provided for in Section 378 of this act, electronically
20 furnish copies of all audits performed on its entity to the
21 Legislature as required by the Legislative Review of State Audits
22 Act.

1 C. Copies of audits furnished to the State Auditor and
2 Inspector shall be furnished in accordance with the provisions of
3 Section 212A of this title.

4 SECTION 322. AMENDATORY 74 O.S. 2021, Section 452.13, is
5 amended to read as follows:

6 Section 452.13. A. Upon the completion of the audit report,
7 the agency shall, utilizing the centralized filing system provided
8 for in Section 378 of this act, electronically deliver ~~two copies a~~
9 copy of the audit report to the Speaker of the House of
10 Representatives ~~and two copies of the audit report to,~~ the President
11 Pro Tempore of the Senate.

12 ~~B. 1. Upon receipt of any audit report, the Speaker of the~~
13 ~~House of Representatives shall submit one copy of the audit report~~
14 ~~to,~~ the ~~Chairman~~ Chair of the House Appropriations and Budget
15 Committee, or successor committee. ~~The President Pro Tempore of the~~
16 ~~Senate shall submit one copy of the audit report to,~~ the Chairman
17 Chair of the Senate Appropriations Committee, or successor
18 committee. ~~The Speaker of the House of Representatives,~~ and the
19 ~~President Pro Tempore of the Senate shall each send a copy of the~~
20 ~~audit report to~~ the appropriate standing committee of the respective
21 body having oversight of the agency submitting the audit report.

22 ~~2.~~ Each committee shall review the audit report.

23 ~~C.~~ B. 1. The members of the legislative committee or any other
24 member of the Legislature reviewing the audit report shall have

1 access to all documents and working papers and any agency documents
2 and records relating to the audit unless specifically precluded by
3 state or federal law.

4 2. Any contract or agreement with an auditor to perform an
5 audit authorized or required by state or federal law or rule shall
6 contain a provision informing the auditor that all documents,
7 working papers and records relating to the audit shall be made
8 available for inspection, upon request, to the legislative committee
9 or to any other member of the Legislature reviewing the final audit
10 report unless specifically precluded by state or federal law.

11 ~~D.~~ C. In reviewing any audit report, or in the performance of
12 reviewing any supporting documents and working papers relating to
13 the audit, members of the Legislature shall be subject to the
14 statutory provisions or other laws or rules regarding the
15 confidentiality of records of the agency under review.

16 SECTION 323. AMENDATORY 74 O.S. 2021, Section 452.14, is
17 amended to read as follows:

18 Section 452.14. A. Each agency body responsible, pursuant to
19 law, for governing and administering an agency shall review each
20 audit report submitted to the Legislature pursuant to Section 4 of
21 this act and shall, utilizing the centralized filing system provided
22 for in Section 378 of this act, electronically submit a written
23 agency response regarding the audit pursuant to this section.

24 B. The written agency response shall include:

1 1. The name and address of the agency;

2 2. Identification of the audit performed and the name of the
3 auditor;

4 3. Any changes implemented or changes proposed to an agency
5 program, financial operation, management process or other agency
6 operation as a result of the audit;

7 4. A plan of action for achieving any recommendation of the
8 auditor;

9 5. A statement for each recommendation in the audit report
10 explaining the reasons for not implementing such recommendation
11 including, but not limited to, need for statutory changes to
12 implement additional costs or a showing that the recommended change
13 would not be a cost benefit to the agency or the state; and

14 6. Any other information requested by the Speaker of the House
15 of Representatives or by the President Pro Tempore of the Senate or
16 by a standing committee reviewing the audit.

17 C. The written response shall be electronically submitted to
18 the Speaker of the House of Representatives and the President Pro
19 Tempore of the Senate within thirty (30) days after the audit report
20 has been submitted to the Legislature pursuant to Section ~~4 of this~~
21 ~~act~~ 452.13 of this title.

22 SECTION 324. AMENDATORY 74 O.S. 2021, Section 464, is
23 amended to read as follows:

1 Section 464. Whenever any provision of law directs that a
2 ~~report,~~ an administrative rule, budget work program, budget request,
3 or any other document be filed with the Governor, President Pro
4 Tempore of the Senate, or the Speaker of the House of
5 Representatives, such documents shall be filed electronically,
6 except as otherwise provided in this section. The Governor,
7 President Pro Tempore of the Senate, and Speaker of the House of
8 Representatives shall each create or cause to be created on the
9 official websites for the Governor, Senate, and House of
10 Representatives, respectively, a mechanism for such filings to be
11 made, with an electronic return receipt provided to the person
12 making the filing. If for any reason the person required to file
13 such document determines that it cannot be filed electronically, the
14 person shall file a printed copy in lieu of such electronic filing
15 and shall include an explanation of the reason that the document
16 could not be filed electronically.

17 SECTION 325. AMENDATORY 74 O.S. 2021, Section 471, is
18 amended to read as follows:

19 Section 471. There is hereby established an advisory committee
20 to the Legislature of Oklahoma and to the Governor of Oklahoma.
21 Such committee shall be composed of four (4) members of the Oklahoma
22 Bar to be appointed by the Governor with the advice of the President
23 of the Oklahoma Bar Association and two (2) members, at least one of
24 whom is a member of the House of Representatives, to be appointed by

1 the Speaker of the House of Representatives and two (2) members, at
2 least one of whom is a member of the Senate, to be appointed by the
3 President Pro Tempore of the Senate. Each member shall serve for
4 four (4) years or until his or her death, resignation, or failure or
5 refusal, certified by the remaining members, to perform his or her
6 duties, renders his or her place vacant, whereupon the vacancy shall
7 be filled in the same manner as the original appointment. In the
8 event a legislative member fails to retain his seat in his or her
9 respective house prior to the expiration of his term on the
10 committee, his or her place on the committee shall be rendered
11 vacant. The members of such committee, hereafter called
12 commissioners, shall be the official commissioners of the State of
13 Oklahoma to the National Conference of Commissioners on Uniform
14 State Laws. They shall attend the annual meetings of such national
15 conference. They shall, utilizing the centralized filing system
16 provided for in Section 378 of this act, electronically report
17 annually to the Legislature and to the Governor concerning the work
18 of said conference and all other matters relating to their duties.
19 They shall advise the Legislature and its committees concerning
20 proposals for uniform and model state laws, the effect which such
21 proposals would have on the law of this state, and such other
22 matters as may be pertinent to desirable uniformity in legislation
23 between this state and other states.

1 SECTION 326. AMENDATORY 74 O.S. 2021, Section 484, is
2 amended to read as follows:

3 Section 484. ~~A.~~ The Advisory Committee on Intergovernmental
4 Relations shall issue reports of its findings and recommendations
5 from time to time and shall issue an annual report on its work.
6 Copies of the annual report shall be electronically submitted to the
7 Governor, the Speaker of the House of Representatives, and the
8 President Pro Tempore of the Senate utilizing the centralized filing
9 system provided for in Section 378 of this act.

10 ~~B. The Committee shall report to the Speaker of the House of~~
11 ~~Representatives and President Pro Tempore of the Senate on or before~~
12 ~~the first day of the 1990 regular session of the Legislature~~
13 ~~regarding the work of the Committee. The report shall also make~~
14 ~~recommendations as to the continuation of the Committee and any~~
15 ~~structural or staffing changes that the Committee deems necessary to~~
16 ~~the best interest of the state in the area of improving~~
17 ~~intergovernmental relations.~~

18 SECTION 327. AMENDATORY 74 O.S. 2021, Section 500.2, as
19 amended by Section 1, Chapter 63, O.S.L. 2022 (74 O.S. Supp. 2025,
20 Section 500.2), is amended to read as follows:

21 Section 500.2. A. Officials and employees of the state,
22 traveling on authorized state business, may be reimbursed for
23 expenses incurred in such travel in accordance with the provisions
24 of the State Travel Reimbursement Act and existing statutes relating

1 to state travel. Persons who are not state employees, but who are
2 performing substantial and necessary services to the state which
3 have been directed or approved by the appropriate department
4 official, shall enjoy the protection of the sovereign immunity of
5 the state to the same extent as a paid employee. Such persons may
6 be reimbursed for expenses incurred during authorized official
7 travel under these same statutory provisions; provided, it is
8 indicated on the claim the person is not a state employee, a
9 description of services performed is entered, and the agency head by
10 approval of the claim certifies such services were substantial and
11 necessary, and germane to the duties and functions of the
12 reimbursing agency. Travel expenses incurred by a person during the
13 course of seeking employment with a state agency, unless such travel
14 is performed at the request of the employing agency, shall not be
15 considered expenses incurred in performing substantial and necessary
16 services to the state and shall not be reimbursed under the
17 provisions of the State Travel Reimbursement Act.

18 B. The chief administrative officer of the Department of Public
19 Safety, the Oklahoma State Bureau of Investigation, the Oklahoma
20 State Bureau of Narcotics and Dangerous Drugs Control, the Military
21 Department of the State of Oklahoma, the Department of Corrections,
22 the Office of Management and Enterprise Services, the Alcoholic
23 Beverage Laws Enforcement Commission, the Oklahoma Department of
24 Agriculture, Food, and Forestry, the Oklahoma Department of

1 Emergency Management, the State Fire Marshal, and the State
2 Department of Health may arrange for and charge meals and lodging
3 for a contingent of state personnel moved into an area for the
4 purpose of preserving the public health, safety, or welfare or for
5 the protection of life or property. The cost for meals or lodging
6 so charged shall not exceed the amount authorized in the State
7 Travel Reimbursement Act. The chief administrative officer of each
8 agency involved in such an operation shall require the vendor
9 furnishing meals, lodging, or both meals and lodging to submit an
10 itemized statement for payment. When a claim for lodging is made
11 for a contingent of state personnel, individual members of the
12 contingent may not submit a claim for lodging. When a claim for
13 meals is made for a contingent of state personnel, individual
14 members of the contingent may not submit a claim for meals.

15 C. The Oklahoma Department of Commerce, the Oklahoma Center for
16 the Advancement of Science and Technology, and the Oklahoma
17 Department of Agriculture, Food, and Forestry are hereby authorized
18 to enter into contracts and agreements for the payment of food,
19 lodging, meeting facility, and beverage expenses as may be necessary
20 for sponsoring seminars and receptions relating to economic
21 development and science and technology issues. Such expenses may be
22 paid directly to the contracting agency or business establishment.
23 The Director of the Oklahoma Department of Commerce, the President
24 of the Oklahoma Center for the Advancement of Science and

1 Technology, and the Commissioner of Agriculture shall, utilizing the
2 centralized filing system provided for in Section 378 of this act,
3 each electronically provide a quarterly report of such expenditures
4 to the Governor, the Speaker of the House of Representatives, and
5 the President Pro Tempore of the Senate.

6 D. The Native American Cultural and Educational Authority is
7 hereby authorized to enter into contracts and agreements for the
8 payment of food, lodging, and meeting facility as may be necessary
9 to pursue the promotion of fundraising, marketing, and development
10 of Native American educational programs and cultural projects, or to
11 sponsor luncheons, seminars, and receptions relating to Native
12 American educational, cultural, museum, and economic development
13 issues. Such expenses may be paid directly to the contracting
14 agency or business establishment. The Executive Director of the
15 Native American Cultural and Educational Authority shall provide a
16 monthly report of expenditures to the Native American Cultural and
17 Educational Authority Board.

18 E. For purposes of this section:

19 1. "State agency" means any constitutionally or statutorily
20 created state board, commission, or department, including the
21 Legislature and the Courts;

22 2. State agencies are authorized to enter into contracts and
23 agreements for the payment of food and lodging expenses as may be
24 necessary for employees or other persons who are performing

1 substantial and necessary services to the state by attending
2 official conferences, meetings, seminars, workshops, or training
3 sessions or in the performance of their duties. Such expenses may
4 be paid directly to the contracting agency or business
5 establishment; provided the meeting qualifies for overnight travel
6 for the employees and the cost for food and lodging for each
7 employee shall not exceed the total daily rate as provided in the
8 State Travel Reimbursement Act;

9 3. State agencies are authorized to enter into contracts and
10 agreements for the payment of conference registration expenses as
11 may be necessary for employees or other persons who are performing
12 substantial and necessary services to the state by attending
13 official conferences, meetings, seminars, workshops, or training
14 sessions. Such expenses may be paid directly to the contracting
15 agency or business establishment; and

16 4. State agencies are authorized to enter into contracts and
17 agreements for the payment of food and lodging expenses as may be
18 necessary for employees attending an official course of instruction
19 or training conducted or sponsored by any state agency. Expenses
20 may be paid directly to the contracting agency or business
21 establishment. The cost for food and lodging for each employee
22 shall not exceed the total daily rate as provided in the State
23 Travel Reimbursement Act.

24

1 F. State agencies are authorized to make direct purchases of
2 commercial airline tickets for use by employees in approved out-of-
3 state travel. Each claim or invoice submitted to the Director of
4 the Office of Management and Enterprise Services for the payment of
5 the purchase shall bear the airline identifying ticket number, the
6 name of the airline, total cost of each ticket purchased, class of
7 accommodation and name of the employee for whom the ticket was
8 purchased and shall be filed on claim forms as prescribed by the
9 Director of the Office of Management and Enterprise Services. The
10 employee shall sign an affidavit stating that the employee used a
11 direct purchase commercial airline ticket received for his or her
12 approved out-of-state travel, or in lieu of the affidavit, the
13 employee may file a travel claim in connection with ~~said~~ such
14 airline flight.

15 G. 1. The Director of the Office of Management and Enterprise
16 Services is hereby authorized to enter into contracts and agreements
17 for the payment of food, lodging, and other authorized expenses as
18 may be necessary to host, conduct, sponsor, or participate in
19 conferences, meetings, or training sessions. The Director may
20 establish accounts as necessary for the collection and distribution
21 of funds, including funds of sponsors and registration fees, related
22 to such conferences, meetings, and training sessions. Expenses
23 incurred may be paid directly to the contracting agency or business
24 establishment.

1 2. The cost of food for persons attending any conferences,
2 meetings, and training sessions that do not require overnight travel
3 shall not exceed the total daily rate as provided in the State
4 Travel Reimbursement Act.

5 H. 1. The Commissioner of the Department of Mental Health and
6 Substance Abuse Services is hereby authorized to enter into
7 contracts and agreements for the payment of food, lodging, and other
8 authorized expenses as may be necessary to host, conduct, sponsor,
9 or participate in conferences, meetings, or training sessions. The
10 Commissioner may establish accounts as necessary for the collection
11 and distribution of funds, including funds of sponsors and
12 registration fees, related to such conferences, meetings, and
13 training sessions. Any expenses incurred may be paid directly to
14 the contracting agency or business establishment.

15 2. The cost of food for persons attending any conferences,
16 meetings, and training sessions that do not require overnight travel
17 shall not exceed the total daily rate as provided in the State
18 Travel Reimbursement Act.

19 I. The Oklahoma Indigent Defense System is hereby authorized to
20 enter into contracts and agreements for the payment of lodging as
21 necessary for employees to carry out their duties in representing
22 any client whom the System has been properly appointed to represent.
23 Such expenses may be paid directly to the contracting agency or
24 business establishment. The cost for lodging for each employee

1 shall not exceed the daily rate as provided in the State Travel
2 Reimbursement Act.

3 J. The Oklahoma Tourism and Recreation Department is hereby
4 authorized to enter into contracts and agreements for the payment of
5 food, lodging, and meeting facility and beverage expenses as may be
6 necessary for seminars and receptions relating to familiarization
7 tours and tourism development. The expenses may be paid directly to
8 the contracting agency or business establishment. The Executive
9 Director of the Oklahoma Tourism and Recreation Department shall
10 provide a monthly report of any such expenditures to the Oklahoma
11 Tourism and Recreation Commission.

12 K. The Oklahoma Tourism and Recreation Department is hereby
13 authorized to enter into contracts and agreements for the payment of
14 exhibitor fees and display space charges at expositions to promote
15 the Department's recreational facilities and the tourism and
16 recreation industry. The expenses may be paid directly to the
17 contracting agency or business establishment; provided that no
18 payment shall be made prior to the event unless it conveys a
19 property right to the state for future availability and use.

20 L. 1. The Oklahoma Highway Safety Office of the Department of
21 Public Safety is hereby authorized to enter into contracts and
22 agreements for the payment of food, lodging, and other authorized
23 expenses as may be necessary to host, conduct, sponsor, or
24 participate in highway-safety-related conferences, workshops,

1 seminars, meetings, or training sessions. The payments shall be for
2 all persons in attendance, including, but not limited to, employees
3 of political subdivisions or employees of the state or federal
4 government. For purposes specified in this paragraph, only federal
5 highway safety funds may be used in accordance with federal
6 guidelines and regulations, and no appropriated state funds shall be
7 used.

8 2. The cost of food for persons attending any highway safety
9 conferences, workshops, seminars, meetings, and training sessions
10 that do not require overnight travel shall not exceed the total
11 daily rate as provided in the State Travel Reimbursement Act.

12 M. 1. The Director of the Oklahoma State Bureau of
13 Investigation is hereby authorized to enter into contracts and
14 agreements for the payment of food, lodging and other authorized
15 expenses as may be necessary to host, conduct, sponsor or
16 participate in any conference, meeting, training session or
17 initiative to promote the mission and purposes of the Bureau. The
18 payments may be for all persons in attendance, including, but not
19 limited to, employees of political subdivisions or employees of the
20 state or federal government.

21 2. The cost of food for persons that do not require overnight
22 travel shall not exceed the total daily rate as provided in the
23 State Travel Reimbursement Act.

1 N. The Oklahoma Homeland Security Director is hereby authorized
2 to enter into contracts and agreements for the payment of food,
3 lodging and other authorized expenses as may be necessary to host,
4 conduct, sponsor, or participate in homeland-security-related
5 conferences, meetings, workshops, seminars, exercises or training
6 sessions. The expenses may be paid directly to the contracting
7 agency or business establishment.

8 O. The State Department of Education is hereby authorized to
9 enter into contracts and agreements for the payment of food, lodging
10 and other authorized expenses as may be necessary to host, conduct,
11 sponsor or participate in conferences, meetings or training
12 sessions. The State Department of Education may establish accounts
13 as necessary for the collection and distribution of funds, including
14 funds of sponsors and registration fees, related to such
15 conferences, meetings and training sessions. Any expenses incurred
16 may be paid directly to the contracting agency or business
17 establishment.

18 P. 1. The Insurance Commissioner of the Insurance Department
19 of the State of Oklahoma is hereby authorized to enter into
20 contracts and agreements for the payment of food, lodging, and other
21 authorized expenses as may be necessary to host, conduct, sponsor,
22 or participate in conferences, meetings, or training sessions. The
23 Commissioner may establish accounts as necessary for the collection
24 and distribution of funds, including funds of sponsors and

1 registration fees, related to such conferences, meetings, and
2 training sessions. Any expenses incurred may be paid directly to
3 the contracting agency or business establishment.

4 2. The cost of food for persons attending any conferences,
5 meetings, and training sessions that do not require overnight travel
6 shall not exceed the total daily rate as provided in the State
7 Travel Reimbursement Act.

8 Q. 1. The State Regents for Higher Education is hereby
9 authorized to enter into contracts and agreements for the payment of
10 food, lodging, and other authorized expenses as may be necessary to
11 host, conduct, sponsor, or participate in conferences, meetings, or
12 training sessions. The State Regents for Higher Education may
13 establish accounts as necessary for the collection and distribution
14 of funds, including funds of sponsors and registration fees, related
15 to such conferences, meetings, and training sessions. Any expenses
16 incurred may be paid directly to the contracting agency or business
17 establishment.

18 2. The cost of food for persons attending any conferences,
19 meetings, and training sessions that do not require overnight travel
20 shall not exceed the total daily rate as provided in the State
21 Travel Reimbursement Act.

22 R. 1. The Office of Educational Quality and Accountability is
23 hereby authorized to enter into contracts and agreements for the
24 payment of food, lodging, and other authorized expenses as may be

1 necessary to host, conduct, sponsor, or participate in conferences,
2 meetings, or training sessions. The Office of Educational Quality
3 and Accountability may establish accounts as necessary for the
4 collection and distribution of funds, including funds of sponsors
5 and registration fees, related to such conferences, meetings, and
6 training sessions. Any expenses incurred may be paid directly to
7 the contracting agency or business establishment.

8 2. The cost of food for persons attending any conferences,
9 meetings, and training sessions that do not require overnight travel
10 shall not exceed the total daily rate as provided in the State
11 Travel Reimbursement Act.

12 S. 1. The Department of Securities is hereby authorized to
13 enter into contracts and agreements for the payment of food,
14 lodging, meeting facility, facilitator fees and travel expenses,
15 exhibitor fees and other authorized expenses as may be necessary to
16 host, conduct, sponsor or participate in conferences, meetings,
17 training sessions or initiatives promoting or otherwise relating to
18 investor education. The Department of Securities may establish
19 accounts as necessary for the collection and distribution of funds,
20 including funds of sponsors and registration fees, related to such
21 conferences, meetings, training sessions or initiatives. The
22 payments may be for all persons in attendance, including, but not
23 limited to, employees of the state or federal government or
24 employees of political subdivisions of the state, including

1 employees of boards of public education. Expenses incurred may be
2 paid directly to the contracting agency or business establishment.

3 2. The cost of food for persons attending any conferences,
4 meetings and training sessions that do not require overnight travel
5 shall not exceed the total daily rate as provided in the State
6 Travel Reimbursement Act.

7 3. The Department of Securities is hereby authorized to pay
8 stipends to teachers participating in the investor education program
9 and monetary achievement awards to select participating students.
10 No appropriated state funds shall be used.

11 T. 1. The Oklahoma Department of Veterans Affairs is hereby
12 authorized to enter into contracts and agreements for the payment of
13 food, lodging, meeting facility, beverage and other authorized
14 expenses as may be necessary to host, conduct, sponsor or
15 participate in seminars, receptions, conferences, meetings or
16 training sessions related to the support of veterans and the
17 development of veterans' services. Expenses incurred may be paid
18 directly to the contracting agency or business establishment. The
19 Executive Director of the Oklahoma Department of Veterans Affairs
20 shall provide a monthly report of any such expenditures to the
21 Oklahoma Veterans Commission.

22 2. The cost of food for persons attending any conferences,
23 meetings and training sessions that do not require overnight travel
24

1 shall not exceed the total daily rate as provided in the State
2 Travel Reimbursement Act.

3 U. Whenever possible it shall be the policy of each state
4 agency to prepay airline fares and lodging expenses using a purchase
5 card issued to the agency. This policy shall apply to instances
6 where employees of the agency are traveling on behalf of state
7 government.

8 SECTION 328. AMENDATORY 74 O.S. 2021, Section 500.18, as
9 last amended by Section 1, Chapter 325, O.S.L. 2022 (74 O.S. Supp.
10 2025, Section 500.18), is amended to read as follows:

11 Section 500.18. A. Except for members of the Legislature, the
12 Governor, and the Lieutenant Governor, provisions of Sections 500.1
13 through 500.18 of this title shall be mandatory for all officials
14 and employees of all departments, boards, commissions, and
15 institutions of the state, regardless of the provisions of any other
16 act of the Legislature, except as provided by this section. The
17 enactment of any measure in the future providing for travel
18 reimbursement of state officers and employees on the basis of
19 "actual and necessary" expenses or in any other manner inconsistent
20 with Sections 500.1 through 500.18 of this title shall be deemed to
21 provide for reimbursement in accordance with Sections 500.1 through
22 500.18 of this title unless a contrary intent is explicitly
23 expressed in this section. Sections 500.1 through 500.18 of this
24 title shall not apply, however, to travel reimbursements made by

1 political subdivisions of this state, except as otherwise provided
2 by law.

3 B. The agencies listed below are authorized certain exceptions
4 ~~and/or~~ or exemptions to the provisions of Sections 500.1 through
5 500.18 of this title to the extent specified:

6 1. Oklahoma Department of Agriculture, Food, and Forestry:

7 a. The actual and reasonable expenses of travel and
8 subsistence in pursuing and developing markets for
9 Oklahoma agricultural products incurred by the
10 Commissioner, Deputy Commissioner and such employees
11 designated by the State Board of Agriculture within
12 the marketing development programs of the Oklahoma
13 Department of Agriculture, Food, and Forestry shall be
14 reimbursed to the employee incurring such expenses.
15 Reimbursement of such expenses shall be in accordance
16 with rules adopted by the Board. Expenses claimed
17 shall, prior to reimbursement, be reviewed by the
18 Board at a regular meeting and individually approved
19 or disapproved.

20 b. The actual and necessary expenses of out-of-state
21 travel and subsistence incurred by employees of the
22 Forestry Division authorized to evaluate and acquire
23 federal excess property or surplus property in other
24

1 states for use in its fire protection program shall be
2 reimbursed to the employee incurring such expenses.

3 2. Department of Public Safety:

4 When traveling with the Governor or at the Governor's request,
5 personnel assigned by the Commissioner for executive security and
6 pilots on executive assignment shall be allowed their actual and
7 necessary traveling expenses, upon claims approved by the
8 Commissioner.

9 3. Department of Corrections:

10 The Department of Corrections shall be exempt from limitations
11 of reimbursement for rented automobiles, as set forth in Section
12 500.5 of this title, when the rental is by a Correctional Officer or
13 Transportation Officer for the limited purpose of transporting
14 inmates. Reimbursement for the expense shall be on the basis of
15 actual cost.

16 4. Oklahoma Tourism and Recreation Department:

17 The Oklahoma Tourism and Recreation Commission and Department
18 staff who promote in-state and out-of-state business for Oklahoma's
19 state-operated or state-owned parks, lodges, and golf courses and
20 the tourism and recreation industry may be reimbursed for the actual
21 and necessary expense of travel, subsistence and entertainment for
22 this purpose. The Director of the Oklahoma Tourism and Recreation
23 Department may reimburse the Publisher of Oklahoma Today magazine
24

1 and its staff for expenses for meals and other entertainment in
2 order to gain advertising and promotion for Oklahoma Today magazine.

3 5. Oklahoma Department of Commerce:

4 a. The actual and necessary expenses incurred by the
5 Director and other employees of the Department
6 authorized by the Director for the purpose of business
7 recruitment shall be reimbursed. Reimbursement of
8 expenses shall be in accordance with rules adopted by
9 the Director of the Oklahoma Department of Commerce.
10 Expenses claimed shall, prior to reimbursement, be
11 reviewed by the Director and individually approved or
12 disapproved.

13 b. The Department, at the discretion of the Director, may
14 charter aircraft for the purposes of carrying out its
15 duties and responsibilities related to business
16 recruitment and performing the duties of the Director.
17 The cost of such charter shall be exempt from the
18 provisions of Section 500.6 of this title. Claims
19 filed with the Office of Management and Enterprise
20 Services shall bear the following certification:
21 The best interests of the citizens of Oklahoma were
22 better served in that conventional ground
23 transportation was not practical or feasible for this
24 trip, aircraft from the Department of Public Safety

1 were not available for this trip, and no other claim
2 has been or will be filed as a payment for the cost of
3 transportation in connection with this trip.

4 c. The Oklahoma Department of Commerce may reimburse the
5 Oklahoma Film and Music Office staff for the actual
6 and necessary expenses for meals and other
7 entertainment in order to promote the film and music
8 industries in this state. Reimbursement of all actual
9 and necessary expenses shall be in accordance with
10 rules adopted by the Oklahoma Department of Commerce.

11 6. Office of Management and Enterprise Services:

12 The actual and necessary expenses of travel and subsistence
13 incurred by the Director, any state employee approved by his or her
14 appointing authority, or state officials, for travel outside the
15 state in performance of duties related to bond financing shall be
16 reimbursed to the employee or state official incurring such
17 expenses. Reimbursement for lodging expenses shall be supported by
18 three telephone bids from hotels within a reasonable distance of the
19 activity for which the travel was approved.

20 7. Oklahoma Futures:

21 The actual and necessary expenses incurred by the members of
22 Oklahoma Futures in the performance of their duties shall be
23 reimbursed to the members incurring such expenses. Reimbursement of
24

1 all actual and necessary expenses shall be in accordance with rules
2 adopted by Oklahoma Futures.

3 8. Oklahoma Development Finance Authority:

4 The actual and necessary expenses incurred by the members and
5 employees of the Oklahoma Development Finance Authority in the
6 performance of their duties shall be reimbursed to the person
7 incurring such expenses. Reimbursement of all actual and necessary
8 expenses shall be in accordance with the bylaws of the Authority.

9 9. Oklahoma Center for the Advancement of Science and
10 Technology:

11 The actual and necessary expenses incurred by the members and
12 employees of the Oklahoma Center for the Advancement of Science and
13 Technology in the performance of their duties shall be reimbursed to
14 the person incurring such expenses. Reimbursement of all actual and
15 necessary expenses shall be in accordance with the bylaws of the
16 Center.

17 10. Center for International Trade Development:

18 The actual and necessary expenses of travel, lodging and
19 subsistence incurred by the Director and authorized employees of the
20 Center for International Trade Development for performance of their
21 duties for the purpose of business recruitment and assistance shall
22 be reimbursed to the person incurring such expenses. Reimbursement
23 of such expenses shall be in accordance with the rules adopted by
24 the Director of the Center for International Trade Development.

1 Expenses claimed shall be reviewed and individually approved or
2 disapproved, prior to reimbursement, first by the Director, and
3 finally by either the Vice President, Business and Finance of
4 Oklahoma State University or the President of Oklahoma State
5 University.

6 11. Oklahoma State Bureau of Investigation:

7 The actual and necessary expenses incurred by the Director and
8 other employees of the Bureau authorized by the Director as a result
9 of conducting investigations shall be reimbursed to each such
10 employee incurring the expenses. Reimbursement of the expenses
11 shall be in accordance with rules adopted by the Director of the
12 Oklahoma State Bureau of Investigation. Prior to reimbursement,
13 expenses claimed shall be reviewed by the Director and individually
14 approved or disapproved.

15 12. Department of Human Services:

16 The actual and necessary expenses of travel, lodging and
17 subsistence incurred by employees of the Legal Division in the
18 performance of their duties for the purpose of representing the
19 Department of Human Services or any of its officials, employees,
20 institutions or hospitals at any proceeding including depositions,
21 held before any court, administrative body or representative
22 thereof, shall be reimbursed to the employee incurring such
23 expenses. Expenses claimed shall be approved by the General Counsel
24 and the Director of Human Services prior to reimbursement.

1 13. Oklahoma Health Care Authority:

2 The actual and necessary expenses of travel, lodging and
3 subsistence incurred by employees of the Legal Division in the
4 performance of their duties for the purpose of representing the
5 Authority or any of its officials or employees, at any proceeding
6 including depositions, held before any court, administrative body or
7 representative thereof, shall be reimbursed to the employee
8 incurring such expenses. Expenses claimed shall be approved by the
9 Administrator prior to reimbursement.

10 14. Oklahoma State Bureau of Narcotics and Dangerous Drugs
11 Control:

12 The actual and necessary expenses incurred by the Director and
13 other employees of the Bureau authorized by the Director as a result
14 of conducting investigations shall be reimbursed to each employee
15 incurring the expenses. Reimbursement of the expenses shall be in
16 accordance with rules adopted by the Director of the Oklahoma State
17 Bureau of Narcotics and Dangerous Drugs Control. Prior to
18 reimbursement, expenses claimed shall be reviewed by the Director
19 and individually approved or disapproved.

20 15. University Hospitals:

21 The actual and necessary expenses of travel, lodging and
22 subsistence incurred by employees of the Legal Office in the
23 performance of their duties for the purpose of representing the
24 University Hospitals or any of its officials, employees,

1 institutions or hospitals at any proceeding including depositions,
2 held before any court, administrative body or representative
3 thereof, shall be reimbursed to the employee incurring such
4 expenses. Expenses shall be approved by the Chief Executive Officer
5 of the University Hospitals or by the University Hospitals
6 Authority.

7 16. Oklahoma Historical Society:

8 The actual and necessary expenses of travel, subsistence and
9 entertainment incurred by the Executive Director, Deputy Director
10 and any employees designated by the Executive Committee of the
11 Oklahoma Historical Society Board of Directors in pursuing and
12 developing programs and projects for the preservation and marketing
13 of Oklahoma history shall be reimbursed to the person incurring the
14 expenses. Reimbursement of expenses shall be in accordance with
15 rules adopted by the Oklahoma Historical Society Board of Directors.
16 Prior to reimbursement, expenses claimed shall be reviewed by the
17 Executive Committee at a regularly scheduled meeting and each claim
18 shall be individually approved or disapproved.

19 17. The Oklahoma Department of Mines:

20 The actual and necessary expenses of travel, lodging and
21 subsistence incurred by employees of the Department in the
22 performance of their duties for the purpose of representing the
23 Department or any of its officials or employees, at any proceeding,
24 hearing or meeting with federal agencies, boards, commissions,

1 congressional representatives, congressional committees or staff,
2 shall be reimbursed to the employee incurring such expenses.
3 Expenses claimed shall be approved by the Executive Director prior
4 to reimbursement.

5 18. The Office of Attorney General:

6 The actual and necessary expenses of travel, lodging and
7 subsistence incurred by its employees in the performance of their
8 duties for the purpose of representing the state, the Legislature,
9 any state board, agency or commission, or any employee or official
10 of the state entitled to representation, at any proceeding including
11 depositions, held before any court, administrative body or any
12 representative thereof, and the actual and necessary expenses
13 incurred by employees as a result of conducting investigations shall
14 be reimbursed to the employee incurring the expenses. The expenses
15 shall be approved by the Attorney General prior to reimbursement.

16 19. District Attorneys Council:

17 The actual and necessary expenses of travel, lodging and
18 subsistence incurred by each district attorney and other employees
19 of the district attorney authorized by the district attorney in the
20 performance of their duties for any district other than the district
21 for which they are employed for the purpose of representing the
22 state, any county, or any employee or official of the state entitled
23 to representation at any proceeding including depositions held
24 before any court, administrative body or any representative of a

1 court or administrative body, and the actual and necessary expenses
2 incurred as a result of conducting investigations shall be
3 reimbursed to each employee incurring the expenses. Reimbursement
4 of the expenses shall be in accordance with rules adopted by the
5 District Attorneys Council. Prior to reimbursement, expenses
6 claimed shall be reviewed by the Council and individually approved
7 or disapproved.

8 20. The Department of Securities:

9 The actual and necessary expenses of travel, lodging and
10 subsistence incurred by the Administrator and other employees of the
11 Department of Securities in the performance of their duties for the
12 purpose of representing the Department of Securities, at any
13 proceeding including depositions, held before any court,
14 administrative body or any representative thereof, conducting on-
15 site examinations, or conducting investigations, shall be reimbursed
16 to each employee incurring the expenses. The expenses shall be
17 approved by the Administrator of the Department of Securities prior
18 to reimbursement.

19 21. Corporation Commission:

20 The actual and necessary travel expenses incurred by the staff
21 of the Public Utility Division as a result of conducting audits
22 ~~and/or~~ or reviews of utility service providers shall be reimbursed
23 to each employee incurring the expense. Reimbursement of the
24

1 expenses shall be as set forth in procedures established by the
2 appointing authority.

3 22. The Department of Human Services:

4 Employees of the Department of Human Services may be reimbursed
5 for their actual and necessary expenses of travel, lodging and meals
6 and incidentals incurred in the performance of their duties for the
7 purpose of escorting and transporting children or adults in the care
8 or custody of the Department, subject to approval by the Department:

- 9 a. for out-of-state visitation, care, treatment and
10 placement of a child welfare client,
- 11 b. for out-of-state treatment for or placement of an
12 adult protective services client,
- 13 c. for out-of-state treatment for or placement of a
14 resident of a state resource center,
- 15 d. for out-of-state treatment for or placement of an
16 individual with a developmental disability who is
17 living in the community in community residential
18 services, or
- 19 e. for meals and incidental expenses necessary for the
20 care of children or adults in the care or custody of
21 the Department.

22 Expenses claimed shall be approved by the appropriate Division
23 Director or Deputy prior to reimbursement.

24 23. The Banking Department:

1 The actual and necessary expenses of travel and lodging incurred
2 by the Commissioner and other employees of the Banking Department in
3 the performance of their duties for the Banking Department shall be
4 paid or reimbursed by the Banking Department to each employee
5 incurring the expenses. The expenses shall be approved by the
6 Banking Commissioner prior to payment or reimbursement.

7 24. Oklahoma Office of Homeland Security:

8 The actual and necessary expenses of travel, lodging, and
9 subsistence incurred by the Oklahoma Homeland Security Director, as
10 a result of the duties and responsibilities of the Director, shall
11 be paid or reimbursed by the Oklahoma Office of Homeland Security.

12 25. The Grand River Dam Authority:

13 The actual and necessary expenses of travel and lodging incurred
14 by the Board of Directors and other employees of the district in the
15 performance of their duties for the Grand River Dam Authority shall
16 be paid or reimbursed by the district to each Director or employee
17 incurring the expenses. The expenses shall be approved by the
18 General Manager of the Grand River Dam Authority prior to payment or
19 reimbursement.

20 ~~26. The Native American Cultural and Educational Authority:~~

21 ~~The actual and necessary expenses incurred by the Directors and~~
22 ~~employees of the Native American Cultural and Educational Authority~~
23 ~~in performances of duties. The expenses shall be approved by the~~
24 ~~Director prior to payment or reimbursement.~~

1 ~~27.~~ Oklahoma Department of Career and Technology Education:

2 The actual and necessary expenses incurred by the Director and
3 other employees of the Department, authorized by the Director, for
4 the purpose of business recruitment, training, and the provision of
5 technical assistance shall be reimbursed. Reimbursement of expenses
6 shall be in accordance with rules adopted by the State Board of
7 Career and Technology Education. Expenses claimed, prior to the
8 reimbursement, will be reviewed by the Board and individually
9 approved or disapproved.

10 ~~28.~~ 27. Oklahoma Military Department:

11 The actual and necessary travel expenses incurred by the
12 Director, other employees of the Department and persons performing
13 substantial and necessary services to the state in support of the
14 Oklahoma National Guard shall be reimbursed to the individual
15 incurring such expenses. The expenses claimed shall be approved by
16 the Director or Chief Financial Officer prior to reimbursement.

17 C. The agencies listed in subsection B of this section shall be
18 required to, utilizing the centralized filing system provided for in
19 Section 378 of this act, electronically report annually the actual
20 expenses excepted or exempted from Sections 500.1 through 500.18 of
21 this title to the Governor, the President Pro Tempore of the Senate,
22 and the Speaker of the House of Representatives. The report shall
23 be submitted no later than the first day of September following the
24 end of each fiscal year.

SECTION 329. AMENDATORY Section 3, Chapter 414, O.S.L.

2024 (74 O.S. Supp. 2025, Section 583.1), is amended to read as follows:

Section 583.1. A. The purpose of the Oklahoma-Israel Exchange Commission shall be to advance, promote, and encourage business and other mutually beneficial activities between Oklahoma and Israel, including:

1. Bilateral trade and investment;
 2. Joint action on policy issues of mutual interest;
 3. Business and academic exchanges;
 4. Mutual economic support;
 5. Mutual investment in the respective infrastructure; and
 6. Other opportunities for mutual benefit and economic growth
- as identified by the Commission.

B. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report its findings, activities, results, and recommendations to the Governor, the Speaker of the Oklahoma House of Representatives, and the President Pro Tempore of the Oklahoma State Senate within one (1) year of its initial meeting and by February 1 of each succeeding year for the activities of the preceding calendar year. The report shall be in writing and may include recommendations or proposed legislation as deemed appropriate by the Commission to effectuate its purposes.

1 C. The Oklahoma-Israel Exchange Commission shall be authorized
2 to raise funds, through direct solicitation or other fundraising
3 events, alone, or with other groups, and accept gifts, grants, and
4 bequests from individuals, corporations, foundations, governmental
5 agencies, and public and private organizations and institutions, to
6 carry out its purposes.

7 SECTION 330. AMENDATORY 74 O.S. 2021, Section 589, is
8 amended to read as follows:

9 Section 589. A. Upon a finding by the Office of Management and
10 Enterprise Services pursuant to Section 588.1 of this title that the
11 agency has complied with the requirements of the Oklahoma
12 Privatization of State Functions Act, and before any agency can
13 contract to privatize a function, program, service, unit, or
14 division, the agency ~~must~~ shall provide:

15 1. Notification to employees impacted by the proposed
16 privatization by the agency of its intent to privatize a function,
17 program, service, unit, or division of the agency;

18 2. Notification to affected employees that they will have the
19 opportunity to submit cost-savings recommendations for improving the
20 operations, efficiency or organization of the entity being
21 considered for privatization; and

22 3. Notification by the agency simultaneously with the notice
23 required pursuant to paragraph 1 of this subsection, to the Director
24

1 of the Office of Management and Enterprise Services of the intent of
2 the agency to privatize a state function.

3 B. Upon a request by the affected employees, the agency shall
4 provide information about the delivery of services to its employees
5 as they develop recommendations to be considered. This information
6 shall include revenue expenditure data, wage and salary data, an
7 inventory of the supplies, equipment, and facilities associated with
8 the program being privatized, and the cost analysis performed by the
9 agency.

10 C. Any recommendations submitted by agency employees shall be
11 considered by the agency, separate and apart from the bid process,
12 with nonemployee bids. The agency shall make the final
13 determination whether to accept the winning nonemployee bid or
14 accept the employee recommendations in lieu of the winning bid.

15 D. After an agency has met the requirements of subsection A of
16 this section, the agency shall, utilizing the centralized filing
17 system provided for in Section 378 of this act, electronically
18 notify the Director of the Office of Management and Enterprise
19 Services, the Governor, the President Pro Tempore of the Senate, and
20 the Speaker of the House of Representatives of the intent of the
21 agency to solicit bids in accordance with this section.

22 E. The agency shall provide, alongside the notification
23 required in subsection D of this section, a comprehensive written
24 analysis of the contract cost based upon the designated bid,

1 specifically including the costs of transition from public to
2 private operation, severance payments to agency employees, and
3 monitoring and otherwise administering contract performance.

4 F. The agency shall require the following information prior to
5 entering into a contract to privatize a function, program, service,
6 unit, or division:

7 1. Financial stability of the vendor, past and present
8 litigation, and references related to past government contract
9 performance information; and

10 2. Detail how the vendor will perform the contract, including
11 staffing and equipment information.

12 G. The agency shall establish a plan and cost analysis on how
13 to return the privatized function, program, service, unit, or
14 division to the state if there is a contract cancellation.

15 H. Any contract with a vendor to privatize a function, program,
16 service, unit, or division shall require that the payment to the
17 contractor be linked to performance. The contract shall provide
18 that the amount agreed upon in the contract may be reduced if the
19 agency experiences a budget shortfall.

20 I. Each privatization contract shall contain provisions
21 requiring the contractor to offer available employee positions
22 pursuant to the contract to qualified regular employees of the
23 agency whose state employment is terminated because of the
24

1 privatization contract and who satisfy the hiring criteria of the
2 contractor.

3 SECTION 331. AMENDATORY 74 O.S. 2021, Section 669, is
4 amended to read as follows:

5 Section 669. The Oklahoma Commission on the Status of Women
6 shall have the power and the duty to:

7 1. Advise on equity issues relating to gender bias, state
8 agencies and employees, communities, organizations, and businesses
9 of this state which desire the services of the Commission;

10 2. Monitor legislation as to whether the legislation is
11 discriminatory toward one gender or whether the gender of an
12 individual would have an effect on the enforcement of the
13 legislation;

14 3. Act as a resource and a clearinghouse for research on issues
15 related to women and gender bias;

16 4. Conduct meetings and seminars within the state as
17 appropriate to support the goals and duties of the Commission; and

18 5. ~~Report~~ Utilizing the centralized filing system provided for
19 in Section 378 of this act, electronically report to the Governor,
20 the President Pro Tempore of the Senate, and the Speaker of the
21 House of Representatives of its activities. The report
22 recommendations may include recommendations concerning needed
23 legislation or regulatory changes relating to equity and gender
24 bias.

SECTION 332. AMENDATORY Section 2, Chapter 201, O.S.L.

2024 (74 O.S. Supp. 2025, Section 692), is amended to read as follows:

Section 692. A. The purpose of the Oklahoma Ireland Trade Commission shall be to advance, promote, and encourage business and other mutually beneficial activities between Oklahoma and Ireland, including:

1. Bilateral trade and investment;
 2. Joint action on policy issues of mutual interest;
 3. Business and academic exchanges;
 4. Mutual economic support;
 5. Mutual investment in the respective infrastructure; and
 6. Other opportunities for mutual benefit and economic growth
- as identified by the Commission.

B. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report its findings, activities, results, and recommendations to the Governor, the Speaker of the Oklahoma House of Representatives, and the President Pro Tempore of the Oklahoma State Senate within one (1) year of its initial meeting and by February 1st of each succeeding year for the activities of the preceding calendar year. The report shall be in writing and may include recommendations or proposed legislation as deemed appropriate by the Commission to effectuate its purpose.

1 C. The Oklahoma Ireland Trade Commission shall be authorized to
2 raise funds, through direct solicitation or other fundraising
3 events, alone, or with other groups, and accept gifts, grants, and
4 bequests from individuals, corporations, foundations, governmental
5 agencies, and public and private organizations and institutions, to
6 carry out its purposes.

7 SECTION 333. AMENDATORY 74 O.S. 2021, Section 840-1.6A,
8 as amended by Section 4, Chapter 243, O.S.L. 2022 (74 O.S. Supp.
9 2025, Section 840-1.6A), is amended to read as follows:

10 Section 840-1.6A. The Office of Personnel Management Division
11 of the Office of State Finance was consolidated into and renamed the
12 Office of Management and Enterprise Services. Where the term
13 "Office of Personnel Management" is used within the Oklahoma
14 Statutes, it shall mean the Office of Management and Enterprise
15 Services. The chief administrative officer shall be the Director of
16 the Office of Management and Enterprise Services. In addition to
17 the other duties imposed by law, the Director shall:

18 1. Be responsible for the development of an efficient and
19 effective system of personnel administration that meets the
20 management needs of the various agencies;

21 2. Organize the Office to provide both service and regulatory
22 functions that are effective and efficient in meeting the management
23 needs of various state agencies. The Director is directed to
24 establish an agency service function to assist agencies with human

1 resource needs based upon the administrative capacity and resources
2 of the various agencies;

3 3. Prepare, maintain, and revise a system of employment
4 designed to ensure the impartial consideration of applicants for
5 employment and to protect state employees from arbitrary dismissal
6 or unfair treatment;

7 4. Develop and maintain a classification and compensation
8 system for all positions in the executive branch of state government
9 including those established by the Oklahoma Constitution;

10 5. Conduct an analysis of the rates of pay prevailing in the
11 state in the public and private sectors for comparable jobs and,
12 utilizing the centralized filing system provided for in Section 378
13 of this act, electronically report the findings to the Governor, the
14 President Pro Tempore of the Senate, and the Speaker of the House of
15 Representatives no later than December 1 of each year. Such
16 analysis shall include all forms of compensation including fringe
17 benefits. Information solicited by the Office of Management and
18 Enterprise Services from public and private sector employers for
19 such analysis, including but not limited to salaries, benefits, and
20 compensation policies and procedures, shall be confidential and
21 shall not be subject to disclosure under the Oklahoma Open Records
22 Act;

23 6. Assist state agencies in implementing their duties and
24 obligations and provide standard forms to the agencies if necessary;

1 7. Develop, in cooperation with appointing authorities,
2 employee training programs, management training programs, a
3 certified public manager program, a recruiting program, and a system
4 of performance appraisals, and assist appointing authorities in the
5 setting of productivity goals. The Director may establish and
6 collect fees for participation in training programs. The Director
7 is authorized to purchase awards for presentation to state employees
8 as part of employee recognition activities sponsored by the Office
9 of Management and Enterprise Services;

10 8. Establish rules for leave and pay including, but not limited
11 to, rules for leave, furloughs, performance pay increases, rates for
12 pay differentials, on-call pay, and other types of pay incentives
13 and salary adjustments consistent with this act and reduction-in-
14 force;

15 9. Be responsible for the development and maintenance of a
16 uniform occupation code system, grouped by job titles or duties, for
17 all state positions. The responsibility shall include the
18 establishment of rules governing the identification, tracking, and
19 reporting of all state positions as provided in Section 840-2.13 of
20 this title;

21 10. Be responsible for advising state agencies on personnel
22 policy and administration;

23 11. Establish standards for continuing training and
24 certification of personnel professionals in the executive branch of

1 state government, excluding institutions within The Oklahoma State
2 System of Higher Education. Employees appointed to professional
3 personnel positions shall complete an initial training program
4 within one (1) year after assuming the professional personnel
5 position. Thereafter, they shall complete annual training
6 requirements. Each appointing authority shall ensure that all
7 professional personnel employees are notified of, and scheduled to
8 attend, required training programs and shall make time available for
9 employees to complete the programs. The Director shall be
10 authorized to bill agencies for the training of personnel
11 professionals pursuant to this paragraph to recover reasonable costs
12 associated with the training. Monies received for such training
13 shall be deposited in the Human Capital Management Revolving Fund.
14 Expenditure of such funds collected for the training shall be exempt
15 from any expenditure limit on the Office of Management and
16 Enterprise Services established by law;

17 12. Not less than once during each two-year period, conduct a
18 study identifying the following, by job family descriptors:

19 a. selected jobs with a turnover rate in excess of ten
20 percent (10%),

21 b. selected jobs identified by the Director of the Office
22 of Management and Enterprise Services with salaries
23 and benefits that are ten percent (10%) or more below
24 the market for such positions, and

1 c. selected jobs identified by the Director in which
2 recruitment efforts have yielded a low number of
3 qualified applicants;

4 13. Establish a workforce planning function within the Office
5 of Management and Enterprise Services to assist state agencies in
6 analyzing the current workforce, determining future workforce needs,
7 and implementing solutions so that agencies may accomplish their
8 missions; and

9 14. Establish a quality management function within the Office
10 of Management and Enterprise Services and shall assist state
11 agencies in fully integrating quality management concepts and models
12 into their business practices for the purpose of improving the
13 overall efficiency and effectiveness of state government.

14 SECTION 334. AMENDATORY 74 O.S. 2021, Section 840-2.17,
15 as amended by Section 13, Chapter 243, O.S.L. 2022 (74 O.S. Supp.
16 2025, Section 840-2.17), is amended to read as follows:

17 Section 840-2.17. A. Unless otherwise provided by the Oklahoma
18 Constitution, statutory authority to set or fix compensation, pay or
19 salary of state officers and employees shall not be construed to
20 authorize any agency, board, commission, department, institution,
21 bureau, executive officer or other entity of the executive branch of
22 state government to award, grant, give, authorize, or promise any
23 officer or employee of the State of Oklahoma a raise that is
24 inconsistent with the compensation schedules established by the

1 Office of Management and Enterprise Services for all state officers
2 and employees in the executive branch, including, but not limited
3 to, a cost-of-living raise or any other type of raise that would be
4 given to state employees on an across-the-board basis, except as
5 herein provided. Such raises are prohibited unless authorized by
6 the Legislature and by rules promulgated by the Director. This
7 prohibition applies to all officers and employees in the executive
8 branch of state government, excluding institutions under the
9 administrative authority of the Oklahoma State Regents for Higher
10 Education.

11 B. However, nothing in this section shall be construed to
12 prohibit the following actions if the action is made in good faith
13 and not for the purpose of circumventing subsection A of this
14 section, and if the appointing authority certifies that the action
15 can be implemented for the current fiscal year and the subsequent
16 fiscal year without the need for additional funding to increase the
17 personal services budget of the agency, and if the Office of
18 Management and Enterprise Services certifies that the action is
19 consistent with the compensation schedules established pursuant to
20 the provisions of this act:

- 21 1. Salary advancements on promotion;
- 22 2. Salary adjustments resulting from a pay change for a job
- 23 level adopted by the Office of Management and Enterprise Services;
- 24

1 3. Increases in longevity payments pursuant to Section 840-2.18
2 of this title;

3 4. Payment of overtime, special entrance rates, pay
4 differentials;

5 5. Payment of wages, salaries, or rates of pay established and
6 mandated by law;

7 6. Market adjustments for jobs tied to market competitiveness;

8 7. Skill-based adjustments;

9 8. Equity-based adjustments;

10 9. Performance-based adjustments; or

11 10. Career progression increases as an employee advances
12 through job levels.

13 C. Provided, however, any salary increase for one of the
14 purposes provided in subsection B of this section that would require
15 additional funding by the Legislature shall not be implemented
16 without approval of the Legislature.

17 D. Appointing authorities may implement the pay movement
18 mechanisms subject to the availability of funds within the agency's
19 budget for the current fiscal year and subsequent fiscal year
20 without the need for additional funding to increase the personal
21 services budget of the agency. Failure by the appointing authority
22 to follow the provisions of this subsection may cause the withdrawal
23 of the use of the pay movement mechanisms of this section within the
24 agency during the next appropriations cycle.

1 E. The Office of Management and Enterprise Services shall,
2 utilizing the centralized filing system provided for in Section 378
3 of this act, electronically file a quarterly report with the Offices
4 of the Governor, President Pro Tempore of the Senate, and Speaker of
5 the House of Representatives listing, by agency, all increases in
6 wages, salaries, or rates of pay and any changes to title or
7 classification of each employee.

8 SECTION 335. AMENDATORY 74 O.S. 2021, Section 840-2.27C,
9 as last amended by Section 1, Chapter 341, O.S.L. 2024 (74 O.S.
10 Supp. 2025, Section 840-2.27C), is amended to read as follows:

11 Section 840-2.27C. A. At least thirty (30) days before the
12 scheduled beginning of reduction-in-force separations or as
13 otherwise provided by law, the appointing authority shall post in
14 each office of executive branch agencies affected by the proposed
15 reduction-in-force notice that a reduction-in-force will be
16 conducted. The reduction-in-force implementation plan shall be
17 provided to the Director of the Office of Management and Enterprise
18 Services and any state employee association representing state
19 employees at such time. The notice shall not be posted unless
20 approved by the cabinet secretary for the agency conducting the
21 reduction-in-force. If there is no incumbent cabinet secretary for
22 the agency, the cabinet-secretary-notice-approval requirement shall
23 not be applicable. If the appointing authority is governed by an
24 elected official, the cabinet-secretary-notice-approval requirement

1 shall not be applicable. The approved notice shall be posted in
2 each office affected by the proposed plan for five (5) days. The
3 appointing authority shall provide a copy of the notice to the
4 Administrator. A reduction-in-force shall not be used as a
5 disciplinary or retaliatory action; provided, that a low job
6 performance evaluation, within the past twelve (12) months, may be a
7 factor considered by the appointing authority during a reduction-in-
8 force.

9 B. The reduction-in-force implementation plan shall:

10 1. Provide for the appointing authority to determine the
11 specific position or positions to be abolished within specified
12 units, divisions, facilities, agency-wide or any parts thereof; and

13 2. Provide outplacement assistance and employment counseling
14 from the Oklahoma Employment Security Commission and any other
15 outplacement assistance and employment counseling made available by
16 the agency to affected employees regarding the options available
17 pursuant to the State Government Reduction-in-Force and Severance
18 Benefits Act prior to the date that a reduction-in-force is
19 implemented.

20 C. The Director of the Office of Management and Enterprise
21 Services shall review the fiscal components of the reduction-in-
22 force implementation plan and within five (5) business days of
23 receipt reject any plan that does not:
24

1 1. Demonstrate that funds are available to cover projected
2 costs; and

3 2. Contain an estimate of the cost savings or reduced
4 expenditures likely to be achieved by the agency.

5 If the reduction-in-force is conducted pursuant to a
6 reorganization, the fiscal components of the reduction-in-force
7 implementation plan shall contain reasons for the reorganization,
8 which may include, but not be limited to, increased efficiency,
9 improved service delivery, or enhanced quality of service.

10 D. When the Legislature is not in session, the Contingency
11 Review Board may, upon the request of the Governor, direct agencies,
12 boards and commissions to reduce the number of employees working for
13 the agency, board or commission whenever it is deemed necessary and
14 proper. Such reduction shall be made pursuant to reduction-in-force
15 plans as provided in this section.

16 E. 1. When the Legislature is not in session, the Contingency
17 Review Board may, upon the request of the Governor, direct and
18 require mandatory furloughs for all state employees whenever it is
19 deemed necessary and proper. The Contingency Review Board shall
20 specify the effective dates for furloughs and shall note any
21 exceptions to state employees affected by the same. All employees,
22 including those employees of agencies or offices established by
23 statute or the Constitution, shall be affected by such actions.

1 2. Mandatory furlough means the involuntary temporary reduction
2 of work hours or the placement of an employee on involuntary leave
3 without pay. Rules governing leave, longevity pay and participation
4 in the State Employees Group Health, Dental, Disability, and Life
5 Insurance program shall not be affected by mandatory furloughs.
6 Furlough, as provided for in this section or by rules adopted by the
7 Director of the Office of Management and Enterprise Services, shall
8 not be appealable under the provisions of this act.

9 3. Notwithstanding existing laws or provisions to the contrary,
10 members of state boards and commissions shall not receive per diem
11 expenses during periods of mandatory furlough. The Contingency
12 Review Board shall additionally call upon elected officials, members
13 of the judiciary, and other public officers whose salary or
14 emoluments cannot be altered during current terms of office, to
15 voluntarily donate to the General Revenue Fund any portion of their
16 salary which would otherwise have been affected by a mandatory
17 furlough.

18 F. All agencies directed by the Contingency Review Board to
19 terminate or furlough employees, shall, utilizing the centralized
20 filing system provided for in Section 378 of this act,
21 electronically report the cumulative cost savings achieved by the
22 reductions-in-force or furloughs to the Governor, President Pro
23 Tempore of the Senate, and Speaker of the House of Representatives
24

1 on a quarterly basis for one (1) year following the effective date
2 of the action.

3 G. The appointing authority of an agency which has an approved
4 reduction-in-force plan pursuant to the State Government Reduction-
5 in-Force and Severance Benefits Act may request the Director of the
6 Office of Management and Enterprise Services to appoint an
7 interagency advisory task force for the purpose of assisting the
8 agency and its employees with the implementation of the reduction-
9 in-force. The appointing authority of state agencies requested by
10 the Administrator to participate on a task force shall assign
11 appropriate administrative personnel necessary to facilitate the
12 necessary assistance required for the efficient implementation of
13 the approved reduction-in-force.

14 SECTION 336. AMENDATORY 74 O.S. 2021, Section 909.1, is
15 amended to read as follows:

16 Section 909.1. A. The Oklahoma Public Employees Retirement
17 System Board of Trustees shall discharge their duties with respect
18 to the System solely in the interest of the participants and
19 beneficiaries and:

20 1. For the exclusive purpose of:

21 a. providing benefits to participants and their
22 beneficiaries, and

23 b. defraying reasonable expenses of administering the
24 System;

1 2. With the care, skill, prudence, and diligence under the
2 circumstances then prevailing that a prudent person acting in a like
3 capacity and familiar with such matters would use in the conduct of
4 an enterprise of a like character and with like aims;

5 3. By diversifying the investments of the System so as to
6 minimize the risk of large losses, unless under the circumstances it
7 is clearly prudent not to do so; and

8 4. In accordance with the laws, documents and instruments
9 governing the System.

10 B. The Board of Trustees may procure insurance indemnifying the
11 members of the Board of Trustees from personal loss or
12 accountability from liability resulting from a member's action or
13 inaction as a member of the Board of Trustees.

14 C. The Board of Trustees may establish an investment committee.
15 The investment committee shall be composed of not more than five (5)
16 members of the Board of Trustees appointed by the chairman of the
17 Board of Trustees. The committee shall make recommendations to the
18 full Board of Trustees on all matters related to the choice of
19 custodians and managers of the assets of the System, on the
20 establishment of investment and fund management guidelines, and in
21 planning future investment policy. The committee shall have no
22 authority to act on behalf of the Board of Trustees in any
23 circumstances whatsoever. No recommendation of the committee shall
24

1 have effect as an action of the Board of Trustees nor take effect
2 without the approval of the Board of Trustees as provided by law.

3 D. The Board of Trustees shall retain qualified investment
4 managers to provide for the investment of the monies of the System.
5 The investment managers shall be chosen by a solicitation of
6 proposals on a competitive bid basis pursuant to standards set by
7 the Board of Trustees. Subject to the overall investment guidelines
8 set by the Board of Trustees, the investment managers shall have
9 full discretion in the management of those monies of the System
10 allocated to the investment managers. The Board of Trustees shall
11 manage those monies not specifically allocated to the investment
12 managers. The monies of the System allocated to the investment
13 managers shall be managed by the investment managers, which may
14 include selling investments and realizing losses if such action is
15 considered advantageous to longer term return maximization. Because
16 of the total return objective, no distinction shall be made for
17 management and performance evaluation purposes between realized and
18 unrealized capital gains and losses.

19 E. Funds and revenues for investment by the investment managers
20 or the Board of Trustees shall be placed with a custodian selected
21 by the Board of Trustees. The custodian shall be a bank or trust
22 company offering pension fund master trustee and master custodial
23 services. The custodian shall be chosen by a solicitation of
24 proposals on a competitive basis pursuant to standards set by the

1 Board of Trustees. In compliance with the investment policy
2 guidelines of the Board of Trustees, the custodian bank or trust
3 company shall be contractually responsible for ensuring that all
4 monies of the System are invested in income-producing investment
5 vehicles at all times. If a custodian bank or trust company has not
6 received direction from the investment managers of the System as to
7 the investment of the monies of the System in specific investment
8 vehicles, the custodian bank or trust company shall be contractually
9 responsible to the Board of Trustees for investing the monies in
10 appropriately collateralized short-term interest-bearing investment
11 vehicles.

12 F. By November 1, 1988, and prior to August 1 of each year
13 thereafter, the Board of Trustees shall develop a written investment
14 plan for the System.

15 G. The Board of Trustees shall compile a quarterly financial
16 report of all the funds of the System on a fiscal year basis. The
17 report shall be compiled pursuant to uniform reporting standards
18 prescribed by the Oklahoma State Pension Commission for all state
19 retirement systems. The report shall include several relevant
20 measures of investment value, including acquisition cost and current
21 fair market value with appropriate summaries of total holdings and
22 returns. The report shall contain combined and individual rate of
23 returns of the investment managers by category of investment, over
24 periods of time. The Board of Trustees shall include in the

1 quarterly reports all commissions, fees or payments for investment
2 services performed on behalf of the Board. The report shall be
3 electronically distributed to the Governor, the Oklahoma State
4 Pension Commission, the Speaker of the House of Representatives, and
5 the President Pro Tempore of the Senate utilizing the centralized
6 filing system provided for in Section 378 of this act. In lieu of
7 compiling and distributing the quarterly report, the Board may
8 provide the Pension Commission with direct access to the same data
9 from the custodian bank for the System.

10 H. After July 1 and before December 1 of each year, the Board
11 of Trustees shall publish widely an annual report presented in
12 simple and easily understood language pursuant to uniform reporting
13 standards prescribed by the Oklahoma State Pension Commission for
14 all state retirement systems. The report shall be submitted to the
15 Governor, the Speaker of the House of Representatives, the President
16 Pro Tempore of the Senate, the Oklahoma State Pension Commission and
17 the members of the System. The annual report shall cover the
18 operation of the System during the past fiscal year, including
19 income, disbursements, and the financial condition of the System at
20 the end of the fiscal year. The annual report shall also contain
21 the information issued in the quarterly reports required pursuant to
22 subsection G of this section as well as a summary of the results of
23 the most recent actuarial valuation to include total assets, total
24 liabilities, unfunded liability or over funded status, contributions

1 and any other information deemed relevant by the Board of Trustees.
2 The annual report shall be written in such a manner as to permit a
3 readily understandable means for analyzing the financial condition
4 and performance of the System for the fiscal year.

5 I. The Board shall distribute the corpus and income of the
6 System to the members and their beneficiaries in accordance with the
7 System's laws and rules and regulations. At no time prior to the
8 satisfaction of all liabilities with respect to members and their
9 beneficiaries shall any part of the corpus and income be used for,
10 or diverted to, purposes other than the exclusive benefit of the
11 members and their beneficiaries.

12 SECTION 337. AMENDATORY 74 O.S. 2021, Section 942, is
13 amended to read as follows:

14 Section 942. A. The Oklahoma State Pension Commission shall:

15 1. Publish, on a quarterly basis, a performance report
16 analyzing the performance of the Oklahoma Firefighters Pension and
17 Retirement System, the Oklahoma Police Pension and Retirement
18 System, the Uniform Retirement System for Justices and Judges, the
19 Oklahoma Law Enforcement Retirement System, the Teachers' Retirement
20 System of Oklahoma, the Oklahoma Public Employees Retirement System
21 and the retirement plan adopted by the Wildlife Conservation
22 Commission on an individual and consolidated basis. The Commission
23 shall establish a format for use by each of the state retirement
24

1 systems in submitting the information requested by the Commission
2 for the report. The report shall contain:

- 3 a. combined and individual rates of return of the
4 investment managers by category of investment, over
5 periods of time,
- 6 b. the data obtained pursuant to subparagraph a of this
7 paragraph compared with similar data for a larger
8 population of investment managers by asset class as
9 well as by style of management, and
- 10 c. any other information that the Commission may include;

11 2. Publish widely an annual report in simple and easily
12 understood language containing:

- 13 a. on an individual and consolidated basis, a report of
14 the changes in the investment policy statements
15 adopted by each retirement system in the prior year,
- 16 b. an analysis of the performance of the securities
17 lending program and short-term investment fund of the
18 custodian employed by each governing body of the
19 retirement systems specified in paragraph 1 of this
20 subsection with regard to short-term investment funds,
21 if any, containing retirement system monies,
- 22 c. recommendations on administrative and legislative
23 changes which are necessary to improve the performance

- 1 of the retirement systems in accordance with current
2 standards for large public fund portfolio management,
3 d. a summary of the results of the most recent actuarial
4 valuation to include total assets, total liabilities,
5 unfunded liability or over funded status,
6 contributions and any other information deemed
7 relevant by the Commission. The results shall be
8 determined using the standards prescribed by the
9 Government Accounting Standards Board or any successor
10 entity, and
11 e. a listing by category of the expenses of the
12 Commission;

13 3. Make recommendations to the Governor, the Speaker of the
14 House of Representatives, and the President Pro Tempore of the State
15 Senate, based upon the advice of pension consultants, for updating
16 or standardizing retirement system benefit designs; and

17 4. Make recommendations to the Governor, the Speaker of the
18 House of Representatives and the President Pro Tempore of the State
19 Senate regarding the methods for the adequate financing of benefits
20 authorized or required by law for performance of service upon behalf
21 of employers participating in any of the retirement systems
22 administered by the entities identified in paragraph 1 of this
23 subsection, including, but not limited to, recommendations regarding
24 the use of dedicated tax or other revenue sources or the

1 modification of such tax or other revenue sources to provide
2 additional funding to retirement systems the actuarial condition of
3 which would benefit from such sources.

4 B. The Commission shall, utilizing the centralized filing
5 system provided for in Section 378 of this act, electronically
6 distribute its reports and recommendations to the Governor, the
7 President Pro Tempore of the Senate, the Speaker of the House of
8 Representatives, and the chairman chair and vice-chairman vice chair
9 of the Joint Committee on Fiscal Operations. The Commission shall
10 make the reports widely available to the members of the Legislature,
11 members of the retirement systems, and the general public.

12 C. The Commission shall hire one or more pension fund
13 management consultants to assist the Commission in accomplishing its
14 objectives specified in subsection A of this section. Consultants
15 shall be chosen by a solicitation of proposals on a competitive bid
16 basis pursuant to standards set by the Commission. A consultant:

17 1. Shall be experienced in providing unbiased third-party
18 consulting services;

19 2. Shall have in its client base individual clients that are
20 comparable in size to the combined total assets of the retirement
21 systems specified in paragraph 1 of subsection A of this section;
22 and

23 3. Shall not be under contract with any of the individual
24 governing bodies of the various state retirement systems.

1 D. For purposes of this subsection, pension fund management
2 consultants hired by the Commission are hereby considered
3 fiduciaries of the state retirement systems.

4 1. A fiduciary with respect to the state retirement systems
5 shall not cause or advise a retirement system to engage in a
6 transaction if the fiduciary knows or should know that such
7 transaction constitutes a direct or indirect:

8 a. sale or exchange, or leasing of any property from a
9 retirement system to a party in interest for less than
10 adequate consideration or from a party in interest to
11 a retirement system for more than adequate
12 consideration,

13 b. lending of money or other extension of credit from a
14 retirement system to a party in interest without the
15 receipt of adequate security and a reasonable rate of
16 interest, or from a party in interest to a retirement
17 system with provision of excessive security or an
18 unreasonably high rate of interest,

19 c. furnishing of goods, services or facilities from a
20 retirement system to a party in interest for less than
21 adequate consideration, or from a party in interest to
22 a retirement system for more than adequate
23 consideration, or
24

1 d. transfer to, or use by or for the benefit of, a party
2 in interest of any assets of a retirement system for
3 less than adequate consideration.

4 2. A fiduciary with respect to the state retirement systems
5 shall not:

6 a. deal with the assets of a retirement system in the
7 fiduciary's own interest or for the fiduciary's own
8 account,

9 b. in the fiduciary's individual or any other capacity
10 act in any transaction involving a retirement system
11 on behalf of a party whose interests are adverse to
12 the interests of a retirement system or the interests
13 of its participants or beneficiaries, or

14 c. receive any consideration for the fiduciary's own
15 personal account from any party dealing with a
16 retirement system in connection with a transaction
17 involving the assets of a retirement system.

18 SECTION 338. AMENDATORY 74 O.S. 2021, Section 1207, is
19 amended to read as follows:

20 Section 1207. A. The State of Oklahoma recognizes the status
21 of the federally recognized tribal governments residing in the
22 geographical boundaries of the state as sovereign nations and the
23 state recognizes the need for further cooperation between the state
24 and the tribes and their citizens and the importance of the

1 government-to-government relationship between the state and the
2 tribes.

3 B. There is hereby created the position of Oklahoma Native
4 American Liaison who shall be appointed by the Governor. The
5 Oklahoma Native American Liaison may also serve as the Secretary of
6 Native American Affairs or a successor cabinet position and shall
7 have jurisdictional areas of responsibility related to Native
8 American issues and state and tribal relations. The first Oklahoma
9 Native American Liaison shall be appointed no later than December 1,
10 2012.

11 C. Any person appointed to the position of Oklahoma Native
12 American Liaison shall be a member or citizen of a federally
13 recognized American Indian tribe or nation that has its primary
14 tribal headquarters located in Oklahoma and shall have valid proof
15 of membership or citizenship.

16 D. The salary and any other expenses for the Oklahoma Native
17 American Liaison shall be budgeted as a separate line item through
18 the Governor. The Governor shall provide adequate office space,
19 equipment, and support necessary to enable the Oklahoma Native
20 American Liaison to carry out the duties and responsibilities of the
21 position.

22 E. The Oklahoma Native American Liaison shall:
23
24

1 1. Have the powers and duties over Native American issues and
2 state and tribal relation areas designated to the position by the
3 Governor;

4 2. Monitor all compacts, including gaming, tobacco, and motor
5 vehicle fuel compacts, entered into by the state and political
6 subdivisions with federally recognized Indian tribal governments
7 within this state;

8 3. Coordinate with the Office of Tribal Relations within the
9 Oklahoma Historical Society on the gathering, preserving and
10 maintaining of all compacts and agreements between federally
11 recognized Indian tribal governments and the state and political
12 subdivisions and all related records, documents and materials;

13 4. Monitor state agency consultation policies with tribal
14 governments;

15 5. Monitor the interactions of state agencies with tribal
16 governments;

17 6. Provide coordination between tribes and state agencies for
18 any activities of the state agency that will directly affect tribal
19 governments or their property;

20 7. Inform tribes about ongoing or proposed state programs that
21 will affect tribal governments or their property;

22 8. Coordinate with tribal governments to determine priorities
23 of interest for possible cooperation between the various agencies
24 and the tribal governments;

1 9. Inform tribes on funding opportunities through partnerships
2 with state agencies to address locally determined priorities of
3 interest agreed to by both the state and tribal governments;

4 10. Ensure continuing outreach to tribes and shall establish
5 and maintain relationships with tribes and tribal organizations; and

6 11. Make an annual report on the interaction between the state
7 and state agencies and tribal governments and shall, utilizing the
8 centralized filing system provided for in Section 378 of this act,
9 electronically submit the report to the Governor, the Speaker of the
10 House of Representatives, and the President Pro Tempore of the
11 Senate.

12 SECTION 339. AMENDATORY 74 O.S. 2021, Section 1332.1, as
13 amended by Section 8, Chapter 245, O.S.L. 2024 (74 O.S. Supp. 2025,
14 Section 1332.1), is amended to read as follows:

15 Section 1332.1. A. The Oklahoma Employees Insurance and
16 Benefits Board shall collect from state agencies each month, the
17 premium amount, as determined by the Board, for each employee of a
18 state agency that participates in the Disability Insurance Program.
19 Said sum shall be deposited in the State Employees Disability
20 Insurance Reserve Fund for use in accordance with law.

21 B. The Oklahoma Employees Insurance and Benefits Board shall,
22 utilizing the centralized filing system provided for in Section 378
23 of this act, electronically submit a monthly statement of the
24 revenues and disbursements of the Disability Insurance Program to

1 the Governor, the Speaker of the House of Representatives, the
2 President Pro Tempore of the Senate, and the Legislative Service
3 Bureau. The Legislative Service Bureau shall distribute copies of
4 such monthly statements to the fiscal staff of the House of
5 Representatives and the State Senate.

6 C. On or before March 1 of each year, the Oklahoma Employees
7 Insurance and Benefits Board shall submit a report of the
8 actuarially-determined future needs of the Disability Insurance
9 Program. ~~Said~~ Such report shall be submitted and distributed as
10 provided for in subsection B of this section.

11 D. The Board shall provide for the continuation of dependent
12 health coverage to disability recipients for that period of time
13 when the employee is qualified as disabled but not yet received
14 disability benefit income.

15 E. The Board shall deduct all dependent health coverage
16 premiums due and owing from the first retroactive disability payment
17 and each payment thereafter.

18 SECTION 340. AMENDATORY 74 O.S. 2021, Section 2109, is
19 amended to read as follows:

20 Section 2109. On or before March 1 of each year, the Commission
21 shall, utilizing the centralized filing system provided for in
22 Section 378 of this act, electronically provide a report to the
23 Speaker of the House of Representatives and the President Pro
24 Tempore of the Senate which shall include, but not be limited to:

1 1. ~~the~~ The number of applications for export trading companies
2 submitted;

3 2. ~~the~~ The number of applications for export trading companies
4 approved; and

5 3. ~~the~~ The number of jobs created by each export trading
6 company and the dollar value of export trade generated by each
7 export trading company.

8 SECTION 341. AMENDATORY 74 O.S. 2021, Section 2205, is
9 amended to read as follows:

10 Section 2205. The Commission shall prepare and, utilizing the
11 centralized filing system provided for in Section 378 of this act,
12 electronically submit to the Governor and to the Legislature on the
13 first day of each legislative session a report of the activities of
14 the Department, together with all information and data in the
15 possession of the Department as the Commission shall deem of value
16 to the Governor, the Legislature, and the people of the State of
17 Oklahoma. Each report may contain recommendations for legislation
18 as the Commission may deem necessary to give full effect to all the
19 provisions of the Oklahoma Tourism, Parks and Recreation Enhancement
20 Act.

21 SECTION 342. AMENDATORY 74 O.S. 2021, Section 2220, is
22 amended to read as follows:

23 Section 2220. A. The Commission may prescribe and collect
24 reasonable rates and fees pursuant to the provisions of this section

1 for the services, facilities, and commodities rendered by all
2 property of the Commission.

3 1. The Commission may establish maximum rates for rooms at the
4 state lodges and cabins, for recreational activities, for
5 recreational vehicles and camping sites, and for community
6 facilities under control of the Commission. The method whereby the
7 rates are determined shall be promulgated pursuant to Article I of
8 the Administrative Procedures Act. At least twenty (20) days prior
9 to the adoption or approval of any rate changes by the Commission,
10 the Department shall, utilizing the centralized filing system
11 provided for in Section 378 of this act, electronically submit a
12 copy of the proposed rates, for informational purposes, to the
13 Governor, Speaker of the House of Representatives, and President Pro
14 Tempore of the Senate. Any change in the rates during the year when
15 the Legislature is not in session shall be electronically reported
16 in writing to the Governor, Speaker of the House of Representatives,
17 and President Pro Tempore of the Senate utilizing the centralized
18 filing system provided for in Section 378 of this act within five
19 (5) business days of such Commission action.

20 2. The Commission may establish maximum charges for all
21 activities at state-owned golf courses. The charges may vary among
22 the different golf courses according to the practices of the golf
23 industry. The method whereby the maximum charges are determined
24 shall be in accordance with rules promulgated pursuant to Article I

1 of the Administrative Procedures Act. At least twenty (20) days
2 prior to the adoption or approval of any rate changes by the
3 Commission, the Department shall, utilizing the centralized filing
4 system provided for in Section 378 of this act, electronically
5 submit a copy of such proposed charges, for informational purposes,
6 to the Governor, Speaker of the House of Representatives, and
7 President Pro Tempore of the Senate.

8 3. The Commission may establish entrance or day-use charges for
9 the state park system. All monies collected from entrance or day-
10 use charges shall be used at the state parks where the charges were
11 collected. The Commission may establish an annual pass, or other
12 varied passes as appropriate to that park, for visitors. The method
13 whereby the maximum charges are determined, sold, and collected
14 shall be in accordance with rules promulgated pursuant to Article I
15 of the Administrative Procedures Act. At least twenty (20) days
16 prior to the adoption or approval of any rate changes by the
17 Commission, the Department shall, utilizing the centralized filing
18 system provided for in Section 378 of this act, electronically
19 submit a copy of such proposed charges, for informational purposes,
20 to the Governor, Speaker of the House of Representatives, and
21 President Pro Tempore of the Senate.

22 4. Fees shall be promulgated pursuant to Article I of the
23 Administrative Procedures Act.
24

1 5. Fees may reflect the seasonal usage of the parks and
2 facilities and for promotional purposes and goals.

3 B. All fees, licenses, and other charges shall be posted in a
4 convenient place in each park. Every person using any of the
5 facilities in a park shall be charged the same fees, licenses, and
6 every other charge except:

7 1. Residents of this state sixty-two (62) years of age and over
8 and their spouses shall not be charged any admission fees for
9 entrance into any state-owned and -operated park. The Commission
10 may promulgate rules establishing different fees for residents and
11 nonresidents sixty-two (62) years of age and over. Identification
12 may be established by presentation of proof of age, residency, a
13 state driver license, a state license for identification only, birth
14 certificate or any other form of identification authorized by the
15 Commission;

16 2. Individuals who have been certified as totally disabled
17 under state or federal law and their spouses shall be entitled to a
18 fifty percent (50%) reduction of fees which apply to recreational-
19 use facilities;

20 3. Children's groups, volunteer groups as specified by the
21 Commission, or governmental entities that provide beneficial
22 services at the facility for which the fee may be reduced or waived;
23 and
24

1 4. Special discount rates as authorized in this section may be
2 waived for individuals who are members of a group being provided a
3 special group rate as allowed by law.

4 C. The failure to collect such fees, licenses and other charges
5 shall subject an employee of the Commission to a fine of Twenty-five
6 Dollars (\$25.00) for each and every violation.

7 SECTION 343. AMENDATORY 74 O.S. 2021, Section 2236, is
8 amended to read as follows:

9 Section 2236. A. There is hereby created within the Oklahoma
10 Department of Commerce, the Oklahoma Film and Music Office. The
11 Office shall have the primary responsibility in state government for
12 promoting the state as a location for producing motion pictures,
13 television programs, videos and recording or performing music. The
14 Office shall assist the motion picture, television and video film
15 and music industries by providing production contacts in the state,
16 suggesting possible filming, performing, publishing, and recording
17 locations, and other activities that may be required to promote the
18 state as a filming and music center. The Office shall develop
19 resource guides, a database, and a web site. The Office shall
20 develop listings of music festivals and music events being held in
21 Oklahoma.

22 B. The Oklahoma Film and Music Office shall cooperate with
23 other state and local offices as required to promote the film and
24 music industries in this state.

1 C. The Oklahoma Film and Music Office shall establish a film
2 production registration program. Under the program, film production
3 companies shall be required to register with the Office prior to
4 starting production on a film located in the state. The Office
5 shall not require production companies to pay a fee for
6 registration. The purpose of the program shall be to allow the
7 Office to accurately track the number of filming productions
8 occurring in the state and the economic impact of those productions.

9 D. The Oklahoma Film and Music Office shall, utilizing the
10 centralized filing system provided for in Section 378 of this act,
11 electronically submit an annual report to the Governor, the Speaker
12 of the House of Representatives, and the President Pro Tempore of
13 the Senate prior to July 1 of each year regarding the activities of
14 the Office. The report shall state the number of filming
15 productions that the Office has helped bring to the state and the
16 economic impact of those productions, and provide similar
17 information concerning the efforts of the Office to promote the
18 music industry in this state.

19 E. On the effective date of this act, all administrative rules
20 promulgated by the Oklahoma Tourism and Recreation Department
21 regarding the Oklahoma Film and Music Office shall be transferred to
22 and become a part of the administrative rules of the Oklahoma
23 Department of Commerce. The Office of Administrative Rules in the
24 Office of the Secretary of State shall provide adequate notice in

1 the Oklahoma Register of the transferred rules and shall place the
2 transferred rules under the Administrative Code section of the
3 Oklahoma Department of Commerce. On the effective date of this act,
4 any amendment, repeal, or addition to the transferred rules shall be
5 under the rulemaking authority of the Oklahoma Department of
6 Commerce. The Department of Commerce may enact rules to administer
7 programs within the Oklahoma Film and Music Office.

8 SECTION 344. AMENDATORY 74 O.S. 2021, Section 2276.2, is
9 amended to read as follows:

10 Section 2276.2. A. The Oklahoma Tourism and Recreation
11 Commission shall discharge their duties as trustees of the Oklahoma
12 State Park Trust Fund created in Section 2276.1 of this title,
13 hereafter referred to as the "Trust Fund":

14 1. With the care, skill, prudence, and diligence under the
15 circumstances then prevailing that a prudent person acting in a like
16 capacity and familiar with such matters would use in the conduct of
17 an enterprise of a like character and with like aims;

18 2. By diversifying the investments of the Trust Fund so as to
19 minimize the risk of large losses, unless under the circumstances it
20 is clearly prudent not to do so; and

21 3. In accordance with the laws, documents and instruments
22 governing the Trust Fund.

23 B. The Commission may procure insurance indemnifying the
24 members of the Commission from personal loss or accountability from

1 liability resulting from the action or inaction of a member as a
2 trustee.

3 C. The Commission may utilize the written investment policy
4 developed by the State Treasurer for the investment of public funds
5 for the investment and management of the Trust Fund. Investments of
6 the Trust Fund may be consistent with the guidelines set forth in
7 Section 89.2 of Title 62 of the Oklahoma Statutes which establishes
8 the investment requirements for public funds by the State Treasurer.

9 D. Funds and revenues for investment by the Commission shall be
10 placed with a custodian selected by the Commission. Payment of any
11 fees for the services of a custodian may be paid from the income and
12 investment return on the Trust Fund. The custodian may be the State
13 Treasurer or a bank or trust company offering pension fund master
14 trustee and master custodial services. If other than the State
15 Treasurer is utilized, the custodian shall be chosen by a
16 solicitation of proposals on a competitive bid basis pursuant to
17 standards set by the Commission. In compliance with the investment
18 policy guidelines of the Commission, the custodian bank or trust
19 company shall be contractually responsible for ensuring that all
20 monies of the Trust Fund are invested in income-producing investment
21 vehicles at all times. If a custodian bank or trust company has not
22 received direction from the Commission as to the investment of the
23 monies of the Trust Fund in specific investment vehicles, the
24 custodian bank or trust company shall be contractually responsible

1 to the Commission for investing the monies in appropriately
2 collateralized short-term interest-bearing investment vehicles. If
3 the State Treasurer is utilized as the custodian and has not
4 received direction from the Commission as to the investment of the
5 monies of the Trust Fund in specific investment vehicles, the State
6 Treasurer shall invest the monies in accordance with the investment
7 policy developed by the State Treasurer for investment of public
8 funds and in a manner consistent with the guidelines for the
9 investment of public funds set forth in Section 89.2 of Title 62 of
10 the Oklahoma Statutes.

11 E. By November 1, 2006, and prior to August 1 of each year
12 thereafter, the Commission shall develop a written investment plan
13 for the Trust Fund.

14 F. The Commission shall compile quarterly financial reports of
15 all the funds and accounts of the Trust Fund on a fiscal year basis.
16 The reports shall include several relevant measures of investment
17 value, including acquisition cost and current fair market value with
18 appropriate summaries of total holdings and returns. The report
19 shall be electronically distributed to the Director of the
20 Legislative Service Bureau utilizing the centralized filing system
21 provided for in Section 378 of this act.

22 G. After July 1 and before October 1 of each year, the
23 Commission shall, utilizing the centralized filing system provided
24 for in Section 378 of this act, electronically publish an annual

1 report presented in simple and easily understood language. The
2 report shall be submitted to the Governor, the Speaker of the House
3 of Representatives, the President Pro Tempore of the Senate, and the
4 Director of the Legislative Service Bureau. The annual report shall
5 cover the operation of the Trust Fund during the past fiscal year,
6 including income, disbursements, and the financial condition of the
7 Trust Fund at the end of the fiscal year. The annual report shall
8 also contain the information issued in the quarterly reports
9 required pursuant to subsection F of this section as well as a
10 summary of the results of the most recent actuarial valuation to
11 include total assets, total liabilities, unfunded liability or over-
12 funded status, contributions and any other information deemed
13 relevant by the Commission.

14 SECTION 345. AMENDATORY 74 O.S. 2021, Section 2901.4, is
15 amended to read as follows:

16 Section 2901.4. A. 1. The Oklahoma Department of Commerce and
17 the Oklahoma Housing Finance Agency shall develop a statewide
18 affordable housing strategy and update such strategy periodically.

19 2. The strategy shall include the real-time data collected and
20 analyzed on the current condition of affordable housing in Oklahoma.

21 3. The strategy shall identify needs for affordable housing
22 particularly in nonmetropolitan areas of the state and in areas
23 experiencing growth.

24

1 4. The strategy shall be coordinated with federal, state, and
2 local housing providers to leverage new resources for affordable
3 housing in Oklahoma.

4 B. ~~An initial~~ A report on such housing strategy shall be
5 electronically provided to the Governor, the President Pro Tempore
6 of the Senate, the Speaker of the House of Representatives, and the
7 Secretary of Commerce no later than January 1, ~~1999, and shall be~~
8 ~~updated no later than January 1~~ of each year utilizing the
9 centralized filing system provided for in Section 378 of this act.

10 SECTION 346. AMENDATORY Section 2, Chapter 22, 1st
11 Extraordinary Session, O.S.L. 2023 (74 O.S. Supp. 2025, Section
12 2903.1), is amended to read as follows:

13 Section 2903.1. The Oklahoma Homebuilder Program shall be
14 administered by the Oklahoma Housing Finance Agency (OHFA). The
15 program shall create more affordable single family housing units
16 across the State of Oklahoma. The program shall be a loan program
17 for homebuilders at interest rates as low as zero percent (0%),
18 providing loans to build single family housing units. The program
19 shall fund both urban and rural housing developments across the
20 state. The program shall give preference to applicants seeking to
21 build homes in communities that have been under a federally declared
22 natural disaster within the last twelve (12) months. Additionally,
23 participants in this program shall not be eligible for the Oklahoma
24 Affordable Housing Tax Credit as found in Section 2357.403 of Title

1 68 of the Oklahoma Statutes. OHFA may promulgate rules to
2 administer the Oklahoma Homebuilder Program. OHFA shall, utilizing
3 the centralized filing system provided for in Section 378 of this
4 act, electronically provide a yearly report beginning July 1, 2024,
5 to the Governor, the Speaker of the Oklahoma House of
6 Representatives, the President Pro Tempore of the Oklahoma State
7 Senate, the House Appropriations and Budget Chair, and the Senate
8 Appropriations Chair detailing how many awards have been made and
9 how many single family housing units have been built to date, along
10 with other program information deemed relevant by OHFA.

11 SECTION 347. AMENDATORY Section 4, Chapter 22, 1st
12 Extraordinary Session, O.S.L. 2023 (74 O.S. Supp. 2025, Section
13 2903.3), is amended to read as follows:

14 Section 2903.3. The Oklahoma Increased Housing Program shall be
15 administered by the Oklahoma Housing Finance Agency (OHFA). The
16 goal of the program is to help create more affordable housing across
17 the State of Oklahoma. The program shall help both developers and
18 homebuyers. Developers may apply for gap financing in building both
19 single family and multi-family homes across the state. Homebuyers
20 may apply for a grant assisting in making their down payments in
21 purchasing a home. The program shall fund both urban and rural
22 housing developments across the state. The program shall give
23 preference to applicants who are looking to develop or buy housing
24 in communities that have been under a federally declared disaster

1 within the last twelve (12) months. Additionally, participants in
2 the program shall not be eligible for the "Oklahoma Affordable
3 Housing Tax Credit" as found in Section 2357.403 of Title 68 of the
4 Oklahoma Statutes. OHFA may promulgate rules to develop the
5 Oklahoma Increased Housing Program. OHFA shall, utilizing the
6 centralized filing system provided for in Section 378 of this act,
7 electronically provide a yearly report beginning July 1, 2024, to
8 the Governor, the Speaker of the Oklahoma House of Representatives,
9 the President Pro Tempore of the Oklahoma State Senate, the House
10 Appropriations and Budget Chair, and the Senate Appropriations Chair
11 detailing how many awards have been made to both developers and to
12 homebuyers, how many additional housing units have been built, along
13 with other program information deemed relevant by OHFA.

14 SECTION 348. AMENDATORY 74 O.S. 2021, Section 3117, is
15 amended to read as follows:

16 Section 3117. No agency, constitutionally or statutorily
17 created state board, bureau, commission, office, authority, public
18 trust in which the state is a beneficiary, or interstate commission,
19 except governing boards for entities within The Oklahoma State
20 System of Higher Education, shall establish or increase fees, except
21 during such times as the Legislature is in session, unless
22 specifically mandated by the Legislature or federal legislation, or
23 when the failure to establish or increase fees would conflict with
24 an order issued by a court of law.

1 Prior to the establishment or increase of a fee, the agency,
2 constitutionally or statutorily created state board, bureau,
3 commission, office, authority, public trust in which the state is a
4 beneficiary, or interstate commission, except governing boards for
5 entities within The Oklahoma State System of Higher Education for
6 which fees are reported pursuant to Section 3218.2 of Title 70 of
7 the Oklahoma Statutes, shall, utilizing the centralized filing
8 system provided for in Section 378 of this act, electronically
9 notify, in writing, the Governor, the Speaker of the House of
10 Representatives, the Government Operations, Agency Oversight and
11 Administrative Rules Committee, and the President Pro Tempore of the
12 Senate of the intended action. The notice shall include
13 justification for the fee or fee increase and all supportive
14 documentation.

15 SECTION 349. AMENDATORY 74 O.S. 2021, Section 3122, is
16 amended to read as follows:

17 Section 3122. A. For purposes of the Government Transparency
18 Act of 2019, "state agency" shall have the same meaning pursuant to
19 Section 3301 of Title 74 of the Oklahoma Statutes.

20 B. Upon the effective date of this act, a state agency entering
21 into a Memorandum of Understanding or Memorandum of Agreement with
22 any agency, department or any organization receiving appropriated
23 money, grants, contracts from the State of Oklahoma, or any other
24 state or funds from the government of the United States shall

1 publish a report on its website and the documents.ok.gov website of
2 all Memorandums of Understanding or Memorandums of Agreement within
3 fifteen (15) business days of the Memorandum's effective date. The
4 report shall contain a detailed accounting of each Memorandum of
5 Understanding or Memorandum of Agreement which shall include:

6 1. The effective date of the Memorandum of Understanding or
7 Memorandum of Agreement;

8 2. The duration of the Memorandum of Understanding or
9 Memorandum of Agreement;

10 3. The entities subject to the Memorandum of Understanding or
11 Memorandum of Agreement;

12 4. The purpose of the Memorandum of Understanding or Memorandum
13 of Agreement; and

14 5. The constitutional or statutory provisions allowing for the
15 subject addressed in the Memorandum of Understanding or Memorandum
16 of Agreement.

17 C. When any state agency enters into a Memorandum of
18 Understanding or Memorandum of Agreement, and when the state
19 Legislature is in session, the state agency shall, utilizing the
20 centralized filing system provided for in Section 378 of this act,
21 electronically provide the chair of the appropriate legislative
22 committee, based on the subject matter or agency executing the
23 document, with a copy of the Memorandum of Understanding or
24 Memorandum of Agreement.

1 D. Provided, the state agency may not publish any such report
2 on a Memorandum of Understanding or Memorandum of Agreement that is
3 privileged under law pursuant to the Oklahoma Open Records Act.
4 However, a report shall still be published to indicate what entities
5 are subject to the privileged Memorandum of Understanding or
6 Memorandum of Agreement and its duration.

7 E. Memorandums of Understanding or Memorandums of Agreement
8 solely between departments or agencies of this state shall cite the
9 state constitutional or statutory authority granted for the subject
10 addressed in the Memorandum of Understanding or Memorandum of
11 Agreement. Memorandums of Understanding or Memorandums of Agreement
12 between any agencies, departments and any organizations receiving
13 appropriated money, grants, contracts from the State of Oklahoma or
14 any other state, or funds from the government of the United States
15 shall cite the authority granted by federal or state statute ~~and/or~~
16 or in the Constitution of the United States as well as the
17 Constitution of the State of Oklahoma for the subject addressed in
18 the Memorandum of Understanding or Memorandum of Agreement.

19 SECTION 350. AMENDATORY 74 O.S. 2021, Section 3601.2, is
20 amended to read as follows:

21 Section 3601.2. A. Beginning July 1, 2013, each agency, board,
22 commission, department, or program in the executive branch of state
23 government shall establish the salary of each of the chief executive
24 officers for which they have appointing authority. Such salary

1 shall be set between the minimum and maximum of the range specified
2 in the annual compensation reports required by paragraph 5 of
3 Section 840-1.6A of this title, for full-time employees only.

4 B. All increases require certification of the appointing
5 authority that said action can be implemented for the current fiscal
6 year and subsequent fiscal year without the need for additional
7 funding. The agency, board, commission, department, or program
8 shall report increases granted under this section to the Office of
9 Management and Enterprise Services on an annual basis by August 1 of
10 each year. The Office of Management and Enterprise Services shall,
11 utilizing the centralized filing system provided for in Section 378
12 of this act, electronically forward a report of such increases to
13 the Governor, President Pro Tempore of the Senate, and Speaker of
14 the House of Representatives no later than September 1 of each year.

15 C. Every three (3) years beginning with fiscal year 2013, the
16 Office of Management and Enterprise Services shall review these
17 salary ranges and report on and make recommendations on proposed
18 salary ranges in its annual compensation reports mandated by
19 paragraph 5 of Section 840-1.6A of this title. Such recommendations
20 shall be made no later than February 1 for chief executive officers
21 in all state agencies, boards, commissions, departments, or programs
22 in the executive branch of state government, including but not
23 limited to those specified in Section 3601.1 of this title.

1 SECTION 351. AMENDATORY 74 O.S. 2021, Section 3602, is
2 amended to read as follows:

3 Section 3602. The following agencies, boards, commissions,
4 departments, and institutions shall, utilizing the centralized
5 filing system provided for in Section 378 of this act,
6 electronically file a quarterly report with the Governor, the
7 Speaker of the House of Representatives, and the President Pro
8 Tempore of the Senate, showing the increase or decrease in employees
9 employed by them during the fiscal quarter immediately preceding the
10 filing of the report:

- 11 1. Oklahoma State Regents for Higher Education;
- 12 2. Board of Regents of Oklahoma Colleges; and
- 13 3. Every institution comprising the Oklahoma State System of
14 Higher Education.

15 SECTION 352. AMENDATORY 74 O.S. 2021, Section 3917, is
16 amended to read as follows:

17 Section 3917. A. Any statutory entity enumerated in the
18 Oklahoma Sunset Law shall, if re-created, be placed in this act to
19 be terminated or re-created not more than six (6) years thereafter.

20 B. The Oklahoma Department of Libraries shall monitor actions
21 of the State Legislature and maintain a list of all agencies,
22 boards, commissions, committees, or other entities created or
23 authorized by law, and all entities created by a Governor's
24 Executive Order. The updated list shall be electronically provided

1 to the Governor, the President Pro Tempore of the Oklahoma Senate,
2 the Speaker of the Oklahoma House of Representatives, and the chairs
3 of the appropriate House or Senate sunset committee within thirty
4 (30) days after sine die adjournment of each legislative session
5 utilizing the centralized filing system provided for in Section 378
6 of this act.

7 SECTION 353. AMENDATORY 74 O.S. 2021, Section 5003.7, as
8 last amended by Section 3, Chapter 133, O.S.L. 2025 (74 O.S. Supp.
9 2025, Section 5003.7), is amended to read as follows:

10 Section 5003.7. A. The Oklahoma Department of Commerce shall
11 prepare, with the cooperation of the Oklahoma business community,
12 agricultural community, financial community, universities, labor,
13 the state executive and legislative branches, and the Oklahoma
14 Workforce Commission, a five-year economic development plan and
15 annual updates for this state.

16 1. The purpose of the plan shall be to identify significant
17 economic, social, and demographic trends which may have both short-
18 term and long-term impacts on the state and local economy and to
19 present strategies and recommendations that the state and local
20 political subdivisions might adopt to improve or stabilize the
21 economy.

22 2. The goals of the plan shall include the development of a
23 diversified state economy; the increase of employment; the maximum
24 use of federal, state, and local funds to achieve the goals or

1 recommendations included in the plan; the maximum investment of
2 capital in the economy of the state; and the improvement of the
3 quality of life in the state.

4 3. The plan wherever possible shall make recommendations to
5 encourage intergovernmental cooperation and public and private
6 cooperation.

7 4. The plan shall include an economic development strategy for
8 the state that addresses target industries, site development, and
9 workforce needs to meet the state goals.

10 5. Copies of the plan and the annual updates shall be submitted
11 electronically to the Oklahoma Advisory Committee on
12 Intergovernmental Relations, the Governor, the Speaker of the House
13 of Representatives, the President Pro Tempore of the Senate and the
14 members of the Legislative Evaluation and Development Committee, as
15 created in Section 5090.1 of this title, utilizing the centralized
16 filing system provided for in Section 378 of this act, and be made
17 available to the public on the Department's website on the first day
18 of each legislative session.

19 6. The Department shall develop and manage a complete economic
20 information system which will support the five-year planning
21 process, and which will make available complete and timely
22 information on the state economy. The economic information system
23 shall be operated by public or private Oklahoma universities or an
24

1 Oklahoma enterprise capable of providing such services in a cost-
2 effective manner.

3 B. The Chief Executive Officer of the Oklahoma Department of
4 Commerce shall present the strategic plan to the Oklahoma Department
5 of Commerce Board, as created in Section 4 of this act, for
6 approval.

7 C. The Department, in conjunction with the Oklahoma Development
8 Finance Authority, is authorized to develop an infrastructure
9 program which will enable political subdivisions of this state to
10 finance public works projects in order to modify or improve existing
11 public facilities for purposes of bringing such facilities, and the
12 operation thereof, into compliance with and maintaining compliance
13 with federal, state and local laws and regulations pertaining to the
14 protection of the public health and the environment.

15 D. The Chief Executive Officer shall develop an annual business
16 plan for the Department. The business plan shall include the need
17 and mission of each division of the Department created by law or the
18 Chief Executive Officer and an analysis of past costs and benefits
19 and future projected costs and benefits to the state of the programs
20 of each division of the Department. The business plan shall be
21 consistent with the goals of the recurring five-year plan specified
22 in this section. The Chief Executive Officer shall distribute
23 copies of the business plan by such means that will make it widely
24

1 available to communities, firms, and local economic development
2 managers throughout this state.

3 SECTION 354. AMENDATORY 74 O.S. 2021, Section 5003.9, is
4 amended to read as follows:

5 Section 5003.9. The Oklahoma Department of Commerce shall
6 submit to the Legislature performance review information for the
7 programs it operates or funds. This information shall be compiled
8 into a report that shall be electronically submitted to the
9 President Pro Tempore of the Senate, the Speaker of the House of
10 Representatives, the ~~Chairman~~ Chair of the Senate Appropriations
11 Committee, and the ~~Chairman~~ Chair of the House of Representatives
12 Appropriations and Budget Committee by February 1 of each year
13 utilizing the centralized filing system provided for in Section 378
14 of this act. The report shall be designed to assist the
15 appropriation committees in determining funding priorities and
16 should provide the best available information regarding the
17 effectiveness of these programs. This report shall complement the
18 Department's annual budget request.

19 The report shall be structured so that:

- 20 1. The need for the program is clearly established;
- 21 2. The goals of the program are clearly defined;
- 22 3. Measurable objectives are set forth;
- 23 4. Actual performance data is provided and explained;
- 24 5. Performance is evaluated against objectives; and

1 6. Future funding recommendations and program benefits are
2 outlined.

3 SECTION 355. AMENDATORY 74 O.S. 2021, Section 5003.10,
4 as amended by Section 6, Chapter 377, O.S.L. 2024 (74 O.S. Supp.
5 2025, Section 5003.10), is amended to read as follows:

6 Section 5003.10. The Oklahoma Department of Commerce shall have
7 the authority to:

8 1. Disseminate information concerning the industrial,
9 commercial, governmental, educational, cultural, agricultural,
10 business, and other advantages and attractions of the state;

11 2. Assist public and private agencies in the preparation of
12 informational and publicity programs designed to attract or retain
13 business and industry for the state;

14 3. Obligate and expend funds for services performed by local
15 political subdivisions of the state, state agencies, including
16 universities and colleges within and without the state, and federal
17 agencies for research and training in conformity with the general
18 state laws governing such activity; and apply for, accept,
19 administer and expend grants from the federal government and any
20 other public or private sources for research and training purposes;

21 4. Conduct, publish, and disseminate or encourage research
22 designed to further new and more extensive uses of the natural and
23 other resources of the state and designed to develop and
24 commercialize new products and commercial processes;

1 5. Study trends and developments in the industries of the state
2 and analyze the reasons underlying such trends; study costs within
3 the state; and make recommendations regarding circumstances
4 promoting or hampering business and industrial development;

5 6. Generally gather, compile and make available economic
6 analyses and statistical information relating to business, trade,
7 commerce, industry, transportation, communication, natural
8 resources, population, and other like subjects in this state, with
9 authority to call upon other agencies, universities, and colleges of
10 the state for statistical data and results obtained by them, and to
11 arrange and compile such economic analyses and statistical
12 information in such a manner as it deems advisable;

13 7. Study such other scientific, industrial, financial, and
14 economic issues as, in the judgment of the Department, shall be
15 deemed of value to the people of the state;

16 8. Support and assist the efforts of state, regional and local
17 development organizations, industrial committees, chambers of
18 commerce, agricultural organizations, labor organizations, and other
19 similar public and private agencies to obtain new and to foster
20 expansion of existing service, industrial and manufacturing
21 facilities, businesses and enterprises; and to foster community
22 improvements in leadership, expertise, human development,
23 infrastructure, public facilities and quality of life; and to expand
24 data availability and utilization opportunities;

1 9. Maintain a continuing evaluation of the sources available
2 for the financing of the development or expansion of industrial,
3 agricultural, and commercial facilities in this state through both
4 public and private agencies;

5 10. Assist in obtaining financing for the development and
6 expansion of industrial, agricultural, and commercial facilities in
7 the state;

8 11. Serve as the state's official liaison agency between
9 persons interested in locating new economic enterprises in Oklahoma
10 and state and local groups seeking new enterprises. In this
11 respect, the Department shall aid communities in organizing for and
12 obtaining new businesses and expanding existing businesses and shall
13 process requests which reflect interest in locating economic
14 enterprises in the state;

15 12. Promote the sale and facilitate the marketing of Oklahoma
16 products including agricultural and value-added products in the
17 international market;

18 13. Encourage the location of foreign manufacturing plants and
19 other industries in Oklahoma;

20 14. Coordinate the international efforts of the various state
21 agencies without violating the individual authority given those
22 agencies by statute;

23 15. Coordinate and serve as liaison to the private sector as
24 needed;

1 16. Establish, subject to an annual appropriation or private
2 gifts, offices outside the state boundaries. The offices may be
3 operated by the state or may be operated pursuant to contract which
4 shall not be subject to the competitive bid laws of the State of
5 Oklahoma. The Department shall prepare an annual report concerning
6 the activities of the offices and, utilizing the centralized filing
7 system provided for in Section 378 of this act, electronically
8 submit it to the Governor and the Legislature. The Chief Executive
9 Officer of the Oklahoma Department of Commerce shall notify in
10 writing the Governor, the President Pro Tempore of the Senate and
11 the Speaker of the House of Representatives that the Department
12 intends to establish a new office pursuant to this paragraph at
13 least thirty (30) days prior to the establishment of the new office
14 or execution of a contract;

15 17. Establish a system of not less than six geographic regions
16 for promoting new or existing businesses, assisting in the expansion
17 of small and medium sized manufacturers through a modernization
18 program, creating new jobs, and assisting local businesses,
19 political subdivisions, or other entities to better utilize the
20 services of the Department;

21 18. Solicit, accept and expend donations and contributions from
22 any source, whether public or private, in order to advertise,
23 promote or disseminate information which may assist in the
24 recruitment of companies, firms or jobs to Oklahoma, including but

1 not limited to the Oklahoma Quality Jobs Program Act, and any other
2 acts which the Department administers or which may assist the
3 Department in the performance of its mission. The Department shall
4 deposit any funds collected pursuant to this paragraph in the
5 "Oklahoma Department of Commerce Revolving Fund" created by Section
6 5012 of this title; and

7 19. Enter into contracts at fair market value for the rental of
8 office space in any facility under its control to entities engaged
9 in activities related to the export of goods produced in Oklahoma.
10 The Department shall deposit any funds collected pursuant to this
11 paragraph in the "Oklahoma Department of Commerce Revolving Fund"
12 created by Section 5012 of this title.

13 SECTION 356. AMENDATORY 74 O.S. 2021, Section 5003.10a,
14 as amended by Section 7, Chapter 377, O.S.L. 2024 (74 O.S. Supp.
15 2025, Section 5003.10a), is amended to read as follows:

16 Section 5003.10a. An office established by the Oklahoma
17 Department of Commerce outside the State of Oklahoma pursuant to
18 paragraph 16 of Section 5003.10 of this title shall not be
19 terminated until the Chief Executive Officer of the Oklahoma
20 Department of Commerce, utilizing the centralized filing system
21 provided for in Section 378 of this act, electronically provides a
22 written report to the Governor, the Speaker of the House of
23 Representatives, and the President Pro Tempore of the Senate of the
24 intent of the Chief Executive Officer to terminate the office.

1 Termination of the office pursuant to this section shall not occur
2 earlier than sixty (60) days following the date the report is filed
3 as provided in this section. For purposes of this section,
4 "termination" means a reduction in funding for an office or a change
5 in representation.

6 SECTION 357. AMENDATORY 74 O.S. 2021, Section 5010.3, is
7 amended to read as follows:

8 Section 5010.3. A. There is hereby created within the Oklahoma
9 Department of Commerce, the Office for Minority and Disadvantaged
10 Business Enterprises. The Director of the Oklahoma Department of
11 Commerce shall appoint a director for the Office for Minority and
12 Disadvantaged Business Enterprises. The appointed director shall
13 employ such persons as are necessary to implement the powers and
14 duties of the Office.

15 B. In performing the services set out in subsection A of this
16 section, the Office shall:

17 1. Promote the establishment of minority and disadvantaged
18 businesses with technical assistance;

19 2. Serve as a focal point and ombudsman in state government for
20 minority and disadvantaged business entrepreneurs and coordinate
21 efforts by state agencies, business development organizations, and
22 the private sector as they relate to the development of minority and
23 disadvantaged business enterprises;

24

1 3. Serve as an information clearinghouse and disseminator of
2 data for minority and disadvantaged businessmen by:

3 a. compiling and keeping updated a listing of all
4 minority and disadvantaged businesses in the State of
5 Oklahoma,

6 b. furnishing to all minority and disadvantaged business
7 enterprises that request it information relating to
8 the state procurement system, state-supported
9 construction, and state-supported subcontracting
10 opportunities, and

11 c. upon request by such a businessman, reviewing the
12 licensure process, regulations, and administrative
13 procedures of state agencies relating to private
14 enterprise;

15 4. Encourage development of capital resources for minority and
16 disadvantaged business entrepreneurs;

17 5. Strengthen the communication link between minority and
18 disadvantaged businessmen and the Governor's office;

19 6. Assist business development organizations and activities
20 which require the cooperation of state agencies;

21 7. Provide assistance to minority and disadvantaged businesses
22 by advising and counseling on all phases of procurement policies, by
23 obtaining information concerning prime contractors in letting
24

1 subcontracts and by encouraging subcontracting by prime contractors
2 to minority and disadvantaged businesses;

3 8. Receive funding from sources other than the state to further
4 this assistance;

5 9. Make studies and conduct workshops, conferences and seminars
6 with owners and employees of minority and disadvantaged businesses
7 to enhance their understanding of business management, bidding,
8 licensing procedures, procurement procedures, and any other
9 activities incident to their positions in business;

10 10. Develop training and educational programs in cooperation
11 with institutions, associations and other state, local and federal
12 agencies, and coordinate the training efforts of the various
13 organizations presently providing technical assistance to minority
14 and disadvantaged businesses;

15 11. Encourage and provide the direction and coordination to
16 secure franchises and dealerships from private firms for minority
17 and disadvantaged businesses;

18 12. Continually evaluate the progress of minority and
19 disadvantaged businesses through monitoring and techniques of
20 evaluations such as surveys and feasibility studies; and

21 13. Review and evaluate pertinent legislation and determine its
22 effect upon minority and disadvantaged businesses and make
23 appropriate recommendations to the Governor and the Legislature.

1 C. The Office shall, utilizing the centralized filing system
2 provided for in Section 378 of this act, electronically submit an
3 annual report to the Governor, the Speaker of the House of
4 Representatives, and the President Pro Tempore of the Senate prior
5 to January 1 of each year. The report shall describe the Office's
6 activities on behalf of minority and disadvantaged businesses,
7 including but not limited to research and development, technical
8 assistance, and dissemination of data and information; furthermore,
9 such report shall make recommendations for strengthening or
10 improving the business climate for minority and disadvantaged
11 businesses in this state through legislation or other means.
12 Additionally, the report shall list all businesses to which
13 assistance was rendered during the period covered by the report and
14 the nature of such assistance.

15 SECTION 358. AMENDATORY 74 O.S. 2021, Section 5040.4, as
16 amended by Section 7, Chapter 375, O.S.L. 2024 (74 O.S. Supp. 2025,
17 Section 5040.4), is amended to read as follows:

18 Section 5040.4. A. The State Department of Health shall
19 establish, through a competitive bid process, a statewide program to
20 assist medically indigent residents of Oklahoma to receive
21 prescriptions from drug manufacturer assistance programs.

22 B. Agencies including, but not limited to, the following shall
23 be encouraged by the Department to submit bids:

24 1. County offices of the Department of Human Services;

2. County health departments;

3. Community action agencies designated by the Oklahoma
Department of Commerce pursuant to Section 5038 of this title;

4. Community mental health centers;

5. Private nonprofit agencies; and

6. Public entities engaged in the delivery of social services.

C. Agencies selected by the Department to provide services
pursuant to the Rx for Oklahoma Act shall, at a minimum, demonstrate
their ability to:

1. Deliver services in a community or geographic area of the
state that is not currently receiving services pursuant to the Rx
for Oklahoma Act;

2. Maintain a dedicated telephone line and computer with
Internet access with appropriate software during normal business
hours; and

3. Have staff or volunteers available who can:

a. develop and implement community awareness initiatives
about the prescription assistance services offered by
the agency,

b. determine whether a pharmaceutical program is offered
for the drug or drugs a person needs,

c. determine whether a person is eligible for assistance
through a pharmaceutical program,

- d. assist a person to make application to and enroll in a pharmaceutical assistance program,
- e. keep accurate records of the number of clients served,
- f. maintain the confidentiality of all client information including, but not limited to, the client's identity, application information, and other records, and
- g. estimate the value of prescriptions provided to clients under the program.

D. Eligibility for the Rx for Oklahoma Act shall be residents of Oklahoma who:

1. Are medically indigent; or
2. Are not medically indigent but cannot reasonably afford to pay for prescription medications.

E. The State Department of Health shall promulgate rules or establish procedures necessary to implement the program established by the Rx for Oklahoma Act and shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Legislature and the Governor no later than January 1 of each year. The report shall include, but not be limited to, the following:

1. A listing of entities awarded grants and the amount of each award;

1 2. The number of residents served who were eligible for a drug
2 manufacturer assistance program and the average amount of savings
3 per resident;

4 3. The number of residents who sought assistance pursuant to
5 the Rx for Oklahoma Act, but were determined not to be eligible for
6 a drug manufacturer assistance program; and

7 4. A report by the Department of total expenditures. Included
8 within the report shall be a summary of each grantee's
9 administrative, personnel, and direct services expenditures by
10 category relative to the grantee's administration of the program.

11 SECTION 359. AMENDATORY 74 O.S. 2021, Section 5060.22,
12 is amended to read as follows:

13 Section 5060.22. A. The Oklahoma Science and Technology
14 Research and Development Board is authorized and instructed to,
15 utilizing the centralized filing system provided for in Section 378
16 of this act, electronically make an annual report no later than
17 November 1 to the Governor, the President Pro Tempore of the Senate,
18 and the Speaker of the House of Representatives that shall describe
19 the accomplishments, the expenditures, and the activities of the
20 prior fiscal year. The report shall include elements the Board
21 identifies as hampering the state's economic progress and
22 recommendations for changes. The report shall include an
23 independent audit in accordance with auditing standards generally
24 accepted in the United States and the standards applicable to

1 financial audits contained in Government Auditing Standards, latest
2 revised edition, issued by the Comptroller General of the United
3 States, which shall examine, among other things, actions governed by
4 the administrative policies adopted by the Board on behalf of the
5 Oklahoma Center for the Advancement of Science and Technology. The
6 annual report shall specifically account for the ways in which the
7 need, mission and programs of the Center have been carried out,
8 including but not limited to a review of the results of the
9 operations and transactions according to objective measures set
10 forth in the business plan. The report shall recommend specific
11 changes in the activities of the Center which are necessary to
12 better carry out the need and mission described in the Oklahoma
13 Center for the Advancement of Science and Technology Act. The Board
14 shall distribute its annual report by such means that will make it
15 widely available to those innovative enterprises of special
16 importance to the Oklahoma economy.

17 B. The Board shall annually review and prepare a report showing
18 how and at what level other states fund technology-based economic
19 development programs. The Board shall recommend an appropriate
20 funding level for Oklahoma which will make these programs nationally
21 competitive with those of other states. The Board's findings and
22 recommendations shall be included in the annual report to be
23 submitted to the Governor and the Legislature.

1 C. The Center shall adopt a threshold funding level for each of
2 the programs provided for by law. The threshold amount shall
3 provide for funding that is great enough to have a significant
4 impact and carry out the intent of the Legislature. If the funding
5 for these programs falls below the threshold, then no funding shall
6 be provided by the Center to the program funded below threshold
7 level.

8 D. The Board, on behalf of the Center, shall fund areas of
9 research and development that the Board selects as most likely to
10 stimulate information technology, biotechnology, genetics,
11 meteorology and climate studies, and emerging or developing
12 technology and related jobs; foster patents; result in new patents,
13 copyrights, trademarks, and licenses of value; pursue world-class
14 research teams that support the state's primary economic development
15 thrusts or focus areas; and stimulate private and public investments
16 with the intent to encourage economic development in Oklahoma.

17 SECTION 360. AMENDATORY 74 O.S. 2021, Section 5062.19,
18 is amended to read as follows:

19 Section 5062.19. A. Within sixty (60) days after the end of
20 each fiscal year, the Oklahoma Development Finance Authority shall,
21 in its annual report, account for:

22 1. The manner in which the purpose as described in Section
23 5062.1 et seq. of this title has been carried out by the Oklahoma
24 Development Finance Authority;

1 2. A list of all bonds issued by the Authority and an itemized
2 list of costs of issuance and an evaluation of the extent to which
3 the purposes of the bond proceeds have been realized;

4 3. A list of all loans made by the Authority and a description
5 of projects financed;

6 4. Documentation and estimates of jobs created and jobs
7 preserved as a result of loans made by the Authority;

8 5. Estimates of the multiplier effects on the local ~~and/or~~ or
9 statewide economy of loans made by the Authority;

10 6. An analysis by size, sector, and location of the targeting
11 of loans by the Authority to agricultural enterprises, industrial
12 enterprises, and to the state and any of its political subdivisions;

13 7. A preliminary financial report showing the financial
14 condition of the Authority at the end of the fiscal year; provided,
15 an independent audit in accordance with generally accepted
16 accounting principles shall be undertaken by an accounting firm or
17 individual holding a permit to practice public accounting in this
18 state and shall be electronically submitted to the Governor, the
19 Speaker of the House of Representatives, the President Pro Tempore
20 of the Senate, Oklahoma Futures, and the Office of the State Auditor
21 and Inspector utilizing the centralized filing system provided for
22 in Section 378 of this act and in accordance with the requirements
23 set forth for financial statement audits in Section 212A of this
24 title. The audit shall include:

- a. a statement of the aggregate dollar amount, if any, of obligations which are backed by the Credit Enhancement Reserve Fund and which are more than ninety (90) days delinquent in their payments, ~~and~~
- b. a statement of payments made from the Credit Enhancement Reserve Fund, and
- c. a statement on the loss rate percentage derived by dividing the outstanding principal balance of unpaid obligations of the Credit Enhancement Reserve Fund by the amount of payments made from the fund during the fiscal year; and

8. Policy recommendations for programs which will enhance the economic growth and development of the state.

B. All public accountants and certified public accountants, as a condition of being approved by the Oklahoma Development Finance Authority to perform the annual independent audit required pursuant to this section, shall comply with the most recent "Governmental Auditing Standards" of the Standards for Audit of Governmental Organizations, Programs, Activities, and Functions, issued by the United States General Accounting Office. A copy of the peer review performed in accordance with the above standards shall be filed with the Authority. Should the results of the peer review indicate that material deficiencies exist in the audit work performed by the reviewed auditing firm, the Oklahoma State Board of Public

1 Accountancy shall so notify the Authority, which shall immediately
2 remove the reviewed firm from any approved list of auditors
3 maintained by the Authority for a period of at least two (2) years
4 or until such time as the firm has demonstrated satisfactory
5 correction of the deficiencies reported in the peer review.

6 SECTION 361. AMENDATORY 74 O.S. 2021, Section 5066.7, is
7 amended to read as follows:

8 Section 5066.7. The Director of the Oklahoma Department of
9 Commerce shall, utilizing the centralized filing system provided for
10 in Section 378 of this act, electronically submit an annual report
11 on or before December 31 of each year to the Governor and the
12 Oklahoma State Legislature which shall include but not be limited
13 to:

14 1. The number of products and description thereof of products
15 developed to the commercial stage; and

16 2. The total fees collected and donations received.

17 SECTION 362. AMENDATORY 74 O.S. 2021, Section 5079, is
18 amended to read as follows:

19 Section 5079. On or before December 31 of each year, the
20 Director of the Oklahoma Department of Commerce shall, utilizing the
21 centralized filing system provided for in Section 378 of this act,
22 electronically provide a report to both the Speaker of the House of
23 Representatives and the President Pro Tempore of the Senate which
24 shall include, but not be limited to:

- 1 1. The number of applications for incubators submitted;
- 2 2. The number of applications for incubators approved;
- 3 3. The number of incubators created under this act;
- 4 4. The number of tenants occupying each incubator;
- 5 5. The number of jobs provided by each incubator and tenants of
- 6 each incubator; and
- 7 6. The number of firms still operating in the state after
- 8 ending their tenancy in incubators and the number of jobs they have
- 9 provided.

10 SECTION 363. AMENDATORY 74 O.S. 2021, Section 5156, is
11 amended to read as follows:

12 Section 5156. A. Partnership contracts shall be signed by both
13 the Director of the Office of Management and Enterprise Services
14 (OMES) and the authorized representative of the responsible state
15 agency for which the public service at issue in the contract
16 relates.

17 B. The Director of OMES is authorized to receive and deposit
18 any money received under the contract. Any such contract shall be
19 sufficient to effect its purpose notwithstanding any provision of
20 law to the contrary, including other laws governing the sale, lease
21 or other disposition of property or interests therein, service
22 contracts or financial transactions by or for the state.

23 C. The Office of Public-Private Partnerships shall, utilizing
24 the centralized filing system provided for in Section 378 of this

1 act, electronically provide a report to the Speaker of the House of
2 Representatives and the President Pro Tempore of the Senate
3 explaining the value of the contract to the state and describing the
4 procurement process by which the contract was reached.

5 SECTION 364. AMENDATORY 74 O.S. 2021, Section 5402, is
6 amended to read as follows:

7 Section 5402. A. The purpose of the Oklahoma Strategic
8 Military Planning Commission shall be to analyze state policies
9 affecting military facilities currently in use by the United States
10 Department of Defense and the Oklahoma Army and Air National Guard
11 located within the state and such infrastructure as may support or
12 be affected by these Department of Defense or National Guard
13 facilities or any activity therein. Provided further that the
14 Commission may assist financially with projects designed to enhance
15 the operation, security, or support of such facilities and
16 associated activities, pursuant to the provisions of Section 5403 of
17 this title. The Commission shall also examine methods for improving
18 the private sector market value or potential for such military
19 facilities.

20 B. The Commission shall advise and recommend to the Governor
21 and to the Legislature, by reporting to the Speaker of the House of
22 Representatives and the President Pro Tempore of the Senate, state
23 policies which would:

1 1. Prevent Oklahoma's military facilities from being targeted
2 for closing or downsizing;

3 2. Maximize Oklahoma's input into the federal base closing and
4 realignment process;

5 3. Protect, to the greatest extent possible, the interests of
6 the communities and residents of areas located within and adjacent
7 to such military facilities in connection with such process;

8 4. Mitigate the effect of a reduction in military personnel
9 housed or assigned to such facilities, reduction in military
10 activity associated with such facilities, or other changes in either
11 civilian or military activity which have the potential to reduce
12 employment, business activity, personal income, or other economic
13 growth in the affected areas; and

14 5. Encourage and facilitate the relocation of mission
15 responsibilities and resources to Oklahoma military facilities from
16 military bases located outside Oklahoma.

17 C. Responsibility for the administrative direction,
18 coordination and support of the Commission shall be with the Office
19 of the Governor.

20 D. The Commission shall, utilizing the centralized filing
21 system provided for in Section 378 of this act, electronically
22 submit an annual written report of its findings, conclusions and
23 recommendations to the Governor, the Speaker of the Oklahoma House
24

1 of Representatives, and the President Pro Tempore of the Oklahoma
2 State Senate not later than December 31.

3 E. The Oklahoma Department of Commerce, the Oklahoma Tax
4 Commission, the Oklahoma Employment Security Commission, and other
5 agencies of state government shall provide such assistance to the
6 Commission as the Commission may require in order to perform the
7 duties imposed upon it.

8 F. Members of the Commission shall be reimbursed by their
9 appointing authority, except that members appointed from the
10 municipalities shall be reimbursed by the Oklahoma Department of
11 Commerce, for travel to meetings of the Commission pursuant to the
12 State Travel Reimbursement Act.

13 Legislators who serve as members of the Commission shall be
14 reimbursed for travel to meetings pursuant to Section 456 of Title
15 74 of the Oklahoma Statutes.

16 SECTION 365. AMENDATORY 74 O.S. 2021, Section 6112, is
17 amended to read as follows:

18 Section 6112. ~~A.~~ The Red River Boundary Commission shall
19 confer and act in conjunction with the representatives to be
20 appointed on behalf of the State of Texas for the following
21 purposes:

22 1. To evaluate the methods, surveys, historical maps, and other
23 information used to establish the boundary line between this state
24

1 and the State of Texas in the Texoma Area, as such area is defined
2 in the Texoma Area Boundary Agreement;

3 2. To determine the location of the south bank of the Red River
4 as the bank was located and marked by the United States Army Corps
5 of Engineers before the beginning of construction of Lake Texoma, in
6 accordance with subsection C of Article II of Section 6106 of Title
7 74 of the Oklahoma Statutes;

8 3. To redraw the boundary line between this state and the State
9 of Texas on any real property for which the United States Army Corps
10 of Engineers granted an easement, prior to August 31, 2000, to at
11 least two districts or authorities created under Section 59 of
12 Article XVI of the Texas Constitution for the construction,
13 operation, and maintenance of a water pipeline and related
14 facilities in the Texoma Area in order to negate any effects the
15 boundary as it is currently drawn has on property interests
16 associated with such easements in the Texoma Area, and to redraw the
17 boundary on such real property so that there is no net loss of
18 property between either state so as to ensure that the redrawn
19 boundary does not increase the political power or influence of
20 either state, in accordance with:

- 21 a. the Lake Texoma preconstruction survey of the south
22 bank of the Red River prepared by the United States
23 Army Corps of Engineers, or
24

1 b. other historical records or documentation of the
2 United States Army Corps of Engineers identifying the
3 location of the south bank of the Red River, if the
4 survey described by subparagraph a of this paragraph
5 is unavailable;

6 4. To hold hearings and conferences in this state and in the
7 State of Texas as necessary to accomplish the purposes of this act;
8 and

9 5. To take other action, alone or in cooperation with the State
10 of Texas or the United States, necessary to accomplish the purposes
11 of this act.

12 ~~B. No later than January 15, 2022, the Commission shall report~~
13 ~~to the Governor, the Lieutenant Governor, the President Pro Tempore~~
14 ~~of the Senate, the Speaker of the House of Representatives, and~~
15 ~~appropriate committees of the Legislature the Commission's findings~~
16 ~~and recommendations concerning joint action by this state and the~~
17 ~~State of Texas regarding the amendment of the Texoma Area Boundary~~
18 ~~Agreement to incorporate the boundary between this state and the~~
19 ~~State of Texas in the Texoma Area as redrawn. No later than July~~
20 ~~30, 2025, the Commission shall issue a final report to the Governor,~~
21 ~~the Lieutenant Governor, the President Pro Tempore of the Senate,~~
22 ~~the Speaker of the House of Representatives, and appropriate~~
23 ~~committees of the Legislature.~~

1 SECTION 366. AMENDATORY 74 O.S. 2021, Section 8303, is
2 amended to read as follows:

3 Section 8303. A. There is hereby created within the Oklahoma
4 Department of Commerce the Rural Action Partnership Program.

5 B. The Rural Action Partnership Program shall be responsible
6 for coordinating and assisting in:

7 1. Establishing a statewide toll free telephone program to
8 serve as a point of first contact between persons, business
9 entities, groups, associations, organizations, state and local
10 government officials, and others for purposes of facilitating
11 contact with service providers, providing information regarding
12 primarily rural economic development entities, programs, resources,
13 and activities and to provide assistance to persons, firms and
14 representatives of governmental entities attempting to establish or
15 expand a for-profit business in a rural area of the state;

16 2. Assisting in the coordination of primarily rural economic
17 development programs offered within the state;

18 3. Administering a rural economic development and employer
19 regional outreach program that divides the state into at least four
20 areas with each such area to be served by at least one rural
21 regional economic development coordinator who shall assist in the
22 establishment and coordination of rural economic development
23 partnerships;

24

1 4. The accumulation and organization of information to be used
2 as a rural economic development resource database, including, but
3 not limited to, contact information for persons, firms, groups,
4 organizations and others involved in rural economic development
5 issues, availability of federal, state and local incentive programs,
6 and, subject to available funding, the development and maintenance
7 of a rural development Internet web site to promote access to such
8 information;

9 5. A comprehensive survey of natural resources located or
10 available in primarily rural areas of the state in order to match
11 potential value-added business activity with such resources;

12 6. The sponsorship, with key economic development partners, of
13 periodic rural development summits or conferences for purposes of
14 communicating about the existence of the Rural Action Partnership
15 Program, availability of assistance, development of additional
16 services consistent with the mission of the Program and such matters
17 as may be conducive to improving the delivery of services with
18 respect to rural development programs and rural economic
19 development; and

20 7. Providing such services and developing such programs,
21 functions or initiatives that may be necessary for or that would
22 promote the development of rural resources and the rural economy.
23
24

1 C. The mission of the Rural Action Partnership Program shall be
2 to foster healthy and sustainable rural communities through small
3 business retention, expansion, and entrepreneurial development.

4 D. The primary emphasis for the regional economic development
5 outreach specialists shall be to serve the needs of the communities
6 or regions with declining populations or with economic indicators
7 that suggest additional information and resources would be of
8 benefit to improve the economic conditions of such community.

9 E. The Oklahoma Department of Commerce, in support of the
10 mission of the Rural Action Partnership Program, may request the
11 assistance of the Oklahoma Water Resources Board, Department of
12 Environmental Quality, Oklahoma Corporation Commission, Oklahoma Tax
13 Commission, Oklahoma Employment Security Commission, Oklahoma
14 Department of Agriculture, Food, and Forestry, Oklahoma Department
15 of Tourism, Department of Transportation, the Oklahoma State Regents
16 for Higher Education, the Oklahoma Department of Career and
17 Technology Education, or such other agencies, boards, commissions,
18 departments, or other entities of state government as may be
19 required in order to assist with the implementation of the programs
20 for which the Rural Action Partnership Program is responsible.

21 F. The Oklahoma Department of Commerce shall conduct an annual
22 evaluation of the Rural Action Partnership Program. Not later than
23 December 31, 2007, and not later than December 31 annually
24 thereafter, the Executive Director of the Oklahoma Department of

1 Commerce shall, utilizing the centralized filing system provided for
2 in Section 378 of this act, electronically make a report regarding
3 the actions and functions of the Rural Action Partnership Program to
4 the Governor, Speaker of the Oklahoma House of Representatives, and
5 the President Pro Tempore of the State Senate. The report shall
6 summarize the activity and results of the Program and may contain
7 recommendations for changes in the functions of the Program,
8 including changes in funding.

9 SECTION 367. AMENDATORY 74 O.S. 2021, Section 9053, is
10 amended to read as follows:

11 Section 9053. A. In addition to all other powers expressly
12 conferred upon the Oklahoma Development Finance Authority pursuant
13 to Section 5062.8 of Title 74 of the Oklahoma Statutes, the
14 Authority is hereby authorized and empowered to take the following
15 action:

16 1. To provide, with assistance from the Public Utility Division
17 of the Oklahoma Corporation Commission, a pooled loan program for
18 the efficient financing of qualified costs of unregulated utilities
19 pursuant to Section 6 of this act for the purposes of mitigating the
20 significant impact of extreme purchase costs and extraordinary costs
21 to customers of an unregulated utility;

22 2. To assess an administrative fee for the costs associated
23 with the Authority carrying out its power and duties under this act;
24 and

1 3. To do all things necessary or convenient to carry out the
2 powers expressly granted in this act.

3 B. The Authority shall take the following action:

4 1. To, utilizing the centralized filing system provided for in
5 Section 378 of this act, electronically notify the Governor,
6 President Pro Tempore of the Senate, the Speaker of the House of
7 Representatives, and the Oklahoma Corporation Commission upon
8 issuance of a loan pursuant to this act. The notification shall be
9 in writing and include the amount and terms of the loan; and

10 2. To prepare a report annually regarding financing activity
11 related to the provisions of this act to be electronically submitted
12 to the Governor, the Attorney General, the President Pro Tempore of
13 the Senate, and the Speaker of the House of Representatives as of
14 December 1 each year, utilizing the centralized filing system
15 provided for in Section 378 of this act, until the debt is retired.

16 SECTION 368. AMENDATORY 74 O.S. 2021, Section 9076, is
17 amended to read as follows:

18 Section 9076. A. In addition to all other powers expressly
19 conferred upon the Oklahoma Development Finance Authority pursuant
20 to Section 5062.8 of Title 74 of the Oklahoma Statutes, the Authority
21 is hereby authorized and empowered to take the following actions:

22 1. To issue ratepayer-backed bonds as provided in this act;

23 2. To establish and adjust from time to time the actual cost of
24 an administrative fee for the costs associated with the Authority

1 carrying out its power and duties under this act, to include costs
2 of the Corporation Commission incurred under Section 4 of this act.
3 The fee shall be included in the calculation of utility customer
4 payments created by the financing order; and

5 3. To do all things necessary or convenient to carry out the
6 powers expressly granted in this act.

7 B. The Authority shall take the following actions:

8 1. To, utilizing the centralized filing system provided for in
9 Section 378 of this act, electronically notify the Governor,
10 President Pro Tempore of the Senate, the Speaker of the House of
11 Representatives, and the Oklahoma Corporation Commission upon
12 issuance of a ratepayer-backed bond. The notification shall be in
13 writing and include the amount and terms of the bond; and

14 2. To prepare a report annually regarding the bond activity
15 related to the provisions of this act, to be electronically
16 submitted to the Governor, the President Pro Tempore of the Senate,
17 the Speaker of the House of Representatives, the Attorney General,
18 and the Oklahoma Corporation Commission as of December 1 each year,
19 utilizing the centralized filing system provided for in Section 378
20 of this act, until the debt is retired.

21 SECTION 369. AMENDATORY Section 5, Chapter 229, O.S.L.
22 2022, as amended by Section 1, Chapter 336, O.S.L. 2023 (74 O.S.
23 Supp. 2025, Section 9204), is amended to read as follows:
24

1 Section 9204. A. There is hereby created until June 30, 2028,
2 the Oklahoma Broadband Office, to serve as the state's sole
3 administrator of the functions, powers, and duties assigned to the
4 Office in the Oklahoma Broadband Expansion Act or under law.
5 Effective June 30, 2028, the Office shall terminate and all
6 personnel positions shall be abolished. The Office shall utilize
7 the year prior to the termination date for the purpose of ceasing
8 the Office's affairs.

9 B. The Office shall receive administrative assistance from the
10 Office of Management and Enterprise Services (OMES), which shall
11 provide, through existing OMES resources, administrative assistance
12 upon request in writing or electronic correspondence from the
13 Office's Executive Director. OMES shall provide assistance in the
14 manner requested within thirty (30) days of determination by the
15 Agency that the request is able to be fulfilled. If for any reason
16 the request cannot be fulfilled within thirty (30) days, the Office
17 and OMES shall enter into a written agreement expressing an agreed
18 upon timeline for fulfilling the needs of the Office. In the event
19 that the request cannot be fulfilled, OMES shall respond in writing
20 within ten (10) days of the request providing the reasoning for
21 denial. If the request cannot be fulfilled utilizing existing
22 resources, OMES may charge the Office for the actual cost to fulfill
23 the request.
24

1 C. The Office shall be governed by the Broadband Governing
2 Board, created pursuant to Section 9202 of this title.

3 D. The Office shall be advised by the Broadband Expansion
4 Council, created pursuant to Section 9203 of this title.

5 E. The Office shall have an Executive Director who shall
6 oversee the operations of the Office including, but not limited to:

7 1. Overseeing the creation, maintenance, and completion of the
8 Statewide Broadband Plan;

9 2. Communicating the state's progress in achieving the goals
10 and implementation of the Statewide Broadband Plan;

11 3. The creation, housing, and updating of a statewide broadband
12 services map;

13 4. Overseeing of grant applications and awards for connectivity
14 and affordability projects;

15 5. Making recommendations to the Board regarding procedural and
16 administrative rules for the Office; and

17 6. Employment and management of Office staff subject to the
18 limitations and requirements of the Oklahoma Broadband Expansion Act
19 and subject to the limitations and requirements of the Broadband
20 Governing Board.

21 F. The Executive Director shall regularly report to the Council
22 and the Board and shall, utilizing the centralized filing system
23 provided for in Section 378 of this act, electronically submit an
24 annual report to the Office of the Speaker of the House of

1 Representatives and the Office of the President Pro Tempore of the
2 Senate.

3 G. The Office may hire legal counsel as it is deemed necessary
4 by the hiring entity. The Office shall be subject to the provisions
5 of Section 20i of this title.

6 SECTION 370. AMENDATORY Section 6, Chapter 229, O.S.L.
7 2022 (74 O.S. Supp. 2025, Section 9205), is amended to read as
8 follows:

9 Section 9205. A. The Oklahoma Broadband Office shall:

10 1. Conduct a study of and continually monitor broadband access
11 in the state to assess:

- 12 a. existing capabilities to access broadband
- 13 telecommunication services,
- 14 b. the costs of obtaining broadband services from
- 15 existing providers,
- 16 c. the estimated cost to improve broadband access, and
- 17 d. the likelihood of changes in broadband access in the
- 18 near and intermediate future based on available
- 19 information regarding public and private programs to
- 20 enhance access and adoption; and

21 2. Maintain, update, and execute the Statewide Broadband Plan
22 as necessary.

23 B. The Office shall incorporate the information as described in
24 subsection A of this section into a mapping system that depicts

1 resources, broadband coverage, connectivity speeds, and other such
2 features as the Office deems relevant. The Office may also purchase
3 data sets it deems necessary to complete such mapping system.

4 C. The Office shall establish policies and regulations as may
5 be necessary to implement the provisions of this act.

6 D. The Office shall establish policy as needed to implement a
7 process whereby impacted parties may challenge or protest data and
8 information published on the Office's mapping system. The process
9 shall include, but not be limited to, features that:

10 1. Are heard and ruled on at the Office level;

11 2. Provide for a ruling by the Office within sixty (60) days of
12 the submitted challenge or protest; and

13 3. Upon successful protest action, result in a timely
14 correction of the map.

15 E. The Office shall perform and maintain a study of existing
16 grants, incentives, and programs that may improve physical access to
17 broadband along with adoption of broadband technologies. The
18 grants, incentives, and programs may include federal funds, state
19 funds or resources, tribal funds or resources, donated funds, or
20 funding available from foundations, endowments or similar resources,
21 state or local tax incentives, state or local financing incentives
22 or options, or federal, tribal, state, or local regulatory policies
23 that would be conducive to improving existing broadband access or
24 establishing access where it does not currently exist. The Office

1 shall regularly report on the currently available grants,
2 incentives, and programs and how best to utilize each.

3 F. The Office shall create, and update no less than biannually,
4 a Statewide Broadband Plan. The Plan shall detail what areas are
5 served, underserved, or unserved according to the prevailing
6 definitions of the FCC, and how best to improve the infrastructure
7 and connectivity in underserved and unserved areas. The Plan shall
8 include, but shall not be limited to, detailing a pathway for
9 ninety-five percent (95%) of the state's population to be adequately
10 served by June 30, 2028.

11 G. The Office shall create the Capital Projects Fund Grant
12 Report or provide the necessary information to the state entity
13 drafting the Report. The Report shall be submitted to the
14 Department of the Treasury no later than September 24, 2022. The
15 Office shall maintain the Report and submit any and all additional
16 information as required. The Office shall work with the Joint
17 Committee to ensure all approved broadband projects utilizing funds
18 from the Capital Projects Fund follow the correct reporting
19 requirements based on Department of Treasury guidance.

20 H. Additionally, the Office is authorized to seek, apply for,
21 and administer funding through grant opportunities. The Office is
22 also authorized to administer grant funding awards to recipients and
23 subrecipients.

1 ~~I. On or before October 31, 2022, the Office, with the advice~~
2 ~~of the Council, shall develop a set of broadband grants or incentive~~
3 ~~awards guidelines to be approved by the Board. The grants and~~
4 ~~incentive awards shall be for unserved and underserved areas. The~~
5 ~~Office shall submit a copy of the guidelines to the Office of the~~
6 ~~Speaker of the Oklahoma House of Representatives, the Office of the~~
7 ~~President Pro Tempore of the Oklahoma State Senate, and to the~~
8 ~~offices of the chairs of the appropriate legislative committees.~~
9 ~~The guidelines shall:~~

10 ~~1. Consider a weighted approach for awards based upon the~~
11 ~~following:~~

12 ~~a. the area's need for services, including, but not~~
13 ~~limited to, whether the area is underserved or~~
14 ~~unserved,~~

15 ~~b. whether there are existing broadband assets in the~~
16 ~~area, based on the statewide map,~~

17 ~~c. whether existing federal, state, local, tribal, or~~
18 ~~private resources have been allocated to broadband~~
19 ~~services in the area,~~

20 ~~d. a preference for federal, state, local, tribal, or~~
21 ~~private partnerships, and~~

22 ~~e. the capacity of the provider to maintain assets for an~~
23 ~~extended period of time;~~
24

1 ~~2. Recommend any necessary controls including, but not limited~~
2 ~~to, capping the dollar amount of awards, allowing for an auditing~~
3 ~~process, and a process that allows for award clawbacks. These~~
4 ~~controls shall be in place to ensure the maximum efficiency of the~~
5 ~~incentive award and to protect against waste, fraud, or abuse; and~~

6 ~~3. Include annual reporting requirements of award recipients to~~
7 ~~assess effectiveness of such incentives which shall include, but not~~
8 ~~be limited to, changes in coverage resulting from implementing~~
9 ~~awarded grants and incentives.~~

10 SECTION 371. AMENDATORY Section 3, Chapter 231, O.S.L.
11 2022 (74 O.S. Supp. 2025, Section 12003), is amended to read as
12 follows:

13 Section 12003. A. 1. The Treasurer shall prepare and maintain
14 and provide to each state governmental entity a list of financial
15 companies that boycott energy companies. In maintaining the list,
16 the Treasurer may:

17 a. review and rely, as appropriate in the Treasurer's
18 judgment, on publicly available information regarding
19 financial companies including information provided by
20 the state, nonprofit organizations, research firms,
21 international organizations, and governmental
22 entities, and

23 b. request written verification from a financial company
24 that it does not boycott energy companies and rely, as

1 appropriate in the Treasurer's judgment and without
2 conducting further investigation, research, or
3 inquiry, on a financial company's written response to
4 the request.

5 2. A financial company that fails to provide to the Treasurer a
6 written verification under subparagraph b of paragraph 1 of this
7 subsection before the sixty-first day after receiving the request
8 from the Treasurer is presumed to be boycotting energy companies.

9 3. The Treasurer shall update the list annually or more often
10 as the Treasurer considers necessary, but not more often than
11 quarterly, based on information from, among other sources, those
12 listed in subparagraph a of paragraph 1 of this subsection.

13 4. Not later than the thirtieth day after the date the list of
14 financial companies that boycott energy companies is first provided
15 or updated, the Treasurer shall, utilizing the centralized filing
16 system provided for in Section 378 of this act, electronically file
17 the list with the presiding officer of each house of the Legislature
18 and the Attorney General and post the list on a publicly available
19 Internet website.

20 5. The Treasurer may retain third-party consultants to assist
21 in the implementation of the provisions of this act.

22 B. Not later than the thirtieth day after the date a state
23 governmental entity receives the list provided under paragraph 1 of
24 subsection A of this section, the state governmental entity shall

1 notify the Treasurer of the listed financial companies in which the
2 state governmental entity owns direct holdings or indirect holdings.

3 C. 1. For each listed financial company identified under
4 paragraph 1 of subsection A of this section, the state governmental
5 entity shall send a written notice:

6 a. informing the financial company of its status as a
7 listed financial company,

8 b. warning the financial company that it may become
9 subject to divestment by state governmental entities
10 after the expiration of the period described by
11 paragraph 2 of this subsection, and

12 c. offering the financial company the opportunity to
13 clarify its activities related to companies described
14 by paragraph 1 of subsection A of this section.

15 2. Not later than the ninetieth day after the date the
16 financial company receives notice under paragraph 1 of this
17 subsection, the financial company shall cease boycotting energy
18 companies to avoid qualifying for divestment by state governmental
19 entities.

20 3. If, during the time provided by paragraph 2 of this
21 subsection, the financial company ceases boycotting energy
22 companies, the Treasurer shall remove the financial company from the
23 list maintained under paragraph 1 of subsection A of this section,
24

1 and this subsection will no longer apply to the financial company
2 unless it resumes boycotting energy companies.

3 4. If, after the time provided by paragraph 2 of this
4 subsection expires, the financial company continues to boycott
5 energy companies, the state governmental entity shall sell, redeem,
6 divest, or withdraw all publicly traded securities of the financial
7 company, except securities described by subsection E of this
8 section, according to the schedule provided under subsection D of
9 this section.

10 D. 1. A state governmental entity required to sell, redeem,
11 divest, or withdraw all publicly traded securities of a listed
12 financial company shall comply with the following schedule:

- 13 a. at least fifty percent (50%) of those assets shall be
14 removed from the state governmental entity's assets
15 under management not later than the one-hundred-
16 eightieth day after the date the financial company
17 receives notice pursuant to paragraph 1 of subsection
18 C of this section unless the state governmental entity
19 determines, based on a good-faith exercise of its
20 fiduciary discretion and subject to subparagraph b of
21 this subsection, that a later date is more prudent,
22 and
23 b. one hundred percent (100%) of those assets shall be
24 removed from the state governmental entity's assets

1 under management not later than the three-hundred-
2 sixtieth day after the date the financial company
3 receives notice pursuant to paragraph 1 of subsection
4 C of this section.

5 2. If a financial company that ceased boycotting energy
6 companies after receiving notice pursuant to paragraph 1 of
7 subsection C of this section resumes its boycott, the state
8 governmental entity shall send a written notice to the financial
9 company informing it that the state governmental entity will sell,
10 redeem, divest, or withdraw all publicly traded securities of the
11 financial company according to the schedule in paragraph 1 of
12 subsection D of this section.

13 3. Except as provided by paragraph 1 of subsection D of this
14 section, a state governmental entity may delay the schedule for
15 divestment under that subsection only to the extent that the state
16 governmental entity determines, in the state governmental entity's
17 good-faith judgment, and consistent with the entity's fiduciary
18 duty, that divestment from listed financial companies will likely
19 result in a loss in value or a benchmark deviation described by
20 paragraph 1 of subsection F of this section.

21 4. If a state governmental entity delays the schedule for
22 divestment, the state governmental entity shall, utilizing the
23 centralized filing system provided for in Section 378 of this act,
24 electronically submit a report to the Treasurer, the presiding

1 officer of each house of the Legislature, and the Attorney General
2 stating the reasons and justification for the delay in divestment by
3 the state governmental entity from listed financial companies. The
4 report shall include documentation supporting its determination that
5 the divestment would result in a loss in value or a benchmark
6 deviation described by paragraph 1 of subsection F of this section
7 including objective numerical estimates. The state governmental
8 entity shall update the report every six (6) months.

9 E. A state governmental entity is not required to divest from
10 any indirect holdings in actively or passively managed investment
11 funds or private equity funds. The state governmental entity shall
12 submit letters to the managers of each investment fund containing
13 listed financial companies requesting that they remove those
14 financial companies from the fund or create a similar actively or
15 passively managed fund with indirect holdings devoid of listed
16 financial companies. If a manager creates a similar fund with
17 substantially the same management fees and same level of investment
18 risk and anticipated return, the state governmental entity may
19 replace all applicable investments with investments in the similar
20 fund in a time frame consistent with prudent fiduciary standards but
21 not later than the four-hundred-fiftieth day after the date the fund
22 is created.

1 F. 1. A state governmental entity may cease divesting from one
2 or more listed financial companies only if clear and convincing
3 evidence shows that:

4 a. the state governmental entity has suffered or will
5 suffer a loss in the value of assets under management
6 by the state governmental entity as a result of having
7 to divest from listed financial companies under this
8 subsection, or

9 b. an individual portfolio that uses a benchmark-aware
10 strategy would be subject to an aggregate expected
11 deviation from its benchmark as a result of having to
12 divest from listed financial companies under this
13 subsection.

14 2. A state governmental entity may cease divesting from a
15 listed financial company as provided by this section only to the
16 extent necessary to ensure that the state governmental entity does
17 not suffer a loss in value or deviate from its benchmark as
18 described by paragraph 1 of this subsection.

19 3. Before a state governmental entity may cease divesting from
20 a listed financial company under this section, the state
21 governmental entity shall, utilizing the centralized filing system
22 provided for in Section 378 of this act, electronically provide a
23 written report to the Treasurer, the presiding officer of each house
24 of the Legislature, and the Attorney General setting forth the

1 reason and justification, supported by clear and convincing
2 evidence, for deciding to cease divestment or to remain invested in
3 a listed financial company. The state governmental entity shall
4 update the report required by this subsection semiannually, as
5 applicable.

6 4. This section does not apply to reinvestment in a financial
7 company that is no longer a listed financial company.

8 G. Except as provided in subsection F of this section, a state
9 governmental entity shall not acquire securities of a listed
10 financial company.

11 SECTION 372. AMENDATORY Section 4, Chapter 231, O.S.L.
12 2022 (74 O.S. Supp. 2025, Section 12004), is amended to read as
13 follows:

14 Section 12004. A. Not later than January 1 of each year, each
15 state governmental entity shall, utilizing the centralized filing
16 system provided for in Section 378 of this act, electronically file
17 a publicly available report with the Treasurer, the presiding
18 officer of each house of the Legislature, and the Attorney General
19 that:

20 1. Identifies securities sold, redeemed, divested, or withdrawn
21 in compliance with subsection D of Section 3 of this act;

22 2. Identifies prohibited investments under subsection F of
23 Section 3 of this act; and
24

1 3. Summarizes any changes made under subsection E of Section 3
2 of this act.

3 B. The Attorney General may bring any action necessary to
4 enforce the Energy Discrimination Elimination Act of 2022.

5 SECTION 373. AMENDATORY 75 O.S. 2021, Section 250.6, is
6 amended to read as follows:

7 Section 250.6. A. 1. The Commission for Human Services may
8 promulgate a preemptive rule pursuant to the provisions of this
9 section:

10 a. when the Commission for Human Services is required by
11 federal law, federal rules, a state law enacted
12 pursuant to federal law or federal rule, or order of a
13 court of competent jurisdiction to adopt a rule, or an
14 amendment, revision, or revocation of an existing
15 rule, and

16 b. which if such rule is not immediately adopted would
17 result in the imposition of a financial penalty, or a
18 reduction, withholding, or loss of federal funds.

19 2. A preemptive rule ~~must~~ shall be approved by the Governor
20 pursuant to this section.

21 3. The website of the Commission shall provide a link to the
22 website of the Secretary of State where the preemptive rules of the
23 Commission are published.

1 4. The conditions specified in this subsection for the
2 promulgation of a preemptive rule shall be the only conditions
3 authorized for promulgation of such rule by the Commission for Human
4 Services.

5 B. 1. Upon the adoption of such preemptive rule by the
6 Commission, the Director of the Department of Human Services shall
7 request the Governor to approve the rules on the basis that such
8 rules are required to comply with a federal law, federal rule, a
9 state law enacted pursuant to federal law or rule, or order of a
10 court of competent jurisdiction and which if such rules are not
11 immediately adopted would result in a financial penalty, or a
12 reduction, withholding, or loss of federal funds.

13 2. Upon the filing of the request for approval of a preemptive
14 rule, the Governor shall review such rule and decide as to whether
15 such rule should be approved. Prior to approval of a preemptive
16 rule, the Governor shall submit the preemptive rule to the Office of
17 the Secretary of State for review of proper formatting unless the
18 preemptive rule has been reviewed by the Office prior to agency
19 submission to the Governor. Failure of the Governor to approve such
20 rule within twenty-eight (28) calendar days shall constitute denial
21 of the rule as a preemptive rule.

22 3. Upon approval of a preemptive rule, the Governor shall
23 immediately notify the Commission. Upon receipt of notice of the
24 approval of the preemptive rule, the Commission shall file the

1 number of copies specified by the Secretary of the approval issued
2 by the Governor and the number of copies specified by the Secretary
3 of the preemptive rule with the Office pursuant to Section 251 of
4 this title.

5 4. The preemptive rule shall be published in accordance with
6 the provisions of Section 255 of this title in "The Oklahoma
7 Register" following approval by the Governor. The Governor's
8 approval and the approved rules shall be retained as official
9 records by the Office of Administrative Rules.

10 5. For informational purposes only, a copy of the Governor's
11 approval and the preemptive rule shall be electronically submitted
12 by the Commission to the Speaker of the House of Representatives and
13 the President Pro Tempore of the Senate within ten (10) days of the
14 approval of the preemptive rule by the Governor utilizing the
15 centralized filing system provided for in Section 378 of this act.

16 6. Upon approval by the Governor, the rule shall be considered
17 promulgated and shall be in force immediately, or if a later date is
18 required by statute or specified in the rule, the later date is the
19 effective date.

20 C. A preemptive rule shall be considered to be a permanent rule
21 and shall remain in full force and effect unless and until
22 specifically disapproved during the first thirty (30) legislative
23 days of the next regular legislative session following promulgation
24 of such preemptive rule or unless an earlier expiration date is

1 specified by the Commission. The Legislature may disapprove such
2 rule pursuant to Section 308 of this title. Any resolution
3 introduced for the purpose of disapproving such rule shall not be
4 subject to regular legislative cut off dates.

5 D. Except as otherwise provided by this section, preemptive
6 rules shall be promulgated and published in compliance with Article
7 I of the Administrative Procedures Act. Preemptive rules
8 promulgated pursuant to the provisions of this section shall be
9 exempt from the provisions of Sections 253, 303, 303.1, 303.2, 304,
10 308 and 308.1 of this title.

11 SECTION 374. AMENDATORY 75 O.S. 2021, Section 252, is
12 amended to read as follows:

13 Section 252. A. Any rule, amendment, revision, or revocation
14 of an existing rule made by an agency on or after October 16, 1987,
15 may be held void and of no effect pursuant to Sections 306 and 307
16 of this title. All provisions herein shall also apply to all
17 agencies that may hereafter be created. All courts, boards,
18 commissions, agencies, authorities, instrumentalities, and officers
19 of the State of Oklahoma shall take judicial or official notice of
20 any rule, amendment, revision, or revocation of an existing rule
21 promulgated pursuant to the provisions of the Administrative
22 Procedures Act.

23 B. Upon failure of an agency to comply with the provisions of
24 Sections 251 through 256 of this title except when not applicable,

1 the Secretary shall forward a written notice of the failure to
2 comply to the chief administrative officer of the agency. The
3 notice shall state a reasonable time, not to exceed thirty (30)
4 calendar days, in which the agency shall fully comply. Further
5 failure to comply shall be electronically reported in writing to the
6 Speaker of the House of Representatives, the President Pro Tempore
7 of the Senate, the Governor, and the Attorney General utilizing the
8 centralized filing system provided for in Section 378 of this act.
9 Upon such notification, the Attorney General shall immediately seek
10 agency compliance and if required, to institute mandamus proceedings
11 to secure compliance by said agency.

12 SECTION 375. AMENDATORY 75 O.S. 2021, Section 253, as
13 last amended by Section 6, Chapter 258, O.S.L. 2025 (75 O.S. Supp.
14 2025, Section 253), is amended to read as follows:

15 Section 253. A. 1. If an agency finds that a rule is
16 necessary as an emergency measure, the rule may be promulgated
17 pursuant to the provisions of this section, if the rule is first
18 approved by the Governor. The Governor shall not approve the
19 adoption, amendment, revision, or revocation of a rule as an
20 emergency measure unless the agency submits substantial evidence
21 that the rule is necessary as an emergency measure to do any of the
22 following:

23 a. protect the public health, safety, or welfare,
24

- b. comply with deadlines in amendments to an agency's governing law or federal programs,
- c. avoid violation of federal law or regulation or other state law,
- d. avoid imminent reduction to the agency's budget, or
- e. avoid serious prejudice to the public interest.

As used in this subsection, "substantial evidence" shall mean credible evidence which is of sufficient quality and probative value to enable a person of reasonable caution to support a conclusion.

2. In determining whether a rule is necessary as an emergency measure, the Governor shall consider whether the emergency situation was created due to the agency's delay or inaction and could have been averted by timely compliance with the provisions of this chapter.

B. An emergency rule adopted by an agency shall:

1. Be prepared in the format required by Section 251 of this title;

2. a. Include an impact statement which meets the requirements set forth in subparagraph b of this paragraph, unless the Governor waives the initial requirement in writing upon a finding that the rule impact statement or the specified contents thereof are unnecessary or contrary to the public interest.

Provided, the rule impact statement shall be submitted

1 no more than forty-five (45) days from the date of
2 such waiver.

3 b. The rule impact statement shall include, but not be
4 limited to:

5 (1) a statement of the need for the rule and legal
6 basis supporting it,

7 (2) a classification of the rule as major or
8 nonmajor, with a justification for the
9 classification, including an estimate of the
10 total annual implementation and compliance costs
11 that are reasonably expected to be incurred by or
12 passed along to businesses, state or local
13 government units, or individuals and a
14 determination of whether those costs will exceed
15 One Million Dollars (\$1,000,000.00) over the
16 initial five-year period following the
17 promulgation of the proposed rule. Provided, if
18 the costs exceed One Million Dollars
19 (\$1,000,000.00), the agency shall classify the
20 rule as a major rule,

21 (3) a description of the proposed rule, including a
22 determination of whether the proposed rule is
23 mandated by federal law, or as a requirement for
24 participation in or implementation of a federally

1 subsidized or assisted program, and whether the
2 proposed rule exceeds the requirements of the
3 applicable federal law,

4 (4) a description of the classes of persons who most
5 likely will be affected by the proposed rule,
6 including classes that will bear the costs of the
7 proposed rule, and any information on cost
8 impacts received by the agency from any private
9 or public entities,

10 (5) a description of the classes of persons who will
11 benefit from the proposed rule,

12 (6) a comprehensive analysis of the rule's economic
13 impact, including any anticipated impacts on the
14 full-time-employee count of the agency, any costs
15 or benefits, and a detailed quantification of
16 implementation and compliance costs on the
17 affected businesses, business sectors, public
18 utility ratepayers, individuals, state or local
19 government units, and on the state economy as a
20 whole. The analysis shall include a listing of
21 all fee changes and, whenever possible, a
22 separate justification for each fee change,
23
24

- (7) a detailed explanation of the methodology and assumptions used to determine the economic impact, including the dollar amounts calculated,
- (8) a determination of whether implementation of the proposed rule will have an economic impact on any political subdivisions or require their cooperation in implementing or enforcing the rule,
- (9) a determination of whether implementation of the proposed rule may have an adverse economic effect on small business as provided by the Oklahoma Small Business Regulatory Flexibility Act,
- (10) any measures taken by the agency to minimize the cost and impact of the proposed rule on business and economic development in this state, local government units of this state, and individuals,
- (11) a determination of the effect of the proposed rule on the public health, safety, and environment and, if the proposed rule is designed to reduce significant risks to the public health, safety, and environment, an explanation of the nature of the risk and to what extent the proposed rule will reduce the risk,

1 (12) a determination of any detrimental effect on the
2 public health, safety, and environment if the
3 proposed rule is not implemented, and

4 13) the date the rule impact statement was prepared
5 and, if modified, the date modified.

6 c. The rule impact statement shall be prepared on or
7 before the date the emergency rule is adopted; and

8 3. Be electronically transmitted pursuant to Section 464 of
9 Title 74 of the Oklahoma Statutes to the Governor, the Speaker of
10 the House of Representatives, the President Pro Tempore of the
11 Senate, and the chief legislative officer of each chamber, along
12 with the information required by this subsection within ten (10)
13 days after the rule is adopted, utilizing the centralized filing
14 system provided for in Section 378 of this act.

15 C. 1. Within forty-five (45) calendar days of receipt of a
16 proposed emergency rule filed with the Governor, the Speaker of the
17 House of Representatives, the President Pro Tempore of the Senate,
18 and the chief legislative officer of each chamber, the Governor
19 shall review the demonstration of emergency pursuant to subsection A
20 of this section, and shall separately review the rule in accordance
21 with the standards prescribed in paragraph 3 of this subsection.

22 2. Prior to approval of emergency rules, the Governor shall
23 submit the emergency rule to the Secretary of State for review of
24 proper formatting.

1 3. If the Governor determines the agency has established the
2 rule is necessary as an emergency measure pursuant to subsection A
3 of this section, the Governor shall approve the proposed emergency
4 rule if the rule is:

- 5 a. clear, concise, and understandable,
- 6 b. within the power of the agency to make and within the
7 enacted legislative standards, and
- 8 c. made in compliance with the requirements of the
9 Administrative Procedures Act.

10 4. If an emergency rule is adopted under this section due to a
11 declared state of emergency pursuant to Section 683.1 et seq. of
12 Title 63 of the Oklahoma Statutes, an agency may request the
13 Governor waive the provisions of subsection B of this section. Such
14 request shall be in writing and shall state the agency's findings
15 and the justification for such findings. The agency shall have
16 forty-five (45) days to comply with the provisions of subsection B
17 of this section for any adopted emergency rules where such
18 provisions are waived. Any rules which do not comply with the
19 requirements of this section shall expire following such time
20 period. Nothing in this paragraph shall be construed to waive any
21 other requirements of this section for emergency rule promulgation
22 by an agency.

23 D. 1. Within the forty-five-calendar-day period set forth in
24 paragraph 1 of subsection C of this section, the Governor may

1 approve the emergency rule or disapprove the emergency rule.
2 Failure of the Governor to approve an emergency rule within the
3 specified period shall constitute disapproval of the emergency rule.

4 2. If the Governor disapproves the adopted emergency rule, the
5 Governor shall return the entire document to the agency with reasons
6 for the disapproval. If the agency elects to modify the rule, the
7 agency shall adopt the modifications, and shall file the modified
8 rule in accordance with the requirements of subsection B of this
9 section.

10 3. Upon disapproval of an emergency rule, the Governor shall,
11 within fifteen (15) days, make written notification to the Speaker
12 of the House of Representatives, the President Pro Tempore of the
13 Senate, the chief legislative officer of each chamber, and the
14 Office of Administrative Rules.

15 E. 1. Upon approval of an emergency rule, the Governor shall
16 immediately make written notification to the agency, the Speaker of
17 the House of Representatives, the President Pro Tempore of the
18 Senate, the chief legislative officer of each chamber, and the
19 Office of Administrative Rules. Upon receipt of the notice of the
20 approval, the agency shall file with the Office of Administrative
21 Rules as many copies of the notice of approval and the emergency
22 rule as required by the Secretary.

23 2. Emergency rules shall be subject to legislative review
24 pursuant to Section 308 of this title.

1 3. The emergency rule shall be published in accordance with the
2 provisions of Section 255 of this title in "The Oklahoma Register"
3 following the approval by the Governor. The Governor's approval and
4 the approved rules shall be retained as official records by the
5 Office of Administrative Rules.

6 F. 1. Upon approval by the Governor, an emergency rule shall
7 be considered promulgated and shall be in force immediately, or on
8 such later date as specified therein. An emergency rule shall only
9 be applied prospectively from its effective date.

10 2. Except as otherwise provided in this subsection, the
11 emergency rule shall remain in full force and effect through the
12 first day of the next succeeding regular session of the Legislature
13 following promulgation of such emergency rule until September 14
14 following such session, unless it is made ineffective pursuant to
15 subsection H of this section.

16 G. No agency shall adopt any emergency rule which establishes
17 or increases fees, except during such times as the Legislature is in
18 session, unless specifically mandated by the Legislature or federal
19 legislation, or when the failure to establish or increase fees would
20 conflict with an order issued by a court of law.

21 H. 1. If an emergency rule is of a continuing nature, the
22 agency promulgating such emergency rule shall initiate proceedings
23 for promulgation of a permanent rule pursuant to Sections 303
24 through 308.3 of this title. If an emergency rule is superseded by

1 another emergency rule prior to the enactment of a permanent rule,
2 the latter emergency rule shall retain the same expiration date as
3 the superseded emergency rule, unless otherwise authorized by the
4 Legislature.

5 2. Any promulgated emergency rule shall be made ineffective if:

- 6 a. disapproved by the Legislature,
- 7 b. superseded by the promulgation of permanent rules,
- 8 c. any adopted rules based upon such emergency rules are
9 subsequently disapproved pursuant to Section 308 of
10 this title, or
- 11 d. an earlier expiration date is specified by the agency
12 in the rules.

13 3. a. Emergency rules in effect on the first day of the
14 session shall be null and void on September 15
15 following sine die adjournment of the Legislature
16 unless otherwise specifically provided by the
17 Legislature.

- 18 b. Unless otherwise authorized by the Legislature, an
19 agency shall not adopt any emergency rule, which has
20 become null and void pursuant to subparagraph a of
21 this paragraph, as a new emergency rule or adopt any
22 emergency rules of similar scope or intent as the
23 emergency rules which became null and void pursuant to
24 subparagraph a of this paragraph.

1 I. Emergency rules shall not become effective unless approved
2 by the Governor pursuant to the provisions of this section.

3 J. 1. The requirements of Section 303 of this title relating
4 to notice and hearing shall not be applicable to emergency rules
5 promulgated pursuant to the provisions of this section. Provided,
6 this shall not be construed to prevent an abbreviated notice and
7 hearing process determined to be necessary by an agency.

8 2. The rule report required pursuant to Section 303.1 of this
9 title shall not be applicable to emergency rules promulgated
10 pursuant to the provisions of this section. Provided, this shall
11 not be construed to prevent an agency from complying with such
12 requirements at the discretion of such agency.

13 3. The statement of submission required by Section 303.1 of
14 this title shall not be applicable to emergency rules promulgated
15 pursuant to the provisions of this section.

16 K. Prior to approval or disapproval of an emergency rule by the
17 Governor, an agency may withdraw from review an emergency rule
18 submitted pursuant to the provisions of this section. Notice of
19 such withdrawal shall be given to the Governor, the Speaker of the
20 House of Representatives, the President Pro Tempore of the Senate in
21 accordance with the requirements set forth in Section 464 of Title
22 74 of the Oklahoma Statutes, and to the Office of Administrative
23 Rules as required by the Secretary of State. In order to be
24

1 promulgated as emergency rules, any replacement rules shall be
2 resubmitted pursuant to the provisions of this section.

3 L. Upon completing the requirements of this section, an agency
4 may promulgate a proposed emergency rule. No emergency rule is
5 valid unless promulgated in substantial compliance with the
6 provisions of this section.

7 M. Emergency rules adopted by an agency or approved by the
8 Governor shall be subject to review pursuant to the provisions of
9 Section 306 of this title.

10 SECTION 376. AMENDATORY 75 O.S. 2021, Section 303.1, as
11 amended by Section 3, Chapter 38, O.S.L. 2023 (75 O.S. Supp. 2025,
12 Section 303.1), is amended to read as follows:

13 Section 303.1. A. Within ten (10) days after adoption of a
14 permanent rule, the agency shall, utilizing the centralized filing
15 system provided for in Section 378 of this act, electronically file
16 two copies of the following with the Governor, the Speaker of the
17 House of Representatives, the President Pro Tempore of the Senate,
18 and the chief legislative officer of each chamber: all such new
19 rules or amendments; revisions or revocations to an existing rule
20 proposed by an agency; and the agency rule report as required by
21 subsection E of this section.

22 B. If the agency determines in the rule impact statement
23 prepared as part of the agency rule report that the proposed rule
24 will have an economic impact on any political subdivisions or

1 require their cooperation in implementing or enforcing a proposed
2 permanent rule, a copy of the proposed rule and rule report shall be
3 filed within ten (10) days after adoption of the permanent rule with
4 the Oklahoma Advisory Committee on Intergovernmental Relations for
5 its review. The Committee may communicate any recommendations that
6 it may deem necessary to the Governor, the Speaker of the House of
7 Representatives, and President Pro Tempore of the Senate during the
8 period that the permanent rules are being reviewed.

9 C. When the rules have been submitted to the Governor, the
10 Speaker of the House of Representatives, the President Pro Tempore
11 of the Senate, and the chief legislative officer of each chamber,
12 the agency shall also submit to the Office of Administrative Rules
13 for publication in "The Oklahoma Register", a statement that the
14 adopted rules have been submitted to the Governor and the
15 Legislature.

16 D. The text of the adopted rules shall be submitted to the
17 Governor, the Speaker of the House of Representatives, and the
18 President Pro Tempore of the Senate in the same format as required
19 by the Secretary pursuant to Section 251 of this title.

20 E. The report required by subsection A of this section shall
21 include:

22 1. The date the notice of the intended rulemaking action was
23 published in "The Oklahoma Register" pursuant to Section 255 of this
24 title;

1 2. The name and address of the agency;

2 3. The title and number of the rule;

3 4. A citation to the constitutional or statutory authority for
4 the rule;

5 5. The citation to any federal or state law, court ruling, or
6 any other authority requiring the rule;

7 6. A statement of the gist of the rule or a brief summary of
8 the content of the adopted rule;

9 7. A statement explaining the need for the adopted rule;

10 8. The date and location of the meeting, if held, at which such
11 rules were adopted or the date and location when the rules were
12 adopted if the rulemaking agency is not required to hold a meeting
13 to adopt rules;

14 9. A summary of the comments and explanation of changes or lack
15 of any change made in the adopted rules as a result of testimony
16 received at all hearings or meetings held or sponsored by an agency
17 for the purpose of providing the public an opportunity to comment on
18 the rules or of any written comments received prior to the adoption
19 of the rule. The summary shall include all comments received about
20 the cost impact of the proposed rules;

21 10. A list of persons or organizations who appeared or
22 registered for or against the adopted rule at any public hearing
23 held by the agency or those who have commented in writing before or
24 after the hearing;

1 11. A rule impact statement if required pursuant to Section 303
2 of this title;

3 12. An incorporation by reference statement if the rule
4 incorporates a set of rules from a body outside the state, such as a
5 national code;

6 13. The members of the governing board of the agency adopting
7 the rules and the recorded vote of each member;

8 14. The proposed effective date of the rules, if an effective
9 date is required pursuant to paragraph 1 of subsection B of Section
10 304 of this title; and

11 15. Any other information requested by the Governor, the
12 Speaker of the House of Representatives, or the President Pro
13 Tempore of the Senate.

14 SECTION 377. AMENDATORY 75 O.S. 2021, Section 308, as
15 last amended by Section 2, Chapter 420, O.S.L. 2025 (75 O.S. Supp.
16 2025, Section 308), is amended to read as follows:

17 Section 308. A. Upon receipt of any proposed permanent rules,
18 the Speaker of the House of Representatives and the President Pro
19 Tempore of the Senate shall assign such rules to the appropriate
20 committees of each house of the Legislature for review. Except as
21 otherwise provided by this section:

22 1. If such rules are received on or before April 1, the
23 Legislature shall have until the last day of the regular legislative
24 session of that year to review such rules. Provided, proposed

1 permanent rules for consideration by the 2nd Session of the 59th
2 Legislature shall be submitted on or before March 1. For each
3 legislative session thereafter, proposed permanent rules shall be
4 submitted on or before February 1 of the given year; and

5 2. If such rules are received after the date established
6 pursuant to paragraph 1 of this subsection, the Legislature shall
7 have until the last day of the regular legislative session of the
8 next year to act on such rules.

9 B. By the adoption of joint resolutions during the review
10 period specified in subsection A of this section, the Legislature
11 may disapprove or approve any rule and disapprove all or part of a
12 rule or rules. Any rules not acted upon by the adoption of a joint
13 resolution shall be deemed disapproved.

14 C. Unless otherwise authorized by the Legislature, whenever a
15 rule is disapproved as provided in subsection B of this section, the
16 agency adopting such rules shall not have authority to resubmit an
17 identical rule, except during the first sixty (60) calendar days of
18 the next regular legislative session. Any effective emergency rule
19 which would have been superseded by a disapproved permanent rule
20 shall be deemed null and void on the date the Legislature
21 disapproves the permanent rule. Rules may be disapproved in part or
22 in whole by the Legislature. Upon enactment of any joint resolution
23 disapproving a rule, the agency shall file notice of such
24

1 legislative disapproval with the Secretary for publication in "The
2 Oklahoma Register".

3 D. Unless otherwise provided by specific vote of the
4 Legislature, joint resolutions introduced for purposes of
5 disapproving or approving a rule shall not be subject to regular
6 legislative cutoff dates, shall be limited to such provisions as may
7 be necessary for disapproval or approval of a rule, and any such
8 other direction or mandate regarding the rule deemed necessary by
9 the Legislature. The resolution shall contain no other provisions.

10 E. A proposed permanent rule shall only be deemed finally
11 adopted if:

12 1. Approved by a joint resolution pursuant to subsection B of
13 this section, provided that any such resolution becomes law in
14 accordance with Section 11 of Article VI of the Oklahoma
15 Constitution; or

16 2. Disapproved by a joint resolution pursuant to subsection B
17 of this section which has been vetoed by the Governor in accordance
18 with Section 11 of Article VI of the Oklahoma Constitution and the
19 veto has not been overridden.

20 F. Prior to final adoption of a rule, an agency may withdraw a
21 rule from legislative review. Notice of such withdrawal shall be
22 electronically given to the Governor, the Speaker of the House of
23 Representatives, the President Pro Tempore of the Senate, and to the
24

1 Secretary, utilizing the centralized filing system provided for in
2 Section 378 of this act, for publication in "The Oklahoma Register".

3 G. An agency may promulgate an emergency rule only pursuant to
4 Section 253 of this title.

5 H. Any rights, privileges, or interests gained by any person by
6 operation of an emergency rule, shall not be affected by reason of
7 any subsequent disapproval or rejection of such rule by either house
8 of the Legislature.

9 SECTION 378. NEW LAW A new section of law to be codified
10 in the Oklahoma Statutes as Section 600 of Title 75, unless there is
11 created a duplication in numbering, reads as follows:

12 A. The Office of the Secretary of State shall create and
13 maintain a centralized filing system for all reports required by
14 statute to be submitted to such system. Such filing system shall
15 provide:

16 1. An index of all statutorily required reports, sortable by
17 agency name, policy area, title of law, and other information;

18 2. The dates of the last submitted report by an agency or
19 entity and the due date of the next report;

20 3. Notification to the statutorily designated report recipients
21 when a report is submitted;

22 4. Confirmation of successful submission to the agency or
23 entity submitting a report using such system; and
24

1 5. A dashboard reflecting whether a report has been submitted
2 or is overdue.

3 B. The Secretary of State shall, when newly enacted legislation
4 requires an agency or entity of this state to submit a report,
5 electronically notify such agency or entity of such requirement
6 within five (5) business days of the date when such enacted
7 legislation is filed in the Office of the Secretary of State, as
8 provided for in Section 12a of Title 75 of the Oklahoma Statutes.

9 C. The Secretary of State shall, utilizing the centralized
10 filing system provided for in this section, electronically report to
11 the President Pro Tempore of the Senate, the Speaker of the House of
12 Representatives, and the Governor if an agency or entity has not
13 submitted a statutorily required report to the centralized filing
14 system by the date of submission provided in statute.

15 SECTION 379. AMENDATORY 76 O.S. 2021, Section 17, is
16 amended to read as follows:

17 Section 17. Whenever a claim of personal injury is made against
18 any practitioner of the healing arts or a licensed hospital, a
19 report shall be made to the appropriate licensing board or agency by
20 the liability insurer of such practitioner or hospital within sixty
21 (60) days after receipt of information that a claim is being made.
22 In the event that such claim is made against a party not insured,
23 the report shall be made by the party. The report shall be in
24 writing on a form containing the following information:

1 1. The name and address of the practitioner or hospital;

2 2. The name, age, and address of the claimant;

3 3. A brief statement of the nature of the injury, illness or
4 condition complained of and the act or omission complained of; and

5 4. Whether a suit is pending and, if so, the court, style and
6 docket number of the action.

7 And whenever such claim or suit is concluded, the disposition
8 shall be reported to the appropriate board or agency promptly.

9 This report shall be privileged except as hereinafter provided.

10 The licensing board or agency shall take any remedial,
11 disciplinary, or corrective action as it may deem warranted by the
12 facts contained in the report.

13 Any person or liability insurer failing to furnish a report on a
14 claim as required in this section shall be guilty of a misdemeanor.

15 Further, the board or agency shall annually, utilizing the
16 centralized filing system provided for in Section 378 of this act,
17 electronically furnish the President Pro Tempore of the Senate and
18 the Speaker of the House of Representatives a full report of all
19 such claims except that names and addresses of all parties shall be
20 omitted. Such report shall include disposition of the claim as well
21 as a report of all action taken by the board or agency and the
22 reason therefor.

23 SECTION 380. AMENDATORY 82 O.S. 2021, Section 863.3, is
24 amended to read as follows:

1 Section 863.3. A. There is hereby created the Joint
2 Legislative Task Force on the Grand River Dam Authority for the
3 purpose of studying the functions, activities, policies, procedures,
4 and expenditures performed by the district and any related issues
5 the task force deems appropriate. Members of the task force shall
6 be appointed in January of each year following a state general
7 election by the President Pro Tempore of the Senate and the Speaker
8 of the House of Representatives. Membership shall be made up of
9 five members of the Senate and five members of the House of
10 Representatives whose legislative districts include a portion of the
11 Grand River Dam Authority district to be appointed by the President
12 Pro Tempore of the Senate and the Speaker of the House of
13 Representatives, respectively. The President Pro Tempore and
14 Speaker shall each designate one of their members to be cochairs of
15 the task force. The task force shall be required to meet at least
16 once biennially during the first session of each new legislature.
17 Additional meetings may be called as the cochairs determine
18 necessary. Meetings of the task force shall be called by the
19 cochairs. A majority of the appointed members shall constitute a
20 quorum for any meeting of the task force. Staffing assistance shall
21 be provided by the staff of the Senate and House of Representatives.

22 B. The members of the task force created herein shall continue
23 to serve until new members are appointed pursuant to the provisions
24 of subsection A of this section. The task force is authorized to

1 adopt any recommendations or issue any report it deems necessary.
2 Any recommendations or reports shall be approved by a majority of
3 the appointed members. Copies of any recommendations or reports
4 issued by the task force shall be distributed to the Governor, the
5 President Pro Tempore of the Senate, the Speaker of the House of
6 Representatives, the members of the Grand River Dam Authority Board
7 of Directors, and the Chief Executive Officer of the Grand River Dam
8 Authority.

9 C. The Grand River Dam Authority shall annually, utilizing the
10 centralized filing system provided for in Section 378 of this act,
11 electronically provide a copy of the district's most recent annual
12 report to the members of the task force in addition to any
13 information requested pursuant to the provisions of this section.

14 D. Members serving on the task force shall not be entitled to
15 travel reimbursement.

16 SECTION 381. AMENDATORY 82 O.S. 2021, Section 1085.14,
17 is amended to read as follows:

18 Section 1085.14. In addition to its other powers, the Oklahoma
19 Water Resources Board is authorized and directed, within the limits
20 of funds available to it, to engage in a continuing study of the
21 water laws of this state, and of changes therein required in order
22 to carry out to the greatest practicable extent the policies, goals,
23 objectives and recommendations contained in the "Oklahoma
24 Comprehensive Water Plan" and to make recommendations and prepare

1 proposed legislation for such purposes. Such recommendations and
2 proposed legislation shall, as they are completed, be electronically
3 filed with the President Pro Tempore of the Senate and the Speaker
4 of the House of Representatives utilizing the centralized filing
5 system provided for in Section 378 of this act.

6 SECTION 382. AMENDATORY 82 O.S. 2021, Section 1085.62,
7 is amended to read as follows:

8 Section 1085.62. In order to comply with the requirements of
9 federal and state laws, the Board shall complete the following:

10 1. Establish criteria for determining the interest rates on
11 loans to be made from the Clean Water State Revolving Fund Loan
12 Account. Such criteria may incorporate applicable United States
13 Environmental Protection Agency and Rural Development Administration
14 guidelines for financial assistance.

15 a. In determining interest rates on loans made from the
16 fund, in addition to other information, due
17 consideration shall be given to:

18 (1) providing for the maintenance of the account in
19 perpetuity,

20 (2) statewide needs for the assistance available
21 pursuant to the provisions of this act,

22 (3) five-year demand projections of the Board for
23 assistance available pursuant to the provisions
24 of this act,

1 (4) prevailing market interest rates, and
2 (5) debt service requirements of investment
3 certificates issued by the Board to provide funds
4 for the Clean Water State Revolving Fund Loan
5 Account.

6 b. In developing criteria for the determination of
7 interest rates available to individual entities, in
8 addition to other information, due consideration shall
9 be given to:

- 10 (1) financial resources of the entity,
11 (2) the ability of the entity to repay the loan,
12 (3) those entities that discharge into those streams
13 and rivers designated as scenic river areas
14 pursuant to the provisions of Section 1452 of
15 this title or outstanding resource waters under
16 Oklahoma's Water Quality Standards, and
17 (4) prevailing market interest rates; and

18 2. ~~Submission~~ Electronic submission of an annual report by the
19 Board to the Governor and to the Speaker of the House of
20 Representatives and the President Pro Tempore of the Senate,
21 utilizing the centralized filing system provided for in Section 378
22 of this act, within one hundred twenty (120) days of the end of each
23 fiscal year concerning the Clean Water State Revolving Fund Loan
24 Account and implementation of the provisions of Sections 1085.51

1 through 1085.65 of this title. The report shall contain information
2 to show the actual use and the recipients of loans made from the
3 Clean Water State Revolving Fund Loan Account. In addition, the
4 report shall contain five-year demand projections on anticipated
5 loan funds required and ten-year and twenty-year projections as to
6 possible funding needs for water quality projects which may be
7 eligible for financial assistance under Sections 1085.51 through
8 1085.65 of this title.

9 SECTION 383. AMENDATORY 82 O.S. 2021, Section 1085.82,
10 is amended to read as follows:

11 Section 1085.82. In order to comply with the requirements of
12 federal and state laws, the Department of Environmental Quality and
13 the Oklahoma Water Resources Board shall enter into a written joint
14 operating agreement to carry out with efficiency their respective
15 duties under this act. At a minimum, the agreement shall provide
16 for the following:

17 1. Joint procedures consistent with this act to establish
18 criteria for determining the interest rates on loans to be made from
19 the Drinking Water Treatment Revolving Loan Account. Such criteria
20 may incorporate applicable United States Environmental Protection
21 Agency and Rural Development Administration guidelines for financial
22 assistance; and

23 2. ~~Submission~~ Electronic submission of an annual joint report
24 by the Department and the Board to the Governor and to the Speaker

1 of the House of Representatives and the President Pro Tempore of the
2 Senate, utilizing the centralized filing system provided for in
3 Section 378 of this act, within one hundred twenty (120) days of the
4 end of each fiscal year concerning the Drinking Water Treatment
5 Revolving Loan Account and implementation of the provisions of this
6 act. The report shall contain information to show the actual use
7 and the recipients of loans made from the Drinking Water Treatment
8 Revolving Loan Account. In addition, the report shall contain five-
9 year demand projections on anticipated loan funds required and ten-
10 year and twenty-year projections as to possible funding needs for
11 drinking water treatment projects which may be eligible for
12 financial assistance pursuant to this act.

13 SECTION 384. AMENDATORY Section 1, Chapter 268, O.S.L.
14 2023 (82 O.S. Supp. 2025, Section 1086.7), is amended to read as
15 follows:

16 Section 1086.7. A. The Oklahoma Flood and Drought Management
17 Task Force is hereby established and shall be comprised of two
18 groups, the management group and the advisory group.

19 B. 1. The management group shall be comprised of designees
20 from the following state agencies:

- 21 a. the Oklahoma Water Resources Board, which shall serve
- 22 as the lead agency,
- 23 b. the Oklahoma Department of Emergency Management and
- 24 Homeland Security,

- c. the Oklahoma Department of Agriculture, Food, and Forestry,
- d. the State Department of Health,
- e. the Department of Environmental Quality,
- f. the Oklahoma Conservation Commission,
- g. the Department of Wildlife Conservation,
- h. the Oklahoma Climatological Survey, and
- i. the Oklahoma Military Department.

2. The advisory group shall be comprised of designees of the following state associations and entities:

- a. Association of County Commissioners of Oklahoma,
- b. Oklahoma Rural Water Association, and
- c. Oklahoma Municipal League.

The advisory group shall also include the resources of all remaining state agencies and departments available to provide advice and assistance to the Oklahoma Flood and Drought Management Task Force, including the Oklahoma State Regents for Higher Education.

C. The Oklahoma Water Resources Board shall formally coordinate with the following federal agencies:

1. Federal Emergency Management Agency (FEMA);
2. U.S. Army Corps of Engineers;
3. U.S. Forest Service;
4. The United States Geological Survey;
5. Bureau of Reclamation;

6. Farm Service Agency;
7. National Weather Service;
8. U.S. Fish and Wildlife Service;
9. U.S. Small Business Administration;
10. Bureau of Indian Affairs;
11. U.S. Department of Housing and Urban Development;
12. United States Environmental Protection Agency; and
13. Any other federal agency available to provide advice and assistance.

D. The Oklahoma Flood and Drought Management Task Force shall have the following duties:

1. Developing and recommending state drought and flood response, recovery, and mitigation initiatives for conditions determined to be detrimental to the state economy and public health;
2. Identifying drought and flood management areas in the state;
3. Providing coordination and communication among federal, state, and local entities as deemed appropriate for drought and flood assistance programs, education, and information; and
4. Performing such other drought- and flood-related assessments and response functions as deemed necessary.

E. Beginning in 2025, and every ten (10) years thereafter, in conjunction with the update of the Oklahoma Comprehensive Water Plan and State Flood Plan, the Oklahoma Water Resources Board shall

1 coordinate with the Oklahoma Flood and Drought Management Task Force
2 to update the Oklahoma Drought Management Plan.

3 F. The Oklahoma Water Resources Board shall prepare an annual
4 update of drought and flood conditions within the state and planning
5 and mitigation activities being conducted by the Task Force and
6 shall, utilizing the centralized filing system provided for in
7 Section 378 of this act, electronically submit such report to the
8 Speaker of the Oklahoma House of Representatives and President Pro
9 Tempore of the Oklahoma State Senate.

10 SECTION 385. AMENDATORY 82 O.S. 2021, Section 1623, is
11 amended to read as follows:

12 Section 1623. A. Contingent on available funding, the Oklahoma
13 Water Resources Board shall prepare and adopt a comprehensive state
14 flood plan. The plan shall:

15 1. Provide for orderly preparation for and response to flood
16 conditions to protect against the loss of life and property;

17 2. Be a guide to state and local flood control policy; and

18 3. Contribute to water development when possible.

19 B. The state flood plan shall include:

20 1. An evaluation of the condition and adequacy of flood control
21 infrastructure on a watershed basis;

22 2. A statewide list of ongoing and proposed flood control and
23 mitigation projects and strategies necessary to protect against the
24 loss of life and property from flooding and a discussion of how

1 those projects and strategies might further water development where
2 applicable;

3 3. An analysis of completed, ongoing and proposed flood control
4 projects included in previous state flood plans including which
5 projects received funding;

6 4. An analysis of development in special flood hazard areas, as
7 defined by the Federal Emergency Management Agency; and

8 5. Legislative recommendations the Board considers necessary to
9 facilitate flood control planning and project construction.

10 C. On adoption of a state flood plan, the Oklahoma Water
11 Resources Board shall, utilizing the centralized filing system
12 provided for in Section 378 of this act, electronically deliver the
13 plan to the Governor, President Pro Tempore of the Senate, and
14 Speaker of the House of Representatives.

15 SECTION 386. AMENDATORY 85 O.S. 2021, Section 380, as
16 amended by Section 1, Chapter 256, O.S.L. 2024, and as renumbered by
17 Section 3, Chapter 256, O.S.L. 2024 (74 O.S. Supp. 2025, Section
18 85.70), is amended to read as follows:

19 Section 85.70. A. 1. Except as provided for in subsections E
20 though I of this section, volunteer fire departments organized
21 pursuant to state law may obtain workers' compensation insurance for
22 volunteer firefighters through the Volunteer Firefighter Group
23 Insurance Pool pursuant to requirements established by CompSource
24 Mutual Insurance Company which shall administer the Pool. For the

1 premium set by CompSource Mutual Insurance Company, the state shall
2 provide Fifty-five Dollars (\$55.00) per firefighter per year.
3 Except as otherwise provided by subsection D of this section, the
4 total amount paid by the state shall not exceed Three Hundred Twenty
5 Thousand Three Hundred Thirty-eight Dollars (\$320,338.00) per year
6 or so much thereof as may be necessary to fund the Volunteer
7 Firefighter Group Insurance Pool.

8 2. CompSource Mutual Insurance Company shall collect the
9 premium from state agencies, public trusts, and other
10 instrumentalities of the state. Any funds received by CompSource
11 Mutual Insurance Company from any state agency, public trust, or
12 other instrumentality for purposes of workers' compensation
13 insurance pursuant to this section shall be deposited to the credit
14 of the Volunteer Firefighter Group Insurance Pool. CompSource
15 Mutual Insurance Company shall collect premiums, pay claims, and
16 provide for excess insurance as needed.

17 B. CompSource Mutual Insurance Company shall electronically
18 report, annually, to the Governor, the Speaker of the House of
19 Representatives, and the President Pro Tempore of the Senate the
20 number of enrollees in the Volunteer Firefighter Group Insurance
21 Pool, and the amount of any anticipated surplus or deficiency of the
22 Pool; and shall also provide to the Governor, the Speaker of the
23 House of Representatives and the President Pro Tempore of the Senate
24

1 sixty (60) days' advance notice of any proposed change in rates for
2 the Volunteer Firefighter Group Insurance Pool.

3 C. The amount of claims paid, claim expenses, underwriting
4 losses, loss ratio, or any other financial aspect of the Volunteer
5 Firefighter Group Insurance Pool shall not be considered when
6 determining or considering bids for the amount of any premiums,
7 rates, or expenses owed by, or any discounts, rebates, dividends, or
8 other financial benefits owed to any other policyholder of
9 CompSource Mutual Insurance Company.

10 D. Except as otherwise provided by law, any increase in the
11 state payment rate for volunteer firefighters under the Volunteer
12 Firefighter Group Insurance Pool shall not exceed five percent (5%)
13 per annum. Any proposed change in rates for the Volunteer
14 Firefighter Group Insurance Pool ~~must~~ shall be approved by the Board
15 of Directors of CompSource Mutual Insurance Company with notice
16 provided pursuant to subsection B of this section. CompSource
17 Mutual Insurance Company shall not increase premiums for the
18 Volunteer Firefighter Group Insurance Pool more than once per annum.

19 E. 1. The provisions of subsections A through D of this
20 section shall apply only to workers' compensation claims for
21 volunteer firefighters incurred prior to the effective date of this
22 act.

23 2. Not later than the effective date of this act, the Volunteer
24 Firefighter Group Insurance Pool shall be transferred to the Office

1 of Management and Enterprise Services Comprehensive Professional
2 Risk Management Program. Provided, existing reserves from the Pool
3 shall remain with CompSource Mutual Insurance Company for the
4 purpose of managing claims incurred prior to the effective date of
5 this act. All claims incurred on and after the effective date of
6 this act shall be administered by the Office of Management and
7 Enterprise Services (OMES).

8 3. OMES may contract with a third-party administrator or hire
9 not more than two full-time personnel for the purposes of
10 administering the Pool.

11 4. Nothing in this section shall be construed to permit OMES to
12 administer workers' compensation to a paid fire department as such
13 term is defined in Section 29-104.1 of Title 11 of the Oklahoma
14 Statutes.

15 F. 1. Volunteer fire departments organized pursuant to state
16 law may obtain workers' compensation insurance for volunteer
17 firefighters through the Volunteer Firefighter Group Insurance Pool
18 pursuant to requirements established by the Office of Management and
19 Enterprise Services Comprehensive Professional Risk Management
20 Program.

21 2. OMES shall collect a premium of One Hundred Twenty Dollars
22 (\$120.00) per firefighter per year from state agencies, public
23 trusts, and other instrumentalities of the state. Any funds
24 received by OMES from any state agency, public trust, or other

1 instrumentality for purposes of workers' compensation insurance
2 pursuant to this section shall be deposited to the credit of the
3 Volunteer Firefighter Group Insurance Pool. OMES shall collect
4 premiums, pay claims, and provide for excess insurance as needed.

5 G. OMES shall electronically report, annually, to the Governor,
6 the Speaker of the House of Representatives, and the President Pro
7 Tempore of the Senate, utilizing the centralized filing system
8 provided for in Section 378 of this act, the number of enrollees in
9 the Volunteer Firefighter Group Insurance Pool, and the amount of
10 any anticipated surplus or deficiency of the Pool; and shall also
11 provide to the Governor, the Speaker of the House of
12 Representatives, and the President Pro Tempore of the Senate sixty
13 (60) days' advance notice of any proposed change in rates for the
14 Volunteer Firefighter Group Insurance Pool.

15 H. The amount of claims paid, claim expenses, underwriting
16 losses, loss ratio, or any other financial aspect of the Volunteer
17 Firefighter Group Insurance Pool shall not be considered when
18 determining or considering bids for the amount of any premiums,
19 rates, or expenses owed by, or any discounts, rebates, dividends, or
20 other financial benefits owed to any other policyholder of OMES.

21 I. Except as otherwise provided by law, any increase in the
22 state payment rate for volunteer firefighters under the Volunteer
23 Firefighter Group Insurance Pool shall not exceed five percent (5%)
24 per annum. Any proposed change in rates for the Volunteer

1 Firefighter Group Insurance Pool ~~must~~ shall be approved by the
2 Director of the Office of Management and Enterprise Services with
3 notice provided pursuant to subsection G of this section. OMES
4 shall not increase premiums for the Volunteer Firefighter Group
5 Insurance Pool more than once per annum.

6 J. For purposes of this section, the term "volunteer fire
7 departments" includes those volunteer fire departments which have
8 authorized voluntary or uncompensated workers rendering services as
9 firefighters and are created by statute pursuant to Section 592 of
10 Title 18 of the Oklahoma Statutes, Sections 29-201 through 29-206 of
11 Title 11 of the Oklahoma Statutes, and those defined by Section 351
12 of Title 19 of the Oklahoma Statutes.

13 SECTION 387. AMENDATORY 85A O.S. 2021, Section 17, as
14 amended by Section 10, Chapter 199, O.S.L. 2025 (85A O.S. Supp.
15 2025, Section 17), is amended to read as follows:

16 Section 17. A. There is hereby created a Physician Advisory
17 Committee comprised of nine (9) members to be appointed as follows:

18 1. The Governor shall appoint three members, one of whom shall
19 be licensed in this state as a doctor of medicine and surgery, one
20 of whom shall be engaged in the practice of family medicine in a
21 rural community of the state, and one of whom shall be an
22 osteopathic physician;

23 2. The President Pro Tempore of the Senate shall appoint three
24 members, one of whom shall be licensed in this state as a doctor of

1 medicine and orthopedic surgery, one of whom shall be licensed in
2 this state either as a doctor of medicine or a doctor of osteopathy
3 and a neurosurgeon, and one of whom shall be licensed in this state
4 as a podiatric physician; and

5 3. The Speaker of the House of Representatives shall appoint
6 three members, one of whom shall be licensed in this state as an
7 osteopathic physician, one of whom shall be licensed in this state
8 either as a doctor of medicine or a doctor of osteopathy and shall
9 be engaged in the practice of occupational medicine, and one of whom
10 shall be licensed in this state as a chiropractic physician.

11 Any member serving on the effective date of this section shall
12 serve the remainder of his or her term. Thereafter, each position
13 will be filled by the appointing official for a term of three (3)
14 years. Members shall be subject to reappointment, with any new
15 appointee to serve out the remainder of the unexpired term of the
16 Committee member so replaced.

17 B. The Committee shall:

18 1. Assist and advise the Workers' Compensation Commission
19 regarding utilization review as it relates to the medical practice
20 and treatment of work-related injuries. Such utilization review
21 shall include a review of reasonable and necessary medical
22 treatment; abusive practices; needless treatments, testing, or
23 procedures; or a pattern of billing in excess of or in violation of
24 the Schedule of Medical Fees. The Physician Advisory Committee

1 shall review and make findings and recommendations to the Commission
2 with respect to charges of inappropriate or unnecessary treatment or
3 procedures, abusive practices, or excessive billing disclosed
4 through utilization review;

5 2. Assist the Commission in reviewing medical practices of
6 health care providers, including evaluations of permanent disability
7 provided by health care providers. The Committee shall review and
8 make findings and recommendations to the Commission with respect to
9 charges of abusive practices by health care providers providing
10 medical services or evaluations of permanent partial disability
11 through the workers' compensation system;

12 3. After public hearing, review and make recommendations for
13 acceptable deviations from the American Medical Association's
14 "Guides to the Evaluation of Permanent Impairment";

15 4. After public hearing, adopt Physician Advisory Committee
16 Guidelines (PACG) and protocols for only medical treatment not
17 addressed by the latest edition of the Official Disability
18 Guidelines;

19 5. After public hearing, adopt Physician Advisory Committee
20 Guidelines for the prescription and dispensing of any controlled
21 substance included in Schedule II of the Uniform Controlled
22 Dangerous Substances Act if not addressed by the current edition of
23 the Official Disability Guidelines;

1 6. Review utilization on cases or of providers when requested
2 by any employer, injured employee or insurer. The Committee may
3 issue a public or private censure to any provider for utilization
4 which is excessive or inadequate, or recommend the Commission order
5 treatment within the treatment guidelines;

6 7. Provide general recommendations to the Commission on the
7 issues of injury causation and apportionment;

8 8. Conduct educational seminars for the Commission, employers,
9 employees, and other interested parties;

10 9. Assist the Commission in accessing medical information from
11 scientific literature; and

12 10. ~~Report~~ Electronically report its progress annually to the
13 Governor, the President Pro Tempore of the Senate, and the Speaker
14 of the House of Representatives utilizing the centralized filing
15 system provided for in Section 378 of this act.

16 C. The Commission shall recognize the latest edition of the
17 Official Disability Guidelines as the primary standard of reference,
18 at the time of treatment, in determining the frequency and extent of
19 services presumed to be medically necessary and appropriate for
20 compensable injuries under this act, or in resolving such matters in
21 the event a dispute arises.

22 D. Members of the Physician Advisory Committee shall receive no
23 compensation for serving on the Committee but shall be reimbursed by
24 the Commission for their necessary travel expenses incurred in the

1 performance of their duties in accordance with the State Travel
2 Reimbursement Act.

3 E. Meetings of the Physician Advisory Committee shall be called
4 by the Commission but held at least quarterly. The presence of a
5 majority of the members shall constitute a quorum. No action shall
6 be taken by the Physician Advisory Committee without the affirmative
7 vote of at least a majority of the members.

8 F. The Commission shall provide office supplies and personnel
9 of the Commission to assist the Committee in the performance of its
10 duties.

11 G. Upon written request, the Insurance Commissioner, CompSource
12 Mutual Insurance Company, and every approved self-insured employer
13 in Oklahoma shall provide the Committee with data necessary to the
14 performance of its duties.

15 H. Any health care provider acting in good faith and within the
16 scope of the provider's duties as a member of the Physician Advisory
17 Committee shall be immune from civil liability for making any report
18 or other information available to the judges of the Commission or to
19 the Commission or for assisting in the origination, investigation,
20 or preparation of the report or other information so provided.

21 SECTION 388. AMENDATORY 85A O.S. 2021, Section 50, is
22 amended to read as follows:

23 Section 50. A. The employer shall promptly provide an injured
24 employee with medical, surgical, hospital, optometric, podiatric,

1 chiropractic, and nursing services, along with any medicine,
2 crutches, ambulatory devices, artificial limbs, eyeglasses, contact
3 lenses, hearing aids, and other apparatus as may be reasonably
4 necessary in connection with the injury received by the employee.
5 The employer shall have the right to choose the treating physician
6 or chiropractor.

7 B. If the employer fails or neglects to provide medical
8 treatment within five (5) days after actual knowledge is received of
9 an injury, the injured employee may select a physician or
10 chiropractor to provide medical treatment at the expense of the
11 employer; provided, however, that the injured employee, or another
12 in the employee's behalf, may obtain emergency treatment at the
13 expense of the employer where such emergency treatment is not
14 provided by the employer.

15 C. Diagnostic tests shall not be repeated sooner than six (6)
16 months from the date of the test unless agreed to by the parties or
17 ordered by the Commission for good cause shown.

18 D. Unless recommended by the treating doctor or chiropractor at
19 the time claimant reaches maximum medical improvement or by an
20 independent medical examiner, continuing medical maintenance shall
21 not be awarded by the Commission. The employer or insurance carrier
22 shall not be responsible for continuing medical maintenance or pain
23 management treatment that is outside the parameters established by
24 the Physician Advisory Committee or ODG. The employer or insurance

1 carrier shall not be responsible for continuing medical maintenance
2 or pain management treatment not previously ordered by the
3 Commission or approved in advance by the employer or insurance
4 carrier.

5 E. An employee claiming or entitled to benefits under the
6 Administrative Workers' Compensation Act, shall, if ordered by the
7 Commission or requested by the employer or insurance carrier, submit
8 himself or herself for medical examination. If an employee refuses
9 to submit himself or herself to examination, his or her right to
10 prosecute any proceeding under the Administrative Workers'
11 Compensation Act shall be suspended, and no compensation shall be
12 payable for the period of such refusal.

13 F. For compensable injuries resulting in the use of a medical
14 device, ongoing service for the medical device shall be provided in
15 situations including, but not limited to, medical device battery
16 replacement, ongoing medication refills related to the medical
17 device, medical device repair, or medical device replacement.

18 G. The employer shall reimburse the employee for the actual
19 mileage in excess of twenty (20) miles round trip to and from the
20 employee's home to the location of a medical service provider for
21 all reasonable and necessary treatment, for an evaluation of an
22 independent medical examiner and for any evaluation made at the
23 request of the employer or insurance carrier. The rate of
24 reimbursement for such travel expense shall be the official

1 reimbursement rate as established by the State Travel Reimbursement
2 Act. In no event shall the reimbursement of travel for medical
3 treatment or evaluation exceed six hundred (600) miles round trip.

4 H. Fee Schedule.

5 1. The Commission shall conduct a review and update of the
6 Current Procedural Terminology (CPT) in the Fee Schedule every two
7 (2) years pursuant to the provisions of paragraph 14 of this
8 subsection. The Fee Schedule shall establish the maximum rates that
9 medical providers shall be reimbursed for medical care provided to
10 injured employees including, but not limited to, charges by
11 physicians, chiropractors, dentists, counselors, hospitals,
12 ambulatory and outpatient facilities, clinical laboratory services,
13 diagnostic testing services, and ambulance services, and charges for
14 durable medical equipment, prosthetics, orthotics, and supplies.
15 The most current Fee Schedule established by the Administrator of
16 the Workers' Compensation Court prior to February 1, 2014, shall
17 remain in effect, unless or until the Legislature approves the
18 Commission's proposed Fee Schedule.

19 2. Reimbursement for medical care shall be prescribed and
20 limited by the Fee Schedule. The director of the Employees Group
21 Insurance Division of the Office of Management and Enterprise
22 Services shall provide the Commission such information as may be
23 relevant for the development of the Fee Schedule. The Commission
24 shall develop the Fee Schedule in a manner in which quality of

1 medical care is assured and maintained for injured employees. The
2 Commission shall give due consideration to additional requirements
3 for physicians treating an injured worker under the Administrative
4 Workers' Compensation Act, including, but not limited to,
5 communication with claims representatives, case managers, attorneys,
6 and representatives of employers, and the additional time required
7 to complete forms for the Commission, insurance carriers, and
8 employers.

9 3. In making adjustments to the Fee Schedule, the Commission
10 shall use, as a benchmark, the reimbursement rate for each Current
11 Procedural Terminology (CPT) code provided for in the fee schedule
12 published by the Centers for Medicare and Medicaid Services of the
13 U.S. Department of Health and Human Services for use in Oklahoma
14 (Medicare Fee Schedule) on the effective date of this section,
15 workers' compensation fee schedules employed by neighboring states,
16 the latest edition of "Relative Values for Physicians" (RVP), usual,
17 customary and reasonable medical payments to workers' compensation
18 health care providers in the same trade area for comparable
19 treatment of a person with similar injuries, and all other data the
20 Commission deems relevant. For services not valued by CMS, the
21 Commission shall establish values based on the usual, customary and
22 reasonable medical payments to health care providers in the same
23 trade area for comparable treatment of a person with similar
24 injuries.

- 1 a. No reimbursement shall be allowed for any magnetic
2 resonance imaging (MRI) unless the MRI is provided by
3 an entity that meets Medicare requirements for the
4 payment of MRI services or is accredited by the
5 American College of Radiology, the Intersocietal
6 Accreditation Commission or the Joint Commission on
7 Accreditation of Healthcare Organizations. For all
8 other radiology procedures, the reimbursement rate
9 shall be the lesser of the reimbursement rate allowed
10 by the 2010 Oklahoma Fee Schedule and two hundred
11 seven percent (207%) of the Medicare Fee Schedule.
- 12 b. For reimbursement of medical services for Evaluation
13 and Management of injured employees as defined in the
14 Fee Schedule adopted by the Commission, the
15 reimbursement rate shall not be less than one hundred
16 fifty percent (150%) of the Medicare Fee Schedule.
- 17 c. Any entity providing durable medical equipment,
18 prosthetics, orthotics or supplies shall be accredited
19 by a CMS-approved accreditation organization. If a
20 physician provides durable medical equipment,
21 prosthetics, orthotics, prescription drugs, or
22 supplies to a patient ancillary to the patient's
23 visit, reimbursement shall be no more than ten percent
24 (10%) above cost.

1 d. The Commission shall develop a reasonable stop-loss
2 provision of the Fee Schedule to provide for adequate
3 reimbursement for treatment for major burns, severe
4 head and neurological injuries, multiple system
5 injuries, and other catastrophic injuries requiring
6 extended periods of intensive care. An employer or
7 insurance carrier shall have the right to audit the
8 charges and question the reasonableness and necessity
9 of medical treatment contained in a bill for treatment
10 covered by the stop-loss provision.

11 4. The right to recover charges for every type of medical care
12 for injuries arising out of and in the course of covered employment
13 as defined in the Administrative Workers' Compensation Act shall lie
14 solely with the Commission. When a medical care provider has
15 brought a claim to the Commission to obtain payment for services, a
16 party who prevails in full on the claim shall be entitled to
17 reasonable attorney fees.

18 5. Nothing in this section shall prevent an employer, insurance
19 carrier, group self-insurance association, or certified workplace
20 medical plan from contracting with a provider of medical care for a
21 reimbursement rate that is greater than or less than limits
22 established by the Fee Schedule.

23 6. A treating physician may not charge more than Four Hundred
24 Dollars (\$400.00) per hour for preparation for or testimony at a

1 deposition or appearance before the Commission in connection with a
2 claim covered by the Administrative Workers' Compensation Act.

3 7. The Commission's review of medical and treatment charges
4 pursuant to this section shall be conducted pursuant to the Fee
5 Schedule in existence at the time the medical care or treatment was
6 provided. The judgment approving the medical and treatment charges
7 pursuant to this section shall be enforceable by the Commission in
8 the same manner as provided in the Administrative Workers'
9 Compensation Act for the enforcement of other compensation payments.

10 8. Charges for prescription drugs dispensed by a pharmacy shall
11 be limited to ninety percent (90%) of the average wholesale price of
12 the prescription, plus a dispensing fee of Five Dollars (\$5.00) per
13 prescription. "Average wholesale price" means the amount determined
14 from the latest publication designated by the Commission.

15 Physicians shall prescribe and pharmacies shall dispense generic
16 equivalent drugs when available. If the National Drug Code, or
17 "NDC", for the drug product dispensed is for a repackaged drug, then
18 the maximum reimbursement shall be the lesser of the original
19 labeler's NDC and the lowest-cost therapeutic equivalent drug
20 product. Compounded medications shall be billed by the compounding
21 pharmacy at the ingredient level, with each ingredient identified
22 using the applicable NDC of the drug product, and the corresponding
23 quantity. Ingredients with no NDC area are not separately
24 reimbursable. Payment shall be based on a sum of the allowable fee

1 for each ingredient plus a dispensing fee of Five Dollars (\$5.00)
2 per prescription.

3 9. When medical care includes prescription drugs dispensed by a
4 physician or other medical care provider and the NDC for the drug
5 product dispensed is for a repackaged drug, then the maximum
6 reimbursement shall be the lesser of the original labeler's NDC and
7 the lowest-cost therapeutic equivalent drug product. Payment shall
8 be based upon a sum of the allowable fee for each ingredient plus a
9 dispensing fee of Five Dollars (\$5.00) per prescription. Compounded
10 medications shall be billed by the compounding pharmacy.

11 10. Implantables are paid in addition to procedural
12 reimbursement paid for medical or surgical services. A
13 manufacturer's invoice for the actual cost to a physician, hospital
14 or other entity of an implantable device shall be adjusted by the
15 physician, hospital or other entity to reflect, at the time
16 implanted, all applicable discounts, rebates, considerations and
17 product replacement programs and shall be provided to the payer by
18 the physician or hospital as a condition of payment for the
19 implantable device. If the physician, or an entity in which the
20 physician has a financial interest other than an ownership interest
21 of less than five percent (5%) in a publically traded company,
22 provides implantable devices, this relationship shall be disclosed
23 to patient, employer, insurance company, third-party commission,
24 certified workplace medical plan, case managers, and attorneys

1 representing claimant and defendant. If the physician, or an entity
2 in which the physician has a financial interest other than an
3 ownership interest of less than five percent (5%) in a publicly
4 traded company, buys and resells implantable devices to a hospital
5 or another physician, the markup shall be limited to ten percent
6 (10%) above cost.

7 11. Payment for medical care as required by the Administrative
8 Workers' Compensation Act shall be due within forty-five (45) days
9 of the receipt by the employer or insurance carrier of a complete
10 and accurate invoice, unless the employer or insurance carrier has a
11 good-faith reason to request additional information about such
12 invoice. Thereafter, the Commission may assess a penalty up to
13 twenty-five percent (25%) for any amount due under the Fee Schedule
14 that remains unpaid on the finding by the Commission that no good-
15 faith reason existed for the delay in payment. If the Commission
16 finds a pattern of an employer or insurance carrier willfully and
17 knowingly delaying payments for medical care, the Commission may
18 assess a civil penalty of not more than Five Thousand Dollars
19 (\$5,000.00) per occurrence.

20 12. If an employee fails to appear for a scheduled appointment
21 with a physician or chiropractor, the employer or insurance company
22 shall pay to the physician or chiropractor a reasonable charge, to
23 be determined by the Commission, for the missed appointment. In the
24 absence of a good-faith reason for missing the appointment, the

1 Commission shall order the employee to reimburse the employer or
2 insurance company for the charge.

3 13. Physicians or chiropractors providing treatment under the
4 Administrative Workers' Compensation Act shall disclose under
5 penalty of perjury to the Commission, on a form prescribed by the
6 Commission, any ownership or interest in any health care facility,
7 business, or diagnostic center that is not the physician's or
8 chiropractor's primary place of business. The disclosure shall
9 include any employee leasing arrangement between the physician or
10 chiropractor and any health care facility that is not the
11 physician's or chiropractor's primary place of business. A
12 physician's or chiropractor's failure to disclose as required by
13 this section shall be grounds for the Commission to disqualify the
14 physician or chiropractor from providing treatment under the
15 Administrative Workers' Compensation Act.

16 14. a. Beginning on May 28, 2019, the Commission shall
17 conduct an evaluation of the Fee Schedule, which shall
18 include an update of the list of Current Procedural
19 Terminology (CPT) codes, a line item adjustment or
20 renewal of all rates, and amendment as needed to the
21 rules applicable to the Fee Schedule.

22 b. The Commission shall contract with an external
23 consultant with knowledge of workers' compensation fee
24 schedules to review regional and nationwide

1 comparisons of Oklahoma's Fee Schedule rates and date
2 and market for medical services. The consultant shall
3 receive written and oral comment from employers,
4 workers' compensation medical service and insurance
5 providers, self-insureds, group self-insurance
6 associations of this state and the public. The
7 consultant shall submit a report of its findings and a
8 proposed amended Fee Schedule to the Commission.

9 c. The Commission shall adopt the proposed amended Fee
10 Schedule in whole or in part and make any additional
11 updates or adjustments. The Commission shall,
12 utilizing the centralized filing system provided for
13 in Section 378 of this act, electronically submit a
14 proposed updated and adjusted Fee Schedule to the
15 President Pro Tempore of the Senate, the Speaker of
16 the House of Representatives, and the Governor. The
17 proposed Fee Schedule shall become effective on July 1
18 following the legislative session, if approved by
19 Joint Resolution of the Legislature during the session
20 in which a proposed Fee Schedule is submitted.

21 d. Beginning on May 28, 2019, an external evaluation
22 shall be conducted and a proposed amended Fee Schedule
23 shall be submitted to the Legislature for approval
24 during the 2020 legislative session. Thereafter, an

1 external evaluation shall be conducted and a proposed
2 amended Fee Schedule shall be submitted to the
3 Legislature for approval every two (2) years.

4 I. Formulary. The Commission by rule shall adopt a closed
5 formulary. Rules adopted by the Commission shall allow an appeals
6 process for claims in which a treating doctor determines and
7 documents that a drug not included in the formulary is necessary to
8 treat an injured employee's compensable injury. The Commission by
9 rule shall require the use of generic pharmaceutical medications and
10 clinically appropriate over-the-counter alternatives to prescription
11 medications unless otherwise specified by the prescribing doctor, in
12 accordance with applicable state law.

13 SECTION 389. AMENDATORY 85A O.S. 2021, Section 60, is
14 amended to read as follows:

15 Section 60. The Physician Advisory Committee may recommend the
16 adoption of a method or system to evaluate permanent disability that
17 shall deviate from, or be used in place of or in combination with
18 the Guides. Such recommendation shall be made to the Workers'
19 Compensation Commission which may adopt the recommendation in part
20 or in whole. The adopted method or system shall be electronically
21 submitted by the Executive Director of the Commission to the
22 Governor, the Speaker of the House of Representatives, and the
23 President Pro Tempore of the Senate within the first ten (10)
24 legislative days of a regular session of the Legislature utilizing

1 the centralized filing system provided for in Section 378 of this
2 act. Such method or system so submitted shall be subject to
3 disapproval by joint or concurrent resolution of the Legislature
4 during the legislative session in which submitted. If disapproved,
5 the existing method of determining permanent partial disability
6 shall continue in effect. If the Legislature takes no action on the
7 method or system submitted by the Executive Director, the method or
8 system shall become operative thirty (30) days following the
9 adjournment of the Legislature.

10 SECTION 390. AMENDATORY 85A O.S. 2021, Section 101, is
11 amended to read as follows:

12 Section 101. A. On or before the first day of July each year,
13 the Workers' Compensation Commission shall prepare, make public and,
14 utilizing the centralized filing system provided for in Section 378
15 of this act, electronically submit a report for the prior calendar
16 year to the Governor, the President Pro Tempore of the Senate, the
17 Speaker of the House of Representatives, and each member of the
18 Legislature, containing a statement of the number of awards made and
19 the causes of the accidents leading to the injuries for which the
20 awards were made, total work load data of the administrative law
21 judges, including a detailed report of the work load and judgments
22 written by each judge, a detailed statement of the expenses of the
23 Commission, together with any other matter which the Commission
24 deems proper to report.

1 B. After public hearing and consultation with representatives
2 of employers, insurance carriers, and employees, the Commission
3 shall implement, with the assistance of the Insurance Commissioner,
4 an electronic data interchange (EDI) system that provides relevant
5 data concerning the Oklahoma workers' compensation system and the
6 delivery of benefits to injured workers on a timetable to be
7 reasonably determined by the Commission.

8 C. To assist the Commission in developing and implementing the
9 EDI system, there is hereby created the Oklahoma Workers'
10 Compensation Electronic Data Interchange Advisory Committee. The
11 Governor shall appoint five persons to serve as members of the
12 advisory committee, one of whom shall be selected by the Governor as
13 chair. The chair shall provide adequate notice of meetings of the
14 advisory committee and public hearings as required by law.

15 SECTION 391. AMENDATORY 85A O.S. 2021, Section 121, is
16 amended to read as follows:

17 Section 121. A. There is hereby created an Advisory Council on
18 Workers' Compensation.

19 B. The voting membership of the Advisory Council shall consist
20 of nine (9) members. Any member serving on the effective date of
21 this section shall serve the remainder of his or her term. The
22 chair of the Workers' Compensation Commission shall be an ex officio
23 nonvoting member.
24

1 1. The Governor shall appoint three members representing
2 employers in this state, one of whom shall be from a list of
3 nominees provided by the predominant statewide broad-based business
4 organization.

5 2. The Speaker of the House of Representatives shall appoint
6 three members representing employees in this state, one of whom
7 shall be from a list of nominees provided by the most representative
8 labor organization in the state.

9 3. The President Pro Tempore of the Senate shall appoint three
10 members, two who are attorneys representing the legal profession in
11 this state, one of whom shall be an attorney who practices primarily
12 in the area of defense of workers' compensation claims, and one of
13 whom shall be an attorney who primarily represents claimants, and a
14 medical doctor or doctor of osteopathy actively engaged in the
15 treatment of injured workers.

16 C. The term of office for appointees shall be as follows:

17 1. The term of office for three positions, one each appointed
18 by the Governor, the President Pro Tempore of the Senate and the
19 Speaker of the House of Representatives shall expire on January 1,
20 2015;

21 2. The term of office for three positions, one each appointed
22 by the Governor, the President Pro Tempore of the Senate and the
23 Speaker of the House of Representatives shall expire on January 1,
24 2016; and

1 3. The term of office for three positions, one each appointed
2 by the Governor, the President Pro Tempore of the Senate and the
3 Speaker of the House of Representatives shall expire on January 1,
4 2017.

5 D. Thereafter, successors in office shall be appointed for a
6 three-year term. Members shall be eligible to succeed themselves in
7 office.

8 E. Any person appointed to fill a vacancy shall be appointed
9 for the unexpired portion of the term.

10 F. The chair and the vice-chair of the Advisory Council shall
11 be appointed by the Governor.

12 G. Members shall receive their traveling and other necessary
13 expenses incurred in the performance of their duties as provided in
14 the State Travel Reimbursement Act.

15 H. Meetings of the Advisory Council shall be quarterly or as
16 called by the chair or upon petition by a majority of the voting
17 members. The presence of five voting members constitutes a quorum.
18 No action shall be taken by the Advisory Council without the
19 affirmative vote of at least five members.

20 I. The Commission shall provide office supplies and personnel
21 of the Commission to carry out any of the duties that have been
22 entrusted to the Advisory Council.

23 J. The Advisory Council shall analyze and review the workers'
24 compensation system, the reports of the Commission, and trends in

1 the field of workers' compensation. The Advisory Council may
2 recommend improvements and proper responses to developing trends.
3 The Advisory Council shall, utilizing the centralized filing system
4 provided for in Section 378 of this act, electronically report its
5 findings annually to the Governor, the Chief Justice of the Supreme
6 Court, the President Pro Tempore of the Senate, and the Speaker of
7 the House of Representatives.

8 K. In addition to other duties required by this section, the
9 Advisory Council shall consult with the Commission regarding
10 oversight of independent medical examiners as provided in Section 45
11 of this title.

12 SECTION 392. AMENDATORY 85A O.S. 2021, Section 400, as
13 amended by Section 3, Chapter 279, O.S.L. 2024 (85A O.S. Supp. 2025,
14 Section 400), is amended to read as follows:

15 Section 400. A. The Workers' Compensation Court of Existing
16 Claims (CEC) shall have exclusive jurisdiction over all disputes
17 relating to claims that arise before February 1, 2014.

18 B. Effective July 1, 2024, the Workers' Compensation Court of
19 Existing Claims shall consist of one judge to be appointed by the
20 Chief Justice of the Supreme Court from a list of retired judges on
21 a rotational basis. An active retired judge appointed to serve as a
22 CEC trial judge may receive per diem and travel reimbursement as
23 authorized by subsection F of Section 1104B of Title 20 of the
24 Oklahoma Statutes. A judge serving on the CEC Division of the Court

1 of Civil Appeals shall receive no additional compensation other than
2 the compensation provided by law.

3 C. 1. Effective July 1, 2024, the position of the
4 Administrator of the Court of Existing Claims shall terminate. All
5 administrative duties of the CEC shall be transferred to the
6 Oklahoma Workers' Compensation Commission including docketing,
7 filing, preparation of appellate records, preparation of orders, and
8 all other duties previously performed by the Administrator and the
9 court clerk of the CEC. The Commission shall provide the use of a
10 courtroom to the CEC judge to conduct hearings on claims for
11 compensation and other proceedings.

12 2. All judicial functions of the CEC shall remain under the
13 authority of the Supreme Court. The Administrative Director of the
14 Courts shall assist the Commission with the transfer of any duties
15 determined to be judicial functions. The Director shall contract
16 with the Commission to provide support services or personnel needs
17 necessary to carry out the purposes of the CEC and shall supervise
18 the work of any such personnel as necessary to maintain the CEC as a
19 court of record. The Director shall assist the CEC trial judge and
20 the CEC Division of the Court of Civil Appeals as needed and may
21 expend funds for personnel, contracts for court reporting, and other
22 support services.

23 D. The Commission shall maintain the case management and
24 records information technology system of the CEC as part of the

1 system of the Commission and such system shall be utilized by the
2 CEC trial judge. The Commission shall be entitled to any fees
3 generated for the retrieval of such data. The Director shall enter
4 into an agreement with the Commission for the CEC to share in the
5 cost for annual maintenance attributed to case management,
6 docketing, and recordkeeping on behalf of the CEC.

7 E. The non-CEC case management system, docketing, appellate
8 records, and other records maintained in the normal course of
9 business of the Court of Civil Appeals shall remain with the
10 Oklahoma Court Information System (OCIS) of the Supreme Court. The
11 Director may contract and expend funds as needed to modify the OCIS
12 to support the CEC trial judge and the CEC Division of the Court of
13 Civil Appeals.

14 F. The CEC shall operate by the rules adopted by the Workers'
15 Compensation Court prior to February 1, 2014. The CEC Division of
16 the Court of Civil Appeals shall adopt rules of practice and
17 procedure for appeals to the CEC Division.

18 G. The CEC shall continue as a court of record, with respect to
19 any matter within the limits of its jurisdiction. Any party to a
20 hearing on a claim for compensation before the CEC trial judge or
21 the CEC Division shall be entitled to the services of a court
22 reporter. The cost of transcripts shall be borne by the requesting
23 party unless otherwise determined by order of the CEC trial judge.

1 H. The Director shall contract with the Commission for office
2 and courtroom space for the CEC trial judge. The CEC trial judge
3 may hold hearings and other proceedings in facilities provided by
4 the Director or the Commission.

5 I. 1. The CEC trial judge shall be vested with jurisdiction
6 over all claims filed pursuant to the Workers' Compensation Code or
7 previous statute in effect on the date of an injury that occurred
8 before February 1, 2014. All claims so filed shall be heard by the
9 judge sitting without a jury. The CEC trial judge shall have full
10 power and authority to determine all questions in relation to
11 payment of claims for compensation under the provisions of the
12 Workers' Compensation Code or previous statute in effect on the date
13 of an injury that occurred before February 1, 2014.

14 2. The Commission shall coordinate with the Director to
15 schedule a docket for hearings on claims for compensation and other
16 proceedings requested by either party, including all cases pending
17 on the effective date of this act. Hearings on claims for
18 compensation and other proceedings may be conducted in person or
19 remotely at the discretion of the CEC trial judge. The CEC trial
20 judge may conduct other proceedings on preliminary or supplemental
21 matters as needed. If any claim or proceeding is assigned to the
22 Commission by the CEC trial judge for a preliminary review, the
23 chair of the Commission may assign the matter to any Commission
24 administrative law judge (ALJ), or other hearing officer. Any party

1 may present evidence and be represented by counsel before the CEC
2 trial judge, the ALJ, or other hearing officer.

3 3. Upon receipt of the recommendation of the ALJ or other
4 hearing officer, any party may request a de novo rehearing with the
5 CEC trial judge or may waive the rehearing. If both parties waive
6 the rehearing, any recommendation by the ALJ or other hearing
7 officer shall not become a final determination until approved by
8 order of the CEC trial judge. Only the final order based upon the
9 decision of the CEC trial judge shall be appealable.

10 4. The decision of the CEC trial judge shall be final as to all
11 questions of fact and law; provided, the decision of the CEC trial
12 judge may be appealed to the CEC Division of the Court of Civil
13 Appeals within ten (10) days or the Supreme Court as provided by the
14 Workers' Compensation Code or previous statute in effect on the date
15 of an injury that occurred before February 1, 2014. The Commission
16 shall coordinate with the Director to schedule a docket for hearings
17 on appeals to the CEC Division of the Court of Civil Appeals,
18 including all cases pending on the effective date of this act. The
19 parties may appeal a decision of the CEC Division to the Supreme
20 Court as provided by the Supreme Court rules in the same manner as
21 from the three-judge en banc panel. The decision of the CEC trial
22 judge shall be issued within thirty (30) days following the
23 submission of the case by the parties. The power and jurisdiction
24 of the CEC trial judge over each case shall be continuing and he or

1 she may, from time to time, make such modifications or changes with
2 respect to former findings or orders relating thereto if, in his or
3 her opinion, it may be justified.

4 J. For an injury occurring before February 1, 2014, all
5 benefits and procedures to obtain benefits shall be determined by
6 the workers' compensation law of this state in effect on the date of
7 the injury.

8 K. All accrued rights and penalties incurred pursuant to a
9 final order of the CEC trial judge shall be preserved. No accrued
10 right, penalty incurred, or proceeding begun by virtue of a statute
11 repealed by this act shall be abrogated by the terms of this act.

12 L. 1. On or before July 1 of each year, the Administrator of
13 the Commission shall prepare and electronically submit a report for
14 the prior calendar year to the Governor, the Chief Justice of the
15 Supreme Court, the President Pro Tempore of the Senate, and the
16 Speaker of the House of Representatives, utilizing the centralized
17 filing system provided for in Section 378 of this act, which shall
18 include a statement of the number of awards made and the causes of
19 the accidents leading to the injuries for which the awards were
20 made, total work load data of the CEC trial judge, a detailed
21 statement of the expenses of the Commission for all administrative
22 duties performed on behalf of the CEC, together with any other
23 matter which the Commission deems proper to report to the Governor
24 including any recommendations he or she may desire to make.

1 2. On or before July 1 of each year, the Director shall
2 electronically submit to the officials listed in paragraph 1 of this
3 subsection, utilizing the centralized filing system provided for in
4 Section 378 of this act, a report for the prior calendar year which
5 shall include the total workload of the CEC Division of the Court of
6 Civil Appeals and a detailed statement of expenses incurred because
7 of three-judge en banc panel appeals.

8 M. Subject to the availability of funds, the Director may enter
9 into a contract to employ one part-time attorney to assist parties
10 without representation with duties and assignments to be determined
11 by the CEC trial judge and Director.

12 SECTION 393. REPEALER Section 6, Chapter 222, O.S.L.
13 2024 (2 O.S. Supp. 2025, Section 5-606), is hereby repealed.

14 SECTION 394. REPEALER 2 O.S. 2021, Section 18-34, is
15 hereby repealed.

16 SECTION 395. REPEALER 2 O.S. 2021, Section 18-192, is
17 hereby repealed.

18 SECTION 396. REPEALER 10 O.S. 2021, Section 630.2, is
19 hereby repealed.

20 SECTION 397. REPEALER Section 1, Chapter 288, O.S.L.
21 2024 (17 O.S. Supp. 2025, Section 294), is hereby repealed.

22 SECTION 398. REPEALER 19 O.S. 2021, Section 547.2, is
23 hereby repealed.

1 SECTION 399. REPEALER 20 O.S. 2021, Section 127, is
2 hereby repealed.

3 SECTION 400. REPEALER 20 O.S. 2021, Section 1103H, is
4 hereby repealed.

5 SECTION 401. REPEALER Section 1, Chapter 333, O.S.L.
6 2023, as amended by Section 4, Chapter 329, O.S.L. 2025 (21 O.S.
7 Supp. 2025, Section 2200), is hereby repealed.

8 SECTION 402. REPEALER 36 O.S. 2021, Section 6057.5, is
9 hereby repealed.

10 SECTION 403. REPEALER 36 O.S. 2021, Section 6060.9c, is
11 hereby repealed.

12 SECTION 404. REPEALER 36 O.S. 2021, Section 6060.13, is
13 hereby repealed.

14 SECTION 405. REPEALER Section 5, Chapter 151, O.S.L.
15 2022 (36 O.S. Supp. 2025, Section 6060.44), is hereby repealed.

16 SECTION 406. REPEALER 40 O.S. 2021, Section 800.1, as
17 amended by Section 1, Chapter 401, O.S.L. 2022 (40 O.S. Supp. 2025,
18 Section 800.1), is hereby repealed.

19 SECTION 407. REPEALER Section 1, Chapter 232, O.S.L.
20 2023 (47 O.S. Supp. 2025, Section 173.1), is hereby repealed.

21 SECTION 408. REPEALER 56 O.S. 2021, Section 162.1b, is
22 hereby repealed.

23 SECTION 409. REPEALER 56 O.S. 2021, Section 245, is
24 hereby repealed.

1	SECTION 410.	REPEALER	56 O.S. 2021, Section 245.1, is
2	hereby repealed.		
3	SECTION 411.	REPEALER	56 O.S. 2021, Section 3121, is
4	hereby repealed.		
5	SECTION 412.	REPEALER	57 O.S. 2021, Section 521.1, is
6	hereby repealed.		
7	SECTION 413.	REPEALER	62 O.S. 2021, Section 46.5, is
8	hereby repealed.		
9	SECTION 414.	REPEALER	63 O.S. 2021, Section 2-112, is
10	hereby repealed.		
11	SECTION 415.	REPEALER	63 O.S. 2021, Section 2175.1, is
12	hereby repealed.		
13	SECTION 416.	REPEALER	63 O.S. 2021, Section 5009.6, is
14	hereby repealed.		
15	SECTION 417.	REPEALER	63 O.S. 2021, Section 5030.4A, is
16	hereby repealed.		
17	SECTION 418.	REPEALER	70 O.S. 2021, Section 3-116.5, is
18	hereby repealed.		
19	SECTION 419.	REPEALER	70 O.S. 2021, Section 3-123.1, is
20	hereby repealed.		
21	SECTION 420.	REPEALER	70 O.S. 2021, Section 628.19, is
22	hereby repealed.		
23	SECTION 421.	REPEALER	70 O.S. 2021, Section 7001, is
24	hereby repealed.		

1 SECTION 422. REPEALER 74 O.S. 2021, Section 201, is
2 hereby repealed.

3 SECTION 423. REPEALER 74 O.S. 2021, Section 30c, is
4 hereby repealed.

5 SECTION 424. REPEALER 74 O.S. 2021, Section 30.2, is
6 hereby repealed.

7 SECTION 425. REPEALER 74 O.S. 2021, Section 2900.3, is
8 hereby repealed.

9 SECTION 426. REPEALER 74 O.S. 2021, Section 9100, is
10 hereby repealed.

11 SECTION 427. REPEALER 82 O.S. 2021, Section 1088.14, is
12 hereby repealed.

13 SECTION 428. This act shall become effective January 1, 2027.

14 COMMITTEE REPORT BY: COMMITTEE ON RULES
15 March 4, 2026 - DO PASS AS AMENDED BY CS
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